COMMERCIAL LAW

Fresh Perspectives

4th Edition

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Part

1

Introduction to commercial law

Chapter 1: Background to law in South Africa (Karmini Pillay) 3

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Background to law in South Africa

Chapter 1

The main ideas

- What is law?
- The social contract
- The role of the State
- Parliamentary sovereignty and constitutional supremacy
- Legal subjects and legal capacity
- Legal objects
- The nature of rights
- Primary and secondary sources of law
- The judicial system
- Civil cases and criminal cases
- Crimes and delicts
- Main role players in the court structures

The main skills

- Appreciate the nature of law and the need for law.
- Assess the role of the State in the social contract.
- Distinguish between parliamentary sovereignty and constitutional supremacy.
- Identify legal subjects and legal objects.
- Explain the concept of legal capacity.
- Recognise when legal personality begins and ends.
- Distinguish between personal rights and real rights.
- Explain where law comes from.
- Distinguish between primary sources and secondary sources of law.
- Distinguish between civil cases and criminal cases.
- Outline the hierarchy and jurisdiction of the courts.
- Distinguish between crimes and delicts.
- Identify the main role players in the court structures.

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Part 1 of this textbook gives you a basic introduction to the study of law in the South African context. In Chapter 1, we begin by defining what law is and why it exists, because it is a good idea to understand what something means before you examine its components. Next, we outline the history of South African law, the social contract, the role of the State, legal subjects and legal objects, the nature of legal rights, and explain where law comes from. Finally, we outline the hierarchy and jurisdiction of the courts and sketch the key role players who work there. In Chapter 2, we describe the branches of South African law and, in Chapter 3, we evaluate how to interpret statutes as a primary source of law.

Before you start

Let us begin by assessing the role of the law in our daily lives. Take a few minutes to map your movements in a 24-hour period, starting from the moment you wake up until you go back to bed. Evaluate whether it is possible for you to live and function without the law impacting you, your actions, and your movements.

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Do you need the law to regulate what you can or cannot do, or can you govern yourself with full autonomy (independence)? Keep this question in mind as we continue through this chapter.

1.1 What is law and why do we need law?

Law is a concept that is notoriously difficult to define. While we probably think that we know law when we see it, and while philosophers have been attempting to define the concept for centuries, there remains little agreement about law and its essence. One of the reasons why law is so difficult to pin down is that it appears in diverse forms, emerges from a variety of sources, and embraces a variety of functions. Today, most people would agree that law has to do with the ordering of society through prescriptive rules.

Lay persons tend to think of law in terms of crime and punishment – they think of the police, prosecutors, defence lawyers, bail applications and of prison sentences (television dramas do nothing to dispel this very one-sided view of law). Yet, criminal law is only one of many branches of law (discussed in Chapter 2), so any definition of law cannot be limited to prosecuting persons accused of crimes. Once one grasps the many different forms, sources, and functions of law, it is easy to see why short definitions of law are often unsatisfactory.

Law is an attribute of human beings that appears when groups of people associate themselves into a society. Human beings came to the realisation that, if we did not order ourselves into socio-political clusters, we would soon become extinct, since a lawless state of being inevitably invokes a survival of the fittest mode where people are instinctively led by their personal interests (and not group interests). This leads to a state of anarchy or chaos. The realisation that law promotes peace, order and harmony gave rise to a 'social contract' in terms of which members of the group authorised the leaders to organise the group to ensure its survival. In a social contract, members of society **implicitly** agree to surrender a portion of their individual freedom to a body of authority in exchange for protection by the State and social benefits.

To do something **implicitly** means to do it indirectly or through behaviour.

Considering this social contract, we say that law is a set of rules made by a body of authority (the State) also known as the government, to control and regulate behaviour in society. Laws define what you must do, and what you may not do. The State reinforces the law by ensuring that people obey these rules. So, the law tells you what your legal rights, duties and obligations are. The overall purpose of law is, therefore, to maintain order.

Activity 1.1

Now that you understand what law is and why we have law, consider the relationship between law and morals. There are two types of rules that control how people should behave in society:

1. legal rules: laws that apply to everyone and must therefore be obeyed
2. moral rules: personal standards of behaviour as to what is right or wrong.

There is a connection between legal rules and moral rules since both are concerned with upholding standards. As such, law and morals have a considerable vocabulary in common, such as 'just', 'reasonable', 'right', and 'duty'. However, the standards of law and morality are not necessarily the same. In most societies, there are also clear divergences between the two concepts, often because it would be impractical or unrealistic for law to fully to enforce the prevailing morality. Bear in mind that, under apartheid rule in South Africa, a social system that was internationally regarded as morally reprehensible was nonetheless enforced by law for more than forty years.

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Activity 1.1 continued

With this context in mind, discuss the following questions with your study partner, or group:

1. What factors influence a person's moral rules?
2. Are morals stagnant or dynamic in nature (do they stay the same over time, or do they change)?
3. Think of at least two examples of legal rules that overlap with moral rules, where what is legally enforceable is also morally wrong.
4. Think of at least two examples of moral rules that are not enforced by legal rules.
5. Think of at least two examples of immoral legal rules during apartheid.
6. Should morals be considered as a factor in legal decision-making?

Many activities in the textbook require you to work with a study partner. Your first lecture is a good time and place to make friends with students in the class. Introduce yourself and see if anyone is keen on a study partner, or group. If you and your study partner, or group, are diligent and committed to working consistently, you will conquer your studies. Note that, while you may work closely with a study partner, or group, as you work through the textbook, all formal assessments in your course must be done completely independently except where otherwise specified by your lecturer.

1.2 The role of the State

The **Constitution of the Republic of South Africa, 1996, (Constitution)** sets out and regulates the powers and functions of the State (government).

In respect of our constitutional rights, section 7(2) of the Constitution states that the State must respect, protect, promote, and fulfil the human rights in the Bill of Rights in Chapter 2 of the Constitution. Here are some of the human rights that are protected in the Bill of Rights:

- right to equality (section 9)
- right to human dignity (section 10)
- right to life (section 11)
- right to freedom and security of the person (section 12)
- right not to be subjected to slavery, servitude, or forced labour (section 13)
- right to privacy (section 14)
- right to freedom of religion, belief, and opinion (section 15)
- right to freedom of expression (section 16).

Pay careful attention to the way in which we reference the **Constitution** in full when we mention it for the first time. When you reference the Constitution, use this format.

You can look up the remaining human rights in the Bill of Rights for a full picture of all the human rights that apply in South Africa.

Section 8(1) states that the 'Bill of Rights applies to all law, and binds the legislature, the executive, the judiciary, and all organs of state'.

The State's power is divided up between three organs or arms: the legislature, the executive, and the judiciary.

The fear of absolute power lies behind the doctrine of the separation of powers. It is based on the idea that dividing power between three organs will prevent any one organ from wielding too much power and becoming oppressive. We experienced the devastating consequences of parliament having too much power during the apartheid era.

The State makes several laws, and it also aims to enforce those laws. In South Africa, each organ of government has its own unique functions:

- Parliament (also known as the legislature) is the highest elected law-making body and makes legislation (discussed further on in the chapter).
- The executive, consisting of the president and all the ministers of the various state departments, makes policies that put legislation into practice or result in new laws.
- The judiciary, consisting of the courts, is an independent organ of government, which is tasked with interpreting and applying law to cases that serve before it.

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Various other organs of government enforce the laws of the State. In other words, they give power to the law by holding people responsible when they break the law. For example, if you drive at 150 kilometres per hour in a 120 kilometre per hour zone, you can be fined for speeding in terms of traffic laws. You can be fined by the traffic police, which is payable to the traffic department. By enforcing the law in this way, the State makes sure that people obey the laws.

1.3 Legal subjects, legal objects, and the nature of rights in commerce

Let us look at what is meant by the terms 'legal subject' and 'legal object'. Thereafter, we will look at two types of rights that we will encounter in the business world.

1.3.1 Legal subjects

This refers to legal persons (or simply 'persons'). In law, there are two types of persons:

- natural persons: human beings
- juristic persons: entities to which the law gives legal rights, duties and obligations (for example, a company). Juristic persons have separate legal existence from their directors, shareholders, and members. You will learn more about juristic persons in Chapter 26 on Business Entities.

Section 8(2) of the Constitution states that the Bill of Rights binds natural and juristic persons if, and to the extent that it is applicable, considering the nature of the right and the nature of any duty imposed by a right. Section 8(4) provides that a juristic person is 'entitled to the rights in the Bill of Rights to the extent required by the nature of the rights and the nature of the juristic person'. This means that certain constitutional rights also apply to juristic persons. Now that you have had a look at the human rights in the Bill of Rights, can you think of which constitutional rights can be exercised by both a natural person and a juristic person, and which rights can only be exercised by natural persons?

Every legal person has legal personality, which is the ability to acquire legal rights, duties, and obligations. For natural persons, legal personality begins at birth (not conception) and terminates upon death. For a juristic person, legal personality begins when the juristic entity is **incorporated** and terminates when the juristic entity is deregistered as an incorporated entity.

Incorporation is the registration process through which a business becomes a corporation.

Legal **capacity** arises from one's legal personality and refers to a person's ability in law to exercise legal rights – for instance, to sue and to be sued. One person's legal capacity differs from another person based on various factors, namely, age, mental health, marriage, and insolvency. For example, you will see in Chapter 4 that a six-year-old child has different legal capacity in the law of contract from an eighteen-year-old adult. Some legal subjects, such as natural persons under the age of seven years, cannot perform legal acts and cannot litigate or argue legal proceedings in court themselves. Children over the age of seven years have limited legal capacity, which means that they can litigate only if they are assisted by their parent or legal guardian. For example, suppose that a ten-year-old child inherits a sum of money from their grandmother, but then the grandmother's brother comes along and claims that money for personal benefit. The child may need to sue that great-uncle for the return of the money. In this case, the child would be the plaintiff, but would be assisted by their legal guardian.

The word **capacity** comes from the word 'capable', meaning the ability to do something.

Let us consider the legal capacity of a juristic person. Your university is a good practical example of a juristic person. Your university has a separate legal existence from the people who are responsible for the business activities of the university. The university has its own legal rights, duties and obligations; and is responsible for the legal consequences of its actions. It can itself be the plaintiff, or defendant, in a civil claim in that it can sue, and be sued. For example, the university can sue you for outstanding student fees, or it can be sued for money that it owes to another person.

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1.3.2 Legal objects

This refers to an object that has economic value and in which a legal subject can have legal rights, duties and obligations. Here are a few examples:

- personality property: This refers to elements of a person's personality. Everyone has the right to dignity, a good name, and a good reputation.
- immaterial property: This refers to the rights that attach to immaterial property, for example, ideas leading to trade secrets and other **intellectual property rights**. This is also known as incorporeal property.
- corporeal things: This refers to tangible things with physical presence, for example, a cell phone, a book, or a car. Rights of ownership in corporeal things are real rights.
- performances: This refers to an act by a natural person in terms of which something is done, given, or not done. For example, if you paid Mabel for a textbook, then you are entitled to Mabel's performance in the form of delivery of the textbook. Rights to performance are personal rights and will be dealt with in more detail below.

The **intellectual property rights** of literary works, such as books, belong to the authors and the publisher. As a student, you may buy the book, but that does not give you permission to copy and paste chunks of information for your notes or in assessments, as that would lead to a copyright infringement.

We will encounter these legal objects throughout the textbook, so it is important for you to understand the categories.

Let us now look at personal rights and real rights in more detail.

1.3.3 Legal rights

In the context of commercial law, we will often refer to the following two types of rights:

- personal rights
- real rights.

Personal rights are rights that one person can exercise only against specific people. For example, suppose that Munyaradzi contracts to sell their textbook to Tawanda for R350 cash. The two parties acquire personal rights against each other: Munyaradzi has the personal right to claim payment from Tawanda and Tawanda has the personal right to delivery of the book from Munyaradzi after payment. This means that they can only enforce their respective rights against each other (and no one else).

By contrast, real rights can be enforced against the whole world. For example, suppose that you own your cell phone. The law will recognise your rights of ownership over the cell phone and protect it against anybody who may try to steal your cell phone. Ownership is the most important real right. Real rights can be transferred in various ways, depending on the type or nature of the right. For example, if you sell your cell phone to your neighbour, the right of ownership transfers to them when you receive their payment (if it is a cash sale).

This illustrates that personal rights are rights against persons, whereas real rights are rights in things that can be enforced against everyone.

1.4 Where does South African law come from?

South African history is expansive. Offering a comprehensive account of our history is beyond the scope of this textbook. Should you wish to learn more about our history, there are many relevant books on this subject. For a full account of South Africa's history, be sure to choose books that inclusively discuss our history before the arrival of the settlers and the impact of the settlers' arrival. We need to start by highlighting a few key events in our history, as this will give us context to the discussion on the sources of South African law.

Before the first European settlers arrived in South Africa, the indigenous people of this country had developed their own law to govern relationships in their society. This law is now called African customary law. When the Dutch settlers arrived at the Cape from 1652 onwards, they brought with them their law from the Netherlands (Holland) and disregarded the law of the people of the land. At this point, we ought to take a moment to reflect on what the arrival of the settlers meant for indigenous people of the country. Black people were enslaved and were not recognised as legal subjects. Incongruously, a company

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was recognised as a legal person, but not a Black person. As you know, we are still grappling today with the devastating effects of this dark period in our history.

The law that the settlers brought here was called Roman-Dutch law, since the law of Holland was basically Roman law, which was interpreted or adapted by Dutch law-makers. The Roman Empire, which had a highly developed legal system, had dominated much of Europe for many centuries. Roman-Dutch law was the official law of the Cape until the British took over in the early 1800s and introduced parts of their English law. The South African courts adapted the various rules and principles of these different legal systems to meet local needs and situations.

The law that has been inherited from other legal systems and that has developed over time is known as common law. Our common law comes from a combination of Roman-Dutch law and, to a limited extent, English law. From there, the common law has developed to include important court decisions and reflect the changes in the political control of the country. Murder, rape, robbery and theft are some examples of common law crimes.

In addition to the common law and customary law, we also have statutory law, which is made up of Acts of the national and provincial legislatures, and governmental regulations. In addition to these sources of law are judicial precedent, custom (trade practices), international law, foreign law, and academic writings. These sources of law are discussed in turn below. In the apartheid era, in a system called parliamentary sovereignty, the laws from parliament were considered as sacrosanct, and could seldom and under very narrow grounds, be challenged in court. In the post-apartheid era, as we will see below, the Constitution is supreme (section 2). This system ensures the protection of fundamental human rights for all. There has, therefore, been a significant shift in South Africa's law from parliamentary sovereignty to constitutional supremacy and the rule of law.

With this background in mind, let us now look at the **sources** of South African law, which will explain where law comes from. It would be impossible for anyone to know every law in a country, as there are far too many laws covering many different aspects of our lives. However, it is important that you know where and how to find a law that you may need.

Sources are where you can find (or source) laws you need to refer to. Origins, by contrast, are the historical roots of our law, which were outlined in the previous section.

Not even lawyers know every law in the country. When a lawyer is helping a client with a legal problem, they too research the relevant law before advising the client.

In summary, what are the sources of law in South Africa? The primary sources of South African law are:

- the Constitution
- legislation
- common law
- customary law
- custom (trade practices)
- judicial precedent.

The secondary sources of law are:

- international law
- foreign law
- modern writing.

When a source is **legally binding**, it means that a court must apply it in a dispute unless the court believes that it is clearly wrong.

When a source is **persuasive** in value, this means that it acts as guidelines, which a court may choose to follow or not.

Primary sources refer to original sources of law, whereas secondary sources are subsidiary or subordinate to the primary sources. However, the distinction between primary and secondary sources is not cast in stone. For our purposes, the legal significance of the distinction is in the weight that we attach to each category in a legal dispute – the primary sources of law are **legally binding** in a dispute, whereas secondary sources are generally **persuasive** in value. This means that primary sources of law carry more weight when deciding on legal matters.

Now let us look at each source of law in more detail.

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1.4.1 Primary sources of law

The Constitution

A constitution is a fundamental law that sets out the power of the state. It is the source of all authority in a state. A constitution is akin to a map or blueprint of the legal power in a country. They establish where that power is to be found, who holds it, and how it must be exercised. It is thus a foundational source of law.

In South Africa, democracy is governed by the Constitution, which came into effect on 4 February 1997.

Added value — Background to the Constitution

The 1996 Constitution was preceded by the interim Constitution (Constitution of the Republic of South Africa Act 200 of 1993), which was transitional in nature and remained in force while the 1996 Constitution was being written. It marked a sharp break with South Africa's history of racial discrimination and oppression. It came into being after protracted negotiations at the Congress for a Democratic South Africa in a multi-party negotiating process between the major political groups. The interim Constitution was not only this country's first democratic Constitution, but also the first South African Constitution to contain a Bill of Rights.

Chapter 1(2) marks the supremacy of the Constitution:

> 'This Constitution is the supreme law of the Republic; law or conduct inconsistent with it is invalid, and the obligations imposed by it must be fulfilled'.

Being in a state based on constitutional democracy must be distinguished from our previous legal system, which was based on parliamentary sovereignty, which allowed the law-making arm of government to make or unmake any laws whatsoever, regardless of whether they were just or unjust. In other words, it subordinated people's human rights to the State. Under this system, our courts had limited powers in relation to Acts of Parliament, such that judges could only strike down Acts as procedurally invalid, and not on the basis of substantive invalidity. This, in part, explains the extent of human rights violations that unfolded during the apartheid era. You may be surprised to know that South Africa had constitutions during apartheid – the Constitutions of 1910, 1961 and 1983. They were, however, not based on fundamental human rights for all.

Remember, in a social contract, rights and freedoms are not absolute. In our constitutional democracy, our **human rights** can be limited by section 36 'by a law of general application to the extent that the limitation is reasonable and justifiable' considering our constitutional values and certain factors.

Our democratic Constitution now includes a Bill of Rights in Chapter 2, which protects certain fundamental **human rights** and prevents them from being violated by the government or other people. Section 8 reinforces section 2 by stating that the Bill of Rights applies to all law and binds 'the legislature, the executive, the judiciary and all organs of state'. The effect of these provisions is that the government may not enact laws that violate the rights of the people. An Act of Parliament that purports to take away one's freedom of expression unjustifiably, could be struck down as contrary to the Bill of Rights, or unconstitutional.

How does the Constitution relate to other sources of law?

First, it refers to and recognises various other sources of law, such as the common law and customary law. For example, section 39(3) says that:

> 'The Bill of Rights does not deny the existence of any other rights or freedoms that are recognised or conferred by common law, customary law or legislation, to the extent that they are consistent with the Bill'.

Secondly, the Constitution sets out detailed rules about which organs of government may make legislation and the process they must follow in making it.

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Thirdly, the Constitution makes it clear that all the other sources of law are now measured against the provisions of the Constitution and cannot conflict with it (section 2). Section 39(2) goes even further by imposing a positive duty on the courts to promote the Bill of Rights:

> 'When interpreting any legislation, and when developing the common law or customary law, every court, tribunal, or forum must promote the spirit, purport and objects of the Bill of Rights'.

Activity 1.2

We have spent some time talking about the supremacy of the Constitution. At the beginning of the chapter, we discussed the relationship between law and morals. Let us build on that discussion by scrutinising the relationship between law and religion. Is South Africa a religious state where the State endorses and applies a particular religion in law-making?

Now consider a business owner who expressly indicates that they will not do business with persons in the LGBTQIA+ community, as it would be against their religious beliefs. Do businesses have the legal right to do this? Would your answer be different if the 'business' was a religious institution (for example, a church) that refused entry to persons in the LGBTQIA+ community? Would your answer be different if the business owner refused to do business with Black people? Debate your answers with a study group. Hint: The Constitution is the supreme law of the land.

Before we discuss legislation as a source of law, note that the Constitution is a special and supreme form of legislation, which was enacted through a different process from Acts of Parliament.

Legislation

Legislation is the most important source of law because it overrides any other source of law, except the Constitution. Legislation is written or codified law made by the law-making arm of government, the legislature. Legislation tends to be the most important and prolific source of law in modern societies because it is the quickest and most convenient way of reforming the law as society's needs evolve. For example, if the government needs extra money to fund the building of more schools, it can pass a new tax law to raise the necessary funds. To this extent, legislation has the advantage of being more flexible than other sources of law. While other sources of law, such as judicial precedent and custom, tend to develop slowly, incrementally, and unpredictably, legislation allows the government to make significant and systematic changes to the law in a very short time.

The legislature consists of two houses, the National Assembly, and the National Council of Provinces. Parliament does not have time to deal with every single detail in its statutes, so it often delegates some of its law-making authority to other state organs associated with the executive arm of government. These organs, including the president, cabinet ministers, and other officials, make delegated legislation to flesh out the Act of Parliament.

Provincial and local levels of government also have the power to create legislation, which is in the form of provincial statutes, by-laws, and regulations. Like parliament, provincial and municipal legislatures may also delegate some of their law-making power to other organs.

Added value — By-laws and regulations

By-laws are laws that are specific to a particular town or local area. For example, there may be a by-law stating that dogs may be in public parks only when being walked on a leash. Regulations provide details on certain legal rules. For example, in a drought situation when there are restrictions on the amount of water allowable per person, a regulation may set what the number of litres per day is at a particular point in time. The regulations passed during the Covid-19 pandemic are an illustration of this.

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You have seen that several different levels of government have authority to create legislation. Generally, the laws created by higher levels of government have more authority than the laws created by lower levels. For example, the national parliament passes sovereign legislation, or primary legislation. Lower legislatures generally pass subordinate (lower) legislation, but they may pass sovereign legislation on certain matters. A law-making body may have the right to give someone else the power to make a law. This is known as delegation of legislative power. When the national or provincial government gives a municipality the right to pass laws on matters concerning that municipality, it is an example of delegation of legislative power.

To **legislate** means 'to create laws and regulations'.

The power of any law-making body to **legislate** is limited to a specified area where that body has the necessary expertise and competence. The power or authority of any legislature is also limited by geographic boundaries. For example, the Gauteng provincial government cannot make laws for KwaZulu-Natal. If a legislature acts beyond its powers, we say it has acted ***ultra vires.*** When this happens, the High Court may declare that law invalid.

Ultra vires means 'beyond the powers', meaning that the legislature does not have the power to pass the law in question.

Since South Africa is a democracy, citizens have a say in electing the people who will represent them in the various legislatures. These elected members should pass laws that have a positive effect on the lives of the people they represent. The legislature must follow the proper law-making procedures, otherwise its legislation will not be legally binding. For example, at least 50% of the people in the legislature must vote in favour of a new law before it can be passed. After that, the full text of the new legislation must appear in a public document to tell the people of the country about the new law. The most important public document for new legislation is the ***Government Gazette***. For example, if a majority in parliament decides that South Africans should drive on the right-hand side of the road, instead of on the left, this change to the law must be published in the *Government Gazette* before it becomes legally binding. When new Acts (or amendments to existing Acts) have appeared in the *Government Gazette*, commercial publishers republish them in statute books. The statutes in these books are constantly updated to include the latest changes. Government and various legal publishers have set up websites to give you easy access to legislation.

The ***Government Gazette*** is the official newspaper in which the government publishes important information, such as new laws.

The interpretation of statutes is dealt with in Chapter 3.

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Added value — How to reference and refer to legislation

From time to time, you will be required to refer to legislation. Accuracy and consistency are key. When you refer to legislation for the first time, always include the full name and citation, for instance, Consumer Protection Act 68 of 2008.

When you refer to the same piece of legislation in the same assessment again, there is no need to add the citation. You can either add the full name (Consumer Protection Act), or the commonly used acronym (CPA). In both instances, when you first cite the legislation, you must inform the reader that you will be referring to the legislation in one of these two ways.

To illustrate:

Option 1: 'We will be discussing the Consumer Protection Act 68 of 2008 (Consumer Protection Act) in Chapter 17'.

Option 2: 'We will be discussing the Consumer Protection Act 68 of 2008 (CPA) in Chapter 17'.

Thereafter, you can refer to the Act in whichever abbreviated form you choose, provided you are consistent in how you refer to the Act. For example, do not use CPA in some paragraphs and then Consumer Protection Act in other paragraphs.

We refer to the provisions or clauses of an Act as sections, and we refer to the section numbers. When you start a sentence with a section number, use a capital 'S' and write 'section' in full (never start any sentence with a small letter). To illustrate: 'Section 5 of the CPA deals with the application of the Act'.

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Added value (continued) How to reference and refer to legislation

When you refer to a section number in the middle of a sentence, you can either use a small 's' or write section in full. To illustrate:
Option 1: 'When we consider the application of the CPA, we must consider section 5 of the Act'.
Option 2: 'When we consider the application of the CPA, we must consider s 5 of the Act'.

Consistent referencing is again important; do not use 'section' in some sentences and 's' in other sentences.

Sub-sections are referenced as follows: 'In terms of section 5(2)(g) of the CPA …' Note that there are no spaces between the provision numbers and brackets.

These referencing methods are illustrated throughout the book – pay attention to these details as you proceed.

Common law

The common law is a set of rules and principles, often very ancient ones that have not been written down in legislation. As these principles are not written down, they are not as easy to find or ascertain as other sources of law. As mentioned in the introduction to this section, common law principles come from **Roman-Dutch** law and English law, and were brought to South Africa by the settlers. When the settlers arrived, they applied the law from whence they came and disregarded the law of the land (African customary law, which is discussed below). The phrase 'common law' in the South African context is sometimes used narrowly to refer specifically to these old Roman-Dutch authorities.

The old **Roman-Dutch** authorities were men such as Hugo de Groot, Simon van Leeuwen, Johannes Voet and Johannes van der Linden.

In this course, however, the phrase is generally used in a wider sense to mean all the old, long-established principles that have gained the force of law, and which have been applied, interpreted, developed and reformulated by the courts in the precedents they set in cases. In this sense, the common law encompasses judicial precedent to a considerable extent. It is difficult or impossible to disentangle the two. However, it obviously excludes all legislation and the Constitution.

Added value Impact of the Constitution on the common law

The common law is extensive and firmly entrenched in our legal system. For example, murder and theft are common-law crimes. It exists not because a statute says so, but because these are extremely well-established principles of our common law. A court would never ignore the common-law definition of murder and would develop it only with the greatest care.

The common law must be developed in line with the Constitution (see section 8(3), sections 39(2)–(3) and section 173). The common law had always defined a marriage as involving a man and a woman. This meant that nobody could marry a person of the same sex. However, the Constitution states that everyone is equal in the eyes of the law and the State may not unfairly discriminate against anyone because of their sexual orientation (section 9). In 2005, the Constitutional Court (CC) in *Fourie and Another v Minister of Home Affairs and Another* 2003 (5) SA 301 (CC) decided that our marriage law was unconstitutional because it unfairly discriminated against gay people, based on sexual orientation, who wanted to marry their partners. The consequence of this decision was that, from then on, both gay and heterosexual couples could marry.

As another example, in *National Coalition for Gay and Lesbian Equality and Another v Minister of Justice and Others* 1999 (1) SA 6 (CC), the CC found that the common law crime of sodomy, which was aimed at prohibiting sexual intimacy between gay men, violates the right

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Added value (continued) Impact of the Constitution on the common law

to equality in that the common law unfairly discriminated against gay men based on sexual orientation. Gay people are a vulnerable minority group in our society, and this intrusion into the innermost sphere of human life also violated their constitutional rights to dignity and privacy. The consequence of this decision is that consensual gay sex is now legal.

There are many other such instances of the courts developing the common law.

For study purposes, academic textbooks, such as this one, are a convenient place to start when you want to find out what the common law (or customary law) on a particular subject states.

Customary law

Many groups of people follow particular rules and practices that are customary in their culture. Customary law is oral tradition and is not written down (similar to the common law). For this reason, it is sometimes difficult to look up or establish exactly what a customary law states. Customary law develops from the belief systems of a community and is carried down from generation to generation. Similar to the common law (and custom, which is discussed below), customary law refers to long-standing practices that have gained the force of law by being consistently applied over time. Like some common law rules, some customary laws have been codified in the form of legislation, such as the Recognition of Customary Marriages Act 120 of 1998 (Recognition of Customary Marriages Act) and the Reform of Customary Law of Succession and Regulation of Related Matters Act 11 of 2009 (discussed further in Chapter 22 on the law of succession). This created two types of customary law – living customary law and official customary law. Living customary law is unwritten and changes over time to meet the changing needs of the society. This form of customary law is not easy to ascertain, as it is not written down and changes with time. Official customary law is codified, and can be found in legislation and judicial precedents. This form of customary law is easy to ascertain, however, it can be argued that it is not current, as it does not change or evolve the way living customary law does.

Traditionally, customary law is referred to African customary law or indigenous law. This is the law of the people of the land. The arrival of the settlers meant that African customary law was displaced, disregarded and replaced by the law from where the settlers came (common law). It is because of our history that African customary law did not get the recognition that it deserved and was classified as a secondary source of law. Politically speaking, this subsidiary status is in line with the disrespectful attitude of the colonial authorities towards customary law, both under Dutch and English rule.

There have since been three important legal developments over time. First, customary law, as a term of reference, is now inclusive of customary laws from other cultures and belief systems, such as Islamic law. Second, customary law is recognised as a primary source of law. Third, like with other sources of law, customary law is subject to the Constitution and is valid only as far as it is consistent with the Bill of Rights (see section 39(3) of the Constitution). In other words, a customary law principle is invalid if it denies a person any of the rights stated in the Bill of Rights.

The approach of our courts is to resolve any tension or conflict between customary law and constitutional principles.

An example of an African customary law that is constitutional and widely practiced is the payment of lobola (bride price), which the groom pays to the family of the bride as a gift of appreciation. It is traditionally regarded as an essential requirement for a valid African customary marriage.

Chiefs are recognised in our constitutional democracy. They are traditionally regarded as the executive and judicial authority in African communities. African customary law is applied by traditional courts (Chiefs' and Headmen's Courts) daily.

As a rule, **chiefs** are persons appointed according to the principle of heredity, which means that they come from a royal lineage and are born future chiefs. Following the *Bhe and Others v Khayelitsha Magistrate and Others* 2005 (1) SA 580 (CC) case, the appointment of chiefs is no longer limited to males.

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An example of an African customary law that is unconstitutional is primogeniture, which gave male heirs the right to inherit property, but denied female heirs this same right. In the *Bhe and Others v Khayelitsha Magistrate and Others* case, the CC held that this rule was unconstitutional because it violated women's rights to equality, dignity, and property. For this reason, primogeniture is no longer recognised as part of African customary law. This case is discussed in more detail in Chapter 22 on the law of succession.

Unlike the common law, customary law does not apply to everyone. It applies only to those who choose to live by customary law, and who indicate expressly or tacitly that they choose to be bound by it. However, considering section 211(3) of the Constitution, which requires the courts to apply customary law where it is applicable, customary law may apply even when parties do not choose to subject themselves to it.

As with the common law, a good place to start when you are looking for the rules of customary law is in textbooks and court decisions.

Activity 1.3

Look up the dowry system in India. If a case challenging the constitutionality of the dowry system in South Africa arose, what do you think the approach of the CC would be? Debate your answer with a study partner.

Customs

This is also known as trade practices. Similar to the common law and customary law, customs are generally not written down. In everyday language, we tend to use custom to refer to customary law. Strictly speaking, in law, these are two distinct terms and sources of law. Custom must be distinguished from customary law. Custom is a source of law based on a trade practice or usage that is long-established, reasonable, uniformly observed in a community or sector (and does not derive from traditional belief systems and cultures the way customary law does).

Customs are any methods or dealings that have been done in a clear, particular way for a sufficient period of time to become law.

Van Breda and Others v Jacobs and Others 1921 AD 330

Principle

A trade practice, or custom, is recognised as a primary source of law if it satisfies certain requirements.

Facts

A dispute arose among fishermen about a practice that prevented fishermen in the region between Cape Point and Fish Hoek from casting their fish nets in front of another fisherman who located a school of fish first, as that would mean that the first fisherman would catch less fish, which would impact their income. The court was tasked with deciding whether this practice should be recognised as a law.

The court's finding

The court found that the practice was legally binding as a trade practice, or custom, as a source of law, as it satisfied the following requirements:

- The practice must be a long-standing one.
- It must be uniformly observed by the community in which it applies.
- It must be reasonable.
- It must be certain.

All requirements must be satisfied for a practice to be recognised as a custom.

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Once a custom has been proven, it is regarded as established and does not have to be re-proven in another dispute. In modern day, customs are widely used in the world of trade. For example, it is a widely accepted and commonly applied practice that banks charge interest for certain types of banking activities, such as a mortgage bond or overdraft facility.

Like with other sources of law, customs are subject to the Constitution. This means that any custom that violates the Constitution will be invalid and unenforceable.

Judicial precedent

In simple terms, judicial **precedent** refers to certain previous court decisions that legally bind courts in future cases. Previous decisions are used as a guide for the courts to follow in future cases – *but only where the facts are similar (and not necessarily identical)*. We use the **Latin** maxim ***stare decisis et non quieta movere*** to describe this principle.

A **precedent** is an example that others must follow.

You will find that many legal concepts still have **Latin** names today because they originally come from Roman law.

Stare decisis et non quieta movere means 'stand by the decisions and do not disturb settled law'.

The role of the courts is to interpret and apply a law to decide whether a person has obeyed it. Generally, matters come to court when two parties disagree (or are in dispute), when a party needs assistance from the court, or when a person is accused of committing a crime. When confronted with a legal problem, we must ask how the courts dealt with the similar problem when it came up before. When one court has resolved a particular problem in a particular way, a court hearing a similar problem later will usually deal with it in the same way. This principle makes it possible to predict the future decisions of cases. This lends a degree of certainty to the law and enhances equality before the law. Treating like cases alike helps to give people confidence in the law and allows them to plan their lives with some degree of certainty. The doctrine of *stare decisis* also saves time and money. If similar cases did not have to be treated alike, every single dispute would have to go to court to be decided afresh.

An *obiter dictum* is the opinion of the court. As it does not create judicial precedent, it is not legally binding and is merely of persuasive value.

It is not always easy to find the relevant precedent. Firstly, you need to know which courts' decisions are binding on other courts, as not all courts create judicial precedent. This means you have to understand the South African court structure, which we discuss later in this chapter. Secondly, you need to know which parts of such decisions must be followed. For this, you need to understand the structure of individual judgments. The part of a **judgment** that binds future court decisions is called the *ratio decidendi* (the reason or rationale for a court's decision). We can describe the *ratio decidendi* as the legal principle that comes out of the court's decision. When a lawyer has found an earlier case that helps a client's case, the lawyer can use the earlier case (the judicial precedent) to support the client's arguments in the court.

This is the kind of **judgment** that a court hands down.

Once we have discussed the sources of law, we will come back to the discussion on judicial precedent when we discuss the hierarchy of the courts in South Africa. At the end of that section, you will have a clearer understanding on how the rules on judicial precedent work.

Added value Understanding case law citations

Depending on your level of study, your lecturers may require you to read the full judgments of cases. Let us look at the typical case law citations.

- Case law citations help us to find the case.
- The case name starts with the names of the litigants. Always italicise case names, when typing them. For example, when handwriting a case name, in your notes or assessment, underline the case name.
- Civil case law: In a civil case, the parties who are litigations are usually the plaintiff (the party bringing the legal action) and the defendant (the party defending the legal action). For example, in *Van Dyk* ***v*** *South African Railways and Harbours* 1956 (4) SA 410 (W), Van Dyk was the plaintiff, and South African Railways and Harbours was the defendant.

The '**v**' stands for versus, which is Latin for 'against'.

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Added value (continued) Understanding case law citations

- Criminal case law: Criminal cases begin with 'S v (Accused's name)'. For example, *S v Henckert* 1981 (3) SA 445 (A). The letter 'S' is an abbreviation for 'the **State**', who **prosecutes** a person accused of a crime on behalf of the victim and society.
- Next comes the year of the case. The year may be in brackets, depending on the referencing format for a specific publication series.
- Then, sometimes in brackets, you will see the volume number of the law reports where the case appears.
- The next abbreviation (SA or All SA) tells you which series of law reports to look in. 'SA' means the *South African Law Reports* published by Juta; 'All SA' refers to the *All South African Law Reports* by Butterworths. You may come across various other publication series.
- This is followed by the page number where you can find the case in the published law reports.
- Finally, there is an abbreviation in brackets that tells you which superior court gave the judgment. For example, (CC) means the Constitutional Court, (C) is the Cape High Court, (N) is the KwaZulu-Natal High Court, (A) is the old **Appellate Division**, and (SCA) refers to the Supreme Court of Appeal. There are many other court references that you will come across.
- Go back to the two case citations referenced above:
  - *Van Dyk v South African Railways and Harbours* 1956 (4) SA 410 (W)
  - *S v Henckert* 1981 (3) SA 445 (A).

Read the citations again to see if you understand them more clearly now. Next, see if you can you work out what the following two case citations mean:

- *Fourie and Another v Minister of Home Affairs and Another* 2003 (5) SA 301 (CC)
- *Dickens v Daley* 1956 (2) SA 11 (N).

Note that for study and assessment purposes, you cannot copy and paste the case law summaries from this textbook. You will be required to draft your own case summaries so that you do not fall foul of your institution's plagiarism or student academic misconduct policy. Now is a good time to look up your institution's policy on plagiarism or student academic misconduct.

Remember, in a social contract, the **State** is tasked with enforcing law by prosecuting alleged wrongdoers on behalf of the victim and society.

To **prosecute** someone means to charge that person with a crime and to put them on trial so that a judge or magistrate can decide whether they are guilty of that crime.

The **Appellate Division** is the predecessor of the SCA. It was established in 1910 and was the highest court in the country pre-democracy.

1.4.2 Secondary sources of law

Public international law

Note that public **international law** can be a primary source of law in some instances, and a secondary source of law in other instances. We will clarify this below with reference to the relevant constitutional provisions.

Public international law is the law that primarily applies between countries. It covers matters of inter-state concern, such as the boundaries between states, the law of the sea, global environmental issues, humanitarian law, international trade law, and refugee law. Public international law comprises:

- international treaties and conventions, which are formal agreements between states concluded by the representatives of states

International law also covers private international law, which falls under the law of conflict and is beyond the scope of this textbook.

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- customary international law, which are rules that developed according to state practice accepted as law (this differs to what we traditionally understand as customary law)
- general principles of international law.

International treaties can be bilateral (between two states only), multilateral (between more than two states) or plurilateral (more than three, but not many). There are four stages in the making of a treaty:

1. signing at the international level to stipulate the final version of the treaty text.
2. agreeing with the final text at domestic level in line with the relevant domestic constitutional requirements, which differs from state to state.
3. ratification of the treaty at international level (at this stage, the treaty becomes binding on states).
4. domestication of that treaty if it is required by the international treaty or if the state wishes it to be domestic law.

Different states have different rules on how a signed treaty must be approved domestically before the state representative can ratify it at international level to make the treaty binding. In South Africa, these rules are set out in section 231 of the Constitution. The president, together with members of the cabinet (the executive), are responsible for signing international agreements (stage 1). Parliament is involved at stage 2, by approving the treaty by resolution in both the National Assembly and the National Council of Provinces. The responsibility for ratifying the treaty and binding South Africa at international level (stage 3) again lies with the president and members of the cabinet. The conclusion of stage 3 gives rise to international legal obligations. For the treaty to become law in South Africa and bind all citizens, the treaty must be incorporated or domesticated by an Act of Parliament (unless it constitutes a so-called self-executing treaty). If stage 4 did not take place, the treaty is binding at international level, but does not constitute South African law that one can directly rely on in court. An example of this would be to justify acting inconsistently with a specific rule, or to demand a specific behaviour.

Now let us look at the classification and weight attached to international law. Since the passing of the Constitution, public international law has increased in significance as a secondary source of law:

- Section 39(1)(b) provides that any court, tribunal, or forum *must* consider international law when interpreting the Bill of Rights. International human rights law – as contained in the International Covenant on Civil and Political Rights and the International Covenant of Social, Economic and Cultural Rights – would be particularly relevant here. This means that, while a court, tribunal or forum might not end up using international law, they must at least demonstrate that they have considered relevant rules of public international law when interpreting the Bill of Rights. If a court, tribunal, or forum decides to use international law for interpreting the Bill of Rights, international law would be persuasive in nature, as a secondary source of law.
- An international customary law rule that is consistent with the Constitution is directly applicable and is thus a primary source of law in the Republic.
- In respect of any other legislation (not the Bill of Rights), section 233 stipulates that when interpreting any legislation, every court must prefer a reasonable interpretation of the legislation that is consistent with public international law over any available alternative interpretation that is inconsistent with public international law. In this instance, international law is again persuasive in nature, as a secondary source of law.
- Section 231(4) states that international agreements become law in South Africa when they are enacted into law by national legislation. In this instance, the national legislation enacting international law is a primary source of law and will then be legally binding in a dispute.

We discuss international law again, as a branch of law, in Chapter 2.

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Foreign law

Foreign law refers to the law of other countries. This source of law is not legally binding in South Africa, and our courts do not have to follow precedents set by foreign courts. However, our courts often do consider the reasoning of judges in other countries as being persuasive in value and sometimes find foreign legislation useful when developing national law.

Section 39(1)(c) states that a court, tribunal, or forum *may* consider foreign law when interpreting the Bill of Rights. This means that considering foreign law is elective (not compulsory) when interpreting the Bill of Rights.

As long as the foreign law does not conflict with the Constitution, legislation or judicial precedent, there is nothing to stop a judge from following a judicial precedent set by a court in another country. In this way, foreign law works its way into our law.

An example of the persuasive value of foreign law can be seen in media law. Hate speech cases involve a fine balance of rights and interests, in particular, the right to freedom of expression and the right to dignity in a young democracy with a diverse society. As Canada has a similar diverse society that protects the dignity of the people, courts in South Africa often refer to Canadian hate speech cases in legal disputes. Also, English law has had a great influence on the development of company law in South Africa. In more recent years, Canadian law has also been influential in the development of company law in the country.

Another illustration of when the courts will apply foreign law to a case before them is when the parties are foreign and private international law requires foreign law to be applied to solve a problem. For example, if German nationals who married each other in Germany get divorced in South Africa, the court will divide up their property in accordance with German law. Section 1 of the Law of Evidence Amendment Act 45 of 1988 allows a court to take judicial notice of the law of a foreign state 'in so far as such law can be ascertained readily and with sufficient certainty'.

You may find it interesting to know that the interim and final Constitution were greatly influenced by the Constitutions of Canada, Germany, and India. In this way, our law reflects the nature of the global village we live in today.

Modern writings

This is also known as academic writings and refers to publications, such as academic books and accredited journal articles by academics and lawyers. They are a convenient place to find out what the law says, but are not themselves law because the authors do not create law. Hence, strictly speaking, **modern writings** are not sources of law at all.

Modern writings must be distinguished from the writings of old authorities under common law. The common law is a binding source of law, whereas modern writings are not a legally binding source.

However, the approach to modern writings has changed in recent times (approximately over the last 50 years), as they are increasingly being relied upon by legal practitioners and judges. The reason for this is that the authors critically evaluate the sources of law and often propose ways in which the law can develop. Therefore, they are now treated as a secondary source of law. As such, modern writings are not regarded as legally binding on anyone and are only of persuasive value (weight). The persuasiveness of a particular writing, such as academic books and accredited journal articles, depends essentially on its quality and the cogency of its arguments, but it is also influenced by the seniority and reputation of the author. For instance, a substantial and scholarly book written by a famous professor of law, someone who is known for their work in the relevant field, would tend to carry more weight than a brief case note written by a junior lecturer on the same subject.

Writings of well-respected academics in textbooks are also considered to be secondary sources of law. Textbooks tend to reflect the current law, as received from the other sources of law. On difficult legal issues, the courts may accept an opinion of a respected writer as the correct approach to take. In practice, lawyers often use textbooks as their source of reference during preliminary legal research.

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Consider this textbook, for example. It provides a convenient consolidation of the basic legal principles of commercial law. While we refer to and summarise various sources of law in the book, this book itself is not a primary source of law. When determining the relevance of a writing, always consider the date. For example, the fourth edition of this book contains the most recent law as at the date of publication, whereas the second and third editions are now outdated.

Case study Applying sources of law to a dispute

Gena, an American citizen, met and fell in love with Thabo, a Capetonian, while visiting South Africa in 2020. They married in South Africa in 2022 and decided to live in Cape Town to be near Thabo's family. Two years into their marriage, Gena gave birth to their son, Teddy. Gena had always promised Teddy that one day they would take Teddy to the United States of America (US) to meet their side of the family. Gena and Thabo were married for eight years when Gena had an affair with an American soldier they met on Facebook. Gena decided to return to their home country, as they felt extremely unhappy and homesick. In terms of the divorce order, both Thabo and Gena share full parental responsibilities and rights in respect of Teddy, but the order indicated that Teddy was to stay with Thabo after the divorce. Gena was very upset with the court's decision and decided to take Teddy back to the US without Thabo's knowledge or consent. A few months after the divorce, on a weekend which Teddy was due to spend with Gena, they arranged to fly back to the US with Teddy. Thabo could hardly believe it when Gena simply informed them that Teddy would be staying in the US and that Thabo could visit Teddy 'sometime in the near future'.

Thabo knows that you are studying a law course and approaches you, as a friend, for advice. Thabo wants to know what the law says about this situation. You find the following sources of law in your research. Explain the weight (for example, legally binding, persuasive, or not binding and not persuasive) of each source of law to Thabo.

a) The Children's Act 38 of 2005, which expressly adopts the Hague Convention on International Child Abduction in section 275 of the Act, which parliament has ratified (approved):

   Since the Children's Act 38 of 2005 is domestic legislation following the ratification of international law (Hague Convention on International Child Abduction), we treat this as a primary sources of law, which will be legally binding when applying it to resolve Thabo's dispute.

b) A judgment from the US Supreme Court, *Berry v Moolman*, in which the court found that it is in the best interest of the child to remain in the custody of the mother after a divorce:

   Berry v Moolman is a foreign case law (from the US), which is a secondary source of law. Hence, it will have persuasive value when applying it to Thabo's dispute. Section 39(1)(c) of Constitution guides us in our determination that foreign law has persuasive value.

c) A newspaper article in which a father outlines their experiences regarding the harmful effects of parental child abduction:

   A newspaper article is neither a primary source nor a secondary source of law. Hence, it is neither binding nor persuasive (not relevant) in Thabo's dispute.

d) A customary law principle which states that the child born of a marriage forms a part of the father's family and the mother, therefore, has limited rights over the child:

   Customary law is a primary source of law, however, its weight and application in a dispute are subject to certain conditions (people belonging to certain groups, living according to these principles and willing to have it apply to them). The source will be legally binding to a dispute unless it conflicts with the Constitution. In this question, the customary law seems to be patriarchal, outdated and unfairly discriminatory based on gender. Hence, it is unlikely to meet the requirements and is, therefore, not legally binding in Thabo's dispute.

e) A book written by Professor Sheldon Cooper in 2015 titled *Custody Battles Across Continents*:

   This is a recent modern writing by a senior academic. It is of persuasive value as a secondary source of law.

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1.5 The judicial system

Section 165 of the Constitution affirms the authority and independence of the judiciary. The judiciary is subject only to the Constitution, and the law and must act 'impartially and without fear, favour or prejudice'.

Section 166 of the Constitution establishes the courts in the hierarchy. This hierarchy implies that not every court's decision will be legally binding on other courts:

- Only the decisions of the superior courts legally bind courts lower down in the hierarchy.
- Earlier decisions of courts of equal standing legally bind later courts.
- Decisions of courts lower down in the hierarchy do not legally bind courts that are higher up.

Let us discuss the meaning of jurisdiction before we proceed. If a court has jurisdiction in a certain subject area or geographical region, it means that it has authority to adjudicate, or rule, in those cases. Jurisdiction also refers to the limits of the orders, or decisions, that the court can make, such as the maximum fines or prison terms that it can impose. The jurisdiction of a court determines its place in the legal hierarchy. To understand how judicial precedent operates as a source of law, you must know the jurisdiction of the various courts and where each type of court fits into the court hierarchy.

Figure 1.1 illustrates the hierarchy of the main courts in South Africa.

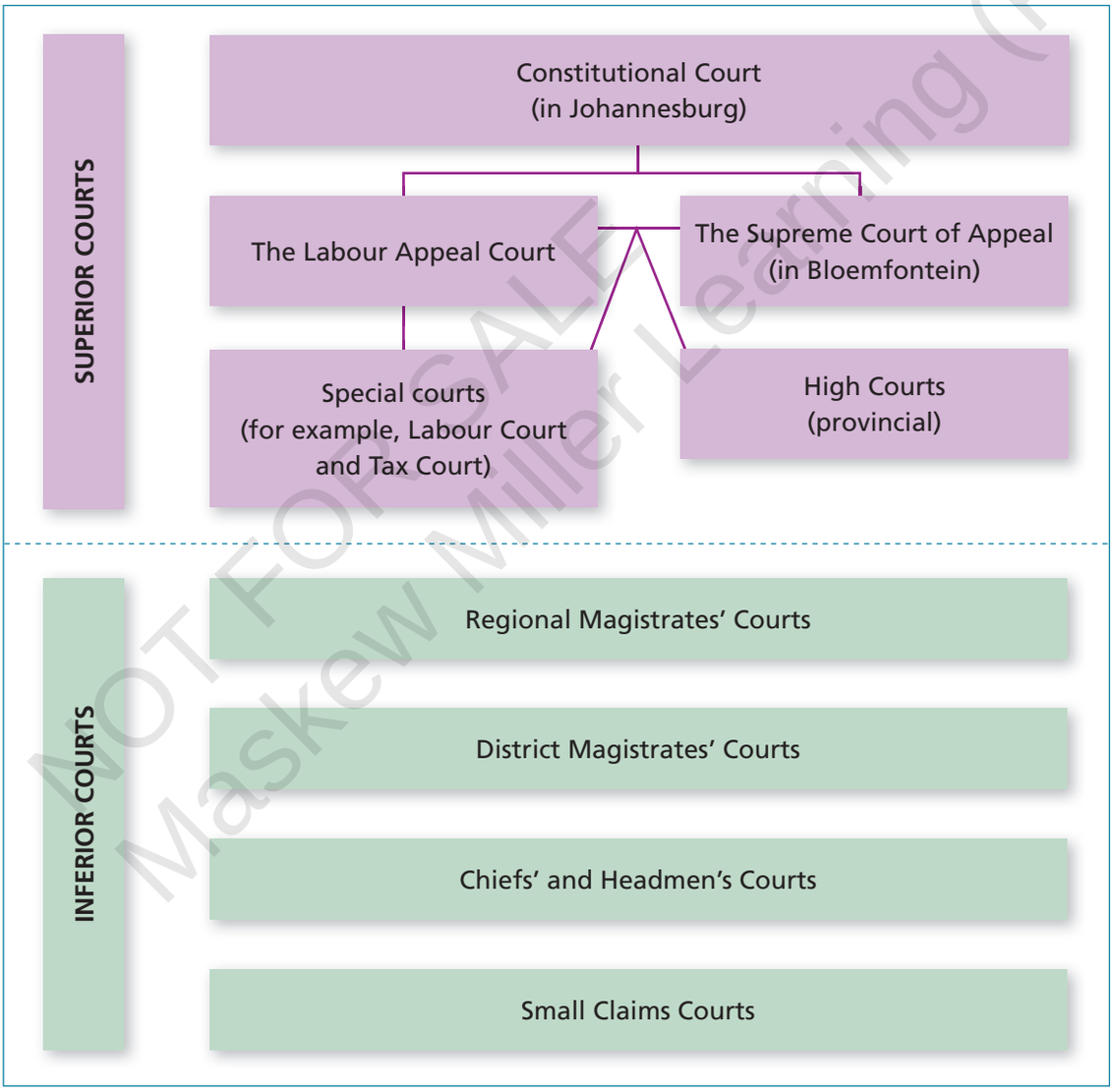


Figure 1.1 The South African court system

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We will start at the bottom of the hierarchy and work our way up, but first you need to make sure that you understand the key differences between civil cases and criminal cases.

1.5.1 Civil cases and criminal cases

Table 1.1 illustrates the key differences between civil cases and criminal cases.

Table 1.1 Differences between civil cases and criminal cases

Distinguishing features	Civil cases	Criminal cases
Background and examples	This is known as a civil wrongdoing, and usually arises when one party (defendant) negligently and unlawfully causes damage, loss or harm to another person. The plaintiff will bring a case against the defendant to resolve the dispute. This is a private law matter, as this is a personal matter between the parties (the State is only indirectly involved). For example, A reverses into B's yard and knocks over B's water fountain, or C's golf ball breaks D's car window.	This is known as a crime or criminal offence and arises when a person intentionally and unlawfully breaks a law. A crime threatens the safety of the state, including its legal subjects. This is a public law matter, as the State is directly involved. For example, P rapes Q, or R steals from S.
Dominant parties	Usually, the plaintiff institutes the legal action against the defendant (natural and/or juristic persons). The person who appeals a court's finding is called the appellant and the person against whom they bring the appeal is called the respondent.	The State is the dominant party and prosecutes the accused person. If the accused person is found guilty, they can lodge an appeal against the court's finding of guilt.
Procedure	Civil cases are regulated by the law on civil procedure and the law of evidence, and begins when the plaintiff causes a court-issued summons to be served on the defendant.	Criminal cases are regulated by the law on criminal procedure and the law of evidence, and usually begins when a victim lays a charge at the police station.
Standard of proof	The plaintiff must prove that the defendant is liable on a balance of probabilities.	The prosecutor must prove that an accused person is guilty of the crime beyond a reasonable doubt. An accused person is presumed innocent until proven guilty by a court of law.
Case name examples	*Van Dyk v South African Railways and Harbours* 1956 (4) SA 410 (W). (On appeal, the parties' names in the citation will swap around.)	*S v Henckert* 1981 (3) SA 445 (A) (On appeal, the parties' names in the citation do not swap around and will remain as is).
Findings	In a typical civil dispute, the court will make a finding in favour of either the plaintiff or defendant.	The court will find that the accused person is either guilty or not guilty of the crime.
Sanctions	Usually, the plaintiff seeks compensation (damages) from the defendant. (Other outcomes can include interdicts and cost orders.)	The State aims to punish the guilty person (criminal) in the form of a prison sentence, fine, community service, and/or a suspended sentence.

We will discuss civil cases in more detail in Chapter 2.

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Case study — No cell phones while driving

It is possible for one set of facts to give rise to both a civil case and a criminal case. Consider the scenario where Martin is driving whilst on their cell phone, loses concentration and knocks into Muriel's car at an intersection. Muriel sustains a neck injury, a fractured arm, and bruises. As a result, Muriel is away from work for three weeks and is unable to earn an income during this period. Muriel also incurs medical costs.

Muriel can lay a charge against Martin at the police station. The State will then prosecute Martin for intentionally and unlawfully breaking road traffic laws that prohibits operating a vehicle whilst on a cell phone. This will be a criminal case in the public law branch of criminal law.

Muriel can also institute civil action against Martin for compensation for the damage and harm sustained as a result of Martin's negligent and unlawful actions. This will be a civil case in the private law branch of **delict**.

1.5.2 Inferior courts

Inferior courts, which are also called lower courts, include the Small Claims Courts, Chiefs' or Headmen's Courts, and Magistrates' Courts (at district and regional level). Remember these four points about inferior courts:

- Inferior courts handle less serious cases compared to the superior courts.
- Their geographical area of jurisdiction is smaller than for superior courts.
- Inferior courts decisions are not reported, and they do not create judicial precedent.
- They have to follow the decisions of superior courts.

Let us look at the different types of inferior courts in turn.

A **delict** is a civil wrongdoing in private law wherein one party can be held liable for compensation for negligently and unlawfully causing loss, damage, or harm, to another person.

Small Claims Courts

Small Claims Courts are at the bottom of the hierarchy of the courts. A **Commissioner** of the Small Claims Court decides on the outcome, which is final and binding on the parties. This means that there are no appeals from decisions of the Small Claims Court.

These courts offer a quick and easier way of resolving certain civil disputes that involve **claims** up to R20 000. The procedure is informal, and lawyers may not appear in the Small Claims Court. The Commissioner asks each party questions to establish the facts of a case. All official languages may be used in a Small Claims Court. For these reasons, Small Claims Courts make justice more accessible to litigants.

These **Commissioners** are legal professionals (attorneys and advocates) who volunteer their services free of charge.

A **claim** is a demand for payment to compensate someone for financial loss suffered due to another person's negligent wrongful actions (civil wrongs).

Added value — Claim limit in the Small Claims Court

R20 000 is the current claim limit, as at the time of the publication of the textbook. Always look up whether the amount is still the same or has changed. The same applies to all jurisdictional limits discussed below.

The following matters do not fall within the jurisdiction of the Small Claims Court:

- criminal matters
- divorce cases
- the validity or interpretation of a will
- the mental health status of a person
- defamation cases
- claims for malicious prosecution
- claims for wrongful imprisonment and wrongful arrest.

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Natural persons can sue, and be sued, in the Small Claims Court. Juristic persons can be sued, but cannot sue in the Small Claims Court. The reason for this difference is that individuals are in a more vulnerable legal position than juristic persons and therefore need a legal forum that is readily accessible in terms of cost and speed. Juristic persons are often more well-resourced and ought to make use of the ordinary civil courts. A claim against the State may not be instituted in the Small Claims Court.

A word of advice for anyone who intends to institute a claim in the Small Claims Court – always ensure that the other party has the financial means to compensate you should the court's judgment be in your favour. It is fruitless to institute a claim against another person who is unemployed or who possesses no assets.

You will find the following link useful as it explains the practical steps of instituting a claim in the Small Claims Court: **www.justice.gov.za/scc/scc.htm**

Case study Clay-potted bonsai trees

Suppose that Chi Le's neighbour's dog knocked over Chi Le's expensive collection of clay-potted bonsai trees, breaking all the pots and destroying all the bonsai trees. The total cost of the damage is R6 500. Consulting an attorney to litigate in the Magistrates' Court will likely cost Chi Le a lot more than R6 500. It may turn out that Chi Le ends up paying R10 000 in legal costs only to claim R6 500 from the neighbour, Pete. You will agree that there is little sense and justice in this. This is where the Small Claims Court is of value. As Chi Le is a natural person, they can institute their claim against Pete in the Small Claims Court for the damages.

Suppose that Chi Le wants to litigate against Voda-Call for incorrect billing that Voda-Call refuses to acknowledge responsibility for. The amount is R2 500. Again, as a natural person, Chi Le can sue Voda-Call in the Small Claims Court. However, if Voda-Call claims that Chi Le owes them R2 500, Voda-Call cannot make use of the Small Claims Court, as they are a juristic person.

Chiefs' and Headmen's Courts

These courts deal with customary law cases, which are heard by a chief or headman. Like the Small Claims Court, the procedure is informal and there are no lawyers to represent the litigants. Chiefs' and Headmen's Courts have criminal and civil jurisdiction that is limited to disputes based in African customary law between people who live in the jurisdictional (geographical) area of the court. Litigants who are not satisfied with the decision in a Chiefs' or Headmen's Court can take their matter to the Magistrates' Court for it to reconsider the matter.

Magistrates' Courts

There are two levels of Magistrates' Courts:

- District Magistrates' Courts
- Regional Magistrates' Courts (a region is larger than a district).

The jurisdiction of the Magistrates' Court is limited in terms of:

- geographical area (district or region)
- the type of case
- the maximum sentence or value of the claim sought.

Here are examples of civil cases that the Magistrates' Courts can hear:

- delivery or transfer of any movable or immovable property
- eviction orders
- mortgage bond disputes
- credit agreement disputes
- general civil matters, such as claims for damages.

Let us take a closer look at these distinctions and limitations.

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District Magistrates' Courts have jurisdiction over local areas, called magisterial districts. These courts hear civil, as well as criminal cases, subject to certain limitations.

- Civil cases:
  - They cannot hear civil cases of divorce, a person's mental health status, or the validity or interpretation of a will.
  - They can hear civil claims of amounts up to R200 000.
- Criminal cases:
  - They hear less serious criminal cases. Hence, they cannot hear cases involving murder, rape or treason.
  - They can impose a maximum term of three years' imprisonment for common law crimes.
  - They can impose a maximum fine of R120 000.
  - A statute can provide for a maximum term of imprisonment of more than three years.

Regional Magistrates' Courts are the highest in the hierarchy of the inferior courts. These courts hear civil and criminal cases within their region.

- Civil cases:
  - They can, along with High Courts, hear divorce cases, cases on the nullity of marriages and civil unions, and matters arising from the Recognition of Customary Marriages Act.
  - They can hear civil matters for claims above R200 000, and claims up to and including R400 000.
- Criminal cases:
  - They have jurisdiction over serious cases, such as murder, rape, armed robbery and serious assault, except **treason**.
  - They can sentence convicted persons to a maximum sentence of life imprisonment, or a fine per crime.
  - They can impose a maximum fine of R600 000, and a maximum prison sentence of fifteen years for common law offences.
  - A statute can provide for a maximum term of imprisonment of more than fifteen years for specific offences. For example, the maximum prison sentence for dealing in drugs is 25 years.

Treason is the crime of betraying your country by trying to overthrow the government.

Decisions of Magistrates' Courts, whether district or regional, do not create judicial precedent. In other words, if a Magistrates' Court decides a case a certain way today, another court can decide a similar case differently tomorrow if that other magistrate interprets the law differently. However, where a higher court has decided a similar case a certain way before, the Magistrates' Court must follow the precedent set by that higher court in its jurisdiction. More specifically, a Magistrates' Court is bound to follow CC and SCA decisions on relevant legal issues, and to follow the High Court's decision where there is no precedent from the CC and SCA.

There are various specialised courts at the level of the Magistrates' Courts, such as the Equality Courts, the Children's Courts, and the Sexual Offences Courts.

1.5.3 Superior courts

The superior courts are the most important courts in the hierarchy. Only superior courts create judicial precedent. This is because these courts hear the most serious cases, and their judgments are recorded or reported.

The CC, SCA and High Courts have inherent power to protect and regulate their own process, and to develop the common law in the context of the interests of justice.

The majority judges in a case bind the minority judges on a legal matter.

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High Courts

Instead of a magistrate, the High Courts have judges and are headed by a judge president. A High Court's jurisdiction extends only over the province in which it is located. High Courts hear both criminal and civil matters and they review cases and hear appeals from the inferior courts. Generally, High Courts hear serious cases where the lower courts are not competent to make an appropriate judgment or to impose a penalty. They can also hear some constitutional matters, but these decisions may need to be confirmed by the CC. The High Courts, having inherent jurisdiction, may hear any criminal case and civil claims for any amount of money. In criminal matters, they have jurisdiction to sentence a convicted criminal to various punishments, including life imprisonment.

In addition, the jurisdiction of the High Court applies to:

- all persons residing or being within the geographical area
- appeals from the Magistrates' Courts within the geographical area
- reviews of proceedings from the Magistrates' Court within the geographical area
- all other matters, which it may legally recognise.

One judge, two judges or a full bench (three judges) may hear a matter in the High Court:

- A civil case that is heard by a court of first instance, meaning that the matter is not an appeal matter, is adjudicated by a single judge.
- The law on criminal procedure determines the number of judges that will hear a criminal case as a court of first instance.
- Two judges can hear any civil or criminal appeal.
- Any case can be heard by a full bench of three judges.

The rules of judicial precedent relating to High Courts are complex. For our purposes, we highlight a few key rules:

- High Courts are bound by their own earlier decisions in the same province, but one High Court is not bound to follow the judgments of a High Court in another province.
- A High Court may consider the decisions of other provincial divisions as merely persuasive authority (not binding authority).
- The size of the High Court, determined by the number of judges that presided over a matter, is a factor that determines its weight as judicial precedent – the larger the court, the more weight it carries when setting judicial precedent.
- The date of a High Court decision is another important factor that must be weighed together with the factors above. Generally, we consider recent decisions.

Special courts

Special courts are at the same level of hierarchy as the High Courts and create judicial precedent for themselves. Their purpose is to hear specialised types of cases. The Labour Court and the Tax Court are examples of special courts.

Labour Courts have the same status as the High Courts. They adjudicate on labour law matters and are guided by the sources of labour law (discussed in Chapter 24). The Labour Appeal Court hears appeals against decisions in the Labour Court and is the highest court for labour appeals. The Labour Appeal Court sits on the same level of the SCA and has nation-wide jurisdiction.

The Tax Court hears tax appeals on tax assessments. The Tax Court can confirm or amend an assessment or refer an assessment back to the South African Revenue Services. A taxpayer can appeal a Tax Court decision to a full bench of the relevant High Court or the SCA.

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The Supreme Court of Appeal

The SCA is the second highest court in the country and sits on the same level as the Labour Appeal Court. The SCA has nation-wide jurisdiction. The SCA is seated in Bloemfontein in the Free State province, and consists of a president, a deputy president, and appeal judges. Typically, cases are presided over by three or five judges, depending on the nature of the appeal and the complexity of the legal matter. The final decision of the SCA is the one supported by the majority of the judges.

The SCA deals with **non-constitutional** civil or criminal appeal cases sent to it from the High Courts or a court of a similar status to the High Court, except that the SCA cannot hear labour and competition matters. The SCA is not a court of first instance. It has limited constitutional jurisdiction, but it may not hear constitutional issues that fall within the exclusive jurisdiction of the CC.

A **non-constitutional matter** is one that does not deal with the Constitution, for example, a claim for damages for breach of a sale agreement.

The SCA may make an order concerning the constitutional validity of an Act of Parliament, a provincial Act, or any conduct of the president, but an order of constitutional invalidity has no force unless it is confirmed by the CC.

Except for the CC, or the SCA itself, no other court can change a decision of the SCA. The decisions of the SCA bind itself and all other courts below it in the hierarchy.

The Constitutional Court

The CC was established in 1996 to interpret, protect and enforce the provisions of the Constitution. It is the apex court in the country and has nation-wide jurisdiction. The court is situated in Braamfontein, Johannesburg. The CC is headed by a chief justice, a deputy chief justice and nine other judges. A case must be heard by at least eight judges.

The CC is the highest court on constitutional matters and matters of public importance. Section 167(3) of the Constitution expressly states that the CC may decide:

> '(i) constitutional matters; and
> (ii) any other matter, if the Constitutional Court grants leave to appeal on the grounds that the matter raises an arguable point of law of general public importance which ought to be considered by that Court,
> (iii) make the final decision whether a matter is within its jurisdiction'.

For the CC to have jurisdiction in a matter of public importance, the following must be considered:

- The point must be one of law, and it must be arguable (plausible or have some merit).
- The point of law must transcend the narrow interests of the litigants and impact a significant part of the public.
- An applicant who seeks leave to appeal must ordinarily show that there are reasonable prospects that this court will reverse or materially alter the decision of the SCA.

The CC's role in upholding the Constitution cannot be emphasised enough. Its first judgment was a landmark one. In *S v Makwanyane and Another* 1995 (3) SA 391 (CC), the CC found that the death penalty for criminal offences was unconstitutional as a form of punishment, as it violated the rights to life and dignity, taking into account the constitutional values. From the time of this judgment, courts could no longer sentence anyone to death in South Africa. Since then, the CC has adjudicated on numerous momentous cases dealing with matters ranging from access to education, access to water, the right to religion, freedom of expression, HIV/Aids discrimination, the rights of sex workers, and even the infamous #PayBackTheMoney case against former president, Jacob Zuma.

The CC functions primarily as a court of appeal. As such, it considers the record of the evidence heard in the previous court that heard the matter and does not hear evidence or question witnesses. However, it is possible for a case to be initiated directly in the CC. With the permission of the CC, and when it is in the interests of justice, a person may bring a case directly to the CC.

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The decisions of the CC bind itself and all other courts in the hierarchy. Only the CC can change its own precedent. Its decisions cannot be changed by any other court. The CC may invalidate (declare invalid) any legislation that conflicts with the Bill of Rights, and it can order the legislature to correct any legislation that is not in line with the Constitution. It may also order organs of state, or even individuals, to stop or correct behaviour that goes against the Bill of Rights.

Note that the law can be changed by legislation at any time – and this can have the effect of undoing a precedent. Legislation always prevails unless and until it is set aside by a court of law. So, if the CC sets out a precedent, which is then effectively undone by a new piece of legislation, the legislation will prevail, and the courts must apply it unless and until a court declares that the legislation is invalid.

1.5.4 Legal positions in the judicial system

Let us now take a closer look at the main role players in courts. As you would expect, these positions also have different levels of status or power attached to them.

Attorneys and advocates

The term 'lawyers' covers anyone who has studied law – law academics, prosecutors, attorneys, and advocates. The distinction between attorneys and advocates is complex. Here, we will outline the primary functions of each legal professional.

Suppose you are accused of a crime and want to find a lawyer to help you. An attorney is a lawyer who can advise you and may appear in court on your behalf. If the attorney does not have time to do all the work you need due to a heavy case load, or lacks experience in that type of case, or if it is a complex case, the attorney may refer the specialised work to an advocate.

Attorneys are general practitioners of law. They deal directly with the public, and generally spend much less time in court than advocates. Some attorneys never go to court at all. Most attorneys practise privately, either on their own or in partnership with other attorneys. Attorneys may receive and hold money for or on behalf of another person, which is called trust money.

Advocates are specialists in litigation and spend a lot of time in court or in their chambers taking instructions from attorneys. They also provide clients with written legal opinions. The practical skills specific to the advocate's profession include being able to make an opening and closing address in court, examining (questioning) and cross-examining witnesses, and 'moving' (or motivating) motion applications (cases where no witnesses are involved).

The practical training and the steps needed to appear in particular courts differ for attorneys and advocates. The Legal Practice Act 28 of 2014 (effective since 1 November 2018) brought about significant changes in the legal profession to unify the legal profession. The Act governs all types of legal practitioners and divides advocates into two categories: trust account advocates and advocates without trust accounts. Practising trust account advocates are allowed to take instructions directly from the public and hold trust money, similar to practising attorneys. Advocates without trust accounts are not allowed to take instructions or deposits directly from the public, and practice in the referral system.

Prosecutors

As employees of the State, prosecutors are lawyers who represent the State in criminal cases. Prosecutors are part of the National Prosecuting Authority (NPA), which is headed by the National Director of Public Prosecutions (NDPP) and several Directors of Public Prosecutions (DPP). The prosecuting authority has powers to decide on matters, such as which charges to lay against a person accused of a crime, and whether to continue with a prosecution or withdraw charges.

They also prosecute persons accused of crimes by trying to convince the court beyond a reasonable doubt to convict guilty persons. In this way, they protect the interests of the community, victims and witnesses. At the same time, they also must make sure that justice is done, and that accused persons are

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treated fairly in court. Prosecutors base their prosecution on the case docket, which is a file of all the evidence the police collected during their investigation.

Other important positions in the courts are those of the registrar of the court, the clerk of the court, and the sheriff.

Registrars or clerks of the court

The registrar of a High Court is the most senior administrative officer in any division of the High Court or other superior courts. The registrar's office handles all the documents for a case. The clerk of the court in a Magistrates' Court performs very similar tasks to the registrar of a High Court.

Sheriffs

The sheriff of the court is responsible for serving certain legal documents on people and ensuring that the court's judgment is carried out. For example, suppose a court orders a defendant in a civil case to pay the plaintiff a certain sum of money, but the defendant fails to do so. The sheriff may then attach (take) and sell part of that person's physical property to pay the required money to the plaintiff. The sale is called a sale in execution because the judgment is being executed or carried out.

Magistrates

A magistrate presides over (oversees) cases heard in a Magistrates' Court. Magistrates are employed by the Department of Justice. It is common for experienced prosecutors to be appointed as magistrates.

Judges

Judges preside in the superior courts, namely, the High Courts, special courts, the SCA, and the CC. They are appointed from the ranks of practising advocates, attorneys, magistrates, and legal academics.

Judges enjoy security of tenure, which means nobody can dismiss them from their positions except parliament, following a special procedure. The purpose of this principle is to ensure the independence of the judiciary and to protect them from influence by the other two arms of government.

What do you think?

Consider the role of the State in South Africa. Do you think that the State is effective in promoting peace, harmony, and order in society under the social contract? Is there anything that the State can do to bolster social protection and reduce harms in our society? What practical steps can people in civil society take to hold the State accountable if the State fails its people? Lastly, what is *your* role in promoting the social contract?

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Chapter summary

In this chapter, you learned the following about the background to South African law:

- Law is a system of rules made by the State to control and regulate behaviour thereby promoting peace and order.
- Law consists of legal rules, which are made and enforced by the State.
- Moral rules are subjective and change over time. They sometimes overlap with legal rules, but there are clear distinctions of when the State will and will not enforce moral rules.
- The South African legal system originated from the traditional law of indigenous people (customary law), Roman-Dutch law, and English law.
- Legal subjects refer to legal persons – natural persons and juristic persons.

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- Legal objects refer to objects, which has economic value, and in which a legal subject can have legal rights, duties and obligations.
- In the commercial context, we often refer to the following two types of rights:
  - Personal rights are rights that one person can exercise only against specific people.
  - Real rights are rights that can be enforced against the whole world.
- The primary sources of South African law are as follows:
  - The Constitution is the supreme law (legislation) of the country.
  - The most powerful source of law is legislation, which is passed by the law-making organ of the State and recorded in statute books.
  - Judicial precedent is judge-made law from superior courts and is recorded in published law reports.
  - The traditional legal rules of a particular indigenous group make up customary law. To be legally binding, they must meet certain requirements.
  - Common law is the body of law that has developed over time on the foundation of the inherited Roman-Dutch and English law. Both common law and customary law may be found in judgments, academic textbooks, and journals.
  - Custom is based on a trade practice or usage that is long-established, reasonable, uniformly observed in a community or sector (and does not derive from traditional belief systems and cultures, the way customary law does).
- The secondary sources of South African law areas follows:
  - International law is the law between states and covers matters of inter-state concern.
  - Foreign law is the law of other countries.
  - Modern writings are academic books, textbooks, and journal articles written by law academics and other lawyers.
- In the hierarchy of courts, only the superior courts create precedent and have inherent jurisdiction. The superior courts are ranked as follows in order of importance:
  - The CC is the highest court and focuses mainly on constitutional matters except for those non-constitutional issues that are of public importance.
  - The SCA is the highest court for non-constitutional issues except for those non-constitutional issues that are covered by the CC.
  - High Courts have civil and criminal jurisdiction.
  - Special courts, like labour courts, are at the same level as High Courts.
- The order of hierarchy of the inferior courts is as follows:
  - Regional Magistrates' Courts hear certain criminal cases and divorces in their region. They cannot hear treason cases.
  - District Magistrates' Courts hear certain criminal and civil cases in their district. They cannot hear murder, rape or treason cases.
  - District Magistrates' Courts can decide on civil claims of up to R200 000 and Regional Magistrates' Courts can decide on civil claims from above R200 000 up to R400 000.
  - Chiefs' and Headmen's Courts have limited civil and criminal jurisdiction over African customary law disputes.
  - Small Claims Courts may hear certain civil claims of R20 000 or less.
- Some of the key roles in the field of law are as follows:
  - The term 'lawyers' covers anyone who has studied law (law academics, prosecutors, attorneys, and advocates). Prosecutors act for the State in criminal cases. Clients consult with attorneys first. An attorney may ask an advocate to assist with certain specialised work.
  - Judges preside in superior courts, magistrates preside in Magistrates' Courts, Commissioners preside in Small Claims Courts, and chiefs or headmen preside in the Chiefs' and Headmen's Courts.
  - The registrar of the High Court and the clerk of the Magistrates' Court deal with the official administrative work of the court.
  - The sheriff of the court serves certain court documents and enforces civil court judgments.

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Review your understanding

Choose the CORRECT answer or answer combination below.

1. Nkosi J is sitting in the South Gauteng High Court in Johannesburg. The following sources of law are relevant to the case before the court. Which sources of law are merely of persuasive value (that is, not binding)?
   a) an Act of Parliament relevant to the case
   b) a decision of the Regional Magistrates' Court in Randburg
   c) a decision of the full bench of the Western Cape High Court in Cape Town
   d) a *ratio decidendi* of the CC of South Africa
   e) case law from the Republic of Botswana.
2. Which of the following statements are INCORRECT?
   a) Law is an attribute of human beings that appears when groups of people have organised themselves into a society.
   b) Civil procedure falls within the branch of public law, as it deals with the process the state must follow when prosecuting its citizens.
   c) In a criminal case, the state must prove on a balance of probabilities that the accused is guilty of committing the crime.
   d) The Small Claims Court only deals with civil matters involving claims of R20 000 or less.
   e) International law refers to the law of all other countries and is thus only of persuasive value.
3. In terms of section 1 of the Constitution, which of the following are not constitutional values?
   a) rule of law
   b) universal adult suffrage (right to vote)
   c) human dignity
   d) the achievement of equality
   e) tolerance of all people.
4. Complete the following sentence. A delict:
   a) creates an obligation which arises by agreement
   b) is governed by law, which has its purpose to punish the offender
   c) may not be settled between the parties out of court
   d) is often resolved by the wrongdoer compensating the victim
   e) falls under criminal procedure.
5. Complete the following sentence.
   The main aims of criminal law are:
   a) to protect society from harmful conduct
   b) to compensate the victim
   c) to punish the wrongdoer
   d) to stop the defendant from doing something wrong again
   e) to enforce the ruling party's political agenda.
6. Of the statements given below, which are INCORRECT?
   a) Our democracy is based on parliamentary sovereignty, which means that what parliament enacts as law is the supreme law of the country.
   b) Customary law refers to long-established practices, as illustrated in *Van Breda v Jacobs and Others* 1921 AD 330, which involved a practice among fishermen.
   c) Modern writings are legally binding on the courts, provided that the publication is both recent and written by a senior academic.
   d) International law refers to the law of a particular country and is of persuasive value.
   e) Parliament consists of the president and the cabinet members.

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Further reading

Kleyn, D., et al. 2019. *Beginner's Guide for Law Students*, 5th ed., Cape Town: Juta and Co. (Pty) Ltd

Meintjies-Van der Walt, L. (ed.). 2019. *Introduction to South African Law – Fresh Perspectives*, 3rd ed., Cape Town: Pearson South Africa (Pty) Ltd

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Branches of law

Chapter 2

The main ideas

- Branches of South African law
- Substantive and procedural law
- Public and private law
- Civil cases and civil procedure

The main skills

- Appreciate the concept of the branches of South African law.
- Describe the selected branches of South African law.
- Outline civil procedure in South Africa.
- Outline trial procedure.
- Explain when a matter can be brought by way of application.

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This chapter begins with an overview of the various branches of law and then focuses on the distinction between various branches of law – international law and national law, substantive law and procedural law, public law and private law. Finally, we will look at civil cases and outline the South African civil procedure.

Before you start

You have probably watched one or more popular American legal television series, such as *Law and Order*, *Suits, Bull, Damages*, and *How to Get Away with Murder*, or you may have followed South African cases that have gained traction in local and international broadcast media over the years, such as the Shrien Dewani case or the Oscar Pistorius case. American cases of interest were the OJ Simpson case or the infamous Amber Heard and Johnny Depp case. Have you been able to identify the types of cases that were dealt with (for example, whether the cases were civil or criminal cases), or considered the procedure that was followed to resolve each dispute, or evaluated the role of the State in the cases, or wondered why certain cases have certain outcomes?

While these legal series and news stories are entertaining and enthralling, it is important to remember that South African law is different in many ways from the legal systems that you may have come to know on television and in other media. For example, in the United States of America (US), a **jury** sometimes decides who wins a case, but in South Africa we do not have a jury system and it is either a magistrate or a judge who makes this decision.

A **jury** is a panel of people who listens to a case in a court of law and reach a decision (verdict) as to whether the person is guilty or not (criminal case), or liable or not (civil case). Countries with a jury system adopt a 'trial by your peers' approach to resolving legal disputes.

At the end of this chapter, you will hopefully watch such television series, or follow media stories, with a new appreciation for the workings of South African law.

2.1 Branches of law

Before we begin, note that there is no one conclusive classification of the branches and sub-branches of South African law as other authors may offer variations of this. Essentially, the classification of law serves to provide an aerial view of the law as a convenient way to study, practice, and understand the workings of law.

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Other countries may also have different ways to classify their law. However, the broad classifications of the law will likely remain the same, for instance, international law and national law, substantive law and procedural law, and public law and private law.

Let us start with the distinction between:

- international law
- national law.

2.1.1 International law

International law, also known as public international law, is the law that primarily applies across the different states of the world. It deals with matters of inter-state concern, such as the boundaries between states, the law of the sea, global environmental issues, humanitarian law, and refugee law. To recap our discussion in Chapter 1, as a source of law, international law mostly comprises of:

- rules and principles set out in international treaties and conventions
- so-called customary international law, which are well-established practices that are binding on states, and which differ to what we commonly understand as African customary law in South Africa
- general principles of international law.

International treaties can be bilateral (between two states only) or multilateral (between more than two states). Countries with a treaty in place agree to incorporate the principles into their respective national laws. This means that, in those countries, the laws arising from those treaties will be similar. In light of South Africa's constitutional democracy, international law applies in so far as it does not conflict with the Constitution of the Republic of South Africa, 1996 (Constitution).

South Africa tries to comply with all international law, especially where it has signed an international convention or treaty. There are, however, cases where South Africa does not comply with international law at present. For example, we are not yet able to provide the required minimum core of **socio-economic rights** for everyone.

Socio-economic rights include peoples' rights to housing, healthcare, a clean environment, and social security.

International law is controlled by international organisations, such as the **United Nations Organization (UN)**, whose headquarters are in New York, US and the **African Union (AU)**, whose headquarters are in Addis Ababa, Ethiopia. The UN has an International Court of Justice in The Hague (Netherlands), which can take action against any UN member country that violates international law. Countries that are not UN members can also agree to have their cases heard in this court. International law also serves to regulate international criminal law, such as genocide and crimes against humanity through the International Criminal Court in The Hague.

The **UN** was formed in 1945, right after World War II to promote peace and international cooperation. It has delegates, or representatives, from most countries of the world.

The **AU** was formed in 2002, to build on the mission of its predecessor, the Organisation of African Unity. The AU has various purposes that focus primarily on promoting solidarity and unity across African counties.

2.1.2 National law

National law is the law of a specific country. By South African national law, we simply mean the law of South Africa. As we explained in Chapter 1, our national law is based on the various primary and secondary sources of law.

Broadly, we can divide South African national law into:

- substantive law:
  - public law
  - private law
- procedural law.

Let us define each of these divisions briefly and then look at the subdivisions.

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Substantive law

Substantive law is that part of the law that gives content and meaning to the various legal principles. This branch of law tells us what we can do and what we are prohibited from doing. For example, substantive law prohibits us from committing a crime, or from causing loss or harm to another person. Substantive law also tells us how to apply the law (for example, how to gain ownership of a house, or how to obtain a car licence). Without substantive law, people will not know what the law says and what is required of them.

Let us now look at sub-branches of substantive law:

- public law
- private law.

Public law

Public law is that branch of law that governs the constitution of the State, the relationship between the **organs of the State**, and the relationship between the State and its **legal subjects**. Taking into account the State's authority, we say that the relationship between the State and its people is a vertical one.

In Chapter 1, we discussed that the **organs of the State** in South Africa are the executive (the president and the cabinet), the legislature (parliament), and the judiciary (court system).

In Chapter 1, we discussed that **legal subjects** refers to natural and juristic persons.

We can further divide public law into the following sub-branches of law:

- constitutional law: The Constitution informs this branch of law. This branch of law governs the nature of the State, the distribution of legal power within the State, the function of its organs, and the protection of people's fundamental human rights, which are set out in Chapter 2 of the Constitution (Bill of Rights).
- administrative law: This branch of law regulates the administration of the State's powers over private individuals and aims to ensure that ministers, officials, and government departments do not abuse their administrative powers. Section 33 of the Constitution provides that everyone has the right to just administrative action.
- criminal law: This branch of law determines what actions constitute a crime. Under criminal law, the State is empowered to prosecute alleged wrongdoers of crimes on behalf of the victim and society.
- labour law: This branch of law governs labour relations between the employer and its employee/s. Section 23 of the Constitution provides that everyone has the right to fair labour practices.
- law of taxation: This branch of law regulates the collection of revenue by the State.

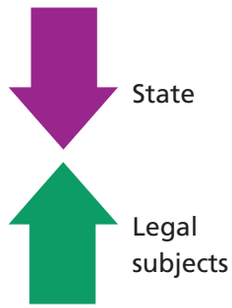


Figure 2.1 The vertical relationship between the State and its people

Private law

Private law, also called civil law, governs the legal relationships between persons (natural and juristic persons), and their status. We say that the relationship between persons is a horizontal one.



Figure 2.2 The horizontal relationship between persons

Generally, we divide private law into the following sub-branches:

- law of persons: This branch of law governs the definition, classification, and status of natural persons in law (for example, the determination that life (and legal personality) begins at birth and terminates upon death).
- family law: This branch of law regulates family relationships between life-partners or spouses, and between parent and child (for example, engagement, marriage, civil unions, divorce and parental authority).
- law of succession: This branch of law governs what happens to a person's estate (assets and liabilities) after death.
- law of property: This branch of law, also known as the law of things, regulates the relationship between persons and things (for example, a person's right of ownership over their movable and immovable property).

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- intellectual property: This branch of law regulates the relationship between persons and intellectual property (for example, the protection of a person's invention or literary work).
- mercantile law: This branch of law is a collective reference to various branches that deal with, for instance, commercial matters, business entities, methods of payment, and the law of insolvency.
- law of obligations: This branch of law deals with disputes involving personal rights that have a proprietary value (for instance, when a creditor has a right against a debtor for performance). Obligations stem mainly from the law of contract, the law of delict, and the law of unjustified enrichment:
  - law of **contract:** This branch of law regulates the formation of a valid contract; the rights, duties, and obligations between the parties; and the termination of the contractual relationship. There are many examples discussed in the textbook from Chapter 4 onwards.
  - law of delict: This branch of law deals with the payment of compensation to persons who sustained harm, loss, or damage, as a result of another person's negligent or reckless actions. For example, if Pieter forgets to close their front gate at home and Jack, Pieter's dog, runs out and bites Vusi, the neighbour, and destroys Vusi's patio furniture, Pieter will be liable to compensate the neighbour for the damage to the patio furniture, any lost income, and medical expenses from the dog bite, as well as pain and suffering caused by the event. In this branch of law, note that a party can claim for patrimonial loss (monetary) and/or non-patrimonial loss (pain and suffering).
  - law of unjustified enrichment: This branch of law deals with the recovery of benefits received without any legal or valid underlying reason. For example, if Thembani discovers that there is an additional R1 000 in their Best Merchant Bank (BMB) account, and it turns out that Fatima, the cashier at BMB, accidentally deposited the R1 000 into the account, then there would not be a lawful or valid reason for Thembani to insist on keeping the money.

A **contract** is an agreement between two parties, which creates rights, duties and obligations in law.

Take a moment to scroll back to the table of contents to note exactly which branches and sub-branches of law are discussed in the textbook.

Procedural law

A legal principle is of little value if it cannot be enforced, or put into effect in everyday life. Procedural law regulates the enforcement of substantive law when substantive law is violated. In this way, substantive law and procedural law are inter-reliant.

Procedural law describes the practical steps to resolve a legal problem (for example, when you have suffered harm or loss because of another person's negligence, or you have been accused of a crime). Without procedural law, people may take the law into their own hands in the event of a wrongdoing, which will lead to chaos and anarchy in a society. In that way, procedural law promotes order and justice.

Procedural law has three sub-branches:

- law of evidence: This branch of law regulates what the parties have to prove in a legal case, how parties should prove certain facts, and guides the courts when determining the weight to attach to different types of evidence, (for example, witness testimony). These rules of evidence apply to both criminal cases and civil cases.
- law of criminal procedure: This branch of law describes the practical steps that the State has to take when it investigates and prosecutes a person who is accused of committing a crime, such as rape, murder, or fraud. Criminal procedure also helps the court in determining what the appropriate punishment is for respective crimes.
- law of civil procedure: The law of civil procedure sets out the practical steps for enforcing non-criminal law, which is civil law (for example, when one person sues another person for compensation, when a father tries to enforce their parental rights, or when a person applies to court to declare a will invalid).

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Clearly, the scope of law is expansive and regulates every aspect of our lives. In particular, commercial law encompasses the various branches of law that are important for trade and commerce. In the study of commercial law, we will primarily focus on the relevant aspects of substantive private law, civil procedure, and the law of evidence.

Activity 2.1

Consider new branches of law that have emerged in recent years. For example, consider cyber law, telecommunications law and pension fund law.

With a study partner, discuss whether you think these branches will fall under substantive law or procedural law, public law or private law (or any sub-branches thereof).

Activity 2.2

To assess your understanding of the branches of South African law and how these branches fit together, draw a diagram to illustrate the various branches and sub-branches of South African national law that were discussed so far.

Case study When things go wrong

Amy was arrested on 15 October for allegedly assaulting their hip-hop rapper boyfriend, Sheldon, after a domestic dispute over Sheldon's recent music video that featured model, Priyanka K. Amy appeared in the District Magistrates' Court on 16 October and was granted R10 000 bail.

Amy alleged that the police did not fully advise them of their legal rights during the arrest. Amy claims that they were not informed of their right to legal counsel.

Further, Amy is alleging that the altercation with Sheldon was in self-defense, as Sheldon physically attacked Amy first after finding compromising photographs of Amy with Sheldon's business manager, Leonard. Sheldon had also posted the photographs on Twitter in an attempt to ruin Amy's and Leonard's reputations and careers. The photographs went viral in minutes, which sent Amy into a blind rage. Amy is intent on suing Sheldon for compensation. Amy is also worried that their ex-husband, Howard, may use this situation as grounds to claim sole guardianship and custody of their six-year-old daughter, Penny.

Sheldon, in return, wants to sue Amy for compensation for medical costs arising from the assault. Sheldon also had to cancel their upcoming concerts and various public guest appearances. Marketing Inc. (Pty) Ltd is, therefore, suing Sheldon for contractual damages because of these cancellations.

Leonard is concerned that this incident will ruin their reputation in the industry as a professional business manager to the stars, especially now that Sheldon has terminated Leonard's services. Leonard is also claiming that Sheldon owes them (Leonard) a sum of R50 000 in terms of a clause in their contract, which states:

> 'In the event of one party terminating this agreement without at least two weeks' notice, that party shall pay compensation of R50 000 to the other party'.

Based on the facts in the scenario, can you identify at least five different branches of law that are applicable? The following branches of law are applicable:

- criminal law: Sheldon and Amy allegedly assaulted each other.
- criminal procedure: Amy was arrested, alleges that the police did not fully advise them of their right to legal counsel, and was granted bail.

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Case study (continued) When things go royally wrong

- contract law: Sheldon terminated their contract with Leonard, and now owes an amount of R50 000 to Leonard.
- family law: Claim by Amy's ex-husband, Howard, for sole guardianship and custody of their six-year-old daughter, Penny.
- law of delict: Sheldon sues for compensation for medical costs against Amy.

Read the scenario again to see if you can spot any other applicable branches of law.

2.2 Civil cases

We mentioned above that civil procedure and the law of evidence are two key branches of law in commercial law. Before we look at the case study below, refer to Chapter 1 to remind yourself of the differences between a criminal case and a civil case. You will recall that the standard of proof in a civil case is on a balance of probabilities, which is a less stringent standard in comparison to the standard in a criminal case. The onus of proof, or burden of proof, is on the plaintiff, which means that it is up to the plaintiff to prove that their case is probably true. This is why the plaintiff's witnesses will testify first. If the court evaluates the plaintiff's version of events as being true on a balance of probabilities, it will award judgment in their favour. Usually, the court will also grant the plaintiff the right to recover the legal costs they paid from the defendant. If the plaintiff has not proved their claim on a balance of probabilities, the court will usually dismiss the plaintiff's claim and order the plaintiff to pay most of the defendant's costs.

Case study The amber light

Tash is on their way home from celebrating a friend's 21st birthday party on Friday night. Tash suspects that they had one too many glasses of wine at the party, and is hoping that there are no cops on the route home. As Tash approaches a main traffic intersection, the traffic light is amber. Tash assumes that the driver in the car in front will accelerate to beat the traffic light before it turns red, but the driver brakes and Tash bumps straight into the back bumper of the car in front. Mohamed, the driver, is naturally irate, especially after smelling the alcohol on Tash's breath. Tash asserts that Mohamed is at fault for not accelerating through the amber light.

The damage to Mohamed's car amounts to R42 000. Mohamed consults with the family lawyer who advises Mohamed to issue a letter of demand to Tash for the R42 000.

You will recall from Chapter 1 that it is possible for one event to give rise to both a criminal case and a civil case:

- As Tash drove recklessly and under the influence of alcohol, Tash is blameworthy and can be prosecuted by the State under criminal law (public law). If prosecuted for the criminal wrongdoing, Tash will be punished.
- As Tash drove recklessly and under the influence of alcohol, Tash is also blameworthy for causing damage to Mohamed's property and Mohamed can hold Tash liable for compensation (known as damages) for the civil wrongdoing in the law of delict (private law or civil law).

If Tash denies liability, Mohamed's only option is to institute legal action against Tash for compensation. This delictual case for compensation will happen independently of the criminal case against Tash by the State.

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Let us now look at how Mohamed goes about instituting civil legal action against Tash. South Africa's civil procedure explains in detail what people in Mohamed's position must do to recover damages in the law of delict.

2.3 Civil procedure

We can divide civil procedure into two types:

- the action, or trial, procedure
- the application procedure.

The trial procedure is used when the parties are in dispute about the alleged wrongdoing of a person since they need the opportunity to question each other in court.

The application procedure is a simpler process, because there is no dispute of fact. The case before the court is more about applying the law to the facts.

2.3.1 The trial procedure

When the parties disagree about what the true facts of the matter are, the trial procedure allows them to argue it out in court. In other words, we use the trial procedure when there are differences of opinion as to what happened and who is in the wrong. The trial procedure has four phases:

1. pleadings
2. the trial
3. appeals and reviews
4. enforcement of court judgments.

Let us now outline each phase in turn.

Pleadings

A civil case is about one person taking legal action against another. The person who makes the first claim is known as the plaintiff (for instance, Mohamed from the case study). To start the claim, the plaintiff's attorney issues a summons. The summons is a document that contains the plaintiff's claim against the defendant (for instance, Tash from the case study). It is the duty of the sheriff of the court to deliver the summons to the defendant. We call that 'serving a summons'. The sheriff will personally go to the business or residential address of the defendant. After making sure that it is the correct address, the sheriff will serve the summons on a person at that address or leave it under the door or attached to the door.

If the defendant wants to defend the case, they must notify the plaintiff by sending a notice of intention to defend, which is a document stating that they are going to dispute the plaintiff's claims and defend the case. The defendant must then deliver a plea that sets out the grounds for defence. A plea is a formal reply to a summons. It is a written document in which the defendant responds to each claim or allegation in the plaintiff's summons in one of three ways, by admitting, denying or claiming no knowledge of the allegation.

Sometimes, the defendant has a separate claim against the plaintiff, in which case they can deliver a counter-claim against the plaintiff along with the plea. So, Tash would have to think carefully about whether Mohamed acted negligently before deciding to counter claim. The plaintiff can then defend the counter-claim, and the court will hear both claims at the same time.

If either party chooses not to defend the claim, or does not deliver a notice of intention to defend a plea, the other party can ask the court to award a judgment by default. As long as the court has proof that the summons was served, it does not need any evidence that the plaintiff's claim was true. If the defendant does not respond to the summons, they will be in default, which will be the basis of the court awarding the judgment.

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The documents that are referred to in the arguments are known as the pleadings. They contain the written summaries of the main facts of each party's case and help the court to understand the dispute. An attorney, advocate, or the litigants themselves sign the pleadings. Except for the summons, which is served by the sheriff, representatives of the attorneys that are officially acting for the disputing parties, usually serve pleadings. (These attorneys are called the attorneys of record.)

Even though such a case is likely to end with a trial, the pleadings ensure that the issues in dispute are narrowed down and that there are no unnecessary surprises at the trial.

At the start of legal proceedings, the clerk of the court opens a court file for the case, and files the original documents of all the pleadings. (In the High Court, the registrar opens the file.) Once the deadline for delivery of all pleadings has ended, the pleadings are closed. In other words, neither of the parties can make any further pleadings or written arguments.

Next, a date is set for a trial to take place in court. The court usually informs both parties of the first available date, and then the plaintiff serves and files a document called a **notice of set down**. After this, there will usually be an exchange of documents between the parties. This process is known as discovery.

A **notice of set down** is a formal notice to tell the defendant's attorney that the matter has been set down (or scheduled) for a certain date and time.

The trial

The purpose of the trial is for the court to decide whether the allegations made in the pleadings are correct. After some opening statements, the plaintiff's lawyer (attorney or advocate) calls all the witnesses who can testify in support of the plaintiff's case. All this evidence is given under oath or affirmation. Evidence under oath or affirmation is a statement given after the deponent (the person making the statement), has sworn or affirmed to tell the truth. The court, generally, only accepts verbal evidence, known as ***viva voce*** evidence, by the parties in support of their cases. The best way for a court to assess whether or not witnesses are telling the truth is to put them under cross-examination, which means the attorney or advocate of the other party questions them. The judge or magistrate is then in a better position to make a judgment on the matter. In other words, the plaintiff's lawyer questions each witness and then the defendant's lawyer has the chance to cross-examine these witnesses.

Viva voce is a Latin term meaning 'living voice'. *Viva voce* evidence refers to oral evidence of a witness as opposed to written evidence, such as an affidavit.

The plaintiff's lawyer then gets an opportunity to re-examine each witness to clear up any confusion caused by the other advocate's cross-examination. Once this procedure has been completed for the plaintiff's witnesses, the process is repeated with the defendant's witnesses. The lawyers then make closing statements in which they summarise the points in favour of their cases and remind the court of the ruling they want.

Appeals and reviews

The losing party in a case has the right to appeal against a decision of a magistrate or judge if they believe that the magistrate or judge erred in its findings (that the court's decision was incorrect based on the facts or the law). The party that appeals a decision is known as the appellant and the other party is the respondent. An appeal court relies only on the merits of the case by considering:

- the typed record of the previous court that heard the evidence in the matter
- the arguments by the respective parties' lawyers on why the previous court made an incorrect decision.

This means that an appeal court does not hear any new evidence. It only assesses whether the previous court's judgment was correct in light of the evidence presented to that court. The appeal court will then decide whether to uphold the appeal, in which case the previous court's decision is overturned, or dismiss the appeal, in which case the previous court's decision remains in force.

When deciding in which court to lodge the appeal, we must follow the hierarchy of the judicial system. For example, a decision from the Regional Magistrates' Court can be taken on appeal to the

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High Court. The final court of appeal is the Constitutional Court, although non-constitutional matters frequently end in the Supreme Court of Appeal.

If the losing party in a case believes that the magistrate or judge was biased or unfair, or conducted proceedings irregularly, they may apply to a higher court to review the decision of the previous court. For example, if the court failed to give your lawyer a chance to cross-examine a witness, you can apply to a higher court to review the case. A review tests:

- whether the previous court followed the correct procedure
- whether the attitude of the magistrate or judge was fair.

Enforcement of court judgments

Having looked at the pleadings, the trial itself and any appeals or reviews, we now get to the final phase of the trial procedure, in which the judgments of the court are enforced, or put into effect.

In a civil matter, the judgment of a court often results in an order that one party has to pay an amount of money, usually to the other party. The person who has to pay the money is called the judgment debtor, while the person who is to receive the money is the judgment creditor.

If a judgment debtor fails to pay the amount of money due in terms of (or according to) a court order, the judgment creditor may issue a **warrant of execution**. The sheriff of the court draws up a list of the debtor's property and holds a sale in execution where the items are auctioned to the highest bidder.

A **warrant of execution** is a document that enables the sheriff to attach the debtor's property to pay the debt to the creditor.

In cases where the judgment debtor is not in a position to pay the debt, another option is for the judgment creditor's attorney to call upon the debtor to explain their financial position in court. The court can then order the debtor to pay off the debt in affordable instalments.

Let us now consider other ways in which a creditor can enforce a judgment against a debtor for the payment of a debt. If a debtor fails to pay money in terms of a judgment, the creditor may apply for a garnishee order or an emolument attachment order (EAO). The advantage of these options is that the creditor is guaranteed payment of the debt expeditiously. The disadvantage is that it reflects poorly on the debtor's credit record.

A garnishee order is an order by a Magistrates' Court whereby a creditor attaches a share of a debt owed to the debtor by a third party (called a garnishee), which allows the garnishee to deduct part of the debt, or pay all of the debt, due to the debtor, directly to the creditor. This applies to any third party and any type of debt. For example, if the debtor has a tenant from which they derive rent, the creditor can apply for a garnishee order to secure payment of their debt from the rental income before the tenant pays rent to the debtor.

An EAO is an order made by the Magistrates' Court whereby the creditor is allowed to attach a portion of the debtor's salary. The debtor's employer will deduct an amount from the debtor's income and directly pay it to the creditor. An example of this is when a father is required to pay child maintenance of R4 500 per month to the mother in terms of a court order, but fails to make such payment. Here, the mother has the option to apply to court for an EAO to secure payment directly from the father's employer. The employer will then pay the mother the R4 500 for child maintenance and pay the father the balance of the salary.

Let us look briefly at how to apply for a garnishee order. The creditor must apply to a court in the area where the garnishee resides, carries on business, or is employed through an ***ex parte*** application in the requisite form, which must be supported by an affidavit setting out all the relevant information:

Ex parte means 'with respect to the interests of one side'.

- the parties (debtor and garnishee)
- confirmation of the judgment made in favour of the creditor
- confirmation of the outstanding debt and the debt payable by the garnishee.

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If the creditor's application is successful, the debtor and the garnishee will then be served a copy of the order, which will include a date on which the garnishee must appear in court if they wish to dispute the order. The order can be enforced in the same way as a judgment of the court which means that, if the garnishee defaults on payment, a warrant of execution may be issued against the garnishee. The warrant of execution will then be sent to the sheriff, who can attach the garnishee's property to sell in an auction. If the garnishee wants to dispute the order, they are required to present their case.

Depending on the evidence, the court may cancel, amend, or suspend the order.

2.3.2 The application procedure

Up to now we have been discussing the trial procedure. The purpose of a trial is to establish the truth of the allegations made in the pleadings. However, when there is no real dispute on an important question of fact between the parties, the matter can be brought by way of an application. The matter does not go to trial because the court does not usually have to hear oral evidence. The argument between the parties is mostly about differences in the way they interpret the law. As the facts are not in dispute, the court has to consider only the dispute of law.

Instead of calling witnesses, the parties can argue the matter on paper by way of affidavits. An affidavit is a statement made by someone who swears or affirms it is true and who signs it before a **Commissioner of Oaths**. The person who signs the affidavit has to make a statement to the Commissioner of Oaths that is similar to the oath or affirmation that witnesses make in court, promising a truthful statement. The affidavits contain all the statements of fact that are necessary for the court to decide on the dispute. The first affidavit is attached to the notice of motion and is called the founding affidavit because it explains the applicant's case. If the affidavits disagree on an important fact, the court can hear some oral evidence or refer the matter to a trial court.

A **Commissioner of Oaths** takes sworn statements or affirmations on any subject from the members of the public. All police stations and post offices should have a Commissioner of Oaths available. Most attorneys and advocates are also Commissioners of Oaths.

The person who is seeking relief (a legal remedy) through an application is called the applicant – the other party is called the respondent. Applications usually start with a document called a notice of motion (and not a summons) to which the founding affidavit is attached, which sets out the relief or compensation that the applicant wants.

An example of a matter that can be brought by way of application is where the parties agree that a restraint of trade clause in a contract was signed, but they disagree over the correct legal interpretation of the clause. As there is no dispute of fact, an application would be appropriate.

An application to be admitted as an attorney or advocate is an example of an *ex parte* application – one that does not require notice to any other party. Again, there is no dispute of fact in this instance.

Generally, due to the nature of application proceedings, they are quicker and less expensive than trials.

What do you think?

In this chapter, you learnt that constitutional law is the branch of law that governs the nature of the State, the distribution of legal power within the State, the function of its organs, and the protection of people's fundamental human rights (Bill of Rights). In your personal experience and from news reports in broadcast media, do you think that the current government in South Africa is successful in governing the distribution of legal power within the State, the function of its organs, and the protection of people's fundamental human rights? Give reasons for your answer.

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Chapter summary

In this chapter, you learned the following about the branches and selected sub-branches of the law:

- There are two broad branches of law that affect us in South Africa:
  - international law: from international conventions or treaties, as laws across states
  - national law: the law of a specific country.
- We can divide our national law into:
  - substantive law: gives content and meaning to our legal principles.
    - public law: governs relationship between the nature of the State, the organs of government, and the relationship between the State and the people in that state.
    - private law: governs with relationships between natural and juristic persons.
  - procedural law: regulates the practical steps to enforce substantive law.
- We distinguished between a crime (intentional wrongdoing) and a delict (negligent wrongdoing that causes loss, damage, or harm to a person).
- In civil cases, the plaintiff has to prove their claim on a balance of probabilities.
- A civil procedure claim can be either a trial procedure or an application procedure. In a trial procedure, we identified the following four phases:
  - pleadings
  - the trial
  - appeals and reviews
  - enforcement of court judgments.
- When the facts are not in serious dispute, the matter can be brought by way of an application.

Review your understanding

Select the CORRECT answer below.

1. Thomas murders Anele. Under which substantive law branch will Thomas be prosecuted?
   a) law of obligations under private law
   b) law of delict under private law
   c) criminal law under public law
   d) law of persons under private law.
2. Vuyani sells their Ralax watch to Sipho for R20 000, payable in cash by 15 August. If Sipho fails to make payment by 15 August, under which substantive law branch can Vuyani sue Sipho?
   a) law of delict under private law
   b) property law under private law
   c) administrative law under public law
   d) law of contract under private law.
3. If, after an outcome of a case, a litigating party believes that the judge is prejudiced against them, that party can bring:
   a) an appeal
   b) a review.
4. Explain when a matter is instituted by way of application procedure.

Further reading

Kleyn, D., et al. 2019. *Beginner's Guide for Law Students*, 5th ed., Cape Town: Juta and Co. (Pty) Ltd

Schulze, H., et al. 2019. *General Principles of Commercial Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

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Chapter 3

Interpreting statutes

The main ideas

- The interpretation of statutes
- The impact of the Constitution on statutory interpretation
- The approaches to interpreting statutes

The main skills

- Explain the impact of the Constitution on statutory interpretation.
- Evaluate and apply the approaches to statutory interpretation.
- List the presumptions commonly used in the interpretation process.

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As discussed in Chapter 1, legislation is an important and prolific source of law. However, legislation does not always make use of plain and simple language. Some terms may be difficult to make sense of, or words may be ambiguous in meaning. We therefore say that real life does not always fit neatly into the language of the law.

The role of the lawyers now becomes more apparent, as we need them to determine the purpose and aims of statutes (and other sources of law), and apply their understanding of the law to real-life situations to assist clients. When legal disputes reach the courts, the magistrates and judges also spend a lot of their time interpreting relevant statutory provisions and applying them to the legal disputes before them. Academics also need to interpret legislation for research and education purposes.

In this chapter, we will look at what it means to interpret Acts of Parliament, known as legislation or **statutes**. We will provide an overview of the most important approaches and presumptions used during statutory interpretation. We will also look at the traditional approaches to interpretation and consider the impact of the Constitution of the Republic of South Africa, 1996, (Constitution) on the interpretation of statutes.

Strictly speaking, **statutory** law consists of governmental Acts and Regulations.

Before you start

Think of words or phrases used in the South African **context**, words which have a particular meaning in the way that we use them, but which may be **ambiguous** or confusing to someone else. Phrases that come to mind are:

- 'Robots': Literally, this refers to machines that are programmable by a computer, and which carry out actions automatically. However, in the South African context, robots refer to traffic lights, and not robots in the strict sense.
- 'European': One would ordinarily think that this refers to a person from Europe. However, considering South Africa's history, this term is commonly used by people of colour to refer to any White person irrespective of their country of origin.
- 'Now now': The word 'now' means in the present moment, but what about 'now now'? Strangely, in the South African context, it means quite the opposite. If someone says that they will do something now now, it means that they will do it, but it is unlikely that it will be done immediately – it would be done at any time from now to later on.
- 'Eish': This popular colloquialism originated from Xhosa and denotes a wide range of emotions, such as annoyance, anger, surprise, and exasperation.

Context refers to the situation, event or information that is related to something and which helps you to understand it.

Something is **ambiguous** when it is unclear, confusing, or not certain, especially because it can be understood in more than one way.

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- 'Larney': This word has no literal meaning and requires context to acquire a meaning. It is another popular colloquialism in South Africa, which can be used to refer to a person who is wealthy, or as an adjective to say that something looks fancy.

Can you think of other words and phrases to add to this list?

These phrases indicate that we cannot always rely on the ordinary literal meaning of words. Words can have more than one meaning in different contexts, or words may not have any literal meaning until we consider the context. Bear this in mind as we proceed with the discussion on the interpretation of statutes.

3.1 Why do we need to interpret statutes?

Statutes regulate a wide variety of civil and criminal matters covering many areas of life, from parental authority over a child (regulated in the Children's Act 38 of 2005) to rights of the consumer (governed in the Consumer Protection Act 68 of 2008 (CPA)).

A statute contains many provisions, which set out definitions, requirements, conditions, and other legal rules or principles. Sometimes, the language of the statute is clear. However, difficulties can arise when reading provisions of a statute, such as:

- Drafters may use a term that is too broad, without defining the scope of its meaning.
- Drafters may think that certain terms are implied, whereas this may not be so obvious to the reader.
- Words do not necessarily have clear, plain, or obvious meanings, and may be ambiguous or vague.
- The meaning of a term may no longer apply in unforeseeable circumstances and may lead to absurdities.

The following examples illustrate some of these difficulties, where the court is required to interpret a statute:

- The word 'or' in a provision empowering a court to impose a sentence of 'imprisonment or a fine' on a convicted criminal is capable of two meanings. If one interprets the word 'or' inclusively, it will mean that the court may impose imprisonment only or a fine only, or both imprisonment and a fine. Alternatively, if one interprets it exclusively, it will mean that the court may impose only a sentence of imprisonment or a fine, but not both imprisonment and a fine.
- Provisions may differ – one section of a statute may say one thing while another says something else. For example, in labour law, where one section of a statute refers to redundancy while another section of the same statute refers to retrenchment. While both redundancy and retrenchment refer to someone losing their job, any significant nuances in the differences would be a matter for interpretation.
- A provision in a statute may be unconstitutional because it conflicts with the Bill of Rights in the Constitution. For example, where the legislative requirements for a job may state that only males may be employed as fire-fighters. This is unfair discrimination because there is no basis for reserving the job for males only.
- The wording used in the Act may be ambiguous because the words could have more than one meaning. For example, if a provision states that, after the administrator appoints an assistant, 'he or she' shall supervise the dissolution of the estate, it is not clear whether 'he or she' refers to the administrator or to the assistant.
- Technology is changing rapidly, and legislation cannot change quickly enough to adapt to new technological advances. In South Africa, legislation only recognises bank notes or coins as legal tender, which may be used to settle a monetary debt. Yet, technological changes now allow us to make payments via our phones, the internet, and with debit and credit cards. These are not yet recognised as legal tender in legislation and a creditor can refuse to accept payment by these methods.

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3.2 The impact of the Constitution on the interpretation of statutes

Prior to the advent of this democratic constitutional dispensation, the courts interpreted legislation to determine the intention of the legislature, which was in accordance with the principle of parliamentary sovereignty – meaning that the courts could question only the formal, and not the substantive, validity of an Act of Parliament. We now live in a state of constitutional supremacy, which is founded on fundamental rights and values. The new constitutional order has had a great impact on law and society generally, and the principles of legislative interpretation are no exception. The intention of the legislature is no longer the cornerstone in the interpretation process. Instead, we need to adopt a transformative approach to interpretation, considering the Constitution, its purpose and context. Courts must use the Constitution as the ultimate yardstick against which all law and conduct is measured.

There are essentially four constitutional provisions that have helped to transform legislative interpretation:

- Section 1 is a founding provision that sets out the constitutional values on which the South African state is based.
- Section 2, the supremacy clause, provides for the supremacy of the Constitution.
- Section 8, the application clause, makes the Bill of Rights applicable to all law and to the three arms of government.
- Section 39, the interpretation clause, instructs the courts on the interpretation of the Bill of Rights and other legislation.

A provision that requires particular attention is **section 39**(2) of the interpretation clause. This subsection, which provides for the interpretation of legislation in general, states:

> 'When interpreting any legislation, and when developing the common law or customary law, every court, tribunal or forum must promote the spirit, purport and objects of the Bill of Rights'.

From Chapter 1, you will recall that **section 39** also directs that we must consider international law and may consider foreign law, as sources of law, when interpreting the Bill of Rights.

This means that all courts, tribunals and forums are obliged to view the aim and purpose of any statute in the light cast by the Bill of Rights. When deciding on the meaning of a provision, the courts must prefer a meaning that is consistent with our constitutional values (section 1) and constitutional rights (Bill of Rights). The Constitutional Court explained the impact of the Constitution on the interpretation process in the quote below.

Added value The Constitution is the starting point

In *Bata Star Fishing (Pty) Ltd v Minister of Environmental Affairs and Tourism* 2004 (4) SA 490 (CC), paras 72 and 90, the Constitutional Court stated:

> '[72] The Constitution is … the starting point in interpreting any legislation… [F]irst, the interpretation that is placed upon a statute must, where possible, be one that would advance at least an identifiable value enshrined in the Bill of Rights; and second, the statute must be reasonably capable of such interpretation … [90] The emerging trend in statutory construction is to have regard to the context in which the words occur, even where the words to be construed are clear and unambiguous'.

However, this certainly does not mean that we must manipulate the meaning of provisions to suit our purpose. The Constitutional Court makes this point crisply in the quote in Added value set out below.

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Added value Reasonable compliance with the Constitution

In *South African Police Service v Public Servants Association* 2007 (3) SA 521 (CC), para 20, the Constitutional Court stated:

> 'Interpreting statutes within the context of the Constitution will not require the distortion of language so as to extract meaning beyond that which the words can reasonably bear. It does, however, require that the language used be interpreted as far as possible, and without undue strain, so as to favour compliance with the Constitution. This in turn will often necessitate close attention to the socio-economic and institutional context in which a provision under examination functions. In addition, it will be important to pay attention to the specific factual context that triggers the problem requiring solution'.

3.3 Practical approaches used to interpret statutes

The courts use certain approaches when interpreting statutes. These approaches are interconnected and should be used simultaneously. They ought not to be used as a step-by-step approach. Some of the commonly used approaches are:

- textual approach
- systematic approach
- purposive approach
- contextual approach
- historical approach
- teleological approach.

Let us now look at each of these approaches.

Textual approach

Courts must use the ordinary grammatical meaning of words or phrases. This is particularly useful when words or phrases are not defined in the statute itself. Authoritative dictionaries can be used to determine the ordinary grammatical meaning.

Think back to the commonly used South African terms at the beginning of the chapter. It was clear that words may not always have a literal or grammatical meaning, and that we may need to consider other ways to determine the meaning of a word. So, let us look at other practical ways to interpret a statute.

Systematic approach

Statutes must be read in their entirety. This will ensure that the text used in the Act is understood in its context, as a whole. The definition section of a statute is an important starting point.

Activity 3.1

Look up the Employment Equity Act 55 of 1998 (EEA) online. What is the definition of an employee in terms of section 1? Does it include job applicants?

Now scroll to section 9 of the EEA. Are job applicants protected as employees under the EEA?

After this exercise, you will see the importance of reading an Act as a whole.

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Purposive approach

Courts must determine the reason or purpose for which a particular statute was enacted, taking into account the social, political, and economic background. Often, statutes will expressly state their purpose or aims.

Activity 3.2

Section 2 of the EEA sets out its purpose as:

> 'The purpose of this Act is to achieve equity in the workplace by –
> a) promoting equal opportunity and fair treatment in employment through the elimination of unfair discrimination; and
> b) implementing affirmative action measures to redress the disadvantages in employment experienced by designated groups, in order to ensure their equitable representation in all occupational levels in the workforce'.

Suppose that CDC Chartered Accountants Inc. hires Nonkululeko, a Black female with a BCom degree qualification and B-average academic record instead of Jack, a White male with a BCom degree qualification and B-average academic record. The human resources manager notifies Jack that they were unsuccessful in their application, and that they hired Nonkululeko in terms of the company's affirmative action plan.

Jack studied Commercial Law in their degree and learnt that the Constitution prohibits unfair discrimination on the basis of race. So, Jack is confused by the company's reason and approaches you, as a friend, for advice. Discuss whether interpreting the purpose of the EEA will in any way reassure Jack that they were not unfairly discriminated against.

Contextual approach

The courts must consider the context of a statute to determine who it applies to and the real-life circumstances that the statute applies to, taking into account the historical and political background that led to its enactment, the contents of the statute, and any commission reports.

Historical approach

The courts will determine the mischief that the statute was enacted to deal with. Previous versions of the same statute may be useful for this exercise so that the court can track the mischief that the Act was enacted to address. The historical and political context is again important.

Case study — No drug-peddling on the streets

Consider this fictional scenario. To prevent the peddling of illegal drugs on street corners, which has a ripple effect on other criminal activities and causes a range of harms in society, the legislature decides to pass a law to address this. Section 5 of the Illegal Drugs Act 3 of 2023 states:

> 'Peddling illegal drugs on the streets in South Africa is a criminal offence, which shall carry a criminal sanction of no less than 5 years of imprisonment'.

In response to this new law, drug-peddlers start selling illegal drugs from the windows of apartments that overlook the streets. Tim is arrested for drug-peddling.

Is Tim guilty of a criminal offence? If you were defending Tim during their criminal trial, which approach to interpretation would you rely on to reach an acquittal. If you were prosecuting Tim, which approach, or approaches, would you rely on to convict Tim as a drug-peddler?

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Case study (continued) No drug-peddling on the streets

Well, if we applied the textual approach, the drug-peddlers would not be guilty of a criminal offence, as they were not selling drugs on the streets, but from windows above the streets. This approach may lead to illegal activities going unpunished.

However, in applying the purposive approach, we would need to consider the reason or purpose for the Act. In this scenario, the purpose was to prevent the peddling of drugs, which also had a rippling effect on other criminal activity, and which caused harm to society.

We could also apply the historical approach to determine the mischief that the Act was trying to address – to prevent the peddling of drugs, related criminal activities, and harm to society.

This means that, using the purposive approach or the historical approach, the drug-peddlers are guilty of a criminal offence – irrespective of where they sold drugs from.

Teleological approach

Courts must probe deeper into the meaning behind the statute. The long title and preamble of an Act may assist in this exercise.

Activity 3.3

Look up the full version of the Constitution online. What does the preamble say? Does the preamble in any way offer you a deeper understanding of why the Constitution was enacted? Share your reflections with a study partner.

Added value Demystifying statutes

You may be required to read statutes in due course. This activity is aimed at demystifying what a statute looks like. The CPA is an important statute in commercial law, so let us use this Act for the activity. This will help you to read and understand the CPA (and other statutes) in the future.

Step 1: Look up the Consumer Protection Act 68 of 2008 using this freely accessible government website: www.gov.za/sites/default/files/32186_467.pdf

Step 2: Look up the short title of the Act. This refers to the formal name of the Act by which it should be referred and cited. In this instance, it is the Consumer Protection Act 68 of 2008.

Step 3: Look for the date on which the president assented (approved) to the English version of the statute. The president signed the English version of the CPA on 24 April 2009.

Note that this is not the date on which the CPA came into legal effect. See if you can find this information on the internet. Hint: Once the president has assented to a statute, it usually comes into legal effect at a later stage.

Step 4: Look for the long title of the Act. In the CPA, the long title states: 'To promote a fair, accessible and sustainable marketplace for consumer products and services and for that purpose to establish national norms and standards relating to consumer protection, to provide for improved standards of consumer information, to prohibit certain unfair marketing and business practices, to promote responsible consumer behaviour, to promote a consistent legislative and enforcement framework relating to consumer transactions and agreements, to establish the National Consumer Commission, to repeal sections 2 to 13 and sections 16 to 17 of the Merchandise Marks Act, 1941 (Act No. 17 of 1941), the Business Names Act, 1960 (Act No. 27 of 1960), the Price Control Act,

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1964 (Act No. 25 of 1964), the Sales and Service Matters Act, 1964 (Act No. 25 of 1964), the Trade Practices Act, 1976 (Act No. 76 of 1976), the Consumer Affairs (Unfair Business Practices) Act, 1988 (Act No. 71 of 1988), and to make consequential amendments to various other Acts; and to provide for related incidental matters'.

Note that the long title assists in the interpretation process by setting out a summary of the description of the purpose and scope of the Act.

Step 5: Look for the preamble. It starts with 'The people of South Africa recognise – that apartheid and discriminatory laws of the past have burdened the nation with unacceptably high levels of poverty, illiteracy and other forms of social and economic inequality …'

We introduced you to preambles in the previous section when you looked up the preamble of the Constitution. The preamble serves to introduce the statute, provide background and context to the intention of the legislature, and explain the purpose of the statute in more detail. Note that not all statutes have a preamble. After reading the preamble of the CPA in full, you should have a deeper understanding of the background to and purpose of the CPA.

Step 6: How many chapters are there in the CPA? Did you find the index of seven chapters?

Step 7: Now let us read what section 1 says. Section 1 of the Act lists all the definitions that apply specifically to the CPA. Definitions are usually set out in section 1 of an Act.

At this stage, you are hopefully more familiar with the different parts of a statute. Do not stop now. Spend a few minutes browsing through the CPA to familiarise yourself with the Act.

3.4 Presumptions

In addition to using the approaches outlined above, where there is still uncertainty about the aims of the legislation, the court may apply certain common-law **presumptions**. They are rebuttable, which means that they may be rendered inapplicable in a particular case by a contrary indication in the statute being interpreted.

A **presumption** is an assumption that the courts automatically recognise as being valid or true. A party who wishes to allege that the presumption is not true has the onus of rebutting it (showing that it is not true).

Over the years, the presumptions of statutory interpretation have been tested against, or subsumed by, the Constitution. Below are some of the presumptions that have assisted the courts in the interpretation of legislation:

- The presumption is in favour of natural justice, which means that statutes must be interpreted in a way that they comply with procedural fairness.
- The legislature is presumed not to intend to be unreasonable or to cause injustice.
- A statute is presumed not to violate relevant international law, which means that the courts will interpret a statute in a way that does not bring South African law into conflict with international law that is binding on the country.
- The presumption is against construing a statute to exclude or limit the jurisdiction of the superior courts.
- A statute is presumed to apply prospectively, and not retrospectively, which means that a statute only applies from the date of the enactment (and does not apply to the past).
- The statute is presumed not to change existing law unnecessarily, which means that a statute must be interpreted in the context of other laws.
- The presumption is that the same words used in different places in the same statute have the same meaning, which means that words must be given a consistent interpretation in the same statute.
- The presumption is that the legislation does not contain futile or meaningless provisions, which means that every word and provision must be given a meaning.
- The legislature is presumed not to intend to legislate outside of the borders of the country.

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What do you think?

Since it is the legislature who makes legislation, do you think that we should go back to the approach where we prioritise determining the intention of the legislature, as opposed to using the Constitution as the yardstick, in the interpretation process?

Chapter summary

In this chapter, you learned the following about interpreting statutes:

- Statutes regulate a wide variety of civil and criminal matters covering many areas of life. We therefore need to interpret and apply statutes, as a source of law, to legal disputes.
- The Constitution is the starting point in interpreting any legislation, and is the ultimate yardstick against which all law and conduct is measured.
- The courts use the following interrelated approaches when interpreting statutes:
  - textual approach, where we consider the ordinary grammatical meaning of words or phrases
  - systematic approach, in terms of which we must read a statute in its entirety
  - purposive approach, where we consider the reason or purpose for a particular statute being enacted
  - contextual approach, where we consider the context of a statute
  - historical approach, where we determine the mischief that that the statute was enacted to address.
  - teleological approach, where we probe deeper into the meaning behind the statute.
- The following rebuttable common-law presumptions assist the court in the interpretation process:
  - The presumption is in favour of natural justice in interpretation.
  - The legislature is presumed not to intend to be unreasonable or to cause injustice.
  - A statute is presumed not to violate relevant international law.
  - The presumption is against construing a statute to exclude or limit the jurisdiction of the superior courts.
  - A statute is presumed to apply prospectively, and not retrospectively.
  - The statute is presumed not to change existing law unnecessarily.
  - The presumption is that the same words used in different places in the same statute have the same meaning.
  - The presumption is that the legislation does not contain futile or meaningless provisions.
  - The legislature is presumed not to intend to legislate outside of the borders of the country.

Review your understanding

1. Consider the following fictional scenario and answer the questions that follow:

   There is a severe famine in the country and, as a result, there is a serious shortage of wheat. In response, parliament enacts legislation 'to ration the use of wheat, flour, and other wheat products'.

   The Wheat Restrictions Act 11 of 2011 comes into force on 1 June.

   Section 16 states: 'No person shall eat bread during the day'.

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Section 17 states: 'Any person who contravenes section 16 shall be guilty of an offence and be liable to imprisonment for a period not exceeding 10 years without the option of a fine'.

The Wheat Restrictions Act does not define the word 'day'.

Dictionaries define 'day' as the time between sunrise and sunset.

Maria has a habit of arriving at work at 05:00 every morning to get a head start on administrative tasks. Maria habitually takes a ten-minute break at 06:00 to eat breakfast, which consists of a big slice of cake made from wheat flour.

On 15 June, Maria is apprehended while eating breakfast, and is charged with contravening section 16 of the Wheat Restrictions Act. We need to determine whether Maria is in violation of section 16 of this Act.

a) Which approach can be used to argue for Maria's acquittal, and which approach can be used to argue for Maria's conviction?
b) Would it make any difference to Maria's legal position if the Wheat Restrictions Act had come into force on 1 July of the same year?

Further reading

Kleyn, D., et al. 2019. *Beginner's Guide for Law Students*, 5th ed., Cape Town: Juta and Co. (Pty) Ltd

Meintjies-Van der Walt, L. (ed). 2019. *Introduction to South African Law – Fresh Perspectives*, 3rd ed., Cape Town: Pearson South Africa (Pty) Ltd

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Part

2

General principles of contract

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Contractual capacity

Chapter 4

The main ideas

- Requirements for a valid contract
- Contractual capacity of minors
- Contractual capacity of married persons
- Contractual capacity of mentally incapacitated persons
- Contractual capacity of insolvents

The main skills

- Understand the concept of contractual capacity.
- Appreciate the role of a guardian.
- Distinguish between the contractual capacity of minors below the age of seven years and minors above the age of seven years.
- Outline the test for tacit emancipation.
- Evaluate the various marriage regimes.
- Assess the contractual capacity of persons who are mentally incapacitated when they contract.
- Describe the limited nature of an insolvent's contractual capacity.

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Part 1 of this book introduced you to the South African legal system. Part 2 focuses on the legal principles that apply to contracts. This chapter introduces Part 2 by looking at the capacity of certain categories of natural persons to enter into legally binding contracts. Some natural persons cannot conclude legally binding contracts at all, some can do so only with assistance, and others can enter into legally binding contracts on their own. The law recognises that natural persons' capacity to enter into legally binding contracts changes at different stages in their lives.

Before you start

Suppose that Sienna, a 15-year old, uses their savings of R1 500 to buy an iPad from Sherman, a 19-year-old, without Sienna's parent's consent. Sienna thinks that it is a bargain price so they do not hesitate to seal the deal with Sherman. The next week, Sienna's parent discovers the iPad in their room and confronts them about wasting their savings on such an outdated iPad model, and insists that they get their money back and give the iPad back to Sherman. Is Sienna's contract with Sherman legally binding on Sienna and Sherman? Can Sienna's parent force them to return the iPad and get their money back from Sherman? Will your answers to any of these questions be different if Sherman was drunk at the time of the contract?

By the end of this chapter, you will be able to answer these questions. We will come back to this scenario to discuss the answers.

4.1 Requirements for a valid contract

Since this chapter is the start of the section that focuses on the law of contract, let us begin with a list of six legal requirements for a contract:

1. contractual capacity, which we discuss in this chapter
2. agreement (Chapters 5 and 6)
3. legality (Chapter 7)
4. possibility of performance (Chapter 7)
5. formalities (Chapter 7)
6. certainty (Chapter 7).

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All requirements must be satisfied to form a legally binding (valid) contract. Once a valid contract is formed, the contracting parties are legally bound to perform according to the terms of the contract, and can be sued if they do not.

Added value — Void and voidable

If any legal requirements for a valid contract is not satisfied, the contract is void. A void contract is one that has never come into legal existence. A voidable contract, which we will discuss in Chapter 6, is a valid contract (the legal requirements for a valid contract have been satisfied). However, one of the contracting parties may decide to set aside the contract (rescind) or abide by the contract (continue).

We will examine these legal requirements in detail over the next few chapters.

4.2 Who has contractual capacity?

Here, we look at who has the ability to enter into legally binding contracts. Towards the end of Chapter 2, we discussed natural and juristic persons. Generally, natural persons are capable of entering into valid contracts unaided – they have contractual capacity, so they can contract validly. Although most persons have full contractual capacity, there are some categories of natural persons who either lack contractual capacity completely or have limited capacity to enter into a contract. We will explore situations where a person has no contractual capacity and limited contractual capacity below.

4.3 What is contractual capacity?

Contractual capacity is the legal ability to enter into a contract. It is essential for a party to understand the nature and consequences of a contract before entering into one. It is one of the many competencies that the law regulates. For example, a person has the capacity to make a will at 16 years of age, but may witness a will from the age of 14 years. A boy over the age of 18 years and a girl over the age of 15 years have the capacity to marry. A child has the capacity to be liable in terms of criminal law from the age of 12 years.

Contractual capacity differs for:

- minors
- married persons
- natural persons who are mentally incapacitated at the time they contract
- natural persons who are insolvent.

This chapter considers the contractual capacity of persons in these categories.

4.4.1 Contractual capacity regarding minors

Young people may not always understand the language and meaning of contracts. As their judgment is still developing, they may not know what is in their best interests, which makes it easy for others to take advantage of them. The law classifies young people as minors and protects them by limiting their contractual capacity.

Who is a minor?

A minor is a person who is below the age of 18 years. A major person, by contrast, is an adult (a person above 18 years old) who can make independent decisions. When we say that a minor reaches majority, it means that the minor has become a major. Usually, this is when a minor turns 18 years old. Another way that a minor becomes a major is when a minor gets married (even if it is to another minor) – they automatically become a major in the eyes of the law. The law thinks that, if people are independent enough to get married, they are able to make their own decisions and enter into their own contracts. If the marriage ends in divorce, both parties remain majors. If the marriage ends as a result of death of one spouse, the surviving spouse remains a major.

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Similar to a minor who is married, a minor who has been emancipated is legally regarded as a major in the eyes of the law and may contract without the assistance of a guardian in the same way that a major would contract. Emancipation is discussed in more detail below.

Emancipation

An emancipated minor has full contractual capacity. When a minor has been emancipated, it means that the minor has been freed from parental authority. It means that the minor no longer needs the protection of their minority status and is conducting their lives as an economically independent major.

A minor can be emancipated by a court, or through **tacit** emancipation by the minor's guardian. Tacit emancipation is less prevalent today since the age of majority has changed to 18 years. It was more applicable in the past when the age of majority was 21 years.

Tacit means that something is understood or implied without being said.

When applying the South African test for tacit emancipation, the following factors are considered holistically to determine whether a minor has been tacitly emancipated by their guardian/s:

- the relationship between the minor and their guardian/s: Here, we must consider whether a guardian has made a conscious decision to allow the minor to live independently, as a major. It is not sufficient if the guardian abandoned the minor, leading to the minor living independently.
- the living arrangements of the minor: Here, we must consider whether or not the minor is living with the parents, or is living independently.
- whether the minor has a job, is earning their own livelihood and is financially independent: Having a part-time job is not necessarily a sign of independence. We need to consider whether the minor has financial freedom from their guardian/s.
- if minor operates their own bank account: This is a sign of independence.

It is important to note that no one factor alone is an indication of tacit emancipation. All the factors must be considered cumulatively. Tacit emancipation would have to be proven by the person who claims that it applies.

Let us look at the case law below, where a minor was tacitly emancipated by their guardian.

Dickens v Daley 1956 (2) SA 11 (N)

Principle

If a guardian knowingly allows a minor to live as an economically independent major, the minor is tacitly emancipated by their guardian.

Facts

Daley was a minor who lived with his mother and stepfather. Daley's father was his guardian. Daley had been working as a clerk and was financially independent. While Daley was living with his mother, he was contributing towards his accommodation costs. Daley's guardian did not exercise any control over the minor and allowed Daley to live as a major. Daly operated his own bank account, and later drew a cheque in favour of Dickens. When the cheque was dishonoured upon presentation, Daley claimed that he was a minor at the time and was therefore not liable for the cheque. Dickens argued that Daley was emancipated, and was therefore liable for the cheque.

The court's finding

Daley's guardian (the father) had tacitly emancipated him. This was evidenced by the guardian allowing the minor to conduct his life as an independent major. For instance, the minor had a job, was financially independent, operated his own bank account and drew his own cheques.

Note that, had the guardian simply abandoned the minor – in other words, they did not have any interaction with the minor for years of the minor's life – that would not have necessarily meant that the minor was tacitly emancipated. The guardian's behaviour of allowing the minor to be emancipated must have been as a result of a conscious thought process, not merely neglect.

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Guardianship

In terms of the Children's Act 38 of 2005 (Children's Act), guardianship refers to the administrative part of taking care of a child. For example, guardians are required to look after the property of a minor, grant or refuse consent for contracts, assist the minor in official spaces (such as litigation), consent (or refuse consent) to the marriage or adoption of the minor, and assist the minor when applying for a passport.

Let us now look at who has guardianship over a minor. The biological parents are called the natural guardians. The biological mother of a child, whether married or unmarried, has full parental responsibility and rights in respect of the minor, as the guardian. If a child is born to an unmarried minor mother, the guardian of the mother is the guardian of the child.

A biological father of a child has guardianship if that person was married to the child's mother at any time between conception and birth. In the case of a father having never been married to the child's mother, the court will consider the father a guardian if the father was living with the mother in a long-term relationship; or if the father contributed for a reasonable period, or attempted to contribute in good faith, to the maintenance of the child; or if the father consented to being identified as the child's father; or paid damages in terms of African customary law, as an acknowledgment that they are the father and as compensation to the mother's family.

Therefore, depending on the circumstances, a minor child could have one or two parents acting as guardians. In the absence of a parent who is a guardian, it is possible for a minor to have a legal guardian. This is someone who is chosen to be a guardian either in a will or by a court.

It is important to note that the High Court is the supreme guardian of all minors and can, in the best interests of the child, overrule a decision by a natural or legal guardian.

4.4.2 Contractual capacity of a child below seven years (*infans*)

A child under the age of seven years has no contractual capacity at all, even if the contract is for their own benefit. This is because they have neither the intellect nor the judgment to enter into a legally binding contract. If an *infans* attempts to enter into a contract, the contract will be void due to a lack of contractual capacity.

This means that they can be involved in a contractual agreement only if a guardian enters into the contract on the child's behalf, where the contract will be between the guardian and the other contracting party. For example, when we see toddlers appear in advertisements or pamphlets for clothing, it is the guardian who entered into the contract with the advertiser.

4.4.3 Contractual capacity of minors aged seven to 18 years (*pupillus)*

A minor between the ages of seven and 18 years has limited contractual capacity, and may enter into a contract only with the assistance of a guardian. Assistance entails either the guardian entering into the contract on the minor's behalf, or consenting to the minor entering into the contract.

This makes sense as, at that age, a minor may have some intellectual development and judgment, but this is not sufficient to enter into contracts unaided. The law requires the guardian to assist the minor with the contract for it to be legally binding. For example, if a minor wants to buy a bicycle, their guardian must agree to the purchase and assist them accordingly.

4.4.4 Legal position of a minor aged seven to 18 years in an assisted contract in terms of the common law

Which guardian(s) must consent?

When a minor has more than one guardian, the consent of one guardian is sufficient to assist that minor in general commercial contracts. This means that each guardian can exercise guardianship independently of the other guardian. However, there are certain legal acts that require the consent of both natural guardians:

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- consenting to the minor being put up for **adoption**
- removing the minor from the country
- alienation (selling) of the minor's **immovable property**
- applying for the minor's passport
- consenting to the marriage of the minor.

If a minor is **adopted**, they are regarded as the legal child of the adoptive parents. All legal rights, duties and obligations between the biological parents and the minor cease.

Immovable property refers to land and buildings attached to land.

Form of consent

If a minor enters into an assisted contract, it means that the guardian has consented to the contract. Generally, there are no formalities required for the guardian's consent. For example, the guardian does not have to sign any forms or contracts to give consent, nor does a witness need to be present. Usually, consent is given before or at the time that the contract is concluded. (See the section below on ratification for instances where the guardian can consent after the conclusion of the contract.)

Consent can be either express or tacit (implied). It is express when the guardian states their consent – verbally or in writing. Consent is implied when the general circumstances and the guardian's behaviour show that the guardian consented to the minor entering into the contract. An example of express consent is where a minor buys a car and the guardian signs the contract on behalf of the minor, or both the minor and the guardian sign it. An example of tacit consent is where, before going to the mall, a minor tells their guardian that they are planning to buy a new pair of sneakers, and the guardian does not object.

When the guardian consents to the contract, the guardian only needs to know and consent to the general nature of the contract. It is not necessary for the guardian to know the specific details of the contract. This is illustrated in the case below.

Van Dyk v South African Railways and Harbours 1956 (4) SA 410 (W)

Principle

Where a guardian assists a minor in entering into a contract, the guardian does not need to know the specific terms of the contract. The guardian only needs to know and consent to the general nature of the contract.

Facts

In this case, the minor, Van Dyk, concluded an employment contract with South African Railways and Harbours for the position of a railway officer. The minor undertook not to terminate the agreement within three years of the date of the contract. Upon majority, the minor sought to declare the contract void. The minor asserted that the guardian was not present at the time of the conclusion of the contract and was unaware of the specific terms of the contract.

The court's finding

The court held that, even though the guardian was unaware of the precise terms of the agreement, there was evidence to show that the guardian had consented to the type of contract. The minor was, therefore, bound by the contract.

Effect of the guardian's consent

Once the guardian has consented to the minor's contract, the guardian is not a party to the contract. The contract is legally binding between the minor and the other contracting party. In the event of a dispute, such as where the minor does not perform in terms of the contract, the guardian cannot be sued for performance in terms of the contract. The guardian does not incur any personal liability, which means that they cannot be held liable on the contract. All legal rights and obligations under the contract apply to the minor and the other contracting party, and not the guardian.

This principle is illustrated in the case law below.

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Marshall v National Wool Industries Ltd 1924 OPD 238

Principle

Where a guardian assists a minor with entering into a contract, the guardian does not incur personal liability in terms of the contract.

Facts

In this case, the minor, Marshall, purchased shares from National Wool Industries with the assistance of the guardian (father). When the minor did not pay the balance of the purchase price, National Wool Industries sued the guardian for the outstanding balance.

The court's finding

The court held that the minor was personally liable to perform on the contract, as the minor was a party to the contract (not the guardian). As such, National Wool Industries ought to have litigated against the minor for the outstanding balance, and not the guardian.

Restitutio in integrum (restitution)

The guardian must always act in the best interests of the minor. However, it can happen that the guardian consents to a contract on behalf of the minor and it turns out to be prejudicial to, or burdensome, to the minor. In this instance, it is possible for the contract to be set aside by a court through an application called *restitutio in integrum*, such that it becomes a void contract. This application can be brought to the court in the following ways:

- If the minor is close to reaching majority, they can wait until they are a major and bring the application on their own.
- The minor can bring the application with the assistance of their guardian.
- The minor can bring the application with the assistance of a **court-appointed representative**.

A **court-appointed representative** is known as a *curator ad litem* and is appointed by a court to represent the best interests of a person who lacks the mental capacity to make decisions for themselves.

Once the court grants restitution to the minor, each contracting party – the minor and the other contracting party – must return any benefits that they received under the contract. This means that each party's position must be restored to what it would have been had the contract not been concluded. The legal bases for claiming the return of benefits received in a contract are:

- unjustified enrichment, in the case of value received
- *rei vindicatio* (vindicatory action), in the case of goods delivered, where ownership of the goods was retained.

Both parties must return any money and/or property delivered in terms of the contract (return of benefits). However, the rules state that they only need to return what they have left of the performance at the time that the other contracting party demands the return of their goods or money. If the party has exchanged the goods or money for something else, the new property must be returned. Furthermore, any benefits that a party derived from the use of the goods or money before the contract was set aside, must also be paid to the other party. For example, suppose that a minor purchased a bicycle for daily travel and saved R30 a day on taxi fare as a result of the purchase. If the minor seeks to return the used bicycle, they also need to pay in the value that they saved by using the bicycle.

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Added value Overview of unjustified enrichment and *rei vindicatio*

- Unjustified enrichment means that someone has been enriched (received money or something of value) unfairly or at the expense of someone else, and there is no legal justification for this to happen. A valid contract would count as a legal justification. If the contract is void or has been set aside, there would be no legal justification for the enrichment, and the enriched person, who received the money or valuable items, has to return the money or value of the enrichment to the impoverished person who gave the money or valuable items.
- *Rei vindicatio*, or vindicatory action, is the legal term for the way in which an owner can legally recover or get back physical property that belongs to them, wherever they may find it. In other words, it is a claim for the return of property based on the **real right** of ownership.

A **real right** is a right that is enforceable against the entire world, such as ownership. On the other hand, a contractual right is usually a personal right, which is only enforceable against the other contracting party.

Wood v Davies 1934 CPD 250

Principle

Where the court grants the remedy of *restitutio in integrum* for an assisted contract that is, or has become, prejudicial to the best interests of the minor, the minor must restore what they have received from the other party, as well as recover what they have performed in terms of the contract.

Facts

The minor's guardian purchased a house from Davies on behalf of the minor, Wood. On attaining majority, the minor sought to terminate the contract of sale.

The court's finding

The court held that the contract was patently prejudicial to the interests of the minor. The purchase price was excessive and there were a number of onerous contractual clauses. The payments would have eroded a substantial portion of an inheritance benefit, which the minor held, and the purchase was regarded as altogether unnecessary, as the minor did not need a separate house to live in. As such, Wood was entitled to rescind the contract of sale. To effect restitution, the minor had to return the property to Davies and was entitled to recover all monies paid to Davies, including interest. Since Wood was enriched by the occupation of the house for a period of time before the remedy was granted, Wood had to compensate Davies for this.

Case study Tshegofatso's Mini crisis

Tshegofatso is 17 years old and lives with their parents in Johannesburg. Tshegofatso will be turning 18 in two months' time. Tshegofatso has a brilliant entrepreneurial mind and has started a part-time business selling cupcakes during school breaks and after school. Tshegofatso manages the day-to-day running of their business, as well as the business bank account. This year, the business has done exceptionally well and Tshegofatso has decided to to buy a cute sports car, as a reward. Tshegofatso goes to Mini Motors and purchases a brand new red two-seater convertible for R400 000 (four hundred thousand rand). Tshegofatso pays a 30% deposit in cash, enters into a credit agreement with Mini Motors to finance the balance of the purchase price of the car and takes delivery of the car at the end of the week. Tshegofatso's parents have consented to the purchase of the car. After paying the first three instalments on the car, Tshegofatso's business starts to decline during tough economic times, and they struggle to pay

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Case study (continued) Tshegofatso's Mini crisis

the high instalments and the maintenance costs of the fancy sports car. Three more months pass by and Tshegofatso has not made any further payments to Mini Motors.

Is Tshegofatso legally bound by the contract, or can they get their money back? Can their parents be liable for the cost of the vehicle if Tshegofatso cannot pay? Consider the *Wood v Davies* 1934 CPD 250 case above. Are there any legal principles from that case which we can apply here?

As this is an assisted contract, Tshegofatso is legally bound by the contract unless they apply to the court for the remedy of *restitutio in integrum*. For *restitutio in integrum*, we will need to consider whether the assisted contract is burdensome on the minor. In this scenario, there are strong indications that the contract is burdensome – the high instalments and the high costs of maintenance that Tshegofatso has to pay for the car, coupled with the fact that they do not really need such an expensive car. Now that Tshegofatso is a major, they can bring the claim in their own name. If the court grants the remedy, Tshegofatso will need to return the car and get back the money they have paid Mini Motors so far. As Tshegofatso was enriched by the use of the car, they will be liable for the value of this benefit (how much they saved on transport during this time).

Tshegofatso's parents do not incur legal liability and cannot be sued for the payment, as they are not parties to the contract.

4.4.5 Legal position of a minor aged seven to 18 years in an unassisted contract in terms of the common law

Effects of an unassisted contract

Where a minor aged seven to 18 years has contracted with another party without the assistance of their guardian, the law protects the minor and holds the other party liable. The contract is **voidable** (not void) at the instance of either the minor (upon reaching majority) or the guardian, which means that they can decide to uphold the contract or set it aside. The other contracting party cannot make this election.

A **voidable** contract is a valid contract, but may be affirmed or rejected at the option of one of the parties.

The following case illustrates the effects of an unassisted contract on a minor.

***Tanne v Foggit* 1938 TPD 43**

Principle

Where a minor enters into a contract without the assistance of a guardian, the minor is not bound to the contract and is, therefore, not liable to perform in terms of the contract.

Facts

The minor, Foggit, entered into a contract with Tanne, the owner of a college, for typing lessons. The contract was concluded without the assistance of the minor's guardian. Payment for the lessons was due in advance and the minor was required to give one month's notice if the minor wanted to terminate the contract. After paying for and attending lessons for one month, the minor stopped attending the lessons in the next month without notice and without payment. Tanne then sued the minor for payment of the outstanding fees for that one month.

The court's finding

The court held that the minor was not liable for the contract for the simple reason that the minor had entered into the contract without the assistance of the guardian. The minor was therefore not contractually liable and did not have to pay the outstanding fees.

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To understand the legal effect of an unassisted contract, we have to consider the rights and duties of both the minor and the other contracting party. Furthermore, we have to consider two situations:

- when the contract continues
- when the contract is set aside.

When the contract continues (ratification)

The contract continues if the unassisted minor's contract is **ratified**, either by their guardian, or within a **reasonable time** by the minor upon reaching majority (expressly or tacitly). The contract then becomes an assisted contract. This means that the contract is valid, so the minor acquires the rights and duties specified in the contract, and is personally liable to the other contracting party. Both the minor and the other contracting party have to perform in terms of the contract.

The following case law illustrates a situation where a minor ratifies the contract tacitly by continuing to use the goods purchased even after becoming a major.

To **ratify** a contract means that consent is given to the contract after the minor has entered into it.

The length of a **reasonable time** in a legal context depends on the facts of the case.

Stuttaford and Co. v Oberholzer 1921 CPD 855

Principle

A minor who enters into an unassisted contract can become bound by the contract if they, or their guardian, ratify the contract expressly or tacitly upon attaining majority.

Facts

This case provides an illustration of where a minor tacitly ratifies a contract themselves. A minor, Oberholzer, purchased a motorcycle on instalments without the assistance of the guardian. The minor, upon majority, continued to use the motorcycle without paying the instalments. The other party, Stuttaford and Co., sued the minor for the outstanding payment. The minor contended that they were not bound to the contract because it was an unassisted contract. An important fact here is that the minor continued to use the motorcycle after attaining majority, acting as the owner of it, even after the other party instituted legal proceedings and, in so doing, exercised ownership rights over the motorcycle.

The court's finding

The court held that the minor was bound by the contract after tacitly ratifying the contract by continuing to use the motorcycle after attaining majority, thereby giving their own consent to the contract after it had been concluded.

When the contract is set aside

The contract does not continue if it is rejected by either the minor's guardian or by the minor upon reaching majority. The contract is then declared void. If a contract is declared void, the parties must be restored to their positions prior to the contract being formed. Like with *restitutio in integrum*, the same consequences apply, which means that both parties must return any benefits they received, using the principles of unjustified enrichment and the *rei vindicatio*, as explained above.

The other contracting party may not have a remedy in the law of contract, but may be able to rely on the law of delict for a suitable remedy.

When a minor fraudulently misleads the other party into believing that they have contractual capacity, the other party will have a claim based in delict against the minor. This claim will not be to force the minor to comply with the contract – rather, it is a claim for compensation for the losses the other party suffered because of the minor's wrongful conduct. Refer back to the discussion of delict under the different branches of the law in Chapter 2.

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4.5 Contractual capacity of persons in civil marriages, civil unions, and African customary marriages

4.5.1 Civil marriages

In South Africa, in civil law, people who want to get married have several legal options in the way that they deal with the ownership of their **assets** and **liabilities**. They can get married either in community of property or out of community of property. If they get married out of community of property, they can choose to do so with or without accrual. Below, we will explain all these matrimonial regimes and the contractual capacities attached to each option. We will also briefly consider partners in civil unions and spouses in African customary marriages.

Your **assets** are the property and money you own, and your **liabilities** are your debts or what you owe to a creditor.

Marriage in community of property

When a couple gets married in community of property, the separate assets and liabilities of both spouses are joined together in a joint estate. In other words, they share what they each bring into their marriage. They also share assets gained and liabilities incurred during the marriage. Marriage in community of property is the default regime in this country. This means that, if a couple gets married without drawing up and registering an **antenuptial** contract, they will automatically be considered to be married in community of property.

Antenuptial means 'before marriage'. In the United States, the term 'prenuptial agreement' is used to refer to this type of marriage agreement.

The benefit of this type of marriage is that both spouses have an equal share in each other's assets, including assets that they bring into the marriage (unless otherwise regulated by law). The disadvantage is that they also share each other's liabilities. The parties are **jointly and severally liable**. If the joint estate is sequestrated (declared insolvent) by a court, both spouses will be declared insolvent. The reason for this is that they have one joint estate, which is seen as one economic unit in the eyes of the law.

Joint and several liability means that creditors can sue each spouse independently, or together, for the full amount of the debt.

In a marriage that is in community of property, both spouses have full and equal contractual capacity individually to enter into contracts concerning the joint estate. In other words, for most types of contracts, either spouse can enter into the contract without the consent of the other spouse.

However, the law regards certain contracts as being too important for a spouse to conclude alone. It requires the consent of the other spouse for the contract to be valid. For such contracts, the spouses have limited contractual capacity, as they cannot act alone, but need each other's consent to enter into these contracts.

In terms of the Matrimonial Property Act 88 of 1984, there are three different forms of consent that may be required:

1. written consent signed by both spouses and two witnesses
2. written consent of both spouses
3. express or implied informal consent.

Written consent signed by both spouses and two witnesses

This is the most stringent consent requirement, which is used for only the most important contracts, such as:

- the sale or mortgage of immovable property, like a house, an apartment or a farm
- a surety agreement in which a third party guarantees (stands surety) that a debtor will pay a creditor
- a credit agreement by which you can buy goods like furniture and pay off the purchase price over time.

Both spouses must sign the written consent, which is then also signed by two **witnesses**.

Witnesses are people who observe the signature being made and can guarantee that it was made by the person whose name appears on the document, by signing their own signatures alongside or below.

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Written consent of both spouses

Both spouses must give written consent for the transferring (selling) of valuable assets that belong to both spouses, such as **shares**, insurance policies, investments in a bank, jewellery, coins, stamps, paintings (which are kept as investments), and the withdrawal of one spouse's money that is held by the other spouse in a bank.

In simple terms, **shares** refer to investments in a company.

Express or implied informal consent

For contracts that are less important, the only consent required is that both spouses agree to the contract. This consent does not need to be in writing and can be either expressed or implied consent. The Act lists certain contracts that require this consent, such as donations and the sale of furniture.

Marriage out of community of property

When a couple gets married out of community of property, they each continue to own their property separately. As owners, they are each entitled to deal with their own property as they wish. In other words, they have full contractual capacity with regard to their own property, and they do not need the consent of the other spouse to contract. They do not need the consent of the other spouse, as each spouse owns their own respective property. Each spouse is also responsible for their own liabilities.

For a marriage to be concluded out of community of property, both parties have to sign an antenuptial contract in front of a **notary public** before the conclusion of the marriage. The antenuptial contract has to be registered by the notary public at the **Deeds Office** within three months of the marriage.

There are two types of marriage out of community of property: those without accrual and those with accrual.

The role of a **notary public** is complex. In simple terms, this refers to a specialised attorney who is authorised by the High Court to witness signatures, draw and authenticate agreements, and legalise certain documents (such as marriage agreements).

The **Deeds Office** is a place where certain important documents are kept.

Marriage out of community of property without accrual

In a marriage without accrual, the assets and liabilities of the spouses are kept separate before, during and after the marriage. As far as their assets and liabilities are concerned, it is almost as if they are not married. They have separate estates. The advantage of this form of marriage is that the spouses do not share liabilities. Let us consider a married heterosexual couple as an example. If the husband goes insolvent, the wife will not automatically be insolvent as well. However, one disadvantage is that, if one partner stays at home to look after the children while the other works full-time, the spouse who does not earn an income during this time will not automatically have a claim to the estate of the other spouse if they divorce. They would both leave the marriage with what they had made separately during the marriage, which could be unfair.

Added value Landmark judgment on marriage out of community of property without accrual

In May 2022, the Gauteng High Court in *Greyling v Minister of Home Affairs and Others* ZAGPPHC 3 (11 May 2022) (case number 40023/21) held that it was unconstitutional that spouses married out of community of property had no claim against the estate of the other spouse upon divorce. The court held that, if the spouse contributed to the growth of the other spouse's estate, they should have a claim in proportion to their contribution.

This decision opens the door to ensuring greater fairness in recognising and correcting the power imbalance and economic inequity between spouses married out of community of property without accrual. However, this is a High Court decision and is, therefore, currently only binding on courts within their geographical area (refer back to the discussion of judicial precedent in Chapter 1). At the time of this book's publication, this landmark judgment had been referred to the Constitutional Court for final confirmation. This is, therefore, a developing area of law.

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Marriage out of community of property with accrual

In a marriage with accrual, the property that the partners bring into the marriage is kept separate and, while the marriage continues, the assets acquired and liabilities incurred during the marriage are also managed separately. Also, if one spouse is sequestrated in terms of the law of insolvency, the other spouse is not automatically sequestrated. So far, this marriage regime sounds similar to a marriage without accrual.

However, if the marriage comes to an end (through either death or divorce), the growth in each spouse's estate during the marriage is shared according to a percentage (usually, equally), as agreed upon by both spouses in the marriage contract. For example, assume that Spouse 1's estate is worth R100 000, and Spouse 2 is worth R50 000 at the start of the marriage. At the time of divorce, after deducting liabilities, Spouse 1's estate is valued at R150 000 and Spouse 2's estate is still valued at R50 000. Applying the basic principles relating to the marriage out of community of property without accrual, Spouse 1 will have to share the growth of R50 000 in their estate with Spouse 2 according to the percentage stipulated in their marriage contract. For example, if they agreed on an equal split, Spouse 1 will have to transfer R25 000 to Spouse 2.

The advantage of this type of marriage regime is that during the marriage each spouse has a separate estate, with separate assets and liabilities, but when the marriage ends, both spouses share in the growth of the other's estate. This system, therefore, has the benefits of both marriage in community of property and marriage out of community without accrual, but without the harsh disadvantages.

Activity 4.1 Marriage regimes

Consider the scenario below, and then write down which marriage regime you think would be the best fit for the couple.

At the time of the marriage, Partner A has three houses in three different cities, two investment properties in Italy, a healthy investment portfolio and earns over R3 million per annum. Partner B owns one residential property, has a small savings account for emergencies, and intends to be the homemaker and primary caregiver of their children.

Would your answer be different if both partners were equally wealthy? What about the situation where both partners were not wealthy and each of them only had savings of R500, with one spouse having a clothing account with a debt of R1 250?

Discuss your answers with a study partner. How do your answers compare?

Liability of married spouses for common household necessities

Whether spouses are married in or out of community of property, both spouses are jointly and severally liable for debts arising from common household necessities. Let us look at the case law below where the court determines what constitutes a common household necessity.

Reloomel v Ramsay 1920 TPD 371

Principle

Necessities are considered to be things that are required for the household of the spouses in accordance with their standard of lifestyle.

Facts

Dr. Ramsay left his wife, to whom he was married out of community of property, and their two children for a year. Dr. Ramsay left a monthly allowance of £30 for household expenses and forbade his wife to buy anything on credit. When he returned, Dr. Ramsay discovered that his wife had bought £13.85 worth of silk material from Reloomel to make clothes for herself and their children. He refused to pay for this debt, on the basis that the items were not household necessities and that his wife was instructed to not incur debt on the husband's behalf.

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***Reloomel v Ramsay* 1920 TPD 371 (continued)**

The court's finding

The court held that necessities are things that are required for the household of the spouses in accordance with their status, their mode of living, and the usual customs of the place where they live. What may be regarded as a necessity in the case of spouses who live a life of luxury will not be regarded as a necessity in the case of spouses who live more modestly. Based on how Dr. Ramsay and his wife had been living up to the time of Dr. Ramsay's absence, the dresses could be regarded as a necessity. Therefore, Dr. Ramsay had to pay the outstanding amount. The standard of living will differ from home to home. This is determined as a question of fact.

Let us now consider the following case study, which illustrates how joint and several liability works in a practical scenario.

Case study Joint and several liability

Arthur and Martha are married out of community of property without accrual. Once the president declared a national state of disaster due to Covid-19 in 2020, Martha went to their local grocer on the corner and bought groceries to the value of R6 000 on credit. Martha bought essential items that the couple normally buys. A month later, Martha did not pay the storeowner, Phumelo, since they just received a notice from their employer that they were going to be retrenched due to the downturn in the economy caused by Covid-19. After doing their budget for the next few months, Martha did not have any cash available to pay Phumelo.

Arthur is furious at the large grocery bill and refuses to pay for any of the groceries, claiming that the grocery bill is excessive and that they did not approve the transaction. Arthur adds that Martha must 'make a plan'.

What are Phumelo's options in terms of claiming the outstanding payment from Arthur and/or Martha? Give reasons for your answers.

Answer: Irrespective of the marriage regime, spouses are jointly and severally liable for household necessities. In this case, the groceries would constitute household necessities as they comprise essentials that the couple normally buys. Here are Phumelo's options:
Option 1: Claim the full R6 000 from Martha, or
Option 2: Claim the full R6 000 from Arthur, or
Option 3: Claim from both Arthur and Martha jointly in any proportion totaling 100%.

Joint and several liability puts the creditor in the best legal position to secure payment for the debt.

4.5.2 Civil unions

Civil unions are marriages between two persons under the Civil Union Act 17 of 2006. South Africa was one of the first countries to recognise civil unions between same-sex partners. Note that civil unions are not limited to same-sex partners.

Partners in civil unions have the same rights and responsibilities as civil marriages. Partners in a civil union will be automatically regarded as being married in community of property, unless the partners contract otherwise, such as enter into an antenuptial agreement. The same principles from above will apply.

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4.5.3 African customary marriages

The Recognition of Customary Marriages Act 120 of 1998 regulates marriage under African customary law. Since this Act, a monogamous customary marriage (marriage between one husband and one wife) is regarded as being in community of property, which means that the spouses will have a joint estate. However, the parties can contract out of this default regime and conclude an antenuptial contract.

In the event of a polygynous marriage, where the husband seeks to conclude a second or further customary marriage, the husband must apply to the High Court to regulate the matrimonial regime of the respective marriages. The purpose of this application is to protect spouses' marriage rights. If a polygynous marriage is concluded without an order from the High Court, it will still be valid. However, the marriage will be concluded out of community of property.

4.6 Contractual capacity of persons who are mentally incapacitated at the time of the contract

If a person does not understand the nature of the contract and does not appreciate the consequences thereof due to mental incapacity, they are not legally bound by the contract. In this way, the law protects these persons. As the person cannot be forced to comply with the contract, they would have to return what they received in terms of the contract.

There are various reasons that may lead to a person being incapacitated. In this section, we will focus on mentally ill persons and intoxicated persons.

Mentally ill persons

Generally, contracts concluded by a mentally ill person are void and unenforceable against the person, on the basis that they do not understand the nature and terms of the contract (lack of contractual capacity). A court-appointed representative (*curator ad litem*) may be appointed to manage the affairs of the mentally ill person, including administering their estate and concluding contracts on their behalf.

An exception is where there is evidence that the mentally ill person contracted in a moment of lucidity, in which case the court may hold them held liable on the contract. This will, of course, depend on the nature of the person's mental illness.

Intoxicated persons

In order for an intoxicated person to avoid liability on a contract entered into while intoxicated, the court will need to determine whether the person was so intoxicated at the time that they did not realise that they entered into a contract, did not understand the terms of the contract, and could not control their actions. If this can be established with evidence, the intoxicated person's contract will be void and unenforceable. The onus of proving the incapacity will rest on the person who seeks to avoid liability on the basis of intoxication.

4.7 Contractual capacity regarding insolvent persons

A person is factually insolvent if they owe more than they own (if their liabilities exceed their assets). When the court declares someone insolvent, it issues a sequestration order. To sequestrate means to take legal possession of the insolvent's property until all debts have been paid or other claims have been met. The Insolvency Act 24 of 1936 (Insolvency Act) governs the insolvency of a natural person.

Before final sequestration, the person is called a debtor (a person who owes a performance, usually money). After final sequestration, they are called an insolvent.

Once the High Court declares a person insolvent, the impact is wide-ranging as it affects their legal status, property, civil legal proceedings, and contracts concluded before sequestration. For our purpose, an important consequence is that the insolvent's contractual capacity changes from full capacity to limited capacity. The insolvent estate will vest in a **trustee**, who takes custody and control of the estate (except certain personal items, such as clothes, bedding, and specific financial benefits listed in the Insolvency Act.)

The **trustee** is a person appointed by Master of the High Court to take care of the insolvent person's estate for the benefit of the creditors.

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The insolvent's limited contractual capacity has important consequences. Here are a few key consequences:

- The insolvent is disqualified from holding certain offices. For example, as a member of the provincial legislature or the director of a company.
- The insolvent may not engage in business, directly or indirectly, as a general dealer or manufacturer, even if the insolvent is employed in these businesses, without the written consent of the trustee.
- The insolvent is not allowed to conclude any contracts that seek to further impoverish the estate, such as selling a vehicle for quick cash, or buying an expensive watch that the estate would have to pay for.

If the insolvent enters into any of these transactions without the consent of the trustee, they are voidable at the instance of the trustee.

In order to avoid these harsh consequences of insolvency, it is imperative that you, as a natural person, administer your personal estate and business dealings with the utmost care and caution.

If the insolvent enters into a contract that is prohibited by the Insolvency Act, without the written consent of the trustee, the contract is voidable at the instance of the trustee. By this, we mean that it is valid until the trustee decides to set it aside.

When an insolvent is **rehabilitated**, it means they are freed from the consequences of insolvency and their contractual capacity is restored.

An insolvent is automatically **rehabilitated** after 10 years, or by the court before 10 years, subject to certain circumstances listed in the Insolvency Act.

Now that you have worked through the chapter on contractual capacity, let us go back to the scenario with Sienna and Sherman. Are you now able to answer the questions? Well, let us discuss the answers. As Sienna was a minor at the time of entering into the contract, they have limited contractual capacity and required a parent's consent for the contract with Sherman. The unassisted contract will therefore be voidable. As Sienna's parent did not ratify the contract, Sienna has to give back the iPad and recover their money from Sherman. Sherman will have no choice but to comply.

If Sherman was so drunk at the time the contract was concluded that they lacked judgement, the contract will in any event be void because then Sherman will lack contractual capacity. This will also mean that the parties will have to give back what they each received from the other.

What do you think?

Do you think that the law should allow intoxicated persons to escape liability on a contract? If we hold intoxicated persons liable in criminal law, should we follow a similar approach in the law of contract?

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Chapter summary

In this chapter, you learned the following about the laws relating to contractual capacity:

- There are several factors that can affect a person's capacity to enter into a legally binding contract:
  - minority
  - marriage
  - mental incapacity
  - insolvency.
- Guardianship is the ability to assist a minor with legal administration.
- A minor below seven years of age does not have contractual capacity, as the minor lacks intellect and judgment.
- A minor between seven years and 18 years has limited contractual capacity, as the minor has intellect, but limited judgment, and therefore their guardians must assist or consent to their contract.
- A minor who enters into an unassisted contract is not bound by the contract, but the law holds the other contracting party (the major) liable.

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- An unassisted contract can be ratified by either the guardian or by the minor upon reaching majority.
- The guardian who assists a minor in concluding a contract does not incur personal liability in terms of the minor's contract.
- A marriage may be in or out of community of property:
  - In a marriage in community of property, both parties have full contractual capacity with regard to the joint estate, unless the law requires both spouses' consent in certain types of contracts.
  - Both spouses in a marriage out of community of property have full contractual capacity with regard to their respective estates.
- A person who is mentally incapacitated lacks contractual capacity.
- An insolvent has limited contractual capacity until rehabilitation. Certain contracts that the insolvent entered into without the consent of the trustee, are voidable at the discretion of the trustee, who takes control and custody of the insolvent estate.

Review your understanding

1. What legal remedy is available to assist a minor in an assisted burdensome contract? Would your answer be different if the assisted contract was not burdensome?
2. Explain why the law does not hold an intoxicated person contractually liable.
3. Discuss the impact of sequestration on an insolvent.
4. Shannon and Alex are married in community of property, and Alex owns a flat from before the marriage. Identify the CORRECT statement below.
   a) If the flat is valued at R500 00 or less, the property will not form a part of the joint estate.
   b) If Alex sells the flat within the first year of marriage, the property will not form a part of the joint estate.
   c) The flat now forms an asset in the joint estate, half of which belongs to Shannon after marriage.
   d) The law allows Alex to transfer the flat to their brother's name, within three months of the marriage, to avoid sharing the flat with Shannon. After all, Alex bought the flat with their own money prior to the marriage.
5. Sithembile, who is turning 18 years old next month in July, buys a turntable record player for R3 500 in June with the assistance of their mother. Six months later, Sithembile wants to return the item. Identify the CORRECT statement below.
   a) Sithembile is allowed to return the turntable record player, as they were a minor at the time of the contract.
   b) This is a burdensome contract, therefore, Sithembile can apply to court for restitution.
   c) Sithembile has ratified the contract because a reasonable time has passed after they became a major.
   d) Sithembile is legally bound by the contract, as it was an assisted contract.

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Further reading

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Reaching agreement

Chapter 5

The main ideas

- What makes a legally binding agreement?
- Requirements for a valid offer
- Requirements for a valid acceptance
- Requirements for concluding contracts
- What is an option?
- What is a right of first refusal?

The main skills

- Discuss the requirements for the formation of a contract.
- Interpret, explain, and define terms and concepts.
- Analyse case studies on reaching agreement.
- Apply knowledge of theory on legal agreements.
- Solve legal problems and make decisions.
- Answer questions on whether a binding agreement was reached in different scenarios.

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Now that we know who can legally enter into a contract, we look at the next requirement for a valid contract, which is agreement. This chapter explains how the two parties reach agreement or consensus. First, we examine the contract formation process, consisting of an offer and an acceptance. Then we look briefly at different ways of concluding a contract. Chapter 6 will look at what happens when problems arise with the conclusion of contracts.

Before you start

You see an advertisement for a specific type of laptop for sale at a nearby store, at a very low price of R5 000. The ad reads: 'Hurry, hurry, hurry! Only ten laptops available at this special price! Get yourself to our store before stocks run out!' Excited, you immediately rush to the store and tell them you want to buy the laptop at the advertised price. However, the salesperson tells you that, although the store still has four laptops left, the manager has decided to cancel the special as they felt the store was not making enough profits on the sale of these laptops at the advertised price. Can you insist that the store sell you the laptop for R5 000?

5.1 What makes a legal agreement?

In Chapter 2, we defined a contract as a deliberate legally binding agreement between two or more competent parties. This definition tells us two things about a contract:

1. Both parties have to agree on something, and they must be clear about what they are agreeing on. In other words, there must be consensus on the terms of the contract.
2. Both parties must seriously intend to be legally bound by the terms of the contract. For example, if two friends agree to meet for coffee, that does not create a contract between them, since they do not intend it to be a legally binding agreement.

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There are several approaches to the rationale for holding individuals bound by their contracts. These are:

- the wills theory
- the declaration theory
- the reliance theory.

The wills theory suggests that a person should be bound by their contract as they have chosen to be bound. This is a subjective approach and the law considers what the contracting parties were thinking when they entered into the contract. For example, if I intend to enter into a contract with Andries, but I mistakenly communicate with Xolani, my contract with Xolani cannot be valid as that was not my intention.

The declaration theory states that how people act, not what they think, is the reason we hold people bound by contracts. If they objectively behave as if there is a contract, the law regards the contract as having come into legal existence. Using the same example, there would be a valid contract between me and Xolani, as the law is concerned only with external appearances (what you do), and not what you think (subjective).

The reliance theory is a combination of the above two theories**.** It proposes that the basis of a contract is found in one party reasonably relying on agreement between the parties, because of the behaviour of the other party. Using the same example, if Xolani reasonably relied on my communication as showing agreement, there would be a valid contract between me and Xolani.

South African law has adopted the wills theory's subjective approach to contract law as its point of departure. In other words, as a rule, there must be subjective agreement between the parties for there to be a valid agreement. However, where there is no subjective agreement, the reliance theory is used as a secondary basis, so that there can still be a valid contract as long as one of the parties reasonably relied on the other party's conduct as showing agreement. Lack of subjective agreement and the role of the reliance theory is discussed in more detail in Chapter 6 in Section 6.2 on the two types of mistake.

In the next section, we will look at how parties reach agreement. If we look at the communication between two people who want to enter into a contract, we can always identify two parts:

- an **offer**
- an acceptance.

An **offer** is a proposal or request to enter into a contract on specific terms.

One party has to make a valid offer and the other party has to accept the offer in a valid way. Both the offer and the acceptance must meet certain requirements to be valid. As a general rule, a contract only comes into existence once all these requirements are satisfied. Once a contract is concluded, both parties are legally bound by that contract and must perform in terms of the contract. As long as the contract does not exist yet, the parties can still change their minds and not enter into the contract. So, it is important to determine exactly when a contract is concluded.

Concluding refers to the time and place that the contract was concluded. It is not usually a separate step in the process.

Therefore, there are three aspects to forming a valid agreement, namely:

1. making an offer
2. accepting an offer
3. **concluding** a contract.

Each aspect is examined briefly and then the requirements for each one are specified in detail.

5.1.1 Making an offer

The first step in making an agreement is for one party to make an offer. The person who makes the offer is called an offeror. The person who receives the offer is called the offeree. The declaration (or statement) of the offer contains all the terms on which the offeror is prepared to contract. So we can define an offer as the way in which an offeror declares to the offeree their intention to enter into a contract and specifies the terms of the contract.

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5.1.2 Accepting an offer

An acceptance is the offeree's declaration of their intention to enter into a contract with the offeror, with the terms of the contract being those given in the offer. In other words, the offeree accepts by saying that they want to have a contract with the offeror, and that they agree to the terms stated in the offer. The offeree's acceptance of the offer is what makes the interaction become a contract.

5.1.3 Concluding a contract

If you have ever signed a legal document, you may recall that it said something like: *Signed at* _____ *this* ____ *day of* _____ *20*____. followed by a space for your signature. There was probably a similar statement of place and time for the other party's signature. It is important to know when and where a contract is concluded, as this indicates when and where it became legally binding on the parties to the contract.

The general rule is that a contract is created when and where the offeror is informed that the offeree accepts the offer. (This is known as the information theory.) If the two parties were standing in front of each other when they finalised the contract, it is clear where the contract was concluded – the place where they were meeting. It is also easy to say when the contact was created – when the offeror heard the offeree say that they accepted the offer.

Where the parties are not in each other's presence when the offer is accepted, it becomes more complicated to determine exactly when and where the contract is concluded.

Suppose that an insurance company sends me a letter offering me an upgrade on my motor vehicle insurance policy. I consider the offer carefully, and I sign the document to accept it. Then, I crash my car on the way back from posting the letter. Am I insured under that new policy?

For these situations, special rules have evolved, which will be discussed in more detail later.

Now let us consider the detailed requirements for each aspect of a valid offer.

5.2. Requirements for a valid offer

For an offer to be valid, it has to meet the following five requirements:

1. The offer must be complete.
2. The offer must be clear.
3. The offer must be made with the intention of creating a contract.
4. The offer must be made in the prescribed form, if any.
5. The offer must be communicated to the offeree.
6. The offer must be current and must not have lapsed or been rejected or revoked.

5.2.1 Completeness

The offer must be complete. It must contain all the terms that the offeror wants to have in the contract. In other words, the offeror must explain fully what they want the contract to say, so that if the offeree agrees to these provisions, the contract will be created. For example, suppose I tell you that I want to rent you my flat. I describe the flat to you in great detail, but I do not tell you the rental I want to charge for it. Then the offer is not valid because it is incomplete.

5.2.2 Clarity

The offer must be clear. The offer must be made in such a way that the offeree can understand exactly what contract the offeror wants. The following are some of the points the offer should clarify:

- what type of contract it is
- what the aim of the contract is
- what amount of money is involved
- the time of performance, in other words, when the parties will do what they are each agreeing to do.

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For example, suppose you ask a senior student if you can borrow their legal dictionary. The student shows you several, then picks one and says you 'can have' this one. However, you still do not know whether they mean you can borrow it or whether they are giving it to you, or whether they mean that you can buy it from them if you would like to. Maybe they even mean that you can have it as a gift at the end of the year when they finish their studies. This is not a valid offer, because it is not clear.

5.2.3 Contract intention

The offer must be made with the intention of creating a contract. The offeror must intend to be bound by the offer, so that if the offeree accepts, there will be a contract. For example, if you admire my new Mini Cooper and I, jokingly, say that I'll swap it for the beer in your hand, that is not a valid offer, because I am merely joking and do not intend to draw up a contract if you agree to my suggestion. As you can imagine, it is not always easy to determine how serious people's intentions are. However, for certain scenarios, the law has developed guidelines to decide whether a statement was intended as an offer, as discussed below.

Advertisements

Advertising and the display of goods is an area of business where intentions are often unclear or misleading. Our common law states that, as a general rule, an advertisement or a display of goods is not an offer as the person placing the advertisement does not intend it to be an offer. The advertisement or the display of goods is merely an invitation to do business. In other words, it is a way of telling people that the advertiser wants to sell their product and they are asking people to make offers. The advertiser will then decide to accept or reject the offer. The term 'advertisement' includes the price tag or marking on an item in a shop and the price mentioned in a printed brochure or media display.

Let us look at the following two cases with regard to advertising and the display of goods. The second case is in relation to the self-service system.

Crawley v Rex 1909 TS 1105

Principle

A display of goods for sale in a shop window, inside a shop or in print, online or on broadcast media as an advertisement, does not amount to an offer to sell. This is simply an invitation to the public to do business.

Facts

The shopkeeper advertised tobacco on sale, using a placard outside the store. The customer, seeing the advertisement, went into the shop, purchased an amount of tobacco on sale, left the shop and returned a short while later wanting to purchase more tobacco.

The shopkeeper refused to sell more tobacco to the customer, and when the customer refused to leave the shop, the shopkeeper called a policeman, who charged the customer with the offence of refusing to leave the premises on the request of the shopkeeper. The customer contended that the advertisement was an offer to sell by the shopkeeper and that the customer had accepted this offer when the said customer walked into the shop to take delivery of the goods.

The court's finding

The court held that the advertisement was an invitation to the public to do business – it was not an offer to sell. Therefore, the shopkeeper was not bound to sell to every customer who walked into the shop to purchase the goods. It is the customer who makes an offer to the shopkeeper to purchase the advertised goods and it is up to the shopkeeper whether or not to accept that offer. The customer in this case was therefore guilty of the offence of refusing to leave the shopkeeper's premises upon request.

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Pharmaceutical Society of Great Britain v Boots Cash Chemist (Southern) Ltd [1953] All ER 482 (CA)

Principle

The principle in *Crawley v Rex* 1909 TS 1105 has been extended to self-service shops. The self-service system is an invitation to the public to come forward and make an offer to buy. A customer makes an offer to purchase when they tender the purchase price to the cashier (who may either accept or reject the offer at that point) and not when they remove the goods from the shelves.

Facts

Boots Cash Chemist was a self-service shop that sold certain medical drugs, which were controlled by legislation. In terms of this legislation, the sale of these drugs could only be effected by or under the supervision of a registered pharmacist. The customer took the items in question off the shelf, placed them in the baskets provided by the store and paid the purchase price to the cashier. The Pharmaceutical Society of Great Britain asserted that the pharmacy was in contravention of the law as the sale took place without supervision when the customer removed the items from the shelf and placed the items in the basket.

The court's finding

The court held that the pharmacy was not in contravention of the law as the self-service system was an invitation to buy, that the customer made an offer to buy only when payment was tendered to the cashier. The pharmacist was free to accept or reject this offer. The transaction therefore took place under the supervision of a registered pharmacist.

For example, suppose you see an advert advertising a position as a mathematics tutor at R100 per hour. You immediately contact the advertiser to tell them that you want the job. However, they tell you that they have received many applications, and will decide later who they will appoint. You cannot claim that you have a contract with the advertiser. The advertisement was the advertiser's way of telling the public that they were looking for a mathematics tutor. It was merely an invitation to do business. When you contacted them, you made an offer, but because the advertiser did not accept your offer, there is no contract.

In exceptional cases, if it is clear from the type of advertisement and the surrounding circumstances that the advertisement is intended to be an offer, the law will regard it as an offer. One such example is an advertisement offering a reward, as discussed below.

As mentioned in Chapter 3, the Consumer Protection Act 68 of 2008 (CPA) applies to certain contracts between suppliers and consumers only where the supplier sells goods or services 'in the ordinary course of business'. Section 23(6) of the CPA, deals with prices displayed for a product and states that a supplier must not require a consumer to pay a price for any goods or services higher than the displayed price for the goods or services. For example, if there are two prices displayed, the supplier cannot charge more than the lower price displayed. There are exceptions to this rule, such as, if the price advertised is obviously a mistake – but only after the supplier has taken reasonable steps to inform consumers of the error – or if someone else changed the price.

Case study Jonah and the pricing error

Jonah is a new employee at Megastores. The manager tells them that the price for all of the televisions sets in the store has been reduced by 5%, and that Jonah must change the price tags accordingly. Jonah accidentally changes all the price tags to R5. Is Megastores obliged to sell the television sets at R5 each?

The price of R5 per television is an obvious error. Megastores must take reasonable steps to inform all shoppers of the error, such as by way of an announcement on the in-store sound system. Once they have done so, Megastores do not have to sell the sets at R5. However, before the announcement, they will be obliged to sell the sets to customers at R5 each.

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In relation to advertisements, section 30(2) of the CPA states that if a supplier has stated a limitation on the availability of goods or services advertised at a specified price, the supplier must provide the product to consumers within the stated limitations.

By now, you should be able to answer the question posed at the start of the chapter, in the 'Before you start' section. The CPA will apply to this particular transaction, as the store sells laptops in the ordinary course of their business. The advertisement stated a limitation on the availability of the product, by stating that only ten laptops were available at the advertised price, and there were still some of those laptops left. The store is therefore obliged to sell the laptop to you at the advertised price in terms of section 30(2) of the Act.

Rewards

If an advertisement offers a reward, the advertiser's intention is that they will pay a reward to anybody who meets the conditions of the reward. Therefore, the law regards the advertisement for a reward as an offer to the public. If a person fulfils the requirements for the reward, the offeror is contractually liable to pay the reward. For example, if you place an advertisement in the newspaper stating that you will pay R500 to anyone who safely returns your lost dog, then that is an offer, not an invitation, to do business. If someone sees the advertisement and returns your dog, then there is a contract between the two of you and you are obliged (bound) to pay the reward.

When a party is **contractually liable**, it means that party is bound by the law of contract, and and they are obliged to perform according to the terms of the contract.

Carlill v Carbolic Smoke Ball Co. [1893] 1 QB 256 (CA) is a famous example of an advertiser being held **contractually liable** to pay a reward.

Carlill v Carbolic Smoke Ball Co. [1893] 1 QB 256 (CA)

Principle

In certain instances, an advertisement can constitute an offer depending on the nature of the advertisement, the wording and all the surrounding circumstances.

Facts

An exception to the principle that an advertisement does not constitute an offer is illustrated in this well known English case. Here, the Carbolic Smoke Ball Co. advertised in the press that it would pay an amount of money to anyone who contracted influenza after using its product, the carbolic smoke ball, in accordance with the prescribed method. Carlill, having read the advertisement, used the product and contracted influenza nonetheless. Carlill then sued the company for the reward. However, the company refused to pay the reward on the basis that it was merely inviting the public to use the product and it was not an offer to the public.

The court's finding

The court ruled that, in this case, the advertisement was not merely an invitation to the public to do business. The extract '£1000 is deposited with the Alliance Bank, Regent Street, showing our sincerity in the matter' was a clear indication to the public that the terms of the advertisement were to be understood as a firm offer. The company was therefore liable to pay the reward to the customer.

Auctions

An auction is a public sale of goods or property, where interested people compete against one another by trying to outbid one another for the items on sale. The auctioneer calls out a price for which they are prepared to sell the item and people in the audience indicate whether they are willing to pay that price.

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There are two types of auction:

- without reserve
- with reserve.

In an auction without reserve, no minimum price is set for the item. The auctioneer will sell the item to the highest bidder. In other words, the auctioneer is making an offer to sell the items to the person who makes the highest bid. That person, by bidding, accepts this offer, and so creates a contract.

In an auction with reserve, by contrast, the auctioneer reserves the right not to sell the item to the highest bidder. This is usually because the seller specified a minimum price at which the auctioneer can sell the item. Therefore, when the auctioneer asks for bids, they are not willing to sell the item to the person making the highest bid. The auctioneer is therefore not making an offer – they are merely inviting people to do business. When people make bids, they are making offers, which the auctioneer can decide to accept or reject.

5.2.4 In the prescribed form, if any

An offer does not usually need to be in any particular form. It can take place verbally, in writing or electronically. However, in some cases, the law prescribes specific formalities, such as writing, for a specific type of contract. In such cases, the offer must also comply with these formalities. See the discussion of formalities in Chapter 7.

Even if writing is not required as a formality, it is still a good idea to reduce an offer to writing and sign it, so that it can be used as evidence if a dispute arises.

5.2.5 Communication

The offer must be communicated to the offeree, because they cannot accept an offer if they do not know about it. This is discussed in more detail in the section on the requirements for a valid acceptance. Communication can take place in any manner, even by way of a third party.

5.2.6 Current

The offer must be a current offer – it must not have:

- lapsed
- been rejected
- been revoked.

If the offer has lapsed, if the offeree has rejected it or the offeror has revoked it, the offer has come to an end. This means that the offer is no longer in existence, and the offeror may no longer accept it. Let us look at each situation in turn.

A lapsed offer

Usually, an offer only stays open for a specified period of time. When that time has passed, the offer lapses, expires, or falls away. It is no longer valid and the offeror may not accept it. If the offer does not have a set time limit, it remains valid for a reasonable period of time. (What is reasonable will depend on the circumstances of the offer.) An offer also lapses if either the offeror or offeree dies before the offer is accepted, if either party no longer has contractual capacity, such as due to insanity, or if the performance becomes impossible.

A rejected offer

If I make you an offer and you refuse to accept it, the offer comes to an end. By refusing to accept the offer, you have declined or rejected the offer. When you make a **counteroffer**, you are rejecting the first offer (bringing it to an end), and you are then making a brand new offer. In the case of a counter offer, the parties swap roles – the original offeror now becomes the offeree, and the original offeree then becomes the offeror. As the parties go

A **counteroffer** is a response to an initial offer, whereby the offeree offers to contract on different terms than the initial offer.

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back and forth in negotiations, as often happens when contracting, the parties continue to swap roles. At the conclusion of the contract, it is important to identify at that final stage which of the parties were the offeror and offeree respectively.

For example, suppose I offer to sell you my car for R50 000, and you tell me that you are only willing to pay R40 000 for it. Your counteroffer of R40 000 is a way of rejecting my original offer, which therefore comes to an end. Instead, you have offered me R40 000 for my car, and now it is my turn to decide whether to accept or reject your offer. If I reject your offer of R40 000, you cannot go back and accept my original offer of R50 000, because that offer has come to an end. If you decide you do want to buy the car for R50 000, you will have to make an offer at that price to me, and I can decide whether I want to accept or reject it.

A revoked offer

If you have made someone an offer, you can revoke, or take it back, at any time before that person has accepted it. The withdrawal must be clearly communicated to the offeree in order to be effective. An offer can only be revoked before it has been accepted. Once the offeree has accepted it, there is a legally binding contract in place, and you can no longer revoke the offer.

This principle behind a revoked offer is illustrated in the following case.

Odendaal v Norbert 1973 (2) SA 749 (R)

Principle

Revocation of an offer is effective only if it is communicated to the offeree before acceptance.

Facts

In this case, the offeror, Norbert, made an offer to purchase a farm from Odendaal, the offeree. An estate agent communicated the offer to Odendaal, who in turn told the estate agent that he accepted the offer. In the meantime, the offeror (Norbert) decided to revoke the offer. However, when the estate agent contacted Norbert to communicate that the offer had been accepted by the offeree, the agent spoke first.

The court's finding

The court held that by speaking first, the estate agent had informed the offeror of the acceptance of the offer. As a result, a binding contract was concluded at that time. (See the discussion on conclusion of the contract later on in this chapter). It was, therefore, no longer possible for the offeror to revoke the offer.

Activity 5.1

Ben is looking for a gift for their spouse, Sara, in Shops Heavenly Mall. Ben walks past 'Techies Got You', where they see a board advertising aPads for sale at a price of R2 500 each. Ben realises that this is the perfect gift for Sara, and goes into the store to buy one.

Ben, extremely happy with their purchase for Sara, continues to walk around the mall, looking for a gift bag. While walking around, Ben realises that this is a once in a lifetime deal, and decides that they might as well go back and buy themself an aPad. Ben returns to 'Techies Got You', takes one of the aPads off the shelf and takes it to the teller to pay for it. However, the teller refuses to sell Ben the aPad. The teller informs Ben that due to high demand, the store is limiting purchases of the aPad to just one per customer. As the store's system shows that Ben has already bought one, they refuse to sell Ben another.

Is Ben entitled to insist that the store sell them the second aPad?

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Activity 5.2

Draw a mind map to help you remember the six requirements that an offer has to meet to be valid. Use as few words as possible – the goal is to get an overview picture of the requirements, not to summarise all of the content we discuss here.

5.3. Requirements for a valid acceptance

For an acceptance to be valid, it has to meet the following seven requirements:

1. The acceptance must be made by the intended offeree.
2. The offeree must have the intention to contract when accepting.
3. The acceptance must be clear and unambiguous.
4. The acceptance must match the terms of the offer.
5. The acceptance must be made within the prescribed time.
6. The acceptance must be made in the prescribed form and place.
7. The acceptance must be completed.

5.3.1 By offeree

The acceptance must come from the intended offeree, because only the person who received the offer can accept that offer. The one exception to this is an offer made to the general public, like an offer of a reward for something that is lost. In a public offer, the offeror's intention is that anyone can accept the offer – the offer is open to the general public to accept.

***Bird v Summerville and Others* 1961 (3) SA 194 (A)**

Principle

Only a party that the offeror intended to accept the offer may do so. This principle also applies in instances where it would make no difference overall to the offeror who accepts the offer.

Facts

An estate agent communicated to Bird, the offeror, that Summerville was willing to purchase a certain piece of Bird's property. However, when the offeror signed the offer to sell and sent it through to Summerville for signing, both Summerville and another party signed as the offeree.

The court's finding

The court held that the offeror was not bound to the contract as the offerer, Bird, had only intended that Summerville would accept the offer.

5.3.2 Contract intention

The offeree must have the intention to enter into a legally binding contract by accepting the offer. For example, Ayanda offers to sell their iPhone to their friend, Simphiwe for R10 000. Simphiwe, who is a poor student who definitely cannot afford to buy the iPhone, jokingly replies 'Sure, I'll just rob a bank!' In this case, Simphiwe does not have the intention to contract, and their reply is not a valid acceptance.

In order to have the intention to contract, the offeree must know about the offer. An offeree cannot accept an offer if they are not aware of the offer. This is not as obvious as it sounds, so let us use an example to illustrate what can happen.

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Bloom v American Swiss Watch Company 1915 (AD) 100

Principle

An offeror cannot accept an offer if they do not know about the offer before accepting.

Facts

After a robbery, a notice was published in a newspaper by the American Swiss Watch Company, offering a reward of $500 for information that resulted in the thief being arrested and the jewellery being returned. Bloom gave this information to the police without having read the notice in the newspaper, and then claimed the reward after reading the notice later.

The court's finding

The court held that, as Bloom did not know about the offer, Bloom could not accept it. Therefore, there was no contract.

5.3.3 Clarity

There must be an unequivocal expression of the offeree's acceptance. The offeree's response must make it plain and simple that they are accepting the offer.

If there is uncertainty as to whether or not the offeree has accepted the offer, we consider whether a reasonable person in the position of the offeror would have understood the offeree's communication to be an acceptance.

As a general rule, silence on the part of the offeree does not constitute an acceptance, as there may be a range of reasons for why the offeree did not expressly respond, such as the offeree may not have wanted to waste their time responding to an offer that they were not interested in, or they may still be deciding whether or not to accept the offer. As a general rule, the offeror may not impose a condition on the offeree to the effect that silence from the offeree will amount to an acceptance.

Silence on the part of the offeree will only constitute an acceptance if both parties agreed that the offeree's silence will amount to an acceptance, or if there is a duty to speak on the part of the offeree. This will be determined from all surrounding circumstances, the relationship between the parties and previous dealings, if any.

5.3.4 Matching

The acceptance must correspond with the terms set out in the offer. The offeree must accept all the terms of the offer. If the offeree changes a term of the offer, they are rejecting the offer and making a counter offer. Then it is the original offeror's turn to either accept or reject the counter offer. Refer back to the discussion of counter offers earlier in this chapter.

5.3.5 Timelines

The offeree must accept the offer within the given time. If the offer has a deadline (or time limit) for acceptance, the offeree has to make a decision within that time, before the offer lapses. If the offer sets no time limit, the offeree has to accept it within a reasonable time for the acceptance to be valid.

5.3.6 Form

If there are statutory formalities for the type of contract involved, the acceptance must comply with those formalities. See the discussion in Chapter 7. Even if there are no statutory formalities for the contract, the offeror may prescribe a specific manner in which the acceptance should be made, or even a specific place for acceptance. In these instances, the acceptance will only be valid if the offeree meets these specifications when making the acceptance.

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5.3.7 Completion

In general, an acceptance is completed, and a contract is created only when the offeror knows about the acceptance. However, there are some exceptions to this rule, as explained in the next section on conclusion of the contract. Until the acceptance has been completed, there is no contract, and the offeror can revoke the offer at any time. However, once the acceptance has been completed, there is a contract between the offeror and the offeree, and it is no longer possible to withdraw the offer.

Added value Acceptance requirements

Before you continue, see whether you can remember the seven requirements that an acceptance has to meet. We can summarise these requirements as: offeree, intention, clarity, matching, timelines, form, and completion. Make up your own mnemonic for this list. A mnemonic is a sentence or word that helps you remember a list of things. For example, you may have been taught to use Richard Of York Goes Battling In Vain to remember the colours of the rainbow in their correct order, or perhaps simply ROY G BIV.

5.4 Requirements for concluding contracts

We said earlier that it is important to know when and where a contract becomes valid, or comes into effect. The general rule is that the contract is concluded when and where the offeror is informed or becomes aware of the acceptance. This is known as the information theory.

The information theory is unproblematic when the parties contract in each other's presence. The offeror hears about the acceptance at the same time as the offerree declares their acceptance, and the contract is formed then and there. However, where they are communicating at a distance, the information theory may not always be appropriate.

Let us look at three situations where parties communicate at a distance, to see which rule the law applies in those situation. These are:

- postal contracts
- telephonic contracts and faxes
- electronic contracts.

5.4.1 Postal contracts

If the two parties to a contract send their offer and acceptance by post or via a courier, we need to look at where and when the contract is formed. For example, suppose I live in Durban, and you live in Johannesburg. I post you an offer on 1 June. You post your acceptance to me on 10 June, and I receive it on 15 June. When and where was the contract concluded?

In the case of postal contracts, the law uses the expedition theory instead of the information theory. In this context, expedition means 'sending of'. The expedition theory states that the contract comes into existence when and where the letter of acceptance is mailed. Therefore, in our example, the contract was formed on 10 June, in Johannesburg.

However, the expedition theory only applies to contracts concluded by post, if all of the following requirements are met:

- The offeror must have authorised (or permitted) the offeree to send the acceptance by post.
- This authorisation can be agreed expressly between the parties or it can be implied where the offer is posted and does not prescribe how the offeree should communicate their acceptance.
- The acceptance must be posted to the correct address.
- The postal service must be working.For example, if war has broken out the expedition theory will not apply.

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If all these conditions are met, the expedition theory will apply, so the contract is concluded when and where the acceptance letter is posted (in our example, that will be on 10 June in Johannesburg). If one or more of the requirements are missing, the information theory will apply, and the contract is formed at the time and place that the offeror reads the acceptance (in our example, that will be on 15 June in Durban).

It is interesting to note that if I (the offeror) want to revoke my offer, I have to do so before you (the offeree) post your letter, because the contract is concluded from that moment. In our example, I would have to contact you before 10 June.

5.4.2 Telephonic contracts and faxes

If the offeror and offeree enter into a contract while talking on the telephone, the contract is formed at the time and place that the offeror hears the acceptance. The information theory applies.

Let us look at the case below as an example.

S v Henckert 1981 (3) SA 445 (A)

Principle

As per the information theory, if the offeror and offeree enter into a contract telephonically, the contract is formed at the time and place that the offeror hears the acceptance.

Facts

It was important to determine where and when a contract of sale was concluded. The buyer had made an offer over the telephone from Namibia. The seller had accepted telephonically from Johannesburg. The buyer (offeror) heard about the acceptance in Namibia.

The court's finding

The court held that the contract was concluded in Namibia as the offeror heard about the acceptance in Namibia.

This information theory also applies to contracts formed by fax, so the contract is concluded at the moment the offeror reads the fax containing the acceptance by the offeree.

5.4.3 Electronic contracts

In terms of the Electronic Communication and Transactions Act 36 of 2005, contracts by data messages, such as Short Message Service (SMS) or emails, are concluded at the time and place where the acceptance of the offer was received by the offeror. In terms of the Act, the data message is 'received' when it enters the data system of the offeror, and is capable of being retrieved. In other words, the acceptance is received when the acceptance is available for the offeror to read. It does not matter whether the offeror has actually read it or not. For example, if I offer you a book via email and you accept via email, the contract is concluded where and when the accepting email becomes available in my email inbox, even if I have not read the email yet.

Added value — Questions on valid contracts

An exam question may ask you to decide whether a valid agreement exists or not. Questions like these are asking if there is a valid offer and a valid acceptance. To answer this, you have to look at the given facts and compare them to the requirements for a valid offer and a valid acceptance, as well as the requirements for conclusion of the contract. If one or more of the requirements is missing, you need to explain what the problem is and conclude that there is no valid agreement.

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5.5. Options and rights of first refusal

Now that we have looked at the offer and acceptance, and the conclusion of the contract, it is a good time to zoom in on contracts specifically about offers.

5.5.1 Options

An option is a contract where an offeror agrees to keep their offer open for a specific period of time.

In terms of the general principles of contract, an offeror can revoke their offer at any time before the offeree accepts it. However, if the two parties enter into a contract of option, the offeror agrees to make their offer irrevocable for a specific period of time. For example, you offer to sell me your textbook for R500. I tell you that I am interested, but I cannot buy it right now. You agree to give me a two-week option to it – in other words, you will keep your offer to me open for two weeks. I may accept the offer at any time before two weeks end. You may not withdraw that offer during those two weeks, as this would be a breach of the contract of option.

In this case, there is initially only a contract of option. If I accept the offer to buy the textbook, the contract for the sale of the textbook will be concluded.

5.5.2 Rights of first refusal

A right of first refusal is a contract between two people where one person agrees that should they ever decide to enter into a particular contract, they will make an offer to the other person first. The person who gives a right of first refusal is not making an offer. Instead, they are guaranteeing that if they do make that offer in future, they will make it first to the person who has the right of first refusal. You may have come across an example of this already if you are living as a tenant in someone else's property. Your lease agreement may include a paragraph that gives you, as tenant, the right of first refusal if the owner decides to sell the flat or house. The owner has not offered to sell you the home. They are only saying that if they decide one day to sell it, they will offer it to you first.

If the person who gave the right of first refusal eventually decides to enter into a contract, they must first make the offer to the person who holds the right of first refusal. This person (now the offeree) must then decide whether to accept or reject the offer. If they accept the offer, there is a contract between the parties. If they reject the offer, the offeror is free to approach other people with that offer.

However, if the offeror changes the terms of the offer – if they decide to lower the price – they have to start again by making a new offer to the person who has the right of first refusal.

If the right of first refusal applies to a contract of sale, it is also called a right of **pre-emption**.

To **pre-empt** means to do or say something before anyone else gets a chance to do so.

Added value How to answer multiple-choice questions

Here is a tip for answering multiple-choice questions. Often it helps to cover up the different options given and to see if you know the answer to the question before you look at the answers offered. This way, you are less likely to get confused by answers that are fairly similar to one another before you have considered the likely answer in your own mind.

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Chapter summary

In this chapter, you learned the following about reaching agreement:

- A contract is valid if both parties reach an agreement and intend to be bound by the terms of the agreement.
- The approaches to the rationale for holding individuals bound by their contracts are:
  - the wills theory
  - the declaration theory
  - the reliance theory.
- South African law follows the wills theory as the point of departure, but parties may sometimes be bound on the basis of the reliance theory.
- For a contract to be concluded, one person has to make a valid offer and another person has to accept that offer.
- An offer is a declaration by an offeror of their intention to conclude a contrac There are six requirements for a valid offer:
  - It must be complete.
  - It must be clear.
  - It must be made with the intention of creating a contract.
  - It must be made in the prescribed form, if any.
  - It must be communicated to the offeree.
  - It must be current (must not have lapsed, been rejected, or been revoked).
- Acceptance is the offeree's declaration of their intention to enter into a contract with the offeror under the terms that are given in the offer.
- There are seven requirements for a valid acceptance:
  - The acceptance must be made by the intended offeree.
  - The offeree must have the intention to contract.
  - The acceptance must be clear and unambiguous.
  - The acceptance must match the terms of the offer.
  - The acceptance must be made within the prescribed time.
  - The acceptance must be made in the prescribed form and place.
  - The acceptance must be completed.
- The general rule is that a contract is concluded where and when the offeror learns about the acceptance (the information theory).
- If an offeree sends the acceptance by post, and the offeror has authorised this, the contract is concluded where and when the letter is posted (the expedition theory).
- A telephonic contract or a contract by fax is concluded where and when the offeror hears about the acceptance (the information theory).
- An electronic contract is concluded where and when the acceptance is received (the reception theory).
- An option is a contract by which the offeror agrees to keep the offer open for a specific period of time.
- A right of first refusal is a contract between two people in which one person agrees that if they ever want to enter into a particular contract, they will offer it to the other person first.

Review your understanding

1. When John realised that their wallet had fallen out of their pocket, they put an advertisement in the local daily newspaper offering a R500 reward for its return. Without knowing about the advertisement, Bob found the wallet, and returned the wallet to John. Two days later, Bob sees the advertisement in the newspaper, and demands the reward from John. Is Bob entitled to the reward? Choose the CORRECT answer below:
   a) Bob is entitled to the reward because they complied with the terms of the offer.
   b) Bob is entitled to the reward because the advertisement was a valid offer.

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c) Bob is not entitled to the reward because the advertisement was merely an invitation to do business.
d) Bob is not entitled to the reward because they were not aware of the offer when they returned the wallet.
e) Bob is not entitled to the reward because people should not expect to be paid for their good deeds.

2. On 1 September, Jojo in George writes out a letter to be faxed to Koko in Johannesburg offering to sell a car. Jojo faxes the letter on 2 September. Koko reads Jojo's faxed letter on 3 September. Koko decides to accept Jojo's offer on 4 September. On 5 September, Koko writes out their letter accepting Jojo's offer. On 6 September, Koko faxes their letter of acceptance to Jojo. The fax is read by Jojo on 7 September. On which date was a contract concluded between Jojo and Koko? Choose the CORRECT answer below:
   a) 3 September
   b) 4 September
   c) 5 September
   d) 6 September
   e) 7 September.
3. On 20 August, Andile, in Johannesburg, posts a letter to Ben, in Cape Town, offering to sell their Zenovo laptop to Ben for R3 000. Ben receives the letter on 23 August, and on 25 August, Ben posts a letter accepting the offer. The following day, Ben sees the same model of laptop for sale or R1 500, and immediately sends a fax which says, 'Ignore my letter of acceptance. I will only pay R1 500 for your laptop.' Andile receives and reads the fax on 26 August, and receives and reads Ben's letter of acceptance on 28 August. Was a valid contract concluded between Andile and Ben?
4. Xolani wants to buy a tracking watch. They see an advertisement by Woohoo Gadgets store, advertising Jiggety Activity Track Watches for sale at a price of R70. Xolani immediately rushes to the store and tells the cashier they want to buy one of the Jiggety Activity Track Watches. The cashier asks Xolani to pay an amount of R700 for the watch. Xolani is very upset and points the cashier to the advertisement of R70. The cashier merely says that there is a printing error in the advertisement and refuses to sell the watch to Xolani for R70. Can Xolani insist that the shop sell them the watch for R70?
5. Sarah's best friend, Larry, has bought a new computer and is no longer using their old one. Sarah is in dire need of a computer, and sends an email to Larry saying that they want to buy Larry's old computer for the price of R3 000. Sarah concludes as follows: 'If I do not hear from you by the end of next week, I shall assume that the sale is concluded, and I shall arrange for the money to be transferred into your account. Larry does not respond within the time stated'. Is there a valid agreement between Sarah and Larry for the sale of the laptop?
6. Xavier asks Yolanda whether Yolanda wants to buy Xavier's car for R50 000 cash. Yolanda replies that they cannot afford to pay R50 000, but that they are willing to pay R40 000. Choose the CORRECT answer below.
   In this case:
   a) there is a contract between Xavier and Yolanda for the sale of X's car for R40 000.
   b) there is no contract because Xavier's offer to sell their car for R50 000 was terminated by Yolanda's counteroffer.
   c) there is a contract between Xavier and Yolanda for the sale of Xavier's car for R50 000.
   d) there is no contract because Yolanda's acceptance was not made in the prescribed manner.
   e) there is no contract because Xavier's offer expired by lapse of a reasonable period of time.
7. Bonani owns a beautiful necklace that Tumi has always admired. Tumi keeps asking Bonani if they can buy the necklace from Bonani. Eventually, Bonani tells Tumi: 'I really don't want to sell this necklace. However, if I ever decide to sell it, I'll offer it to you first'. Tumi happily agrees. Choose the CORRECT answer below:
   The agreement between Bonani and Tumi is:
   a) an option
   b) an offer
   c) a contract for the sale of the necklace
   d) a right of first refusal.

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Further reading

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Hutchison, D. et al. 2022. *The Law of Contract*, 4th ed. Cape Town: Oxford University Press Southern Africa (Pty) Ltd

Schulze, H. et al. 2019. *General Principles of Commercial Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

Sharrock, R. 2017. *Business Transactions Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

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Problems with the formation of a contract

Chapter 6

The main ideas

- Void and voidable contracts
- Contracts that are void due to lack of agreement
- Contracts that are voidable due to misrepresentation
- Contracts that are voidable due to duress
- Contracts that are voidable due to undue influence

The main skills

- Distinguish between void and voidable contracts.
- Identify when a contract is void as a result of lack of agreement.
- Identify when a contract is voidable as a result of misrepresentation, duress, or undue influence.
- Identify when the innocent party can claim damages in delict as a result of misrepresentation, duress, or undue influence.
- Distinguish between fraudulent, negligent, and innocent misrepresentation.
- Identify when the innocent party will have remedies in other areas of the law as a result of misrepresentation.

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In Chapter 4 we discussed void and voidable contracts. In this chapter, we begin by expanding on the difference between void and voidable contracts, and the consequences in each case. After that, we examine each of the reasons for contracts becoming void or voidable.

Before you start

You buy a house from Jackie. After you move into the house, your neighbour tells you that the previous occupant, Sadie, had been murdered inside the house. You are very upset that the seller did not tell you about this. If you had known about the murder inside the house, you would never have bought it. Can you get out of the sale so that you can return the house and get your money back?

6.1. Void and voidable contracts

6.1.1 Void contracts

A contract is considered void, or non-existent, if any one or more of the six basic requirements for a valid contract is missing. To recap, these are contractual capacity, agreement, legality, possibility of performance, formalities, and certainty.

When a contract is void, it is as if it never existed, and the parties have no rights or obligations under that contract. In other words, they cannot be forced by law to carry out the terms of the contract.

What happens if one or both of the parties have already performed in terms of the contract, before somebody notices that the requirement is missing?

Firstly, the parties can use the law of unjustified enrichment to claim back any money that they have given in terms of the contract. Secondly, they can use the *rei vindicatio* to claim back their property from the other party. (We discussed these options in Chapter 4.) In other words, both parties give back what they received, and it is as if they never entered the contract.

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6.1.2 Voidable contracts

A contract is voidable if all the requirements for a contract are satisfied, but the way in which the parties reached agreement is problematic because one of them committed misrepresentation, duress, or undue influence. A voidable contract is a valid contract and will remain in force until the innocent party decides to set it aside after proving the requirements for misrepresentation, duress, or undue influence. We will discuss these three reasons for voidable contracts in detail later, but let us distinguish between the terms.

- If you misrepresent a situation, you describe it falsely to get an advantage. (We define representation and misrepresentation more accurately later in this chapter.)
- If you do something (like signing a document) under duress, it means someone is using threats to force you to do it.
- By undue influence, we mean influence that prevents someone from making their own independent judgment about a transaction.

The effect, or result, of a voidable contract is that the innocent party has a choice. One option is that they can choose to set aside, or **rescind**, the contract and claim restitution. If the innocent party chooses to rescind the contract, the contract comes to an end and both parties must return what they have received in terms of the contract (**restitution**). The Latin term for this is *restitutio in integrum*. This was discussed in Chapter 4. The other option is for the innocent party to abide by it – in other words, to continue with the contract or keep it going. If the innocent party decides not to rescind the contract, it continues being valid, and is therefore binding on the parties in the sense that each must perform the terms of the contract.

To **rescind** means to 'cancel' or 'annul'.

Restitution means to restore what you have received.

Usually, what happens is that the innocent party has a reasonable time to decide whether to keep the contract going or to rescind it. If they do nothing, they lose their right to set the contract aside because it is assumed that they have chosen to keep the contract going.

Case study — The 'accident-free' car

I sell my car to you for R100 000. I tell you that the car has never been in an accident. After you pay me and take delivery of the car, you find out that the car has been in a very serious accident. This means the contract is voidable because I misrepresented facts to you. What are the consequences of voidability?

You have a choice – either abide by the contract or rescind it. If you decide to abide by the contract, it is valid. However, if you set it aside, I must give back the R100 000 you paid to me, together with interest and you must return the car to me. However, you must compensate me for the value of the use of the car while you had it. Refer to Chapter 4 on the consequences of a voidable contract.

Added value — Void or voidable

The effect of a contract being void is very different to it being voidable:

- A void contract can never be valid or enforced.
- A voidable contract is valid if the innocent party abides by it, or it will become invalid if it is rescinded.

Make sure you know the difference and be careful to use the right terminology.

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Activity 6.1

Considering the difference between void and voidable contracts, it is possible that a party may choose to continue with a voidable contract, instead of rescinding it. This is not possible with a void contract. Can you think of an example where you would keep a contract going even though you were 'tricked', that is, where someone misrepresented the truth?

6.2 Contracts that are void due to a lack of agreement

We said above that a contract is void if it fails to meet any one of the six requirements. We have already discussed contracts that are void or voidable because of the lack of contractual capacity. We are now interested in the next requirement, namely agreement. Where a contract is void because of a lack of agreement, we refer to the problem as **mistake**.

The term **mistake** can be used in two different ways. A mistake can either be a term that you use in everyday speech to indicate that you made an error of some sort, or it can refer to grounds for a void contract.

There are two types of mistake:

1. unilateral mistake
2. common mistake.

When the parties to a contract misunderstand each other (because they see certain facts, events, or circumstances differently), we say that there is a unilateral mistake. Either one or both could be wrong, but the important thing is that they are at cross purposes with each other – not thinking the same thing. The parties cannot be said to agree because they are misunderstanding each other. By contrast, if there is a common mistake, then both parties share the same mistaken understanding.

Now we explore how these types of mistake affect the contract.

6.2.1 Unilateral mistake

Unilateral mistake can only make a contract void if the mistake is material. (See the discussion below.) This is in line with the wills theory that we discussed in Chapter 5. A material mistake means that there is no subjective agreement that is required for a valid contract. If the mistake is not material, there is still subjective agreement, and the contract is valid.

However, even if the mistake is material, the contract can still be valid based on the reliance theory. In terms of this theory, the mistaken party will be held to their declared intention to contract if the other party reasonably believed that there was agreement (reasonable reliance).

Added value — The reliance theory

The reliance theory is a principle that allows a contract to come into effect even though the parties did not have true consensus at the time of the formation of the contract. The reliance theory states that enforceability of a contract does not depend on a subjective meeting of the minds, but rather on the reasonable impression that is communicated to the mind of one party by the words or conduct of the other party as evidenced by the facts of the case. If the party reasonably relied on the appearance of consent, the other party will be bound to the contract. The principle seeks to promote legal certainty and to protect the reasonable expectations of parties to a contract.

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The following case illustrates how a party can be bound based on the reliance theory.

National and Overseas Distributors Corporation (Pty) Ltd v Potato Board 1958 (2) SA 73 (A)

Principle

The law may uphold a contract where there was a lack of consensus if it is necessary to protect a party's reasonable reliance on the appearance of assent.

Facts

In this case, National and Overseas Distributors Corporation (Pty) Ltd (NODC) submitted a tender to the Potato Board (in answer to a call for tenders), and NODC subsequently received a letter of acceptance from the Potato Board. NODC, relying on the appearance of assent, started making the necessary arrangements to render performance in terms of the contract. However, a short period thereafter, the Potato Board communicated to NODC that the letter of acceptance had been sent because of an administrative error and that the Potato Board intended to accept the tender from another company.

The court's finding

The court held that, based on fairness and practicality, there was a binding contract between the Potato Board and NODC, as the actions of the former party led the NODC to reasonably believe that there was a valid contract in place.

The *caveat subscriptor* rule is a good example of how the reliance theory works in practice. When it comes to reading written contracts, the general rule is that a party signing a contract is bound by its terms even if that party did not read the terms. This principle is called *caveat subscriptor*. These Latin words mean 'let the person signing beware'. (Similarly, *caveat emptor* means 'let the buyer beware'.)

The rule of *caveat subscriptor* assumes that a reasonable person reads and understands a contract before signing it. Therefore, you are bound by the terms of a signed written contract, even if you have not read the contract. By signing the contract, as a rule, you give the other party the reasonable impression that you wish to be bound by the terms of the contract. This means that a contract can be legally binding on the parties even though there was no true consensus or agreement between them. This is because of the reasonable reliance of the other party that you consented to the terms.

The following case describes the common law position.

George v Fairmead (Pty) Ltd 1958 (2) SA 465 (A)

Principle

As a rule, where a party signs a document, their actions of signing the contract create the reasonable impression that they intend to be bound by the terms contained in the document. The party will therefore generally be bound to the terms of the signed contract based on reasonable reliance (the *caveat subscriptor* principle).

Facts

In this case, George checked into a hotel and signed the register without reading the terms and conditions contained in it. By signing the document, George indicated that he agreed to the conditions of occupation, which included an exemption of a liability clause. After taking occupation in the hotel, certain belongings were stolen from George's room. George sued the hotel for damages, claiming that he was not bound by the terms in the document as he had not read them.

The court's finding

The court ruled in favour of the hotel. George was aware that there were terms contained in the document and was bound by the terms when he signed the document because he gave the other party the reasonable impression that he wished to be bound by the terms.

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If there is no reliance by the other party (in other words, they did not believe that there was agreement), or if the reliance was not reasonable, the contract will be invalid. Similarly, the *caveat subscriptor* rule will not apply in such situations.

As a result, a contract will only be invalid because of unilateral mistake if the following requirements have been met:

1. The mistake was material.
2. There was no reasonable reliance by the other party.

Each of these requirements will now be discussed in more detail.

Material mistake

For a contract to be void because of mistake, the mistake must be material.

This means the mistake must have influenced the mistaken party's decision to enter the contract. In other words, if they had known the truth, they would not have entered that contract. This test is subjective, because it depends on how we understand the thinking of the particular (mistaken) person involved. This is in line with the wills theory.

Added value — Subjective and objective tests

You need to understand the difference between subjective and objective tests.

With a subjective test, we try to determine the person's thoughts and ask whether this person would have acted differently if they had not been mistaken – would they have decided not to enter the contract?

With an objective test, we compare the person's behaviour to the behaviour of a reasonable person. The 'reasonable person' is an imaginary person you will come across often in legal discussions and represents the average, normal, careful person. The reasonable person's behaviour is a standard against which we measure the actual behaviour of real people. For example, when determining whether someone acted negligently, we ask how a reasonable person would have acted in that situation. If the actual behaviour of the person falls short of what a reasonable person would have done, we say the individual was negligent or careless. Refer to the discussion of negligent misrepresentation later in this chapter.

In addition, the mistake must have related to the terms of the contract (in other words, the rights and duties created by the contract), and not merely the reasons why a party entered the contract. It is only in these cases where one can say there is no agreement between the parties.

Added value — Meaning of 'material'

Note that the term 'material' has different meanings in different parts of contract law. For each part, you must study and apply what 'material' means in that context. For unilateral mistake, follow the explanation above:

- The mistake affected the mistaken party's decision to contract.
- The mistake related to the terms of the contract (parties' rights and duties).

To decide whether a mistake is material, we consider the facts of each case. Here, it is helpful that the law has categorised certain types of mistakes as material and others as immaterial.

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The following are mistakes that we consider to be material:

- *Error in negotio* is a mistake about the type of contract being entered into. If I think I am renting you my car, but you think that I am selling it to you, that is an example of *error in negotio*.
- *Error in corpore* is a mistake about the subject matter of the contract. Suppose that you have two dogs, and we enter a contract for the sale of one of the dogs. If I think that I am buying your dog, Fido, but you think I am buying your dog, Brutus, that is an example of *error in corpore.*
- *Error in persona* is a mistake about the identity of the person with whom the contract is being concluded. This mistake is material only if it is important for one party to know who the other contracting party is. For example, if I want to sell my cell phone, it makes no difference to me who the buyer is – a mistake about the other contracting party's identity is therefore not material. However, if I want to employ someone as a nanny for my children, the identity of the other contracting party is important. This is because the relationship between an employer and a nanny is a personal one where the employee's qualities, such as competence and trustworthiness, are important. In this case, the mistake is material.

By contrast, an *error in qualitate*, which is a mistake about the attributes or qualities of the object of the contract, is not material. For example, suppose that I buy car X from you. If I think it is ten years old, but you know that it is eleven years old, the contract is still valid. The mistake is not material, as we did reach agreement on the parties' rights and duties – you must deliver car X to me, and I have to pay you the purchase price.

Activity 6.2 Zanele's leather jacket

Zanele, who just turned 18, landed their first job as an intern at a big accounting firm. Since their high school days Zanele always wanted a leather jacket, and they promised themselves that they would buy one with their first salary payment. In the week before pay day, Zanele started scouting for jackets. They went into a shop called Hides-R-Us, which sold leather goods, such as handbags, shoes, and jackets. The store advertised in the window that they specialise in leather goods. Zanele relished in the smell of leather in the shop. During their lunch break on pay day, Zanele went back to Hides-R-Us, excitedly telling the sales lady, Maude, that they wanted to buy their first leather jacket. Maude smiled and said: 'Go and have a look on that rail – our best leather jackets are hanging there'. Zanele chose a beautiful brown jacket, which surprisingly was not as expensive as they thought it would be and handed it to Maude, together with their credit card, saying: 'I will never forget this day! I have realised my dream of owning a real genuine leather jacket.' Maude accepted payment and handed Zanele the jacket in a shopping bag. That evening Zanele, dressed in their new leather jacket, went out clubbing with friends. They gushed about their leather jacket, but disappointment soon took over when one of their friends noticed that the jacket was made from synthetic leather. Zanele is livid, especially as they noticed a sign in the shop indicating 'No returns'.

a) Did Zanele make a material mistake when buying the jacket from Hides-R-Us?
b) Return to this question after we have covered misrepresentation to see if you think this is a case of misrepresentation.

No reasonable reliance by other party

Even if the mistake is material, the mistaken party can still be bound to the contract based on the reliance theory. For the contract to be invalid, there must be no reasonable reliance by the other party. This can occur in two situations:

1. The other party misled the mistaken party.
2. The other party was aware or should reasonably have been aware that the mistaken party was mistaken.

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Since there is no reasonable reliance in these situations, the *caveat subscriptor* rule will also not apply.

Let us look at an example of each of these situations.

1. Firstly, there is no reasonable reliance if the other party misled the mistaken party about the terms of the contract. For example, suppose that I want to rent you my holiday house, so I tell you that the electricity you use while staying there is included in the rental. I then make you sign a written contract of lease, which says in one of the clauses that electricity is not included in the rental, and that you will have to buy pre-paid electricity instead. I therefore mislead you about the terms of the contract. When you find out the truth, I cannot say that you are bound to the terms of the written contract because of the *caveat subscriptor* rule. The reason is that it is not reasonable for me to rely on your signature as indicating consent to the terms of the written contract, because I misled you about what those terms were. Therefore, the *caveat subscriptor* rule does not apply. Since this is a material mistake, and there was no reasonable reliance by me, the contract is void.
2. Secondly, there is no reasonable reliance if the other party was aware or should reasonably have been aware of the mistaken party's material mistake. For example, if the other party knows, or should as a reasonable person have been aware that the mistaken party did not know about a term in the written contract, the other party cannot use the *caveat subscriptor* rule. One example of this situation is where the other party knew (or should have realised) that the mistaken party was blind or could not read and was therefore unable to understand the terms in the written contract. The contract will be void because there was no reasonable reliance by the other party.

   Another example is if the contract contains unusual terms. In such cases, the party who drew up a contract has a duty to point them out to the other contracting party. For example, suppose I rent my bar out to you and I give you a lease agreement to sign. You skim through the lease, but you do not notice a particular term at the bottom of one of the pages, in very small print. This term says that you are not allowed to sell alcohol to any red-haired person while operating the bar. This is a very unusual condition, which I know (or should reasonably have realised) that you have not noticed. If I do not specifically point it out to you, I cannot rely on the *caveat subscriptor* rule to hold you to the terms of the contract.

The law looks at each situation to decide whether there was reasonable reliance by the other party.

Case study The wrong car

John wants to buy a car from a car dealer. They take John into the showroom and point out the car they want to sell John. John is too busy talking on their cellphone and does not concentrate properly, so that John thinks they are buying a different car. John's mistake is material (*error in corpore*). Can John escape the contract based on their material mistake?

This depends on whether the dealer reasonably relied on John's conduct as indicating consent.

- If the dealer was not aware of John's mistake, and a reasonable person would also not have been aware of John's mistake, John will be bound based on reasonable reliance and the contract will be valid.
- However, if the dealer knew, or a reasonable person would have realised that John was so distracted that John did not realise which car they were buying, the dealer's reliance will not be reasonable. The contract will therefore be invalid.

If the above two requirements are met (that is, the mistake was material, and there was no reasonable reliance by the other party), the contract is void because of unilateral mistake. Both parties must then be returned to the position in which they were before the conclusion of the contract, by using the law of unjustified enrichment or the *rei vindicatio*. Refer to the discussion of *restitutio in integrum* in Chapter 4.

The common law position applied above has been varied by the Consumer Protection Act 68 of 2008 (CPA) below.

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In terms of the CPA, which only applies to contracts where the supplier sells goods or services in the ordinary course of business, there is an additional situation where the contract contains certain types of onerous clauses, including a clause that limits the supplier's liability.

In such cases, the supplier has an obligation to ensure the following:

- The clause is in plain language.
- The customer's attention is drawn to the clause. For example, the contract might put the clause in bold and say 'important – take note'.
- The consumer is given adequate opportunity to read the clause.

If the clause relates to an activity that is unusually risky, and it would not normally be expected by the consumer or it could result in serious injury or death, the consumer must also sign next to the unusual clause to show that they have seen it, or where this is not practicable, act in a way that shows their awareness and consent to the clause.

If this is not done, the court has a **discretion** to declare the clause invalid and unenforceable. Therefore, returning to the *George v Fairmead (Pty) Ltd* 1958 (2) SA 465 (A) case above, if that case were decided today, the hotel would have had to draw George's attention to the clause that limits the hotel's liability, and George would probably succeed if this had not been done.

A **discretion** means that the court has a choice – they may declare the clause invalid, or they may decide not to do so, and to keep the clause as valid.

6.2.2 Common mistake

So far, we have been looking at examples of unilateral mistake, where the contracting parties see things differently. What happens when both parties share a common belief about a certain fact or legal position and then they discover this is not true? When both parties believe something that is untrue, the contract is void because of a common mistake.

For example, suppose that you and I agree that you will sell me a painting for R500, because we both believe that the painting was painted by my grandmother. Later we find out that the painting was not painted by my grandmother at all – rather, your child painted it years ago. This is a common mistake because we both mistakenly believed the same thing.

There are two legal requirements for a common mistake:

1. It must be a mistake that is shared by both contracting parties.
2. It must be a material mistake, such that the parties would not have entered the contract had they known the true facts.

Importantly, for purposes of a common mistake, the mistake will be material even if it does not relate to the terms of the contract, but only to the reasons for contracting. So, in the example above, the common mistake will be material, even though it only related to the parties' reasons for contracting because neither of them would have entered the contract if they had known the true facts.

If both these requirements are met, the contract is void. Both parties must be returned to the situation they were in before entering into the contract, using the law of unjustified enrichment and the *rei vindicatio*.

Rectification

What happens if the contracting parties agree verbally to a contract, but they make an error later, when they write down the terms of the contract? This is not a mistake that would render the contract void since there is agreement between the parties. The only problem is that the piece of paper does not reflect this agreement accurately. In this situation, the parties can apply to court for an order for rectification to correct the error in the written document. The party that asks for the rectification must show that the content of the written document differs from their verbal agreement and must prove what the terms of the verbal agreement are. The court will then order the written document to be changed so that it is a

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correct reflection of their agreement. For example, suppose you and I agree verbally that I can buy your laptop for R10 000, but when we draw up the written contract, it says 'R100 000' by mistake. You or I can apply to court to rectify the written agreement by changing the 'R100 000' to 'R10 000'.

Now that we have completed the section on mistake, revise your understanding by completing the activities below.

Activity 6.3

Luyanda wants to buy a laptop but cannot afford to buy a new one. Luyanda therefore goes to Budget Computers, a shop that specialises in selling used laptops. After finding a model that they like at a reasonable price of R2 000, Luyanda asks the salesperson: 'Does Budget Computers give any warranty on these laptops? I'm worried because these are used laptops. I'm a poor student and cannot afford to buy a laptop that will break after just a few months!' To persuade Luyanda to contract with them, Budget Computers tell Luyanda that they will get a warranty on the laptop for a period of three years. Reassured, Luyana signs a contract agreeing to buy the laptop from Budget Computers at a price of R2 000. Luyanda did not read the contract before signing it. Seven months later, Luyanda's laptop crashes. When Luyanda takes it back to Budget Computers, they tell Luyanda that the laptop's motherboard has failed and that Luyanda would need to pay to get it replaced. An upset Luyanda asks why they need to pay if the laptop is still under warranty. Budget Computers tells Luyanda: 'Go back and read your contract. We only give a six months' warranty. You signed it, so you are bound to it'. When Luyanda checks the contract that they signed, they see that it indeed contains a term stating that Budget Computers only gives a warranty for six months.

Explain whether Luyanda is bound to the signed contract.

Activity 6.4

Jared and Nadia enter a contract of sale in terms of which Jared sells their puppy to Nadia for R500. Both parties believe that the puppy is male, but soon after the sale, they discover that the puppy is in fact female. Neither of them would have entered the sale had they known the truth.

1. What is the legal consequence of this mistake?
2. Would it make a difference to your answer if Jared knew that the puppy was female, but Nadia believed that it was male?

Added value — Mistake and misrepresentation

The facts in Activity 6.3 could also be interpreted as a misrepresentation, which we discuss in the next section. We can often argue the same facts in different ways.

We must look at the requirements for mistake to see if the facts qualify as a mistake.

Similarly, we must look at the requirements for misrepresentation to see if the facts qualify as a misrepresentation.

It the mistake was material, and it was caused by a misrepresentation, we have a choice whether to use the principles of mistake or of misrepresentation. However, if the mistake is not material, we can only use the principles of misrepresentation (since the rules of mistake only apply to material mistakes).

In some cases, there can be two mistakes, one material and one not. In such cases, you must apply the principles of mistake to the material mistake, and the principles of misrepresentation to the non-material mistake separately.

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6.3 Contracts that are voidable due to misrepresentation

In the cases of misrepresentation, duress and undue influence, the contracting parties reach agreement, but they reach it in an improper way in that the consent of one of the parties to the contract was obtained by false statements, or consent was not freely and voluntarily given. In terms of the law of contract, the contract in a case like that is not void – it is voidable. The innocent party has a choice of whether to rescind the contract or abide by it. You will see later that the law of delict may also apply to these situations.

Before we can talk about misrepresentation, we need to know exactly what we mean by a representation. A representation is a statement of fact or conduct, made by one of the contracting parties to the second party, before the contract is concluded, with the intention of persuading the second party to agree to the contract. If a representation is false or misleading, it is a misrepresentation. We evaluate misrepresentations both in terms of the law of contract and the law of delict.

Does it make a difference whether the person making the statement knew (or should have known) that the statement was false? As you will see in the next few sections, it is only relevant for working out whether the disadvantaged party can claim damages in terms of the law of delict. For purposes of making a contract voidable, or for other remedies, it makes no difference – those remedies are still available.

Let us consider under which conditions a misrepresentation causes a contract to become voidable. Then we will consider under what circumstances the innocent party can claim damages in delict because of misrepresentation. After that, we will distinguish between three types of misrepresentation. Finally, we will have a look at what amounts a party can claim in damages.

6.3.1 When does misrepresentation lead to a voidable contract?

In terms of the law of contract, a misrepresentation makes a contract voidable if all the following six conditions are met:

1. The representation must be untrue.
2. The misrepresentation must be about a fact.
3. The misrepresentation must be material.
4. The misrepresentation must be made by one of the contracting parties.
5. The intention must be to induce the other party to contract.
6. The effect must be to induce the other party to contract.

The representation must be untrue

When we make representations, we usually use words. For the statement to be a misrepresentation, the words used must be untrue. However, we can also make a misrepresentation by conduct or through silence – by not saying anything. In some situations, there is a duty on one of the contracting parties to say something, to disclose some important fact. This is called a duty to disclose. Silence does not usually count as a misrepresentation. As a rule, there is no duty on contracting parties who are negotiating to disclose information. However, if the law considers that one contracting party had a duty to disclose, but kept quiet instead, there is a misrepresentation by non-disclosure.

A duty to disclose information to the other contracting party exists in the following situations:

- Where a party makes a positive statement that is only a half-truth, there is duty on that party to disclose the other part of the truth. While the positive statement is true on its own, it creates a false impression because other important facts are omitted. Refer to the case below.

***Marais v Edelman* 1934 CPD 212**

Principle

Where a party makes a positive statement that is only a half-truth, there is duty for that party to disclose the other part of the truth.

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Marais v Edelman 1934 CPD 212 (continued)

Facts

In this case, the seller of a farm informed the buyer that he had successfully pumped water from the borehole for three years. However, the seller omitted the crucial facts that the pumping had occurred fourteen years ago, and that the depth of the borehole had since been shortened.

The court's finding

The court held that the seller misled the buyer by disclosing a half-truth. The seller was therefore under a duty to disclose the rest of the facts known to him.

- Where a true statement is made by a contracting party, but circumstances change, there is a duty to disclose the new situation. For example, I tell you that the rates and taxes on my property are approximately R1 500 a month. However, a week later (but before the contract to sell my house to you is signed), I learn that the rates and taxes will go up to an amount of R2 500 in a month's time. I have a duty to disclose the changed rates and taxes to you.
- Where a seller knows of **latent defects** in the property being sold, there is a duty on the selling party to disclose this information.
- Where one party has exclusive knowledge of the true facts, and honest people would disclose them to the other party, there is a duty on that party to disclose the facts to the other party. Exclusive knowledge means that one party is the only source for the information – practically speaking, there is no way for the other party to find out these facts. As a rule, honest people would disclose those facts if they knew they were likely to affect the other party's decision to contract. Refer to case below.

A **latent defect** is an unusual quality of the object being sold that makes it less useful or useless. This will be discussed in more detail in the law of sale in Chapter 14.

Dibley v Furter 1951 (4) SA 73 (C)

Principle

Where one party has exclusive knowledge of the true facts, and honest people would disclose them to the other party, there is a duty on that party to disclose this to the other party.

Facts

Dibley (the buyer) bought a farm from Furter (the seller). One quarter of the farm was previously a graveyard. However, the graveyard had been ploughed over, with the result that it was not visible to the naked eye.

The court's finding

The only way the buyer could find out about the graveyard before the sale, was if the seller told them. The seller therefore had exclusive knowledge of the existence of the graveyard and an honest person would have disclosed this fact to the buyer. The seller's silence therefore constituted a misrepresentation as there was a duty on them to disclose this fact.

When deciding whether a matter fell in the exclusive knowledge of one party, or whether the other party was able to find out the facts for themselves, our courts apply an objective test. Only reasonable steps are required – the courts do not expect them to make extraordinary efforts to find out the information. Refer to the case below.

Waller v Pienaar 2004 (6) SA 303 (C)

Principle

When considering whether the disadvantaged party could have found out the true facts for themselves, the court will only expect reasonable efforts from them.

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Waller v Pienaar 2004 (6) SA 303 (C) (continued)

Facts

Waller (the buyer) bought a house from Pienaar (the seller). The house started cracking because of the condition of the soil underneath. The seller was aware of this condition of the soil when he sold the house. The buyer wanted to set aside the contract because of the seller's failure to disclose this fact. The seller argued that the condition of the soil did not fall into the seller's exclusive knowledge, since the information about the condition of the soil was available in a public report filed with the municipality.

The court's finding

It could not reasonably be expected from the buyer to inspect the municipality's file before buying the house. The condition of the soil therefore fell in the seller's exclusive knowledge, and the seller had a duty to disclose this to the buyer. The buyer was entitled to set aside the contract.

By now, you should be able to answer the question in the 'Before you start' section at the start of this chapter. The seller failed to disclose to you that the previous occupant, Sadie, had been murdered inside the house you bought. The contract will only be voidable based on misrepresentation if there was a legal duty on them to disclose this information to you.

The facts of this scenario are quite similar to the facts of the *Dibley v Furter* case. If the information about the murder fell into the seller's exclusive knowledge, and honest people would disclose it, the seller had a duty to disclose it to you. Exclusive knowledge means that practically speaking, the seller was the only source for this information. When deciding whether the facts fell into the seller's exclusive knowledge, the courts would only expect you to take reasonable steps to find out the information yourself.

In this scenario, it is likely that the court would find that the information fell into the seller's exclusive knowledge. It could not reasonably be expected from you to inquire from the neighbours whether somebody had been murdered inside the house before you bought it, or to inquire from the police – those are not steps reasonable people take before buying a house. Although the murder might have been reported in the media, they do not give the victim's precise address, so you would not have been able to find out the information in that way.

Since many people would refuse to buy a house where someone was murdered, this is something that an honest person would disclose. The seller therefore had a duty to disclose this to you, and the contract will be voidable. In other words, you would be able to rescind it, provided the other requirements for misrepresentation had been met.

- Where the parties are in a fiduciary relationship with each other (a relationship of trust and confidence, such as a business partnership), there is a duty on the parties to protect each other's interests by disclosing information when contracting.

Besides words and silence, one can also make an untrue representation by way of conduct. Consider the misrepresentation of facts in the following case.

Trotman and Another v Edwick 1951 (1) SA 443 (A)

Principle

You can misrepresent facts orally and/or by your actions.

Facts

Mr. and Mrs. Trotman, the sellers, owned two flats next to a piece of land that belonged to the city council. The sellers rented this piece of land for a small fee from the council and had built a

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***Trotman and Another v Edwick* 1951 (1) SA 443 (A) (continued)**

wall around their flats incorporating the council land. Furthermore, the Trotmans knew that the council was going to reclaim their land for the purpose of building a road. However, during negotiations with Edwick to sell the property, the Trotmans verbally misrepresented the size of the property. Further, they paced out the boundary of the property, which gave the buyer the impression that the council land was part of the sale.

The court's finding

The court held that, based on what the Trotmans had expressly stated and their conduct of physically pacing out the boundary of the property under sale, they had misrepresented the size of the property and fraudulently created the impression that the council land was theirs to sell.

The misrepresentation must be about a fact

The second requirement is that the misrepresentation must be about a fact. An opinion is not a statement of fact. If I tell you that I really believe that the car that I am selling is a good car, this is not a statement of fact, but a statement of my opinion, or what I think. If the car turns out to have many problems, my comment does not make the contract voidable because it was not a statement of fact, but rather a statement of opinion. But what if I tell you that I think it is a good car, but I think it is a fairly useless car? Then, I am making a false statement of fact because I am misrepresenting my thoughts, or my state of mind. It is a fact that I believe the car is bad, and I am misrepresenting that fact by telling you I believe the car is good.

We must also distinguish a misrepresentation from a 'puff'. A puff is what we call the exaggerated, sweeping statements that sales assistants often make about their products. If these statements are vague and broad, we cannot consider them to be statements of fact. For example, a sales assistant might say that if you buy a particular perfume, 'people will be falling all over themselves to date you!' This statement is clearly not intended to give you facts about the perfume as it is just sales talk. So, puffing does not count as misrepresentation if it is just vague, exaggerated sales talk. To make a distinction between puffing and misrepresentation, one must consider the facts of each case, and take the following into account:

- whether the statement was made in response to a question
- whether the statement was important to the purpose for which the items were to be used by the innocent party, and the person making the statement was aware of this
- whether even a gullible person would know that the statement was just sales talk.

The misrepresentation must be material

A misrepresentation is material if it would help to induce a reasonable person to enter the contract. In the case of non-disclosure, the court will consider whether disclosure of the relevant information would have resulted in a reasonable person not binding themselves to a contract at all.

Activity 6.5 Different meanings of 'material'

So far, you have come across the term 'material' several times in this chapter. In each section of the work, the term 'material' has a different meaning. At this point, it will be useful to draw up a list of the different meanings of the term 'material' you have come across. For each meaning, state which rule or requirement it refers to. Start with what 'material' means in this section of the work, and state that it relates to the requirements for misrepresentation. Do the same with the other meanings of the term 'material' that we have dealt with so far.

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Suppose that I want to sell you my car for R100 000. I tell you that the reason I am selling it is because I want to buy a new car. In fact, the actual reason is that my eyesight has become too bad for me to drive safely anymore. This misrepresentation would generally not make the contract voidable, because for most buyers it makes no difference why the seller is selling the car. My bad eyesight is not a factor that would change your decision to buy, or not to buy. However, if I falsely tell you that the car belongs to me, when in fact I stole it from its true owner, this is a material misrepresentation. A reasonable person would not buy a car if they knew it was stolen.

Lourens v Genis 1962 (1) SA 431 (T)

Principle
A misrepresentation must be one that would mislead a reasonable person.

Facts
Lourens represented to Genis, an experienced farmer, that his (Lourens') son had X-ray eyes and could see water underground. Acting on this representation, Genis contracted with Lourens, only to discover thereafter that this was not the case at all.

The court's finding
This does not constitute misrepresentation as a reasonable person would not have been misled by such a claim. The contract in this case was therefore not voidable as all the requirements for misrepresentation had not been satisfied.

The requirement that the misrepresentation should be material has been heavily criticised. The use of an objective test for misrepresentation, in the case above, resulted in the farmer not having a claim, even though the other party was clearly a conman. It has therefore been argued that instead of focusing on whether a reasonable person would have believed the misrepresentation, the court should merely inquire whether the innocent party believed the misrepresentation (subjective test).

There are some later High Court decisions, which imply that if the misrepresentation was **fraudulent**, the requirement of materiality will not apply, and the misrepresentation will still be actionable even if it was unreasonable for the innocent party to believe it. However, this has not been finally settled by the SCA. For now, you should proceed on the basis that the requirement that the misrepresentation must be material, still forms part of our law.

Fraudulent in this context means 'with the intention to deceive'. See the discussion of fraudulent misrepresentations later in this chapter.

The misrepresentation must be made by one of the contracting parties

Think of the last time you bought a phone because a friend of yours had recommended it. The contract of sale was between you and the phone shop, but your friend's comments may have influenced your decision to buy the phone. A person like your friend, who is not party to the contract, but plays some role in it, is called a third party.

If a misrepresentation is made by a third party, it will not affect the contract. If a contracting party was misled by the statements of the third party, they may be able to sue the third party in terms of the law of delict, but the misrepresentation will have no effect on the contract. For example, my cell phone has broken, and I take it to Azam Cell Phone Repairs. They tell me that the cell phone cannot be repaired. I therefore buy a new cell phone from Cell Phone Bazaar. Afterwards I find out that my broken cell phone could easily have been repaired at a reasonable cost. I would never have bought the new cell phone if I knew the truth. In this situation, you cannot get out of the contract with Cell Phone Bazaar since they did not make the misrepresentation. However, you may be able to sue Azam Cell Phone Repairs **in delict**.

In delict means 'in terms of the law of delict'.

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The intention must be to induce the other party to contract

Note that this requirement and the next one is quite similar, but the first one deals with the intention of the person making the misrepresentation and the next one deals with the result, or effect, of the misrepresentation on the person hearing it (the innocent party).

The misrepresentation must have been made with the intention of inducing the other contracting party to contract. In other words, the reason why one person misrepresented the facts was to persuade the other person to enter the contract. If the misrepresentation was not made with this purpose or intention, it will not make the contract voidable.

Note that the intention to induce is not the same as the intention to deceive (fraudulent misrepresentation, which is discussed below). For intention to induce to be present, all that is needed is that the person making the misrepresentation, does so with the intention of persuading the other party to enter the contract. Even if they reasonably and honestly believe that the statement is true, they can still have the intention to persuade. For example, I sold you a textbook after telling you that this is the latest edition. I reasonably and honestly believed that this was the truth, but I was wrong – the textbook has been replaced by a later edition. In this case, I had the intention to induce when I made the false statement – I told you that this was the latest edition to persuade you to buy the textbook from me.

The effect must be to induce the other party to contract

The misrepresentation must have induced the other contracting party to enter the contract. That means that the person claiming misrepresentation must show that they would not have entered the contract if they had known the truth. There must be a causal link between the misrepresentation and the conclusion of the contract by the parties. In other words, the remedy of rescission is not available if the other party would in any event have entered the contract (that is, even if the misrepresentation had not been made).

Note that the test here is subjective. This means that we look at what was in the mind of the person hearing the misrepresentation (Were they induced?). This is in contrast with the requirement that the misrepresentation must be material, where we use an objective test (Would a reasonable person be induced to contract by the statement?).

For example, when Teigan wants to sell their textbook to Raisa, they tell Raisa that the textbook is the latest edition. Raisa later finds out that this is not the latest edition of the textbook.

Would Raisa have bought the textbook anyway, even if they had known the truth? If the answer is yes, then the misrepresentation did not induce them to enter the contract, and the contract is therefore not voidable. However, if the answer is no, the misrepresentation did induce them to enter the contract and the contract is therefore voidable.

What if the innocent party would still have contracted even if there was no misrepresentation, but they would have contracted on more beneficial terms? For example, what if Raisa would still have bought the textbook, but they would have paid less for it? In such a case, the misrepresentation was merely incidental. The contract would not be voidable in terms of the law of contract. However, as you will see below, the innocent party will still have other remedies, such as a claim in delict.

Activity 6.6

Draw a mind map or a diagram to help you remember the requirements that a misrepresentation must meet to make a contract voidable. As you go on through this chapter, add more detail.

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Case study Prophet Joseph and the Lotto ticket

While waiting at a traffic light, you are handed a pamphlet saying 'Prophet Joseph can change your life! Become a millionaire instantly!' A phone number is given where you can contact Prophet Joseph. Excitedly, you phone them and set up an appointment. When you meet with Prophet Joseph, they tell you that they have supernatural powers and can divine the winning numbers for the next Lotto draw. If you pay Prophet Joseph R20 000, they will give you the numbers, so that you can buy a winning ticket. Prophet Joseph says 'Look, I did it for myself – see how expensive my clothes, home and furniture are!' Looking around, you can see that Prophet Joseph indeed appears to be very rich, so you believe them. You borrow R20 000 from the bank and pay it to Prophet Joseph, who then gives you a list of the winning numbers for the next Lotto draw. You buy a Lotto ticket with these numbers and eagerly watch the live draw on television. However, you are very disappointed to find out that you did not win anything. When you try to contact Prophet Joseph again, you find out that they have been arrested for fraud. Apparently, Prophet Joseph has convinced many people to give them large sums of money by promising that they could predict the winning Lotto numbers. Can you claim back the R20 000 you paid to Prophet Joseph?

This depends on whether you can prove the requirements for making a contract voidable on the grounds of misrepresentation:

1. The representation must be untrue.
2. The misrepresentation must be about a fact.
3. The misrepresentation must be material.
4. The misrepresentation must be made by one of the contracting parties.
5. The intention must be to induce the other party to contract.
6. The effect must be to induce the other party to contract.

Most of the requirements are unproblematic:

1. Prophet Joseph made a false statement (that they had supernatural powers and could divine the winning numbers).
2. It was about a fact (it is a fact whether they had such supernatural powers or not).
3. It was made by the other contracting party (Prophet Joseph).
4. It was intended to induce (Prophet Joseph made the statement to persuade you to pay them the R20 000).
5. The effect was to induce you to contract (You entered the contract because you believed Prophet Joseph.).

However, the problem lies with requirement 3 – that the misrepresentation must be material. Was the statement something that would persuade a reasonable person to contract? While you may have some justification to believe the statement because Prophet Joseph appeared to be rich, a reasonable person would not believe that someone had supernatural powers. Based on the *Lourens v Genis* 1962 (1) SA 431 (T) case, the contract would not be voidable, and you will not be able to get your money back.

Here, the misrepresentation was fraudulent because Prophet Joseph knew that the statement was false (knew they did not have supernatural powers) and intended the false statement to persuade you to contract with them. Does this make a difference? Although there is some case law that implies that materiality is not a requirement when the misrepresentation was fraudulent, this has not been settled in our law. Based on the law as it currently stands, the fact that Prophet Joseph acted fraudulently, makes no difference and the contract will still not be voidable.

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6.3.2 Consequences of misrepresentation

There are various legal consequences if there has been a misrepresentation, which meet all six of the above requirements. Firstly, there are remedies in terms of the law of contract. Secondly, depending on the type of misrepresentation, there may be remedies in terms of the law of delict. Let us consider each option in turn.

6.3.3 Consequences in terms of the law of contract

If the misrepresentation meets all six requirements, the innocent party has a choice in terms of the law of contract. They can either rescind the contract or abide by it.

To recap what we discussed earlier in the chapter, if they choose to rescind the contract, they must return what they received in terms of the contract and the other party has to do the same. The parties are relieved of their respective obligations and the innocent party obtains a refund for any performance they have rendered, if they restore everything they received in terms of the contract to the other party. If they choose to abide by the contract, it remains valid, and each party must perform in terms of the contract. The innocent party has a **reasonable time** to make this decision. If they do nothing during that time, they lose the right to rescind the contract and it remains valid.

What is a **reasonable time** here, will depend on the facts of the case.

6.3.4 Consequences in terms of the law of delict

In certain circumstances, the innocent party also has the right to recover damages for misrepresentation. To sue someone for misrepresentation in terms of the law of delict, you need to prove all four requirements of the ***lex Aquilia***.

The *lex Aquilia* is one of the Roman laws from which modern delict law developed. It states that there must have been wrongful conduct – here, it is in the form of an untrue statement or a non-disclosure), by any person, that has caused the innocent person loss, and the misrepresentation must have been the fault of the person making the statement. Fault means either fraud (wrongful intention) or negligence.

The ***lex Aquilia*** was a Roman law which enabled citizens to claim compensation from a person who caused damage to their property. Today, the *actio legis Aquiliae* is an action used to claim loss in delict.

Can you distinguish the four requirements in the above statement? You can break them down more clearly as follows. To sue someone for misrepresentation in terms of the law of delict, you need to prove the following:

1. There was a wrongful misrepresentation.
2. The innocent party suffered loss.
3. The loss was caused by the misrepresentation.
4. The misrepresentation was the fault of the person making the statement (or failing to make disclosure).

Let us consider each requirement in more detail

There was a wrongful misrepresentation

A misrepresentation (or non-disclosure) about a fact, that was material and was intended to induce the other party to contract, will generally be regarded as wrongful conduct for the law of delict. However, it is not required that the misrepresentation must be made by the other contractual party – the innocent party will be able to claim in delict from a third party, provided the other requirements for a claim are met. Similarly, even if the misrepresentation did not induce the innocent party to contract, they will still have a claim in delict, as you will see below.

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The innocent party suffered loss

This will usually relate to financial losses, such as additional expenditure. We discuss the types of losses that the innocent party could suffer in different situations in the section below on how much damages they can claim.

The loss was caused by the misrepresentation

The court will ask whether, but for the misrepresentation, the innocent party would have suffered the loss in question. In other words, the court will ask what would have happened if the misrepresentation had not been made. There are two situations in which the misrepresentation can cause losses:

- The innocent party would not have entered the contract at all – in other words, the misrepresentation induced the contract.
- The innocent party would still have entered the contract, but on more favourable terms. In this case, the misrepresentation is merely incidental. As you saw above, in such cases the innocent party would not be able to set aside the contract. However, in terms of the law of delict, the innocent party will be able to claim delictual damages, provided the other requirements are met.

The misrepresentation was the fault of the person making the statement (or failing to make disclosure)

Here, we look at whether the person made the misrepresentation fraudulently or negligently. An innocent misrepresentation does not allow the innocent party to claim delictual damages. These concepts are discussed in more detail below.

Added value — Two perspectives on one problem

As you might have seen, one set of facts can lead to different consequences in different areas of law. It may be possible that the same set of facts makes the contract voidable in terms of contract law, on the one hand, and allows the innocent party to claim damages in terms of the law of delict, on the other hand. We must look at the facts and then compare them to the requirements set out by contract law and the law of delict. We evaluate each legal perspective independently.

Activity 6.7

Make a list of the requirements to make a contract voidable because of a misrepresentation, and the requirements to claim damages in delict. Which ones are the same, and which ones are different? Make sure you understand these differences well, as you will need to apply them to decide which remedies the innocent party has for a misrepresentation.

6.3.5 Types of misrepresentation

To apply the *lex Aquilia* and establish when you may claim damages for a misrepresentation, you need to specify the type of misrepresentation.

Generally, there are three types of misrepresentation:

1. fraudulent misrepresentation
2. negligent misrepresentation
3. innocent representation.

These are distinctions in terms of the common law, which we explain below.

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Fraudulent misrepresentation

If a contracting party makes a statement intentionally or deliberately, knowing that it is untrue, without believing that it is true, or not caring whether it is true or not, and intending that the false statement should persuade the party to whom it is made to enter the contract, they have fraudulently misrepresented the facts. The other party can claim delictual damages for fraudulent misrepresentation.

Activity 6.8

Take the first sentence of the above paragraph and break it down so that you have a list of three requirements for fraudulent misrepresentation. This is an essential skill, and one that you should be applying automatically whenever you come across a long, complicated sentence, as you will find many sentences like that in legal books and documents.

Case study — A damaged car

Armand sells you a used car. They tell you that the car is in excellent condition and has never been in any accidents. You buy the car for R100 000. Later you discover that Armand knew all along that the car was in a very serious accident three months before it was sold to you. What type of misrepresentation is this?

This is fraudulent misrepresentation as Armand knew the truth but was lying to induce you to buy the car. If Armand was not sure whether the car had ever been in an accident, that is also fraudulent misrepresentation because of their recklessness.

Negligent misrepresentation

Generally, if you are negligent, or neglect something, it means you are not taking enough care.

A misrepresentation is negligent if the person making it believes it to be true, but failed to check whether it was in fact true – something that a reasonable person would have done. That is a rather complicated definition, so let us break it down:

- A person made an untrue statement, which they thought was true.
- They did not check whether the statement was true.
- A reasonable person, in the same circumstances, would have taken care to check before making a statement like that.
- The person is negligent because they did not meet the standard of carefulness of the reasonable person.

Therefore, to decide if a misrepresentation was negligent, we imagine what a reasonable person would have done in the circumstances, and we then compare this to the actions of the person who misrepresented the truth. If the reasonable person would have been more careful, the misrepresentation was negligent. You can claim delictual damages if you suffer because of negligent misrepresentation.

Consider the example in the case study.

Case study — Cell phone camera

Because Freya's photos always come out beautifully, they are convinced that their cell phone has a 12-megapixel (MP) camera. When Freya decides to sell their phone, they tell the buyer that the phone has a 12-MP camera. In fact, the phone only has an 8-MP camera. What type of misrepresentation is this?

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Case study (continued) — Cell phone camera

Freya's statement to the buyer is a negligent misrepresentation because a reasonable person, who is selling a cell phone, would have checked how many MP their phone camera has before making the statement, knowing that potential buyers consider this an important factor in their choice of cell phone.

Added value — Negligence or fraud?

The difference between a negligent and a fraudulent misrepresentation is that in the case of a negligent misrepresentation, the person making the representation believes it to be true, but in the case of a fraudulent misrepresentation, the person making the representation knows that it is false or does not care whether it is true or false.

Innocent misrepresentation

A misrepresentation is innocent if the person who makes the untrue statement is acting neither fraudulently nor negligently. In other words, if the person who makes the untrue statement believes it to be true and a reasonable person would not have behaved any differently, then the misrepresentation is innocent. No delictual damages can be claimed for innocent misrepresentation. However, the contract is still voidable in terms of the law of contract, and the other remedies discussed later in this chapter are still available, even if the misrepresentation is innocent.

Case study — Laptop memory

Bobby is selling their laptop to Janet. Bobby tells Janet that the laptop has 8 GB of RAM (a type of computer memory that stores the short-term data that a computer requires to operate properly). Bobby honestly believes that this statement was true since the laptop had 8 GB of RAM when Bobby bought it. However, Bobby is unaware that the last time they took the laptop in for the repairs, the technician stole 4 GB of the RAM. Bobby was unable to see this, since the RAM is stored inside the laptop. Bobby also did not notice that the laptop was slower since they mostly used the laptop for less memory-intensive tasks. What type of misrepresentation it this?

Bobby's untrue statement is not a fraudulent misrepresentation, because they thought they were speaking the truth. The statement is also not negligent, because a reasonable person would also have thought that the laptop still had the same amount of RAM it originally came with, and would not have suspected the technician of stealing 4 GB of the RAM during repairs.

Added value — The laws of contract and delict

Do not get confused between the laws of contract and delict. If the requirements of misrepresentation set out by the law of contract are met, the contract is voidable. It makes no difference to the law of contract whether the misrepresentation is fraudulent, negligent, or innocent – they can all render the contract voidable. However, in terms of the law of delict, you can claim damages only if the misrepresentation was fraudulent or negligent.

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6.3.6 How much can you claim in damages?

The amount of delictual damages that a person can claim depends on the facts of each case. As a rule, the party that suffered the misrepresentation, the innocent party, has a right to be put back into the financial position that they would have been in if the misrepresentation had not happened. Note that damages for misrepresentation can be claimed only if that misrepresentation was fraudulent or negligent. If the misstatement or non-disclosure was the cause of a contract being formed, when this would otherwise not have been the case, the innocent party may recover what has been lost as a result of the contract having been formed.

The amount of damages that can be claimed also depends on whether the contract is voidable in terms of the law of contract and, if so, whether the innocent party decides to rescind or abide by the contract. Let us look at these three cases in turn.

1. The contract is voidable and is rescinded.
2. The contract is voidable, but is not rescinded.
3. The contract is not voidable.

The contract is voidable and is rescinded

We already know that if the contract is voidable in terms of the law of contract because of a misrepresentation, and the innocent party decides to rescind it, both parties must return what they have received in terms of the contract.

However, in a case like this, the law of delict enables the innocent party to claim damages to cover the amount that they lost or spent on wasted expenditure. For example, suppose that I buy a house, but I set the contract aside because of a fraudulent misrepresentation. In terms of the law of delict, I have a claim for the money I have spent on the legal fees to transfer ownership of the house.

Added value — Costs of property transfer

When you buy a house, flat or land (immovable property), there are certain expenses that you must pay to transfer ownership of the property into your name. These include transfer duty and the legal fees charged by the conveyancer. There are also other fees and expenses that must be paid, so the costs of transferring the house can be quite high.

The contract is voidable, but is not rescinded

In the case where a contract is voidable, but the innocent party decides not to rescind it, the contract continues to be valid. Here, the damages would be the difference between what the innocent party gave in terms of the contract and what they received in terms of the contract, as well as any additional losses they suffered or spent on wasted expenditure.

Case study — Nonto's house

Nonto recently bought a house from Siphiwe, but the contract is voidable because Siphiwe negligently misrepresented the condition of the house's plumbing to Nonto. Nonto decides not to rescind the contract. However, because Siphiwe misled them about the value of the house, Nonto paid R500 000 for a house that was worth only R450 000. What damages can Nonto claim from Siphiwe?

The law of delict allows Nonto to recover the extra R50 000 from Siphiwe. Nonto can also recover the transfer costs they paid.

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The contract is not voidable

What happens when you cannot rescind the contract, because the misrepresentation does not make the contract voidable in terms of the law of contract? This would be the case if the misrepresentation did not induce you to contract – in other words, you would still have entered the contract even if the misrepresentation had not been made. However, you would have entered a contract on more favourable terms. This is called an incidental misrepresentation. (See the discussion above.) In this case, you will still have a claim in delict if the other requirements for delictual damages have been met. The damages would be the difference between what you gave in terms of the contract and what you would have given if you had known the truth, as well as any additional losses suffered.

Case study Nishay's car

Nishay goes to Adam's Used Cars Lot looking for a 2021- or 2022-year model used car. They find one that they really like, and they buy it for R150 000 after the salesperson assures them that the car is a 2022-year model. It turns out later that the salesperson did not know much about the car and that the car is in fact a 2020-year model. Nishay would still have bought the car if they had known the truth. However, they would have paid R20 000 less for the car. What are the consequences of the misrepresentation?

In terms of the law of contract, the contract is not voidable. Although the salesperson's claim was a negligent misrepresentation, it did not induce Nishay to enter the contract, since they would still have bought that car even if they had known that it was a 2020-year model. It is merely an incidental misrepresentation. What are Nishay's rights in the law of delict? In terms of the law of delict, Nishay will be able to recover R20 000 in damages from Adam's Used Cars, because they would have paid R20 000 less if they had known the truth.

Added value Misrepresentation made by third party

What if the misrepresentation was made by a third party? In such cases the contract is not voidable. However, the innocent party will still have a claim for damages in delict against the third party, provided the third party made the misrepresentation fraudulently or negligently.

The amount of damages the innocent party can claim depends on whether the misrepresentation induced the contract or was merely incidental (the innocent party would still have contracted, but on more beneficial terms).

If the misrepresentation induced the contract, damages are calculated as explained in the paragraph above named 'The contract is voidable, but not rescinded'. In other words, the difference between what the innocent party gave in terms of the contract and what they received in terms of the contract, as well as any additional losses they suffered.

If the misrepresentation was merely incidental, damages are calculated as explained in this paragraph. This means that the claimable damages is the difference between what the innocent party gave in terms of the contract, and what they would have given if they had known the truth, as well as any additional losses suffered.

6.3.7 Other remedies

As you can see, we must evaluate each case of misrepresentation in terms of the law of delict and the law of contract separately to see what the rights of the innocent party are. The legal position that we have explained thus far is the position in terms of the general principles of common law. Apart from the remedies in the law of contract and the law of delict set out above, in certain circumstances the law offers the innocent party additional remedies.

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The law of sale

In the case of a contract of sale, the buyer who has been misled, is entitled to a reduction in purchase price (equal to the difference between the market value of the item that was bought, and the price paid). This is the case even if the misrepresentation was merely incidental (the buyer would still have bought, but on more beneficial terms), and even if the misrepresentation was innocent.

Consumer Protection Act

As mentioned above, the CPA applies to certain transactions, generally, where the transaction between the supplier and consumer is in the ordinary course of the supplier's business.

Where the Act does apply, the CPA gives the court a wide discretion, and it can order that the consumer be refunded the money or property or any other order that the court deems fair. These are remedies that exist in addition to the above common law position.

Now that you have completed the section on misrepresentation, it is time to review your understanding by completing the activities below.

Activity 6.9

Tebogo is hoping to sell their Vespa to Nokwando. In talking about the Vespa, they tell Nokwando that it is the most beautiful Vespa in the whole world, and that they have loved the Vespa from the moment they bought it. They also inform them that the Vespa's engine capacity is 300 cc, and that it has recently been repainted. Tebogo does not tell Nokwando that the new paint has started peeling. Tebogo's spouse tells Nokwando that the Vespa has a top speed of 100 kilometres per hour. Nokwando buys the Vespa because they believe it to be a good deal and, as they told Tebogo and their spouse, they specifically need a Vespa that has a powerful engine and a high enough top speed that they can safely use it on highways. Assume that Nokwando would not have bought the Vespa if these requirements were not met. However, when Nokwando takes delivery of the Vespa, they discover the following:

- The Vespa's engine capacity is only 150 cc, making it a much less powerful vehicle.
- The Vespa is not very pretty.
- The Vespa has a top speed of 60 kilometres per hour.
- Tebogo has never liked the Vespa.
- The Vespa was recently repainted, but the paint is peeling.

For each of the above statements, state whether it would allow Nokwando to rescind the contract. Explain your answer in each case.

Activity 6.10

Beyonce buys a used laptop from Davin. Davin does not tell Beyonce that the laptop overheats if left on for more than one hour. After Beyonce has bought the laptop, they go to campus to attend lectures, leaving the laptop on. When Beyonce returns home, they are shocked to find that the laptop has become so hot that it burned a hole through Beyonce's desk, damaging it irreparably. Beyonce would never have bought the laptop if they had known the truth. They want to claim delictual damages from Davin for the harm caused to their desk.

1. Did Davin have a duty to disclose the fact that the laptop overheated to Beyonce? Motivate your answer.

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Activity 6.10 (continued)

2. Assume for purposes of the questions below that Davin had such a duty. Name the type of misrepresentation (fraudulent, negligent, or innocent) in each of the following situations:
   a) Davin thought there was a possibility that the laptop overheating could damage Beyonce's furniture but decided to say nothing to persuade Beyonce to buy the laptop.
   b) Davin did not pay much attention to the laptop overheating before they sold it. They just assumed that it wouldn't be a problem if Beyonce bought it.
   c) Davin was shocked to find that the laptop overheated. Davin had just recently bought the laptop from Xander, who assured them that the laptop was in perfect condition. Davin had never used the laptop for more than 30 minutes at a time.
3. Discuss whether Beyonce would have a claim in delict in each case and, if so, what damages they could claim for.

6.4 Contracts that are voidable due to duress

Let us revise before we continue. We gave three possible reasons for voidable contracts, namely misrepresentation, duress, or undue influence. We have discussed misrepresentation in detail. Now we will look at duress.

If a person agrees to a contract because they have been threatened in some way, then their consent to the contract is flawed because they did not give it freely and voluntarily. So, although the person has 'agreed' to the terms of the contract, that consent was given under duress. The contract is valid, because there is agreement between the parties, but the person who agreed under duress can set the contract aside, because their consent was improperly obtained. In other words, the contact is voidable because the consent that exists between the parties was forced out of the innocent party.

When does duress render a contract voidable?

In terms of the law of contract, duress renders a contract voidable if it meets all the following five requirements:

1. There must have been a threat of harm to the contracting party, their family or property.
2. The threat must have been of **imminent** or **inevitable** harm.
3. The fear that the innocent party felt because of the threat must be reasonable.
4. The threat must have been unlawful or against public policy.
5. The threat must have induced the innocent party into entering the contract.

If something is **imminent**, it is likely to happen very soon. If it is **inevitable**, it will certainly happen, and you cannot prevent or escape it.

6.4.1 There must have been a threat of harm to the contracting party, their family, or property

The innocent party must have been threatened that something bad would happen to them, their family or property if they refused to enter the contract. For example, if someone threatens to poison your dog unless you sign a contract, then there is a threat of harm to your property. The contract is voidable because of the duress if the other requirements have been met.

6.4.2 The threat must have been of imminent or inevitable harm

The threat to the innocent contracting party must be imminent or inevitable. If I hold a gun to your head and threaten to shoot you unless you sign a contract, that is an example of imminent harm. If I threaten to shoot you unless you sign a contract within five days, the harm is inevitable, but not quite imminent.

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6.4.3 The fear that the innocent party felt because of the threat must be reasonable

The fear that the contracting party felt is reasonable if a reasonable person would have been afraid when faced with the same threat. For example, suppose you are a very nervous person, and you sign a contract out of fear because the other party is breathing heavily. This would not qualify as duress, because a reasonable person would not have felt afraid in that situation.

6.4.4 The threat must have been unlawful or against public policy

A threat is unlawful if the conduct threatened is unlawful, such as if I threaten to assault or murder you. A threat is also unlawful or against public policy if the threat is made using something lawful in an unlawful manner. For example, suppose that a police officer threatens to arrest you for a crime unless you pay a bribe to them. Although it is lawful for a police officer to arrest someone for a crime, their purpose in threatening to arrest you unless you pay them a bribe is unlawful and against public policy.

6.4.5 The threat must have induced the innocent party into entering the contract

The innocent party must have entered the contract because of the threat. If the party would have entered the same contract anyway, even without being threatened, the contract is not voidable.

Hendricks v Barnett 1975 (1) SA 765 (N)

Principle

The innocent party must prove that the threat induced the contract.

Facts

Hendricks, an expert on the breeding of horses, managed a farm for Barnett. Barnett put the farm up for sale, but he had an agreement with Hendricks that he (Hendricks) would stay on until certain animals were prepared for auction, and that Barnett would pay him a termination of employment bonus. Shortly before the auction, Hendricks threatened to leave his employment unless Barnett paid him a bonus of R10 000. This meant that the sale of the farm would have been jeopardised as Hendricks was the only person who could identify the horses for prospective buyers. This would have resulted in Barnett sustaining financial loss. Barnett therefore gave Hendricks one cheque for the immediate payment of R5 000, and another cheque for R5 000 that was postdated. After the auction had taken place, Barnett put a stop on the second cheque. When Barnett was sued for the payment of the second cheque, he contended that he was induced into issuing the cheque under duress.

The court's finding

Hendricks' threat to leave his employment was a threat of unlawful conduct (breach of contract), and it was a threat of harm to Barnett's property. The harm was imminent and inevitable, and Barnett's fear was reasonable. However, in this particular case, there was no evidence to show that Barnett protested against or showed his unwillingness to make the payments to Hendricks, prior to entering into the contract. Therefore, Barnett did not provide sufficient evidence to the court that he was induced into the contract with Hendricks by the threat.

6.4.6 Consequences of duress

If all the requirements of duress are met, the contract is voidable. Therefore, the innocent party can decide whether to rescind the contract or to abide by it. If the contract is rescinded, each party returns what they received in terms of the contract (restitution). If the innocent party chooses not to rescind the contract, it remains valid. It is also possible for the innocent person to recover damages in terms of

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the law of delict if fault is present. This applies whether they decide to rescind the contract or not. The damages would be the amount of money needed to put the innocent person in the same position that they would have been in if they had not been forced to enter the contract. The calculation is the same as explained in section 6.3.6 above relating to delictual damages. For example, if you force me to sign a contract donating my house to you, and I later rescind the contract because of duress, I will be able to claim delictual damages for wasted legal and other expenses.

Activity 6.11

Faith is a paid influencer with a huge following on Instagram. Faith visits John's restaurant together with their friends and runs up a bill of R10 000. When the time comes to pay, Faith threatens John that unless they give Faith and their friends the meal for free, Faith will post a false review on Instagram that John made racist comments to them and their friends during their visit. This will cause Faith's followers to boycott John's restaurant, resulting in John losing a significant number of customers, causing substantially reduced profits for John's restaurant. John agrees to give Faith and their friends the meal for free, but later regrets this. Can John rescind the contract?

6.5 Contracts that are voidable due to undue influence

Undue influence occurs when one contracting party has such an influence over the other contracting party that the second person is not able to think rationally for themselves. Under the first party's influence, they enter a contract that they would not normally have entered. So, they give their consent (agreement), but they do not give it freely and voluntarily. The most likely situation for undue influence is where the two contracting parties have a long-term relationship, or are in a relationship of trust and confidence, and one party develops power over the other. A contract signed under undue influence is voidable because consent was gained in an improper way.

In terms of the law of contract, a contract is voidable because of undue influence if it meets all the following five requirements:

1. One contracting party had influence over the other contracting party.
2. The influence must have weakened the 'weaker' party's powers of resistance to the point that they will do exactly what the 'stronger' party wants them to do.
3. The stronger party must have used their influence in an unscrupulous or corrupt way.
4. The influence of the stronger party over the weaker party must have caused the weaker party to enter a contract that they would not have otherwise entered.
5. The contract that was entered was not in the best interests of the weaker party.

6.5.1 Consequences of undue influence

As with other voidable contracts, if undue influence is proved, the innocent (or weaker) party can decide whether to rescind the contract or to abide by it.

***Preller v Jordaan* 1956 (1) SA 483 (A)**

Principle

Where all the requirements for a voidable contract based on undue influence are met, the innocent party can decide to set aside the contract.

Facts

Preller, a doctor, took transfer of four farms that belonged to his patient, Jordaan. Jordaan sought to rescind on the donation and transfer of the properties on the basis that he had been

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***Preller v Jordaan* 1956 (1) SA 483 (A) (continued)**

unduly influenced into making the transaction and that he had been mentally and physically exhausted from his illness at the time. Jordaan further asserted that, had it not been for Preller's behaviour, he would not have otherwise made the transfers.

The court's finding

The court ruled that the undue influence constituted a good basis on which to cancel the contract as all the requirements had been satisfied.

1. One contracting party (the doctor) had influence over the other contracting party (Jordaan), because of the doctor treating Jordaan for his illness.
2. The influence had weakened the 'weaker' party's (Jordaan's) powers of resistance to the point that he will do exactly what the 'stronger' party wants him to do.
3. The stronger party (Preller) used his influence in an unscrupulous or corrupt way by persuading Jordaan to donate his farms to Preller.
4. The influence of the stronger party (Preller) over the weaker party (Jordaan) caused Jordaan to enter a contract that he would not have entered otherwise.
5. The contract that was entered was not in the best interests of Jordaan, as he did not get any compensation for transferring his valuable farms to Preller.

What do you think?

In this chapter, you learned that a person who was misled by a misrepresentation, will not have remedies if the misrepresentation was not material – in other words, if a reasonable person would not have been misled). Can you think of any reasons why the law would set such a requirement? Do you think that this requirement should be retained as a rule? If retained, do you think an exception should be made in the case of fraudulent misrepresentations?

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Chapter summary

In this chapter, you learned the following about problems with the formation of contracts and why they could be void or voidable:

- A contract is void if any one or more of the six requirements for a valid contract have not been satisfied. If a contract is void, both parties must return what they received in terms of the contract.
- Agreement, one of the requirements, is missing if there was mistake. Mistake can be either unilateral or common.
- With a unilateral mistake, the two parties have different understandings of the situation, so there is no agreement. The contract is void if the mistake was:
  - material (in the sense that it influenced the mistaken party's decision to contract, and that it relates to the terms of the contract)
  - there was no reasonable reliance by the other party. Reasonable reliance exists when one party created the appearance of consent, and the other party reasonably believed it. The *caveat subscriptor* rule (that a person who signs a contract, is generally bound to it) is based on reasonable reliance. There are exceptions where there is no reasonable reliance, and the mistaken party will not be bound to the contract in such situations.
- Common mistake happens if both parties share a mistaken belief. The contract is void if the mistake was:
  - common
  - material (in the sense that it influenced both parties' decision to contract).

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- When the parties reach a verbal agreement, but then make an error in the written document, the error can be rectified according to the verbal agreement.
- A contract is voidable if all the essential requirements of the contract are present, including agreement, but one party used misrepresentation, duress, or undue influence to induce the other party's consent. If a contract is voidable, the innocent party has the choice of rescinding the contract or abiding by it.
- Misrepresentation is a false statement or conduct creating a false impression, or silence if there was a duty to disclose. It makes the contract voidable if the false statement is about a fact that:
  - is material, in the sense that a reasonable person would have been induced to contract by the statement
  - was intended to induce the other party to contract
  - has the effect of inducing the other party to contract.
- Misrepresentation can also be a delict, which allows the innocent party to claim damages. Misrepresentation is a delict when it is fraudulent or negligent, but not when it is innocent
- The innocent party may also have remedies based on the law of sale or the CPA, if applicable.
- Duress is present if a person uses fear to force another person into a contract. Duress makes the contract voidable if:
  - there was a threat of harm to the other party, their family, or their property
  - the threat was of both imminent and inevitable harm
  - the threat persuaded the innocent party to contract
  - the fear that the innocent party felt was reasonable
  - the threat was unlawful or against public policy.
- Duress may also be a delict, which allows the innocent party to claim damages.
- Undue influence means that one contracting party has such an influence over the other that the second party is unable to think for themselves and is influenced to enter a contract they would not normally have agreed to. Undue influence makes the contract voidable if:
  - the stronger party had influence over the weaker party
  - the influence was such that the weaker party would do what the stronger party said
  - the stronger party used their influence in an unscrupulous way
  - the influence caused the weaker party to enter a contract
  - the contract was not in the weaker party's best interests.

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Review your understanding

1. Fred was strolling through the mall and was delighted to see many shops advertising 'specials'. When Fred entered the Leathers4U shop, they spotted a beautiful leather briefcase advertised with a price tag of R200, and excitedly decided to buy it. At the pay point, the cashier scanned the briefcase, and the price was reflected as R2 000. While the cashier was scanning the briefcase, Fred was busy texting on their cell phone. The cashier told Fred that the price for the briefcase was R2 000 and Fred, still distracted by their phone, nodded their head, and handed the cashier their credit card. Fred momentarily looked up from their phone to enter the pin number for their credit card, continued texting, took their purchase, and left the shop.

   When Fred was outside the shop, they received a SMS notification from their bank that they just made a purchase for the amount of R2 000 at Leathers4U. A very upset Fred went back into Leathers4U, insisting that they never agreed to buy the briefcase for R2 000. The manager advised Fred that the transaction was valid and legal.

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Fred insisted that the transaction was void as there was no agreement on the price and demanded their money back. Discuss whether Fred is correct, or whether they are bound to the sale for R2 000. Motivate your answer.

2. John and Sally enter a contract in terms of which Sally will replace the broken screen of John's cell phone at a price of R700. Both believe that the cell phone is a Malaxy. However, the phone is a Walaxy and Sally does not have replacement screens for this make of cell phone. Neither would have entered the contract if they had known the truth. Advise John and Sally of their legal position.
3. Muriel is the owner of the Continental Restaurant, which overlooks a small dam. They advertise the restaurant for sale and Mosiu comes to inspect it with a view to buying it. Mosiu says: 'I am prepared to offer you R1.5 million.' Muriel, who needs more money than this, decides to try and persuade Mosiu to offer more. They say to Mosiu:

   'Look, this is no ordinary restaurant. Our customers include the president. With the liquor license attaching to the premises, you can hold moonlight parties alongside the lake. It's a real bargain at R2 million.'

   This speech tips the balance in Mosiu's mind and they buy at the asking price of R2 million. When they take over the restaurant, they discover that the president only previously visited the restaurant on one occasion, and nearly all the restaurant's business is done during the day, so regular patrons have no interest in holding parties next to the dam.

   a) Advise Mosiu fully on what their chances of success would be in applying to rescind the contract. Include in your answer a full discussion of applicable legal principles and remedies. Refer to all relevant sources of law.
   b) Advise Mosiu of any other remedies they may have, apart from rescinding the contract.
4. Funani is the wealthy owner of a security company. The operations of their company also involve the protection of high-profile individuals. An A-list Hollywood actor, Bro-Bro, is visiting South Africa, and Funani's company is tasked with their personal protection. Funani deploys all their security guards for this purpose. Shaka, the manager of Funani's security team, approaches Funani with a document, which states that all the security personnel will, with immediate effect, be granted a monthly salary increase of ten percent. Funani is furious, and angrily chases Shaka out of their office. However, Shaka does not leave, but instead informs Funani that should Funani refuse to sign the contract, all the security guards will immediately stop the protection of Bro-Bro. Funani signs the contract. At the end of the month, Funani, however, does not pay the increases as agreed. Shaka, on behalf of the security personnel, sues Funani in terms of the contract.

   a) Funani approaches you for legal advice. Advise Funani fully on whether they are obliged to pay in terms of the contract. Include in your answer, a discussion of their legal remedies. Refer to all relevant sources of law, including case law.
   b) Would your answer be different if, instead of threatening to stop guarding BroBro, Shaka threatened Funani that the security guards deployed to protect Funani's children at their private school where there has recently been a kidnapping threat will leave? Motivate your answer.
5. Veronica discovered Madame Zee, a fortune teller, when they were in their late teens. Since then, Veronica has regularly consulted Madame Zee for advice on all aspects of their life at a cost of R350 per session, and has grown to trust Madame Zee without question. Veronica believes that, as Madame Zee can see into the future, they are always able to guide Veronica, and that Madame Zee has Veronica's best interests at heart.

   Veronica is heartbroken. Their father died six months ago and on top of their grief, Veronica's fiancée called off their engagement just two weeks before the wedding. They rush to Madame Zee for guidance and reassurance. They pay Madame Zee the consultation fee of R350. Madame Zee convinces Veronica that their fiancée will return to them once they sign over their inheritance of R2 million from their late father's estate to Madame Zee. Veronica contracts with Madame Zee, believing that it will help get their fiancée back and signs over their inheritance. However, they are bitterly disappointed when their wedding day arrives, and their fiancée has still not returned to them.

   Advise Veronica fully on their legal position in trying to get their inheritance back from Madame Zee. Refer to relevant sources of law.

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Further reading

Bhana, D., Bonthuys, E. and Nortje, M. 2022. *Student's Guide to the Law of Contract*, 5th ed., Cape Town: Juta and Co. (Pty) Ltd

Hutchison, D. et al. 2022. T*he Law of Contract*, 4th ed., Cape Town: Oxford University Press Southern Africa (Pty) Ltd

Sharrock, R. 2017. *Business Transactions Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

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Formalities, certainty, possibility, and lawfulness of contracts

Chapter 7

The main ideas

- Formalities – the starting point
- Types of formalities
- When are formalities required?
- Certainty of performance in contracts
- Possibility of performance in contracts
- Legality of performance in contracts

The main skills

- Apply knowledge of theory in an analysis of a lease agreement.
- Explain and interpret formalities of a contract.
- Identify problems in a contract.
- Solve problems and make decisions based on legal requirements for contracts.

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So far, we have dealt with the first two of the six requirements for a valid contract, namely contractual capacity and agreement. This chapter deals with the remaining four requirements. Some contracts have to be concluded in a particular way, in other words, they have to comply with certain formalities. A contract also has to be clear, and the action it describes must be both possible and legal. Failure on any one of these grounds would make the contract void.

Before you start

Pila, who is a salesman working on a commission basis, and Mandla meet in a shebeen one evening. Pila notices that Mandla is wearing a very expensive Ralax watch. Pila always wanted to own a Ralax watch and offers to buy Mandla's watch. Mandla is eager to sell their watch, as they plan to buy an expensive bracelet for their spouse and need some extra money. After haggling over the price, Mandla tells Pila that Pila can pay the purchase price of R5 000 in regular instalments as Pila's commission is paid to them from time to time. On a paper napkin in the shebeen, Pila writes a contract in which they agree to buy Mandla's Ralax watch on the agreed terms.

The next morning Mandla realises that they should not have sold their Ralax watch at such a low price. Mandla consults with you and shows you the contract that was written on the paper napkin, wanting your advice on whether they can be bound to the contract.

Do you think that this is a valid contract?

7.1 Formalities – the starting point

The starting point is that most contracts have no formalities – they do not need to comply with a particular form or format. Many contracts do not require any formality, such as writing down the terms, but can be concluded verbally or even by your actions. For example, if you walk into a shop and put a packet of chips and a R20 note on the counter and the cashier takes the money and gives you the packet of chips, you have entered a valid contract of sale.

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Activity 7.1

Can you think of any more examples of verbal or tacit contracts that you have concluded? Make a list of at least three examples. Did you think of them as binding contracts at the time?

However, certain contracts do have formalities that you have to comply with. If the contracting parties fail to comply with these formalities, the contract is most often declared void, but there may also be other legal consequences. The formalities can either be required in terms of the law or agreed to by the contracting parties themselves.

Added value — Verbal or written?

It is a common mistake for people to think that contracts are valid only if they are in writing. Be careful of what you agree to in discussions because most verbal contracts are valid!

7.2 Types of formality

The three types of formality that most often apply to contracts are that the contract must be:

1. written down and signed
2. signed in front of a notary public (who acts as a witness to the signatures)
3. registered at the Deeds Office.

7.2.1 The contract must be written down and signed

This is the most common formality. It requires that all the terms of the contract must be written down in a document and that each of the contracting parties must sign the document. This formality is usually applied to important contracts, where the law wants to be certain of the terms and does not want to rely on a verbal contract.

Even where the law does not require the contract to be reduced to writing, the contracting parties may decide on their own to impose such a requirement before the contract will be legally binding on them. The primary reason for the formality of reducing a contract to writing is that verbal contracts, while ordinarily valid in law, are often difficult to prove in the event of a dispute between the parties.

7.2.2 The contract must be signed in front of a notary public

Certain documents, such as antenuptial contracts, which are dealt with below, have the formality that they must be signed in front of a notary public. This is known as notarial execution. This formality applies to very important documents that the law wants a trusted person (the notary) to witness.

7.2.3 The contract must be registered at the Deeds Office

All the major cities of South Africa have Deeds Offices, where certain important public documents are kept or *lodged*. The general public has a right to see any of the documents lodged at the Deeds Office. As we have already mentioned, conveyancers and notaries public are the attorneys who specialise in preparing these documents and lodging them at the Deeds Office. The conveyancer is involved with the **transfer** of immovable property while the notary public deals with the other documents that are lodged at the Deeds Office.

When you **transfer** immovable property, you are selling land or buildings.

Activity 7.2

In this chapter, we cover the four remaining requirements for a valid contract. As you can imagine, it is quite a lot of work. In order for you to have a better understanding of each requirement, now is a good time to look at the headings in this chapter and draw up your tree structure. If you have forgotten how to, refer back to Activity 2.2 in Chapter 2.

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7.3 When are formalities required?

Formalities may be required either in terms of the law or by the contracting parties themselves. The law usually requires formalities when it regards the contract as too important to be only verbal. Parties may agree between themselves that they want a contract to be entered in a particular manner.

7.3.1 Formalities required by law

Legislation often prescribes that certain types of contracts must be in a particular form. However, in some cases, these are not formalities in the sense of a requirement for validity. Rather, failure to comply with the prescribed form will just amount to a criminal offense that is punishable by a fine. The agreement will still be valid and binding. Examples of such legislation is the National Credit Act 34 of 2005 and the Consumer Protection Act 68 of 2008 (CPA), which provides that credit and consumer agreements have to be in writing.

However, in other cases, legislation stipulates that certain contracts must comply with particular formalities to be valid. Most of the time these will be that the contract must be in writing and that it must be signed by the parties. The law also sets out the consequences if these formalities are not met. A few of the more important contracts that require formalities are contracts concluded around agreements of:

- antenuptial contracts
- transfer of immovable property
- suretyship (or guarantee).

Let us look at each of these types of contract.

Antenuptial contracts

An antenuptial contract is a contract entered into by a couple before they marry. This can apply in the case of a civil marriage, civil union, or African customary marriage. The antenuptial contract details the couple's rights of ownership of items and money while they are married and in the event that the marriage ends. We discussed these contracts in Chapter 4. An antenuptial contract has two formalities, both of which must be satisfied according to section 87 of the Deeds Registry Act 47 of 1937:

1. It must be **notarially executed** before the parties marry.
2. It must be registered within three months of the date of the execution.

If a contract is **notarially executed**, it means the parties signed it before a notary public, who signed as witness.

If the contract does not meet these formalities, it is binding on the spouses, but not on any third parties.

For example, Walter and Jesse sign an antenuptial contract before they get married, agreeing to get married out of community of property without accrual. If the formalities regarding the antenuptial contract are met, everyone must accept that Walter and Jesse are married out of community of property, and that they have separate assets and liabilities. Walter's creditors cannot sue Jesse for Walter's debts, and Jesse's creditors cannot sue Walter for Jesse's debts.

However, if the formalities are not met, the antenuptial contract is only binding on Walter and Jesse. In other words, should they get divorced or when one of them dies, they will each have separate estates with no claim against the other. However, as far as Walter's creditors are concerned, it is as if there was no antenuptial contract – in other words, the spouses are married in community of property, since that is the default position if there is no antenuptial contract. Jesse and Walter are liable jointly and severally for any debts incurred by either of the spouses – in other words, Walter or Jesse's creditors can sue either of them independently, or together, for the full amount of the debt.

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Contracts for the transfer of immovable property

In terms of section 2(1) of the Alienation of Land Act 68 of 1981, contracts for the transfer of immovable property must be in writing and signed by the contracting parties. If this formality is not met, the contract is void. So, if I want to make an offer to buy your flat, I must write it down, sign the offer and then give it to you. You accept my offer by writing your acceptance and signing it. Thus, in the case of immovable property, a verbal offer or acceptance of the sale is void and has no legal effect.

Contracts of suretyship

A contract of suretyship is a contract in terms of which a third party (the surety) guarantees that if a debtor does not honour an obligation to a creditor, the surety will be liable to the creditor. Because these contracts place a heavy burden on the surety, section 6 of the General Amendment Act 50 of 1956 imposes the formality that the contract of suretyship must be in writing and signed by the surety. The creditor does not have to sign, but the surety must. If this formality is not met, the contract of suretyship is void and can be ignored.

For example, when a bank lends money to a student, it usually requires the student's guardian to stand surety for the student loan. This means that if the student does not pay back the loan, the bank can sue the guardian for repayment of the loan. However, if the contract of suretyship is not in writing and signed by the guardian, the contract is void, which means that the bank cannot sue the guardian if the student fails to repay the loan.

You should generally be careful of signing as a surety, as these contracts place a great financial burden on the surety.

Added value — Principal debt and suretyship

In the case of a suretyship, there are two contracts:

1. The original contract between the debtor and the creditor, called the principal debt.
2. The suretyship between the surety and the creditor. This is the contract by which the surety undertakes to pay if the debtor fails to comply with their obligations in terms of the principal debt.

For example, if the suretyship is invalid because it did not comply with the prescribed formalities, the principal debt is not affected. The principal debt remains valid and the debtor is obliged to comply with it.

7.3.2 Formalities agreed to by the contracting parties

Usually when parties to a contract agree to put their agreement in writing, they intend to do so only to serve as proof of their contract. In such a case, the contract will be valid even if it is not in writing.

However, it is also possible for the contracting parties to agree that their contract will be valid only if it is written down and signed. In such a case, writing and signing is a formality (requirement for validity). Parties can agree to any formality they choose. If the contract does not meet the agreed upon formality, the contract is void.

Similarly, parties can agree on formalities for subsequent changes to the contract. An entrenchment, or 'no variation clause', provides that any subsequent agreements to change the contract must be in writing and signed by the parties. These clauses are discussed again in Chapters 9 and 12. If the parties do not comply with the agreed formalities, their agreement to change the contract will be invalid, and the contract will remain as it originally was. This is illustrated by the case below.

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***SA Sentrale Ko-op Graanmaatskappy Bpk v Shifren en Andere* 1964 (4) SA 760 (A)**

Principle

If a contract contains an entrenchment ('non variation') clause, any subsequent agreement to change the contract will only be valid if it complies with the agreed formalities.

Facts

SA Sentrale Ko-op Graanmaatskappy (the tenant) leased premises from Shifren (the lessor). A dispute arose as to whether the tenant had breached one of the terms of the original lease agreement. The tenant argued that they had verbally agreed with the lessor to change that term after the lease had been signed. The problem was that the contract contained an entrenchment clause that any changes to the contract had to be in writing and signed in order to be valid.

The court's finding

The verbal agreement to change the contract was invalid, since it did not comply with the formalities in the entrenchment clause. The original lease therefore remained unchanged, and the tenant was in breach of that term.

If the parties do not agree to any formalities, the general rule that no formalities are required, will apply.

7.3.3 Electronic contracts

The Electronic Communication and Transaction Act 25 of 2002 provides that an accessible data message is generally sufficient to satisfy the formality that a contract be in writing. The Act also allows an electronic signature to replace a written signature in certain circumstances. If signature is required by the parties, a simple electronic signature will be sufficient. However, if signature it required by law (statutory formality), an 'advanced' electronic signature must be used. These concepts are discussed in more detail in Chapter 19.

Certain contracts that are subject to statutory formalities cannot be concluded electronically, such as a contract for the transfer of land. They will still have to be concluded in paper form.

Activity 7.3

In this chapter, we cover the four remaining requirements for a valid contract. As you have already seen from the discussion on the requirement of formalities, this chapter covers quite a lot of work. In order to have a better understanding of each requirement, now is a good time to look at the headings in this chapter and draw up your tree structure.

7.4 Certainty of performance in contracts

When we talk about **performance** in terms of the law of contract, it means what each party to a contract has to do in terms of that contract. If it is not clear what performance is required of each party, the contract is void because of uncertainty. For performance to be possible, it must be clear what each party has to do in terms of the contract. This means that the contract must:

The **performance** of each contracting party refers to the duties that the contract gives to each party.

- state clearly what performance is required – it must be certain, or
- enable the person to decide what performance is required, from the contract itself – it must be ascertainable.

If the performance is not certain, but is ascertainable, it means that performance can be made certain, with more information. In terms of ascertainable performances, the legal principle that applies is: 'That is certain which can be made certain'. In other words, we consider something to be certain when we can read something certain from it.

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In *Levenstein v Levenstein* 1955 3 SA 615 (SR), the court classified the three main causes of uncertainty:

'… (a) There is uncertainty whether the one party will ever acknowledge the existence of an obligation. This can occur when a contract gives a party an unlimited option whether or not to perform.

(b) Where the vague and uncertain language creates the impression that the parties never reached agreement. In deciding whether a contract is in fact vague, a court will consider all surrounding circumstances, the relationship of the parties, the conduct of the parties and the facts around the conclusion of the contract.

(c) Where there is uncertainty as to the subject matter which has still to be agreed, in that they have failed to agree on the material contractual terms. In deciding whether all the contractual terms have been included in a contract, the courts will consider all the terms including express terms, tacit terms, any trade practices relevant statutory or common law principles'.

Courts are loath to void a contract due to uncertainty and in as far as possible, interpret a contract in a way that does not result in uncertainty.

The court usually determines the intention of the parties from the way it understands the contract as a whole. In each case, the courts will try to give effect to the intention of the parties and will try to interpret a contract so that it is valid. The courts usually look at whether the contract is 'reasonably' certain – it is not necessary to understand every clause precisely or exactly. When a clause is vague, the court will allow evidence, so that it can decide what the parties really intended. (See the discussion on interpretation in Chapter 8). For example, a clause granting an extension 'of a few months', can be resolved by evidence of the circumstances of the parties at the time the contract was entered into.

Let us look at some examples of contracts that the courts would consider to be ascertainable, even though they appear to be unclear. They are:

1. a clause that allows a third party to determine or change performance
2. a clause that allows a contractual party to determine or change performance, in some cases
3. a generic obligation
4. an alternative obligation
5. a facultative obligation.

Let us look at each of them in more detail.

7.4.1 A clause that allows a third party to determine or change performance

The parties can validly agree that a third party will decide what performance must be. For example, Buli agrees to sell their restaurant to their friend Vuyani. To ensure that the price is fair, they agree that an accountant, Natalie, will make the decision on the price that Vuyani has to pay.

In this case, Vuyani's performance relating to the price they have to pay Buli for the restaurant has not been decided or determined, but it is determinable, in other words, it is possible to determine the performance. Therefore, even though the price is not certain in the contract, the contract is not void, because any person or court would be able to find out the price by asking Natalie. The performance is therefore determinable (or ascertainable) and the contract is valid.

7.4.2 A clause that allows one of the parties to determine or change performance, in some cases

These cases look similar to the previous one, but instead of a third party making the choice, the contract provides that one of the contractual parties makes the choice. These clauses are only valid if the party exercises their discretion subject to the ***arbitrio boni viri*** – in other words, honestly and reasonably. This is illustrated by the case below.

Literally translated, the ***arbitrio boni viri*** means 'the judgment of a good person'.

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***NBS Boland Bank v One Berg River Drive CC; Deeb v ABSA Bank Ltd; Friedman v Standard Bank of SA Ltd* 1999 (4) SA 928 (SCA)**

Principle

A contract that gives one party the right to determine or change performance is valid, provided that the party exercise their discretion reasonably and honestly (*arbitrio boni viri*).

Facts

The banks involved had all loaned money to their customers. The loan agreements contained clauses that allowed the banks to change the interest rate they charged on the loans from time to time. The customers argued that these clauses made their performance too uncertain, since the instalments payable to the banks would change every time the bank changed the interest rate.

The court's finding

The clauses did not make performance too uncertain. The banks had to exercise their discretion to change the interest rates reasonably and honestly (*arbitrio boni viri*) – in other words, they could not change it arbitrarily or unfairly.

7.4.3 A generic obligation

A generic obligation exists when the contract allows someone to choose performance from a *genus*, or class, of things. For that performance, the person choosing can be the debtor or the creditor, or even a third party. Such clauses are valid. For example, Lester agrees to buy one of the horses from Gary's stable at a price of R5 000. They have not specified which of the horses, but Gary is to choose the horse from a class of things (the horses at Gary's stable). The performance is determinable, and it will be for Gary to choose one of the horses from the stable to deliver to Lester.

7.4.4 An alternative obligation

An alternative obligation exists when the contract allows someone to choose performance from one or more alternatives. Once again, the contract is valid. For example, Lester agrees to buy either Horse A or Horse B from Gary for R5 000, and allows Gary to choose which one of the horses they would like to sell. The performance is again determinable. The alternative obligation is more specific than the generic obligation because it refers to a choice between particular individual items, not just one of a group.

7.4.5 A facultative obligation

A facultative obligation exists when the contract provides for a primary performance, but allows the debtor to substitute that performance with another. Once again, the contract is valid. For example, Gary agrees to sell Horse A to Lester for R5 000, but reserves the right to substitute Horse A with Horse B instead.

Facultative obligations look quite similar to an alternative obligation, but here there clearly is a primary obligation, whereas in the case of alternative obligations, the choices are on an equal footing. The difference becomes important if one of the performances is impossible. In the case of an alternative obligation, the party just has to deliver the remaining performance. In the case of a facultative obligation, if the primary performance is impossible, the contract falls away due to impossibility. So, for example, if Gary said to Larry 'I will sell you Horse A or Horse B for R5 000' (alternative obligation), and Horse A dies, the contract remains valid, and Gary must deliver Horse B to Larry. If Gary said to Larry 'I will sell you Horse A for R5 000, but if I want, I can deliver horse B instead' (facultative obligation), and Horse A dies, the contract falls away due to impossibility, and Gary does not have to deliver any horse to Larry.

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However, an agreement to buy something 'on terms to be agreed upon' would be void, because of the uncertainty it causes. Similarly, a clause to pay a 'fair' price for a performance is invalid because fairness is too subjective. Any contract that gives a debtor an open choice as to whether to perform will also be void on the basis of uncertainty because it is not clear whether the debtor will choose to perform.

If the performance required by the contract is neither certain nor ascertainable, the contract will be void – in other words, it is neither determined nor is it determinable. If the obligation under the contract is severable – in other words, it can be removed from the contract, then only that part is invalid and the rest remains in force. If it is not possible to sever that obligation, the whole contract will be invalid.

If the parties have agreed on what performances are to be made, but one still cannot clearly understand what each of them is meant to do, we say the contract is 'void for vagueness'.

In the case below, the court ruled that the agreement was void for vagueness.

***Mitchell Cotts Freight Zimbabwe (Pvt) Ltd v S & T Import and Export (Pvt) Ltd* 1982 (2) SA 669 (Z)**

Principle

The terms of a contract must be certain. Where the language used is vague, indefinite or lacking in detail, the agreement is void for vagueness.

Facts

One of the clauses in the contract stated that the debtor would make payment 'by instalments on a regular basis – the amount of the instalments to vary in accordance with the liquidity position' of the debtor.

The court's finding

The court ruled that the phrase was void for vagueness as it omitted important details, such as the intervals, date, and amount of the instalments.

By now you should be able to answer the question posed at the start of the chapter in the section 'Before you start'. The major problem in this scenario is whether the terms of the agreement are certain enough. The parties agreed that Pila would pay the purchase price in 'regular instalments as Pila's commission is paid to them from time to time'. This agreement omits important details on the instalments that Pila has to pay. How many instalments must Pila pay? What is the interval between instalments? What is the amount of each instalment? In this regard, the facts of this scenario are very similar to *Mitchell Cotts Freight Zimbabwe (Pvt) Ltd v S & T Import and Export (Pvt) Ltd* 1982 (2) SA 669 (Z). It is because of these omissions that Pila's performance is not certain or ascertainable. The contract will therefore be void for vagueness.

Activity 7.4

Read a copy of a contract that you (or your parents, or someone you know) have signed, such as a lease agreement or a contract of sale. Are your rights in terms of the contract completely clear? Is there anything that is not certain to you even after you have looked up difficult words in a dictionary? If there is no contract at home, go online and look for one there, such as a website's terms and conditions. Based on your understanding of this chapter so far, consider whether you think any uncertainty in that contract is enough to make a clause, or the entire contract, void.

7.5 Possibility of performance in contracts

Possibility is the fifth in our list of six requirements for a valid contract.

As a general rule, a contract will not be valid if performance is objectively impossible at the time the contract is concluded. What do we mean by objective impossibility? It means that the performance is impossible for anyone to perform. For example, suppose that on 1 April Boni agrees to rent their

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donkey out to Christo for three days at a rental of R1 500, so that Christo can plough their lands. However, unknown to both of them, the donkey had been struck by lightning on 30 March, and died immediately. It is impossible for anyone to deliver the donkey to Christo, since it is now dead (objective impossibility). This impossibility already existed at the time of conclusion of the contract (1 April), since the donkey had died two days before (on 30 March).

Compare this to the situation where the donkey is still alive, but at the time the parties entered into the contract, Christo did not have enough money to pay Boni. While it is impossible for Christo to pay, this is a problem of impossibility only experienced by Christo. The payment is not something that is completely impossible for anyone to perform. This type of impossibility is known as subjective impossibility. It does not make the contract void.

The rule that a contract is invalid if performance is impossible only applies when the performance is objectively impossible (completely impossible for anyone) at the time of the agreement. This is illustrated by the case below.

***Wilson v Smith and Another* 1956 (1) SA 393 (W)**

Principle

If performance is objectively impossible at the time the contract is concluded, the contract will be invalid.

Facts

Wilson sold a piece of his stand to Smith. However, Wilson would only be able to transfer the piece of this stand if it was legally subdivided into two stands. Unfortunately, at the time of conclusion of the contract, there were township regulations forbidding the subdivision of the stand. The question was whether the contract was void for impossibility.

The court's finding

Performance was objectively impossible at the time of conclusion of the contract. No-one would be able to transfer the piece of land to Wilson unless the stand was subdivided. However, the stand was not capable of being subdivided. As a result, the contract was void.

What happens when something that is out of the parties' control happens after the contract is entered into? If it has become objectively impossible to perform in terms of the contract, we use the concept of supervening impossibility, which we discuss in Chapter 13. The contract becomes void. There are also cases when one of the parties makes performance impossible after they have entered into the contract. This is a form of breach and is dealt with in Chapter 10.

So, under what conditions will a contract be made void because it does not meet the requirement of possibility? This happens only in the case where performance is objectively impossible at the time the contract is agreed to. If it is difficult or inconvenient, but not impossible, for any person to perform in terms of a contract, perhaps because of other work commitments, the contract remains valid. The contract also remains valid despite initial impossibility where one of the parties has guaranteed performance. There are instances where a performance may be factually possible, but it is practically or economically impossible – in other words, it can be done, but the cost of doing so might be 'utterly disproportionate to its value'. In this case, too, no obligation will arise.

7.6 Legality of performance in contracts

A court can **enforce a contract** only if the contract is allowed by law. For example, if Dylan, a professional thief, agrees with Vince that Dylan will steal a valuable painting from an art gallery, this contract is not legally allowed, since stealing is a crime. The court cannot enforce the contract by forcing Dylan to steal the painting.

When a court **enforces a contract**, it means that the court helps one of the parties by giving effect to the contract.

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We can distinguish the following two kinds of illegality related to contracts:

1. statutory illegality: The contract is prohibited by statute (legislation).
2. common-law illegality: The contract is illegal in common law on the grounds of public policy.

7.6.1 Statutory illegality

Parliament usually passes more than 100 laws or statutes (Acts) every year. Most acts of parliament give guidance to citizens of the country as to what their law makers allow and do not allow. Sometimes, a parliamentary act or delegated legislation will make an agreement invalid, or void. This is known as statutory illegality.

For example, an act may require you to get a licence or permit before you can sell certain items, such as alcohol (Liquor Act 59 of 2003), drugs (Medicines and Related Substances Act 101 of 1965), and ammunition or weapons (Firearms Control Act 60 of 2000). Sometimes, it is the buyer who needs a licence. For example, you have to have a valid television licence if you want to buy a television (Broadcasting Act 4 of 1999). Alternatively, an act may make it illegal for anyone at all to enter into certain contracts, such as the sale of human body parts (National Health Act 61 of 2003). Usually, the act provides a penalty if people enter into such contracts. For example, the National Health Act provides for imprisonment and/or a fine if one is found guilty of selling body parts. The question in this case is whether the contract itself becomes void or whether the penalty stated by the act is enough punishment.

Generally, if a contract goes against what an act says, the contract is void (in addition to any penalty provided for in the act), but in each case the court will have to interpret the particular statute carefully. Among other factors, the court will look at the effect of recognising the agreement, the language used, and the intention of the legislation. Would it bring about the harm that the act is trying to prevent? If this is the case, the agreement will be void because of statutory illegality. However, if the penalty in the legislation is sufficient to prevent the harm, the court may uphold the contract. If it would cause more harm if the contract is invalid than if it is valid, the contract will be valid. This is known as the 'balance of convenience' test and is illustrated by the case below.

Metro Western Cape (Pty) Ltd v Ross 1986 (3) SA 181 (A)

Principle

If legislation prohibits a certain type of contract, this does not necessarily mean that the contract will be invalid. If making the contract invalid will cause more harm than enforcing the contract, the contract will be valid.

Facts

Metro Western Cape conducted a business as a general dealer without a licence to do so. This was prohibited by provincial legislation. In the course of doing such business, Metro concluded various contracts of sale with customers. One of the customers, Ross, owed Metro a large sum of money for goods purchased. Metro then sued Ross for payment. Ross argued that the contract of sale was invalid since Metro did not have a licence as general dealer.

Since concluding contracts of sale with customers was part of doing business as a general dealer, such contracts were also prohibited by the legislation. The court therefore had to find the intention of the legislation to determine whether the contract between Ross and Metro was invalid.

The court's finding

The contract with Ross was not invalid. The harm that the act was trying to prevent was general dealerships being run by unsuitable persons from unsuitable premises. The penalties in the legislation against unlicenced dealers were enough to prevent such harm. Moreover, if the resulting contracts of sale were invalid, this would cause even more harm as innocent customers who bought goods from such dealers would have no remedies for breach of contract, such as where the dealer sells the customer defective goods). Ross was therefore bound by the contract with Metro, and had to pay.

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7.6.2 Common-law illegality

Agreements that are against public policy are also not allowed. It is difficult to give a general definition of this concept, since it draws on many different policy considerations and can change over time. In the law of contract, a very important consideration is **freedom of contract** and the idea that contracts should generally be enforced to give effect to people's choices and to promote **commercial security of bargain**. This consideration generally supports the validity of contractual terms. However, there are public policy considerations that may count against enforcement, such as when the contract is against the *boni mores* (good morals), or the interests of the public. An unfair contract may also be against public policy in certain circumstances. The Constitution of the Republic of South Africa, 1996, (the Constitution) is another very important consideration in deciding whether a contract is against public policy.

Freedom of contract is the idea that parties should, as far as possible, be given the freedom to decide on the terms they want to include in their contracts.

Commercial security of bargain is the idea that for commerce to function effectively, it is important that businesses can count on contracts being enforceable, as contracts are essential tools in planning ahead.

As Cameron J stated in *Brisley v Drotsky* 2002 (4) SA 1 (SCA):

> 'In its modern guise, public policy is now rooted in our Constitution and the fundamental values it enshrines. These include human dignity, the achievement of equality and the advancement of human rights and freedoms, non-racialism, and non-sexism'.

We will give some examples where courts have found contracts to be void because they were against public policy. These examples will help you understand common-law illegality. We will look at five categories, namely:

1. contracts that interfere with the administration of justice
2. contracts relating to marriage
3. gambling contracts
4. unfair contracts
5. restraints of trade.

Contracts that interfere with the administration of justice

Contracts that interfere with justice is a broad category that relates to contracts undermining the aims of the legal system. We give several examples below.

When two people enter into an agreement that one will commit a crime or a delict in exchange for money or some other reward, that contract is void. In the same way, an agreement in which one party pays another party to keep quiet about a crime that has been committed, would be void. Where a crime is committed, no one may benefit from it in terms of any agreement because that would be against the administration of justice.

For example, if one spouse murders their spouse to benefit from their life insurance policy, the murderer cannot claim from the policy. Even though the policy itself was a valid contract between the spouse and the insurance company, the murderer cannot claim under it because they committed a crime in order to make that claim. It is a principle of South African law that '**a bloody hand may not inherit**'.

'**A bloody hand may not inherit**' means that a person cannot inherit from a person whose death they intentionally caused.

Any agreement that attempts to enable the parties to avoid the courts or the law, and to take the law into their own hands, is void. An agreement with a citizen of a country at war with South Africa will also be void, if that agreement is to the advantage of the enemy country. For example, an agreement to provide that country with weapons and ammunition would be against public policy, and therefore void.

If both parties to a contract have an illegal purpose in mind, the agreement will be void for illegality. If only one of the parties has an illegal purpose in mind, the agreement will be illegal and void against only that person. In a case like this, the innocent person may enforce the agreement. For example, suppose that Andy buys 12 cases of beer from a liquor store, intending to illegally sell the beers at a

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profit to underage school children who are not legally allowed to buy alcohol. If the shopkeeper knows of Andy's intention, the agreement between Andy, the buyer, and the shopkeeper, the seller, for the sale of the beer is illegal and void. Neither party can sue the other in terms of the contract. However, if the shopkeeper had no idea of Andy's motives, they can sue Andy for payment of the price of the beers.

Contracts relating to marriage

An agreement that completely restricts the freedom to marry will be void. In the past, a promise not to marry a member of a certain class of persons, or an agreement not to marry someone who is born into a different religious faith, was regarded as valid. However, in a constitutional democracy, the courts will consider the constitutional values and rights in deciding whether a contract is against public policy. Since such a promise infringes on the right to freedom of religion, it is possible that in future the courts will find that such a promise is against public policy and therefore invalid.

An agreement that promotes sexual immorality is void, as the contract would be against good morals. For example, in the past an engagement contract, where one of the parties was still legally married to someone else, was regarded as against good morals. However, it is unclear if our courts would still find the same today. Over time, there have been changes regarding the conduct that society considers to be good. For example, although adultery (mentioned in Chapter 1) used to be a crime, it no longer is because society's idea of what is criminal has changed over time.

Another problem in a diverse society, such as South Africa, is that not all communities share the same views on what conduct is regarded as immoral. For example, some communities allow **marriage brokers** to enter into contracts with people, and to introduce them to potential partners with a view to marriage, in return for payment of a fee. However, other communities may regard this as against good morals.

A **marriage broker** is a matchmaker, a person who introduces single people to one another as possible marriage partners.

The Constitution allows for different cultural practices, as long as such practices are not in conflict with the Constitution. For example, in African customary law, the groom's family pays the bride's family a gift to show appreciation, called lobola. This lobola amount is negotiated between the two families, and concluded as an agreement. Such contracts will, therefore, not be against public policy, unless they infringe upon a party's freedom and dignity, such as by forcing them to marry someone that they do not wish to marry.

Gambling contracts

There has also been, to some extent, a change of social attitudes towards gambling, which is now allowed in certain circumstances and governed by law. Gambling involves various ways of placing bets, usually with money. A bet or wager is a contract that is based on luck, and usually results in the payment of money, depending on the outcome of a contest, such as a horse race.

The National Gambling Act 7 of 2004 deals with betting and gambling, while the Lotteries Act 57 of 1997 deals with lotteries and sport pools. Any gambling or debts coming from gambling allowed by these Acts (such as a bet or wager placed in a casino or the playing of an amusement game, which is regulated by the National Gambling Act) are enforceable in a court. Any other forms of gambling are not enforceable and are still against public policy, even though the contract may be valid at common law.

So, although nothing prevents a person who has placed an unregulated wager from performing in terms of the contract and paying the debt, the courts will not enforce these contracts because they are against public policy. This means that if you lose a bet and refuse to pay, the other party will not be able to sue you in court. The contract is not enforceable. Although there is nothing wrong with the contract itself, a court will not hear a case that has to do with unregulated gambling.

Unfair contracts

Sometimes, people enter into a contract that turns out to be completely unfair and only to the advantage of one of the parties. Fairness is not a general requirement for a valid contract. It is a reality that people

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often conduct business with maximum profit in mind, and those who are in a stronger position will use their strength to gain an advantage. The courts accept that this is allowed as a general rule and that contracts have to be enforced, whether or not their terms are fair.

The courts recognise, however, that in exceptional cases, a contract or a term in a contract may be against public policy because it is very unfair. It is not easy for a party to succeed in having a contract declared void on the grounds of unfairness, because public policy generally favours freedom of contract and the enforcement of contracts.

Let us look at the following case, which illustrates how hard it is to succeed in having a contract declared void on the grounds of unfairness.

Diners Club SA (Pty) Ltd v Singh and Another 2004 (3) SA 630 (D)

Principle

Clauses designed to protect a credit card issuer by placing the risk of wrongful use on a customer are not necessarily against public policy, even where the card was used by someone else without authorisation.

Facts

Diners Club issued credit cards to the defendants, in terms of written contracts. A clause in each contract provided that the cardholder was liable for amounts due, even if somebody else had used the personal identification number (PIN) of the credit card. Singh refused to pay amounts due on the credit card because somebody else had used them without permission. Singh raised the defense that this clause was against public policy.

The court's finding

The court found that the clause was intended to protect Diners Club by placing the risk of wrongful use on its customer, the cardholder. When the cardholders accepted the credit cards, they knew that they were bound by the contractual terms and conditions they had signed. They had not been forced to accept the cards, and should have found out for themselves which of the terms applied to all cardholders. There was therefore no basis for holding the clause against good morals. The contract was valid.

The case below is an example of a contract that was so unfair that it was declared void.

Baart v Malan 1990 (2) SA 862 (E)

Principle

A contract that deprives a person of obtaining any benefit whatsoever from their employment will be against public policy.

Facts

The parties divorced and entered into an agreement regarding the maintenance of their children. Malan, who was a teacher, agreed to pay an amount equal to the amount they received as a salary every month, plus their annual bonus, to their husband for a period of 20 years.

The court's finding

This agreement was against public policy because it deprived Malan of any benefit coming from their employment as a teacher. This reduced Malan to virtual slavery, which is against public policy.

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When considering whether a contractual term is so unfair as to be against public policy, our courts distinguish between two situations:

1. The unfair term is against public policy in all contracts (objective test).
2. The unfair term is against public policy in this particular case only (subjective test).

We will now look at each situation in more detail:

The unfair term is against public policy in all contracts (objective test)

The court first looks at the clause objectively – in other words, the court first considers the clause in the abstract, and asks whether such clause would always be against public policy. In some cases, a term or contract is so unfair that it does not matter what the particular circumstances of the parties are – the contract or term will always be invalid. The *Baart v Malan* case is an example of this. Where a party is deprived of all their income, this will always be against public policy because it is equivalent to slavery. If a clause is against public policy under the objective test, the clause is invalid and will never be enforced in any case before the courts.

The unfair term is against public policy in this case only (subjective test)

Under the subjective test, the court will consider whether the clause is against public policy in the particular circumstances of a case. In some cases, a term or contract is generally not so unfair as to be always against public policy. However, because of the particular circumstances of the case before the court, it becomes extremely unfair. In such a case, the term or contract is against public policy and will not be enforced in this particular case only. It can, however, be enforced in other cases where the circumstances are different.

The implication of this twofold test is that a clause can be legal and valid in some contracts, but not in another (when the subjective circumstances of that case cause the clause to be against public policy).

The following case illustrates this principle.

Combined Developers v Arun Holdings 2015 (3) SA 215 (WCC)

Principle

Acceleration clauses (a clause that makes the full debt to become payable immediately if a debtor defaults with an instalment) are generally not against public policy and will therefore generally be valid and enforceable. However, in a particular case, enforcement of the clause may be so unfair as to be against public policy.

Facts

Arun Holdings borrowed R7 600 000 from Combined Developers, which was repayable in instalments of R42 133 per month. The contract contained an acceleration clause, which stipulated that if Arun Holdings failed to pay any instalment in full on the due date, the full balance of the debt became payable immediately. Arun paid the instalments as agreed, but one month they accidently paid R86 too little, due to a miscalculation of the interest. Combined Developments then wanted to enforce the acceleration clause, so that Arun had to pay the full balance of R7 600 000 immediately.

The court's finding

The court held that acceleration clauses were not against public policy in general – in other words, such clauses would generally be valid and enforceable. However, in the particular circumstances of the case, enforcement of the clause would be so unfair as to be against public policy. The shortfall of R86 was so small in relation to the large payment of over R40 000 that Arun had paid on time, that it would be 'draconian and startlingly unfair' to enforce the acceleration clause in this particular case. Combined Holdings could therefore not use the clause to claim the full outstanding balance from Arun immediately – instead, Arun could continue paying the debt in instalments.

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In deciding whether an unfair term is against public policy in the particular circumstances of a case, two factors are very important. Where one party has **unequal bargaining powers** in relation to the other party, the court will more readily accept that a contract is so unfair as to be invalid in the particular circumstances of the case. The other is whether the party seeking to escape the clause had good reasons for not complying with the contract.

This is illustrated by the case below.

Unequal bargaining powers exist when one party is in a stronger position to prescribe the terms of the contract and the other party has little choice but to agree.

Barkhuizen v Napier 2007 (5) SA 323 (CC)

Principle

Under the public policy test, the court will look at a clause both objectively and subjectively. If the clause is objectively not against public policy, it may still be against public policy under the subjective leg, in the particular circumstances of the case. The existence of unequal bargaining power and the party's reasons for not complying with the contract are important factors under the subjective test.

Facts

Barkhuizen was insured with Napier (the insurance company). Barkhuizen lodged a claim with the insurance company for a loss they were insured for, but the insurance company rejected the claim. A year later, Barkhuizen sued the insurance company. However, the insurance company argued that Barkhuizen had waited too long – in terms of the insurance policy, Barkhuizen only had 90 days to start an action after the claim was rejected. Barkhuizen argued that this clause was so unfair as to be against public policy.

The court's finding

Under the objective test, this clause was not against public policy. Insurance companies had good reasons for placing limitations on the time period within which they could be sued, and the period of 90 days was not unreasonably short. Under the subjective leg, the clause was also not against public policy. Barkhuizen had not given any evidence that he had unequal bargaining powers in relation to the insurance company. Barkhuizen had also not given any explanation as to the reasons why he waited so long to bring his action against the insurance company. The clause was therefore valid and binding, and Barkhuizen was not allowed to sue the insurance company after the 90-day period had ended.

Added value — Objective and subjective test

The *Barkhuizen* case is important, because prior to this case, the courts only looked at public policy objectively. However, the Barkhuizen case introduced the second, subjective test of looking at the particular circumstances of a case. The Constitutional Court has recently confirmed the use of the subjective test in *Beadica 231 CC v Trustees, Oregon Trust* 2020 (5) SA 247 (CC).

In terms of the CPA, suppliers are not allowed to offer goods or services at an unreasonable price or on terms that are 'unfair, unjust and unreasonable'. If a court finds this has happened, the court may order that the money or goods be restored to the buyer or that the buyer be compensated. Refer to Chapter 17 for more detail on these provisions.

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Case study Ayanda and the bee sting

Ayanda's child, Celia, has just been stung by a bee and is showing signs of a severe allergic reaction. Ayanda knows that this allergic reaction can cause Celia to die within a very short time. In a panic, Ayanda runs to their neighbour, Buti, who is also allergic to bees, and asks them if they have anything to treat Celia. Buti tells Ayanda that they have an Epipen (a medical instrument that injects a drug to treat severe allergic reactions), and that they will sell it to Ayanda for R1 500. Although Ayanda thinks that this is a very high price, they feel they have no choice, as Ayanda is afraid that Celia will die if not treated immediately. Ayanda therefore agrees to buy the Epipen at R1 500. Later, Ayanda finds out that Epipens generally costs around R1 000.

Do you think that the court will find that this contract is so unfair as to be against public policy?

There is no general requirement that a contract must be fair to be valid. Courts place a high value on freedom of contract and the idea that contracts must be enforced. However, in exceptional cases, a contract may be so unfair as to be against public policy.

We distinguish between two situations:

1. The unfair term is against public policy in all contracts (objective test).
2. The unfair term is against public policy in the circumstances of this particular case only (subjective test).

It is unlikely that the court will find that this contract is so unfair that it is against public policy in all cases (objective test). Although the price of R1 500 is higher than the average price for Epipens, it is not clear-cut that such a contract would always be against public policy. For example, a person may be willing to pay the higher price simply because they are too lazy to go to the shops.

However, the contract may be against public policy in the particular circumstance of the case. In this emergency situation, Ayanda did not have any choice but to agree to the high price Buti was charging. Because Ayanda did not have equal bargaining powers, the court will be more likely to find that in the particular circumstances, the contract is so unfair as to be against public policy.

Restraints of trade

A restraint of trade agreement is usually a clause in a contract that restricts a person's ability to be involved or employed in a specific trade or business. You are most likely to find a clause like this in:

- an employment contract
- a contract for the sale of a business
- partnership agreements.

For example, if Best Bank employs and trains Bongani, a computer programmer, Best Bank may be concerned that Bongani could take their expertise to another competing bank, which would then have the benefit of their training and knowledge of inside information. So, their employment contract could include an agreement that Bongani will not work for a competing bank within two years of leaving their job with Best Bank.

In principle, a restraint of trade agreement is valid and enforceable. The only time it is not enforceable is if the specific agreement goes too far and is considered to be in conflict with the public interest. The person who does not want to be bound by the restraint clause needs to prove that the clause in a specific contract is against the public interest. The court will look at the circumstances at the time of the hearing to decide whether the restraint is against public policy or not.

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In deciding whether a restraint is against public policy, the court has to balance two competing aspects of public policy. On the one hand, public policy requires that contracts freely entered into should be enforced. On the other hand, public policy requires that people should be able to freely participate in economic activity. This is reinforced by the constitutional right to choose your trade or occupation freely.

The court considers the following factors in deciding whether a restraint is against public policy or not:

1. Is the restraint aimed at protecting a legitimate interest?
2. Is the restraint reasonable as between the parties?
3. Does it serve the interests of the public?

Each of these factors is explained in more detail below.

Is the restraint aimed at protecting a legitimate interest?

This is always the first step in the inquiry. Without a legitimate interest, the restraint will never be enforceable.

It is legitimate for a business to restrain their former employees or partners from competing against them if the ex-employees have gained knowledge of trade secrets or have made business contacts because of their involvement in the business. It would not be legitimate for a business to restrain a former employee or partner from competing against it if they had no access to the business's trade secrets or contacts, or if the company had no secrets to protect. For example, a restaurant could not restrain a waitress from moving to another restaurant, even if they had learned all their waitressing skills there. This is illustrated by the following case.

***Basson v Chilwan and Others* 1993 (3) SA 742 (A)**

Principle

A restraint that is aimed merely at preventing competition, or to protect money and effort invested in training an employee, does not serve a legitimate interest. Such a restraint is invalid.

Facts

Basson was part of a joint venture with Chilwan to build buses. The contract between them contained a restraint of trade prohibiting Basson from being involved in any competing business within a specified area for a period of five years after Basson left the joint venture. However, Basson did so almost immediately after leaving the joint venture. Chilwan then tried to enforce the restraint. Chilwan could not show that Basson had gained any knowledge of trade secrets or built any business connections during the period he was with them. Chilwan argued that he had invested a large amount of money into the joint venture on the basis of Basson's skill and expertise in building buses, without Basson having to contribute anything financially. According to Chilwan, the restraint was aimed at protecting this investment.

The court's finding

Chilwan's investment was not a legitimate interest, just like it would not be a legitimate interest to invest money in training an employee. The restraint was in essence aimed at acquiring a monopoly over Basson's skill and expertise in order to prevent other firms from competing with Chilwan. The restraint was therefore not enforceable.

When a business is sold, it is also legitimate to protect the **goodwill** of the business by a restraint on the seller. The reason is that the price of the business also includes an extra amount for the goodwill of the business. It would be unfair to the buyer if the seller made them pay for the goodwill of the business, but then reduces the value of the goodwill by becoming involved with a competing business that will draw away customers from the business the buyer bought.

Goodwill can be loosely defined as the ability of a business to attract customers.

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Logista Inc. and Others v Van der Merwe 2010 (3) SA 105 (WCC)

Principle

The buyer of a business has a legitimate interest in using a restraint of trade to protect the goodwill of the business they had bought.

Facts

Van der Merwe (the seller) sold their business to Logista Inc. (the buyer). The price included the goodwill of the business. The contract of sale had a restraint clause, which prohibited the seller from acting in competition with the buyer's business for a specified period of time and within a specified area. In addition, the restraint required the seller to do everything in their power to ensure that the buyer retained its existing client base. The seller then started breaching the restraint. When the buyer sued them, the seller argued that they were not bound by the restraint.

The court's finding

The restraint protected a legitimate interest of the buyer, namely, the goodwill that was included in the purchase of the business. The restraint was reasonable (See the discussion below.) and, therefore, not against public policy. Van der Merwe was bound by the restraint.

If the restraint is aimed at protecting a legitimate interest, the courts then move on to the second step.

Is the restraint reasonable as between the parties?

The question is whether the restraints goes further than what is reasonably necessary to protect the legitimate interest. In this regard, the court considers the following factors:

- the nature of the act that is not allowed (such as being employed by a similar business, or owning a similar business)
- the time period of the restraint
- the geographical area of the restraint
- the type of business or employment concerned
- the relationship between the parties. For example, where the person being restrained had unequal bargaining powers when agreeing to the restraint, the court will more readily accept that the restraint is unreasonable.

Added value — Restraint of trade

Generally, a restraint of trade clause will be reasonable for a long period of time if the area of the restraint is very limited. In the same way, the restraint of trade clause is more likely to be reasonable for a large area if it is only for a short period. For example, when the buyer of a store has a restraint clause preventing the previous owner from opening a store within a radius of eight kilometres of the original store (limited area), the restraint may be reasonable even if it is for a long period of time, such as five years. The court held that to be reasonable.

The court does not have to choose between enforcing the restraint clause completely or rejecting it. If the facts require this, it may choose to enforce only part of the restraint. For example, the court can decide that a five-year restraint clause is valid for only one year, or it could reduce the area of the restraint, or limit the type or activities that are prohibited, or any combination of the above.

The case below illustrates how the court decides whether a restraint is reasonable between the parties.

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Ntsanwisi v Mbombi 2004 (3) SA 58 (T)

Principle

A restraint of trade will not be reasonable if it goes further than is necessary to protect the legitimate interest that the restraint is aimed at serving. If it does, the court can enforce only part of the restraint to make it reasonable.

Facts

The parties were two doctors sharing a practice in the town of Giyani in Limpopo Province. They had entered into a partnership agreement that contained the following restraint of trade clause:

> **Restraint of trade**
>
> Should this partnership be terminated at any time, due to any reason whatsoever, the second partner shall, for a period of 3 (three) years from the date of termination, not be entitled to practice as a medical practitioner or in any related field in Giyani, or within a radius of 50 (fifty) kilometres from the practice.

After they terminated the partnership, Dr Mbombi (the second partner), set up a rival practice in Giyani. Dr Ntsanwisi then brought an application for the court to enforce the restraint of trade clause.

The court's finding

The court held that the radius of 50 kilometres was not unreasonable. Giyani is the centre of an extended semi-rural area and the town appeared to be the only viable position for a medical practice. The court stated that the legitimate purpose of the restraint could only be to prevent patients from moving from the original practice to the new rival practice for such a time as was needed for Ntsanwisi to take the necessary steps to retain and nurture the loyalty of his patients. Ntsanwisi needed time to rearrange the practice and employ another doctor to fill the gap left by Mbombi. Once he had done that, and his patients had got used to the substitute, there was no reason to prolong the restraint. The court could not accept that the period had to be long enough for Ntsanwisi's patients to forget Mbombi and for their desire to be treated by Mbombi to vanish. The purpose of restraint was not to punish. In the circumstances, there was no justification for a restraint of more than twelve months.

If the restraint is not reasonable between the parties, it is against public policy and unenforceable.

Does it serve the interests of the public?

Even if the restraint serves a legitimate interest and is reasonable between the parties, the court has to consider whether there are any other interests of the public, which may make it against public policy to enforce the restraint. For example, if the former employee has scarce skills that the public needs to have access to, the court may hold that enforcing the restraint is against public policy. This is illustrated by the case below.

Kleyenstrüber v Barr 2001 (3) SA 672 (W)

Principle

It would be against the interests of the public to enforce a restraint if doing so would prevent patients from having access to specialised and scarce medical skills.

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Kleyenstrüber v Barr 2001 (3) SA 672 (W) (continued)

Facts

Barr was a physiotherapist who worked as a consultant for Kleyenstrüber. The contract between them contained a restraint that Barr could not be involved in any business in competition with K within a specified area for a period of two years after their contract ended. However, Barr breached the restraint. The question was whether the restraint was against public policy.

The court's finding

Even if the restraint served a legitimate interest and if it was reasonable between the parties, it was against the interests of the public to enforce the restraint. The facility where Barr now worked was the only facility of its kind in the entire South Africa, and Barr possessed highly specialised knowledge in using the equipment at this facility. The access of the public to these kinds of treatments would be reduced if Barr was restrained from working there. Moreover, it was in the interest of the public that doctors could freely refer patients to the physiotherapist they thought could provide the best treatment for their patient.

Case study — Mandy and Sleeky Looks

Mandy is a hairdresser who works for Sleeky Looks hair salon, which is situated in Braamfontein. When Mandy started working, they entered into an employment contract with the owner of Sleeky Looks, Albertus. The contract contained the following clause:

> In order to avoid the possibility of unfair competition and prejudice to Sleeky Looks, Mandy agrees not to be engaged in and not to have any interest in any concern or business that carries on business similar to that of Sleeky Looks for a period of five years after termination of the contract, within the province of Gauteng.

Mandy is a very popular hairdresser, especially among the students living in Braamfontein. Mandy's young child suddenly develops separation anxiety and cries bitterly every morning when Mandy has to leave for work. As a result, Mandy resigns as a hairdresser at Sleeky Looks and stays at home with their child. Two years later, Mandy's child is better and they decide to start working as a hairdresser from their home in Brakpan, which is 47 kilometres from Braamfontein. Albertus, as owner of Sleeky Looks, brings an application to court to enforce the restraint of trade against Mandy.

Do you think this clause is against public policy, and can Sleeky Looks prevent Mandy from working as a hairdresser at their home in Brakpan?

Restraints of trade are in principle valid and enforceable, unless they are against public policy. The person trying to escape the clause (in this case, Mandy) has to convince the court that the restraint is against public policy.

The starting point for deciding if the restraint is against public policy, is whether it serves a legitimate interest. In this case, the legitimate interest would be the business connections that Mandy built up while working for Sleeky Looks, in the form of the relationship with their customers.

The next question is whether the restraint goes further than is necessary to protect this interest. In this regard, we must look at:

- the nature of the act that is not allowed, in this case, Mandy is prohibited from being involved in a business that is similar to that of 'Sleekly Looks'

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Case study (continued) Mandy and Sleeky Looks

- the time period of the restraint: the restraint is for a period of five years
- the geographical area of the restraint: the restraint covers the entire area of Gauteng
- the type of business or employment concerned: this is a hairdressing business
- the relationship between the parties: here there are no particular facts of interest; there is nothing in the stated facts to indicate that Mandy had unequal bargaining powers when agreeing to the restraint.

The factors that are particularly problematic in this scenario is the time period and geographical area of the restraint, considered against the background of the nature of the business.

Hairdressers do not have a particularly close connection with their customers, which will make the customers follow them to another business at a great distance away or after a long period. It is highly unlikely that Mandy's previous customers would leave Sleeky Looks to go to Mandy's business 47 kilometres away, especially after not having any contact with Mandy for two years. In any event, the purpose of the restraint is not to punish the former employee. It is to give the employer time to employ a substitute and get their customers used to the substitute (*Ntanwisi v Mbombi*). A five-year period and the whole of Gauteng as the geographical area, goes much further than is needed to protect Sleeky Looks' business connections. The restraint is therefore unreasonable between the parties.

However, where the restraint is unreasonable, it does not necessarily mean that the entire restraint is invalid and unenforceable. If there are valid reasons for restraining a person, the court may enforce only a part of the restraint by reducing the area and/or time period of the restraint. It is likely that the court will do so in this case.

There does not seem to be any interests of the public that have to be protected in this scenario – there are many hairdressers in Gauteng, so the public would not be deprived of access to specialised services if the restraint is enforced.

7.7 Effects of illegality of contracts

If someone has performed in terms of a contract that is void because it is illegal, they are not allowed to enforce the contract or recover any performance already given. Two rules apply here:

1. the *ex turpi causa non oritur actio* rule
2. the ***in pari delicto*** *potior est conditio possidentis* rule.

In pari delicto means 'in equal guilt'.

7.7.1 The *ex turpi causa* rule

The *ex turpi causa* rule states that 'no **action** can be based on a dishonourable cause' and means that the courts will refuse to enforce a claim that arises from the claimant's illegal or immoral conduct. So, when there is an illegal contract, the law will not allow any action to enforce the illegal contract. Neither party can force the other to perform in terms of the contract. Thus, to use an extreme example, if I contract for someone to commit murder, I obviously cannot go to court to get an order compelling them to commit the murder.

Action here means legal action, so you cannot take legal action based on something illegal or immoral.

This rule can never be relaxed – it will never be possible to claim performance in terms of the illegal contract.

This case is an example of how contracts can be void for illegality.

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Lion Match Co Ltd v Wessels 1946 OPD 376

Principle

A strict principle in South African law is that a contract that is void for illegality cannot be endorsed.

Facts

According to the law, anyone who wanted to sell or purchase poplar wood needed a permit from the Government. Wessels sold and delivered a certain quantity of poplar to Lion Match Co. in ignorance of the legal requirement.

The court's finding

If a contract is only partially illegal, a court can sever the illegal part while the rest of the contract will remain in force. However, where society's morals require the whole contract to be declared void, the courts will not grant an order to remove the illegal terms.

The court held that Wessels could not claim for the purchase price as the agreement was void for illegality and it was therefore unenforceable.

7.7.2 The *in pari delicto* rule

The *in pari delicto* rule says that when parties are both equally guilty, the party that is in possession of an item is in a stronger position than the party that does not have it. The saying, 'possession is nine tenths of the law' can apply here. The rule applies when a party who has performed in terms of an illegal contract wants to claim back their performance. According to this rule, a party who is in 'in equal guilt' will not be allowed to claim their performance back – the position of the other party who is in possession of that performance, is stronger. The rule is intended to warn people against entering illegal contracts.

Suppose, for example, Freddy enters a contract with a criminal to steal a car for them in return for R10 000 and Freddy pays the thief the money. If the thief 'breaches the contract' by not stealing a car, then in terms of the *ex turpi causa* rule, Freddy cannot sue the thief to force them to steal a car (see above), and, in terms of the *in pari delicto* rule, Freddy cannot sue to get their R10 000 back.

Note, however, that the *in pari delicto* rule applies only when parties are equally guilty of entering into an illegal contract. For example, if one of the parties to a contract was aware that it was illegal because a permit was missing but the other party was unaware, they would not be in equal guilt. If one of the parties is less guilty than the other, that less guilty person may claim back performance from the other party as the *in pari delicto* rule will not apply.

The *in pari delicto* rule may also be relaxed if required for the courts to do justice. The following case illustrates this principle.

Klokow v Sullivan 2006 (1) SA 259 (SCA)

Principle

Even if the parties to an illegal contract is in equal guilt, the court may relax the *in pari delicto* rule if public policy and doing justice between the parties requires it.

Facts

K entered into a contract for the purchase of a business from S and paid a deposit of R250 000 to S in terms of the contract. The contract contravened the Liquor Act 29 of 1989 and was therefore illegal and void. K tried to claim back the R250 000 paid to S, but S alleged that the *in pari delicto* rule prevented K from claiming, since the parties were in equal guilt.

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Klokow v Sullivan 2006 (1) SA 259 (SCA) (continued)

The court's finding

Normally K would not be able to claim back the R250 000 deposit because of the *in pari delicto* rule. In this case, however, the rule should be relaxed in the interests of justice. If K's claim was not allowed, S would remain in possession of both the business and K's payment of R250 000, which would lead to unjustified enrichment of S. K could therefore claim back the R250 000 they had paid to S.

However, if the illegal contract is very immoral, the court may decide not to relax the *in pari delicto* rule, even if one party is enriched. The reason is that the courts do not want to come to the assistance (by allowing them a claim) of parties with 'dirty hands'.

What do you think?

As you saw above, it is not easy to convince a court that a contract is so unfair that it is against public policy. Do you think the courts are too strict in this regard and that they should rather look at the outcome of the contracts and decide what is fair in each case? Can you think of any problems with such an approach?

Chapter summary

In this chapter, you learned the following about formalities, certainty, possibility, and lawfulness of contracts:

- Generally, contracts require no formalities but the law or the parties themselves may impose formalities on particular contracts.
- The effect of not completing with a formality is usually that the contract is void. Sometimes, the consequence of ignoring a formality is that the contract is valid between the contracting parties, but not enforceable against third parties.
- Examples of contracts that have formalities are:
  - antenuptial contracts
  - contracts for the transfer of immovable property
  - suretyship.
- Performance in contract law refers to what each party to the contract has to do in terms of that contract.
- For performance to be certain, it must be clear or ascertainable what each party has to do in terms of the contract. The test to be applied is whether the contract is reasonably certain.
- A clause that allows a third party to determine or change performance is considered to be ascertainable.
- A clause that allows a contractual party to determine or change performance is considered to be ascertainable, provided they exercise their choice reasonably and honestly.
- Generic, facultative, and alternative obligations are ascertainable.
- If the performance, which must occur in terms of the contract, is neither certain nor ascertainable, the contract will be void.
- The rule that a contract will not be valid if performance is impossible only applies when the performance is completely impossible for anyone at the time the agreement is concluded.
- Subjective impossibility is not enough to make a contract void – the contract must be objectively impossible.
- Agreements are lawful unless there is a statute or common-law rule that makes the contract void.
- If a statute prohibits a contract, the courts must interpret the statute to determine whether the contract is invalid.

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- Common-law illegality occurs if a contract is against public policy.
- Examples of contracts that are against public policy are contracts that undermine justice, some contracts relating to marriage, and contracts related to unregulated gambling.
- Unfair contracts are not generally against public policy, but may be so if they are extremely unfair, either in general, or in the particular circumstances of the case.
- In principle, restraint of trade agreements are valid and enforceable. The only time that a restraint agreement will not be enforceable is when the specific agreement is against public policy. There are three factors that determine this:
    1. whether the restraint serves a legitimate interest
    2. whether the restraint is reasonable between the parties, considering factors, such as the duration of the restraint, its areas, the nature of the prohibited activity, the nature of the business, and the relationship between the parties
    3. the interests of the public (such as whether the restraint will reduce the public's access to scarce skills).
- The *in pari delicto* rule states that if a party has already performed in terms of a contract that is void because it is illegal, that party cannot recover their performance.
- The *ex turpi causa* rule states that if an agreement is void because it is illegal, it cannot be enforced at all.

Review your understanding

1. Kevin needs a loan to buy a new sports car for R500 000. However, they have no assets to speak of, and very little income. Kevin applies for a loan at Cool Bank. Cool Bank is only willing to give Kevin the loan if their rich fiancé, Brittney, agrees to stand surety for the loan. Brittney agrees, and Cool Bank sends Brittney a written suretyship. After reading through the suretyship, Brittney signs it and returns it to Cool Bank.

    A few months later, Brittney and Kevin split up. Kevin stops paying the instalments on the loan to Cool Bank. Despite Cool Bank's best efforts, they are unable to recover any part of the loan from Kevin. Cool Bank now claims the money from Brittney as the surety. Brittney is unwilling to pay the money. According to Brittney, the suretyship is invalid, as it was never signed by Cool Bank. Do you agree? Motivate your answer.
2. Are the following agreements valid contracts? Explain your answers.
    a) X and Y agree that X will buy Y's car at a good price.
    b) Y has two identical cars. X and Y agree that X will buy one of Y's two cars, and that Y will choose which car to deliver to X.
    c) X and Y agree that X will buy Y's car at a price to be determined by Z, a car dealer.
    d) X borrows R1 000 from Y. They agree that X must repay the R1 000 one year later, together with interest at a rate of 10% per year. However if economic conditions change within the next year, Y may change the rate of interest.
3. Shongani wants to wear Albertina's very expensive gold bracelet to a wedding that Shongani will attend next month. Albertina is not willing to sell the bracelet, but agrees with Shongani to rent the bracelet to them next month, to be used for only one day at a cost of R500. Three days after the agreement, Albertina attends a party on a yacht, wearing the bracelet. While dancing very enthusiastically, the bracelet slips off Albertina's arm and falls into the ocean, never to be seen again. Is the contract to rent the bracelet void for impossibility? Explain your answer.
4. Good Tombs, a funeral parlour in Pietermaritzburg, employed Igor as an assistant for four years. Igor undertook that as long as Good Tombs was in business, they would not manufacture coffins in competition with Good Tombs. During their contract, Igor was taught a special technique for painting coffins and has access to files dealing with quotes for future customers. Igor has taken up employment with Bad Tombs, a funeral parlour in Cape Town, 2 000 kilometres away.

    Advise Good Tombs whether they can legally stop Igor from working for Bad Tombs.

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5. Trinny has been in an abusive marriage with Hector for over 10 years. Trinny cannot withstand the abuse any longer, and decides to find a hitman to kill Hector. Trinny hears about Slim Shady who is always ready to do anything for quick cash. Trinny meets Slim Shady, explains their problem, and then pays Slim Shady R50 000 to kill Trinny's spouse, Hector. However, a week later, Slim Shady has not done the job. In fact, they get cold feet and change their mind.

   Trinny comes to you for legal advice. Advise Trinny on whether they can legally claim their money back from Slim Shady.

Further reading

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Chapter
8 Contents of a contract

The main ideas

- Contents of a contract
- Identifying terms by their role
- Identifying terms by how they become a part of a contract
- Interpretation of a contract

The main skills

- Differentiate between *essentialia*, *naturalia*, and *incidentalia*.
- Differentiate between express, implied, tacit, and imposed terms.
- Identify when a contractual term will be legally binding.
- Outline how a court interprets a contractual term

The last few chapters focused on the requirements for a valid contract. Now it is time to look at the contents of the contract, which are the terms that set out the rights and duties of each party. Some terms of a contract are expressly stated and some terms are implied, tacit or imposed while other terms can be changed to suit the contracting parties. We also look at how the law interprets a contract that is not clear.

Before you start

Consider a scenario where you drive to your local shopping centre for groceries. At the entrance to the parking lot, there is a white sign with bold red print that states: 'All cars parked at owners' risk'. As you drive towards the boom, before you enter, you wave your hand in front of the sensor and the machine issues a parking ticket to you. The ticket has writing on it: 'All cars parked at owners' risk'. You are busy juggling an important work call on your cell phone, so you do not see the sign nor do you read the writing on the ticket. While you are in the shops, your car is broken into and your laptop bag, with your laptop, is stolen. Can you hold the owner of the shopping centre liable for the cost of replacing your laptop and laptop bag, and repairing your broken window? Write down your answer now. At the end of the chapter, we will come back to this scenario to discuss the answer. Let us see if your answer changes by the time we finish the chapter.

8.1 Identifying terms by their role

First, we need to understand what a 'term' is. In commercial law, a term is a clause or provision in a contract, which sets out the respective rights, duties and obligations of the parties. For example, terms may specify when performance must be rendered, they may specify the amount to be paid for a thing, they may demarcate what a party may not do, or they may stipulate when a contract terminates. Contractual terms are intended to be legally binding on the parties.

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Activity 8.1

Consider the meaning of 'puffing', which you covered in Chapter 6.

When parties contract, it is important to distinguish between terms that are intended to be legally binding and statements that are not intended to be enforceable. For example, puffing, or sales talk, is not intended to be legally binding. Hence, puffing does not inform the terms of a contract. In the scenario below, identify the terms that would inform the contents of the contract, and terms that would not inform the contract (puffing).

Mandisa starts their first job in January, and they need a small, efficient car for work. At Hwandai, the car salesperson says the following:

- 'The purchase price for a 1.1-litre Hwandai e-10 is R120 000, which is payable in cash and/or in terms of a finance agreement with a bank.'
- 'The car is the best car on the market, and you will never find better value than this. It is simply a stunner.'
- 'As soon as the cash deposit is paid and the bank finance is processed, you can take delivery of the car.'
- 'Before you take delivery, you have to provide proof of car insurance.'

Were you able to identify the legally enforceable terms of the contract? What about the sales talk? Share your answers with a friend to see if you have the same answers.

When parties enter a contract, they reach agreement about the rights and obligations of each party. This agreement sets out in detail exactly what the contract requires each party to do. We can distinguish three different types of terms according to their role in the contract, namely:

1. terms that identify a contract as a specific contract, called ***essentialia***
2. terms that are implied into a specific contract by law, called ***naturalia***
3. other terms that the parties have agreed to, called ***incidentalia***.

Let us look at each type in turn.

Note that these terms, ***essentialia***, ***naturalia***, and ***incidentalia***, are italicised, because they are Latin terms. If you are handwriting the terms, you would underline these words. This will, generally, apply to all terms that are not in English.

8.1.1 *Essentialia*

All contracts must follow the general principles of contract law, but there are some contracts, called specific contracts, where we have to include particular terms. Contracts of sale and lease are examples of specific contracts.

Essential terms of a contract, which identify that contract as a specific contract, are called the *essentialia*. So, the *essentialia* are the terms that must be present in a contract in order for it to be classified as a specific type of contract.

The parties to the contract must agree on these essential terms for the contract to be considered a specific contract. For example, for a contract to be a valid contract of lease, there must be consensus about the following *essentialia*:

- the object being leased
- the length of the lease
- the amount of rental payable.

Similarly, a contract of sale must state the following *essentialia*:

- the item that is being sold
- the price payable.

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Added value Classifying contracts

The law uses essential terms to classify contracts in specific groups, just as a zoologist will use essential features to classify animals in groups or species. For example, if an animal has a spine, feathers and warm blood, it belongs to the bird group. If it does not have those features, it is not a bird, even if it can fly or has a beak. But, once you know it is a bird, you also know a lot of other things about it. For example, you can assume that the female of that species will lay eggs. In the same way, once you have identified a contract as belonging to a particular group, you can assume a lot of other things about it, as you will see when we look at *naturalia*.

8.1.2 *Naturalia*

The importance of classifying contracts is that, once you have identified a contract to be a particular specific contract, there are terms that the law automatically reads into the contract. These terms are the *naturalia* of the contract. These clauses are implied by law.

For example, if a contract is classified as a lease, the law automatically reads in the common law duties of the lessor and the lessee. Chapter 15 will deal with more on these common law duties. The *naturalia* determine the rights, duties and obligations of the parties to the lease.

The *naturalia* apply automatically to a contract even if the parties have not specifically agreed to them. However, it is possible for the contracting parties to change certain *naturalia* by agreement. For example, you will see in Chapter 14 that parties can sell a thing *voetstoots* (selling a thing as is), which means that they are contracting out of the common law duty of the seller in respect of latent defects.

8.1.3 *Incidentalia*

The *incidentalia* are the terms in a contract that the parties have agreed to, but which are neither the *essentialia* nor the *naturalia* of the contract. These are terms that meet the specific needs of the contracting parties. For example, when a house is sold, it may be agreed that certain furniture is sold with the house. Another example is where you lease an apartment, as a lessee, and the lessor agrees to ensure that the apartment be fully furnished, as a part of the lease agreement.

8.2 Identifying terms by how they become a part of a contract

The second way we classify terms is according to how they become a part of the contract. The terms incorporated into a contract can be:

- express
- implied
- tacit
- imposed.

Let us look at each of these in turn.

8.2.1 Express terms

An express term is a term of a contract that is put into words or given some physical form by the contracting parties. The contracting parties can express the term verbally or write it down in the form of a written contract. For example, if the contracting parties write down that the agreed purchase price for a book is R200, this is an express term.

In certain instances, statements made in the process of negotiations may also be included contractually, if the parties reached consensus thereon. However, parties would need to distinguish between opinions, puffing and representations to determine whether a term from negotiations will be included into a contract. See the discussion of the parole evidence rule below.

In certain circumstances, an express term can also be the conduct of a contracting party. For example, I walk into a furniture store to buy a refrigerator. If I ask the sales assistant if they are willing

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to deliver the refrigerator for free, and they nod their head, the sales assistant's conduct of nodding in agreement to deliver the goods for free is an express term of the contract.

Evaluating the express terms is the starting point when resolving disputes about the parties' rights and duties in terms of the contract. Reducing a contract to writing is always advisable, as it becomes easier to adduce evidence in the event of a dispute. Another advantage is that it then becomes possible to apply certain rules to establish the express terms that form a part of the contract:

- parol evidence rule: In terms of this rule, a written contract becomes the full record of the agreement, which has to then be interpreted in the event of a dispute. The parties will not be allowed to submit other external evidence, such as prior agreements that will contradict the written agreement. This is the most important rule when distinguishing between representations and the express terms. For example, suppose that X and Y conclude a contract for the sale of a car from X to Y. If, prior to the conclusion, X asserted that the car would have a particular style of wheel rims, but that detail was not included in the written contract, it would not form a part of the contract and the court will not allow the parties to adduce evidence beyond the written contract (for example, a witness) to prove the detail.
- *caveat subscriptor* (let the signatory beware): In Chapter 5, you learned that a party is legally bound by a contract when they sign it even if they did not read the contract beforehand or did not intend to be bound by the contract. When we discuss imposed terms, you will see in what circumstances terms on tickets and notices can become part of the contract between the parties.
- incorporation by reference: In terms of this rule, it is possible to incorporate terms into a contract that are written down on a separate document by simply referring to that document in the primary contract. A good example of this is a reference to a party's standard terms and conditions in the primary document.

As mentioned above, when a written contract does not reflect the true intention of the parties, the parol evidence rule states that the court will not allow external evidence to fix the error. However, in appropriate circumstances, the court will rectify the contract if the parties can prove their true intention and that the written contract is not an accurate reflection thereof. For example, if C and D agree that C will sell apartment number 112 of 6 Fifth Avenue, Georgian Terrace complex in Shady Pines suburb to D, but the written contract specifies apartment number 12, and not 112, then the court will likely rectify the contract to reflect the true intention of the parties. Note that rectification does not change the contract in any way – it merely allows the contract to be an accurate reflection of the parties' intention where they have already reached agreement on the term in question. Refer to the discussion of rectification in Chapter 6.

8.2.2 Implied terms

Implied terms are terms that contracting parties do not expressly agree to, but which are read into the contract either by law or by trade usage. The nature and type of a contract will determine the scope of implied terms for that contract.

Terms implied by law

As we mentioned earlier, in the section on *naturalia*, once a contract is classified as a particular specific contract, the law automatically reads certain terms into the contract. This is one way in which terms are implied by law – that is, automatically included in the contract by operation of the law. Since the law regards these terms as implied, there is no need for the contracting parties to agree to them expressly.

However, if the parties do not want these terms to be a part of their contract, they can remove them by expressly agreeing to vary the implied terms. For example, all contracts of lease have the implied term that the lessee can use the entire property. However, the parties can agree that the lessor will leave some belongings in one of the bedrooms of the property, which will be kept locked and not used by the lessee. The parties' express agreement will override the implied term.

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Terms implied by trade usage

Trades and professions tend, over time, to develop ways of doing their business. As a result, there will be certain terms that are well-known and universally understood to be a part of every contract in that trade. These are the terms implied by trade usage. In a dispute about the application of these terms, courts will require compelling evidence of the trade usage – mere opinion will not suffice.

The following case law dealt with trade usage in a fishing community.

Van Breda and Others v Jacobs and Others 1921 AD 330

Principle

The law will treat a trade usage term or custom as being implied in a contract if that term meets certain requirements.

Facts

A local custom amongst fishermen is that, once the fishermen set their fishing lines on a beach where no boats are permanently stationed, for the purpose of catching a shoal of fish, no further fishermen are entitled to set lines within any reasonable distance in front of the lines that have been already set.

The court's finding

The court held that this trade usage among fishermen was duly established by the evidence as being valid, provided that the following requirements were met:

- It must be a long-standing practice.
- It must be reasonable and lawful.
- It must be certain.
- It must be universally and uniformly observed by the community in which it is applied.

Let us look at the case law below which illustrates when the requirements for the application of a trade usage are not satisfied.

Tolgaz Southern Africa v Solgas (Pty) Ltd and Another; Easigas (Pty) Ltd v Solgas (Pty) Ltd and Another 2009 (4) SA 37 (W)

Principle

The requirements for the application of a trade usage must be satisfied before relying on a trade usage in a contract.

Facts

Tolgaz Southern Africa sold gas to its customers in refillable cylinders and retained rights of ownership over the cylinders. The practice in the gas industry was that any gas distributor, who had empty cylinders that did not belong to them, had to return those cylinders to its owner. Solgas ignored this practice by refilling the cylinders that belonged to Tolgaz Southern Africa and selling them to other customers, and asserted that it was a trade usage to reuse a competitor's cylinders (and not return them).

The court's finding

The court ruled that the requirements for the application of a trade usage were not fulfilled in that the practice that Solgas asserted was not uniformly applied in the industry, and it was unreasonable as it created an unfair advantage in the industry.

As with terms implied by law, it is possible for the contracting parties to prevent the trade usage from being implied in their contract by expressly agreeing to other terms. For example, in the fishing industry there are trade usages about how certain catches of fish are priced. These will apply to every catch of

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that particular fish unless the parties expressly agree otherwise. Suppose, for example, there is a trade usage that all catches of hake are valued at R70 per kilogram, then this price will apply unless the parties agree otherwise.

8.2.3 Tacit terms

Sometimes, contracting parties do not think about, or expressly agree on, what their contract will say in a particular situation. Sometimes, the parties may have intended to include a term, but did not expressly include it because it seemed so obvious that the parties did not deem it necessary.

In a dispute where there is a gap in a contract that is not resolved by the express and the implied terms, the court may read a term into the contract to resolve that gap. A term that is created in this way is called a tacit term. The court will read a tacit term into the contract only if it is necessary for the business efficacy of the contract, which means that the contract will not achieve what it was meant to achieve unless it includes the tacit term. The law uses a test known as the **officious bystander** test to decide whether to include a term into a contract.

The **officious bystander** is a symbolic figure from English law and legal fiction that likes to tell other people what to do.

Here is how the officious bystander test works: Imagine that, at the time that the parties entered the contract, someone was standing next to them and asked the contracting parties the question, 'What will the contract say if a certain situation arises?'

If both parties would have answered, 'Oh, of course the contract would say this (and then explain what the contract would say) – it was so obvious that we did not bother to spell it out', that explanation would be considered a tacit term. The tacit term that will be read into the contract is that which both parties would describe.

In other words, the law is saying that, if a contract needs a particular term for it to be effective, and the law believes that the particular term is obvious and that the parties would have agreed to it, the term will be read into the contract. For example, suppose that you and I enter a contract where you will grow flowers on my land and, when we sell them, we split the profit. It was not discussed whether you can enter my property and take samples of my soil to see which plants are best suited for the area. The officious bystander test would regard this as a tacit term, as you could not grow flowers if you do not know which types of flowers are best suited to the area. If, at the time of entering the contract, a bystander had asked, 'Can someone check the soil?' we both would have answered, 'Of course, that is so obvious that we did not feel it necessary to mention it!'

8.2.4 Imposed terms

So far, we have considered terms that are a part of a contract because they were either agreed upon between the contracting parties themselves (express terms), or they are terms that the law will apply if the parties do not vary them (implied terms), or they are terms that are read into the contract to fill gaps (tacit terms). There are also terms that parties are forced to include in their contracts, either by law or because one party will not enter the contract unless that term is included. These are called imposed terms.

Added value — Implied and imposed terms

Take care not to confuse implied and imposed terms:

- Implied terms are terms that the law will read into a contract unless the parties agree to different terms that alter the implied terms. It is always possible for the parties to change the implied terms.
- Imposed terms are terms that cannot be changed, either because the law does not allow for this or because one of the contracting parties only agreed to enter the contract on condition that the term is included.

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Terms imposed by law

There is legislation that requires specific contracts to include terms. These are terms that the parties cannot change – they are imposed by law. They are part of the contract even if the parties did not agree to them. For example, section 29A(1) of the Alienation of Land Act 68 of 1981 states that if immovable property is sold for less than R250 000, the contract must include a cooling-off term. This is a term that gives the purchaser five days to change their mind and get out of the contract.

Terms imposed by the parties

Terms can be used by one or more contracting parties, such as in a written contract, where a party refuses to sign unless certain terms are included. In this example, the parties will be bound by the signed contract and the terms therein, in terms of the *caveat subscriptor* rule. Consider another example where you drive into a parking garage at a shopping mall and see a notice saying, 'Parking at owner's risk'. Similarly, when you drop off clothes at a dry-cleaner, you often get a ticket with a note on the back: 'The dry-cleaning company will not be responsible if items are lost or damaged'. These are examples of unsigned contracts: one of the parties tries to impose a term on the other contracting party, but the second party does not sign the contract. The owner of the dry cleaner is basically saying that if you want to contract with them, this term must be in the contract. If you do not wish to accept the term, they will simply not contract with you. This method of imposing a term in a contract is usually used by suppliers of goods or services, or owner of premises, who, due to the large number of customers that they deal with, cannot negotiate contractual terms with every customer, as that would be impractical.

Added value Exclusion clause

A commonly imposed term is an exclusion clause. This is also known as an exemption of liability clause, which limits one party's liability for any loss, damage or harm that they would otherwise be liable for (for example, in terms of the law of delict). An exclusion term can, in certain cases, prevent the customer from suing the other contracting party for damages where the owner has negligently caused loss, damage or harm to the customer. This is obviously an advantage to the person who imposes the exclusion clause, and not the customer. We will look at this type of clause in more detail in Chapter 9.

When does a term on a ticket or notice form part of the contract? Clearly, if the other contracting party (the customer) has seen the term and agreed to it, there is no question that the term is part of the contract. The issue is more complicated when the customer claims not to have seen the term on the ticket or notice. The general rule is that a customer who did not see the term will still be bound by it, as long as the party imposing the term took reasonable steps to bring the term to the customer's attention. Let us look at these reasonable steps in more detail. While the factors for tickets and notices are similar, we discuss them separately to clarify the principles through the study of case law.

Tickets

In the case of a ticket, the law will consider the facts of each case to determine whether the party issuing the ticket took reasonable steps to bring a term printed on the ticket to a customer's attention. The following factors are used to determine if a party took reasonable steps:

- timing: The customer must receive the ticket before the contract is concluded. If one party intends to impose a term on the other contracting party, that second party must know about it before entering the contract. For example, if a laundromat wants a term on a ticket to be part of a contract with its customer, it cannot give you the ticket only when you collect the clothes. That will be too late. The reason for this is that a party cannot unilaterally change or impose the terms of an existing agreement. This would be unfair to the other contracting party. However, if the customer receives the ticket after the conclusion of the contract and shows, expressly or tacitly, that they

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accept the new terms, they are legally bound by the terms. For example, you purchase linen from Bed and Beyond and, after payment, the cashier hands you a long receipt with terms printed on it. The cashier informs you to kindly take note of the terms on the receipt, which set out the store's exchange policy, and you then nod your head in agreement and continue on your way.

Let us look at the following case law to illustrate these legal principles further.

Thornton v Shoe Lane Parking Ltd 1971 1 All ER 686 (CA)

Principle

Where a supplier of goods or services, or owner of a premises, seeks to incorporate contractual terms and conditions in a ticket, the customer will be bound by the terms and conditions if the supplier took reasonable steps to bring the provisions to the attention of the customer (even if the customer did not read the provisions). The ticket must be issued to the customer before the conclusion of the contract.

Facts

Thornton parked his car at Shoe Lane Parking. There was a notice outside exempting Shoe Lane Parking from liability for damage or loss to all cars ('All cars parked at owner's risk'). After the traffic light at the entrance turned from red to green, a ticket was issued to Thornton. The ticket contained an exemption of liability clause for personal injuries to a customer. On his way to collect his car, Thornton sustained personal injuries caused, in part, by Shoe Lane Parking. Shoe Lane Parking, relying on the exemption clause contained in the ticket, denied liability for Thornton's personal injuries.

The court's finding

The court held that Thornton was not bound by the terms of the ticket, as they were introduced after the conclusion of the contract between Thornton and Shoe Lane Parking. The changing of the traffic light from red to green was an indication that the contract was already formed between the parties, and Thornton was then allowed to enter the premises. This means that any term that was introduced after the light turned green would not be legally binding on the parties. Thornton was, therefore, successful in his claim for damages for personal injuries. Only the terms on the notice at the entrance, exempting the owner from liability for damage or loss to cars, were legally binding on Thornton, as these were included in the agreement before the contract was concluded, which was before Thornton was allowed to enter the premises.

- type of document: If the type of document is not one where a customer would reasonably expect to find terms, the owner or supplier must take more steps to bring the terms to the attention of the customer. Examples of documents on which a reasonable person would typically expect to find terms, include a quotation form, an order form, and train tickets, as these documents frequently contain contractual terms. Examples of documents in which a reasonable person would typically not expect to find terms are a receipt, a statement of account, an invoice, and a movie ticket, as these documents are usually issued for other purposes, such as in the case of a movie ticket, as proof of payment and your seat number.

Activity 8.2

Think of instances where you were issued with a document with terms and conditions that a reasonable person would not expect to be legally binding. In any of these circumstances, did the owner of the premises or supplier of goods or services seek to enforce these terms? What was the outcome then, and what would you do differently now? Discuss your reflections with a study partner.

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Chapelton v Barry Urban District Council [1940] 1 All ER 356 (CA)

Principle

Where a supplier of goods or services, or the owner of premises, seeks to incorporate contractual terms into a ticket, the document must be one in which a reasonable person would expect to find terms and conditions.

Facts

Chapelton hired two beach chairs from the Council and was issued with two tickets after payment. The attendant requested that Chapelton keeps the tickets for proof of payment. The tickets contained an exemption of liability clause stating: 'The Council will not be held liable for any accident or damage arising from hire of chair'. Thereafter, Chapelton set up the chair firmly and sat on the chair, only to be injured when it broke. The Council denied liability, claiming that Chapelton was bound by the exemption of liability clause on the ticket.

The court's finding

The court ruled that the purpose of the ticket was to serve as proof of payment (a receipt) and that a reasonable person would not have expected to find terms and conditions on it. Chapelton was, therefore, successful in his claim for damages.

Central South African Railways v McLaren 1903 TS 727

Principle

Where a supplier of goods or services or owner of premises, seeks to incorporate contractual terms into a ticket, the document must be one in which a reasonable person would expect to find terms. The writing must be prominent and legible, and the customer's attention must be drawn to the terms.

Facts

McLaren deposited a parcel at a railway station's cloakroom, and was given a ticket by the attendant. There were terms on the ticket: 'The department is not responsible for any article exceeding the value of £5'. However, the words were partly obscured by the attendant's written description of the parcel. The parcel was thereafter lost, and McLaren sued the railway for its value, which was more than £5. The railway denied liability on the basis that the term of the ticket indicated that it would not be liable for any items that exceeded the value of £5.

The court's finding

The court held that the railway had not done what was reasonably necessary to bring the term to the attention of the customer. The court considered the following factors:

- A cloakroom ticket is not a document in which a reasonable person would expect to find terms.
- The attendant wrote over the term, which suggested that what was written underneath it was not important.
- The term was not legible.
- The customer's attention was not drawn to the term.

Thus, McLaren was able to successfully sue the railway for the value of the lost parcel.

Notices

In the case of terms that are contained in a notice, the law will look at the following factors to see whether the party imposing the term took reasonable steps to bring the term to the customer's attention:

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- location and timing: The notice must be prominently displayed at the entrance to the premises or at a place where the customer is able to see it before the conclusion of the contract.
- legibility: The writing on the notice must be legible and conspicuous.

The following case law illustrates these legal principles.

Durban's Water Wonderland Pty Ltd v Botha and Another 1999 (1) SA 982 (SCA)

Principle

Where a supplier of goods or services seeks to incorporate contractual terms into a notice, the customer will be bound by them if the supplier did what was reasonably necessary to bring the notice to the customer's attention even if the customer was not aware of the notice.

Facts

Botha and her daughter were injured on a ride at an amusement park. The accident was as a result of mechanical failure and Botha sued the amusement park for damages. The park denied liability on the basis that there was a notice that contained an exemption of liability clause above the window of the ticket office in the park. The notice was prominently displayed, and the writing was legible.

The court's finding

The court held that the park had done what was reasonably necessary to bring the terms to the attention of the customer. The notice was displayed at a place where a reasonable person would expect to find it and where a reasonable person approaching the ticket office would have seen it. The writing was clearly visible from about six paces away, the notice had a bold white border around it, and it was placed on either side of the cashier's window.

In short, the inclusion of the terms on the notice was contemporaneous with the conclusion of the contract between the parties and the terms were also capable of being easily read by the customer. Botha was, therefore, unsuccessful in her claim for damages.

Let us look now at an interesting case about a customer who did not read and speak English, and who could not read the notices.

Qing-He-Shan v Tsogo Sun Holdings and Another (31089/2004) [2004] ZAGPHC 3

Principle

The owner of premises must take reasonable steps to bring the terms on a notice to the attention of the customer.

Facts

In essence, this case dealt with the liability of T, the owner of a casino, to a patron for injuries caused by another patron. Shan, a patron of the casino had been shot during a quarrel with another patron, Shoa. When the quarrel ensued inside the casino, Shan invited Shoa to meet outside for a fight. Thereafter, Shoa shot Shan three times, wounding Shan badly. Shan sued T on the basis that T was negligent in failing to prevent the incident. T's defense was that Shan was the master of his own misfortune, as he was the aggressor in the fight who invited Shoa outside to fight, and that T took reasonable steps to safeguard the premises. For instance, T prominently displayed various notices or sign boards, which contained exclusion clauses, at all VIP entrances and the three bridge entrances to the gaming area of the casino. The sign boards contained the following warnings in English:

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Qing-He-Shan v Tsogo Sun Holdings and Another (31089/2004) [2004] ZAGPHC 3 (continued)

> 'Right of Admission Reserved
> The company does not accept any responsibility for loss or damage to property, nor any injury to any person on the premises. Firearms are not permitted in the gaming area'.

Also, the following notices, in English, were placed at each of the VIP entrances and bridge entrances to the gaming area of the casino:

> 'Persons entering these premises do so entirely at their own risk. Neither the landowner or management, contractors or their employees shall be responsible or liable in any way for any injury or for death of any person or any harm caused to them or for the loss or destruction of or damage to any property of whatsoever nature by whatsoever cause arising from any access to the premises'.

A more elaborate notice, with a similar exclusion clause, also in English, was placed at the notice board adjacent to the boom controlling access to the parking lot at the casino.

The problem was that Shan, being a person of Chinese descent, could not read or speak English (despite having been a resident in South Africa for fourteen years). As such, Shan asserted that he could not read the notices and signs with the exclusion clauses.

The court's finding

The Pretoria High Court found that T was liable because the company had the duty to take reasonable steps to safeguard the premises, including search all patrons for weapons. With specific reference to the notices that were all in English, the court held that, although T appointed Chinese translators to the casino and displayed some of the gaming rules in Chinese, T could have taken the step of having at least some signs and notices, with the exclusion clauses, translated into Chinese. The court reasoned that, as T knew that it had a significant number of Chinese patrons, this step could easily have been taken at low cost and with minimal effort. On the High Court's reasoning, T failed to discharge its duty of care towards its patrons. The court added that it was:

> '[F]ortified in my view by simple logic, common sense, justice, and reasonableness. I therefore find that it would be grossly unfair to hold plaintiff [Shan] bound by the conditions embodied in the exclusionary clauses which were never effectively brought to his notice'.

(Note that the case went on appeal to the Supreme Court of Appeal (*Tsogo Sun Holdings (Pty) Ltd v Shan and Another* [2006] SCA 85 (RSA), who disagreed and found that T had no legal duty to search its patrons, and that T was not negligent or reckless in any way. T took reasonable steps to safeguard the premises and, as such, Shan was the author of their own misfortune. Unfortunately, the court did not reflect on the issue of the notices.

Activity 8.3

After carefully considering the facts in the above case, evaluate whether you agree with the High Court's decision. Would your evaluation be different if T did not have a significant number of Chinese patrons at the casino? Share your reflections with a study partner.

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Taking into account these factors for tickets and notices, if the party trying to impose terms took these reasonable steps to bring the terms to the other party's attention, the terms will be a part of the contract even if the customer did not see or read the terms.

What we have discussed thus far is the common law position in respect of tickets and notices. The CPA now confirms and supplements this common law position. See Chapter 17 for more detail.

Let us revise our understanding with the case study below.

Case study Water Slides Wonderland

Sam decided to take their two children to Sin City's Water Slides Wonderland for the day. At the entrance, there was a large black sign at the boom gate stating the following in bold white writing:

> 'Management of the Water Slides Wonderland is not liable for any loss or damage of any nature to a person's property whilst on the premises'.

In trying to stop a fight between the children, Sam did not see the sign. Sam decided to rent some water tubes to keep the children entertained and out of trouble. At the customer service centre, there was a sign: 'Water Slides Wonderland – Water tubes for hire – R150 per day'. Sam paid R300 and the attendant handed over a ticket with the verbal instruction to keep the ticket for inspection as proof of payment.

On the back of the ticket were the following words in blue writing:

> 'Management of the Water Slides Wonderland is not liable for any injury to persons using the facilities'.

Sam shoved the ticket into their pocket and showed the children how to use the water tubes. As one of the children was sliding down the water slides in the tube, the tube popped and deflated in seconds, causing injury to the child – a badly scraped knee that needed stitches and a broken front tooth. In the commotion, Sam's expensive Nikon camera fell and the lens cracked.

Can Sam claim from the owner of the premises for the cost of repairing their camera and the medical costs for the child? First, did you notice that the term on the notice was different from the terms on the ticket? The sign only exempts the owner from liability for damage or loss to property whereas the ticket only exempts the owner from liability for personal injuries. This is an important point when determining the answer to the question. Next, we need to consider whether the owner of the premises took reasonable steps to bring the term on the notice to the attention of customers. As the notice was at the entrance (before the conclusion of the contract) and was prominently displayed with bold print, the answer is yes. Therefore, Sam will have a poor chance of success in claiming for the cost of their camera repair or replacement (damage to property). Lastly, we will need to consider whether the term on the ticket are legally binding on Sam. As Sin City cannot unilaterally change the terms by simply issuing a ticket after the conclusion of the contract, and Sam did not show any acceptance of the terms after the ticket was issued, Sam will not be bound by the terms on the ticket. This means that Sam would have a good chance of success in claiming compensation for the medical costs of the child (personal injuries).

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Case study (continued) Water Slides Wonderland

Would the above answers be different if the term on the notice at the entrance, stated: 'Management of the Water Slides Wonderland is not liable for any loss, damage or harm caused to whomsoever in whatsoever way. Enter at own risk'? Yes, this would mean that Sam would have a poor chance of success in claiming for their camera repairs (damage to property) and the child's medical costs (personal injuries). The clause is widely worded to exempt the owner from liability for any damage to property (camera) and personal injury (child's medical expenses), as it was displayed before the conclusion of the contract.

8.3 Interpreting a contract

Once we have determined the **express terms** of a contract, the need may arise, in the event of a dispute, where the courts must analyse exactly what the terms mean. This is the process of interpreting the contract, which is aimed at ascertaining the intention of the parties.

This exercise of interpretation is limited to **express terms**, and not implied or tacit terms.

The courts approach interpretation as a unitary exercise. This means that the courts adopt a holistic approach, taking into account the surrounding circumstances where the purpose, the language used, the knowledge of those who negotiated and concluded the contract, the rules of interpretation, the circumstances leading up to the conclusion of the contract, and the overall context are considered concurrently and cumulatively. Parties must, therefore, present evidence to establish the context and purpose of the terms.

Let us consider some of these factors in the unitary approach in more detail.

8.3.1 The plain meaning of the words

When we consider the meaning of words in a contract, the courts will try to give the words their ordinary grammatical meaning. This usually means that the law will look at how an authoritative dictionary defines the words, and follow the normal rules of grammar and punctuation. If a word has been used in a special way, the law will interpret the word in that way. For example, if the word 'catch' has a specific meaning in the fishing industry, the law will give the word that meaning in a contract that relates to the fishing industry.

For many years, before the unitary approach, courts relied on the plain meaning of words, in isolation of other factors, when interpreting a contract. The other factors would only be considered if the meaning of the words were ambiguous. Now, while it is a good starting point to evaluate the express words used by the parties, this cannot outweigh the context and purpose of the contract. This unitary approach has brought about a level of flexibility in how the courts treat the words in a contract. If the plain meaning of the words is inconsistent with other factors, such as context and purpose, the courts will limit the reliance on the plain meaning of the words.

8.3.2 Consider context

When interpreting a contract, the court will look at the meaning of a term or phrase in the context of the contract as a whole, and the circumstances surrounding the contract to determine the purpose of the contract. This means that the law will look at the circumstances in which the parties entered the contract, including the knowledge of the parties at the time of any negotiations and the conclusion of the contract. For example, if a contract says that a certain sum of money must be given to 'John', and it is not clear who John is, the law will look at the surrounding circumstances. For example, if the court finds that John is the son of one of the parties, and that John helped to conclude the contract, the court will assume that the person referred to as 'John' in the contract is that same person. Evaluating the surrounding circumstances is important because words cannot be interpreted separately from the context.

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Botha v Venter 1999 (4) SA 1277 (O)

Legal principle

When interpreting the meaning of words used in the written contract, the court will consider the purpose of the contract.

Facts

Botha bought a pump engine from Venter. Venter was aware that Botha wanted to use the pump engine to pump water from a borehole to three dams, which would take approximately 36 hours. In terms of the contract, the pump engine was required to be 'in working order' when delivered to Botha. However, the pump engine broke down after three hours. Venter argued that the pump engine was 'in working order' when it was delivered to Botha.

The court's finding

Venter knew that the purpose for Botha buying the pump engine was to pump water from the borehole to the dams. Therefore, the words 'in working order' meant that the pump engine should work for at least long enough to finish that job, which is 36 hours. Since the pump engine only worked for three hours, instead of the 36 hours needed, Venter had not delivered the pump engine 'in working order', as required, and was therefore in breach of contract.

8.3.3 Apply relevant rules of interpretation

Here are some of the rules that the courts use to interpret a contract:

- If a contract can be interpreted in two ways, the court will choose to interpret it in a way that upholds the contract, rather than render it void.
- The court will interpret a contract in a way that causes as little inconvenience as possible.
- If it is not clear who drafted the contract, the court will interpret the term or contract in a way that does not favour either party.
- As a last resort, if it is clear which party drafted the contract, then the court will interpret the term or contract in a way that works against the interests of the party who provided the wording (*contra proferentem* rule).

Ultimately, the court's interpretation of the express terms must yield the intention of the contracting parties. If, after all the above factors are considered, the court still cannot interpret a term of a contract, that term will be void for vagueness. Refer to Chapter 7 to refresh your memory on the meaning of void for vagueness. Depending on the circumstances, it may even mean that the whole contract may be void for vagueness.

Added value — When to use the rules on interpretation, and when to use implied or tacit terms

The court will use the rules on interpretation when there are words in a contract that are potentially ambiguous in meaning (such as in the *Botha v Venter* 1999 (4) SA 1277 (O) case) whereas the court will consider implied or tacit terms when there are no such words.

In the *Botha v Venter* case above, the issue was how long the pump engine was required to work for in terms of the contract. Since there were words that could be interpreted ('in working order'), the court used the rules on interpretation. If those words were not in the written contract, then one would have to consider implied or tacit terms to decide the duration that the pump engine had to work.

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As we wind up this chapter, let us now go back to the stolen laptop scenario at the beginning of the chapter. Having completed the chapter, take a moment to see what your answer would be now. The owner of your local shopping centre took reasonable steps to bring the terms on the notice and ticket respectively to your attention. The notice was in bold red writing on a white board, it was displayed at the entrance (before the conclusion of the contract between you and the owner), and the ticket was issued to you before you entered the premises (again, before the conclusion of the contract). You are legally bound by the terms even if you did not read the terms. You will, therefore, not have a good chance of success in claiming compensation from the owner of the shopping centre. How does this answer compare with what you initially wrote down?

What do you think?

Do you think that the common law is too harsh on customers who do not read tickets and notices, or do you think there are valid grounds for holding customers liable to the terms if the owner or supplier took reasonable steps to bring the terms to their attention?

Chapter summary

In this chapter, you learned the following about the contents of a contract:

- The terms of a contract contain the details of each party's rights and obligations.
- The terms of a contract are classified in two ways:
  - according to their role and importance
  - according to the way in which they were included in the contract.
- The terms classified according to their role are:
  - *essentialia* (terms that identify a contract as a specific contract)
  - *naturalia* (terms that are implied in a specific contract by law)
  - *incidentalia* (other terms that the parties have agreed to).
- The terms classified according to the way in which they are included in the contract are:
  - express terms (terms that the parties have agreed to in writing, verbally or by their conduct)
  - implied terms (terms that the law automatically applies to a contract because they are the *naturalia* of the contract, or a trade usage)
  - tacit terms (terms that the parties would have included in the contract if they had considered a particular situation)
  - imposed terms (terms that the law requires to be incorporated in a particular type of contract, or terms that one party insists on incorporating, which are usually specified on a ticket or notice).
- The court adopts a unitary approach when interpreting contractual terms. It ascertains the intention of the parties by looking at various factors: the purpose of the relevant provisions, the language used, relevant rules of interpretation, surrounding circumstances, and overall context are considered concurrently and cumulatively.

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Review your understanding

Choose the CORRECT statements(s) for each of the questions below. Note that for some of the questions more than one option may be correct.

1. The court will use the following rules of interpretation:
   a) If a contract can be interpreted in more than one way, the court will interpret the contract in a way that upholds the contract.
   b) If a contract can be interpreted in more than one way, the court will interpret the contract in a way that renders the contract void.
   c) The court will interpret a contract in a way that does not favour one party over another.
   d) The court will interpret a contract in a way that causes as little inconvenience as possible.
2. In an agreement of sale between Nikita (buyer) and Muriel (seller), identify which clauses are the *essentialia*?
   a) The purchase price is R4 999.
   b) The fitness tracking watch is a 2022-model Garmin Vivoactive 4.
   c) Muriel is liable for any latent defects in the watch.
   d) Muriel must make the watch deliverable for the buyer to pick up.
3. In a lease agreement, identify which element is not an *essentialia*?
   a) the property being leased
   b) the duration of the lease agreement
   c) the duty of the lessor to pay the rent on time
   d) the rental amount.
4. Which of the following steps should an owner of premises take to ensure that the terms on a ticket are legally binding on a customer?
   a) Issue the ticket before the conclusion of the contract.
   b) Ensure that the writing on the ticket is legible.
   c) Ensure that the terms are included on a type of document that a reasonable person would expect to contain legally binding terms and conditions.
   (d) Allow the customer an opportunity to read the terms.
5. Which of the following are examples of documents in which a reasonable person would typically expect to find terms?
   a) receipt
   b) quotation form
   c) a statement of account
   d) movie ticket.
6. Terms that contracting parties do not expressly agree to, but which are read into the contract either by law or by trade usage are called:
   a) tacit terms
   b) implied terms
   c) *incidentale*
   d) *naturalia*.

Further reading

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Chapter
9 Common contractual terms

The main ideas

- Clauses about whether or when a contract will take effect or end
- Clauses about contractual obligations
- Entrenchment clauses
- Clauses about how to resolve disputes

The main skills

- Identify the types of common contractual terms that you would include to meet the given aims in a typical commercial contract.
- Explain why contracting parties would agree to go to arbitration rather than have a dispute and go to court.
- Organise your principles by drawing mind maps to keep track of various kinds of clauses.
- Solve problems and make decisions about the type of clauses in a donation contract.

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It often happens that contracting parties disagree on whether each party has done what the contract requires. For this reason, there are certain terms that are commonly included in contracts. These common contractual terms affect the way in which the contract operates, and they indicate what happens if there is a dispute or if someone fails to perform according to the contract.

Before you start

Suppose you enter into a contract with a car dealer to buy a used car from them. You only want to buy the car if you get a job in Johannesburg after you graduate from university. You also want the car dealer to guarantee that the car is free from defects. Both you and the car dealer want to cancel the contract if the other person fails to meet their obligations on time. Provided you get a job in Johannesburg after graduation, you want to pay for the car and have it delivered to you within seven days after you find the job. If the car dealer fails to deliver the car to you within seven days, you want them to pay you an agreed amount for every day that they are late so that you can rent a car with the money until delivery of the car to you. Both you and the car dealer want any changes to the agreement to be in writing in order to be binding. You and the car dealer want any dispute over the contract to be decided out of court by an impartial person, agreed to by both parties, who will make a binding decision.

While you are reading this chapter, think about what contractual terms there should be in the contract to meet the aims of both parties. At the end of the chapter, you will have the chance to answer this question and test your understanding.

9.1 Common contractual terms

Because people enter into contracts so often – and get into disputes so often – those who draw up contracts have developed common contractual terms that make it easier to solve disputes. One place where you will often find common contractual terms is in the so-called standard form contracts that many companies and other bodies use. These are called standard form contracts because each contract on the same subject is more or less the same, so the parties can use a standard format (or even an actual form) and just fill in the details.

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We will look at each of the following groups of common contractual terms in turn:

- clauses about whether or when a contract will take effect or end
- clauses about contractual obligations
- entrenchment clauses, which make the contract more difficult to change
- clauses about how to resolve disputes.

This chapter includes many short extracts from contracts, similar to those that you will come across in the commercial world, so that you can see examples of the clauses in operation. These examples will enable you to identify such clauses in practice and to understand how they operate.

9.2 Clauses about whether or when a contract will take effect or end

The terms in this first group are the ones that determine whether and when a contract will come into effect, continue to operate, or end. These clauses can be:

- conditions
- time clauses
- suppositions
- cancellation clauses.

9.2.1 Conditions

A condition is a contractual term that indicates whether a contract will start or continue to operate. The condition describes an event that may or may not happen in the future. For example, if I agree to buy Fred's farm on condition that I can sell my own house this month, that contract of sale comes into operation only if I do sell my house. We say the sale is subject to a condition. However, if Sipho offers to buy Balindwa's house 'if Balindwa dies', that is not a condition, as death is certain to occur at some time.

Note that a condition relates to a future uncertain event, rather than something that may or may not exist at the time.

This is what makes conditions different from suppositions, which we discuss later in this section.

There are two main types of condition:

1. suspensive conditions
2. resolutive conditions.

Suspensive conditions

A suspensive condition suspends or delays the operation of a contract until the condition is met or the future event occurs. The extract below is from a contract of sale.

> The sale of this car is conditional upon the buyer obtaining a loan for R100 000 from a registered bank or financial institution in South Africa. If this condition is not fulfilled within 14 (fourteen) days after signature of this contract, this agreement will fall away and the seller will refund the buyer any money paid to the seller by the buyer within 7 (seven) days of the agreement falling away.

In the above example, there is no sale unless the buyer manages to get the R100 000 loan from a financial institution. It could be that the buyer is unable to get the loan, in which case the agreement will fall away when the fourteen days are up. Note, however, that a **valid contract** is created on agreement. It is only the operation of the contract, which requires performance by both sides, that requires the condition to be met. So, the seller in the example cannot decide before the fourteen days are up that they will no longer sell the car to the buyer, unless there is another clause in the contract that specifically allows them to do this.

A **valid contract** is one that meets the six requirements: contractual capacity, agreement, legality, possibility of performance, formalities, and certainty.

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Resolutive conditions

A contract that is subject to a **resolutive condition** is immediately binding on the parties, but comes to an end should the future uncertain event occur. The extract below is from a contract of lease.

A **resolutive condition** ends a contract if a stated event happens, whereas a suspensive condition ends the contract if a stated event does not happen.

> The lessor leases the car with registration numbers ZSB123GP to the lessee for the sum of R4 000 per month for six months from 1 January 2024. The lease will come to an end should the lessee lose their employment at X Company before the six months is up.

In the above example, it may be that the lessee does not lose their employment during the course of the lease, in which case the lease will continue, unaffected by the condition. However, if they do lose their employment, the lease will end.

In some types of contract, when a resolutive condition happens, the parties have to return whatever they received from each other up to the time the condition occurred. For example, suppose Dave sells their boat to Steve for R50 000, the sale being subject to Dave not receiving an offer of R55 000 or more within 14 days of their agreement with Steve. If Steve pays Dave the R50 000, but Dave does receive an offer of R55 000 within the 14-day period, then Dave will have to refund Steve the money paid to them.

However, this is not always the case with contracts that include resolutive conditions. In the lease example above, if the lessee were to lose their employment two months into the lease, the lessor would not have to refund the lessee the rental they paid for the two months that they used the car.

9.2.2 Time clauses

A time clause is different from a condition. A time clause is one in which the rights or duties of a contract start or end at a specific time or event, or after a specific period of time or event, which, unlike a condition, is certain to occur. There are two types of time clause:

1. a suspensive time clause
2. a resolutive time clause.

Suspensive time clauses

A suspensive time clause indicates when the duties in a contract have to be performed.

> **Contract of donation**
>
> I, Anne Jones, undertake to give my daughter, Jenny Jones, a puppy on 31 May.

> **Contract of donation**
>
> I, Anne Jones, undertake to give my daughter, Jenny Jones, a puppy on the death of their current dog, Woofer.

In the first example above, the suspensive time clause states directly on which date Anne will give their daughter the puppy. In the second example, the clause will have effect on a specific date, albeit what that date will be cannot be specified by referring to the future date of death of Woofer. In both examples, Jenny can enforce their mother's agreement to give Jenny the puppy only once the agreed moment arrives. In the first example, that will be on 31 May, and in the second example, it will be on the death of their current dog, Woofer. The exact date when Woofer will die is obviously unknown.

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Resolutive time clauses

A resolutive time clause indicates when the contract will come to an end. The examples below are taken from rental contracts.

> The lessor agrees to rent Flat 101, Manor Court, Main Street, Fairlands to the tenant, at a monthly rental of R10 000 per month until 31 December 2025.

> The lessor agrees to rent Flat 101, Manor Court, Main Street, Fairlands to the tenant, at a monthly rental of R10 000 per month for one year from the date of signing of this contract by the lessor.

The first example mentions a specific date for the rental contract to end. In the second example, although no specific end date is given, the parties can work out the date on which the rental contract will end by simply adding one year to the date on which the lessor signed the contract.

Both extracts are examples of resolutive time clauses because the rental contract will be in operation and bind both parties until the specified time is reached.

9.2.3 Suppositions

A supposition is a contractual term that states that the contract will only become operative if a given situation exists or a given event has occurred. Unlike a condition, a supposition relates to a possible present state of affairs, rather than a future one. For example, I may agree to buy your ring, provided that it is 18-carat gold.

A supposition is similar to a condition in that a contracting party wants to be bound by the contract only if the circumstances meet their requirements (as outlined in the condition or supposition).

> **Contract of sale**
>
> I, Naledi Budu, agree to buy Tumai Nkosi's Commercial Law textbook for R500 on condition that it has no missing pages.

Tumai offers to sell Naledi their textbook, which Tumai thinks has no missing pages. Naledi is happy with the offer, but wants to buy the book only if Tumai is right about it having no missing pages. The clause in the contract of sale above is a supposition because the sale is subject to the textbook having no missing pages. Even though the contract says, 'on condition …', the clause is not a condition because the textbook having no missing pages is not a future uncertain event (which would make it a condition), but an existing fact, which the parties can check by looking at the book. If the book turns out to have any missing pages (such as pages 11 to 15 are missing), there will be no contract. However, if the book has no missing pages, both parties will be bound by the agreement.

9.2.4 Cancellation clause

A cancellation clause enables a contracting party to cancel the contract if the other party fails to do what they agreed to do in the contract. Without a cancellation clause, it is still possible for the **harmed party** to cancel, but only if the breach of contract is sufficiently serious. To breach a promise or agreement is to fail to keep it. This cancellation would be in terms of common law, which we discussed in Chapter 1.

The **harmed party** who brings a claim to court is called the plaintiff. The person against whom the case is brought is called the defendant.

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The example below provides for a notice period for the coming into effect of the cancellation clause.

> **Cancellation**
>
> Should the tenant breach their obligation to pay the rental before the first day of each month, the lessor may cancel this agreement on giving the other party three days' written notice of their intention to cancel.

Alternatively, the cancellation clause could allow for immediate cancellation without the need for any notice period.

Activity 9.1

1. You want to buy a used car. Discuss with a partner two different suppositions on which you may want to make the contract dependent.
2. You want to buy a house. Discuss with a partner two different suspensive conditions on which you might want to make the contract dependent.

9.3 Clauses about contractual obligations

The group of common contractual terms related to contractual obligations include:

- warranties
- exclusion clauses
- *modi*
- penalty clauses.

Warranties

A warranty binds a contracting party to extra duties relating to the quality, quantity or other aspects of the thing being contracted to. A warranty clause does not always use the word 'warranty'. Sometimes, it will be referred to as a **guarantee**.

A **guarantee** is a contractual undertaking that the product bought will meet its expectations, failing which the party will be in breach.

The following warranty clause comes from a contract for repair work:

> I, Tosh Nkosi, guarantee that the roof I repaired on Neo Baloyi's house will not leak for ten years from the date of completion of the work.

If, in the above example, the roof does leak during the ten-year period, Tosh will be in breach of contract. We discuss breach of contract in detail in Chapter 10.

In addition to warranties **expressly agreed** to by contracting parties, the law also imposes warranties in certain contexts. These imposed warranties, called tacit warranties, will bind the parties unless they expressly state that they will not be bound. We discuss examples of this type of warranty at various points in this book. In Chapter 14, for example, where we discuss contracts of sale, the warranty against latent defects is a tacit warranty.

Warranties **expressly agreed** to are those that are directly stated in the contract, like the guarantee against the roof leaking.

Exclusion clauses

As you saw in Chapter 8, an exclusion clause states that a contracting party is limited or excluded from liability in stated circumstances. This clause protects one of the contracting parties against liability for certain types of legal claims by the other party and reduces the range of their contractual duties. In a sense, an exclusion clause serves the opposite function to a warranty. While a warranty adds the stated extra obligations, an exclusion clause removes, or excludes, the liability it refers to.

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The example below is an extract from a contract of sale.

> This car is sold subject to the buyer acknowledging that the seller's ordinary warranty against latent defects is specifically excluded from this sale.

Latent defects are hidden faults in an item or property, and we discuss them in Chapter 14 under the law of sale. The seller's warranty against latent defects is the normal guarantee to the buyer that the item being sold has no significant hidden faults at the time of sale. In the above example, the exclusion clause, also sometimes called an exemption clause, says that the car is being sold without that normal warranty against latent defects. This puts the seller in a safer (less vulnerable) position. However, to prevent abuse of buyers in such circumstances, our courts have often limited the defects that the seller will able to get away with.

The legal term for buying something '**as is**' is *voetstoots*.

Note that in certain circumstances, a seller may exclude liability for any defects. In other words, the buyer purchases the item '**as is**'.

The nature of exemption clauses means that it is possible for them to be considered (unduly) unfair against one of the contracting parties where their inclusion would be against public policy and in such circumstances might be found by a court to not be binding.

If a contract or part of a contract is **against public policy**, it may be held by a court to be unenforceable. Even if a clause is unfair, it will only be against public policy in exceptional circumstances. See Chapter 7.

The cases of *Durban's Water Wonderland (Pty) Ltd v Botha and Another* 1999 (1) SA 982 (SCA) and *Naidoo v Birchwood Hotel* 2012 (6) SA 170 (GSJ) below illustrate how a court may consider whether or not an exclusion clause is **against public policy** and therefore unenforceable.

Durban's Water Wonderland (Pty) Ltd v Botha and Another 1999 (1) SA 982 (SCA)

Facts

Botha sued Durban's Water Wonderland for injuries sustained by her daughter while using a ride in their amusement park. The park's main argument was that their liability for such claims was excluded by prominently displayed disclaimer signs. See the discussion of the case in Chapter 8.

The court's finding

The exclusion clause was not against public policy. Botha was therefore unable to claim.

Naidoo v Birchwood Hotel 2012 (6) SA 170 (GSJ)

Principle

An exclusion clause will not be binding against an affected party where it would be so unfair as to be against public policy. This will depend on the circumstances of each case.

Facts

Naidoo sued Birchwood Hotel for severe bodily injuries that were caused when an entrance gate to the hotel fell on top of Naidoo. The hotel's main argument was that disclaimers, which excluded liability for such claims, were prominently displayed.

The court's finding

The court held that the exclusion clause was against public policy in the particular circumstances. This case differed from the *Durban's Water Wonderland* case where the use of the amusement park rides carried an inherent risk of injury. Using the hotel gate was not an inherently risky activity. As a result, the exclusion of liability in this case was so unfair as to be against public policy. The court refused to uphold the exclusion clause. Therefore, Naidoo was able to successfully claim damages from Birchwood Hotel.

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Modi

A *modus* is an extra condition as to how something must be done or used. It places a duty on a contracting party to perform some future action related to the original contract. However, the creation of the contract is not dependent on the *modus* being performed. Note that a *modus* differs from a condition in that if a condition is not met, the contract does not go into operation.

Contract of donation

I, Noluthando Mhangani, donate R100 000 to my daughter, Nomonde Mhangani. Nomonde must use this money to pay for the costs of completing their BCom degree.

In the above example, Nomonde can demand immediate payment of the money since the operation of the contract does not depend on their performing the modus. If Nomonde fails to use the money to pay for their BCom degree, they will be in breach of contract, and Noluthando can seek **legal remedies** for breach of contract.

Legal remedies are the options that you have in law to correct a situation where another party has wrongfully caused you harm.

The case study below illustrates the use of a *modus*.

Case study The use of a *modus*

A multi-national donor, Africa Philanthropies, donates R1 000 000 to a university. The donor's specific intention and requirement is that the money must be used to provide bursaries to students who do not qualify for NFSAS aid. The donor's department, which drafts its donation contracts, must insert the appropriate type of contractual clause to ensure that the university does use the money for its designated purpose. The appropriate clause to include here would be *modus*, as this is the type of clause that one uses to indicate or restrict how something may be used. In this instance, the *modus* would serve to provide a contractual restriction on the university's use of the money. For example, the university must not use the money to renovate lecture venues or to provide bursaries to students who do qualify for NFSAS aid.

Penalty clauses

A penalty clause allows contracting parties to agree in advance about what will happen if they fail to fulfil their duties in terms of the agreed contract. A penalty is generally related to punishment. In the context of a contract, a penalty is the compensation that one party has to pay for not doing what was agreed in a contract. The person who fails in their obligations, and is penalised, is called the defaulter. The penalty clause acts as a further **incentive** to the parties to meet their agreed obligations. The penalty normally takes the form of the defaulter having to pay an amount of money to the other contracting party.

An **incentive** is something that encourages you to do something, like when a friend promises to treat you to a meal as soon as you finish your assignment.

You could also think of the clause as a deterrent – a negative consequence that discourages a person from doing something. For example, a penalty for late delivery will discourage a contractor from dawdling over a job.

The extract below shows a penalty clause from a contract for the sale of a home.

The seller agrees to give the buyer occupation of the property on 1 June. The seller will pay the buyer R500 for every day after 1 June that they have not given the buyer such occupation.

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The reasoning behind a penalty clause is that one party is likely to suffer a financial disadvantage if something fails to happen by the time agreed to in the contract. In the above example, the buyer will suffer financial loss if they are not given occupation of the property on time. They may be staying in rented accommodation until they can move into the house, so the delays will cost them money.

In addition to its deterrent effect, the penalty clause can also provide for payment of the estimated damages that one party will suffer if the other party's performance is late or not up to standard. In the above example, the damages could be the extra money the buyer would have to pay to extend their lease or move to a hotel or bed and breakfast if they are not given occupation on time.

Parliament passed a law called the Conventional Penalties Act 15 of 1962 to ensure that such penalty clauses do not penalise the debtor, or defaulter, unfairly. For example, section 3 of that Act gives a court the power to reduce a penalty that is out of proportion to the loss suffered by the creditor, or harmed party. In the above example, it would be fair for the seller to pay the estimated rent that the buyer has to pay for alternative accommodation until they are given occupation of the house.

Added value — Acceleration clauses

An acceleration clause applies to contracts where the debtor has to pay in instalments, and states that all instalments become payable immediately if the debtor is late with one instalment. This is not regarded as a penalty clause. The reason is that the clause does not add or replace the debtor's liability. The debtor still has to pay the same capital amount – they just have to pay it earlier. However, the creditor must reduce the interest payable on the capital amount to reflect the earlier payment.

9.4 Entrenchment clauses

An entrenchment clause creates formalities that the parties must meet if they want to change their contractual obligations. If something is entrenched, it is firmly established and hard to change or remove. Usually, the entrenchment clause will provide that the only way you can change or add to the contract is if you put the change in writing and both parties sign it. This means that a verbal agreement to change any obligations will have no effect.

Entrenchment clauses are often called no variation clauses. To vary something is to change or adapt it. A no variation clause makes it difficult to change or adapt the contract – the changes must be in writing.

The extract below shows an example of a no variation clause.

> Any variation of this agreement must be recorded in writing and signed by both parties, failing which the variation will be of no force or effect.

Added value — Contractual variations

It is common for contracting parties to change their minds about the exact contractual obligations that they expect someone to perform for them. Suppose, for example, John is renting a house from Ntombi at a rental of R10 000 per month, payable on the first day of each month. However, John's bank frequently transfers the money late. After the lease has been running for a few months, they agree that from now on, John must pay the rental on or before the seventh day of each month. When people make changes like this, it is easy for disagreements to arise over the new rights and duties of each party.

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For this reason, it is a good idea to include entrenchment clauses in any business contracts you may enter into in your future career. It is much better to avoid disagreement over interpreting contracts than to have to go to court to have the disagreement decided for you – which is expensive and often takes a long time.

9.5 Clauses about how to resolve disputes

The terms in this final group of clauses relate to ways of legally resolving disputes over the contract. They specify which court or other body will hear the dispute and how the costs will be covered. These clauses can be:

- jurisdiction clauses
- arbitration clauses
- costs clauses.

9.5.1 Jurisdiction clauses

In Chapter 1 we mentioned that different courts, given the same facts, may reach different conclusions. What happens if you are in Gauteng and I am in the Eastern Cape, and we have a dispute about our contract? Which court will we go to? A jurisdiction clause serves to indicate that both parties have agreed as to which court will have the power to decide disputes, if they arise, concerning the contract.

Jurisdiction

The parties **consent** to the jurisdiction of the Johannesburg Magistrates' Court in respect of any legal proceedings arising out of this agreement.

Such **consent** is allowed by section 45 of the Magistrates' Courts Act 32 of 1944.

When we discussed the hierarchy of the South African courts in Chapter 1, we noted that a court's civil jurisdiction in a matter depends on the area, the size of the claim, and the type of case. Contracting parties often agree to a particular Magistrates' Court having jurisdiction, even if the amount of the claim is more than the normal limit of R200 000 for **civil matters** in a District Magistrates' Court. The reason for an agreement like this is that cases in a Magistrates' Court are usually cheaper and faster to finalise than in the High Court.

When private individuals go to court concerning a dispute between them, that is a **civil matter**.

9.5.2 Arbitration clauses

Parties to a contract may want to avoid going to court over a dispute relating to their contract. It is often cheaper, quicker and more private to seek alternative dispute resolution (ADR), by which we mean ways of solving legal disputes without going to a court. One form of alternative dispute resolution is arbitration.

Other forms of ADR, which we will not discuss here, are negotiation, conciliation, and mediation. These are all less formal forms of ADR and do not bind the parties as arbitration does.

An arbitrator, agreed to by the parties, listens to what both parties have to say, and then makes a decision, which both parties are bound to follow. The arbitrator must be impartial – they may not take sides or be biased in favour of either party.

Arbitration

Any dispute arising from or in connection with this agreement shall be finally resolved by an arbitrator appointed by the Arbitration Foundation of Southern Africa (AFSA). The arbitration will be conducted in terms of the rules and regulations of AFSA, and the decision of the arbitrator shall be final and binding upon the parties.

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9.5.3 Costs clauses

Costs clauses in contracts refer to two separate issues:

1. the costs of drawing up the agreement, including stamp duty
2, the legal costs (lawyer's fees) payable by the losing party to the winner, in terms of a court judgment.

Costs of drawing up the agreement

A lawyer who draws up a contract will usually charge a fee for this service.

Legal costs

There are various scales, or levels, of legal costs. Party-and-party costs are the legal costs that are reasonably incurred in a court case. These are the costs that are usually ordered, unless the parties have agreed otherwise.

Attorney-and-client costs are higher than certain other levels of costs, and refer to the amount the winning party gets from the losing party to cover most of their legal costs. Below is an example of a cost clause.

Costs

1. The debtor must pay the costs of drafting this agreement on demand by the creditor.
2. Should the debtor default on any payment, the debtor will be liable for all legal costs incurred in collecting the debt on an attorney-and-client scale.

Activity 9.2

Draw a mind map of the various kinds of clauses discussed in this chapter. Begin by drawing the four categories we listed on the first page of this chapter and then split each category according to the different types of clauses falling in that category. For each type of clause, write a short description and give an example of such a clause.

Added value — Drawing up a contract yourself

Parties often want to draw up a contract themselves to save legal costs. For a simple contract, this may be unproblematic. However, you should think carefully about what needs to go into the contract. A contract should clearly spell out the duties of the parties, but also provide for as many eventualities as possible. In other words, what happens if things go wrong? If using a precedent (an example of a similar type of contract to the one you are drawing up), make sure it suits your needs and is well-drafted. If you are in doubt, consult an attorney who is trained to help you in such matters.

What do you think?

The Consumer Protection Act 68 of 2008 provides that consumer contracts must be written in plain language, in other words, such that an 'ordinary consumer … with average literacy skills and minimal experience as a consumer of the relevant goods or services', could be expected to understand it without 'undue effort' (section 22).

Business-to-business contracts are usually the result of extensive negotiations and drawn up by lawyers in complex legal language, so as to make provision for all eventualities. Do you think that the plain language requirement should also be extended to contracts between large businesses? Give reasons for your answers.

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Chapter summary

In this chapter, you learned the following about common contractual terms:

- The aim of common contractual terms is to simplify the operation and consequences of contracts.
- These are clauses about whether or when a contract will take effect or end:
  - condition clause: A future uncertain event must occur to start or end the operation of the contract. There are two types:
    - With a suspensive condition, the contract will not be operational unless and until the condition is met.
    - With a resolutive condition, the contract will operate until the condition is met.
  - time clause: The rights or duties imposed by a contract start or end at a stated time or when a particular future event occurs. There are two types:
    - With a suspensive time clause, performance in terms of the contract will be suspended until the future uncertain event has occurred or the time has come.
    - With a resolutive time clause, the contract will operate until the future uncertain event has occurred or the time has come.
  - suppositions: The contract will become operative only if a given situation exists or an event has already occurred.
  - cancellation clause: One party can cancel the contract immediately if the other party breaches the contract.
- These are clauses about contractual obligations. Warranty clause: One contracting party gives an agreed extra promise regarding the amount or quality of work they will do or of the product they will provide.
  - exclusion clauses (also called exemption clauses): These clauses remove or limit the liability of a contracting party with regard to specified actions.
  - *modus* clause: One contracting party is limited in what they may do with the subject matter of the contract.
  - penalty clause: The parties agree in advance on a penalty (normally money) for breach of contract.
  - entrenchment clause: This makes the contract more difficult to change and provides that any change to the contract must be in writing.
- These are clauses about how to resolve disputes:
  - jurisdiction clause: The contracting parties specify the court that will have authority to judge any dispute concerning the contract.
  - arbitration clause: The contracting parties agree to be bound by an arbitrator's finding, rather than a court's, normally because arbitration is cheaper, faster, and more private.
  - costs clause: This clause specifies who will pay the costs of drawing up the agreement and the legal costs if a dispute arises.

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Review your understanding

1. Read about the proposed contract of sale in the 'Before you start' section of this chapter again, and identify the types of common contractual term that you would need to include to meet the given aims.
2. Outline the main aims of the following types of contractual clauses. Then, in each case below, give an example of a situation in which it would be useful to include a clause like that in a contract for use by your start-up business as a supplier of computer software, and explain why its inclusion would be useful:
   a) a warranty
   b) an exclusion clause

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c) a modus
d) an arbitration clause.

3. Identify the type of contractual clause below and explain your answer:
   'You may use my car as soon as you pass your driver's licence test'.
4. Identify the type of contractual clause (below) and explain your answer:
   'You may use my car until the end of 2026'.
5. Discuss the similarities and differences between conditions and time clauses.
6. Outline the main aims of the following types of contractual clauses and give examples of situations in which it would be useful to include each type of clause in a contract:
   a) a supposition
   b) a resolutive condition
   c) a cancellation clause.
7. Why would contracting parties agree to use a penalty clause in their contract?

Further reading

LexisNexis Editorial Staff *Forms and Precedents Commercial Transactions*, Durban: LexisNexis South Africa
(A set of six volumes covering all aspects of commercial law, including leases, acknowledgement of debt, purchase and sale of movable property, suretyship, loan agreements, and credit agreements. This guide is available electronically in most law libraries and is kept up to date with recent legislation and case law.)

Sharrock, R. 2017. *Business Transactions Law* 9th ed., Cape Town: Juta and Co. (Pty) Ltd, Chapter 13

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Chapter
10 Forms of breach of contract

The main ideas

- Breach of contract
- Breach due to positive malperformance by the debtor
- Breach due to a delay in performance by the debtor
- Breach due to a delay in performance by the creditor
- Breach due to impossibility caused by the debtor or creditor
- Breach due to repudiation

The main skills

- Understand the concept of breach.
- Distinguish between the relevant forms of breach.
- Outline the key elements of each form of breach of contract.

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When parties conclude a legally binding contract, the primary contractual purpose is for all parties to fulfil their respective common law duties (where applicable) and obligations by proper performance. Unfortunately, not all parties comply with their contractual obligations.

When a party fails to fulfil their contractual obligations (breaks the terms of the agreement), without **lawful justification**, this is known as a breach of contract. Depending on the circumstances, either the debtor or the creditor may be found to be in breach of contract.

An example of a **lawful justification** is supervening impossibility of performance.

Before you start

Consider this scenario. Sifiso booked a ten-day holiday to Bali in Southeast Asia. Sifiso managed to book the last seat on a flight on 17 December. Knowing that Uber drivers have been unreliable of late, Sifiso booked and paid online for an airport valet parking service for 08:00, which would have given them enough time for check-in at 09:00. Sifiso arrived at the airport timeously at 07:45 and then received a telephone call from the manager. The manager apologised profusely, explaining that the company accidentally double-booked their services and stated that they can no longer accommodate Sifiso's booking. They offered Sifiso a 15% discount should they travel again and need a valet parking service. Sifiso is both furious and panicked. Desperate to find parking and not miss check-in time, Sifiso had to park in the covered parking section at a prime cost of R350 per day, which was 50% more than the valet-parking service. At the end of the chapter, come back to this scenario to see if you are able to identify the relevant form of breach of contract.

The law distinguishes between various forms of breach of contract. In this chapter, we discuss five of these forms. When one party breaches a contract, the other party suffers because of the breach and can therefore seek the appropriate remedy, or remedies, for that breach. In Chapter 11, we will look at the legal remedies for breach of contract.

First, we have to identify the type of breach that has occurred, as this will help guide us choose the appropriate remedy in the next chapter. The five most common types of breach of contract are as follows:

1. breach due to positive malperformance: This is when the debtor does perform, but that performance is not what was agreed upon.
2. breach due to a delay in performance by the debtor

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3. breach due to a delay in performance by the creditor
4. breach due to impossibility: This is when the debtor or the creditor makes performance impossible
5. breach due to repudiation: This is when the debtor (or creditor) indicates that they will not honour their contractual obligations.

In this chapter, we will look at each of these forms of breach in more detail.

Added value Distinguishing between a debtor and a creditor

Before we continue any further, it is important that you understand the meaning of debtor and creditor. A debtor (pronounced as deh-tur, with the 'b' being silent) is a contracting party who owes a performance, or debt, to another party, the creditor. A creditor is a contracting party who is entitled to receive the performance, or debt, from the debtor.

We use these terms in relation to a specific performance, or obligation, in a contract. Depending on the terms of a contract, it is possible for both parties to incur obligations whereby each party will, in turn, be a debtor and a creditor. Some forms of breach of contract can be made by both the debtor and creditor, while others are limited to the obligations of either the debtor or the creditor. This will become clearer as we discuss the forms of breach.

Case study A debtor who is also a creditor, and a creditor who is also a debtor

This certainly sounds like a mindboggling concept. Did you have to read that twice to make sense of it? Well, here is a scenario that illustrates this conundrum. It is simpler than you think.

Max offers to sell their Commercial Law textbook to Milly for a bargain price of R400 and Milly accepts the offer. The parties agree that Milly will do an electronic funds transfer for the amount, and then Max will drop off the textbook at Milly's dormitory room after the accounting lecture.

In this contract of sale, the parties have reciprocal obligations. Milly, as the buyer, has the obligation to pay Max. In this regard, Milly is the debtor, who is performing the obligation, and Max is the creditor, who is entitled to receive the performance.

Once Milly has made payment, Max, as the seller, has the obligation to deliver the textbook to Milly. Here, Max is the debtor, who is performing the obligation, and Milly is the creditor, who is entitled to receive the performance.

If either party does not fulfil their obligations, as either debtor or creditor, they will be in breach of contract.

Were we right that this would be simpler than you think? To assess your understanding of this discussion, try drawing a flow chart to illustrate the respective roles of the parties.

Activity 10.1

It is time to test your understanding of debtors and creditors. Consider the legal transactions that you have entered into since you gained contractual capacity. List all the contracts in which you were a debtor, and then list all the instances in which you were a creditor. Are there any instances where you incurred obligations as both a debtor and creditor respectively?

Compare your lists with a friend to share your experiences as debtors and creditors.

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10.1 Breach due to positive malperformance by the debtor

In disputes arising from breach of contract, this is the most common type. These are the elements that apply to this form of breach:

- The debtor did actually perform when the performance became due. This is a key difference between this form of breach and other forms of breach.
- The performance is, however, contrary to what was agreed upon in the contract.
- There is no lawful justification (for example, supervening impossibility of performance) for the positive malperformance.

We can classify cases of this type of breach of contract into the following two sub-categories:

- The debtor tendered performance that was defective, incomplete or improper performance. For example, Jan (debtor) undertook to paint John's office nautical blue and they painted it baby blue instead.
- The debtor performed in a way that was not expressly or tacitly allowed in terms of the contract. For example, if Liora accepted an offer of employment from New Mutual, their former employer's client, in contravention of a restraint of trade agreement that was in place between Liora and their former employer, Liora will be acting in a way that is not allowed in terms of the contract. Restraint of trade agreements were discussed in Chapter 7.

In both instances, the creditor is not compelled to accept the positive malperformance from the debtor and may insist on full and proper performance. See Chapter 11 on the remedies for breach.

Case study — Panic mechanic

This case study illustrates the two sub-categories of this form of breach of contract. Enhle is a mechanic working for a company, A-Class Motors. In terms of their employment contract, Enhle may not do any private mechanical work after hours without permission from the company. Enhle also agreed that they will only use new, genuine parts to fix the vehicles at work.

Stressed about the tough economy and the limited opportunity to make extra cash, Enhle decides to make extra money by repairing cars in the neighbourhood, for friends and family, without the company's permission. This is an example of Enhle doing something that is not allowed in terms of the contract (the second sub-category). If, however, Enhle repairs vehicles using second-hand, or inferior, parts while at work, this would be an example of defective performance (the first sub-category).

Activity 10.2

Do this exercise with a study partner and time yourselves. In five minutes, see how many examples you can come up with to illustrate the first sub-category, and how many examples your friend can come up with to illustrate the second sub-category. Share your examples with each other to test both your understanding.

The creditor is not required to prove fault (intention or negligence) on the part of the debtor.

10.2 Breach due to a delay in performance by the debtor

This type of breach of contract is known as *mora debitoris*, which means 'default by the debtor'. The key elements for this type of breach of contract are outlined below:

- The debtor has failed to perform at the required time (delayed in their performance). The creditor does not have to prove that the debtor is at fault (intention or negligence) – a mere delay by the debtor, without legal justification, is a breach of contract.

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- There is no lawful justification for the debtor's delay. The debtor will not be in breach of contract if there is a lawful reason for the delay, such as supervening impossibility (where the delay is due to objective impossibility, without any fault on the debtor's part and for a reason beyond their control). The debtor must prove the lawful justification.
- The performance must still be possible. If, as a result of the debtor's delay, performance is no longer possible, another form of breach may apply – impossibility by the debtor (discussed later in the chapter).
- The performance must be due and enforceable. This means that the date/time for the performance must have arrived. The parties would have agreed on a date/time for performance expressly or tacitly, or the creditor can choose a **reasonable** date and time for the debtor to perform by sending a demand to the debtor. If the contract, expressly or tacitly, sets out the date and time requirements for performance and the debtor does not perform within that deadline, the debtor is automatically in breach of the contract. In such an instance, the creditor does not need to demand performance from the debtor, as the debtor ought to know the deadline for performance. If there is no specified time for performance, the debtor will not be *in mora* until the creditor has set the time for performance by demand, and the debtor fails to perform by that time.

What is **reasonable** depends on factors such as the nature of the performance and any obstacles that the creditor could reasonably have foreseen at the time of the conclusion of the contract.

Case study A ton of bricks

Let us consider a scenario that illustrates when the debtor will be in breach as a result of a delay in performance, and when they will not.

Jack and Jill agree that Jill (debtor) will deliver a ton of bricks by 10:00 on Friday, 6 January to Jack's (creditor) construction site. Jill only delivers the bricks at 14:00 on that day. Is Jill in breach because of the delay? That depends on whether Jill had a lawful justification for the delay.

If Jill's delivery is delayed without a lawful reason, Jill will be in breach of contract (*mora debitoris*). Any subjective impossibility, such as that Jill overslept, or their truck's petrol tank was empty) is irrelevant.

If, however, it turns out that the reason for Jill's late delivery is that there was a horrid storm that washed away a part of the highway needed to effect delivery, then that would be a lawful reason, as the delay was objectively beyond the control of the debtor. Here, Jill would not be in breach of contract.

Note that, if the debtor warrants performance at a specific time, the debtor will assume the risk of delay and will be *in mora* even if there is a legal justification for their delay.

10.3 Breach due to a delay in performance by the creditor

This type of breach of contract is known as *mora creditoris*, which means 'default by the creditor'. It may happen that the debtor's performance is reliant on the creditor's cooperation in either of the following ways:

- The creditor must perform certain positive acts to enable the debtor to act, such as allowing the debtor access to a property so that the debtor can perform, or supplying information to the debtor before the debtor can perform. For example, Sibu (lessee) needs to pay rent to Sibani (lessor) by electronic funds transfer and is dependent on Sibani (creditor) to first supply the relevant bank details before Sibu (debtor) can make payment.
- The creditor must accept proper performance by the debtor once it is due. For example, Nkosi ordered headphones on Grab-a-Lot and agreed to be home to accept delivery at 10:00 on 2 April. This means that, for Grab-a-Lot (debtor) to effect performance, Nkosi (creditor) needs to be at home to receive delivery, as agreed upon.

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This type of breach of contract arises only where the debtor cannot perform properly without the creditor's assistance or cooperation. Of course, if it is possible for the debtor to perform without the creditor's cooperation, the debtor is required to do so. For example, if X borrows R100 from Y, and Y instructs X to put the money under Y's office door when X repays it, X will be able to perform (repay the money) without Y's cooperation.

The following key elements apply to *mora creditoris*:

- The creditor's failure to cooperate results in the debtor not being able to perform punctually.
- There must be no lawful justification for the creditor's delay. Similar to *mora debitoris*, the creditor will not be in breach of contract if there is a lawful reason for the delay, which means that the delay is for a reason that is objectively beyond the creditor's control (supervening impossibility of performance). An example of a lawful reason is where C agrees to drop off their car at D's workshop for panel beating at 08:30, but C is delayed by two hours because a torrential rain in the early hours of the morning flooded parts of the roads between C and D causing heavy traffic delays for all road users in the area. The delay is due to a *vis major* (act of nature).
- The debtor's performance must still be possible. If, as a result of the creditor's delay, the debtor's performance is no longer possible, another form of breach may apply – impossibility by the creditor (discussed further on in the chapter).
- The creditor's contractual obligation to cooperate must be due and enforceable. This means that the date/time for the performance must have arrived – the parties would have agreed on a date/time for performance expressly or tacitly, or the debtor must set a date/time for the creditor's cooperation by demand.

Let us now consider the case study below, which illustrates the principles that we discussed.

Case study Cara's cooperation

Phumlani and Cara enter into a contract whereby Phumlani (debtor) is required to fix Cara's (creditor) desktop at the latter's house at 12:00 on 21 March. When Phumlani arrives at Cara's house at 12:00, no one is home. Cara only arrives at 12:45. Here, Phumlani's performance (fixing Cara's desktop) is dependent on Cara's cooperation (allowing Phumlani access to the desktop). Cara is, therefore, in *mora creditoris*.

Would the answer be different if Phumlani arrived at 11:00 and Cara was not home, and the house was locked? Yes, because Cara is only obliged to be home at 12:00, which is when the performance becomes due and enforceable. The creditor is under no legal obligation to accept performance, or to cooperate with the debtor, if performance is not yet due and enforceable.

Would your answers above change in any way if the parties agree that Cara's domestic worker will allow Phumlani access to the desktop at Cara's home? Yes, because Phumlani's performance is not dependent on Cara's cooperation. So, if Cara arrives home late and the domestic worker is at home to allow Phumlani access, there is no reason why Phumlani cannot fix the desktop. The creditor will not be *in mora* by arriving home late.

Note that *mora creditoris* does not extinguish the debtor's obligation to perform – the debtor may be called upon to perform in the future, at a date and time agreed upon.

10.4 Breach due to impossibility

There are two ways in which a contracting party's performance can become impossible:

1. The debtor makes their own performance impossible without lawful justification.
2. The creditor makes it impossible for the debtor to perform without lawful justification.

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Before we proceed, it is important to distinguish this form of breach of contract from other instances where we dealt with impossibility in the textbook, as they are often easily confused:

- before the conclusion of the contract: If performance is impossible then the contract is void for impossibility. Refer to Chapter 7 to refresh your memory on this.
- after the conclusion of the contract but before performance: Where the performance becomes objectively impossibility *without* the fault (intention or negligence) of either of the parties, such as due to a natural disaster or other act of nature, we apply the principles relating to supervening impossibility of performance. Refer to Chapter 7 to refresh your memory on this.
- after the conclusion of the contract, but before performance: Where the performance becomes either objectively or subjectively impossible, due to the fault (intention or negligence) of either of the parties, we apply the principles relating to breach of contract due to impossibility.

Activity 10.3

Let us do a short exercise to test your understanding on impossibility. Shelley books a holiday to Ukraine via Lift-off Airline to visit their family who now live there. One week before they are due to depart, Russia declares war on Ukraine, resulting in all tourist flights being cancelled. Shelley is no longer able to travel. Lift-off Airline's performance (travel to Ukraine) is impossible.

Is the contract void for impossibility, or is there a supervening impossibility of performance, or is there a breach due to impossibility? Discuss your answer with a study partner.

Below are the common elements that apply to the two sub-categories of breach of contract due to impossibility:

- These two sub-forms of breach can occur at any time before performance – either before performance becomes due and enforceable, or after the performance becomes due and enforceable.
- Performance must be objectively or subjectively impossible due to the fault of the parties.
- Performance is impossible due to the **blameworthy** conduct of the party in question.
- There is no lawful justification.

When we refer to the **blameworthiness** of a party, we mean that a party is at fault, or in the wrong, either intentionally, or negligently.

Let us now discuss these two sub-categories in more detail.

10.4.1 The debtor makes their own performance impossible

When a debtor makes contractual performance impossible through their own blameworthy conduct, they are held to be in breach of contract due to impossibility by the debtor. We hold the debtor liable for breach of contract because they are to blame for their own inability to perform in terms of their contractual obligations. Had that debtor not been at fault, they would have been able to perform contractually.

Case study — Lights, camera, action

Siya secures a gig to photograph Nkosi and Nhlanhla's wedding, using traditional photography methods for a more antique look. All goes well on the day, and the happy couple cannot wait to see the wedding photographs. However, Siya accidentally exposes the film to light and damages the reel. Has Siya breached the contract?

Siya has breached the contract by making their own performance impossible. Siya cannot deliver the wedding photographs to the couple, and this is due to Siya's blameworthiness. A reasonable person would not have accidentally exposed the film to light, so Siya acted negligently.

Remember that fault, in the form of either intention or negligence, is a requirement for this form of breach.

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You may remember that, under breach due to delay by the debtor, we mentioned that the debtor's delay can lead to breach due to impossibility by the debtor. Now that we are discussing impossibility, here is a case study to illustrate this.

Case study — No lights, no camera, no action

Suppose that Siya secures a gig to photograph Ashwin and Sherwin's wedding on Saturday, 30 October at 11:00. However, Siya misreads the contract and arrives at the wedding venue on Sunday, 31 October at 11:00. In this scenario, Siya's delay becomes an issue of impossibility of performance, as the wedding is long over and performance cannot be rendered at all.

Breach due to impossibility by the debtor must be distinguished from *mora debitoris*. In *mora debitoris*, the debtor causes their own performance to be merely delayed (performance is still capable of being rendered in the future) while, in breach of contract due to impossibility caused by the debtor, the debtor makes it impossible for their own performance to be rendered (performance can never be rendered).

10.4.2 The creditor makes it impossible for the debtor to perform

When a creditor's blameworthy conduct makes it impossible for the debtor to perform in terms of the contract, the creditor is held to be in breach of contract due to impossibility caused by the creditor. We hold the creditor liable for breach of contract because they are to blame for the debtor's inability to perform in terms of the contract. In instances where the creditor has made it impossible for the debtor to perform, the debtor no longer has any contractual duty to perform. The debtor is deemed to have discharged their contractual obligations.

Let us consider the case study below to illustrate this.

Case study — Software upgrades

Priya contracts with Selen for Selen to repair Priya's laptop and install software upgrades on it next week at a set date, time, and place. The parties also agree on the amount that Priya is required to pay Selen. However, the night before Selen is due to render the agreed services, Priya flings the laptop computer against the wall in a fit of rage after discovering that all of their saved documents have been corrupted by a software virus. In this instance, Priya (creditor) has made it impossible for Selen (debtor) to perform in terms of their contract. Selen is deemed to have discharged their contractual obligations to Priya. Priya is still required to pay Selen, since it was not Selen's fault that performance became impossible, and Selen had already booked out her time for the appointment. See the discussion of remedies for this form of breach in Chapter 11.

Activity 10.4

A reminder that breach due to a delay by the creditor without legal justification can lead to a breach due to impossibility by the creditor. Think of a scenario that illustrates this principle.

Breach due to impossibility by the creditor must be distinguished from *mora creditoris*. In *mora creditoris*, the creditor merely delays the debtor's performance (performance can still be rendered in the future) while, in breach of contract due to impossibility caused by the creditor, the creditor's actions render the debtor's performance impossible (performance can never be rendered).

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10.5 Breach due to repudiation

These are the key elements for this type of breach:

- The debtor's conduct shows that they will not honour their contractual obligations.
- There is no lawful justification for the debtor's refusal to perform.

Where the debtor indicates that they will not perform for a legally unjustified reason, we say that the debtor **repudiated** the contract.

When a party **repudiates** a contractual obligation, it means that they reject, refuse or deny their obligations.

For this form of breach to apply, the debtor's conduct must show their refusal to comply with their contractual obligations – a mere delay in performance or positive malperformance is not repudiation.

Repudiation can take place even before performance is due, or repudiation can take place after the performance is due, but before the debtor has performed. This means that, even if the debtor's performance is not late yet, or they have not given defective performance yet, they can already be in breach in the form of repudiation if their conduct indicates that they will not honour their contractual obligations.

Added value Blameworthiness of the debtor is not relevant

As fault is not a requirement for this type of breach of contract, it does not matter whether the debtor acted in good faith or in bad faith. This means that a debtor may be found to have repudiated a contract even if they genuinely believed that they had no other option, for example, if the debtor made a mistake when reading the terms of the contract, or if the debtor double-booked their time. Also, even if a debtor genuinely believes that they need not lawfully perform in terms of the contract, but their belief is wrong, the repudiation still constitutes a breach of contract. The intention of the debtor is not relevant.

If, however, there are circumstances that objectively warrant the debtor withholding performance from the creditor, the debtor would not be in breach by repudiation. For example, A and B, dog breeders, contract for A's male Labrador Retriever to mate with B's female Poodle on 14 February to produce a cute litter of Labradoodle puppies. In terms of the contract, B will pay A an amount of R5 000. However, A's Labrador Retriever unexpectedly falls ill and dies on 7 February, and A notifies B that A can no longer comply with their agreement. In this instance, A's performance would be objectively impossible to perform due to a *vis major* (act of nature, which is a supervening impossibility of performance). A would therefore not be in breach of contract.

In some cases, it may not be easy to determine if the debtor has, in fact, repudiated the contract. Here, we consider the reasonable person test by asking whether the debtor's actions, fairly and objectively interpreted, led a reasonable person to unequivocally conclude that the debtor does not intend to fulfil their contractual obligations. The conduct by the debtor can be express (verbally or in writing) or tacit (through silence or other actions) as long as it clearly indicates that they will not honour their obligations. Note that we do not apply a subjective test because the intention of the repudiating party is not relevant.

The case law below will illustrate the application of this test.

***Tuckers Land and Development Corporation (Pty) Ltd v Hovis* 1980 (1) SA 645 (A)**

Principle

The legal test to determine whether or not a communication between the contracting parties amounts to a repudiation is whether a reasonable person placed in the position of the creditor would have understood the debtor's communication to unequivocally mean that the debtor did not intend to honour the agreement.

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***Tuckers Land and Development Corporation (Pty) Ltd v Hovis* 1980 (1) SA 645 (A) (continued)**

Facts

Tuckers Land and Development Corporation (Pty) Ltd, the developer, sold two plots of land in a proposed township to Hovis. Even though the contract was subject to the township being proclaimed as such, Hovis was obliged to make certain payments in the interim. After paying in a substantial amount, Hovis soon became aware that the township developer was facing difficulty in having the township proclaimed and that they had drafted a new plan of the township for submission to the authorities, one which did not include Hovis' plots of land.

The court's finding

The Appellate Division held that the township developer's actions amounted to a breach of contract in the form of repudiation. A reasonable person, in the position of Hovis, would have understood the township developer's actions to unambiguously mean that, in their attempt to obtain proclamation of the township, they were denying Hovis' rights to transfer in respect of the plots of land.

As a result of the repudiation, the creditor will have remedies for breach of contract immediately and does not have to wait for a future breach to occur. The creditor has a choice as to how to deal with the repudiation – the creditor may either cancel the contract or choose to enforce the contract. In both instances, the creditor will decide on the appropriate legal remedy, or remedies. Even if the debtor's performance is not yet due, the creditor can cancel the contract immediately upon repudiation and does not have to wait for the due date for performance to arrive. If the creditor chooses to enforce the contract, the creditor can wait for the due date and, if the debtor breaches the contract, such as in the form of *mora debitoris* or positive malperformance, the creditor can invoke the relevant remedies for that form of breach.

Let us look at the **repentance** principle. Once the debtor repudiates the contract, if the creditor has not yet cancelled the contract after repudiation, it is possible for the debtor to attempt to save the situation by retracting the repudiation and render performance. If, after the creditor afforded the debtor an opportunity to repent, the debtor has not repented and persistently refuses to perform, the creditor can elect to cancel the contract. The creditor can act on their reasonable impression that the defaulting debtor will not remedy the breach after being given the opportunity to do so.

Repentance means to regret or try to make up for something.

Activity 10.5

Think of three scenarios that illustrate how a debtor may repudiate a contract, expressly or tacitly. Compare your answers with two friends to enhance each other's understanding of repudiation as a form of breach of contract.

Added value Repudiation by the creditor

While the section above focused on repudiation by the debtor, note that a contract can be repudiated by the creditor before performance takes place. Similar to repudiation by the debtor, the creditor can repudiate the contract before the performance is due, or after performance becomes due, but before it has been delivered. When a creditor repudiates, they indicate expressly or tacitly that they do not intend to accept performance from the debtor or comply with their contractual obligations. For example, A (creditor) contracts with B (debtor) for B to paint A's house (the performance) at 09:00 on 12 April, and A calls B at any time before 09:00

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on 12 April (before performance is due) to indicate that they no longer wish for B to paint the house. If B arrives at 09:00 ready to paint the house (when performance is due, but not yet delivered), A can still repudiate the contract as the house has not been painted (performance has not yet been delivered). Of course, if B has already painted the house, it will then be too late for A to repudiate the contract.

When determining if the creditor repudiated the contract, similar to repudiation by a debtor, we consider whether the actions of the creditor led a reasonable person to unequivocally conclude that the creditor does not intend to fulfil their contractual obligations.

Activity 10.6

With a friend, compare this type of breach of contract (repudiation) with positive malperformance, *mora debitoris* and *mora creditoris*. Are there any similarities, or only differences?

Can you and your study partner think of a scenario where *mora debitoris* becomes positive malperformance, or a scenario where positive malperformance becomes repudiation?

Activity 10.7

Draw a mind map or flowchart to illustrate each form of breach of contract that we discussed. Add the respective key elements for each form, along with two examples to illustrate each. These visual representations will help you to easily engage with the material and remember your legal principles.

Let us come back to Sifiso's scenario at the start of the chapter. As the company's manager (debtor) notified Sifiso (creditor) that they cannot render their services as agreed, without lawful justification, the company has repudiated the contract.

It is important to correctly identify the form of breach since the legal consequences (remedies) differ for each form of breach. Once you read the next chapter on these contractual remedies, come back to this scenario, along with all the case studies in this chapter, to evaluate the appropriate remedies for the applicable forms of breach of contract.

What do you think?

Think of instances where you promised to do something and then did not do it. In hindsight, do you think you were in breach of contract? If so, are you now able to identify the forms of breach that applied to those instances?

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Chapter summary

In this chapter, you learned the following about forms of breach of contract:

- When a party to a contract fails to comply with their obligations without a legal justification, that party is in breach of contract.
- There are five forms of breach of contract:
  - Positive malperformance by the debtor occurs when the debtor's performance is against the terms of the contract, or defective, incomplete, or improper, without lawful justification. The creditor is not obliged to accept the positive malperformance and is not required to prove fault (intention or negligence) on the part of the debtor.
  - Delay in performance by the debtor occurs when the debtor is delayed in meeting the date/time requirements of the contract without lawful justification.
  - Delay in performance by the creditor occurs when the creditor causes late performance by the debtor by not cooperating with the debtor without lawful justification.
  - After the conclusion of the contract but before performance, the debtor makes their own performance impossible, or the creditor is held liable for making the debtor's performance impossible, without lawful justification through blameworthy conduct.
  - Repudiation occurs when one contracting party notifies the other party, expressly or tacitly, that they will not honour their respective contractual obligations without lawful justification. The fault (intention or negligence) of the repudiating party is not a requirement here.
- Once a breach of contract has been established, the other contracting party may invoke one or more legal remedies.

Review your understanding

1. Is the test for repudiation, as form of breach of contract, an objective test or a subjective test? Explain.
2. On 1 February, Thando contracts to sell their second-hand 2013-model Myundai i10 to Moyo for R45 000, payable in cash. The parties agree that Moyo will affect payment by electronic funds transfer by 3 February, and that Thando will effect delivery of the car upon receiving Moyo's proof of payment. By 5 February, despite already supplying the bank details to Moyo, Thando has not yet received payment from Moyo. Identify the type of breach of contract:
   a) *mora debitoris*
   b) *mora creditoris*
   c) breach of contract due to impossibility caused by the creditor
   d) breach of contract due to impossibility caused by the debtor.
3. Jenna contracts with Tshepo for Tshepo to do Jenna's make-up for their wedding on 13 May. As the wedding is due to start promptly at 13:00, the parties agree that Tshepo will arrive at the wedding venue at 10:15 to do the bride's make-up. Tshepo arrives at the venue at 14:15, well after the wedding has started, apologising profusely, and explains that they overslept. Identify the type of breach of contract.
   a) *mora debitoris*
   b) repudiation
   c) impossibility caused by the debtor
   d) impossibility caused by the creditor.

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4. Which of the statements below is INCORRECT?
   a) Breach of contract in the form of *mora debitoris* will apply only when the performance is due and enforceable.
   b) Breach due to positive malperformance by the debtor is, generally, where the debtor tenders incomplete, improper, or defective performance without lawful justification.
   c) Where a debtor renders incomplete performance, the creditor is not obliged to accept the incomplete performance.
   d) Where the debtor has repudiated a contract, the creditor's only remedy is to cancel the contract.

5. Dario, a building contractor, undertakes to renovate Anne's home office. They agree that the project will be completed by 31 January. Dario, overcome with grief after their daughter recently passed away, forgets to order certain building materials from suppliers, which resulted in the project being completed on 28 February. From the options below, select which type of breach of contract applies:
   a) positive malperformance.
   b) *mora debitoris*
   c) *mora creditoris*
   d) impossibility of performance caused by the creditor.

Further reading

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Chapter
11 Remedies for breach of contract

The main ideas
- When and why to use remedies
- Types of remedy
- How to choose remedies

The main skills
- Discuss factors that a court would consider before granting an order for specific performance.
- Apply knowledge of theory to determine which remedy to apply in different situations.
- Make a decision about when to cancel a contract.
- List the reasons that may allow one party to cancel a contract.
- Explain how to determine contractual damages.
- State how to distinguish between delictual and contractual damages.

Chapter 10 showed you how to identify the common types of breach of contract. Now we are ready to look at the remedies, or legal options, available to one contracting party if the other party breaches the contract. We begin with an overview of the various categories of remedies and then consider briefly how to choose an appropriate remedy.

Before you start
Imagine that you bought a used car from a car dealer for R100 000. The car dealer gave an express warranty that the car was in a good roadworthy condition. (See Chapter 9 for a discussion of this concept.) However, the car dealer breached this warranty by giving you a car with faulty brakes. As you drive from the car dealer's lot after paying the price, the brakes fail, causing you to crash into a wall. It will cost R30 000 to fix the damage to the car. While the car is being fixed, you will have to rent a car at a cost of R3 000. What solutions or legal remedies do you think the law can offer you in this situation?

Added value Are you ready?

Remedies for breach only come into play if there has been a breach or a threat of breach. In addition, some of the remedies (particularly cancellation) differ according to the type of breach. You therefore need to know Chapter 10 well before you continue. Revise the summaries and activities of Chapter 10 to make sure that you understand those concepts. It is only then that you will be ready to consider what remedies are available to one contracting party when the other party has broken the contractual agreement.

11.1 What is a legal remedy?
A legal remedy is what the law allows a harmed or aggrieved party to be awarded, usually by a court, for the inappropriate behaviour of another party, which would ordinarily have caused the harm. It is a way in which a dispute between parties is resolved. This is expanded upon below.

11.2 When and why to use legal remedies
When one contracting party breaches a contract, the law provides remedies by which the other party can try to **rectify** the situation. Without such remedies, there would be no

To **rectify** a matter means 'to put it right or correct'.

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way to enforce contracts, and no real reason for contracting parties to keep their contractual promises. Various factors, including the type and extent of the breach, determine which remedies will be available to a harmed party.

11.3 Types of remedies

The remedies available in the event of a breach of contract can be categorised into the following:

- those that enforce the contract
- those that cancel the contract
- those that compensate the harmed party for the breach, damages and penalty clauses.

11.3.1 Enforcing the contract

Enforcement of the contract is also referred to as execution of the contract. If you get a court to enforce a contract, the result should be that the defaulting party performs in terms of the contract as promised originally. We can distinguish three enforcement remedies, namely:

1. an order for specific performance
2. an interdict
3. the innocent party withholding their own performance.

A court will not allow a party to enforce a contract in certain instances. Examples of these are when a contract is illegal, impossible or against public policy. An example of an illegal contract would be where a hired killer does not kill the person that they were hired to kill. An example of a contract being against public policy is an agreement to keep quiet about a crime that has been committed. An example of an impossibility of performance is where someone agrees to sell and deliver a donkey when that donkey has already been killed by a lightning strike the day before. Note that in all these cases, the contract is not valid and non-compliance is not breach. Neither party will be able to enforce the contract.

Order for specific performance

An order for specific performance is an enforcement order to do what was promised. If you, as one contracting party, have met or are willing to meet your responsibilities under a contract, you can apply for an order of specific performance to force the other person to also perform as promised.

When will the court grant the order?

The court has a choice, called a discretion, whether to **grant** or refuse a specific performance order, depending on the particular circumstances of the case. When a contracting party is able to perform in terms of the contract, but chooses not to do so, the court will usually grant an order for specific performance.

To **grant** an order or other request means to agree to it.

When will the court refuse the order?

There are various circumstances under which a court is not likely to grant a specific performance order, namely:

- if performance has become impossible
- if performance will cause too much suffering
- if the cost for the defendant would be too high
- if the debtor is insolvent.

Let us look at each case in turn.

When a contracting party is unable to perform what they agreed to, a court will not order them to perform if performance has become impossible. For example, suppose a farmer contracts to sell their donkey to their neighbour, but then sells and delivers the donkey to a petting zoo instead. The court will not grant an order for specific performance against the farmer to deliver the donkey to the neighbour, since

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this is not possible in the circumstances – the donkey has already been sold and delivered to another party. In this example, the farmer is in breach of contract, but the neighbour does not have the remedy of specific performance available to them. Instead, they will have to sue the farmer for damages suffered.

A court will not grant a specific performance order if it will cause too much hardship for the defendant or other parties. The case study below illustrates this principle.

Case study Fees must fall!

In the context of the 'fees must fall' protest, a group of concerned parents (and others) urgently took the Nelson Mandela (Metropolitan) University to court seeking an order (among other things) of specific performance that academic activities, which had been suspended, should be ordered to swiftly resume on campus. This was the case of *Concerned Association of Parents and Others for Tertiary Education at Universities v Nelson Mandela Metropolitan University and Another* 2016 ZAECGHC 136. The application for an order of specific performance was denied by the court because of the undue hardship that this would have placed on the University had the order been made. For example, were the court to have ordered resumption of classes, the University would not have been able to assure, at that point in time, the safety of students and staff or property on campus. This case is well discussed in a journal article, see Glover, G. 'University protests, specific performance, and the public/private-law divide' (2017) 134 (3) *SALJ* 466.

Another factor that the courts consider in situations like this is whether the cost of the order for the defendant would be **disproportionately** high in relation to what the plaintiff would gain from the order. In the 'fees must fall' case example above, the cost of the private security required to maintain the necessary protection of people and property on campus was prohibitively high in the context of available funds to the university, which could result in other core functions of the university being unable to run due to insufficient funds.

If something is **disproportionate**, it means that it is out of proportion, or out of balance. For example, someone who kills a cockroach with a shotgun is using disproportionate force.

A court will also not grant specific performance if the debtor is **insolvent**. When a debtor has too little money to cover all their debts, their creditors do not get repaid the whole debt they owe them. If the court grants one creditor an order of specific performance against an insolvent person, it is unfair to their other creditors to whom they also owe money. In other words, the court order could cause too much hardship to the other creditors. Further, the trustee has discretion under the Insolvency Act 24 of 1936 on whether to perform in a contract based on what would be in the best interests of the creditors.

An **insolvent** person's debts exceed their assets. In other words, the amount that they owe is more than the value of everything they own.

What if the court refuses to grant the order?

When the court refuses, for any of the above reasons, to order specific performance, the harmed party may sue for damages. Sometimes the court will grant both the order of specific performance and award damages. For example, if a property owner agrees to let you rent a shop in a busy shopping centre, but then causes a delay by not giving you access at the agreed time, a court could order the owner to hand over the keys to you (specific performance) and you would be able to sue for the value of the loss of business during the delay (damages).

Interdict

An interdict is a court order that orders someone not to do something. In the context of contracts, you can seek an interdict to stop the other contracting party from doing what they have contracted not to do. So, if one contracting party breaches a part of the contract, the other party can apply to court for an interdict to prevent or stop the breach. Because such an order aims to prevent certain conduct, it

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is known as a prohibitory interdict. (The opposite of a prohibitory interdict is a mandatory interdict, which orders some kind of action to occur.)

When someone seeks an interdict, it is usually a matter of urgency. For example, suppose Donna enters into a binding contract to sell their car to Richard. However, after a heated argument between them, Donna threatens to set the car on fire rather than delivering it to Richard. In this instance Richard could successfully apply for a prohibitory interdict to prevent the destruction of the car.

A prohibitory interdict is a type of order for specific performance, because, by granting the interdict, the court is ensuring that the parties follow the requirements of the contract. This is why we consider prohibitory interdicts, like orders for specific performance, to be remedies for the enforcement of the contract. These two types of remedy are granted only at the discretion of the courts.

Withholding the innocent party's performance

If one party fails to deliver full and proper performance timeously, the innocent party can refuse to give their own performance, provided the guilty party was supposed to perform first, and the two performances are given in exchange for each other. For example, suppose Lou was supposed to build a cottage on Grace's property, but the work was of poor quality. Grace can refuse to pay Lou for the work until Lou has fixed the defects. Note that if Grace is using the cottage, the court has a discretion to order Grace to pay a portion of the price.

This is an indirect form of enforcing specific performance, since the innocent party is using pressure (by withholding their own performance) to force the other party to perform properly, instead of suing them in court.

Activity 11.1

Okapi Municipality contracts with Alex, a farmer, to supply Alex with 250 000 litres of water a day for Alex's farming activities. However, a severe drought strikes the area soon after. While Okapi has enough water in the town's dam to supply Alex with the agreed volume, that would leave insufficient water for the town's inhabitants. Discuss with a classmate the factors a court will consider in deciding whether to grant an order for specific performance against Okapi in these circumstances.

11.3.2 Cancelling the contract

So far, we've looked at enforcement as one way of remedying a breach of contract. Another option is to seek to cancel (or rescind) the contract.

You saw in Chapter 9 that a contract may include a cancellation clause, which allows either party to cancel the contract if the other party breaches it. The breach of contract itself does not bring the contract to an end – the harmed party must actually cancel the contract to end it. Cancelling a contract due to breach means that the harmed party no longer has to perform their obligations because the other party breached the contract.

What if there is no cancellation clause in the contract? It is possible for a party to succeed in having a contract rescinded or cancelled even without a cancellation clause. However, the courts do not easily grant cancellation in such circumstances because it goes against the accepted legal principle that contracting parties should perform as they have promised to do in the contract.

Our courts grant such cancellation orders only when the breach of contract is material. In other words, the breach relates to an important part of the contract.

In the following sections we look more closely at:

- reasons for cancellation
- what happens when you cancel (the results of cancellation).

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Reasons for cancellation

Cancellation for a material breach can be categorised according to what sort of breach it is and who caused it. The breach may be due to lateness or for reasons other than lateness.

Cancellation because of lateness

A party who does not meet their duties in terms of a contract on time is *in mora* (in default). Lateness of performance may or may not allow a party to cancel. They can only cancel if it is critical that the performance is on time. For example, suppose you contract with a designer to make you a wedding dress. You need the wedding dress by the date of the wedding in order to wear it. If the designer does not deliver the dress to you by the critical date, they will be *in mora*, and this lateness would allow you to cancel. In this example, the time for performance is vital – performance after that date would be useless. Whenever a case involves late performance, the court has to consider the facts and decide whether the time for performance is a critical part of the contract.

The innocent party can also have the right to cancel by giving the other party reasonable notice. If one contracting party is taking too long to perform, the other party can notify the defaulting party that they must meet their duties in terms of the contract by a given date and that, if they fail to do so, the other party will have the right to cancel the contract. The given date must be a reasonable period.

As you saw in Chapter 10, either the creditor or debtor could be *in mora*. When the debtor causes the delay, it is called *mora debitoris*, and when the creditor is at fault, it is called *mora creditoris*.

Cancellation due to breach other than lateness

Where a party breaches terms of a contract other than through lateness, the contract can be cancelled only if the court decides that the breach is serious enough for cancellation. (This requirement is the same as in the case of lateness.)

When making this decision, the court will ask:

- what part of the contract was broken
- how badly it was broken.

We will look at remedies for:

- malperformance
- repudiation
- the debtor making their own performance impossible
- the creditor making the debtor's performance impossible.

Malperformance

If the contracting party's actions are substandard or defective. In other words, there is action based on the contract, but it is not done well enough, the breach took the form of **malperformance**, and cancellation is only possible:

1. in terms of a cancellation clause
2. if the breach is:
   - material (central to the contract)
   - major.

In law, this is sometimes called positive **malperformance**. The positive aspect indicates that there is some performance, although the performance is not what is agreed to.

For example, if a builder agrees to build a garage for your home, and the building work is of such poor quality that the garage starts collapsing a few days after completion, that performance is inadequate and relates to a major part of the contract. You can cancel the contract on the basis of major and material malperformance. (You can also sue for damages, which is a separate issue.)

Suppose, in the previous example, that the building work was of good quality, but the builder painted the walls of the garage a different colour than you agreed. Although this is a breach by the

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builder, you will not be able to cancel the building contract because of that. The colour of the walls is not central to the contract. (You can simply require the builder to repaint them.)

Repudiation

Suppose you have a contract, and the other contracting party says that they no longer intend to be bound by a part of the contract or the whole contract. In other words, they repudiate the contract. If their intention not to be bound relates to a central part of the contract, then you, as the innocent party, can decide whether or not to cancel the contract.

For instance, if the seller of a car indicates before delivery of the car that instead of delivering the agreed car, they will be delivering a different car that is much older and in poor condition, this is major (and material) repudiation, which would allow the other party to cancel the contract. The *Sandown Travel* case below illustrates this.

***Sandown Travel (Pty) Ltd v Cricket South Africa* [2013] (2) SA 502 (GSJ)**

Principle

When a party indicates that they will not be carrying out their agreed obligations at all, the other party has the right to cancel the contract.

Facts

A travel agency, Sandown Travel, contracted with Cricket South Africa (CSA) to provide travel-agent services to CSA for a specified period at a monthly fee. CSA decided to stop using Sandown Travel's services before the end of the agreed period and stopped paying them.

The court's finding

CSA had committed a major repudiation by refusing to continue with the travel-service contract. This allowed the other party (Sandown Travel) to elect whether to cancel the contract or not. If the one side does decide to continue with the contract, it may claim damages from the repudiating party. In this case, the plaintiff was successful in claiming the damages it had suffered due to the defendant's repudiation of their contract.

The debtor makes their own performance impossible

If the debtor's blameworthy actions prevent them from performing in terms of a contract, the creditor may cancel the contract. For example, suppose Jane agreed to sell their prize bull to Bontle. However, before delivery of the bull, Jane slaughters the bull and braais the meat for their family. Bontle may cancel the contract and claim damages from Jane.

The creditor makes the debtor's performance impossible

If the creditor prevents the debtor from fulfilling the contract, the debtor may choose to cancel the contract or to seek specific performance. In the previous example, suppose that it was Bontle who killed the prize bull because they no longer wanted to buy it. Jane may cancel the contract or claim specific performance from Bontle to force them to pay the purchase price.

Remember to distinguish this form of breach from supervening impossibility (where performance becomes impossible without any blameworthy action by the parties). Refer back to Chapter 10 for an explanation.

Results of cancellation

When a contract is cancelled or rescinded, the contract ceases to exist. For most types of contract, this means that everything has to be returned to what it was before the parties entered into the contract. Suppose the seller of a donkey delivers the donkey to the buyer. If, for whatever reason, either side then

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cancels the contract, the buyer must return the donkey to the seller. In such circumstances, one of the parties may have to pay damages, but this does not change the general principle that on cancellation of a contract, each party must give back anything that was received from the other party.

Exceptions

There are some types of contract where the rights and duties of both parties end from the moment of cancellation, but any earlier actions by either party remain unaffected. Leases and employment contracts are examples of this type.

If the contract is cancelled, the landlord does not have to repay the tenant's rent, nor does the employee have to repay the salary they received while the contract was in force. It would be unreasonable, and sometimes impossible in such circumstances, to demand that all the consequences of the contract before cancellation be reversed.

The choice

A party that has the right to cancel a contract does not have to do so – it is just one of the available options. They may choose to claim damages or seek specific performance instead. If the innocent (or harmed) party chooses to cancel the contract, they have to indicate this decision clearly to the party that is in breach. The cancellation may be confirmed by a court, but this is not a requirement for cancellation of a contract.

11.3.3 Compensating for the damages

By 'damages', in this context, we mean the money that a defaulting party has to pay the other contracting party (the harmed or innocent party) to compensate for the loss they suffered as a result of the breach of contract. It is fair that the contracting party who has met their obligations in terms of the contract should not lose money due to the other party's breach of contract. The payment of damages should put the harmed party in the financial position they would have been in if the defaulting party had met their duties in terms of the contract. In other words, the harmed person gets the benefits they lost out on.

The harmed party can claim damages whether or not the contract is cancelled. The issue is whether they have suffered loss due to the other contracting party's breach of contract. For example, they may have applied for an order of specific performance rather than cancellation.

Added value Prove your claim

A key issue in court battles is providing proof or evidence of what you are claiming or alleging. The general principle in our law is that the person who makes allegations must provide proof. In other words, if you make an allegation in court, you must prove what you are claiming, or your claim will be unsuccessful.

If you wish to claim damages suffered due to a breach of contract, and are seeking remedies for that breach, you have to prove three things, namely:

1. that there has been a breach of contract
2. that you have lost money as a result of the breach (including the amount of such losses)
3. that the money you lost was a natural or contemplated result of the breach.

What damages can you claim for breach of contract?

If someone has breached a contract, the harmed contracting party can claim only for loss that resulted naturally from the breach, as well as losses that the contracting parties considered (or should have considered) likely to result from such a breach.

Here is an example to illustrate this point. Faith agreed with Phillip that Phillip would build a cottage in Faith's backyard. However, the work done by Phillip was of poor quality, and soon after completion, the roof started leaking (positive malperformance by Phillip). It cost Faith R10 000 to repair the roof. Faith will be able to claim R10 000 from Phillip, because that is what they lost due to the breach.

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Now, suppose Faith explained to Phillip, when they were concluding the contract, that Faith was going to rent out the cottage for R6 000 a month as soon as the work was completed. As a result of the need to repair the roof, Faith was unable to rent out the cottage for one month. Faith would then be able to claim (in addition to the R10 000 damages) an additional R6 000 for the extra loss, which both sides knew about beforehand.

The most important way of working out the amount of damages payable is to look at the financial position of the harmed party after the breach, and then compare it to what it would have been if the contract had been properly completed. This is what we just did in the example of the building contract for a cottage.

Added value Delictual damages versus contractual damages

Note this important difference between delictual damages and contractual damages:

- An award of delictual damages aims to put the harmed party in the position that they would have been in had the delict not been committed. For example, Ayesha is attacked by another driver during a road rage incident. Not only is Ayesha injured, but their car has also been damaged. Ayesha would be able to claim from the other driver for the losses they suffered, such as the medical expenses they incurred, and the costs of repairing their car. Then, in addition to these damages, the court could also award Ayesha what are termed damages for 'pain and suffering' because of the unpleasantness, pain, and suffering from their injuries, which have negatively affected Ayesha's quality of life during their recovery period.
- An award of contractual damages, as per the example of the building contract for the cottage above, aims to put the harmed party in the position they would have been in had the contract been properly completed.

Does the harmed party have a responsibility?

To **mitigate** something is to reduce it; make it less harmful or serious.

A final point we need to discuss in relation to damages for breach of contract is so-called **mitigation** of loss by the harmed party. What we mean by this is that the harmed party cannot just stand back and claim for whatever loss they have suffered due to the breach of contract. If there is something they can do to keep their loss to a minimum, they should do it, as far as is reasonable in the circumstances. Suppose that, in the example of the building contract for the cottage above, Grace started furnishing the cottage as soon as the work was completed. When the roof started leaking, Grace could not simply leave the furniture in the cottage to be damaged by the leaking rain, as this would increase Grace's losses. Instead, Grace must take steps to protect the furniture (by removing or covering them), because it is their responsibility to mitigate their loss as far as reasonably possible.

11.3.4 Penalty clauses

A penalty clause is part of a contract that specifies what will be payable if either party breaches the contract. Such clauses are useful because they make it easier to prove the amount of damages suffered due to a breach of contract. So we can define a penalty clause as an agreement the parties make in advance about what the consequences (or results) of a particular type of breach will be. They agree on the penalty clause at the same time as the rest of the contract. Therefore, penalty clauses in contracts provide for payment of damages in the same way as cancellation clauses provide for cancellation.

Penalty clauses discourage breach of contract, and make it unnecessary for the harmed party to prove the amount of the damages suffered due to the breach. A harmed party cannot claim both damages and penalties in terms of a penalty clause. It is common, however, for contracts to give the harmed party the choice between claiming damages and claiming in terms of a penalty clause. A penalty clause applies only if a contract is breached, and not if it ended lawfully.

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Chapter 9 includes the possible limitations on penalty clauses in terms of the Conventional Penalties Act 15 of 1962.

11.4 How to choose remedies

In this section, we will look at two situations where you must choose a remedy:

- choosing a remedy after a breach
- seeking a remedy to prevent a breach.

11.4.1 Choosing a remedy after a breach

You have learned what remedies are available for breach of contract. But how does the harmed party know which remedies to choose? In some cases, it is possible to use two remedies together, but sometimes the harmed party has to choose either one or the other. For example, it is not possible to both cancel the contract and apply to enforce the contract through specific performance. However, it is possible to claim both of these remedies in the alternative. In other words, you can ask the court to grant one order, and if that order is not granted, to grant another order as an alternative. Alternative claims are common in South African law.

When one party has lost money because the other party has breached the contract, the harmed party can claim for damages and at the same time either seek to enforce the contract or to cancel it. Look at the example given in the 'Before you start' section of this chapter. Here, you may decide to cancel the contract, since the defective brakes is a major breach. However, even if you do seek cancellation, you probably also want to sue the car dealer for the damages you suffered by having to rent a replacement car until you buy a different car. Alternatively, you may choose to seek an order for specific performance to force the car dealer to provide you with the car in good roadworthy condition, such as fixing the brakes and repairing the damage to the car. At the same time, you could also claim the damages you suffered by having to rent a replacement car.

When a plaintiff seeks several remedies for breach of contract at the same time, the law does not allow them to be compensated for more than the loss they have suffered, as this would be unfair to the defaulting party.

Remember that you may cancel a contract only if that breach of contract would be a major one, such as:

- where the time for performance is urgent and yet the other party is not performing
- where it would be a significant breach of a critical part of the contract
- where the contract contains a cancellation clause allowing you to cancel for that breach.

11.4.2 Seeking a remedy to prevent a breach

Usually, you apply for a remedy for breach of contract after the breach has happened. However, there are cases where you may seek a prohibitory interdict from court to prevent a breach that is about to happen.

Added value Choosing your remedies

As seen above, you may have multiple legal remedies available to you. However, you should think carefully about which remedies would be most effective in practice. For example, if a debtor has no money and no valuable goods that can be sold to raise the money, suing them for damages, or a monetary penalty, in terms of a penalty clause is a waste of your time and money. In such cases, a claim for executing the contract through a court order for specific performance (if performance is possible), or cancelling the contract, is likely to be a better choice of remedy.

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What do you think?

As discussed before, a party may only cancel for breach of contract if there was a cancellation clause in the contract, or the breach was a serious one. For example, as a general rule, a landlord may not cancel the contract because the tenant paid the rental late. This is because the time of performance is not so critical that late performance would be useless.

Do you think that a party should always have the right to cancel in the case of breach, even if the breach was minor? Consider the issue from both sides. From the viewpoint of the party wishing to cancel, should they be forced to continue a contractual relationship with someone who has already breached the contract? Can you think of any situations where it would be unfair to the breaching party if the other party is allowed to cancel?

Chapter summary

In this chapter, you learned the following about remedies for breach of contract:

- You can seek remedies for breach of contract only once the breach has occurred. (But you can apply for an interdict when breach is threatened.)
- Remedies may involve either enforcement or cancellation of the contract.
- Remedies relating to enforcement of the contract compel the contracting parties to meet their obligations as agreed in the contract. There are three types of remedies:
    1. A specific performance order demands performance as agreed.
    2. An interdict prevents non-performance.
    3. In addition, the innocent party may, in some circumstances, withhold their own performance in order to pressurise the other party to perform as agreed.
- Alternatively, the harmed party may decide to rescind or cancel the contract in terms of a cancellation clause or because of a major breach.
- In addition, the harmed party may be able to sue for damages or claim in terms of a penalty clause.
- Damages are compensation for loss flowing naturally from the breach or contemplated by the parties.
- Penalty clauses pre-determine the amount payable on breach, so the harmed party does not need to prove the loss suffered.
- A claimant usually has a choice of which of the above remedies to use, and may sometimes seek more than one remedy at the same time. However, the law does not allow a claimant to be awarded more money than their total loss caused by the breach of contract. Also, when the remedies have conflicting aims (such as cancellation and enforcement), the law will not grant both remedies.

Review your understanding

1. Write down an imagined scenario for a business that you own when someone has been in breach of contract with your business for a particular contract. In these circumstances, list all the factors that you, as the harmed party, have to consider when you are choosing a remedy or perhaps remedies for the breach of contract that has occurred.
2. Set out a practical example from a business that you have started where you are sued for specific performance, but, were that order to be granted by the court, it would create undue hardship for both you and suppliers to your business.
3. List the reasons that may allow one party to cancel a contract and its elements. Then draw up a table

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that includes the key details of these different grounds for cancellation.

4. While studying for your degree, you sell hot dogs to make money. Your university's sports administration contracts with you to sell hot dogs at a big inter-varsity sporting festival. On the day of the festival, university officials deny you entrance to the venue, saying that they have arranged for a hamburger vendor instead. What factors will affect whether you can claim damages and how much can you claim?

Further reading

Bhana, D. , Bonthuys, E. and Nortje, M. 2022. *Student's Guide to the Law of Contract*, 5th ed., Cape Town, Juta and Co. (Pty) Ltd

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The passing, varying, and ending of rights and duties by agreement

Chapter 12

The main ideas

- Co-debtors and co-creditors
- Simple joint liability and severable liability
- *Stipulatio alteri*
- The transfer of personal rights
- Variation and termination of contracts by agreement

The main skills

- Discuss different forms of liability.
- Explain what cession is and how it occurs.
- Describe the consequences of complete cession and cession as security.
- Understand the restrictions on the cession of contractual rights.
- Identify the different ways parties can vary or terminate the rights and/or duties they have in contract from a practical example

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Contracts are mainly about creating rights and duties and you have seen that the parties can agree to put almost anything into a contract, provided the contract meets the six main requirements that must be met for a contract to be valid and enforceable. You learnt the six main requirements across Chapters 4 to 7. Similarly, they can agree to vary the contents of a contract. Page back and refresh your understanding. This chapter explains different ways of changing the terms of a contract and therefore also changing the rights and duties of the parties involved.

We have mentioned rights in Chapter 2 and several other places. What exactly do we mean by a right in the legal context? We can define a legal right as a privilege, given and protected by law, which gives one person a claim against another person or persons. The claim can take the form of a reward (such as money or goods), or a service or duty, or it can prevent the other person from doing something.

This chapter begins by briefly explaining how rights and duties work when there is more than one debtor or creditor in relation to a specific claim. Thereafter we will discuss the following:

- how personal rights can be transferred from one person to another by a process known as **cession**
- the different ways in which contracting parties can agree to vary, or change, the contents of a contract
- ways in which rights and duties can be terminated or ended by agreement between the parties. The ending of rights and duties because of the law will be discussed in Chapter 13.

To cede something is to give it up or hand it over. So **cession** is the act or process of ceding a right that one party has against another.

Before you start

Consider a scenario where Naledi owes Bongani R3 000 and, in turn, Bongani owes Simphiwe R3 000. Would it be possible for Bongani to arrange that Naledi pays Simphiwe directly, thereby simultaneously extinguishing the debts of both Naledi and Bongani? Would it be possible for Naledi's mother to take over their daughter's debt to Bongani? Would it be possible for Bongani and Simphiwe to agree that Bongani only needs to pay R2 500 to settle their debt to Simphiwe? This chapter will help you to answer these questions.

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12.1 Co-debtors and co-creditors

Most of the time, there are two parties to a contract. Sometimes, however, there are more than two. Where this is the case – in other words, where there are multiple parties to the contract – there might be a number of co-debtors or co-creditors to the obligations in the contract. For example, a number of persons may all become debtors in respect of the same debt; likewise, one person may owe a number of creditors something in terms of the agreement.

Who owes what to whom in terms of the debt will depend on a number of factors:

- what the intentions of the parties were
- the nature of the contract entered into
- the nature of the performance which must be made.

It is important to consider the divisibility of the performance in determining what the parties owe each other. Where we talk about a divisible performance, we mean one which can be separated between the co-debtors or co-creditors. A simple example would be where a seller sells 200 sheep to two buyers. In this case, the number of sheep can be divided between the two of them. An indivisible performance would be one that cannot be separated. If a seller sells one car to two people, that performance clearly cannot be split between the two buyers. The car will be given to the buyers together.

12.2 Simple joint liability and joint and several liability

If a number of co-debtors have to perform to a creditor and the performance is divisible, it is usually presumed that the liability is a simple joint liability. This means that each of the debtors is responsible for paying only their ***pro rata*** share of the debt.

Pro rata is a Latin term which means 'in proportion'. If payment is to be on a *pro rata* basis, it means that an amount will be assigned to the person in proportion to their share of the whole debt.

For example, Deepak and Sarvesh rent a flat together from their lessor, Dan, for R6 000 per month. Deepak and Sarvesh are co-debtors in respect of the R6 000 debt, which is divisible. Unless Deepak and Sarvesh agree to pay in different proportions, each of them will be liable to pay R3 000 in respect of the rental amount. Now let us say that Deepak decides to move out and live on their own. They move into a one-bedroom flat owned by Sibu and Zoli. Deepak is liable to pay them R3 000 per month in rent. Sibu and Zoli are co-creditors in respect of the rent. Each of them is entitled to receive a proportionate share of the rent – unless they agree otherwise, each of them will receive an equal half (R1 500). If a creditor decides to release one of the co-debtors from performance, they do not automatically release the other co-debtors.

The debtors or creditors to an agreement may agree, either expressly or by implication, that they will be liable jointly and severally instead of there being simple joint liability. Often, this kind of arrangement applies by way of law. For example, in a partnership, the different partners are all liable *in solidum* (joint and several liability). This form of liability means that each of the co-debtors is liable to pay the full amount of the debt, and not just their *pro rata* share. In terms of the contract the creditor can claim the full amount from any one of the co-debtors. This may seem unfair, but a debtor who pays the full debt will have a right of recourse against their co-debtors to recover their shares of the debt. Where a creditor releases one of the co-debtors for a joint and several debt, the liability of the remaining co-debtors is reduced proportionately.

12.3 *Stipulatio alteri*

Sometimes a contract will be concluded that benefits third parties who are not parties to the contract. This kind of contract is called a *stipulatio alteri*. For example, Andrew enters a contract with Bantam Insurance whereby they agree that when Andrew dies, Bantam Insurance will pay Cathy, Andrew's spouse, R200 000. Although the contract is between Andrew and Bantam Insurance, the parties intend that Bantam Insurance will be obliged to perform to Cathy and Cathy will be given a legal right to enforce that performance. In this example, Andrew is the *stipulans*, Bantam Insurance is the *promittens* and Cathy is the third party beneficiary. Although not a party to the agreement, Cathy can notify

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Bantam Insurance that the benefit of the life insurance policy is accepted. Until this happens, Andrew and Bantam Insurance can change their agreement as they please. This means that Andrew could change their mind and decide to rather award the benefit to their brother, Deon. The relationship between Andrew and Bantam Insurance depends on the terms of their agreement. Andrew may agree to do or give something to Bantam Insurance in return for Bantam Insurance's promise to confer the agreed benefit on Cathy, such as paying a monthly premium of R500.

12.4 The transfer of personal rights

Most contracts create rights and duties. For example, if Nozuko buys a motor car from Rubens for R100 000, Nozuko will have the right to receive the vehicle and at the same time has the duty, or obligation, to pay the agreed price for it. In other words, a right normally has a duty or obligation that goes with it. We call this kind of agreement an 'obligationary agreement'. Remember, a person who has a right due to them is the creditor as far as that right is concerned while a person who owes a duty is the debtor. Cession is about the transfer of personal rights. It is not possible to 'deliver' or 'possess' a personal right, because the **object of the right** is the performance that another person owes in terms of a service or the payment of money or property. Instead, the law has created the concept of cession, which is the legal way in which rights that belong to one person can be transferred to another person. This is an agreement that happens separately from the original agreement. An agreement to cede is called a 'transfer agreement' because the creditor transfers their rights to another party.

The **object of the right** is the thing that the right is about; in this case, a duty that one party owes the other.

12.4.1 The parties involved in cession

Consider the example of Naledi, Bongani and Simphiwe referred to at the beginning of this chapter, where Naledi owes Bongani R3 000 and Bongani owes Simphiwe R3 000. It would be possible for Bongani to arrange that Naledi pays R3 000 to Simphiwe directly, thereby extinguishing both their respective debts. To do so, Bongani and Simphiwe must enter a cessionary agreement whereby Bongani agrees to cede the personal right that they have to receive payment from Naledi, to Simphiwe. In this case, Bongani is the cedent, Naledi is the debtor and Simphiwe is the cessionary. Naledi is not a party to the cessionary agreement between Bongani and Simphiwe and is therefore a **third party** to the agreement. Please note that it is only the right to receive payment that gets passed to Simphiwe and Naledi still has a duty to pay the R3 000. However, instead of paying Bongani, Naledi now has to pay Simphiwe.

A **third party** is someone who is not part of the initial agreement.

A cession will usually happen because the cedent has a duty to the cessionary. That is why the cedent will transfer the right to the cessionary. This duty is known as the underlying causa or reason for the cession. The cedent will transfer their right to claim from the debtor to the cessionary and in that way discharge their own debt. As you will see, there are many different reasons for a cession.

12.4.2 The cession procedure

For a proper cession to take place, all that is required is an agreement between the cedent and the cessionary. Cession of a right normally takes place without the agreement or consent of the debtor. The cession is complete when the cedent and the cessionary agree on the cession. It is not even a formal requirement that the debtor should receive a notice about the cession. So, in the example of Bongani, Naledi and Simphiwe, Bongani does not have to ask Naledi's permission to cede their right to the R3 000 to Simphiwe. The cession is an agreement between Bongani and Simphiwe only.

Generally, a cession requires no formalities to make it valid. For example, the cession agreement does not need to be in writing or signed by the parties, although this may happen in reality.

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12.4.3 Requirements for cession

Cession involves the following six requirements:

1. The cedent must be entitled to cede the right.
2. The right must be capable of being ceded.
3. The parties (the cedent and the cessionary) must intend for cession to take place.
4. Any formalities agreed upon by the parties must be complied with.
5. The cession must not be unlawful.
6. The cession must not prejudice or put the debtor in a worse position.

12.4.4 Restrictions on the cession of contractual rights

There are restrictions on what can and cannot be ceded. These restrictions arise if the cession:

- is considered illegal
- involves rights that are too personal to be ceded
- will prejudice the debtor.

Cession considered illegal

Some laws or statutes prevent people from ceding certain rights. Cession that takes place in these instances is illegal. The purpose of these laws is usually to protect people who are poor, from giving away what little they have. For example, two rights that cannot be ceded are:

- the right to a pension or retirement annuity
- an employee's right to compensation for injuries that happen in the workplace.

Rights that are too personal to be ceded

Some rights are so closely related or connected to the creditor that it would make the duty more difficult or unpleasant for the debtor if a different person were to exercise that right. In such a case, the creditor cannot cede the right. For example, suppose Tao has a personal training contract that gives them the right to be physically trained by Dwayne. Because of the personal nature of this right, Tao would probably not be able to cede this right to someone else. The personal element of supervision and control in the contract of service also prevents an employer from ceding its employment rights to another person or company without the agreement of the worker. For example, your municipality cannot simply decide to cede its rights as an employer by sending its workers to Eskom for a week or two to dig up cables without the agreement of the workers.

Debtor may not be prejudiced

Since one of the requirements for a valid cession is that the debtor should not be prejudiced or put in a worse position because of the cession, you are not allowed to cede a portion of the debt without the debtor's consent. Although it makes no difference to a debtor who they must actually pay the debt to, it will cost them more if they have to make two separate payments. This rule will, however, not apply where the debtor consents to cession of a portion of the debt.

Activity 12.1

Consider the following questions:

1. Would Bathobile be able to cede their right to claim the proceeds of a retirement annuity policy with ABC bank as security for a loan? Explain your answer.
2. Would Bathobile be able to cede to ABC Bank a payment they are expecting for delivery of 500 kilograms of cocaine as security for a loan? Explain your answer.
3. Would Bathobile be able to cede their right to receive payment for the sale of their car to ABC Bank as security for a loan? Explain your answer.

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12.4.5 Agreement not to cede

An agreement can include a paragraph to prohibit any cession of rights with regard to that contract. When two contracting parties agree not to cede their rights to anyone else, this agreement is called a *pactum de non cedendo*.

There are two ways in which an agreement can prevent a creditor from ceding their right against the debtor:

1. At the time when their rights and duties are decided (such as in a lease agreement), the debtor and the creditor agree not to cede.
2. The cedent and the cessionary agree at the time when they enter into their cession agreement that there will be no further cession. For example, say I have a contract with your gardening service but now I am having my house extended, and the garden will be under rubble for the rest of the year. Since I can no longer benefit from the contract, I cede my rights to your service to a neighbour whose garden is similar to mine. (We are assuming that the contract is transferable.) However, to protect your company from further change and possible difficulty, we include a clause that prevents my neighbour from ceding the right to anyone else.

For such an agreement to be valid there should be some need to protect the debtor's interests. In other words, there must be a good reason from stopping somebody from ceding a right that they have. For example, lease agreements often have a clause preventing the lessee (the person renting the property), from ceding any of their rights to the property to someone else, or subletting. If I let my flat to you, I'll try to make sure that you are a responsible tenant who will look after the property. If you go away for a few months and **sublet** the flat – in other words, you cede your right to live there to someone else – that person may damage my property or cause problems with the neighbours. To protect myself from this type of problem, I would make sure that the lease agreement does not allow you to sublet without my approval.

If a lessee **sublets** a property, they enter into a second lease agreement in which they let the property to another person.

Added value How to prevent cession

The wording of the paragraph to prevent cession is usually very simple and reads something like: 'All rights created in this contract cannot be ceded'.

12.4.6 Cession of future rights

One of the requirements for a valid cession is that the right must be capable of being ceded. One then needs to ask: Can you cede a right that you do not yet have? Generally, cession of future rights is allowed. There are practical cases where you may need to cede a right that you do not have yet, but will have at some future time. For example, traders often cede their present and future book debts to their bank to serve as security for a bank loan. Banks are more willing to lend money when there is a cession to secure (guarantee or protect) that loan.

Another place where people may try to cede future rights is in the context of court cases. When someone expects to win a court case and be awarded **costs**, that person may cede that expected right (to receive costs) to a third party. This is known as cession *in anticipando*. What happens is that the cedent and cessionary conclude both the agreement that forms the underlying reason (or *causa*) for the cession and the transfer agreement itself *in anticipando* – in other words, before the subject matter of the cession comes about. The transfer agreement relates to the future right, and is meant to operate only if and when the cedent obtains the right against the debtor. When that happens, the right is immediately transferred to the cessionary, without the need for a further act because of the previous agreement of cession.

Costs here refer to compensation for legal costs incurred, which the court can award to that person if they win the case.

Let us look at a case study to clarify this concept of cession *in anticipando*.

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Case study Future car sale

Andrew, who lives in Gqeberha, wants to sell their car for R100 000. They remember that their former colleague, Susan, who lives in Cape Town, is in the market for a car in this price range. However, Susan insists on seeing the car in person before making payment, but can only travel to Gqeberha in two months' time. In the meantime, Andrew enters an agreement with their bank to borrow R150 000 to start a new business. Andrew is required to pay R15 000 per month until the loan is paid off. At the same time, Andrew and the bank agree that should Susan buy Andrew's car in two months' time, Andrew will cede their right to receive payment from Susan to the bank as part of the debt owed. This is a valid cession of a future claim. Should Susan decide to buy the car, the cession will take effect. However, should Susan decide not to buy the car, the cession will not take effect and Andrew will still owe the bank in terms of their loan agreement.

12.4.7 Consequences of cession

The main consequence of a cession is that a creditor, who was entitled to a personal right, transfers that right to a cessionary, who is now the only person entitled to enforce that right. Once the cedent has ceded the right, they cannot cede it to another cessionary.

In law, we have a rule that a person cannot transfer more rights than they themselves have – the *nemo plus iurus* rule. This means that the cedent can only give to the cessionary the rights that they once had. They may not transfer rights that are not entitled to themselves. The cessionary may enforce those rights only to the same extent that the cedent would have been able to.

The debtor can raise any defence against the cessionary that they could have raised against the cedent. To illustrate, let us suppose you buy a second-hand television from me, and I cede my right to receive payment from you to the bank. A few days later, you plug in the television and find that it is faulty, so you refuse to pay. Since the cessionary (the bank) is now the only person who can enforce the right, the bank sues you for payment. If I had not ceded my rights to the bank, I would have sued you for payment, and you would have been able to raise the defence that the television was faulty. Therefore, you would be able to raise the same defence against the bank in this case, even though the bank was not the person who sold you the television.

If the debtor has been given notice of the cession, but still keeps paying the cedent, this does not mean they do not have to pay the cessionary. The debt is not settled until the debtor has paid the cessionary in full. When the debtor has received notice of the cession, they must redirect their payments to the cessionary instead of to the cedent. However, if the debtor has not been given notice of the cession, then payment in good faith (*bona fide* payment) to the cedent will clear their debt. There would be 'good faith' if the debtor was previously told to pay the cedent and did not know about the cession. The cedent will then have to give that money over to the cessionary as they are no longer entitled to it.

***Northern Estate and Trust Administrators (Pty) Ltd v Agricultural and Rural Development Corporation* [2013] ZASCA 174**

Principle

Protection is afforded to a debtor who deals with a cedent without notice of a cession. The debt is discharged if the debtor pays the cedent in ignorance of the cession.

Facts

An agreement of sale was concluded, in terms of which the Agricultural and Rural Development Corporation (ARDC) sold shares it held in a company to Boyes. Boyes paid the purchase price, but the shares were not transferred to him. The parties subsequently agreed to cancel the sale, but

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***Northern Estate and Trust Administrators (Pty) Ltd v Agricultural and Rural Development Corporation* [2013] ZASCA 174 (continued)**

before making this agreement, Boyes ceded his right to the transfer of the shares to the appellant (Northern Estate and Trust Administrators (Pty) Ltd).

The appellant instituted action against the ARDC (the respondent) alleging that Boyes had ceded his rights in a claim against ARDC for transfer of the shares, and claiming an order directing the respondent to transfer such shares to it.

The court's finding

Because ARDC was unaware of the cession when concluding the cancellation agreement, the agreement had the effect of discharging ARDC from its obligation to transfer the shares.

A cession of a personal right is effective even if the transfer of the right is not made public and the debtor is unaware of the cession. However, the law protects the debtor in this case because a debtor who was not aware of the cession may have paid the wrong person. Either the cessionary or the cedent can give the debtor notice of the cession. So the cessionary has nobody to blame if the debtor does not know about the cession and therefore discharges the debt by paying the cedent (in place of the cessionary).

Where cession agreements involve a transfer of the cedent's existing and future book debts, the cedent usually has to supply the cessionary with updated lists of debtors every now and again. This means that, in the event of the cedent (trader) defaulting on their payments to the cessionary (bank), the cessionary would be in a position to give notice of the cession to debtors and collect payment of debts from them.

A cession normally takes effect as soon as the parties conclude the transfer agreement. However, they may include a condition in the agreement to state when it will occur.

12.4.8 Two types of cession

The rights and duties that exist between the cedent and cessionary depend on the terms of a contract that they may have concluded. There are two common types of cession:

1. complete cession, commonly known as outright (or 'out-and-out') cession
2. cession as security for a debt.

Complete cession

With a complete cession, the subject matter of the cession forms part of the **estate** of the cessionary, who becomes the person entitled to the performance of the debtor.

A person's **estate** is often assessed only on death, when all the money due to that person and everything that they have acquired with a monetary value is calculated, after all debts are deducted and paid out. A person's heirs inherit what is left in the estate after this process.

The result is that the cessionary is substituted as creditor in place of the cedent. The cessionary is then entitled to enforce the claims and to retain any proceeds of them for their own benefit. The cessionary is now also entitled to accept any amount they please in settlement of the claim. For example, they can give the debtor a 'discount' if they so choose, and can even abandon the claim altogether. But remember that a cessionary cannot demand more from the debtor than the debtor owed to the cedent. The cessionary only stands in for the cedent, and therefore cannot have a stronger claim against the debtor than the cedent had. The simple act of cession also cannot fix any problems that the cedent may have with the right, such as if the debtor has a good defence against the cedent's claim. Remember, the debtor can use any defence against the cessionary that they could have used against the cedent. However, if the cedent could not have enforced their right to payment, the cessionary cannot either.

An complete cession prevents a cedent from dealing with the right as a creditor after the cession agreement. In other words, if I sell you something and then cede my right to payment to Mhlomi, you owe Mhlomi the money and I cannot claim anything from you anymore.

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A cession agreement that intends a right to be given away to somebody else results in a complete transfer of the right to the cessionary. This means that once the right has been ceded by the cedent, such right can never be returned to the cedent. This type of cession also extends to any advantages that go with the right in question, unless there is some agreement or indication to the contrary in the agreement.

Case study Complete cession to the rescue

For the past 15 years, Danny has made monthly payments into a savings policy held by ABC Bank. The policy will pay out an amount of R550 000, but only at the end of its 20-year term. Danny's spouse is in urgent need of an operation, which will cost R500 000, but Danny does not have a hospital plan or medical aid. One of Danny's colleagues, Thandeka, offers to lend Danny R500 000 immediately, in exchange for the proceeds of the policy when it eventually pays out. Danny agrees and enters into a cessionary agreement with Thandeka, in terms of which ABC Bank will pay the proceeds of the policy directly to Thandeka when it pays out in five years' time. This is an example of a complete cession because once the personal right has been ceded to Thandeka, it will not revert back to Danny. Danny has lost the right to claim on the policy because Thandeka 'steps into the shoes' of Danny and acquires full rights against the bank when the policy is to be paid out.

Cession as security

Sometimes a person needs to borrow more money from a bank than the bank is willing to give. In order to get a bigger loan, the borrower may cede a personal right they have to the bank as security, or as a promise that the bank will be repaid the money due to it from the loan.

When the reason for a cession is that the cedent wants to use a personal right that they have against someone to secure a debt towards a third party (like a bank), this is known as a cession as security, or ***in securitatem debiti***. In terms of an agreement of transfer for security, the cessionary becomes the creditor and is then the only person entitled to enforce the right that is the subject of the cession. The cedent retains no right against the debtor, but has a personal right against the cessionary coming from their personal arrangement for the re-cession (back to the original cedent) of the right once the main duty to the cessionary has been met.

In securitatem debiti means 'to secure debts' in Latin.

All this may sound very complicated, so let us use a simple example to help clarify the situation. Joshua sells Debbie a lounge suite, and agrees that Debbie can pay for it in a lump sum of R4 000 in six months' time when one of their policies matures. But Joshua needs a bit of extra capital to buy more furniture in the meanwhile, so Joshua approaches their friend Stan for a loan of R3 000. Joshua cedes Debbie's debt to Stan as security for the loan. What happens now is that Stan becomes Debbie's creditor. As soon as Joshua has paid back their loan debt to Stan, you can consider Stan's right as Debbie's creditor as being ceded back to Joshua. The agreement protects the cessionary (Stan) if the cedent (Joshua) becomes insolvent (and cannot repay their loan debt to Stan). The cession agreement makes sure that Joshua cannot dispose of the right in a way that has a negative impact on Stan. For example, Joshua cannot tell Debbie to give Stan their old Beetle as payment for the furniture.

As before, any defence that Debbie, the debtor, could have raised against Joshua, their original creditor, is equally valid against Stan, the cessionary, because Stan has taken the place of Joshua. Stan cannot have greater rights against Debbie than Joshua had.

Each case is unique and will involve different factors. In the case where a trader cedes all their book debts in *securitatem debiti*, the arrangement between the cedent and cessionary normally allows the cedent to continue receiving and collecting payment from the debtors. But continuing to collect after the power to do so has been brought to an end by the cessionary will constitute a breach.

Despite the cession, the right remains an asset in the estate of the cedent. However, the cedent cannot exercise any of the normal rights of a creditor.

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A cession *in securitatem debiti* serves to secure the main obligation, and its operation depends on the continued existence of that main debt. In our above example, the main obligation, or main debt, is the loan that Joshua took from Stan. Debbie's debt is just the security for that loan. Once Joshua has paid Stan back, the cession falls away and the right is returned to the cedent. This is the main difference between a complete cession and cession as security. In the case of a complete cession, the personal right cannot be returned to the cedent, whereas cession as security allows the personal right to be returned to the cedent when the underlying debt is paid.

Case study Ceding a policy as security

Sibusiso needs to borrow money from ABC Bank to expand their business, but the amount they need is more than the bank is willing to give them. The bank is willing to loan them the money they need, if they cede their life insurance policy to the bank as security. To that end, Sibusiso enters into a cessionary agreement with ABC Bank in terms of which ABC Bank have the right to claim the proceeds of the policy, should Sibusiso fail to repay the loan. In terms of the loan agreement, Sibusiso is required to pay monthly instalments of R3 000 per month over a five-year period. Should they repay the loan in full, Sibusiso's right to the policy will be returned to them. Should Sibusiso default on the loan, ABC Bank will be able to claim the proceeds of the policy. This is an example of cession as security because the personal right can be returned to Sibusiso if they honour the loan agreement.

Activity 12.2

Assume that you have entered into a contract of sale with Mhlauli to purchase your cell phone for R2 000. Mhlauli will only be able to make payment at the end of next month. You are very excited to buy a new cell phone from Lerato to the value of R5 000, but they are not prepared to wait until the end of next month for payment. You have R3 000 in savings, so you enter into an agreement with a friend, Amy, who agrees to loan you R2 000 in exchange for the right to receive the R2 000 from Mhlauli at the end of next month. This allows you to buy Lerato's cell phone for R5 000 now.

With regard to the scenario above, consider the following:

1. Identify the underlying *causa* for the cessionary agreement.
2. Identify the personal right that is the subject of the cession.
3. Identify the parties to the cessionary agreement.
4. Identify the type of cession that has occurred here.

12.5 Variation and termination of contracts by agreement

It often happens that people sign a contract that is lawful and binding but then decide that the terms are not suitable for their purposes. This section explains some ways in which the parties can subsequently reach agreement to vary or terminate the rights and/or duties that they have in terms of a contract, namely:

- variation: changing the rights and duties of the parties
- release: relieving one or both parties of their duties
- delegation: transferring duties
- assignment: substitution of a third party
- novation: replacing an old duty with a new one
- compromise: accepting new terms.

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12.5.1 Variation: Changing rights and duties

The contracting parties are generally free to vary or change a contract as they wish. Nothing stops them from changing the rights and duties coming out of the contract. They can do this informally or by means of new agreements. The only times that there is a formality requiring the variation to be in writing would be:

- when a law provides for that type of contract to be in writing, which means that any changes to the terms of that contract also have to be in writing
- when parties agree in a written contract that verbal changes to that contract will not be valid and that any variation of the contract has to be in writing. In that case it is obvious that the variation of the contract would have to be in writing and signed by both parties for the change to be lawful. These terms are known as as entrenchment or non-variation clauses. In either of these cases, any informal variation will be invalid.

12.5.2 Release: Relieving parties of their duties

The persons who enter into a contract may, after some time, both agree that they should be **relieved** of their initial duties. A creditor may decide to release a person who has an outstanding debt from paying that debt. In this case, the claimant (or creditor) waives (gives up) their right to claim payment. No formalities are required. We then treat the situation as if the contract is cancelled, without anybody having a claim.

If you **relieve** someone of a duty, or 'release' them from it, that person no longer has to perform the duty.

12.5.3 Delegation of duties

We saw earlier that when a creditor's personal rights are transferred, we call it cession. Similarly, when a debtor's duties are transferred, it's called delegation. A debtor may be released from their debt or duty if a third party promises to fulfil the obligation instead. The agreement that moves the duties from one person to another, with the creditor's agreement, is known as delegation. Suppose Nolwazi, a student, enters a lease agreement with Andries for expensive student accommodation in Stellenbosch. Unfortunately for Nolwazi, they are unable to make the monthly payments. But luckily for them, their mother is willing to take over their duty to pay the rent every month. If Andries agrees, Nolwazi may delegate their debt to their mother. This will not affect Nolwazi's rights to occupy the premises.

This means that only Nolwazi's duty has been transferred, not the right to occupy the premises. Since delegation requires the agreement of all three parties involved, we call it a tripartite agreement.

12.5.4 Assignment: Substitution of a third party

We have noted that the parties can transfer their rights by cession and their duties by delegation. Sometimes, both the rights and the duties of one contracting party fall away and a third party takes the place of that party. This substitution by a third party is known as assignment.

A common example of assignment happens when one person's contract of lease for rented accommodation ends and another lessee takes their place. Although the new lessee will have the same rights and duties as the old lessee, there will now be a new person living in the property and paying the rent to the lessor. Because of this, the lessor's consent is required before the assignment will be valid. In other words, the original lessee cannot simply arrange for another person to take over the lease agreement from them without first getting the lessor's agreement. Every assignment includes a delegation, and therefore the consent of the lessor will be required. Once the lessor has agreed that the new lessee will replace the previous one, the agreement between the lessor and the original lessee comes to an end. The 'tenant' or **assignee** becomes the debtor and the creditor of the lessor – the tenant is the debtor because they have to pay rent, but they are also a creditor, because they have the right to live in the property.

The person who takes over the rights and duties of the lease from the old lessee is called the **assignee**.

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12.5.5 Novation: Replacing duties

Novation is the act or process of making something new. We find novation in the context of contracts when a duty that exists between parties to a contract comes to an end and is replaced by a new duty. Novation is valid only if both the contracting parties agree to it. The court will not be easily convinced that the parties have novated a duty, and it will be a question of fact whether a novation has actually occurred. (When we say something is a question of fact, we are contrasting it with a question of law. Here, the task of the court would be to determine whether the parties had novated the duty or not.)

Novation, the replacing of an old duty with a new one, is often very similar to the variation of a duty.

To illustrate novation, let us suppose Soni and Son Attorneys have a contract with Telkom, in terms of which they give their legal services in exchange for payment of R20 000 every month. Telkom then decides to give Soni and Son more business, and the parties change the original agreement so that Telkom pays R30 000 every month. The original agreement has been novated.

12.5.6 Compromise: Acceptance of new terms

Compromise involves the settling of a legal dispute or fight between people by making a new agreement. Like any agreement, compromise happens by one party making an offer and the other accepting it.

For example, suppose that Hezekiel believes that Hestrie owes them R100 000 in terms of an agreement whereby Hestrie undertook to pay Hezekiel a 10% commission on all of their sales during the preceding year. Hestrie, however, believes the amount to be paid is R50 000. The confusion is caused by the wording of the agreement, which does not make it clear whether the commission will be payable on gross or nett sales. In order to resolve the dispute, the parties agree that Hestrie will pay Hezekiel R75 000 in settlement of Hezekiel's claim. This would be a compromise.

Once the parties have reached a compromise, their rights are decided by the compromise agreement and not by the initial contract. Compromise occurs frequently in legal practice because it gives the parties a friendlier and cheaper way of settling legal disputes, rather than fighting in court.

Sometimes one person will make an offer to pay less than the amount claimed from them, and will then add the words 'in full and final settlement' to the letter containing the offer.

It will be a question of fact in this case whether that person was making an offer of compromise. If the claimant accepts payment, it would seem to indicate that the offer of compromise has been accepted. The court will also consider other facts in order to determine whether the compromise has been accepted or not. However, if the debtor is clearly making an offer of compromise and the creditor rejects that offer, the creditor should return the payment that came with the offer of compromise.

Activity 12.3

Sindisiwe and Leon have entered into an agreement with Samuel whereby they will be renting an apartment from Samuel for the duration of their studies. The parties agree that the monthly rental will be R5 000 per month, of which Leon and Sindisiwe will each pay an equal share every month. Three months into the lease agreement, Leon opens a credit facility with ABC Bank and reaches the credit limit within the first month of receiving the credit card. As a result, five months into the lease agreement, Leon is unable to pay their share of the rent. In order to avoid getting evicted, Sindisiwe and Leon agree with Samuel that Sindisiwe will pay Leon's share of the rent for that month, on condition that Leon pays their share of the rent the following month. The following month, Leon is again unable to pay their share of the rent. Leon is also unable to pay Sindisiwe's share of the rent. Sindisiwe is fed up and calls a meeting with Samuel and Leon

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Activity 12.3 (continued)

to discuss the matter. They all agree that Leon will move out, that Mark, Sindisiwe's partner, will move into the apartment on 1 September and that Mark will replace Leon as lessee in the lease agreement. Leon further agrees to pay Sindisiwe back the R2 500 they owe Sindisiwe in monthly instalments of R500 per month over a period of five months. Mark moves into the apartment on 20 September. Even though Mark only moved in on 20 September, Samuel demands that Mark pay a full month's rent. This stems from the fact that the lease agreement states that the full rental is payable in advance on the 1st of every month. Mark disputes that they are legally obliged to pay the full month's rent.

With regard to the different legal ways in which contracts can be varied or terminated, consider the following:

1. What would we call it if the parties decide to amend the original agreement to reflect that the monthly rental is R4 500, instead of R5 000?
2. What do we call it when Sindisiwe and Leon agree with Samuel that Sindisiwe will pay Leon's share of the rent?
3. What do we call it when Mark takes Leon's place on the lease?
4. What would we call it if after Leon has paid Sindisiwe R2 000, Sindisiwe decides that Leon does not have to pay the remaining R500?
5. What would we call it if Samuel and Mark agree that Mark will only have to pay half of the rent for September, instead of the full month's rent?

What do you think?

You are the manager of a large national cellular phone company. Your company offers a number of bursaries (worth R20 000 per year) to enable students to study at a technical college. These students will then be qualified to do the technical work that the telephone company requires. The students and their parents sign a bursary agreement that includes a clause stating that they will jointly pay back to the company all money received, plus interest and costs, if the student fails to complete the course successfully. A number of students fail either their second or third year of study. They then find themselves with a large debt, but are unable to get jobs because they have no qualifications.

Some people in the company want to help these students by asking that their debt be cancelled, some want to enter into agreements with the students to pay at least half of their outstanding debts, while others believe that the parents of the students should be made to pay the entire outstanding debt. Which of these options do you think is most fair to all parties involved? Discuss the legal position of each of these options with a classmate.

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Chapter summary

In this chapter, you learned the following about the ways in which contracting parties can pass, vary or terminate the rights due to them and/or the duties required of them in terms of a contract:

- Cession is an act of transfer that causes personal rights or claims to be transferred from the cedent to the cessionary in such a way that the cessionary becomes the creditor of the debtor.
- Cession occurs by way of a transfer agreement between the cedent and the cessionary.
- Cession does not usually require any formalities.
- In order to be valid, the cedent must be entitled to cede the right, the right must be capable of being

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ceded, the parties must intend for the cession to take place, any formalities agreed upon by the parties must be complied with, the cession must be lawful and must not prejudice the debtor.
- A future claim may also be ceded, as long as it is described properly.
- A cession usually comes about because of a contract or legal act that forces the cedent to cede. This legal act forms the reason or *causa* for the cession.
- Although it is not necessary to give notice of a cession to the debtor in the case of a claim that has been ceded, it is advisable to do so.
- A person's power to cede their rights is sometimes restricted or limited by law or agreement.
- The effect of a complete cession is to take a claim or right away from the cedent and to place it with the cessionary. The cessionary steps into the shoes of the cedent and becomes the only person able to enforce the claim.
- Contracting parties often cede certain rights as security for a debt (*in securitatem debiti*).
- By waiving the right to claim payment of the debt, a creditor may release a debtor from paying a debt.
- Delegation is the transfer of duties from one person to another by way of a tripartite agreement between the creditor, the original debtor, and the new debtor.
- Assignment is the substitution of a third party for one of the parties to a contract.
- Novation occurs when a duty that exists between parties to a contract is replaced by a new duty that brings the original duty to an end.
- Compromise involves the settling of a dispute by means of a new agreement.

Review your understanding

1. Which statement is TRUE?
   a) Cession is a transfer agreement in terms of which a right or rights are transferred from the person who holds them to another person.
   b) Cession is a way of transferring rights and obligations from one party, called the cedent, to another party, called the cessionary.
   c) Cession is a surety agreement.
   d) Cession is a contract in terms of which only obligations are transferred.
2. Ben needs to borrow R500 000 from a bank so that they can build themselves a house, but the amount they need is more than the bank is willing to advance. Ben also owns a life insurance policy that is worth R1 million. What can Ben do to ensure that the bank lends them the money they need?
3. Sally has a personal right against Janice. Sally then enters an agreement to transfer the personal right to Austin. What do we call this arrangement and what are the requirements that must be met in order for this transfer to be valid?
4. Identify the circumstances under which a cession is considered illegal.
5. Frank is 70 years old. They are about to receive their pension payment. They see a bakkie that they want to buy from James to start a delivery business. Frank does not have the necessary money yet, but they know they can make money in the delivery business. Frank wants to cede the rights to their pension until they earn enough money to pay James for the bakkie. Can Frank cede their rights to their pension? Explain your answer.
6. Bongani bought a car from Lindelani for R150 000 two years ago. To date, Bongani has paid R100 000 but is still indebted to Lindelani in the amount of R50 000. Unfortunately, Bongani has lost their job in the meantime and is unable to pay Lindelani the outstanding balance. However, Bongani remembers that Joshua owes them R50 000. Bongani realises that a cession would be the appropriate way to legally transfer the right that they have to receive payment from Joshua, to Lindelani. Identify the following parties to the cession:
   a) the cedent
   b) the cessionary
   c) the debtor.

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7. What do we call an agreement not to cede?
8. By way of an example, provide an explanation of cession *in anticipando*.
9. What is the main difference between a complete cession and cession as security?
10. Bronwyn enters into a lease agreement with a lessor to rent an apartment. After three months, Bronwyn is unable to make the monthly payments which they agreed to. Bronwyn's mother is willing to take over the payments so that Bronwyn can continue living in the apartment and Bronwyn's lessor agrees thereto. Identify the way in which this contract was varied by agreement and explain how this occurs legally.
11. Distinguish between delegation, assignment, and cession.
12. Brad and Beyonce have entered into an agreement whereby Brad will supply books to Beyonce to be sold in the bookshop Beyonce owns. In terms of their agreement, Beyonce will pay Brad R20 000 for 200 books. After six months has passed, they decide that their initial arrangement is not working. Instead, they conclude a new agreement that Beyonce will pay Brad R30 000 for 350 books per month from then onwards. What kind of agreement is this?
13. By way of an example, explain what a contractual compromise is.

Further reading

Fouché, M.A. et al. 2021. *Legal Principles of Contracts and Commercial Law* 9th ed., LexisNexis South Africa

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Termination of contracts by law

Chapter 13

The main ideas

- Proper performance
- Prescription
- Impossibility of performance
- Merger
- Set-off
- Death
- Insolvency

The main skills

- Identify instances where a contract terminates in law.
- Outline the requirements for proper performance.
- Identify when a debt prescribes, and when prescription is interrupted.
- Distinguish between initial impossibility, supervening impossibility of performance, and breach due to impossibility.
- Map the requirements for set-off.
- Understand when death does, and does not, terminate a contract.
- Discuss the impact of insolvency on an insolvent's contracts.

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Chapter 12 dealt with the termination of contracts by agreement between the parties. In the absence of such an agreement, contracts terminate automatically by operation of the law for various reasons. In these instances, the parties will generally be excused from performance without being subject to any legal remedies for breach of contract. This is because the reason for termination is not based on any fault of the contracting parties.

In this chapter, we look at the following ways in which contracts may terminate by law:

- proper performance
- prescription
- impossibility of performance
- merger
- set-off
- death
- insolvency.

Before you start

Suppose that Kia has a clothing account with Trendy Design Emporium (TDE) with a balance of R1 300, which is in arrears. In January 2020, Kia opened the account in their final year of study, thinking they could pay the instalments with the income from their part-time waitressing job at Big Joe's Burger Joint. The accounts personnel from TDE have been trying to contact Kia persistently for months, but Kia has been dodging the calls because they have been unable to afford the instalments, as Big Joe's Burger Joint closed down in June 2020 due to Level 5 lockdown during the Covid-19 pandemic and never reopened. Kia has not been able to find another part-time job due to limited vacancies during the lockdown. TDE's accounts personnel eventually gave up on the calls and intends to hand over the account for debt collection. Somewhere along the way, Kia's file goes missing and, three years later,

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Kia has still not paid the balance. If TDE follows up with Kia's account three years later, can they still recover the money from Kia? Does Kia have legal grounds to refuse payment? What is the legal position if Kia secures another job and makes payment on the account after three years?

Let us read on and then come back to this scenario to see if we have the answers.

13.1 Proper performance

As we explained in previous chapters, contracts create rights and duties for the contracting parties. Usually, parties have reciprocal performances. If both parties do what they are supposed to do in accordance with their contractual obligations, that contract will automatically come to an end upon proper performance by the parties. The parties need to comply with all prescribed requirements in terms of time, place, and manner of performance. Performance by the parties must not be defective in any way. Performance must be made fully and properly in accordance with what was agreed upon. This is what we mean by proper performance.

Case study Tri-colour Nguni rug for sale

Quisey, who sells authentic Nguni rugs, contracts to sell a tri-colour Nguni rug to Chantal for R2 500, payable in cash. Quisey agrees to deliver the rug at Chantal's home on Friday at 12:00, and Chantal undertakes to pay upon delivery. Once Quisey delivers the rug to Chantal at Chantal's home by Friday at 12:00, and once Chantal pays Quisey R2 500 in cash upon delivery, the contract of sale between the two parties automatically terminates.

However, if Quisey delivers a black and white Nguni rug (and not a tri-colour one), or if they effect delivery at 17:00 on Saturday (instead of 12:00 on Friday), or if they affect delivery at Chantal's office (instead of at home), Quisey's performance will be defective and Quisey will be in breach of contract. Similarly, if Chantal does not have the cash available for payment upon delivery and asks for more time for payment, Chantal's performance will be defective and Chantal will be in breach of contract. In either instance, the contract of sale will not terminate automatically.

Note that each party can render proper performance through a duly authorised agent. For example, Quisey can authorise Sam to effect delivery of the tri-colour Nguni rug to Chantal on Quisey's behalf, and Chantal can authorise Thando to accept delivery from, and make payment to Quisey (or Sam, the agent).

13.2 Prescription

The law provides for contractual obligations to come to an end automatically after a certain period. When that happens, we say that the obligation has prescribed. This is regulated by statute in the form of the Prescription Act 68 of 1969 (Prescription Act). For example, suppose Ighsaan fixes my computer and sends me an invoice, but I just never get around to paying the bill. If Ighsaan does not follow up on the payment and three years passes by, Ighsaan cannot claim payment from me. The reason is that the period of prescription for an ordinary contractual debt, such as the payment owing to Ighsaan, is three years.

Section 11 of the Prescription Act sets out the periods of prescription for various types of debt:

- 30 years in respect of:
  - any debt secured by a mortgage bond
  - any judgment debt
  - any debt in respect of any tax imposed, or levied by, or under any law
  - any debt owed to the State in respect of any share of the profits, royalties or any similar consideration payable in respect of the right to mine minerals or other substances

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- 15 years in respect of any debt owed to the State and arising out of an advance or loan of money, or a sale or lease of land, by the State to the debtor, unless a longer period applies in respect of the debt, as indicated above
- six years in respect of a debt arising from a bill of exchange or other negotiable instrument, or arising from a **notarial contract**, unless a longer period applies in respect of the debt, as indicated above
- three years in respect of any other debt, except where an Act of Parliament provides otherwise.

A **notarial contract** is a contract that must be signed before a notary public, such as an antenuptial contract.

Generally, prescription begins to run from the day on which the debt is due. A debt becomes due once the creditor has knowledge of the identity of the debtor and the facts that gave rise to the debt. The creditor is regarded as having this knowledge if they could have obtained it through reasonable steps.

This provision can be relaxed in the interests of justice. For example, if a debtor has deliberately prevented the creditor from knowing about a claim, the period of prescription will start running only once the creditor knows the facts about the claim and who the debtor is.

There are several instances in which prescription may be interrupted. In these cases, the timer is reset to zero and the period of prescription starts all over again. For example, suppose that Ighsaan had sent a reminder two years after doing the repairs to my computer, and I sent an email saying, 'Sorry, I owe you the money, but I cannot pay it right now. I will pay you as soon as I can'. In this instance, my acknowledgement that I owe Ighsaan the money would have the effect of restarting the period of prescription for the debt. Then Ighsaan's demand another two years later would have been enforceable (based on my acknowledgment of debt), even though the demand was made four years after the initial invoice. This is just one of the ways in which prescription may be interrupted. We call this an acknowledgment of liability.

The other way is by serving a **summons** on the debtor. Note that it is not enough that the court issues a summons. The summons must be served on the debtor by the sheriff in order to have the effect of interrupting prescription.

A **summons** is the first legal document issued by the court that starts the litigation process. In this instance, it would have been issued for the non-payment of a debt.

Let us briefly consider section 13(1) of the Prescription Act, which makes provision for the postponement of the period of prescription for one year in certain circumstances (impediments). This is different from an interruption, which was discussed in the example above. Here, prescription does not start to run from the beginning. Instead, it stops for a period and then continues to run again after the impediment. Section 13(1) provides that the period of prescription will not be completed before a year has elapsed after the day of the following impediments:

- the creditor is a minor, or is insane, or is a person under curatorship, or is prevented by superior force (including a court order or law), from interrupting the running of prescription
- the debtor is outside the Republic
- the creditor and debtor are married to each other
- the creditor and debtor are partners, and the debt is a debt, which arose out of the partnership relationship
- the creditor is a juristic person, and the debtor is a member of the governing body of such juristic person
- the debt is the object of a dispute subjected to arbitration
- the debt is the object of a claim filed against the estate of a debtor who is deceased, or against the insolvent estate of the debtor, or against a company in liquidation, or against an applicant under the Agricultural Credit Act 28 of 1966
- the creditor, or the debtor, is deceased and an executor of the estate has not yet been appointed
- the relevant period of prescription would, but for the provisions of this subsection, be completed before or on, or within one year after, the day on which the relevant impediment has ceased to exist.

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To illustrate how section 13(1) works, let us look at section 13(1)(a). In cases where a claimant is insane or is a minor, the Act provides for the completion of the period of prescription to be postponed until one year after the person becomes sane or becomes a major (section 13(1)(a)). This is called an impediment (or delay) in prescription. Suppose, for example, that Jan owes Nthabiseng, (a 16-year-old minor) R1 000, which becomes enforceable on 1 April 2021. If Nthabiseng was not a minor, then prescription would end at 00:00 on 1 April 2024. Nthabiseng turns 18 on 1 March 2023. That date is one year and one month before prescription is meant to end. Since Nthabiseng has more than a year to claim their money after reaching majority, prescription will still end on 1 April 2024. However, if Nthabiseng's birthday was on 1 June 2023, then there is only ten months until prescription would normally end. Since this is less than a year, the Prescription Act allows Nthabiseng to have one full year after becoming a major to claim from Jan. In this case, prescription will therefore end on 1 June 2024, and not on 1 April 2024.

Activity 13.1

With a study partner, think up other practical examples to illustrate the ways in which the period of prescription can be delayed, with reference to section 13 of the Prescription Act.

Note that if a debtor pays an old debt in good faith, after it has been extinguished by prescription, that payment is valid and cannot be recovered by the debtor, even if the debtor did not know that the debt had prescribed.

At this stage, you should be able to answer the questions in Kia's scenario at the beginning of the chapter. As the debt with TDE is an ordinary contractual debt, it prescribed after three years. Therefore, Kia is not legally obliged to make payment to TDE. However, if Kia makes payment to TDE after the debt has been extinguished, Kia will not be able to claim the payment back from TDE.

13.3 Impossibility of performance

Before reading this section, it is advisable to first revise the section on possibility of performance as a requirement for a valid contract in Chapter 7. In that chapter, you would have read that performance must be possible at the time of the conclusion of the contract. If performance is not possible at that stage, then the contract is void.

If, *after* the conclusion of the valid contract, performance by one or more contracting parties becomes objectively impossible, both parties are excused by law from performing in terms of the contract. The contract will then terminate automatically, any rights and obligations will be extinguished, and the parties will not be in breach of contract. In order for performance to be objectively impossible, it must not be something that affects only a particular contracting party and it must not be due to the fault of any party. This means that any reasonable person in that situation would also have found performance to be impossible, such as a natural disaster or war. As you can see from these examples, these are events that are beyond the control of the parties.

Neither party must have taken the risk of such an event upon themselves. For example, if someone specifically promises that they will perform in terms of a contract no matter what happens, that guarantee means that they will still be liable even if the performance becomes objectively impossible because of something beyond their control.

Sometimes, only a part of a contract has become impossible, or performance may become temporarily impossible. If it is possible to separate that part of the performance from the rest of the contract, the court may terminate that specific part of the contract without interfering with the rest of the contract.

The following case law illustrates the legal principles relating to temporary impossibility.

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World Leisure Holidays (Pty) Ltd v Georges 2002 (5) SA 531 (W)

Principle

Temporary impossibility will only extinguish the obligation to perform where the essence of the contract can no longer be performed.

Facts

Georges booked a seven-day holiday to Mauritius with World Leisure Holidays. On the day before the flight was due to depart, a cyclone hit Mauritius, making it impossible for the flight to land in Mauritius. The flight was delayed and rescheduled to depart two days later. Georges refused to take the later flight and claimed that World Leisure Holidays was in breach of the contract. Georges further claimed that they were freed from their obligation to pay for the holiday package due to World Leisure being unable to perform.

The court's finding

World Leisure Holidays was not in breach, as the delay in the flight was due to a supervening impossibility of performance. The cyclone made it objectively impossible to perform on time. The court found that the temporary impossibility did not extinguish the entire contract. The court stated that the entire contract will only be extinguished in the following circumstances – where the foundation of the contract was destroyed, or where all performance is already or will inevitably become impossible, or where performance would inevitably be impossible. Therefore, despite the delay, it was still possible for World Leisure Holidays to eventually (at a later date) perform in full.

In summary, a supervening impossibility of possible arises when, after the conclusion of a valid contract, performance becomes objectively impossible for one or more parties to the contract.

Activity 13.2

Draw a table or a mind map to distinguish between initial impossibility, supervening impossibility of performance, and breach of contract due to impossibility. Compare notes with a study partner and then discuss your understanding with one another. It is potentially confusing, so also reach out to your lecturer, if you have any questions when doing this activity.

13.4 Merger

Merger refers to the coming together or joining of two or more things. In the law of contract, merger is when one person becomes the debtor and also the creditor in respect of the same debt. For example, if Bradley, who was renting an apartment from Nokuthula, decides to buy that apartment from Nokuthula, then Bradley will not have to pay rent to their own account once the sale goes through. It would then be silly for the debtor to pay the creditor (who is the same person).

13.5 Set-off

Suppose that you have borrowed R200 from Sizwe on the understanding that you will pay it back at the end of the week. On Saturday, you go to the movies together and Sizwe borrows R100 from you for their ticket because their debit card is not working. Now you have a choice. Either Sizwe can pay you the R100 back after going to an ATM and you can pay Sizwe back the R200, or you can agree to set-off the R100 against the R200 that you owe. You will simply pay Sizwe the difference between the two amounts. In this way, the debt is extinguished by the extent to which you mutually owe each other money.

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Commercial law makes provision for this kind of trade-off in business contracts too. The debts that two people owe each other may be set-off against each other, if they meet the following requirements:

- The debts must be between two parties who are acting in the same capacity. Debts cannot be set-off if one party is acting in a representative capacity, such as as a guardian or trustee and the other party is acting in a personal capacity.
- The debts must be of the same kind or nature. For example, a debt for money cannot be set-off against a car.
- The debts must be due and enforceable. For instance, the debts must not be enforceable at a later date, or be subject to a suspensive condition.
- The debts must be liquidated at the time of set-off. In other words, they must both be capable of easy and speedy proof.

Set-off happens automatically once these requirements are met. There are no formalities required to effect set-off, and the law does not require the parties to first agree to set-off before it takes place.

Set-off may not happen in certain instances. For example, set-off will not occur where the parties include a clause in a contract stating that debts are to be paid 'without set-off or deduction'; or under the Insolvency Act 24 of 1936 (Insolvency Act), which states that a set-off clause in an insolvent's contract will be of no legal effect, as it allows the other contracting party to get paid before other creditors in the insolvent estate.

The following case illustrates one of the requirement for set-off, which is that the parties must be indebted to each other in the same capacity.

Road Accident Fund v Myhill NO 2013 (5) SA 399 (SCA)

Principle

Debts cannot be set-off if one party is acting in a representative capacity and the other party is acting in a personal capacity. The debts must be between two parties who are acting in the same capacity.

Facts

The facts of this case are complex. For our purpose, the relevant facts are that Ms. Swalibe instituted a claim against the Road Accident Fund (RAF) in their capacity as guardian over their two minor children, following an accident wherein the children were severely injured when they were run over by a car that swerved onto the wrong side of the road. Concurrently, the RAF had a claim against Ms. Swalibe on the basis that Ms. Swalibe was contributorily negligent with regards to the collision. Ms. Swalibe had set-off their own liability against the assessment for their children's claim for injury and, in so doing, accepted a settlement for the children that was substantially prejudicial to their interests. The key issue is whether Ms. Swalibe was entitled to set-off money that Ms. Swalibe owed for their own negligence, in their personal capacity, against the money that the RAF owed them, in their capacity as guardian of the children.

The court's finding

The Supreme Court of Appeal held that the two claims could not be set-off, as Ms. Swalibe owed money in their personal capacity, and Ms. Swalibe was owed money for their children in their capacity as guardian.

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Case study Setting-off money for money

Sally and Samuel rendered services to each other – Sally painted Samuel's house for R3 000 and Samuel fixed Sally's car for R1 500 on the same day. The law of set-off permits Samuel to only pay Sally R1 500, which is the difference between the two amounts. The parties owe each other money in the same personal capacity, the debts are due and enforceable once the house is painted and the car is fixed, and the debts are of the same kind and liquidated.

Practically, it makes little sense for Samuel to pay Sally R3 000 only for Sally to pay R1 500 back to Samuel.

Activity 13.3

Draw a mind map to set out the requirements for set-off. Share your map with a study partner to ensure that neither of you omitted any of the requirements.

13.6 Death

Generally, the death of a contracting party will not automatically bring that contract to an end. It depends on whether the performance that was due by, or to, a party was specific to that party. For instance, if a contract was of a personal nature where performance can only be rendered by a particular debtor, and where the rights and duties of the deceased debtor cannot be transferred to the deceased estate, then the contract will terminate automatically. For example, in an employment contract, if the employee (debtor) dies, the contract between the employee and employer will come to an end automatically. The **executor of the deceased's estate** cannot simply step into the shoes of the deceased employee and render services to the employer on behalf of the deceased.

The **executor of the deceased's estate** is appointed to administer the estate under the law of succession. If there is a will, the executor must carry out the instructions in the will. If there is no will, then the executor must administer the estate in terms of the law of intestate succession.

Similarly, if a contract was such that performance by a debtor can only be rendered to a specific creditor, and where the rights and duties of the deceased creditor cannot be transferred to the deceased estate, then the contract will terminate automatically.

This means that, where the performance arising from the contract is such that it could have been performed only by the debtor (or only to the creditor, as the case may be), then the death of that debtor (or creditor) will result in that performance being objectively impossible and, therefore, the contract will come to an end.

It stands to reason that, where the contract was such that the rights and duties were not personal in nature and, therefore, could be transferred to the estate, then it must be enforced by the executor of the deceased estate. For example, if the performance that a party owes is the payment of money for goods that were purchased and already delivered, and that party dies, then death will not extinguish the deceased's obligation to pay the debt. Here, that obligation falls into the deceased estate, and the executor will be responsible for the payment of the debt out of the assets in the estate under the law of succession. See Chapter 22 for more information on the role of the executor and the law of succession.

13.7 Insolvency

Upon sequestration of a debtor by the High Court, the court appoints a trustee to take custody and control of the insolvent estate with the aim of gathering assets and paying creditors in terms of the Insolvency Act.

Prior to insolvency, it may have happened that the debtor was party to contracts that gave rise to rights and duties. As part of the trustee's statutory functions, the trustee has to decide whether to uphold these contracts or terminate them. Once the trustee makes this decision, the decision is final. The trustee makes this election based entirely on the best interests of the creditors, and not the insolvent. If the trustee decides to abide by any of the contracts that the debtor entered into with other contracting

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parties before insolvency, the trustee steps into the shoes of the insolvent and takes over the contract in all respects. This means that the trustee is obliged to perform to the other contracting parties as if they were the insolvent. The question of whether or not the trustee has elected to abide by a contract is one of fact, not law. This is determined by inference with reference to all relevant facts.

However, if the trustee does not decide whether or not to abide by, or repudiate, a contract within a reasonable time, the other party can safely assume that the trustee does not intend to abide by the contract. The Insolvency Act does, however, provide for certain statutory controls on the exercise of the trustee's election – that is, the Act stipulates when and how the trustee should exercise their election in respect of certain contracts. Examples of these contracts are the purchase of immovable property (section 35) and the lease of property (section 37). This means that, like in the instance of death, insolvency does not automatically terminate a contract between the insolvent and the other contracting parties.

The law of insolvency is discussed in Chapter 21.

What do you think?

When a person dies, their debts are still payable by the executor of the deceased estate. Do you think that a natural person's debts should die with them? If so, how would this impact the deceased debtor's creditors and any beneficiaries of the deceased estate? Do you foresee any impact on the economy at large?

Chapter summary

In this chapter, you learned the following about termination of contracts by law:

- Although contracts can be terminated by agreement between the contracting parties, they can also be terminated by the operation of the law in various ways:
  - If both parties perform fully and properly, with the intention of extinguishing the debt, according to the terms of the agreement, that contract will automatically come to an end.
  - A contract ends when the roles of the debtor and creditor are merged into one person.
  - Where two persons owe each other debts of the same kind; where the parties acted in the same capacity; and where the debts are liquidated, and due and enforceable, the amounts owed may be set-off against each other.
  - The Prescription Act provides for obligations to come to an end when a specified period of time (the period of prescription) has passed.
  - Supervening impossibility arises when, after the conclusion of a valid contract, performance becomes objectively impossible for one or more parties to the contract.
  - Generally, the decision on whether an insolvent's contracts will be fulfilled depends on the trustee of the insolvent estate.
- Once a contract has been terminated by law, the parties will, generally, not be subject to any remedies for breach of contract.

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Review your understanding

1. List the requirements for set-off to take place.
2. Which of the following statements are INCORRECT in respect of set-off?
   a) The two debts need not be equal amounts for set-off to apply.
   b) In set-off, the debts owed between Magda, in their personal capacity, and Nonkululeko, in their professional capacity, can be set-off as long as the debts are of the same kind.
   c) The parties must sign a written contract agreeing to set-off their respective debts.
   d) For set-off to apply, debts must be liquidated at least fourteen working days before set-off.
3. Is the test for supervening impossibility of performance objective or subjective?
4. Which statements about reasons for non-performance are CORRECT?
   a) Generally, the death of a party is not an excuse for non-performance since the rights and obligations of the deceased are transmitted to their estate, which is administered by an executor.
   b) If a debtor pays a debt after it has prescribed, the debtor can recover the payment within seven working days.
   c) Insolvency automatically terminates the contracts of the insolvent.
   d) If a debtor performs in full, at least within thirty minutes after the time prescribed in the contract, the debtor will be deemed to have made proper performance.
5. Which statements are INCORRECT?
   a) Merger occurs when one person becomes the debtor and also the creditor in respect of the same debt.
   b) A debt arising from a mortgage bond prescribes after a period of 20 years.
   c) A debt arising from an ordinary commercial contract prescribes after three years.
   d) The trustee of an insolvent estate may never prevent the insolvent from honouring contracts that were entered into before the sequestration, as this would be unfair to the other contracting parties.

Further reading

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Part

3

Types of contract

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The law of sale

Chapter 14

The main ideas

- The nature of a contract of sale
- Duties of the seller
- Duties of the buyer
- Examples of specific contracts of sale

The main skills

- Discuss and summarise the nature of a contract of sale.
- Interpret and explain common types of contract of sale.
- Make decisions and solve problems concerning the law of sale.

The previous chapters looked at principles of contracts. This chapter is the first of Part 3, which focuses on different types of specific contracts, namely sales (in this chapter), leases (Chapter 15) and credit agreements (Chapter 16). Contracts of sale are probably the most common type of contract you will come across in your day-to-day life.

Before you start

What is the most expensive thing you have ever bought? It could be a house, a car, a smartphone, or even an item of clothing. You may have some questions around a contract of sale, such as: What must a seller and buyer do to make sure that the contract is valid? Who bears the responsibility if the thing that is sold is damaged? At what point is the contract complete? When is the thing that is sold properly identified? What can the buyer do when they discover something wrong with the thing purchased? How is the price determined? How must one deliver the thing that is sold? When does the buyer become owner of the thing sold? You will have a clearer idea of these issues after studying this chapter.

Added value — Specific contracts

We discussed the contents of contracts in Chapter 8. If you do not remember what the *essentialia*, *naturalia*, and *incedentalia* of specific contracts are, go back and revise that chapter, because a contract of sale is a specific contract.

We will start by discussing a contract of sale in terms of common law. A discussion of contracts of sale that are regulated by legislation will follow later in section 14.6.

14.1 The nature of a contract of sale in terms of common law

Sale is a contract by which one party (the seller) undertakes to transfer a thing (the ***res vendita***), or the possession thereof, to the other party (the buyer) in return for payment of a price by the buyer (the purchase price). The two *essentialia* (elements) for a contract of sale are:

- agreement on the **thing** to be sold and the transfer of that thing or the possession thereof
- agreement on the price to be paid.

The Latin term ***res vendita*** means the thing being sold. In law, we therefore refer to the object of a sale as a **thing**.

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Almost anything can be bought and sold. You may think of things you can see and touch, such as a laptop, clothes, or a house. These are called corporeal things. You may also sell **incorporeal** things, such as your shares in a company. A future thing may also be sold, such as something that must still be manufactured or crops that are still growing, but not yet ready for harvesting.

Incorporeal property has value as a commodity but lacks physical substance. You cannot see or touch it.

The seller, as owner of the thing to be sold, must also undertake to transfer ownership of the thing to the buyer. For example, Xolisi cannot sell a guitar to Sandile, but retain ownership of the guitar. That will not be a contract of sale, but rather another type of contract, such as a loan against payment for lending the guitar.

With contracts of sale, there are terms that apply automatically to the contract by way of law, even though they may not be mentioned in the contract. These are the *naturalia* of a contract of sale.

We will discuss the following:

- the passing of risk and profit in the thing sold
- the passing of ownership in the thing sold
- the duties of the seller
- the duties of the buyer.

14.2 The passing of risk and profit in the thing (*res vendita*) sold

It is important to remember that the passing of the **risk** and **profit** in the thing sold, and the passing of ownership in the thing may happen at different times. At times, there is a delay between the time when the parties agree to the contract and when the thing is delivered to the buyer. What if the thing is damaged or destroyed by someone else after it was sold, but not yet delivered to the buyer? Who will bear the risk of the loss? We will unpack this question in view of the court's statement below.

Risk indicates who will bear any loss and **profit** indicates who will get the advantages in the thing sold before the sale is *perfecta*.

Added value — When is a contract *perfecta*?

In *Isando Foods (Pty) Ltd v Fedgen Insurance Co. Ltd* 2001 (3) SA 1278 (SCA), the Supreme Court of Appeal stated: 'Generally, when property is sold the risk that the property might be damaged passes to the purchaser once the sale is perfected even though delivery has not yet taken place, but that does not mean that all risk passes to the purchaser irrespective of how it is caused. The risk that passes upon sale is the risk of damage through no fault of the seller. In other words, it is only the risk of damage by *vis major* ["an act of God"] … or damage caused by third parties through no fault of the seller that passes to the purchaser'.

In terms of common law, when property is sold, the risk passes to the buyer as soon as the contract is *perfecta*.

A contract is *perfecta* when the following three requirements are met:

1. The price must be fixed, not merely ascertainable.
2. The property sold must be ascertained, not merely ascertainable.

***Poppe, Schunhoff and Guttery v Mosenthal and Co* 1879 Buch 91**

Principle

The property sold must be ascertained, not merely ascertainable, for the contract to be *perfecta* and for the risk to pass to the buyer from the date of sale.

Facts

Poppe sold 200 hogsheads (cases) of brandy to Mosenthal. Before Poppe delivered the brandy to Mosenthal, the legislature imposed an excise duty on stocks of brandy in hand. Poppe paid the duty and thereafter tried to recover those costs from Mosenthal. Poppe's action failed.

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Poppe, Schunhoff and Guttery v Mosenthal and Co 1879 Buch 91 (continued)

The court's finding

The court held that, as Poppe did nothing to set aside specific cases of brandy, from all the cases of brandy they had in stock, Mosenthal at the time that the duty was imposed, Poppe was liable to pay for it.

What this case illustrates is that although the price was fixed, it did not comply with the requirement that the property sold must be ascertained, not merely ascertainable. The sale was therefore not *perfecta* at the time the duty was imposed and the seller, Poppe, had to bear the risk.

3. Any suspensive condition, to which the sale was subject, must be fulfilled.

De Wet v Zeeman 1989 (2) SA 433 (NC)

Principle

Any suspensive condition, to which the sale was subject, must be fulfilled for the contract to be *perfecta* and for the risk to pass to the buyer from the date of sale.

Facts

De Wet sold a piece of land to Zeeman, subject to a condition that Zeeman, the buyer, acquires a bond for the payment of the purchase price. The bank granted a bond to Zeeman in principle, but the bank refused to register the bond after the property was severely damaged by floods. De Wet wanted to compel Zeeman to take transfer of the property, arguing that the risk passed to Zeeman when the contract was signed.

The court's finding

The court held that, because the contract was conditional upon Zeeman acquiring a bond and the condition has not been fulfilled, the risk did not pass to Zeeman.

Therefore, what we learn from this case is that, once a **suspensive condition** is fulfilled, the risk becomes the buyer's from the date of sale.

Let us revise the requirements. Once the contract is *perfecta*, the risk passes to the buyer. When a contract is not *perfecta*, the risk remains with the seller.

A further note: Once the sale is *perfecta*, the buyer not only bears the risk – the buyer has some advantages, in the form of profits, as well. Any improvements or benefits in the thing sold, also pass to the buyer when the sale is *perfecta*. For example, when a buyer buys a citrus farm and the sale is *perfecta*, the buyer will bear the risk of damage to the fruit trees, but they will also have the advantage of the crops rendered from that time.

A **suspensive condition** delays or suspends the operation of a contract until the condition is met, or the future event occurs. A contract that is subject to a resolutive condition is immediately binding on the parties, but comes to an end should the future uncertain event occur.

When the risk does not pass to the buyer

In certain instances, the risk does not pass to the buyer as described above.

- If the seller is late in delivering the goods purchased, they will be *in mora*. The seller, being in breach of contract (*mora debitoris*, which means that the debtor is delayed or at fault), will bear the risk for the period of the delay. For example, if the seller sold a horse to the buyer and, during the time that the seller was in delay for delivering the horse to the buyer, the horse is struck dead by lightning, the seller will bear the loss, as the horse would have been safely stalled if the seller delivered the horse on time to the buyer. However, if the seller can prove that, even if they delivered on time, the goods sold would still have been damaged, the seller would not be liable for the damage or loss. For example, if the horse that is delivered late dies of a disease it had before the

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parties concluded the contract, the buyer will bear the risk and will suffer the loss, because the horse would have died because of the disease even if the seller delivered the horse on time.

- If the buyer fails to take delivery, they will be in *mora creditoris*, which means that the creditor is in default. The seller will then only be liable for losses due to their gross negligence, meaning that there is a serious lack on the side of the seller to take care of the thing sold. The seller will not be liable for ordinary negligent damage to the thing sold.
- The seller and buyer may vary the passing of the risk by agreeing in the contract that the risk will not pass to the buyer until delivery, or until ownership passes. The case below is an example of a sale that is subject to a condition.

Gengan v Pathur 1977 (1) SA 826 (D) SA 826 (D)

Principle

Where the normal rules about passing of risk have been excluded by a specific clause, the seller should bear the loss.

Facts

Gengan bought some buildings from Pathur. The contract (a deed of sale) stated that the risk in respect of the property would pass to Gengan (the buyer) on registration of transfer in the Deeds Office. However, before registration of the transfer, but after the signing of the deed of sale, the buildings were partially destroyed by a fire. Gengan used their own money to restore the buildings. After the transfer of the property was registered, Gengan sued Pathur for damages for the costs of repairing the buildings. Pathur's defence was that they were not under any duty to repair the buildings.

The court's finding

In order to decide whether the buyer would be entitled to damages for loss of the buildings, the court stated the following:

> 'Where there is total destruction of the goods through no fault of the seller, the buyer has no claim against the seller because the contract comes to an end because of impossibility of performance. Where the goods are only partially destroyed, the buyer does have a common law remedy against the seller. It does not matter that such damage occurred through no fault of the seller. This still amounts to a material breach of contract. The innocent buyer still has common law remedies of claiming damages and accepting the defective goods or refusing delivery of the goods and claiming proper delivery (of fixed goods) or damages in place of this'.

Therefore, the seller in this case was still under a duty to deliver the buildings in the same condition they had been in when the two parties concluded the contract.

- When the goods sold still have to be weighed, measured or counted, the contract is still not *perfecta*, even if the purchase price has been determined. (See the discussion of the *Poppe* case earlier). The risk will only pass to the buyer once the goods have been weighed, measured, or counted, and set apart. For example, Zandile, who strings bead necklaces to sell, buys 100 beads from a big bag of beads that Sanele is selling at R1 per bead. Neither Zandile, nor Sanele know how many beads are in the bag. The risk remains with Sanele until the 100 beads had been counted and identified.
- Where a sale is subject to a condition, the risk stays with the seller until the condition is fulfilled. (See the discussion of *De Wet v Zeeman* 1989 (2) SA 433 (NC) earlier). In another example, Anele buys a car subject to it being roadworthy. The risk will stay with the seller until the car is declared roadworthy.

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14.3 The passing of ownership in the thing (*res vendita*) sold

As indicated earlier, it is important to remember that the passing of the risk and profit in the thing sold, and the passing of ownership in the thing may happen at different times, as separate juristic acts. The requirements for the passing of ownership depends on the nature of the thing that is sold.

We will discuss four formal requirements for the passing of ownership of the thing sold.

1. Both parties must have the intention that ownership should pass.
2. The seller must be in a position to transfer ownership. The seller must therefore either be the owner of the property, or have the owner's permission to transfer ownership. Only the seller and buyer can agree on transfer of ownership – and only if the seller is the real owner of the thing being sold. If the seller does not own the thing, they do not have the right to transfer ownership to the buyer. In that case, the buyer will generally enjoy legal protection only to the extent of the seller's rights in the thing sold. In other words, the law will not give the buyer any rights – like ownership – that the seller did not have. Suppose that you buy a thing and pay the seller for it in good faith, but it turns out that the thing is stolen, and the seller was not the real owner. Then the rightful owner can claim the thing back from you, and you may have difficulty getting your money back from the seller.
3. The purchase price must be paid, or credit must have been given for its payment.
4. When movable property is sold, there is a rebuttable presumption that the sale was for cash. This presumption can be countered (argued against) or challenged by evidence showing that the parties did not intend the sale to be for cash. We call this a rebuttable presumption, which means that if there is evidence to show that the normal position does not apply to a particular case, then the presumption will be rebutted (defeated). By contrast, irrebuttable presumptions cannot be challenged in this way.

It is important to note that 'cash' does not necessarily mean that the buyer pays with notes and coins. 'Cash' will include payment by credit/debit card or by EFT.

If the seller agrees to accept payment on a day after the date of delivery, the law will assume that the seller gave the buyer credit.

The intention to give credit can be implied from the circumstances.

Added value — Credit granted?

Other examples of factors that may indicate that credit was granted include the following: where the seller agrees to take security for the payment of the purchase price, where the contract states that the buyer must pay interest on the purchase price, where the seller during previous dealings with the buyer allowed credit, and where the seller knows that the buyer is buying the goods for resale purposes.

Whether or not delivery has taken place, the general rule is that buyers will become owners of whatever they are buying only when they have paid the purchase price or received credit from the seller. Therefore, with a sale of movable property, the law adopts the rebuttable presumption that if the sale was for cash, the seller intended to pass ownership on receiving payment. If the sale was on credit, it is presumed that the seller intended to pass ownership on delivery of the property.

- When delivery is not possible (as in the case of a house, which is **immovable property**), transfer of the property from the seller to the buyer is done by registration in a Deeds Office. The legal work involved in the transfer of immovable property and registration of deeds is handled by conveyancers.

Immovable property is an asset that cannot be moved form one place to another.

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Added value Lessons from maize exports

The case of *Lendalease Finance (Pty) Ltd v Corporacion De Mercadeo Agricola and Others* 1976 (4) SA 464 (A) involved the sale of maize to a purchaser in Venezuela. The issue to be decided was when the ownership of the maize passed to the buyer. While the actual decision of the court is not relevant, the following list, drawn from the Supreme Court of Appeal, is a useful summary of the requirements for the passing of ownership:

- Ownership does not pass by virtue of the contract of sale alone.
- There must at least be delivery of the thing being sold.
- In the case of a cash sale, ownership passes when there is delivery and payment at the same time.
- In the case of a credit sale, ownership passes on mere delivery, but the parties must have intended that credit be granted. Credit is usually granted where payment has been postponed for a long period after delivery.
- Whether a sale is for cash or credit depends on the intention of the parties. Their intention must be determined from the terms of the contract and all the surrounding circumstances.
- Until the opposite is proved, every sale is presumed to be for cash.
- A cash sale can become a credit sale through a change in the intention of the parties.

Activity 14.1

This is a long chapter with a lot of legal principles to remember, so make time now to revise what you have covered so far and summarise it in a mind map or some other type of diagram. If possible, use small line drawings to help you remember the concepts. Also, page through the rest of the chapter and jot down the heading structure so that you get an idea of where the discussion is going. It is much more effective to follow a map to know where you are going than to just drift along. This applies to all the chapters that you work through for study purposes.

14.4 The common law duties of the seller

The seller has the following duties:

- the duty to take care of the goods until delivery
- the duty to deliver the goods
- the duty to give free and undisturbed possession of the goods, which includes:
  - the duty not to interfere with the buyer's use and enjoyment
  - the warranty that the buyer will not be evicted
- the duty not to make false statements
- the duty to assume responsibility for latent defects in the goods.

14.4.1 The duty to take care of the goods (*res vendita*) until delivery

Earlier, in section 14.2, we discussed the passing of risk and profit in the goods sold. Now will be a good time to revise that section, as it is applicable to this duty by the seller.

The seller has the duty to take care of the thing sold until delivery takes place. The seller will be liable if the thing sold is damaged or destroyed due to their fault, whether deliberate or by their negligence. However, if the buyer is late in taking delivery (in *mora*) the seller will only by liable for gross negligence or intent on their part. The extent of care that is required by the seller is that of a reasonable person in the same circumstances.

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14.4.2 The duty to deliver the goods

A general duty of the seller is to deliver the goods sold to the buyer. 'Deliver' does not mean that the seller must physically take the goods to the buyer. Instead, the seller's obligation is to make the goods available to the buyer in a deliverable state. The buyer is responsible for loading and transportation of the goods, unless the parties agreed otherwise.

Unless the parties have agreed on a place and time to deliver the goods, the seller must make them available at the place where they are at the time of sale, and they must generally be made available immediately (or at least within a reasonable time). The seller must deliver the goods specifically agreed upon together with any accessories and fruits. Below, we will look at the different types of delivery.

Types of delivery

Delivery of a thing is not the same as changing ownership of that thing. It refers to the handing over of a thing from one person to another. There are different ways of delivering things, depending on the type of thing being delivered. This contract does not, by itself, cause the buyer to become the owner of the goods. The contract simply gives the buyer the right to claim delivery of the thing they have bought from the seller. Delivery of the thing is necessary for the transfer of the rights of possession or ownership.

There are six different types of delivery, namely:

1. actual delivery
2. symbolic delivery
3. delivery with the long hand (*traditio longa manu*)
4. delivery with the short hand (*traditio brevi manu*)
5. transfer of possession (*constitutum possessorium*)
6. attornment.

Let us look at these six different types of delivery in greater detail.

Actual delivery

Actual delivery is the most common form of delivery. For example, a seller may physically bring a guitar to the buyer's home and hand it over.

Symbolic delivery

In symbolic delivery, the handing over of the thing is symbolised or represented by some other action. For example, when someone sells you a car, they will hand over the keys to you to symbolise that they are handing over the car.

Delivery with the long hand (*traditio longa manu*)

This method is mainly used where the property is too heavy or big to be physically handed over. For example, a farmer who is selling a flock of sheep may point out the sheep to the buyer and make them available to the buyer.

Delivery with the short hand (*traditio brevi manu*)

Consider a situation where, for some time, you have been using or renting a thing that belongs to someone else. Then you decide to buy it from them. You and the other person may agree that, although you are now entering into a contract of sale, it will be pointless for you to give the thing back to the seller so that they can deliver it to you. You simply keep the thing, but now you are its owner. This is an example of delivery with the short hand.

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Transfer of possession (*constitutum possessorium*)

Transfer of possession is the opposite of delivery with the short hand, because the buyer agrees that the seller will keep the thing for them after the sale. In other words, the seller then has possession of the thing on behalf of the buyer. This meets the requirement of delivery.

Attornment

With delivery by attornment, there is an agreement between the seller, the buyer, and a third party that from the date of the sale, the third party will look after, or hold, the thing on behalf of the buyer. For example, Anna sells their pearls that they left with a jeweler to re-string to Beatrice. Anna, Beatrice, and the jeweler agree that thereafter the jeweler will hold the pearls on Beatrice's behalf. Ownership passes to Beatrice on the conclusion of this agreement.

14.4.3 The duty to give free and undisturbed possession of the goods (*res vendita*)

There are two elements to this duty, namely the seller's duty not to interfere with the buyer's use and enjoyment of the goods, and the seller's warranty that the buyer will not be evicted.

The seller's duty not to interfere with the buyer's use and enjoyment

Sellers will be in breach of contract if they do anything that directly or indirectly interferes with the buyer's use and enjoyment of the goods sold. For example, the court in *A Becker and Co (Pty) Ltd v Becker and Others* 1981 (3) SA 406 (A) decided as follows:

> 'When a business is sold with its goodwill, but without any promise not to compete, the seller is privileged to open up a new business in competition with the buyer; but he is under an obligation not to solicit his former customers or to conduct his business under such a name and in such a manner as to deprive the buyer of the 'goodwill' that he paid for'.

The seller's warranty that the buyer will not be evicted

Eviction means that a third person (other than the seller or the buyer), with a better right to the goods sold, claims those goods from the buyer or takes them away from them. The seller's warranty against eviction therefore means that they warrant that there is no such third person with a right to the goods. A warranty against eviction is applied automatically by operation of law, unless the parties exclude the warranty in the contract. A seller who sells something that they do not own cannot transfer the ownership of those goods to the buyer. The true owner may claim the property from the buyer. This means that the buyer is threatened with eviction of the property that they bought and they are therefore deprived of the property. When this happens, the buyer has a claim against the seller for breach of the warranty against eviction. For example, suppose I bought a watch from a hawker on the street and then sold it to you. As far as I was aware, I owned that watch, and we both now think the right of ownership has passed to you. Your cousin, who is the true owner, sees you with the watch and claims it back. You have no right of ownership to that watch, even though you bought it from me, because I also did not have right of ownership.

The warranty protects the buyer even if only a part of the thing is taken away or if the buyer's enjoyment is reduced in any way by the party with the greater legal right.

Below is the procedure the buyer must follow when a third party threatens eviction.

When buyers are threatened with eviction, they have a choice:

- They can voluntarily hand the goods over to the third party. However, if the buyer wants to recover their damages from the seller, they must prove that the third party's right to the goods were legally unquestionable, which means that the third party's right was valid against both the seller and the buyer.

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- The buyer can alternatively refuse to hand over the goods until compelled to do so by law. If the buyer wants to claim against the seller after the buyer was evicted from the goods, the buyer must give notice to the seller when the buyer is sued and ask the seller to intervene or assist them in defending the claim. If the buyer cannot find the seller, the buyer must put up a proper defence in court. If the buyer does not do this, the buyer may not claim their damages from the seller later.

Lammers and Lammers v Giovannoni 1955 (3) SA 385 (A)

Principle

When a buyer wants to claim against the seller after the buyer was evicted from the goods, they must ask the seller to intervene or assist them in defending the claim when the buyer is sued by the owner.

Facts

C Motors sold a used car to T on credit. While there were still amounts owing in terms of the credit agreement, T wrongfully sold the car to Lammers and Lammers (L & L) for cash. L & L stripped the car and sold the parts as spares. They then sold the shell of the car to Giovannoni (G) who intended to rebuild the car. None of them knew that the 'shell' belonged to C Motors. G spent money rebuilding the car and registered it in his name. C Motors sued T for the outstanding money and asked the sheriff to attach the car that was in G's possession. G called on L & L for assistance, but they referred G to their attorney, who referred G back to L & L. G sued L & L for damages for eviction. L & L said that G had no claim, as they should have put up a vigorous defence.

The court's finding

The court held that once the seller (L & L) had failed to come to the assistance of the buyer (G), the seller was not able to claim that the buyer should have been more vigorous in the buyer's defence of possession.

The buyers have the following legal remedies when evicted. They are entitled to the repayment of the purchase price, as well as any additional damage they have suffered. This could include legal costs and any increase in the value of the goods from the time it was purchased to the date of eviction. In cases where there has been a lot of wear and tear in a thing, the courts may decrease the sum that the seller has to repay.

There are certain limitations to the warranty against eviction. The seller will not be held liable in the following instances:

- Eviction was caused by an act of God or anything else that's completely out of the seller's control.
- The buyer's claim has become prescribed – in other words, the claim is too late.
- The seller informed the buyer, when they concluded the contract of sale, that they were unsure whether or not the thing belonged to them.
- The buyer knew, at the time they concluded the contract, that the seller was not the owner of the thing that was being sold.

14.4.4 The duty not to make false statements

When sellers praise the ability or performance of the thing that they sell, such as 'this is the best car in its class', their statement will amount to 'puffing', often referred to as 'sales talk', which amounts to an opinion, not a fact and will not have legal consequences. What is important here is when the seller makes an **innocent misstatement**, a *dictum et promissum*, which causes the purchaser to enter into a contract. A *dictum et promissum* refers to a material statement made during negotiations concerning the qualities of the thing sold.

An **innocent misstatement** is made neither fraudulently nor negligently.

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Phame (Pty) Ltd v Paizes 1973 (3) SA 397 (A)

Principle

If a seller makes a *dictum et promissum* that causes the buyer to enter into the contract, or to agree to the price in question, and it is shown later that the statement was false, the buyer may, by law, rely on the *aedilitian* remedies (including claiming a reduction in purchase price).

It is a question of fact in each case as to whether a statement by the seller goes further than normal praise or sales talk.

Facts

In the case of *Phame (Pty) Ltd v Paizes* 1973 (3) SA 397 (A), Paizes (the plaintiff) negotiated with the defendant (Phame (Pty) Ltd) for the purchase of the Phame's shareholding in a company. The main asset of the company was a rent-producing immovable property. Phame was aware that Paizes was interested in the purchase of this property because of the income derived from the property. A relevant factor to be considered in deciding the true value of the shareholding was the expense it incurred in connection with the property. The defendant's agent showed the plaintiff that the annual municipal assessment rates and other charges were about R4 600. As a result, the plaintiff agreed to buy the entire shareholding from the defendant for R846 000. However, this was a false representation, because the company's annual liability for rates and other charges was in fact R14 700, which made the true value of the shareholdings only R815 000.

The court's finding

The plaintiff successfully claimed a reduction of the purchase price by an amount of R31 000 on the grounds that the defendant had made a false *dictum et promissum*. A *dictum et promissum* is a statement, made by the seller to the buyer during the negotiations, that describes the quality of the thing being sold and goes further than just normal praise of the quality of that thing.

14.4.5 The duty to assume responsibility for latent defects

A seller is responsible for latent defects in the goods sold, which existed at the time of the sale, even if the seller was not aware of the latent defects at the time of the sale. The reason for this is that the seller is in a position to be aware of the defects in the goods.

The defect must be material

For a defect to be material, it must be one that affects the purpose for which the thing is going to be used or for which a thing like that is normally used. In legal terms, we determine whether something counts as a defect by asking whether it 'materially impairs the usefulness or effectiveness' of the thing being sold. For a buyer to be able to complain to the seller in law, the defect should be more than just a very minor problem. The test is whether a reasonable person would consider the problem to get in the way of the thing's use.

Sarembock v Medical Leasing Services (Pty) Ltd and Another 1991 (1) SA 433 (A)

Principle

For a defect to be material it must be one that affects the purpose for which the thing is going to be used or the reason for which it was bought.

Facts

The buyer bought a Porsche 911 SC, but later found that the front was cut off and replaced with the front of another Porsche 911 SC. This did not make the car less safe to drive, but the court found that it amounted to a latent defect.

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Sarembock v Medical Leasing Services (Pty) Ltd and Another 1991 (1) SA 433 (A) (continued)

The court's finding

These kinds of cars are normally bought for their high-performance capabilities or as investments. The seller was aware that the buyer bought the car as an investment. The replacement of the front end materially impaired the car as an investment.

The defect must be latent

The law requires that the defect must not only be material but must be hidden, or latent. A fault that is clear or obvious on reasonable inspection of the thing is known as a patent defect, and normally does not result in any common law remedies related to defective goods. But, if a defect is not visible, even when the thing is reasonably inspected, it is known as a latent defect. For example, you may go to a bookshop and decide to buy a certain book after reading the cover and merely browse through the book. If there are a few pages missing, you will not notice it until you read the whole book or get to that part of the book. Those missing pages would qualify as a latent defect.

Lakier v Hager 1958 (4) SA 180 (T)

Principle

The buyer has a duty to inspect and examine the thing being purchased.

Facts

The buyer bought a 19-year-old Morris car, unaware that there was a crack in the chassis of the vehicle. The car was not in a good condition anyway.

The court's finding

The court held that the buyer should have given the car a proper inspection, which should have included examining the entire external part of the car – both top and bottom. If the buyer had done this, the buyer would have discovered the defect immediately. The court therefore held that the cracked chassis did not amount to a latent defect. This meant that the buyer's claim against the seller was defeated.

Instances when there is no duty

If the seller warns the buyer of a hidden problem in the thing at the time of the sale, the seller will not be responsible to the buyer for that defect. The seller will also not be responsible to the buyer if the buyer knows of the defect but still buys the thing, or if the defect came about only after the contract was concluded.

Dibley v Furter 1951 (4) SA 73 (C)

Principle

The test whether a characteristic materially impairs the usefulness of the property sold is objective.

Facts

Furter sold a farm to Dibley without disclosing that there is a graveyard close to the farmhouse. Before the sale, Furter ploughed over the graveyard and it could not be seen. When Dibley found out about the graveyard, he wanted to cancel the sale, arguing that the graveyard constituted a latent defect, and that Furter had a duty to disclose it to him.

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Dibley v Furter 1951 (4) SA 73 (C) (continued)

The court's finding

A latent defect must diminish or destroy the usefulness of the property for the purpose for which it has been sold. Objectively, the non-disclosure of the existence of the graveyard did not amount to a latent defect, as the area with the graveyard could still be used for farming.

Contracts of sale, especially for second-hand things, usually include a clause stating that the buyer will not hold the seller responsible for any hidden defects. This is known as a 'take it as it is' sale, and is another case where there is no duty on the seller to be liable for anything that is wrong with the thing. The clause that relieves the seller of liability for any faults is called the ***voetstoots*** clause, and we say the thing is sold *voetstoots*.

The term ***voetstoots***, meaning 'to push with the foot', apparently comes from the early days of livestock sales in farming areas. Once the deal had been done and the money paid, the seller would prod the animal towards the buyer with his foot, thereby completing the sale.

Added value — *Voetstoots* clause

The inclusion of a *voetstoots* clause in the contract normally means that there is no duty on the seller to promise that there is no hidden defect. By signing a contract with a *voetstoots* clause, buyers agree that they are buying the thing with all its faults, and will not hold the seller liable for any hidden defects. The *voetstoots* clause in the contract will however not help a seller where the buyer can prove that the seller knew about a defect and deliberately hid it from the buyer at the time of the contract. In this case, the seller could also be guilty of fraud.

Remedies

The common law remedies available to a buyer who has purchased latently defective goods are collectively called the ***aedilitian*** remedies – the *actio redhibitoria* and *actio quanti minoris*. Note that these are different from the usual contractual remedies for breach of contract.

The common law remedies available to a buyer who has purchased latently defective goods are collectively called the ***aedilitian*** remedies.

Actio redhibitoria (redhibition)

If the defect is material, meaning so serious that the buyer cannot use the thing for its intended purpose, or if the buyer would never have bought the thing if they had known about the defect, the buyer can cancel the contract and get their money back (assuming that they already paid), in addition to interest and expenses. Expenses could include transportation costs in taking delivery, the cost of taking care of the thing (storage costs), payment of expenses in examining the thing to discover the defect, and the cost of returning the thing to the seller. The defective thing has to be returned to the seller. Innocent parties must therefore be placed in the position they were in before entering into the contract. If buyers, by their behaviour or by what they say, create the impression that they will keep the thing even though it has faults, then the buyers could, in law, waive (do away or give up) the right to this remedy. The buyers may still use the *actio redhibitoria* where they cannot return the thing because it was destroyed as a result of the defect, or through no fault of the buyers, or while it was being used normally.

Actio actio quanti minoris (reduction in the purchase price)

If the defect is of such a nature that a reasonable buyer, if they had known of the defect, still would have bought it, but for a lesser price, the buyer may claim a reduction of the price paid, while keeping the thing. The amount of the reduction will be the difference between what the buyer paid for the thing and what the market value of that thing was in its defective state at the time the defect was discovered. This remedy is known as the *actio quanti minoris*, meaning a reduction in price. In other words, where a hidden defect means that a thing priced at R2 000 is actually only worth R1 000, the buyer may use the *actio quanti minoris* to claim a reduction of R1 000.

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Aedilitian remedies and damages

The *aedilitian* remedies do not generally include a claim for damages. There are, however, three instances where the buyer will be able to claim damages in addition to the *aedilitian* remedies:

1. When the seller has specifically promised either that the thing is free of defects or that it has certain good features, and these promises prove to be false, the court will allow contractual damages.
2. If the seller knew about the defect (or should have known), and deliberately kept quiet about it, the court may award delictual damages.
3. Where the sellers are manufacturers or merchant dealers of the product and they tell the public that their product has some special quality or ability but it turns out that this is not the case, and the buyer suffers additional loss because of the latent defect. The manufacturer or dealer will then be responsible for damages. This is known as the manufacturer's or dealer's liability for consequential loss. The case below is an example of the award of consequential loss.

Added value *Actio empti*

The Roman name for the court action to claim damages is *actio empti*. Damages can be claimed by the buyer with or without cancellation of the contract of sale.

***Holmdene Brickworks (Pty) Ltd v Roberts Construction Co Ltd* 1977 (3) SA 670 (A)**

Principle

The manufacturer or merchant dealer of a latently defective product is responsible for consequential loss.

Facts

Holmdene Brickworks, the manufacturer and seller of bricks, sold bricks to Roberts Construction that contained a large amount of magnesium sulphate. This caused the bricks to crumble and Roberts Construction had to demolish certain walls that were built with the bricks.

The court's finding

The court held that the bricks were defective. Holmdene Brickworks, the manufacturer, was held liable to pay for breaking down the walls built with the defective bricks and to pay to have them rebuilt, together with other expenses.

14.5 The common law duties of the buyer

The buyer has the following duties:

- the duty to pay the purchase price
- the duty to accept delivery
- the duty to reimburse the seller for expenses.

14.5.1 The duty to pay the purchase price

The primary duty of the buyer is to pay the purchase price. Note that the price will not always be paid completely with money. For example, when a dealership sells a new car, it often accepts the old car as part of the purchase price (often referred to as a 'trade-in'). However, at least part of the price must be paid with money, because that is one of the essential aspects of a contract of sale. Otherwise, the contract could be a contract of barter, or exchange.

The price must either be a fixed amount or the parties must have agreed on some way of calculating it. A sale at a price of 'whatever the buyer feels is reasonable', or 'to be agreed upon by the parties', is invalid. The following case also deals with the duty of the buyer to pay the purchase price.

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Patel v Adam 1977 (2) SA 653 (A)

Principle

The price must be described in such a way that it is fixed or legally possible to determine.

Facts

Adam sold immovable property to Patel for R25 000. The relevant term of the contract stated that the purchase price 'shall be payable in monthly instalments, free of interest'. Adam believed that the contract of sale between himself and Patel was void, because the purchase price had not been properly described. After Patel had paid off R16 000 of the purchase price, Adam claimed for the return of the immovable property.

The court's finding

The court held that the price must be described in such a way that it is fixed or legally possible to determine. The method in which payment has to be made must also be determined, or capable of being determined. The wording in this contract was held to be so vague that the amount and number of instalments could not be determined. As a result, the contract placed the method of payment within the sole discretion of the buyer. This was not acceptable, and the court held that it made the contract void. In other words, Adam succeeded in reclaiming the immovable property that he had sold to Patel, because the contract of sale was found to be void.

The manner in which the buyer must pay the purchase price is influenced by considerations of time and place and by whether the sale is for cash or credit.

- With a cash sale, the buyer must pay the price at the time when the seller delivers the thing purchased. Ownership will normally only pass when the price is paid.
- With a credit sale, the parties agree that the buyer will pay the price on or by a specific future date. Normally, such an agreement includes payment of interest on the purchase price. If the buyer is late in making any payment, then they must pay interest.
- When the parties have not agreed on a time period, the buyer must pay within a reasonable time, considering all the circumstances. If a date for payment is specified, but this date happens to be on a Sunday or public holiday, payment should be made on the next business day. It is usually implied between the parties that payment should be made within business hours.
- Payment must be made at the place that the parties agreed to.
- With a cash sale, where the parties have not agreed to a specific place for payment, the buyer has to pay at the place where the goods are delivered. In the case of a credit sale, the buyer should tender payment to the seller to avoid being in breach of contract. The buyer can pay at any place, although it usually happens at the place where the contract was signed.

If buyers fail to pay the purchase price, they are in breach of contract and, more specifically, in breach of a duty that they owe to the seller. The seller's remedy is to claim the amount agreed on, plus interest from the date when payment became due.

Buyers often order goods from a trader or dealer without any mention of the price. In such instances, the court will assume that the parties intended that the price usually charged for such goods by the seller will apply. If there is no 'usual price', then the market price of that type of goods will be deemed (assumed) to be the price. The agreement is still a valid contract of sale.

14.5.2 The duty to accept delivery

The buyer must accept delivery at the time and place where the parties agreed that delivery will take place. If there is no such agreement, delivery must be accepted within a reasonable time.

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14.5.3 The duty to reimburse the seller for expenses

Where the buyer delays in removing goods held in storage, and this causes unnecessary costs for the seller, the buyer must repay these costs.

Activity 14.2

If a buyer pays in instalments, the payments will usually include interest. Find out the rate of interest that you would have to pay your bank if you borrowed R10 000. Also, ask the bank what interest would accrue on your money if you deposited money (R10 000) for various periods of time.

Finally, consider the following situation: You buy a car for R100 000. The bank gives you a loan for the full amount and pays the car dealer. You repay the bank R 5 000 every month, and it charges you interest at the current rate. Work out how long it will take you to pay for the car and how much you will actually have paid, once you have included the interest.

14.6 Examples of statutory protection of buyers in specific contracts of sale

Up to now, we discussed contracts of sale in terms of the common law. Below, we refer to some contracts of sale that are regulated by legislation.

14.6.1 Sale of immovable property

Note that the transfer of immovable property from the seller to the buyer is done by way of registration in a Deeds Office. The legal work involved in the transfer of immovable property and registration of deeds is handled by conveyancers.

There are a number of pieces of legislation applicable to the sale of land. We will briefly refer to them.

Sale of land

The Alienation of Land Act 68 of 1981 regulates contracts for the sale of land. We highlight only a few aspects of this Act. No sale, exchange, or donation of land will be of any effect unless it is contained in a written deed of sale that must be signed by the buyer and the seller, or by their agents acting on their written authority. Section 29A of the Act gives the buyer of land (excluding agricultural land) a five-day cooling-off period. This means that the buyer may cancel the contract within five days after signature of the deed of sale, by giving written notice to the seller or the seller's agent. However, the buyer has no right to cancel the contract if: the price exceeds R250 000 (or such higher amount as the Minister may prescribe); or if the buyer is a trust, company, close corporation or another type of juristic person; or if the land was bought at an auction that was publicly advertised; or if the parties have previously entered into a deed of sale of the same land on substantially the same terms; or the buyer has reserved the right to nominate or appoint another person to take over his rights and obligations; or the buyer bought the land by exercising an option that was open for at least five days. In terms of the Act, the written notice must identify the deed of sale in question, have no conditions, and be signed by the buyer or by the buyer's agent acting on written authority.

On termination of the deed of sale, the buyer is allowed a refund, within ten days of the date on which the notice terminating the deed was delivered, of any amounts they already paid. If a buyer signs an offer to buy land within five days after having signed a deed of sale to buy other land, and this buyer does not, in good faith, intend buying both pieces of land, the law sees this buyer as having exercised the right to terminate the earlier sale. The buyer must immediately send written notice to the seller of the first piece of land. A failure to do so is a criminal offence in terms of the Act. In other words, you cannot sign two deeds of sale and then take your time to decide which property you want.

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Sale of sectional title property

The Sectional Titles Act 95 of 1986 is applicable when you buy a sectional title property, such as a townhouse in a complex, or a unit in a block of flats. The Sectional Title Schemes Management Act 8 of 2011, requiring a body corporate to ensure that sectional title schemes are properly maintained, that levies are collected to cover the common expenses and operating costs that the scheme will incur during the forthcoming financial year, and to enforce the prescribed management rules. If you have any problems, for example, with how the rules are enforced in the block of flats where you live, you may complain to the Community Schemes Ombud Service in terms of the Community Schemes Ombud Service Act 9 of 2011.

Protection for sellers and buyers of immovable property

The Property Practitioner Act 22 of 2019 came into operation on 1 of February 2022. The Act offers protection to buyers of immovable property by forcing **property practitioners** to get a signed form from the sellers in which they must list all the defects on the property that they know of. If this form is not produced, it will be seen than no defects were disclosed to a buyer. If the property practitioner accepts a mandate and does not attach the form to the agreement of sale, they may be held liable by the buyer.

Property practitioner does not only refer to estate agents, but now includes other role players, such as bridging financiers, property developers, and property managers, to name a few.

14.6.2 Sale in execution

Sometimes, a person is unwilling or unable to pay an amount of money that they owe to another person. As indicated in Chapter 2, in terms of our civil procedure, the court may award judgment (by default) to the plaintiff. When the judgment debtor still does not pay the money to the plaintiff, the plaintiff's attorneys will instruct the sheriff to hold a sale in execution of the property of the judgment debtor. The sale is by public auction and is regulated by the rules of court. The money brought in by the auction goes towards settling the judgment debt once legal costs have been deducted.

The sheriff will always try to sell movable things belonging to the debtor before selling any immovable property. If the sale brings in more than the amount owed to the plaintiff, after all costs have been deducted, the judgment debtor will receive the balance of the money.

Activity 14.3

Search online for properties on sale in your area. Try to visit the house and talk to the estate agent who is selling it. The estate agent should tell you what the selling price of the house is. Your task is to get a breakdown of all the extra costs you would have to pay if you wanted to buy the property. The estate agent should be able to help you with this. Extra costs may include attorneys' fees, costs of registering a bond, transfer costs, and so on.

14.6.3 Protection of buyers in electronic transactions

The Electronic Communications and Transactions Act 25 of 2002 (ECTA) provides protection to someone who buys goods by way of electronic transaction, such as on the internet. For details, see Chapter 19.

14.6.4 Protection of consumer buyers

The Consumer Protection Act 68 of 2008 (CPA) and the National Credit Act 34 of 2005 (NCA) provide extensive protection to consumers who buy goods in terms of contracts that are regulated by these Acts. For details, see Chapters 16 and 17.

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Added value Types of sales regulated by the Consumer Protection Act

A sale on approval is where a sale is subject to a suspensive condition that the buyer will only be bound if he keeps the goods for longer than a certain period. A sale on return is a sale subject to a resolutive condition that the sale will lapse if the buyer returns the goods within a certain period. Did you know that lay-by agreements are also regulated by the CPA?

14.6.5 Auctions

An auction is a sale, usually open to the public, where the buyers bid in competition with one another on the thing on auction, which is sold to the highest bidder. Auctions are regulated by the common law, the CPA and its regulations.

What do you think?

Andile buys a house from Bongani for R2 000 000 by way of a written agreement on 4 May. Andile pays Bongani a cash deposit of R100 000. On the same day, Andile secures a loan of R1 900 000 from the bank for the balance of the purchase price and the bond will be registered against the property when the transfer is registered in the Deeds Office. Andile is aware that there is still one year left on the rental agreement that Bongani signed with the existing tenants occupying the house. The tenants pay a monthly rental of R18 000. On 28 May, before the house and mortgage bond is transferred into Andile's name, the thatch roof of the house is hit by lightning, setting it alight and causing the house to burn down.

On 30 May, Bongani's conveyancing attorney calls upon Andile to furnish them with a bank guarantee for the outstanding R1 900 000 to enable them to effect transfer of the property in Andile's name in terms of the contract of sale. Andile is upset, maintaining that neither furnishing a guarantee nor paying for the house is required, as the house burnt down. Andile furthermore claims the rental paid by the tenants from 4 to 28 May from Bongani.

What do you think? Is Andile obliged to pay the outstanding amount owing on the purchase price? Is Andile entitled to the rental amount paid by the tenants?

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Chapter summary

In this chapter, you learned the following about the duties that the law of sale imposes on sellers and buyers:

- When a contract of sale is concluded, the risk of accidental harm passes to the buyer as soon as the sale is *perfecta*, or perfected. The sale is perfected when:
  - the item to be sold is determined
  - the purchase price is decided
  - the contract is not subject to any conditions.
- The seller has the following duties to the buyer:
  - the duty to take care of the goods until delivery
  - the duty to deliver the goods
  - the duty to give free and undisturbed possession of the goods, which includes:
    - the duty not to interfere with the buyer's use and enjoyment
    - the warranty that the buyer will not be evicted
    - the duty not to make false statements
    - the duty to assume responsibility for latent defects in the goods.
- There are certain situations where the risk may not pass to the buyer because the sale is not perfected. One example is where the goods still have to be measured, weighed or counted.
- Signature of a contract of sale is not enough to transfer ownership of property from the buyer to the seller. Ownership passes when:

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- the seller is allowed to sell the item
- both parties have the intention that ownership will be transferred
- the price is paid (or credit is given)
- in the case of immovable property, the property is registered in the name of the buyer
- in the case of movable property, delivery has taken place.

- Delivery of movable property may take any one of a number of forms, such as actual delivery, symbolic delivery, *traditio longa manu, traditio brevi manu, constitutum possessorium* and attornment.
- The intention of the parties determines the way in which the purchase price is paid (cash, or credit granted). The manner of payment determines when ownership passes.
- Generally speaking, unless the contract of sale excludes this duty (normally by way of a *voetstoots* clause), the seller is responsible to the buyer to disclose hidden defects in the property, even if the seller was unaware of them.
- The remedies available to an innocent buyer for hidden defects are known as the *aedilitian* remedies.
- The duties of the buyer are:
  - to pay the purchase price
  - to accept delivery of the item
  - to reimburse the seller for any necessary expenses incurred.
- Statutory protection is provided for in:
  - the sale of immovable property: The Alienation of Land Act 68 of 1981 regulates contracts for the sale of land and also provides for a 'cooling-off' period in certain cases.
  - a sale in execution: A sale in execution is one way of enforcing a judgment obtained in a court of law in terms of the rules of court.
  - electronic transactions: Regulated by the Electronic Communications and Transactions Act 25 of 2002
  - consumer buyers: Regulated by the Consumer Protection Act No 68 of 2008 and the National Credit Act 34 of 2005.
  - auctions: Regulated by the common law, the Consumer Protection Act and its regulations.

Review your understanding

1. Siphiso buys a 15-year-old Citi Golf from Mymoena for R20 000. Siphiso does not inspect the car at the time, and signs no contract. Shortly after delivery of the car, Siphiso finds a crack in the chassis (the underside) of the vehicle. Which one of the following statements is most CORRECT?
   a) Siphiso will be entitled to relief in terms of the *actio redhibitoria*, as the seller is liable for latent defects in the *res vendita* that existed at the time of the sale.
   b) Siphiso will be entitled to relief in terms of the *actio quanti minoris*, as the defect is such that a reasonable buyer, if they had known about it, would have bought the car for a lesser price.
   c) Siphiso is not entitled to any relief, as there is no defect, for purposes of the law, in the vehicle.
   d) Siphiso is not entitled to any relief from Mymoena, as the cracked chassis does not qualify as a latent defect.
   e) Siphiso is not entitled to any relief, as they should have employed an expert to inspect the *res vendita*.
2. Suppose you had enough money to buy the car of your dreams, and you paid for it in cash. What would the legal position be if it turned out that the dealership you bought it from had sold you a stolen vehicle?

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Further reading

Fouché M.A. et al. 2021. *Legal Principles of Contract and Commercial Law*, 9th ed., Durban: LexisNexis South Africa, Chapter 19.

Glover, G. 2015. *Kerr's Law of Sale and Lease*, 4th ed., Durban: LexisNexis South Africa

Schulze, H. et al. 2019. *General Principles of Commercial Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd, Chapter 13

Sharrock, R. 2017. *Business Transactions Law*, 9th ed,. Cape Town: Juta and Co. (Pty) Ltd, Chapter 16

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Chapter
15 The law of lease

The main ideas

- Definitions related to a contract of lease
- Types of lease agreement
- Contractual agreements within leases
- The legal effect of a lease including renewal of leases
- The lessee's right to occupy against third parties
- Protection of the lessee
- The duties of the lessor
- The duties of the lessee

The main skills

- Distinguish between an agreement of sale and lease.
- Summarise the elements of a lease agreement, drawing a mind map.
- Explain what the essentials of a lease are.
- List the rules that govern how rent may be specified in a lease.
- Analyse the type of lease you need.
- List the advantages, for both the lessor and the lessee, of having a written lease.

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This chapter outlines the basic rules regarding the leasing or hiring of property, and distinguishes between the different types of lease. It covers the rights and duties of each party to a lease, together with the remedies available to each party if the other one breaches the contract.

Before you start

In the world of business and in your personal life, you will often come across contracts of lease. Your first thought may be of a lease agreement you sign when renting a flat. You will be the lessee, using the immovable property of someone else (the lessor), by paying rent, without having to buy it. You may also rent movable property, such as vehicles or electronic devices. The lessor and lessee both have certain duties. There are also certain risks involved, such as for the lessor, in allowing someone to occupy or use their property. A lease agreement is very important for both the parties. We will start by discussing the law of lease in terms of common law. Later on, we will refer to leases that are regulated by legislation.

15.1 Definitions related to a contract of lease

A contract of lease is an agreement between a lessor and a lessee in terms of which the lessor agrees to give the lessee the undisturbed temporary use and enjoyment of part or all of a property. In return, the lessee agrees to pay rental. The property may be movable, such as building machinery or musical equipment. The lessor, who is usually the owner of the property, is the person who rents out the property to someone else. The lessee or tenant is the person who pays rent to use someone else's property. Contracts of lease may be verbal or written. A verbal contract of lease is valid and binds the parties, unless they intend that the contract will be binding only when it is in writing. It will however always be better to have a written lease, as an unwritten lease may be difficult to enforce against third parties.

The lessor does not necessarily have to be the owner of the property. For example, in terms of a sublease, the lessee of a property leases that property to another person, called the sub-lessee. In this case,

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the lessee is renting property to a sub-lessee, even though the lessee does not own the leased property. For example, one student might rent a house from an owner, and then sublet rooms in that house to other students. The lease might either allow or not allow subletting or only allow subletting under set conditions. For example, the lessor might allow the lessee to sublet provided the lessor has agreed to whom the property will be sublet. Any duty on a lessee (as set out below) will bind a sub-lessee too. Most rights of a lessee, such as to occupy the leased premises will be enjoyed by the sub-lessee too. Some rights of a lessee do not extend to the sub-lessee, such as if a lease provides for a lessee to extend their lease, that right does not automatically extend to the sub-lessee.

However, if the lease forbids subletting, the lessor may evict the sub-lessee and he may be entitled to cancel the original lease.

We will now discuss the different parts of the definition and the legal effects of a lease in more detail.

15.1.1 The use and enjoyment of the property or item leased

The contract must include a promise by the lessor to make the leased thing available for the lessee's use and enjoyment for the period of the lease. The contract is not a lease if it gives the lessee greater rights, such as the power to use up or sell the property.

The lessor does not necessarily have to be the owner, as in the case of subletting, discussed earlier.

It is possible for a lessee to lease only part of the leased property. For example, Anne is the owner of a shop. Ben rents a specified number of square metres of the shop to display their goods. However, Anne (the lessor) must give Ben (the lessee) undisturbed use and enjoyment of that part of the shop.

The property leased must be identified or identifiable in terms of the agreement. Both parties must be in agreement on exactly which property is the object of the lease. The contract should identify the property by giving its street address by way of a description. For example, '7 Wilson Street, Newlands, Cape Town' or 'XY Office Printer with serial number 1234567'.

A lessee's rights include the right to use the property and its fruits. A fruit is something that is produced by the property. For example, if someone leases a flock of sheep, the lessee has the right to use and enjoy any lambs born during the lease. But this does not mean they can eat those lambs! They can only use their wool (like the wool of the other sheep). The lambs become part of the lease. They belong to the lessor and must be returned at the end of the lease, together with the rest of the flock.

The lessee must use the property for the purpose agreed to with the lessor. For example, if you rent a property as a place to live, then you cannot use it as a factory.

15.1.2 The duration of a lease agreement

In terms of the nature of a lease agreement, the lessee's use and enjoyment of the property cannot last forever. It must be returned to the lessor at the end of the period of the lease agreement. Parties are free to determine the duration of the lease agreement to suit their needs, and they often specify a fixed period for the lease agreement. However, although a lease cannot be permanent, the parties do not always need to specify a fixed period. The following are all proper leases:

- a lease that runs until a certain event occurs at some unknown time in the future, such as a particular person's death
- a lease that lasts while the lessor or the lessee wishes it
- a lease where the length, or duration, is not set.

A 'long term' lease lasts for between ten years and 99 years. As usual with ownership of property, a long term lease (with all its requirements and implications for the lessor and lessee) must be registered in the Deeds Registry against the title deed of the property. A lease cannot last longer than 99 years. Thereafter, the rights of property ownership can be lost to the owner/lessor. It is therefore not an uncommon practice for leases to be for a 99-year period. For example, if a municipality wanted a school to be able to use land for sports fields, but for the municipality to remain the owner of that land, the municipality might lease that land to the school for a period of 99 years, even at a nominal rental, such as R1 per year.

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15.1.3 Agreement on rental

Use and enjoyment of property without payment of rental is not a lease. Just using the word 'rent' in a contract does not make it a lease. The question is rather whether the law regards it as a lease. For example, if Aaron agreed that Jane could lease their car and the 'rent' would be that Jane was required to pay for the petrol they used, that would not be a lease as the petrol cost to Jane while borrowing the car would not amount to rent payable to a lessor in order for the contract to be a lease in law.

Definition of rental

Rental is the lessee's payment to the lessor for the use of the leased property. Use and enjoyment of property without payment of rental is not a lease. There must be a payment of some sort of rent in order for the agreement to be one of lease. Generally, rental must take the form of money. The one exception is the rent for the lease of a farm, which may consist of an agreed amount or proportion of what the leased property produces. For example, a lessee who rents a vegetable farm may agree to pay the lessor 50 kilograms of vegetables in season per month or 20% of the vegetables produced each month.

To meet the need for certainty as to the rental amount, the parties must agree expressly or by implication on the amount of rent to be paid, or it must be possible to calculate the amount by an agreed method. Directly agreeing on R1 800 per month rent is an example of express agreement. Where the amount of rent is implied, the figure is not directly stated, but both parties understand what it will be. For example, the rent payable may be the same amount that the previous lessee paid, or the parties may agree that someone else they choose can set the amount of rent within a particular time.

A variation on the above could be that both parties agree that the rent amount will be the average of the amounts determined by the rental valuations of two specified estate agents.

Bracketed rental

When rental is bracketed, the lease agreement states that the rental is payable as a range rather than an exact figure. For example, you may agree with the lessor that you will pay rent of between R2 000 and R2 500 per month, as a tenant in their garden flat.

Generally, our law does not accept bracketed rental amounts, because it is impossible from most of these agreements (like in the example) to know what the rent would be at a particular time.

15.2 Types of lease

Leases are classified into different types according to the duration of the lease period. Let us consider the following types:

- fixed-term leases
- tenancy at will
- periodic leases
- hybrid leases.

15.2.1 Fixed-term leases

Where the agreement states the length of the lease expressly or by implication, the lease comes to an end at the end of the agreed period. If the lessee does not return the property at the end of the lease, the lessor may immediately take legal action to have the lessee evicted, also called ejectment.

The following are examples of agreements that create fixed-term leases:

- 'This lease shall run for 12 months from 1 January 2023 until 31 December 2023'.
- In the case of *Davy v W Walker and Sons* 1902 TH 114, the parties agreed that the lessor would lease particular premises to the lessee at a set rental 'until the end of the war'. The court decided that the lease was valid and that it came to an end in terms of the agreement when peace was formally signed in the South African or Anglo-Boer War.

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15.2.2 Tenancy at will

Sometimes the duration of a lease is not fixed but the parties agree that the lease will last for as long as both of them want it to carry on. This is a valid lease. Such a lease will normally come to an end only when one party to the lease tells the other that he wishes the contract to end.

Because a lease like this depends on the wishes of the parties, the contract ends if their wishes can no longer be carried out, such as if one of the parties dies.

15.2.3 Periodic leases

A periodic lease has no fixed duration, but the parties intend it to last through a series of agreed periods, or terms, without saying when the lease will end. The terms may be stated:

- expressly, such as 'This will be a monthly lease'.
- by implication, such as 'You may have the flat at a rental of R5 000 per month'.

In this example, the fact that the rent is payable per month, implies that the lease is periodic. We say a lease like this is for an indefinite period, because its end is not defined or stated.

In both these examples, there is a valid lease running from month to month indefinitely. Leases running monthly or yearly operate from the beginning to the end of the month or year (rather than from the middle of a month or year), unless the contract indicates differently.

The lease may be terminated by either of the parties **giving notice** to the other that the lease will end when its next term ends (in the case of a monthly lease, at the end of the next month). The amount of notice to be given may be fixed by the parties. If not, then reasonable notice is required. As usual, the circumstances will determine what is considered reasonable.

When you **give notice**, you tell the other party that you want to end the lease. You can do this verbally or in writing. If the lease prescribes the form of notice, the prescribed method of communication must be followed.

For example, our courts have decided that a monthly lease for an indefinite period requires one calendar months' notice. If a lessee wants to end the lease, they must therefore give notice no later than the first day of a month for the lease to end at the end of that month.

In a lease running from year to year, reasonable notice would not necessarily be a whole year. It would depend on the circumstances. Our courts have considered either three or six months' notice as reasonable to end a yearly lease of farming land.

15.2.4 Hybrid leases

A **hybrid** lease is a mixture of a fixed-term and a periodic lease. The lease is for a set period, but includes a clause giving either of the parties the choice to end the lease before the fixed term is over by giving the required notice. If neither party gives notice, the lease will end when the fixed period is over.

Generally, a **hybrid** means a mixture of two different things.

15.3 Contractual agreements within leases

This section covers agreed terms between the lessor and lessee regarding the continuation or ending of the lease in particular situations. We look at the following:

- renewal of leases
- termination of a lease without notice
- insolvency of the lessor.

15.3.1 Renewal of leases

When a lessee is given the option to renew a lease, it does not mean that the lease is extended. The 'renewed' lease is a new agreement. For example, the new lease may be tacit, where the lessee, on termination of the lease, continues to use the property and the lessor continues to accept the rental. The option to renew a lease may only be exercised if the lessee has paid all the rental and observed all the

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terms of the lease. Where the terms of the new lease are not expressly spelt out in the renewal agreement, the law presumes that the property is re-let at the same rent and other terms of the original lease.

15.3.2 Termination of a lease without notice

A lease contract may come to an end through any of the usual methods for termination of contracts. Three specific ways in which a lease ends without notice, before the lease period is over, are:

- death of one of the parties to a tenancy at will
- insolvency of the lessee
- insolvency of the lessor.

Death of one of the parties to a tenancy at will

Death does not usually end a lease. For example, if you have a fixed-term lease on a property and the lessor dies, you will normally still have the right to occupy the property until your lease comes to an end.

- In the case of a periodic lease, the estate of a lessee or lessor who dies may continue the lease until it is terminated. In other words, the heirs of the deceased party inherit the rights of the person who died, including the right to renew the lease.
- In the case of a tenancy at will, the lease ends when one party dies. This is because in a tenancy at will, the agreement is that the lease will last for as long as one or both of the parties want it to carry on. When a person dies, they can obviously no longer choose that the lease should carry on. In such circumstances, a reasonable amount of notice is needed before a lessee can be evicted after the lessor's death. This gives a lessee the chance to find somewhere else to live.

The main difference between these two lease types is the different result upon the death of either the lessor or lessee in a tenancy at will as opposed to in a periodic lease.

Insolvency of the lessee

Insolvent persons are those who owe more money than the value of everything that they own and have been sequestrated by a court. As we discussed in Chapter 4, the court appoints a trustee to take control of the financial affairs of the insolvent person.

In terms of the Insolvency Act 24 of 1936, if a lessee becomes insolvent, their trustee has the choice of whether to carry on with the lease or not. If the trustee does not make this choice within three months of the lessee becoming insolvent, the lease ends automatically when this time is up.

Insolvency of the lessor

The lease may end when lessors lose their rights over the property when they are declared insolvent. The decision as to whether to continue with the lease rests with a lessor's trustee.

15.4 The lessee's right to occupy against third parties

A person who owns property has a real right in that property, which is a right against the whole world, based on an object or thing. This right of ownership is made up of a number of rights, such as:

- the right to sell, lease or donate the property to someone else
- the right to possess and use the property
- the right to destroy the property.

When the owner has concluded a lease agreement with a lessee, and before the lessee takes possession of the leased property, the lessee has a **personal right** against the lessor for the use and enjoyment of the property to be delivered to them. Once the lessee takes possession, they cannot be evicted, and the law protects their right to the use and enjoyment of the property. Therefore, the lessee's rights against the lessor are twofold; first, there is a right to delivery, and then there is a right not to be evicted.

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One particular situation in which the law protects the lessee's rights is when the property is sold.

In leases of **land**, South African law has adopted and extended the Roman-Dutch law rule, ***huur gaat voor koop*** ('lease comes before sale'). This rule means that if there is a lease contract and the owner sells the leased property, the new owner will be bound by the lease that has already been entered into by the lessor and lessee. Therefore, the lessee can stay in occupation even though someone else now owns the property.

Land here means 'immovable or fixed property', such as a house, not just bare land.

Huur gaat voor koop means 'lease comes before sale'.

The new owner is substituted for the original lessor, and the original lessor is no longer a party to the lease agreement at all. The new owner takes over all the rights and duties of the original lessor under the lease. The new owner must recognise the lessee, and allow them to continue to occupy the leased premises in terms of the lease, provided that the lessee performs their lease obligations, such as paying rent. The lessee is also bound by the lease and cannot withdraw from the contract, provided that the new owner recognises their rights as a tenant. The *huur gaat voor koop* rule obviously provides protection for lessees, who do not need to worry that they can merely be evicted, should the lessor sell the property. The lessee is also protected against eviction by those who inherit from the lessor on their death.

Remember that the buyer of the property subject to a lease also acquires the lessor's rights under the lease, as we see in the case below.

***Mignoel Properties (Pty) Ltd v Kneebone* 1989 (4) SA 1042 (A)**

Principle

The purchaser of a property is substituted as lessor in terms of a lease and acquires all the rights, and the duties, which the lessor had under the lease.

Facts

Mignoel bought a property that was subject to a lease. After the sale, the lessee failed to pay the rent.

The court's finding

Once a lessee elects to remain on the property after the sale, the purchaser, as the new owner, is by law substituted as lessor in terms of the lease and acquires all the rights, including the right to sue the lessee for rent.

15.5 Protection of lessees

The **protection** given to a lessee of land depends on the duration of the lease. We distinguish between the following:

- a long-term lessee, who has a lease that is for a minimum of ten years
- a short-term lessee, whose lease is for less than ten years.

Protection here means protection from eviction if the land changes hands.

The **title deed** is the document that indicates who has rights to a particular land and what those rights are. Title deeds are kept in the Deeds Registry.

15.5.1 Protection of a long-term lessee

Long-term lessees enjoy the following special protection in law:

- They are protected against any heir or creditor of the lessor if the lease is registered against the **title deed** of the leased property. That means that the lease must be reflected on the title deed.
- They are also protected against any creditors or heirs of the lessor who knew of the lease when their rights were created – in other words, when they became creditors or heirs.
- If they are not protected in any other way, and if they are occupying the leased property, the lessees are protected for a maximum of ten years against the lessor's creditors and against anyone who buys the leased property.

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15.5.2 Protection of a short-term lessee

The law protects a short-term lessee against anyone for the full period of the lease if they are occupying the property (or if a sub-lessee is occupying it). If there is no such occupation, a short-term lease is effective only against the lessor's heirs and against buyers who knew of the lease.

15.5.3 Improvements made by the lessee

In law, there are three types of improvements to property:

- necessary improvements: These are required to protect or preserve the property, such as to build a storm drain to prevent storm water damage.
- useful improvements: These improvements are beneficial to the property and increases its value. For example, to build a shower in the house where there was not a shower before.
- luxurious improvements: These are purely for decoration, such as building a fountain in the garden.

The lessee can claim compensation for necessary and useful improvements, even if they made them without the lessor's knowledge and consent. For necessary improvements, they can claim the amounts they paid for necessary improvements from the lessor. For useful improvements, the lessee can claim for the cost of the improvements or the amount by which the value of the property has been increased, whichever is the lesser amount. The lessee has no claim for luxurious improvements. The lessee may, instead of recovering compensation, remove useful improvements, as long as it does not put the property in a worse position than before the improvements were made.

15.6 The duties of the lessor

The lessor's duties are the actions that the law requires a lessor to do for a lessee. The five duties are as follows:

1. the duty to deliver the property to the lessee
2. the duty to maintain the property during the lease
3. the duty not to disturb the lessee's use and enjoyment
4. the duty to warrant against eviction of the lessee
5. the duty to pay the rates and taxes for the leased property.

The duties of the lessor and lessee are those that normally exist as part of the common law. They can be changed if both parties agree.

Let us look at each of the above-mentioned duties in turn, and also consider the remedies available to a lessee if the lessor fails to perform as required.

15.6.1 The lessor's duty to deliver the property to the lessee

We can identify the following seven aspects of the lessor's duty to deliver:

1. The lessor has a duty to afford the lessee the beneficial use and enjoyment of the property for the purpose for which it was let.

***Sishen Hotel (Edms) Bpk v Suid-Afrikaanse Yster en Staal Industriële Korporasie Bpk (ISCOR)* 1987 (2) SA 932 (A)**

Principle

The lessor must give the lessee the beneficial use and enjoyment of the property for the purpose for which it was let.

Facts

ISCOR, who conducted mining operations in the district, let premises to Sishen to run a hotel. The hotel was next to a national road and therefore attracted many customers. A few years into

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Sishen Hotel (Edms) Bpk v Suid-Afrikaanse Yster en Staal Industriële Korporasie Bpk (ISCOR) 1987 (2) SA 932 (A) (continued)

the lease, ISCOR extended its operations and diverted the national road away from the hotel. As a result, Sishen's hotel lost customers and eventually had to close down. Sishen successfully sued ISCOR for damages.

The court's finding

The right to Sishen's use and enjoyment included the making of profit. ISCOR's diversion of the road indirectly hampered Sishen's use and enjoyment by restricting the flow of customers to the hotel. The hotel premises, after the diversion of the road, were not the same as they were at the commencement of the lease.

2. The lessor must deliver the leased property to the lessee by the agreed date and time. If the leased property is **movable**, such as a car, and the agreement does not mention delivery, the lessor must physically deliver the property to the lessee.
3. Where it is a lease of land, the lessor delivers the property by making it available to the lessee. For example, a rented house is normally delivered by handing over the keys to the building. In the case of a long lease, the duty to deliver includes the duty to cooperate in the registration of the lease, if the lessee wants it registered against the title deed of the property.
4. If the lease describes the condition of the property, the lessor must provide it in that condition. If the lease does not include a description, the property must be in a condition reasonably fit for the purpose for which it is being leased.

Movable here refers to anything that is not land or attached to land.

Harlin Properties (Pty) Ltd and Another v Los Angeles Hotel (Pty) Ltd 1962 (3) SA 143 (A)

Principle

The lessor must deliver and keep the leased property in a condition that is fit for the lessee's use.

Facts

The lessor of a hotel delivered the building with faulty plumbing, which made it unfit for use as a hotel. The lessor refused to carry out the repairs. The lessee repaired the plumbing and claimed the costs of the repairs from the lessor.

The court's finding

The court held that the lessor failed, from the outset, to deliver the leased premises in a condition reasonably fit for the purpose for which they were let. The court further stated that it is the duty of the lessor to maintain the property in that condition for the duration of the lease.

5. The lessor must evict previous tenants or **trespassers** and remove any goods that may interfere with the lessee's use and enjoyment.
6. The lessor must deliver the property that the lessee agreed to lease. They cannot deliver another property instead. Unless there is an indication that movables on leased property are included, they are not part of the leased immovable property, but **fixtures** are included. For example, a lessor who leases a house to someone would have to remove all their things from the room they have been using as a storeroom. If premises are rented furnished, then the lessee may demand reasonable furniture or the actual furniture to be provided, as described in the lease. If the lessee sees that the furniture is not reasonable but makes no objection, a court may decide that they agreed to accept it.

A **trespasser** is anyone who is on the land illegally.

Fixtures are items that are not easy to remove and are considered to form part of the immovable property, such as light fittings or built-in cupboards.

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7. The lessor must make available to the lessee any other thing that they will require for the proper use and enjoyment of the property. For example, in a dry area, the lessor may have the right to use a borehole on a neighbouring property. Such a right of use of someone else's land is called a servitude. The lessee must be given these rights by the lessor under such a servitude.

The lessee's remedies

What can the lessee do if the lessor fails to fulfil their duty to deliver? They can ask a court to grant a court order as a remedy. The following are the remedies that are available to the lessee if the lessor does not deliver the property as required:

- request specific performance
- refuse delivery
- cancel the lease
- repair the problem and charge the lessor
- claim damages
- claim a reduction in rent.

Request specific performance

The court may order the lessor to deliver the property as agreed upon in the lease. Where specific performance will be too difficult to enforce, the court may order one of the other remedies.

Refuse delivery

Where the lessor delivers the property in an unfit condition, the lessee can refuse to accept delivery until the lessor fixes the problems.

Cancel the lease

As with any contract, cancellation will be allowed in the following situations:

- in terms of a cancellation clause
- where there has been a major breach, such as:
  - where delivery becomes impossible because the property is with someone else
  - where the lessor refuses to deliver
  - where delivery is late, and a timely delivery is essential to the lessee
  - where the property is largely unsuitable for the purpose for which it was leased, and the lessor cannot or will not sort it out within a reasonable time.

Where a defect totally prevents the use of the leased property, the lessee may cancel the contract and/or claim damages if the lessor knew, or ought to have known, of the defect.

Repair the problem and charge the lessor

The lessee can arrange for necessary repairs to be done, and then can deduct the cost of these repairs from the rent that is payable.

Claim damages

Alternatively, or in addition to another remedy, the lessee may claim damages for any predictable loss caused by the breach.

Claim a reduction in rent

Alternatively, or in addition to another remedy, the lessee may claim a reduction in the rent **linked** to their loss of use and enjoyment of the property, including delay in the delivery of the property. However, a lessee who stays on leased property is liable for the full rental, and they should rather claim damages. The proportionate decrease in the amount of rent

Linked here means in proportion to. In other words, the lessee may claim a reduction even if the problem is not the lessor's fault.

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applies irrespective of whether or not the lessor caused the problem. For example, if a flood destroys half of a leased house, the lessee is entitled to a rent reduction.

15.6.2 The lessor's duty to maintain the property during the lease

So far we have looked at only the first of five duties of the lessor, namely the duty to deliver. The lessor's second duty is to look after or maintain the leased property adequately for the whole period of the lease. The parties may, by agreement, move part or all of this duty onto the lessee. Most leases provide that, in rented accommodation, the lessor must maintain the outside of the building and the lessee the inside.

There is also a duty on the lessee or those for whom the lessee is responsible not to damage the leased property through their actions, be they intentional or negligent.

The lessor is responsible for keeping the property in such a condition that it can be properly used for the purpose for which it is being leased. For example, the lessor must ensure that a leased house does not have a leaky roof, because the main purpose of a home is to give proper shelter. The lessor does not have to repair damage caused by the lessee.

The lessee's remedies

What can the lessee do if the lessor fails to maintain the property properly? The remedies are the same as for a breach of the duty to deliver. However, here the lessor will be in breach only in the following instances:

- The lessee informs the lessor of the problem with the leased goods.
- The lessor then does not arrange for adequate repairs to be done within a reasonable time.

Therefore, before the lessee may cancel the lease, they must give the lessor a chance to repair the property, unless repairs are impossible or not possible within a reasonable time. A similar rule applies to the granting of damages. Before a court will grant damages, the lessor must have been told of the need to repair the leased property, and they must have failed to do so.

15.6.3 The lessor's duty not to disturb the lessee's use and enjoyment

The lessor must not unlawfully interfere with the lessee's use and enjoyment of the leased property. There are three aspects to note here.

- Firstly, lessors may enter the leased property only when they are allowed to do so in terms of the lease agreement. If the agreement does not mention the lessor having access to the property, they have access only at a reasonable time and for a proper reason. A reasonable time could be a time convenient to lessees, when they are at the property. A proper reason may be that the lessor is planning to sell the property, and they need to show it to possible buyers. The lessor may again have access to the property without notice to the lessee in the event of an emergency, such as if the geyser has burst, the lessor has spare keys and the lessee cannot be reached.
- Secondly, the lessor can only take away the lessee's use and enjoyment of the property lawfully. This part of the duty includes the fact that the lessor may not unlawfully interfere in the supply of services, such as water or electricity, to the leased premises.
- Thirdly, the lessor cannot evict the lessee when repairing or improving the leased premises, unless the following instances apply:
  - The lessor has given the lessee reasonable notice, the main test of which would be the urgency of the need for repair.
  - The repairs are urgently necessary, and the repairs cannot be properly done while the lessee stays in the leased premises. Repairs are necessary if the lessee's use and enjoyment cannot carry on without them.

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The lessee's remedies

What can lessees do if the lessor interferes with their enjoyment of the property? There are four possible remedies, namely:

1. an interdict
2. a spoliation order
3. cancellation
4. damages or rental reduction.

An interdict

An interdict, in these circumstances, is a court order that orders a party to stop any unlawful interference.

A spoliation order

Spoliation means that something has been taken without the lawful procedure being followed. A spoliation order is an urgent remedy where the court orders the return of possession of property to someone who was in peaceful possession of the property, and whose possession was taken without their permission. A spoliation order is also called a possessory order. The full name for a spoliation court order is a *mandament van spolie*.

For example, suppose you are living in leased accommodation, and someone who claims to be the real owner of the property moves in and occupies the place while you are away for the weekend. Then, you will be able to apply for a spoliation order for the return of the property to you. The court will return possession to you as the lessee, before it determines who has a greater right to the property.

Cancellation

The lessee may cancel the lease if the lessor's interference prevents them from properly using and enjoying the leased property.

Damages or rental reduction

When a lessor does not properly deliver the property, the lessee has a choice of claiming damages or paying less rental, or both. The law does not allow for a reduction in the rent for small inconveniences that are caused by the need for repairs if the lessee knew when they entered into the lease that the repairs might be necessary.

15.6.4 The lessor's duty to warrant against eviction of the lessee

The lessor promises that no one has the legal right to disturb the lessee's use and enjoyment of the property during the lease. The warranty only applies where a third party (who could be the real owner of the property) has a valid right to the leased property, and they disturb the lessee's use and enjoyment of it. The warranty does not apply in certain instances, such as if the lessee was aware of the third party's rightful claim.

The lessee's remedies and rights

The lessee has three options or remedies in the case of disturbance by a third party, namely:

1. cancellation
2. damages
3. rental reduction.

Cancellation

Lessees can cancel the lease if the disturbance has a major negative effect on their use and enjoyment of the property.

Damages

The lessee can claim damages for the loss suffered due to the disturbance.

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Rental reduction

Lessees can claim a reduction in rent according to how much the interference has lessened their use and enjoyment of the property.

A lessee who wants to use any of these remedies must tell the lessor of any threatened disturbance, so that the lessor can show that the third party does not have a valid claim to the leased property. If the lessor is not available, or refuses to get involved when the lessee's possession is threatened by a third party, the lessee must personally take legal action to defend their occupation. If the lessee loses the case, they may leave the leased property, and sue the lessor for damages. When the lessee can prove that the third party's claim to the property is certain, the lessee can immediately sue for damages without having to defend their possession legally.

15.6.5 The lessor's duty to pay the rates and taxes for the leased property

The general rule is that the lessor has the duty to pay rates and taxes for the leased property, if they are the owner of the property. This rule can be changed or removed by agreement between the parties.

15.7 The duties of the lessee

So far, we have looked at the lessor's duties (and the lessee's rights), and perhaps by now you think the law is all on the side of the lessee – this is certainly not the case. So let us look at the other side of the contract, and see what duties the lessee has towards the lessor.

The lessee's duties are as follows:

1. the duty to pay rent
2. the duty of reasonable care of the leased property
3. the duty not to make major changes to the leased property without the lessor's permission
4. the duty to return the property in the same condition.

Lessees are bound by all the duties – these duties are called residual duties – that they agreed to in the lease contract, as well as any other duties that apply by operation of the law, such as the duties discussed below, unless the lease agreement says differently.

15.7.1 The lessee's duty to pay rent

The lessee's main duty is to pay rent. When there are joint lessees, each lessee is only liable for their share of the rent. Note the following six points about payment of rent:

1. The lessee must pay the lessor in the agreed way. This may be in cash, by electronic banking or whatever other form of payment was agreed to. Practically, the lessor may well have chosen the agreed form of rent payment for a specific reason. For example, the lessor might not want the security risk of being given quite large sums of money for the rent in cash.
2. If the agreement specifies a place for the rent to be paid, it must be paid there.
3. If the rental must be paid by a set time, but the agreement does not specify a place for payment, the lessee may choose. For example, the lessee could deposit the rent into the lessor's bank account. But it is the lessee's duty to make sure that the lessor receives the right amount of rent on time.
4. These days rent is paid by way of a debit order or electronic transfer.
5. When the lease specifies a fixed date for payment, the lessee may pay before that time, unless the agreement states that this is not allowed (which is very unlikely).
6. When the date for payment has not been fixed, the following rules apply:
   - The rental is only due after the lease period is over. With a monthly lease, the rental would be due at the latest on the first day of the following month. This point is very important when a cancellation clause allows the lessor to cancel the lease if the lessee has not paid the rent.
   - When the agreement says that rental is required in advance, but does not give a date, the rent must be paid on or before the first day of the lease period. This is commonly on or by the first day of the month.

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The lessor's remedies

If the lessee fails to pay the rental, the lessor has the following remedies:

- claim the rental owing
- claim damages
- cancel the lease.

Claim the rental owing

The lessor can sue the lessee for any rental that has not been paid.

Claim damages

There are two parts to the damages that a lessor can claim from a lessee who has defaulted.

1. If the payment is late, the lessor can claim for interest from the date on which the rent should have been paid.
2. If a lessee breaks a lease without giving the required notice, the lessor can claim for lost rental until a new lessee starts paying.

Cancel the lease

The third remedy available to the lessor is to cancel the lease, provided that the cancellation complies with the rules of *mora* (see Chapter 10).

The lessor's right to hold on to the lessee's property

If the lessee owes rent to the lessor, the lessor can take steps to hold on to any property of the lessee's that is on the leased premises until the rent is paid. The legal term for the lessor's right to hold on to the lessee's property is the lessor's hypothec for rent.

When a lessee owes rent, the lessor may apply to court to stop anyone from removing goods from the leased property. This order to prevent the removal of goods from the leased property is called a rent interdict.

The second step is for the lessor to apply to court to give them the first right to sell the goods on the leased property to pay for the unpaid rent. This is done by the court granting an attachment order. You can picture this as placing the lessor first in a queue of people lining up to be paid by the lessee. The court will give an attachment order only after it has given the lessor a court judgment for the rent owed.

The lessor's hypothec for rent applies to all types of property brought onto the leased property by the lessee. The hypothec applies to property of a sub-lessee only to the extent that the sub-lessee owes rental to the lessee. Therefore, if a lessee owes rent to the lessor, but there is a sub-lessee who has paid all their rent to the lessee, the lessor cannot attach the sub-lessee's property in terms of the hypothec.

If the lessee brings someone else's goods onto the leased property to use, without an indication of when they will return the property, the lessor could attach those goods as well. This can happen only if the lessee brought the goods onto the leased property with their owner's permission. If the lessor knows that such goods do not belong to the lessee, they are not subject to the hypothec and cannot be attached. A third party's property is subject to attachment only if the goods of the lessee or sub-lessee (if the sub-lessee owes rent) are not enough to cover the rent.

Importantly, the lessor has no hypothec over any property of the lessee or anyone else that is not on the leased premises.

The attachment order (hypothec) ends when all the rent owed has been paid. When the payment is complete, the lessor must return the attached goods to their owner. If the lease ends while the lessee still owes rent, the hypothec carries on.

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15.7.2 The lessee's duty of reasonable care of the leased property

A lessee may use the property only for the purpose for which it was let. The purpose may be expressly stated or may be implied by the type of property being let. For example, if you rent a house in a residential area, with no mention of what you want to use it for, this implies that you will use the leased house as a place to live. The agreement may allow the use to be changed with the lessor's permission.

The lessee's obligation to care for the property is different from the lessor's duty to maintain the property in a fit condition. It is not always easy to work out how these obligations are divided up if that is not stated directly in the lease. It is therefore in both the lessor and lessor's interests to spell out this division of duties between them clearly in the lease.

As a general rule, things that are easy to look after and simply require regular attention are the lessee's duty. This category includes things like looking after the garden, clearing gutters and drains, keeping a swimming pool clean, protecting the inside of a house from the weather by keeping doors and windows closed where necessary, and keeping the leased property clean and tidy. The lessee must tell the lessor of any problems that need the lessor's attention.

The lessee must also not misuse or damage the leased property. The degree of care required of the lessee over the leased property is that of the standard of the reasonable person taking care of their own property. If the lessee does cause damage, either intentionally or negligently, they must fix it. For example, a tenant who damages the paintwork by sticking posters on the bedroom wall is not meeting their duty of care. Misuse may include using the property in a way that causes harm to the lessor or other tenants, such as by making excessive noise that disturbs the neighbours.

We deal with the lessor's remedies to these situations in the next section.

15.7.3 The lessee's duty not to make major changes to the leased property without the lessor's permission

The owner of the property, who is normally the lessor, has the right to make structural changes to the leased property. The lessee may not make any such changes unless the lessor has agreed to this beforehand. For example, a lessee who rents a beach cottage from a lessor cannot add on an extra room without the lessor's permission.

The lessor's remedies

The following remedies are available to the lessor when the lessee fails to care properly for the property, or changes it without permission:

- The lessor may get an interdict for a **threatened** or **continuing breach**. In other words, the court orders the lessee not to breach their duty of care or, if it is already happening, to stop their wrongful behaviour.
- The lessor may apply for an order of specific performance to get the lessee to perform a particular action to meet their duty of care, such as to clean leaves out of the gutters of the leased property.
- The lessor may claim damages for the loss that they have suffered as a result of the lessee's failure to care properly for the property. The lessor will have to give proof of this loss.
- The lessor may cancel the lease for repudiation or for a major breach by the lessee. In practice, it is important to note that a court will rarely order one of these remedies if the lessee can properly sort out the problem(s) before handing the property back to the lessor. There is a chance of such an order if the lessee's lack of proper care, or changes made without the lessor's permission, have left the property in a condition that is likely to discourage potential future tenants or buyers of the leased property.

A **threatened breach** means that it seems apparent that the lessee is not going to fulfil their duties. A **continuing breach** means that the duty is already not being done and has already been a breach by the lessee.

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Therefore, the lessee is in breach of these duties only in the following instances:

- what the lessee is doing, or threatening or omitting to do, has harmed, or is likely to harm, the lessor or their property.

15.7.4 The lessee's duty to return the property in the same condition

The lessee must return the leased property to the lessor at the end of the lease in the condition in which they received it, with the exception of **fair wear and tear** or damage caused by natural disasters, such as flooding.

Fair wear and tear means the normal way items get worn through use and age, such as rusting of metal fittings and peeling of paint.

Another way the lessee can be in breach of this duty is by failing to vacate the property by the required date. In law, failing to vacate in such circumstances is described as holding over. To meet their duty of vacating the property, the lessee must also remove everything they brought onto the leased property, or allowed others to bring there.

The lessee must remove all changes they made to the leased property without the lessor's permission. If anyone else for whom the lessee is responsible caused any damage, either intentionally or negligently, or made any changes to the leased property, the lessee is also responsible for fixing those damages before returning the property to the lessor.

The lessor's remedies

If the lessee fails to return the leased property to the lessor on time and in its proper condition, the legal remedies available to the lessor are as follows:

- ejectment
- damages
- an order of specific performance.

To **hold over** means that a lessee continues to occupy the leased premises after they should have vacated in terms of their lease. In other words, occupation had at first been lawful in terms of the lease, but it later became unlawful.

Ejectment

Ejectment is a court order for the removal of the lessee. This is the same as eviction.

***Ndlovu v Ngcobo and Bekker and Another v Jika* 2003 (1) SA 113 (SCA)**

Principle

Occupiers who **hold over** cannot be summarily evicted.

Facts

The two cases of *Ndlovu v Ngcobo* and *Bekker and Another v Jika* 2003 (1) SA 113 (SCA) were heard by the court at the same time as it raised the same legal issue. Only the *Ndlovu v Ngcobo* case related to a lease. In the *Ndlovu v Ngcobo* case, the lease was terminated lawfully but the lessee refused to vacate the premises. The owner of the property in the *Ndlovu v Ngcobo* case sought to evict the lessees who were holding over, without relying on the legislation dealing with lawful eviction.

The court's finding

The decision by the Supreme Court of Appeal made it far more complicated and a more lengthy process to evict lessees who hold over. In that case, the occupiers had held over and the lessor could not so easily evict them as was the situation before this decision of the court, because they have to comply with the procedural requirements of eviction law, which is quite time-consuming and onerous.

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Damages

A lessee who remains in occupation of the property after the lease has ended by holding over is acting unlawfully. The lessor can therefore sue the lessee for damages suffered, which is typically the loss of rental.

An order of specific performance

The lessor can get a court order for the lessee to fix the returned property.

Activity 15.1

Discuss the following scenario with a partner: Mrs Andrews rents a room in their house to Dianne, but Dianne has not paid rent for three months. Mrs Andrews has asked for the rent many times, and Dianne always promises to pay 'tomorrow'. What can Mrs Andrews do to get payment of the rent?

15.8 The statutory regulation of leases of immovable property

We will briefly refer to some legislation that are applicable to leases of immovable property. In terms of the Protection of Personal Information Act 4 of 2013, the parties to a lease must protect one another's personal information.

The Formalities in Respect of Leases of Land Act 18 of 1969 states that a lease of land does not have to be in writing for it to be valid. It will however be preferable to have it in writing for you to have proof, should you need to enforce your lease against third parties.

The Rental Housing Act 50 of 1999 protects lessees from lessors who may try to take advantage of them. We will refer to a few provisions. In terms of this Act, the lessor may not discriminate unfairly against a lessee, they may only inspect the property in a reasonable manner after giving reasonable notice and, if requested by a lessee, must put the lease in writing and the lessor must provide the lessee with receipts for all the money received from them. The lessor must invest the deposit in an interest-bearing account for the benefit of the lessee. The Act established rental Housing Tribunals to investigate disputes between lessors and lessees.

The Consumer Protection Act 68 of 2008 (CPA) applies to lease agreements where the property is let in the ordinary course of the lessor's business to a lessee who is a consumer in terms of the CPA. The CPA is discussed in more detail in Chapter 17, where you will find the definition of a consumer. We will refer to only a few provisions. In terms of the CPA a fixed agreement (such as a lease) may not be longer than two years, unless the lessor can show that it will be to the benefit of the lessee to sign a lease for a longer period than two years. After the two-year lease expires and the lessee stays in the property, the lease continues on a month-to-month basis, unless the parties enter into a new lease. The lessee does not have to continue to rent the property for the full term. They can cancel the lease by giving the lessor 20 business days' notice. The lessor may charge a reasonable cancellation penalty and demand all the outstanding amounts in terms of the lease.

Because this protection is set out in Acts of Parliament, it is called statutory regulation.

The Property Practitioner Act 22 of 2019 offers the same protection to lessees as to buyers of immovable property (see Chapter 14).

What do you think?

Andile buys a flat in Braamfontein as an investment, but is not happy with the green and purple paint used throughout the flat. Andile therefore buys enough 'cool gray' paint and the necessary rollers and brushes to repaint the flat, but realises that they are no handyman after all. Andile approaches Bongi and they agree that Bongi may rent Andile's flat for three months if Bongi paints the flat during that time. After three months Andile visits the flat and sees that Bongi did not paint the flat at all. Andile is furious and sues Bongi for three months' rent. Bongi's defence is that there was no valid rental agreement. Do you think that Bongi has a valid defence?

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Chapter summary

In this chapter, you learned the following about the law of lease:

- A contract of lease provides for a lessee to pay rent in return for the temporary use of the lessor's property. There are four types of lease, namely:
  - fixed-term leases
  - tenancy at will
  - periodic leases
  - hybrid leases.
- A lease agreement does not have to be in writing, but a tenant may demand a written lease and must get receipts for all money paid.
- The lessor has duties in terms of a lease.
- The lessor has a duty of delivery. The lessee's possible remedies for non-compliance are:
  - a specific performance order
  - refusal of delivery
  - cancellation
  - repair of the fault at the lessor's expense
  - damages
  - a reduction in rental.
- The lessor has to give the lessee full use and enjoyment during the lease, and is responsible for the following:
  - maintaining the property in a fit condition
  - not disturbing the lessee's occupation.
- The lessor's possible remedies for inadequate maintenance are the same as for non-compliance with the duty to deliver. The lessee's possible remedies for disturbance are:
  - an interdict
  - a spoliation order (*mandament van spolie*)
  - cancellation
  - damages or a rental reduction.
- The lessor gives the lessee a warranty against eviction or disturbance by a third party. The lessee's possible remedies against disturbance by a third party are:
  - cancellation
  - damages
  - a rental reduction proportionate to the disturbance.
- The lessor has a duty to pay the rates and taxes for the property and the lessee's main duty is to pay the agreed rental. The lessor's possible remedies for non-payment are:
  - specific performance
  - cancellation
  - damages
  - the lessor's hypothec for rent.
- The lessee has a duty to use the leased property appropriately and care for it properly. The lessor's possible remedies for breach are:
  - an interdict
  - a specific performance order
  - damages
  - cancellation (in the case of a major breach).
- The lessee has a duty to repair any damage to the property or reverse any changes made without permission. The lessor's possible remedies for breach are:
  - ejectment
  - damages
  - a specific performance order to fix the property.

Review your understanding

1. In referring to the principle of *huur gaat voor koop*, explain under what circumstances a buyer of a property will be bound by:
   a) a short lease
   b) a long lease for its full term.

2. You are moving to a new town and want to buy a house. There is a shortage of houses in the price range you can afford, so you decide to rent a house while you look for one to buy. What type or types of lease would you choose in these circumstances? Give reasons for your answer.

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3. List the advantages, for both the lessor and the lessee, of having a written lease. Also, indicate whether the lessee may demand a written lease and, if so, on what legal basis?
4. In a contract of lease, what rights does the lessor promise in relation to the property?
5. Discuss the key difference(s) between a tenancy at will and a periodic lease.
6. Explain what happens to a lease if one of the parties to the contract dies, considering the different types of lease that exist.
7. Name and describe the three types of improvements a lessee may make to the property of the lessor. Discuss whether the lessee may ask for compensation for the improvements.
8. Sibongile and James enter into a lease agreement in terms of which the lessor (Sibongile) will fix the leaking roof above the lounge before James moves in. Three weeks after James has taken occupation, rain comes through the ceiling and destroys James's expensive hi-fi system that is in the lounge. James then realises that the leak was not fixed. Explain what legal remedies are open to James.
9. Jasmine leases a room in Jack's house. After three months, the room develops a leak when it rains. Advise Jasmine of what they can do if Jack refuses to fix the leak and if there is more than one recourse available to Jasmine. Discuss the advantages of choosing one remedy over another.
10. A lessee has a very inquisitive lessor who comes in and looks around the premises every day. Does the lessor have the right to do this? If not, what are the lessee's rights if the lessor's behaviour continues?
11. a) Does the lessor have to be the owner of the property that the lessee leases? Explain.
    b) What can a lessee do when the lessor warrants that they are the owner of the property, but is unable to perform?
    c) If the lessor falsely represents they are the owner, what may the lessee do?
12. Create a mind map to summarise the duties that a lessee owes to a lessor and give a short practical example of what such a duty might entail in a typical residential lease. Then, add in the remedies that are available to a lessor in case of breach of each duty.

Further reading

Fouché, M.A. et al. 2021. *Legal Principles of Contract and Commercial Law*, 9th edn., Durban: LexisNexis South Africa, Chapter 21

Glover, G. 2013. *Kerr's Law of Sale and Lease*, 4th ed., Durban: LexisNexis South Africa

Schulze, H. et al. 2019 *General Principles of Commercial Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd, Chapter 14

Sharrock, R. 2017. *Business Transactions Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd, Chapter 17

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Chapter
16 Credit agreements

The main ideas

- The aims and application of the National Credit Act 34 of 2005 (NCA)
- Implementation of the NCA's aims
- The scope of credit agreements under the NCA
- Consumer credit institutions created by the NCA
- Consumer and credit provider rights, duties and obligations

The main skills

- Indicate the aims and application of the NCA.
- Understand the different forms of credit agreements under the NCA.
- Understand the rights, duties and obligations of consumers and credit providers.
- Explain the consequences of transgressions of the NCA.
- Apply relevant provisions of the NCA to practical scenarios.

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Many people cannot afford to buy their larger purchases in cash, such as a car or even a lounge suite. They therefore enter into credit agreements to enable them to pay for their purchases over a period of time. The common feature to all credit agreements is that they involve the granting of credit by one party (the credit provider) to another party (the consumer), usually in return for the payment of interest and some other charge. These contractual relationships where credit is granted, can give rise to the exploitation of consumers, as many people do not understand the conditions of a sale on credit and the effect of interest and other charges on debt. As a result, many consumers may end up in a debt trap from which they may battle to escape. The National Credit Act 34 of 2005 (NCA), which we will discuss in this chapter, was enacted to protect consumers who buy goods and services on credit, or who borrow money.

Before you start

You recently graduated, found employment, and earn a monthly salary, which enables you to access credit. You decide that you want a new smartphone, but you also need to buy a car to enable you to get to work. The cash price of the smartphone is R7 000. Alternatively, you can buy the phone by way of a credit agreement that offers two payment options, as interest and charges will be added to the transaction. The first credit option is to pay a deposit of R700 and monthly payments of R490 over 18 months. The second payment option requires no deposit, but the monthly payment will be R600 over 18 months.

It is important to consider certain factors before you commit to buying the smartphone on credit, such as, what either payment option will end up costing you, as well as the advantages or disadvantages of either option. For example, buying the smartphone in cash for R7 000 will be the cheapest option, provided you have the cash at hand. The first credit option (totaling R9 529) will end up costing less than the second option, provided you have R700 for the deposit up front. The second credit option (totaling R10 800) is more expensive, but has the advantage of requiring no cash deposit to start with.

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Added value — Distinguish between wants and needs

Reflect on the cost of the new smartphone that you want, then take a step back and consider whether you indeed need the smartphone as your current cellphone may still be working perfectly well. You, however, need to buy a car to enable you to get to work. If you do not have cash on hand to buy a car, you will have to enter into a further credit agreement for that purpose.

Consumers often commit themselves to pay more than they can afford, or do not properly calculate the total cost of their respective credit purchases. As a result, consumers may end up in debt from which they may find it difficult to escape.

16.1 The National Credit Act

In the past, consumers, particularly when financially or otherwise illiterate, were easily exploited when they entered into credit agreements. The contracts were usually complicated and individual consumers were often powerless when contracting with business due to their unequal bargaining positions. This led to consumers entering into credit agreements with unfavourable conditions and high interest rates. The general availability of access to credit for consumers resulted in many of them getting into more debt than they could afford to repay. Credit bureaus (discussed later in this chapter) were found to be acting unfairly in some instances by unduly prejudicing certain consumers by, amongst other things, not updating their records properly. Legislation that was aimed at protecting consumers were fragmented and became outdated. New legislation was needed to regulate the credit industry. In June 2007 the NCA came into force, heralding a fresh start for credit regulation in South Africa. The NCA does not apply retrospectively, meaning that it will only apply to credit agreements entered into after the NCA took effect.

16.2 The aims of the NCA

The NCA aims to provide access to credit for those who can afford it, and to ensure that credit agreements are fair to both credit providers and consumers (section 3). In addition to these two general aims, the NCA has other specific aims, including:

- ensuring that consumers get all the information they need about a credit agreement and what the credit would cost them
- requiring credit providers, who must be registered as such, to keep certain records and reports and to display their registration certificates
- not allowing certain types of marketing practices by credit providers
- preventing credit providers from granting reckless credit
- assisting consumers who are over-indebted to repay what they owe in terms of a credit agreement over a longer period, as confirmed by a court.

Later in this chapter, we will discuss the rights and duties of credit providers and consumers.

16.3 The application of the NCA

In our discussion of the NCA, you will learn that the NCA applies to every credit agreement entered in the Republic, with some exceptions.

16.3.1 Definitions in the NCA

It is important to understand some of the key definitions (section 1), before we explore the NCA further. We will continuously refer to credit agreements. The term 'credit agreements' is an umbrella term that embraces a number of diverse types of agreements, which we will discuss in more detail later in this chapter. Most credit agreements relate to agreements for the repayment of a loan, or to pay for a purchase of goods, or to pay for services rendered (or to make at least part of the payment of these), at some later date. All credit agreements involve the granting of credit (usually in the form of money or services) by one party, the

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credit provider, to another party, the consumer (often referred to as the debtor). In return, the consumer has to pay interest on the principal debt, and some other charges. Consumers could be required to pay a deposit and pay back the rest of the money in instalments when they purchase something on credit.

We will also refer to credit providers and consumers. The credit provider is the party who supplies goods or services to a consumer under a credit agreement. The consumer is the party to whom goods are sold, or services are provided under a credit agreement.

Activity 16.1

You will find the definitions of credit provider and consumer in section 1 of the NCA. These definitions are broad. Make sure you understand them before you enter into a credit agreement.

16.3.2 Terminology used in the NCA

Let us unpack some of the terminology used in the NCA.

Principal debt, deposit, and instalments

The principal debt is the basic price or value of the thing bought, the amount of money borrowed, or for services rendered. A deposit is the consumer's initial payment to the credit provider, which is an agreed portion of the total cost of the thing bought. The instalments are the amounts the consumer will have to pay at regular intervals after paying the deposit.

Interest

The **interest** on the credit granted is the amount that the consumer has to pay to the credit provider in addition to the actual value received. Interest is calculated as a percentage of the value of the item received.

Interest can be defined as a monetary charge for the extension of credit, which must be expressed in percentage terms, as an annual rate.

An example of a simple interest calculation is where the bank lends Bongani R50 000 at 10% per year to be paid over one year. After one year, Bongani will have repaid the bank R55 000 (R50 000 on the principal debt and R5 000 interest). Later in this chapter, we discuss the limitations that the NCA places on the interest that a credit provider may charge a consumer.

Finance charges

Finance charges are additional expenses that the consumer may have to pay in addition to the principal debt and interest. The credit provider may levy an **initiation fee** when the credit agreement is concluded.

An **initiation fee** means the cost of introducing and preparing the credit agreement. The NCA prescribes maximum interest and initiation fees that may be charged by the credit provider.

The credit provider may also charge certain penalties, such as penalties for late payment. Many credit agreements include penalty clauses that indicate what will happen to the consumer who fails to perform properly in terms of a contract. These clauses usually set out the financial penalties for overdue payment or non-payment.

An example of a simple penalty clause may read:

> 'Payment of the agreed amount must be made by the first working day of every month. Notwithstanding any of the consumer's rights in terms of this agreement, a penalty fee of 5% will be payable on the capital amount outstanding, should payment be made after the first working day of the month'.

It is common for credit agreements to provide for payment of both interest and penalties. Later in this chapter, you will see that the NCA also, as with interest, limits the finance charges that may be included in a credit agreement.

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Other charges

The NCA also allows the credit provider to levy the following charges – a service fee, such as a fee charged by a bank for maintaining a cheque or credit card account; the cost of credit insurance; default administration charges when the consumer defaults under the credit agreement, as well as collection costs, which refers to the costs pertaining to the enforcement of a consumer's obligations under a credit agreement.

Added value Collection costs and the cost of litigation: warning to consumers

In *Bayport Securitisation Ltd and Another v University of Stellenbosch Law Clinic* 2022 (2) SA 343 (SCA), the court held that the costs of litigation are not included in the definition of collection costs. The court drew a distinction between the collection fees charged by an attorney to collect the debt prior to litigation, and the costs awarded in an action to recover the debt.

Consumers should therefore ensure that they only conclude credit agreements they can afford and that they pay their instalments punctually. A consumer could potentially owe considerably more than the amount due under the credit agreement, as they could also be liable for the litigation costs, should the credit provider have to enforce the credit agreement in court. In this matter, many of the consumers ended up owing more in terms of the litigation costs than they owed in terms of the credit agreement.

The limit on the consumer's liability for interest, fees, and charges

The NCA (Part C of Chapter 5) places a limit on the interest, fees, and charges that credit providers may demand from consumers who are natural persons. Credit providers may also not charge consumers a higher price for goods or services than they would have charged for a cash transaction. The limitation on interest, fees, and charges do not apply where the consumer is a juristic person. (See section 16.4.4 below for the definition of a juristic person in terms of the NCA.)

Added value Beware of loan sharks

Consumers should never borrow money from unregistered credit providers, also known as loan sharks, to pay their monthly obligations. These loans often come at extremely high interest rates and may cause the consumer to fall into a debt spiral from which they will find it difficult to escape. Loan sharks generally do not use the NCA's debt collection rules to get their money back. Always ask to see the credit provider's NCR registration certificate before you sign a credit agreement.

16.4 The scope of credit agreements under the NCA

The NCA defines credit as either one of the following:

- a **deferral** of payment of money owed to a person, or a promise to defer such a payment; or
- a promise to advance or pay money to or at the direction of another person.

To **defer** payment, means to delay payment.

16.4.1 Credit agreements

Credit agreements regulated by the NCA may come in different forms, but there are two features that identify them as credit agreements. First, as you learned earlier in the chapter, the credit provider either advances money to the consumer, or the parties to a contract agree that the payment of a sum of money owed by the consumer to the creditor in terms of the contract is to be deferred (delayed) to a time in the future. The second feature is that there is a cost to the debtor for the advance of money or the deferral of payment in the form of interest, charges and/or fees.

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An example of a credit agreement that involves the deferral of payment, is where Andile buys an expensive painting from a gallery and the gallery delivers the painting to Andile, after Andile, in writing, undertook to pay the purchase price at some time after delivery of the painting, together with interest on the purchase price.

Section 8 of the NCA defines a credit agreement and refers to the categories of agreements that constitute credit agreements, namely, credit facilities, credit transactions, credit guarantees, or a combination of these.

Credit facility

A credit facility is an agreement whereby the credit provider supplies money, goods, or services, and payment is delayed, or the consumer is billed **periodically**, against a charge, fee, or interest. Examples of this type of credit agreement are store charge cards, an overdraft facility, or a credit card arrangement with a bank.

To pay **periodically**, means to pay from time to time, usually at regular intervals.

Credit transactions

Credit transactions include a number of different types of agreement, such as an instalment agreement, a lease of movable property, a mortgage agreement, a secured loan, a pawn transaction, an incidental credit agreement, or any other agreement in which the payment owing is delayed and for which some type of charge is payable.

An instalment agreement (formerly known as a hire-purchase agreement), is when a purchaser buys movable property and payment is made over a period of time in a number of instalments, such as where a consumer buys a car and pays the price over a number of years in instalments. A mortgage agreement is when someone borrows money from a bank and the bank holds a mortgage bond as security over a house. This means that, if the borrower does not repay the loan as promised, the bank will have first claim (called security) over the mortgaged house. A lease of a yacht is an example of leased movable property. A pawn agreement is when someone is paid a cash amount whilst another person holds the pawned item. This item can either be bought back at a higher price or, after an agreed period has passed, the credit provider may sell the object. A secured loan is where money is borrowed, and the consumer gives something of value to the credit provider as security that all amounts under the loan will be paid. An incidental credit agreement comes into existence where an account is rendered under the following conditions:

1. If an account is not paid by a certain date, fees, interest, or other charges will be payable.
2. Where two prices are quoted, the lower price will be payable if payment is made by a certain date, or the higher price will be payable if payment is not made by that date.

Credit guarantee

An example of credit guarantee is a suretyship agreement where a person undertakes to pay the debts of a consumer, should that consumer default on their obligations in terms of a credit facility or a credit transaction.

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Below is an illustration to help you understand the extent of credit agreements.

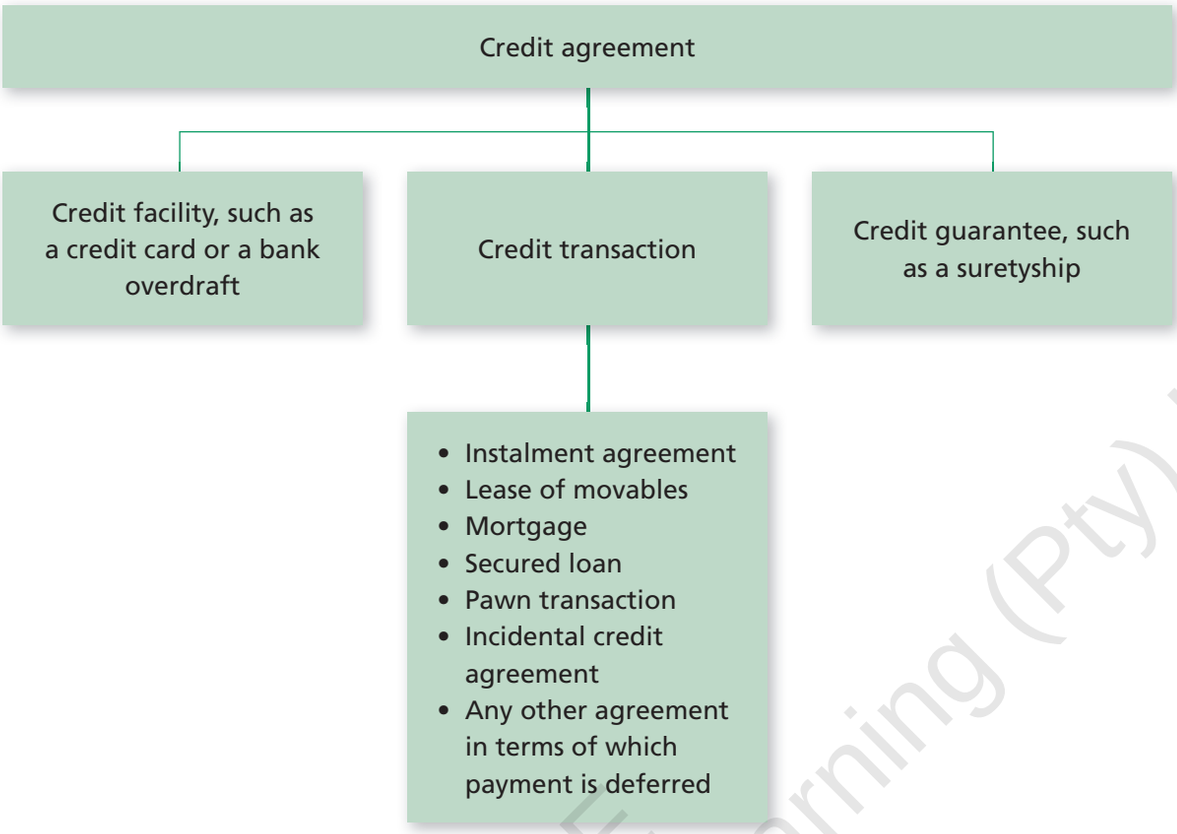


Figure 16.1 How credit agreements function

Added value Altruistic credit agreements

The NCA provides for two special categories of credit agreements where the requirements are not that strict, namely, developmental credit agreements (section 10), and public interest agreements (section 11). An example of a developmental credit agreement may be an educational loan, an agreement to develop a small business, or to build or buy low-income housing. The minister may declare a credit agreement to be a public interest agreement.

16.4.2 Small, intermediate, and large credit agreements

In section 9, the NCA categorises three sizes of credit agreements, namely:

1. small credit agreements of R15 000 or less (note that a pawn transaction is always a small credit agreement, regardless of the amount)
2. intermediate credit agreements of between R15 000 and R250 000
3. large credit agreements of R250 000 or more (note that a mortgage is always a large credit agreement, regardless of the amount).

16.4.3 Contracts that qualify as credit agreements

The NCA applies, subject to certain exceptions, to every credit agreement entered into in the Republic (or effective within the Republic) between parties dealing at arm's length.

The contract must qualify as a credit agreement

Page back to the discussion of the diverse types of credit agreements above to refresh your understanding.

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Added value The contract must qualify as a credit agreement

The parties must conclude a contract that falls within the definition of a credit agreement. The NCA does not regulate debts that are overdue that do not result from a contract. For example, where the debt is not owed in terms of a credit agreement, but in terms of legislation. In *Nelson Mandela Bay Metropolitan Municipality v Nobumba NO and Others* 2010 (1) SA 579 (ECG), the court stated that the overdue rates owed to the municipality was regulated by the Local Government: Municipal Property Rates Act 6 of 2004. In *Mitchell v Die Beheerliggam RNS Mansions* 2010 (5) SA 75 (GNP), the court held that levies owed to the body corporate were regulated by the Sectional Titles Act, 95 of 1986, and not in terms of a credit agreement.

The credit agreement must be entered into or be effective in South Africa

It is easy to understand when a credit agreement is entered in South Africa. We find guidance on whether the credit agreement is effective in South Africa in *Sunrock Limited v Louis and Others* [2016] ZAWCHC 7, where the agreement was entered in England between a foreign company and a consumer who was not resident in South Africa. The obligations had to be carried out in England. Despite security provided by way of mortgage over property in South Africa, owned by a South African trust, and a suretyship signed by the trustees of the trust, the court found that the agreement was not a credit agreement for purposes of the NCA.

The credit agreement must be entered between parties dealing at arm's length

The NCA does not apply to a credit agreement between parties who are not dealing at arm's length.

A transaction is concluded at arm's length where the parties are independent of each other, where they are looking out for their own interests, and where they are trying to get the most out of the transaction for themselves. Independent in this sense will mean where the parties have no close or special relationship with each other. For example, a credit agreement between you and your parent, where you are still dependent on your parent, will not fall under the NCA.

16.4.4 Credit agreements specifically excluded from the NCA

The NCA does not apply to credit agreements entered before 1 June 2007. In this regard, we say that the law is not retrospective, as the law does not apply to or affect credit agreements entered before the Act came into effect.

The NCA also does not apply to, amongst others, the following situations:

- where the consumer is the State, or an organ of State, or the credit provider is the Reserve Bank
- transactions between a *stokvel* and its members
- where an insurer extends credit to a consumer to keep up with their payment on an insurance policy
- where there is a lease of immovable property
- where the consumer is a juristic person with a turnover or assets above a set amount at the time the agreement is made (presently R1 million).

Added value Juristic person in terms of the NCA

You may think of a juristic person as a company only. In terms of the NCA, the term 'juristic person' has an extended meaning. It includes a partnership – an association or other body of persons, corporate or unincorporated, and a trust if there are three or more trustees, or where the trustee itself is a juristic person.

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16.5 Consumer credit institutions created by the NCA

16.5.1 The National Credit Regulator

Chapter 2, part A of the NCA, covers the National Credit Regulator. We will refer to this as the NCR. It has various functions, and we will refer to only a few. The NCR has to monitor the consumer credit industry and keep a register of the various role-players. The NCR has various enforcement functions, which include the investigation of complaints and the issuing and enforcement of notices to comply with the provisions of the NCA, called compliance notices. The NCR furthermore deals with the registration of credit providers and other bodies, such as credit bureaus and debt counsellors.

16.5.2 The National Consumer Tribunal

The National Consumer Tribunal is an independent juristic person with jurisdiction throughout the Republic (Chapter 2, part B of the NCA). Unlike the NCR, which is largely an investigative body, the National Consumer Tribunal has an adjudicating function and, although it is not a court, it fulfils functions similar to a court. It hears applications made in terms of the NCA. Examples of orders that the Tribunal may make include declaring conduct prohibited where a party's behaviour is against the rules of the NCA, impose administrative fines, confirm settlement agreements, suspend, or cancel a party's registration in terms of the NCA, declare credit agreements reckless, review the decisions of the NCR, and order repayment to a consumer of excess amounts charged by a credit provider. The Tribunal's orders may be executed as if they were orders of the High Court.

16.6 The registration of role-players in the credit industry

The NCA controls the consumer credit industry by requiring the various role-players to register with the NCR. In terms of the NCA, it is compulsory for credit providers, credit bureaus and debt counsellors to register in order to conduct their functions legally.

16.6.1 Credit providers

The NCA requires all credit providers who have entered into one hundred or more credit agreements to which the Act applies, or where R500 000 or more is owed to them under credit agreements, to register with the NCR. However, this has changed. On 11 May 2016, the Minister of Trade and Industry changed the threshold prescribed in section 42(1) from R500 000 to R0 by way of notice in the *Government Gazette*. This caused uncertainty in the credit industry.

The Supreme Court of Appeal in *Du Bruyn NO and Others v Karsten* [2018] ZASCA 143 resolved the uncertainty. The court held that, where any credit agreement falls within the ambit of the NCA and exceeds the threshold set out in section 42 of the Act, irrespective of whether it is a single transaction and irrespective of whether the credit provider is a regular participant in the credit industry, such entity or person should register as a credit provider.

Certain persons may not register as credit providers, these include an **unrehabilitated insolvent** or anyone removed from a position of trust because of misconduct concerning fraud or theft, or a company controlled or managed by such a person or by an unrehabilitated insolvent.

A person or credit bureau that does not register in terms of section 40 of the NCA as a credit provider, may not enter into a credit agreement. Any such agreement entered into is unlawful and **void**.

An **unrehabilitated insolvent** is a person whose estate was finally sequestrated by a court. Therefore, this refers to a person who is insolvent and has not yet been rehabilitated under the Insolvency Act 24 of 1936.

If a contract is **void**, the law considers it never to have existed.

16.6.2 Credit bureaus

Credit bureaus existed long before the NCA came into force. The NCA now regulates credit bureaux and all the consumer information they must acquire and keep. Credit bureaus collect the relevant information,

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which includes both positive and negative data regarding consumers' creditworthiness, such as their ability to repay their credit agreements. Businesses often make use of a credit bureau in order to establish whether potential clients have a good or a bad history of paying their debts. In terms of section 14, a person or credit bureau must apply to the NCR for registration as a credit bureau if it is paid to:

- investigate or receive reports on consumer credit information, consumer credit applications, credit agreements, or consumer payment history
- formulate and keep information from reports received and issue reports on consumers based on the information received.

As with credit providers, all registered credit bureaus have a number of rules to follow in terms of the NCA. For example, anyone who is disqualified from being a credit provider may also not register as a credit bureau. The NCA makes it unlawful for any person or body to perform the functions of a credit bureau or to pretend to be a credit bureau without being registered.

16.6.3 Debt counsellors

We will see later in this chapter that, when a consumer becomes over-indebted, they may approach a debt counsellor to rearrange their various debt repayments in a more manageable way. Only natural persons (meaning individuals as opposed to juristic persons) may be debt counsellors under the NCA. All debt counsellors, as we have already noted, must be registered with the NCR. In order that debt counsellors are well-suited to perform their task and are unbiased, the NCA does not allow individuals under **administration orders**, unrehabilitated insolvents, debt collectors, credit providers, or those who run credit bureaus to be debt counsellors.

An **administration order** is a formal and legally binding agreement, confirmed by a court, between you and your creditors to pay back your debts over a period of time.

16.7 Consumer rights under the NCA

Consumer rights can be found in Chapter 4 of the NCA. We will look at some of them.

The consumer has the right:

- to apply for credit
- to protection against unfair discrimination in the granting of credit. For example, the NCA prohibits people from being denied credit on the grounds of their gender, race, or religion to know the reasons for the refusal of credit. Such reasons are needed in order for consumers to judge whether they have been unfairly treated and can therefore challenge the decision before the National Credit Tribunal
- to information regarding the agreement, in an understandable official language, and the relevant financial accounts. In relation to the information to be given to the consumer, the credit provider must provide the consumer with a copy of the original or amended credit agreement
- to be told of all relevant aspects of the credit agreement by the credit provider before the agreement is entered, which is called pre-agreement disclosure. It is crucial that consumers know all such information before they enter the agreement, so that they have a proper understanding of what they are getting themselves into. Furthermore, the NCA requires full disclosure of any changes made to a credit agreement. Consumers must be informed by the credit provider of a change in the interest rate payable when the interest rate has not been fixed at a particular percentage (that is, the interest rate is variable)
- to regular statements of what they have paid and what they still owe
- to a five-business-day cooling-off period. This is a right to withdraw from the credit agreement within this period when the contract was entered at a place other than the registered business premises of the credit provider. For this to be applicable, consumers must properly notify the credit provider of their intention to cancel the contract and must return any goods or money received from the credit provider. By allowing for such withdrawal, the NCA is acknowledging the undue pressure that door-to-door salespeople and telemarketers can place on unsuspecting consumers

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- to the limitation of the costs a credit provider may charge to a consumer in terms of a credit agreement
- to confidential treatment, which includes the right to have their information generally protected, more specifically by credit bureaux, such as the right to access and challenge information, and the right to a debt adjustment or having a judgment removed.

Further consumer rights are spotted throughout the NCA. We will look at a few. Section 92 allows consumers to shop around and select the best available credit option. Consumers may obtain details of the credit agreement the credit provider is prepared to enter, without binding themselves to the agreement, and may, within five business days, insist that the credit provider enter that agreement with them. Before entering the agreement, the credit provider must give the consumer a pre-agreement statement and a quotation that sets out the financial aspects of the contract.

In terms of section 126, consumers have a right to pay early. Consumers may pre-pay any amount owed to a credit provider at any time, without notice or penalty. The credit provider has to accept the payment, even if it is made before the due date. The amount must first be used to satisfy unpaid interest, fees, or charges, whereafter it must be applied to reduce the principal debt.

In terms of section 125, a consumer is entitled to settle the whole debt due under the credit agreement at any time. To settle, the consumer must pay the unpaid balance of the principal debt and all unpaid interest, fees, and charges outstanding on the date of settlement. In the case of a large agreement, such as a mortgage bond, the consumer must pay an early termination fee.

Added value Early payment in terms of the common law changed by section 125

In terms of the common law, debtors can only pay a contractual debt early if they are allowed to do so in terms of the contract. Further to that, if interest is payable in terms of the contract, the debtors may pay early only if they pay the interest that would have accrued between the date that the debtor pays and the due date of payment. Section 125 of the NCA therefore changes the common law position, which is a welcome relief to consumers.

16.8 Prohibited marketing practices

The NCA limits the ways in which credit providers may market (or advertise) their products to consumers. This is linked with one of the main aims of the NCA, namely, to empower consumers to make informed choices when acquiring credit. In addition to credit providers including certain essential information in any marketing of credit agreements, such as the total cost of the credit, they may not practise prohibited or restricted marketing. Examples are:

- negative-option marketing (section 74), where a credit provider states in their marketing that the consumers will be assumed to have accepted the credit if they do not decline the offer. A practical example of this is where a credit provider delivers goods to be bought on credit to the consumer, and states in the attached letter that it will be assumed that the consumer has entered the credit agreement unless the consumer rejects the offer in writing. This section also requires the credit provider to allow the consumer to 'opt-out' of certain forms of marketing. Where an agreement is a credit facility, such as a credit card, the credit provider must give consumers the option to decline a pre-approved annual increase in their credit limits.
- section 75, which prohibits a credit provider from harassing consumers, and/or attempting to persuade them to enter into credit agreements. This section also limits sales and marketing at the consumer's home or workplace, whereas section 76 regulates misleading and other undesirable advertising.

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16.9 Unlawful provisions in a credit agreement

Section 90 further protects consumers by not allowing certain types of clauses to be included in a credit agreement. For example, the credit provider cannot require consumers to leave their identity documents, bank debit cards or credit cards with the credit provider, nor can the credit provider require consumers to promise in the credit agreement not to sue the credit provider for losses that the credit provider may cause consumers. If such unlawful clauses are inserted into the credit agreement, consumers may approach the court for legal protection. The court, in such circumstances, will either exclude only the offending sections, or declare the whole credit agreement to be unlawful. The court's decision will depend on the nature of the clause and the extent to which the consumer is affected.

Activity 16.2

Section 90 of the NCA states that a credit agreement may not contain an unlawful provision. Read section 90(2) and discuss the different forms of protection of the consumer with a friend.

16.10 Consumer duties under the NCA

In terms of the NCA, the main duties of consumers are:

- to notify the credit provider of the location of goods bought under a credit agreement until the item has been fully paid for. Normally, this duty would simply mean that consumers must inform the credit provider, in writing, of any change of address, or when they gave possession of the goods to someone else (section 97).
- to notify the credit provider when their credit card or PIN is lost or stolen. The credit provider may not hold the consumer responsible for their credit facility after such notification, unless the consumer's signature appears on the relevant voucher, or there is other evidence that the consumer authorised the transaction (section 94).
- to answer all requests for information that are made by the credit provider fully and truthfully (section 81). We will see below that the NCA aims to prevent reckless credit.

16.11 Pre-agreement assessment and reckless lending

The NCA encourages responsible borrowing by consumers to avoid over-indebtedness, while at the same time, discourages credit providers from granting reckless credit.

In terms of sections 80 and 81(2), a credit agreement is reckless if the credit provider, before entering into the agreement, failed to take reasonable steps to establish the following:

- that the consumer knew and understood their duties, rights, and risks under the agreement, and of the total and particular financial costs involved
- the consumer's debt repayment history with regard to other credit agreements
- the consumer's existing financial situation, including current forms of income and possible future income sources, weighed up against the consumer's existing financial obligations
- that, where the application for credit is for a commercial purpose, such as a business, whether such business has the prospects of being successful (section 81(2)(b)).

Even if the credit provider obtained all the information, as outlined above, the NCA considers there has been reckless lending if the credit provider entered a credit agreement, despite such information, indicating the following:

- The consumer did not understand or appreciate the risks, costs, or obligations of the agreement.
- The consumer is already over-indebted, or that entering the new credit agreement will cause the consumer to be over-indebted.

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The consumer is obliged to answer fully and truthfully any requests for information made by the credit provider as part of the assessment required by the NCA (section 81(1)). If the consumer fails to do so, and this materially affects the ability of the credit provider to make a proper assessment, the court or the National Consumer Tribunal cannot make a finding that the agreement was reckless (section 81(4)).

***Horwood v Firstrand Bank Ltd* (2010/36853) [2011] ZAGPJHC 121**

Principle

If a credit provider takes reasonable steps to assess the consumer's financial situation, referred to in section 81(2) (discussed above), the credit agreement that was entered as a result, will not be reckless in terms of section 80(1).

Facts

The consumer, Mrs Horwood, applied to have five credit agreements, entered with the creditor, Firstrand Bank, at different times, declared reckless, and for an order to set aside part of their obligations. The consumer denied the correctness of all the information relating to their income and expenses upon which the creditor relied to approve credit.

The court considered the following: the consumer was an existing client of the bank, the information supplied by the consumer was similar to previous information supplied for all the other credit agreements, and there were no indications that would alert a creditor to a contrary conclusion of the correctness of information supplied. The creditor therefore did a proper assessment.

The court's finding

The court concluded that the creditor met its statutory prescribed assessment obligations; that the creditor had taken reasonable steps to assess the consumer's financial position and therefore the credit was not granted recklessly.

Note: In this case, the court also found that the relevant time for determining whether agreement is reckless is when the agreement was concluded.

16.11.1 The consequences of reckless credit

The consequences of entering a reckless credit agreement are that the court or the National Consumer Tribunal may declare the credit agreement as reckless and make one of the following orders:

(a) The first order is to set aside (cancel) all, or part, of the consumer's rights and obligations under the credit agreement.

***Absa Bank Ltd v De Beer and Others* 2016 (3) SA 432 (GP)**

Principle

A credit agreement is reckless in terms of section 80(1)(a) if the credit provider failed to conduct an assessment as required by section 81(2).

Facts

The consumer, Mr. De Beer was 60 years old when he retired in 2002. From his pension pay-out, he bought and developed a smallholding, whereafter he had no fixed income, other than a small monthly annuity. Mr. De Beer did not farm profitably and, by 2006, the bank already approved three loans and registered mortgages against the property. During 2008, when Mr. De Beer was 66 years old and supported by family, the bank granted a further loan, bringing his total debt to the bank to R1 151 430.

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***Absa Bank Ltd v De Beer and Others* 2016 (3) SA 432 (GP) (continued)**

The bank did not ask him to provide any statements of his income and expenditure from the farming. The bank solely relied on a suretyship signed by his daughter. The issue before the court was whether the granting of the credit was reckless in terms of section 83(1).

The court's finding

The court stated that an agreement is reckless, in terms of section 80(1)(a), if the credit provider failed to conduct an assessment as required by section 81(2). The court stated that the assessment made by the bank does not comply with section 81(2). 'The first requirement is that "reasonable steps" must be taken to assess the proposed consumer's existing means, prospects and obligations' and that the assessment must be done reasonably, not irrationally. The court found that it was irrational to grant the loan on the income of the surety, as a surety does not fall within the definition of a consumer in section 1 and the liability only falls on the surety once the principal debtors have failed to comply with their obligations. 'The bank's assessment also falls foul of section 81(2)(b), as all the loans were for a commercial purpose', namely farming, which proved to be an unsuccessful venture. The bank furthermore 'never required proper income/expenditure accounts supported by the necessary source documents, not to even mention audited accounts'.

The court declared the agreement as reckless. The court had a discretion, in terms of section 83(2), to either set aside the agreement, or to suspend the force and effect of the agreement. The court noted that the remedy must be 'just and reasonable'.

The court stated the following factors in favour of exercising the first option namely section 83(2)(a): the extent of the recklessness of the bank; the fact that Mr. De Beer was elderly when the 2008 bond was registered; and that the property that the bank wants to execute is the consumer's only and primary home.

The court ordered that all the rights and obligations of the consumers in terms of the mortgage loan agreement be set aside.

(b) The second order that the National Consumer Tribunal or the court may make is to suspend the force and effect of the credit agreement until a determined later date. While a credit agreement is suspended, the consumer need not make any payments, nor may the consumer be charged interest or any other fees in terms of the agreement. When the suspension ends, the parties' rights and obligations under the credit agreement revive and are fully enforceable.

In *Taxi Securitisation (Pty) Ltd v Mbatha and two similar cases* 2011 (1) SA 310 (GSJ), the court decided that the consumer cannot remain in possession of the goods if the court sets the credit agreement aside or suspends it. The consumer must return the goods to the credit provider.

16.11.2 Exceptions to reckless lending

The provisions dealing with reckless credit do not apply where the consumer is a juristic person.

The provisions also do not apply where the credit agreement is one of the following:

- an emergency loan. An emergency loan is where the consumer seeks finance costs arising from death, illness, or a medical condition – an unexpected loss of income, or a catastrophic loss of or damage to property, due to fire, theft or natural disaster that affects the consumers or their dependants
- a study loan
- a public interest credit agreement
- a pawn transaction
- a temporary increase of the credit limit under a credit facility.

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16.12 Over-indebtedness under the National Credit Act

The NCA aims to promote responsible lending to ensure that consumers are able to meet their financial obligations under their credit agreements. The NCA makes provision for consumers to be declared over-indebted and to obtain a rearrangement of their credit liabilities, affording consumers time to meet their financial obligations. Consumers are over-indebted under the NCA if they are or will be unable to satisfy, on time, all their obligations under all the credit agreements they have entered. This determination of over-indebtedness considers, amongst other factors, the financial means (such as income), prospects (such as additional future earnings) and obligations (expenses) of the consumer, as they are at the time of determination, not as they were when they entered into the credit agreements. This financial analysis considers the income earned by other adult family or household members who also contribute to the household expenses of the consumer.

16.12.1 Debt counselling

A consumer applies to a debt counsellor to be declared over-indebted. The goal of debt review is not to relieve consumers of their debts, but to achieve payment of the debts by rearranging them. The debt counsellor must notify all the credit providers listed in the consumer's application, as well as all the registered credit bureaus. The debt counsellor will attempt to rearrange the various debt repayment obligations in a manageable way through negotiations with the consumers' credit providers. At the same time, the debt counsellor may also consider whether reckless credit has been granted to the consumer. The application to be declared over-indebted is rejected if the debt counsellor does not think that the consumer is over-indebted, on the basis of the information provided. However, if the debt counsellor does decide that the consumer is over-indebted, the matter is referred to the Magistrates' Court with the recommendation that the court should order that one or more of the consumer's repayment duties be rearranged. For example, the court may give the consumer a longer period to repay their debts with smaller, more affordable monthly repayments.

Over-indebtedness under the NCA can be found in section 79.

Activity 16.3

Read section 88 of the NCA: The effect of a debt review. Under what circumstances are consumers prohibited from accessing new credit? May credit providers proceed with litigation against consumers under debt review and, if so, under what circumstances?

16.13 Debt collection under the NCA

The NCA requires the creditor to follow certain procedures when taking legal steps against a consumer who is in default. If credit providers want to sue consumers to claim their money in court, they must wait until the consumer has been in default (meaning that the repayment of the debt has already been overdue) for at least 20 business days. Once these 20 days are up, the credit provider must give the consumer written notice of the default in terms of section 129(1)(a). This notice draws the consumer's attention to the default and proposes that the consumer refer the credit agreement to a debt counsellor, or suggested third parties, to resolve the dispute or to develop a payment plan. If the consumer has not responded to the notice in at least ten days, or rejected it, the credit provider may approach a court to enforce the credit agreement.

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***Kubyana v Standard Bank of South Africa Ltd* 2014 (3) SA 56 (CC)**

Principle

Under section 129 of the NCA, a credit provider wanting to enforce a credit agreement must deliver a notice to a consumer setting out the consumer's default and drawing the consumer's attention to their rights.

Facts

Mr Kubyana and Standard Bank entered an instalment sale agreement for the purchase of a motor vehicle. Mr Kubyana failed to make regular payments and fell into arrears. Standard Bank sent Mr Kubyana a notice in terms of section 129(1) of the NCA by way of registered mail to their elected registered address. Mr Kubyana failed to collect the notice from the Post Office, after the Post Office notified them twice that they had documents for collection. The Post Office returned the unclaimed section 129 notice to Standard Bank five weeks later. Standard Bank proceeded to issue summons. Mr Kubyana argued that Standard Bank did not comply with its obligations in terms of section 129, as they did not receive the notice, as was evident by the return of the notice to Standard Bank by the Post Office.

The court's finding

The court found that Standard Bank had fulfilled its obligation to bring the section 129 notice to Mr Kubyana's attention. The court further stated that, in order to effect delivery, the credit provider must take those steps that would bring the notice to the attention of a reasonable consumer. When a consumer has elected to receive notices by way of post, a credit provider must prove (i) dispatch of the notice by way of registered mail; (ii) that the notice reached the correct branch of the Post Office; and (iii) that the notification from the Post Office requesting that the consumer collect the section 129 notice was sent to the chosen address. If a credit provider has taken these steps, it will generally have discharged its obligation. The court concluded that the NCA does not allow consumers to frustrate the delivery of section 129 notices by ignoring notifications from the Post Office. Standard Bank had done all that was required of it by the NCA.

Accordingly, there is an onus on consumers to receive notices and not deliberately fail to collect and rely on this failure to attempt to avoid legal action.

16.14 Repossessions and termination of the agreement by surrendering the property

The credit provider has the remedy of repossession of the property that forms part of the credit agreement when the consumer is in default. The credit provider must cancel the agreement before the court will issue a final order for the attachment of the property.

A consumer may also terminate the agreement by surrendering the property and paying the balance still owing after the property has been sold. Consumers may use the right to surrender, whether or not they are in default.

In both of the above instances, the credit provider will sell the property in accordance with the processes set out in section 127. If the property is sold for more than the consumer owes, the balance will be paid to the consumer. If, however, the property is sold for less than the consumer owes, the consumer will remain liable for the difference.

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Chapter summary

In this chapter, you learned about the aims and application of the NCA, which came into effect in June 2007.

- The NCA defines credit as either one of the following:
  - a deferral of payment of money owed to a person, or a promise to defer such a payment
  - a promise to advance or pay money at the direction of another person.
- Credit agreements come in different forms, such as:
  - credit facilities
  - credit transactions
  - credit guarantees
  - a combination of these.
- The NCA classifies credit agreements as either small, intermediate or large credit agreements.
- The NCA does not apply to the following:
  - credit agreements entered into before 1 June 2007
  - where the consumer is the State or where the credit provider is the Reserve Bank
  - stokvel transactions
  - insurer credit extensions
  - a lease of immovable property
  - where the consumer is a juristic person with a turnover of assets above a set amount.
- Consumer credit institutions created by the NCA are the following:
  - the National Credit Regulator
  - the National Consumer Tribunal.
- Credit providers, credit bureaus and debt counsellors have to register with the NCR.
- Consumer rights under the NCA are, among others:
  - the right to apply for credit
  - protection against unfair discrimination
  - to know the reasons for the refusal of credit
  - all relevant information regarding the agreement in understandable language (pre-agreement disclosure)
  - to receive a copy of the agreement, the relevant financial accounts and regular statements
  - in certain circumstances, a five-business-day cooling-off period
  - a limitation of the costs a credit provider may charge
  - the right to confidential treatment.
- The NCA limits the ways in which credit providers may market or advertise their products. Examples are:
  - negative-option marketing
  - harassment by credit providers
  - misleading advertising.
- The consumer has three main duties. They are:
  - to notify the credit provider of the location of goods bought under a credit agreement until the item has been fully paid for
  - to notify the credit provider when their credit card of PIN is lost or stolen
  - to answer all requests for information that are made by the credit provider fully and truthfully.
- The NCA discourages credit provides from granting reckless credit.
- A credit agreement is reckless if the credit provider failed to take the following reasonable steps to establish the following:
  - that the consumer knew and understood their duties, rights, and risks under the agreement, and of the total financial costs involved
  - the consumer's debt repayment history with regard to other credit agreements
  - the consumers existing financial situation
  - that, where the applications for credit is for commercial purpose, whether such a business has the prospects of being successful.
- There are exception to reckless lending. They are:
  - an emergency loan
  - a study loan
  - a public interest credit agreement
  - a pawn transaction
  - a temporary increase of the credit limit under a credit facility.
- The NCA makes provision for consumers to be declared over-indebted.

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- Consumers are over-indebted if they are or will be unable to satisfy, on time, all their obligations under all the credit agreements they have entered.

Review your understanding

1. Discuss the consequences when a consumer surrenders property that forms part of a credit agreement.
2. Discuss the advantages for consumers that were introduced by the NCA, regarding their right to settle the whole debt due under the credit agreement at any time.
3. Draw a table in which you identify the different categories of credit agreements. Include examples of each type of credit agreement.
4. You decide to conclude a credit agreement. What are your rights as a consumer in terms of section 92 of the NCA?
5. Discuss the circumstances where a credit agreement approved by a credit provider may be considered as reckless lending.
6. Briefly discuss the role of a debt counsellor in terms of the NCA.

Further reading

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Part

4

Important aspects of commercial law

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Consumer Protection Act

Chapter 17

The main ideas

- The Consumer Protection Act 68 of 2008 (CPA) – a new era for consumers in South Africa
- Key terms explained
- Aims of the CPA
- Interpretation and application of the CPA
- Consumer rights
- Enforcement of consumer rights

The main skills

- Indicate the aims of the CPA.
- Understand when the CPA applies.
- Apply relevant provisions of the CPA to practical scenarios.
- Explain the remedies available to consumers when enforcing their rights under the CPA.

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In Part 4 of the book, we look at a number of important aspects of commercial law. We start with the Consumer Protection Act. A multitude of consumer agreements are concluded every day. Generally, both the consumers and the suppliers of goods or services benefit from these agreements. For a number of reasons, however, consumers can be exploited quite easily, in particular, the costs and time factors prevent consumers from taking a consumer complaint to court. To provide consumers with effective protection, the Consumer Protection Act 68 of 2008 (CPA) was enacted. The CPA affords consumers a comprehensive set of rights that is aimed at protecting the consumer. The CPA also provides mechanisms for the enforcement of these rights. This chapter considers the CPA in more detail.

Before you start

You are a loyal member of a local gym and have signed a three-year membership contract with the gym. After a year of being a member, you are offered a position of employment in another town, and you need to relocate. You want to cancel your gym membership, but the gym insists that you pay for the full three years. What are your rights as a consumer in a situation like this?

17.1 The Consumer Protection Act – a new era for consumers in South Africa

A growing consumer-orientated world economy in the twentieth century precipitated the development of greater consumer protection measures. South African consumers had to rely on the common law (particularly the laws of contract and delict) to protect themselves as consumers. Using the ordinary civil courts is, however, very expensive and it takes a long time before a matter is heard. It was therefore often not worthwhile for consumers to pursue consumer complaints through the legal system.

In certain areas, specific legislation was enacted to provide for consumer protection, for example:

- Foodstuffs, Cosmetics and Disinfectants Act 54 of 1972
- Estate Agency Affairs Act 112 of 1976 (now repealed)
- National Building Regulations and Building Standards Act 103 of 1977
- Competition Act 89 of 1998
- Rental Housing Act 50 of 1999

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Since 1994, the South African government has committed itself to consumer protection. This commitment is part of a wider commitment to the promotion and advancement of the social and economic welfare of all South Africans, which is reflected in the following legislation that has been passed, especially since 2000:

- Electronic Communications and Transactions Act 25 of 2002
- National Credit Act 34 of 2005
- Consumer Protection Act 68 of 2008, which came into general effect on 31 March 2011
- Protection of Personal Information Act 4 of 2013
- Financial Sector Regulation Act 9 of 2017
- Property Practitioners Act 22 of 2019, which came into operation on 1 February 2022.

The need to introduce comprehensive and general consumer protection legislation was necessitated by factors such as unfair and discriminatory market practices, the proliferation of low quality and unsafe products, the complexity of goods, a lack of knowledge of consumer rights, and the limited redress and weak enforcement of consumer rights.

The CPA provides comprehensive consumer protection legislation, but the Act is not a complete **codification** of all consumer legislation in one piece of legislation.

Codification means 'to arrange laws into one body or a system', normally in a written form.

Activity 17.1

You considered the National Credit Act in the previous chapter. Write down three examples of how this Act protects consumers. If you cannot remember, go to the previous chapter, and refresh your memory.

17.2 Key terms explained

In terms of the CPA, a consumer means any person to whom goods or services are marketed, who enters into a **transaction** to purchase these goods or services and, if the context allows, also a user of the particular goods, or a recipient or beneficiary of those particular services. This will be the case even if that user, recipient, or beneficiary was not a party to the transaction for the supply of those goods or services. For example, you, the consumer buy food for your friend. Although your friend was not a party to the transaction, the mere fact that your friend eats the food, makes them a consumer, as they are a recipient or beneficiary of that transaction.

Transaction refers to an agreement between a supplier and a consumer for the supply or potential supply of goods or services in exchange for consideration.

A supplier is someone who markets any goods or services in their ordinary course of business. To market, when used as a verb, means to promote, or supply any goods or services. A supplier can be a natural or a **juristic person**. When a consumer and a supplier enter a transaction where the consumer purchases any goods or services, this is generally in terms of a consumer agreement.

The CPA defines a **juristic person** to include a body corporate, a partnership or association, or a trust as defined in the Trust Property Control Act 57 of 1988

17.3 The purpose of the CPA

Our understanding of a constitutional democracy in South Africa includes the principle of consumer protection. This principle is based on the constitutional purpose stated in the preamble to the Constitution of the Republic of South Africa, 1996, namely, to improve the quality of life of all citizens and free the potential of each person.

The primary purpose of the CPA is to promote and advance the social and economic welfare of consumers in South Africa (section 3). This aim is to be achieved through:

- establishing a legal framework for achieving and maintaining a consumer market that is fair, accessible, efficient, sustainable, and responsible for the benefit of consumers generally
- reducing disadvantages experienced in accessing goods and services by vulnerable consumers
- promoting fair business practices

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- protecting consumers from unfair trade practices
- improving consumer awareness and access to information, and encouraging informed consumer choices and behavior
- developing a culture of consumer responsibility
- providing an effective system of consensual dispute resolution
- providing an efficient system for redress.

The CPA must be interpreted in a manner that gives effect to these stated purposes. This approach is called the **purposive approach** to statutory interpretation. The CPA must therefore be interpreted as to promote and advance the social and economic welfare of consumers in South Africa by, amongst other, achieving a consumer market that is fair – fair to both consumers and suppliers. However, where it is reasonably possible to interpret a provision of the CPA in more than one way, the court or tribunal must choose the interpretation that will best promote the spirit and purposes of the Act, and advance the rights of consumers, especially vulnerable consumers. Vulnerable consumers include low-income consumers, minors and seniors, consumers in remote areas, and consumers whose ability to read and understand written communication, such as advertisements, agreements, and notices, is limited because of low levels of literacy, vision impairment or limited fluency in the language of the specific written communication.

A **purposive approach** provides a broader view of interpreting the law and aims to make sense of the statute in the light of the purpose of the legislation.

17.4 Application of the CPA

The CPA does not apply to all transactions between suppliers and consumers. It is therefore very important to establish in each case whether the CPA actually applies to an agreement (section 5(1)). The CPA applies to:

- every transaction occurring within the Republic, unless specifically excluded by the Act
- the **promotion** of any goods, services, or of the supplier of any goods or services within the Republic
- any goods or services provided or supplied in terms of a transaction to which the Act applies
- goods supplied in terms of a transaction, even though the transaction has been excluded from the application of the Act.

Promotion refers to any representations, willingness or efforts made by a supplier to advertise, display, or offer for sale any goods or services in the ordinary course of business and for payment; or to induce a person to enter into a transaction.

The CPA does not apply to certain transactions (section 5(2)). These are:

- transactions for the supply of goods or services to the State
- transactions where the consumer is a juristic person with an asset-value and/or annual turnover of R2 million or more
- transactions exempted by the Minister
- transactions falling under the National Credit Act 34 of 2005 (credit agreements)
- employment contracts, as well as collective agreements regulated in terms of the Labour Relations Act 66 of 1995.

Case study — Setting-off money for money

Avi operates a small business that manufactures and sells sanitising liquid soap. Avi has concluded a contract with the Balfour Municipality in terms of which Avi is to provide all offices of the Municipality with this soap for a year. The contract was drafted by Avi's attorney. After three months, the Municipality is unhappy with the service Avi provides, as well as the quality of the product. The Municipality also alleges that a certain term in the contract – a term that excludes Avi's liability for harm resulting from the use of the soap – was not drawn to the

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Case study (continued) — Setting-off money for money

Municipality's attention as required by the CPA, and that the contract should therefore be set aside. Can the Balfour Municipality rely on the CPA?

The CPA provides that it does not apply to certain transactions, including transactions where the State is the consumer (section 5(2)(a)). An organ of state is defined in the CPA with reference to section 239 of the Constitution Act 108 of 1996. The Constitution provides that an organ of state includes a municipality. A municipality therefore is not a consumer that can rely on the CPA.

Added value — Financial sector excluded

The Financial Sector Regulation Act 9 of 2017 specifically excludes the financial sector from the application of the CPA. This includes the banking sector, the insurance sector, and the pension fund industry. This means that consumers cannot rely on the CPA for assistance when they experience problems with, for instance, insurance contracts or bank deposits.

17.5 Consumer rights

Chapter 2 of the CPA provides for nine fundamental consumer rights. These rights are:

1. the right to equality in the consumer market
2. the right to privacy
3. the right to choose
4. the right to disclosure and information
5. the right to fair and responsible marketing
6. the right to fair and honest dealing
7. the right to fair, just, and reasonable terms and conditions
8. the right to fair value, good quality and safety
9. the supplier's accountability to consumers.

Added value — The regulations to the CPA

While rights are provided for in the CPA, often more detail regarding the rights, or other aspects in the CPA, is provided for in the regulations to the CPA. Regulations are subordinate legislation.

This means the regulations are not made by parliament, as is the CPA. Parliament gives the Minister responsible for consumer protection the power to make regulations that provide more detail regarding an aspect or right provided for in the CPA. The CPA gives the relevant Minister the authority to make regulations for the CPA (section 120).

17.5.1 The right to equality in the consumer market

Suppliers may not **unfairly discriminate** against consumers (either as an individual or as a category of persons) on any of the grounds that are listed in section 9 of the Constitution 1996, or Chapter 2 of the Promotion of Equality and the Prevention of Unfair Discrimination Act 4 of 2000 when promoting or supplying goods or services to such consumers (section 8). These listed grounds include race, gender, sex, pregnancy, marital status, ethnic or social origin, colour, sexual orientation, age, disability, religion, conscience, belief, culture, language, and birth.

Unfair discrimination for these purposes means that a supplier differentiates between consumers in such a manner that some consumers are treated differently from other consumers and there is no rational reason for the difference in such treatment.

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The CPA lists various types of behaviour that may constitute unfair discrimination which are prohibited by the Act if the differentiation is based on a prohibited ground. Examples are:

- excluding some consumers from accessing goods or services offered by the supplier
- supplying different quality of goods or services to some consumers
- charging some consumers different prices for the same goods or services.

For example, a supplier may not unfairly exclude a particular community from the supply of goods or services offered by the supplier, based on that community's religion or race.

The CPA does permit differential treatment in some cases. It will not be unfair discrimination if an establishment (supplier) reasonably makes certain facilities available for the exclusive use of minors or for people aged 60 years or more or offers a discounted price on the basis that the person is a minor or 60 years or older. An establishment (supplier) may also provide separate but substantially similar facilities for the exclusive use by the different genders or may provide facilities exclusively for the use by one gender only if it is reasonable to do so.

Case study — Hot Foods restaurant

Hot Foods opens a restaurant in Mkanda. The restaurant has a marketing policy in terms of which it offers all meals on Tuesdays to persons who are 60 years or older at a 50% discount. There are many students in Mkanda, and they feel that it is unfair discrimination to charge different prices to the students on Tuesdays as what are offered to those of 60 years or older. Is the marketing policy of Hot Foods lawful?

It should be clear to you that Hot Foods is differentiating between people of 60 years and older and those younger than 60. The difference in treatment is based on age. However, the CPA expressly allows a supplier to "advertise, offer to supply, or supply, any goods or services at a discounted price, solely on the basis that the consumer … is an adult who has attained a specified age of at least 60 years" ((section 9(1)(d)(ii)).

17.5.2 The right to privacy

The CPA protects the privacy of consumers by limiting the use of direct marketing by suppliers (section 11). Direct marketing means to approach a person, either in person or by mail or electronic communication, for the direct or indirect purpose of marketing goods or services or asking for a donation. The right to privacy allows the consumer, when approached in person, to refuse to accept or require the direct marketer to discontinue the direct marketing. When requested to stop direct marketing, a supplier is required to record the request, and provide the consumer with written confirmation of having received the request. A national registry is to be established where consumers can register in order to pre-emptively block certain forms of direct marketing. Direct marketers will then be obliged to consult this registry and may not contact consumers who have registered.

Added value — Opting out or receiving direct marketing

The Direct Marketing Association of South Africa (DMASA) operates a registry in which a consumer can register if the consumer does not want to receive direct marketing from members of the association. This means a consumer can opt-out from receiving direct marketing from suppliers who are members of DMASA.

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The CPA provides that consumers may not be contacted at home for purposes of direct marketing on the following days and during the following hours:

- Sundays and public holidays
- Saturdays before 09:00 and after 13:00
- all other days between the hours of 20:00 and 08:00 the following day (section 12).

Where consumers conclude agreements as a result of direct marketing, they are entitled to a cooling-off period of five days (section 16). A cooling-off period is a period of time within which consumers are allowed to change their mind and cancel the contract for no reason and at no cost after concluding the contract. The consumer must inform the supplier in writing or in another recorded way, such as via email or SMS, of the cancellation. The supplier must inform consumers of their rights in respect of the cooling-off period when the transaction is concluded (section 32). It is not certain what the effect will be if the consumer is not informed of the right.

Added value The right to cooling-off in the European Union

The European Commission Directive on Consumer Rights provides for a cooling-off period of 14 days, and the supplier must inform the consumer of the right. If the consumer is not informed of this right, then the cooling-off period extends for a year. If the supplier informs the consumer within the year, then the cooling-off period comes into effect from the time the consumer is informed.

Other legislation also contains cooling-off rights. For instance, if the contract was concluded electronically, the Electronic Communications and Transactions Act may apply to the situation. If so, the consumer has a seven-day cooling-off period. See Chapter 19 for more detail on electronic transactions.

Activity 17.2

You have concluded a contract with a supplier as a result of direct marketing. You now want to cancel this contract. What are the steps that you must take?

17.5.3 The right to choose

A number of different rights are provided for under the 'consumer's right to choose'. These include the consumer's:

- right to select a supplier
- rights in respect of fixed-term contracts
- right to a quotation
- right to cancel reservations
- right to choose or examine goods
- right with respect to the delivery of goods
- right to return goods to a supplier
- right to unsolicited goods.

Right to select a supplier

The first of these specific rights is the consumer's right to select a supplier. In terms of this right, a consumer cannot be forced to buy two products together (section 13). This practice is referred to as bundling. Bundling will be allowed if the supplier can show that the bundling provides the consumer with convenience that outweighs the limitation of consumer's choice; results in economic benefit to the consumer or offers the bundled goods or services separately and at individual prices.

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Activity 17.3

The Rainbow Lodge is situated in a remote area, far away from other amenities. It markets its product as dinner-bed-and-breakfast at a price of R2 500 per person sharing, per night. Consider whether this 'bundling' of the three separate products (dinner, accommodation, and breakfast) is permitted under the CPA or not. In this scenario guests do not have the option of excluding either dinner or breakfast to get a cheaper rate – if a guest does not elect to eat dinner or breakfast the price is the same.

Rights in respect of fixed-term contracts

A **fixed-term contract**, such as a cellphone or gym contract may not exceed 24 months, unless the longer period has been expressly agreed to with the consumer and the supplier can show a clear financial benefit to the consumer (section 14). A consumer can cancel a fixed-term contract at any time by giving 20 **business days'** written notice to the supplier. The supplier may charge a reasonable cancellation fee. The cancellation fee may not have the effect of making the right to cancel meaningless. Whether a cancellation fee is reasonable has to be determined by considering a number of factors (regulation 5). These include:

- the value of the goods returned to the supplier
- the duration of the consumer agreement as initially agreed
- the nature of the goods or services booked
- the length of the notice of cancellation given by the consumer
- the general practice of the relevant industry.

A **fixed-term contract** is a contract which starts and is due to end when a specified date is reached, a specified event occurs, or a specified task is completed.

Business days are all the days of the week, excluding Saturdays, Sundays, and public holidays.

Activity 17.4

Stephen lives at the Sunshine Country Estate in Tshwane. On 1 January, Stephen concludes a contract of membership with the Sunshine Country Estate & Golf Club (Pty) Ltd for a year. In terms of the contract, Stephen may use the golf course in the estate, for which Stephen must pay R1 000 per month. During the same year, in March, Stephen is transferred to Cape Town making it impossible to play at the golf course. Stephen wants to cancel the agreement, but the Club insists that Stephen must pay for the whole year. Does the CPA assist Stephen in any way?

A fixed-term contract may also not be automatically renewed. The supplier must give the consumer notice within a period of no more than 80 days and no less than 40 days before expiry of the contract. This notice must inform the consumer of any material changes to the contract, such as an increase in monthly fees or premiums payable, should the contract continue. The supplier must also advise the consumer of the following:

- The consumer may expressly choose to cancel the contract when it expires.
- The consumer may expressly renew the contract on the new terms as proposed by the supplier.
- If the consumer does not expressly choose to cancel or renew the contract, the contract will continue on a month-to-month basis, according to the new terms.

Right to a quotation

When a supplier performs repairs or maintenance work for a consumer and has possession of the property of the consumer to carry out the work (such as a garage taking possession of the consumer's vehicle for a service), the supplier must give the consumer a quotation for the cost of the work and must get the consumer's authorisation before performing the work (section 15). If the consumer, in writing, declines to receive a quotation and authorises the work to a certain amount, then the supplier may perform work to the agreed amount. The supplier may not charge an amount higher than the quotation,

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unless the supplier informs the consumer of the higher costs, and the consumer authorises the work. The supplier may not ask for a fee for preparing a quotation unless the parties agree to it.

A quotation must contain the following details:

- a breakdown of all the charges and the total of the amount to be charged if the repairs or work is to be done
- the nature and extent of the repairs
- the period of validity of the quote
- the period within which the consumer must collect the goods
- the consequences if the consumer fails to collect the goods.

Activity 17.5

Atul's cell phone is faulty, and they take it to CellRepairs. Atul asks the technician at CellRepairs for advice on whether the phone can be repaired. Three days later, Atul receives a message that the phone is repaired and that it can be collected upon payment of R1 750. Atul is very upset, as the phone is not nearly worth that much but CellRepairs warn that they will sue Atul for the money if Atul does not pay. What rights do Atul have in terms of the CPA?

Right to cancel any advance reservation, booking, or order

A consumer has the right to cancel any advance reservation, booking or order (section 17). A supplier is entitled to charge a reasonable deposit and a reasonable cancellation fee. What will constitute a reasonable cancellation fee will be determined with reference to certain factors, such as the length of time of the notice and the potential for the supplier to find a replacement consumer. A hotel, for example, may no longer apply a standard policy in terms of which deposits are non-refundable in the case of a cancellation. No cancellation fee may be charged if the cancellation is due to the hospitalisation or death of the consumer.

The term ***force majeure*** (superior of overwhelming force) is used to describe circumstances or events that may affect a contract and that are completely outside the control of the parties.

Added value Distinguish *force majeure* from cancellation under normal circumstances

The Covid-19 pandemic and the resultant lockdown made it impossible for people to travel. The result was that many people had to cancel travel and holiday plans and there were disputes about the repayment of monies already paid for such travel and holiday bookings. One must be careful to distinguish between two situations. When the government announced a state of disaster and prohibited travel and most businesses, including hotels, were prohibited from continuing their operations, this situation was not the decision (or 'fault') of either the consumer or the supplier. This situation was outside the control of either party and is referred to as ***force majeure*** (superior force).The effect of this is that the contract between the consumer and the supplier is terminated and any monies paid by the consumer are to be returned to the consumer.

The provisions of section 17 of the CPA would apply in a 'normal' context where the consumer, for whatever reason, decides to cancel the advance booking. The consumer is entitled to do so but may then be liable for a reasonable cancellation charge. The CPA provides that the following factors must be considered in determining what a reasonable cancellation charge will be, namely:

- the nature for the goods or services that were booked or reserved
- the length of the notice
- the general practice of the relevant industry
- the reasonable potential for the service provider to find an alternative consumer in the place of the one that has cancelled.

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Activity 17.6

In November 2019, Thumi booked a two-week holiday at the popular King Supreme Hotel in Durban for the school holidays in June 2020. In March 2020, the country was placed in a lockdown because of the announcement of a state of disaster due to the Covid-19 pandemic. As a result, Thumi could not travel from Gauteng to Durban. Thumi wanted to cancel the booking and get the money already paid, back. Thumi has already paid a non-refundable deposit of R25 000.The hotel refused to return the deposit, indicating that it was 'non-refundable'. Does the CPA assist Thumi?

Right to choose or examine goods

A consumer is not liable for any loss or damage to any goods displayed by a supplier, unless the damage results from gross negligence, recklessness, or intentional behavior (section 18). This is the case even where the supplier has placed a notice to state that if a consumer handles and breaks something the consumer must pay for the damaged goods. Ordinary negligence is not enough to result in liability for the damage. Shops often display a notice with the following wording, 'Nice to touch, nice to hold, but if it should break consider it sold'. A supplier cannot rely on such a notice to hold a consumer liable for breakages, unless the damage is occasioned through **gross negligence**, recklessness, or intentional conduct.

Gross negligence conduct can be described as conduct that shows a complete disregard for the need to use reasonable care, and which has, or is likely to, result in serious and foreseeable harm to persons and property. Gross negligence is therefore an extreme form of negligence.

Right with respect to delivery of goods

The CPA introduced an important change to the common law in respect of the **passing of risk** when goods are sold to a consumer. As you know from the law of sale in chapter 14, the risk for damage to or destruction of the thing sold passes to the consumer (buyer) once the sale is perfect (or *perfecta*). This means the parties have reached agreement on the price, the goods bought and sold have been determined, and the sale is not subject to a suspensive condition. The CPA now provides that the risk will pass to the consumer only when the goods are delivered to the consumer unless it is agreed otherwise (section 19).

Passing of risk refers to the moment when the risk in the damage or destruction of the goods passes from the seller to the buyer.

Suppliers may include a provision in their standard-form contracts, providing that the risk will pass before delivery. However, the CPA provides in its regulations that such a term is presumed to be unfair. This means that the supplier will have to prove why it is fair to have a term in the contract transferring the risk to the consumer before delivery. This type of provision will fall within the ambit of section 49, which requires that the provision must be drawn to the attention of the consumer. Section 49 is discussed in more detail in 17.5.7.

Case study — Carli's car

Carli buys a new car from Wheels (Pty) Ltd. The parties have agreed on the specific car and the price, and all conditions have been fulfilled. Carli transfers the money to Wheels (Pty) Ltd. It is a term of the agreement that Carli will collect the car from the business premises of Wheels (Pty) Ltd a week later, as Carli is currently still overseas. Carli arrives at the premises a week later only to discover that the premises has burned to the ground with all the cars, including Carli's car. The fire was caused by lightening that occurred during a thunderstorm. Who carries the risk for the destruction of the car in this instance?

In terms of the common law, the risk moves to the buyer the moment the sale is *perfecta*. In this case the sale was *perfecta*, and Carli would have carried the risk. However, now the CPA contains a provision that the supplier carries the risk until the car is delivered. This means that the risk stays with the supplier, even though the contract of sale is *perfecta*. The CPA does allow the parties to agree that the risk will move to the consumer at a point prior to delivery, but such a term is presumed to be unfair. In such a case the supplier will have to convince the court that it is fair to have the risk move to the buyer at an earlier time than delivery.

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Right to return purchased goods to a supplier

A consumer may return purchased goods to a supplier only in very specific instances (where the goods are not defective) (section 20). These include:

- goods purchased because of direct marketing and the contract has been cancelled within the cooling-off period
- goods the consumer did not have the opportunity to inspect before delivery
- goods intended for a specific purpose, which the supplier was informed of and within ten days of delivery to the consumer, it was found that the goods are not suited for the stated purpose.

Goods may not be returned if, for reasons of public health, a public regulation prohibits the return of the goods, or the goods have been disassembled, altered, or installed.

Activity 17.7

Rachel bought a pair of shoes from The Shoe Box. The next day Rachel decides that they do not like the colour of the shoes, and they want to return the shoes and get their money back. Discuss whether the CPA gives Rachel the right to return the shoes to the supplier.

Right to return unsolicited goods

Goods delivered to a consumer can, in some instances, be considered **unsolicited** goods (section 21). The result of goods being unsolicited is that the consumer in possession of these goods becomes the owner of them without any duty to pay the supplier. For example, when goods are left with a consumer during direct marketing, without any arrangement for payment; or where a larger quantity than was ordered is delivered; or after an agreement for the periodic delivery of goods or services has been terminated, the supplier keeps on delivering the goods. For example, where the supplier keeps on delivering the newspaper after the contract for such delivery has been cancelled.

If something is **unsolicited**, it means that you have not asked for the thing.

If a supplier informs a consumer within ten business days that goods were delivered incorrectly to that consumer, the goods will become unsolicited only if the supplier does not collect the goods within 20 business days of notifying the consumer. Goods that are clearly delivered to the wrong person or address only become unsolicited when the consumer, who received these incorrectly delivered goods, has informed the supplier of the incorrect delivery and the supplier does not collect the goods within 20 business days. A person in possession of goods incorrectly delivered, must not prevent the reasonable steps of the supplier to recover the goods.

Activity 17.8

Jon moves into a new home at 1104 Cape Road and orders a smart TV from TVSAT for the new home. The TV is delivered to 4011 Cape Road to Joe, who has no knowledge of Jon. Joe phones and informs TVSAT of the incorrect delivery. Four weeks later TVSAT still has not collected the TV as promised. What is Joe's position? Compare your answers with a friend.

17.5.4 The right to disclosure and information

The right to choose only has meaning if the consumer has sufficiently relevant information to make an informed choice. The CPA aims to ensure that the consumer is provided with sufficiently relevant information to make informed choices. The general right to disclosure and information is given meaning through a number of specific rights in the CPA. These are:

- the right to plain and understandable language
- the right to have prices of goods and services displayed

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- the right to product labelling and trade descriptions
- the right to disclosure of reconditioned or grey-market goods
- the right to written sales records
- the right to disclosure by intermediaries.

Right to plain and understandable language

Plain language is at the heart of the right to sufficient and relevant information. A consumer is entitled to receive any document, notice or visual representation to be in plain and understandable language, unless a specific form is prescribed (section 22).

A contract should be in plain language and understandable to every consumer. The consumer is usually viewed as a person of average literacy skills and with a minimum experience of the product or service, and they must be able to understand the content and significance of the contract without undue effort.

The readability of a document can be improved quite easily by making use of some simple techniques. These include avoiding legal terms and phrases (or at least explaining them), using personal pronouns (such as they or them), and using the **active voice** rather than the **passive voice**.

The format can help to make the document understandable to or mislead the consumer:

- font size and font colour – a small font and a light shade of grey is very difficult to read
- headings – these guide a reader to relevant parts
- layout – beware of hiding the important clauses of the contract on the back page
- cross-referencing to other parts of the document or other documents should be avoided.

The **active voice** describes a sentence where the subject performs the action stated by the verb. An example is, 'The supplier must inform the consumer'. In the **passive voice**, the subject is acted upon by the verb. An example is, 'The consumer must be informed by the supplier'.

Activity 17.9

'The consumer's attention must be drawn to the notice by the supplier ergo the notice must be displayed in a conspicuous manner.' Discuss and improve this sentence to conform with the plain and understandable language provision in the CPA.

Right to have prices displayed

A retailer may not display goods for sale without displaying a price in respect of those goods (section 23). A supplier may not require a consumer to pay a price higher than the displayed price. Where two prices are displayed, the consumer is entitled to pay the lower price. This is different from the common law position where the displayed price generally does not constitute an offer, but merely an invitation to do business. This means that in terms of the common law, a supplier is not bound by the displayed price. The CPA provides for an exception to the general rule that a supplier is bound by the displayed price. A supplier will not be bound to a displayed price where the price contains an inadvertent and obvious error, but then only *after* the supplier has corrected the incorrect price and has taken reasonable steps in the circumstances to inform consumers of the error and correct price.

The CPA has now changed this position in respect of consumer agreements.

Activity 17.10

Jacqui wants to buy a SmartTV. Jacqui visits a shop to buy groceries and then happens to see a big SmartTV with a displayed price of R1 999. Jacqui places the TV in the trolley and proceeds to the check-out counter. When Jacqui offers to pay the person at the counter, they advise Jacqui that there is a mistake, and the price of the TV is actually R11 999. Is Jacqui entitled to pay only R1 999 for the TV?

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Right to true product labelling and trade descriptions

A person may not knowingly apply a label or trade description to any goods that is likely to mislead the consumer (section 24). This means that a supplier may not make any statements regarding the amount of the goods, the content of the goods, the name of the manufacturer, the geographical origin of the goods, and the manner in which the goods were manufactured that is untrue. A product must carry a notice to indicate that it contains genetically modified ingredients (GMO). These are ingredients that have been altered at the gene level and are regarded as being the opposite of organic ingredients. These are also known as 'genetically engineered' or 'genetically altered' ingredients.

Regulation 7(6) provides that a notice may not state that a good or ingredient does not contain genetically modified organisms, unless such good or ingredient contains less than 1% genetically modified organisms.

Added value More statutes regulating labelling and trade descriptions

There are a number of other statutes regulating labelling and trade descriptions. Two important examples are the Liquor Act 59 of 2003 and Medicines and Related Substances Control Act 101 of 1965.

Right to disclosure of grey-market goods

A person who supplies goods that have been reconditioned, or are grey-market goods, must apply a conspicuous notice to the goods to inform the consumer of that fact (section 25). Reconditioned or refurbished goods refers to goods that have been repaired, rebuilt, or remade, but still bear the trademark of the original manufacturer or supplier. Grey-market goods are goods traded through distribution channels that, although legal, are unofficial, unauthorised, or unintended by the original manufacturer. An example would be where a shop imports and sells branded electronic goods, such as Samsung, Sony, or LG products, without the approval or licence of the registered owner of the trademark. If the goods break, the consumer is not protected by the manufacturer's warranty, and no official or licensed importer will honour a warranty in respect of such goods. This is why the consumer needs to be informed that the product is a grey-market good.

Right to written sales records

The CPA requires that a supplier must provide a written sales record in respect of every transaction, to the consumer to whom goods or services are supplied (section 26). The record must contain at least the following information:

- the supplier's full name, registered business name and VAT registration number
- the supplier's address from where the goods or services are supplied
- the date of the transaction
- the name or description of the goods or services
- the unit price of the goods or services
- the quantity of the goods or services supplied
- the total price before any taxes
- the amount of applicable taxes
- the total price of the transaction including applicable taxes.

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Right to disclosure by intermediaries

An intermediary is a person who, in the ordinary course of business and for remuneration, engages in certain kinds of business activity. These activities are:

- representing another person with respect to the actual or potential supply of goods or services
- accepting possession of any goods or property from another person for the purpose of offering the property for sale
- offering to sell to a consumer any goods or property that belongs to a third person, or service to be supplied by a third person.

Added value — Intermediaries in the financial services industry

Intermediaries in the financial services industry are primarily governed by the Financial Advisory and Intermediary Services Act 37 of 2002, the Long-term Insurance Act 52 of 1998 and the Short-term Insurance Act 53 of 1998.

An intermediary must disclose certain information to the consumer (section 27). The information required to be disclosed to the consumer is set out in regulation 9 of the CPA. Some of the information that must be disclosed includes:

- the full names, physical business address, postal address, phone numbers, email address, and any registration number assigned to the intermediary by a regulatory body
- the identity number, or if the intermediary is a juristic person, its relevant registration number
- the exact service to be provided by the intermediary
- the fee payable to the intermediary for the services provided by them and the basis for calculating such fee, if the consumer asks for this information
- the frequency with which the intermediary will in writing account to the consumer in respect of the mandate of the intermediary
- any commission, consideration fees, charges, or brokerage payable to the intermediary by any other person
- any information that may be relevant and which the intermediary may reasonably be expected to be aware of.

It is also specifically required that an intermediary must disclose any potential conflict of interest to the consumer.

17.5.5 The right to fair and responsible marketing

The CPA provides for marketing practices that must comply with a general standard. This standard requires that a producer, importer, distributor, retailer, or service provider must not **market** any goods or services in a manner that is misleading, fraudulent, or deceptive in any way relating to any important aspect of the goods or services, such as the ingredients, qualities, uses, and benefits that the goods or services may have.

To **market** something, means to promote or supply something.

The CPA also regulates specific marketing practices, such as:

- bait marketing
- negative option marketing
- trade coupons and similar promotions
- customer loyalty programmes
- promotional competitions
- alternative work schemes
- referral selling.

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Bait marketing

Bait marketing is the practice where a supplier advertises certain goods or services at a very low price in order to attract consumers to the supplier's business (section 30). Bait marketing is not prohibited. Misleading or deceiving consumers as to the actual availability of the goods at the price advertised is prohibited. For example, Eagle Appliances launches an advertising campaign in the local newspaper, stating that they will be selling a certain make and model of television for R9 990, where it normally sells for R20 000. This practice of advertising goods at a low price to attract consumers is not prohibited. But, if Eagle Appliances does not actually have any of those televisions available for sale, then consumers are deceived into coming into the store – this form of bait marketing is prohibited.

Activity 17.11

Do you think Eagle Appliances CC complies with the CPA if the following is stated in its advertisement?

'Stocks are limited.'

Negative option marketing

Negative option marketing is prohibited in terms of the CPA (section 31). This practice entails placing the consumer in a position where the consumer must decline an offer by the supplier, failing which the offer will be considered to have been accepted. An example is if a supplier sends the consumer a book and states that if the book is not returned within seven days, there will be a contract between the parties and the consumer will have to pay for the book.

The prohibition of negative option marketing supports the common law principle that for a contract to come into existence, the person to whom the offer was made (offeree) must accept the offer and the acceptance must be successfully communicated to the person making the offer (offeror) in a clear and unambiguous manner. The offeror cannot unilaterally impose a condition that the silence of the offeree constitutes acceptance of the offer.

Trade coupons and similar promotions

The use of trade coupons and similar promotions is a marketing tool often used by suppliers in terms of which a prize, reward, gift, free goods or services, price reduction, or concession is offered or promised. A supplier may not make a promotional offer without the intention of fulfilling it. A supplier offering a trade coupon or similar promotional offer must provide specified information about the offer and the steps required by the consumer to receive the benefit that is offered (section 34).

Customer loyalty programmes

The CPA provides that loyalty credits are legal tender, like cash, when offered as payment for any goods or services in terms of a customer loyalty programme. Loyalty credits refer to points awarded for money spent at a particular place in terms of their loyalty programme, which consumers can use to discount future goods or services they purchase. A person may not offer participation in a loyalty programme or offer any loyalty credits or awards with the intention of not actually providing them or providing them in a manner other than as offered. A loyalty programme may therefore not, for example, offer an award of free accommodation at any of a group of hotels, but when claimed by the consumer, the supplier insists that the free accommodation must be taken at a specific hotel that has a low occupancy rate. The supplier must also provide the consumer with specified information about the nature of the programme and the steps required to participate and receive the benefits of the programme.

A supplier is obliged to:

- ensure that the supplier has sufficient goods or services available to accommodate all reasonably anticipated demand for the goods or services in exchange for credits

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- not limit the supply of the goods or services to consumers paying with loyalty credits as opposed to consumers paying with money
- accept loyalty credits as payment for goods or services, if the supplier has capacity to provide the goods or services where a consumer pays with money
- not require a consumer to accept inferior quality goods or services because the consumer is paying with loyalty credits
- not charge a consumer an administration fee for exchanging credits for goods or services in terms of the programme if the consumer pays a membership fee to participate in the programme
- not require the consumer to buy any other goods or services as a condition for concluding a transaction with loyalty credits.

The CPA allows a supplier who accepts loyalty credits as payment for goods or services to restrict the availability of such goods or services for consumers paying with loyalty credits for a specific period. The supplier must inform the consumer in writing at least 20 business days before the start of the specific period, and such a period may not exceed 90 ordinary days per year.

Case study Thandi's holiday

Thandi is a member of a programme that is offered by the Best Hotels Group. In terms of the programme, a member earns points, or credits, for staying at any of the hotels in the group. Once a member has 100 credits (ten credits are earned for each night of paid accommodation spent at one of the group's hotels), that member gets one-night free accommodation at any one of the hotels in the group, subject to availability. Thandi pays a membership fee of R500 per year. Thandi has 1 000 points and wants to spend seven days at the Best Hotel Drakensberg.

Consider Thandi's legal position under the CPA in each of the following situations:

- When making the reservation, Thandi is advised that members of the programme are limited to exchanging credits for accommodation only at the Best Hotel Durban City, a three-star hotel. The Best Hotel Drakensberg is a five-star hotel, and only guests paying with money can book there.

Best Hotels may not offer any loyalty credits or awards with the intention of not actually providing them or providing them in a manner other than as offered. It appears that Best Hotels is attempting to provide the awards in a different way to what the loyalty programme promised. We could also argue that Best Hotels is trying to get Thandi to accept inferior quality goods or services because they are paying with loyalty credits.

- Thandi is also informed that they have to pay in money for at least three of the seven nights (that is, they cannot pay for all the accommodation with loyalty credits).

A supplier of a loyalty programme must accept loyalty credits as payment for goods or services if the supplier has capacity to provide the goods or services. Best Hotels cannot insist that part of the payment must be in cash if Thandi has sufficient loyalty credits.

- Thandi is charged R250 by Best Hotel Drakensberg as an administration charge for exchanging the loyalty credits for accommodation.

A supplier may not charge a consumer an administration fee for exchanging credits for goods or services in terms of the programme if the consumer pays a membership fee to participate in the loyalty programme.

- Thandi pays R500 per year to belong to the programme. Best Hotels may not impose the administrative charge of R250.

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Promotional competitions

The CPA furthermore provides rules in respect of a promotional competition, which is any competition, game, or arrangement for the distribution of prizes by lot or chance done in the ordinary course of business, for purposes of promoting a supplier, or the sale of goods or services (section 36). A promoter of such a competition may not require a consumer to pay any money to participate in the competition, other than the reasonable cost of posting or transmitting an entry to the competition. An example of a promotional competition is where a shop provides a lucky-draw once a month. Consumers can place their till slips with their contact details in a container. At the end of the month, one till slip is drawn and the consumer then wins a prize.

Alternative work schemes

An alternative work scheme entails a person inviting other persons to conduct work, business or activities from their homes for gain. A person conducting an alternative work scheme must not make false representations about the profitability or any other material aspect of the scheme (section 37). For example, where people are offered the opportunity to place letters into envelopes for compensation.

Referral selling

Referral selling is the practice whereby a consumer is persuaded to buy goods or services by promises of a rebate, commission, or other benefit, if the consumer provides the supplier with information, such as the names of other potential consumers. However, if a condition for receiving the reward or benefit is that there must first be an actual sale between the supplier and the person whose name was supplied, the practice will be prohibited in terms of the CPA (section 38).

17.5.6 The right to fair and honest dealing

The CPA contains a number of provisions to ensure that consumers are treated fairly and equitably in their dealings with suppliers. Consumers are protected against unconscionable conduct, as well as false, misleading, or deceptive representations. Part F in Chapter 2 of the CPA also regulates auctions, fraudulent schemes, pyramid schemes and a number of other matters. Some of these provisions will be considered in more detail below.

Unconscionable conduct

A supplier may not subject a consumer to unconscionable conduct (section 40). The CPA explains unconscionable conduct as unethical or improper conduct to a degree that would shock the conscience of a reasonable person. This conduct is prohibited during the whole relationship between the supplier and the consumer – from the way in which the goods or services are marketed, to the way in which any transaction is negotiated and concluded; the way in which the goods or services are supplied; and to the way in which payment is enforced or goods are recovered from the consumer. Suppliers may not use physical force, coercion, undue influence, pressure, duress, harassment, or unfair tactics in conducting their relationship with consumers. It is specifically also unconscionable for suppliers to knowingly take advantage of consumers' inability to protect themselves because of disability, illiteracy, or an inability to understand the language of the agreement.

Activity 17.12

Discuss with some of your friends whether you, as consumers, have ever experienced this type of conduct by suppliers.

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False, misleading, or deceptive representation

In relation to the marketing of goods or services, a supplier may not make or cause a false, misleading, or deceptive representation to be made to a consumer, about a **material fact** (section 41). Where it is clear that the consumer misunderstands a material fact, the supplier has a duty to correct that misunderstanding. It is also prohibited for a supplier not to disclose a material fact if such failure amounts to deception. A supplier may not use exaggeration, innuendo, or ambiguity in explaining a material fact. This seems to change the common law position as far as 'puffing' is concerned. The common law accepts puffing as part of the normal bargaining process.

A **material fact** in this context is when the false, misleading, or deceptive representation will have the natural or probable effect of persuading a reasonable person to conclude a transaction.

Activity 17.13

We discussed 'misrepresentation' in Chapter 6. Turn to that chapter and remind yourself again of what constitutes a misrepresentation, and what the potential consequences are for a contract that came about because of misrepresentation.

Added value — Puffing

Puffing refers to an expression or exaggeration made by a salesperson or found in an advertisement that concerns the quality of goods offered for sale, often referred to as 'sales talk'. Whether a statement constitutes a misrepresentation rather than mere praise (puffery), depends on the circumstances of each case. Certain factors can help to make the distinction. These factors include whether the statement was made in answer to a question by the consumer, the materiality to the purpose for which the consumer was interested in acquiring the goods or services, whether the statement was one of fact or personal opinion, and whether it was obvious that the supplier was merely singing the praises of their goods or services.

It is a false, misleading, or deceptive representation to falsely state that goods are new or unused if they are not.

Overbooking

Suppliers may not oversell or overbook goods or services (section 47). If a supplier has agreed to supply a certain service or certain goods to a consumer on a specified date, and the supplier is then not able to do so because of overbooking or overselling, the supplier must refund the consumer any money paid, as well as all costs directly caused by the supplier's failure to provide the service.

Case study — Ben's bus trip

Ben planned to visit friends for the holidays. Ben booked and paid in advance for a seat on a bus with the Big Bus Company. Ben arrives at the departure point only to be advised that seats on the bus are overbooked because of the start of school holidays. Ben phones around and finds a seat with Red Bus Company at a much higher cost than what the ticket costed with Big Bus Company. Ben must arrange a taxi for transport to the premises of the Red Bus Company.

Big Bus Company will have to refund Ben the cost of the original ticket, the cost of the overpaid amount of the new ticket with Red Bus Company, as well as the cost of the taxi.

The CPA provides that if a supplier has agreed to supply a certain service to a consumer on a specified date, and the supplier is then not able to do so because of overbooking or overselling, the supplier must refund the consumer any money paid, as well as all costs directly caused by the failure to provide the service.

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17.5.7 The right to fair, just, and reasonable terms and conditions

The CPA provides that a supplier may not include unfair, unreasonable, or unjust terms in a consumer contract (section 48). This includes supplying goods or services at a price that is unfair, unreasonable, or unjust. In terms of the CPA, a term will be considered unfair if:

- the term is excessively in favour or the supplier
- the term is so averse to the consumer as to be inequitable
- the consumer relied on a false or misleading representation
- the term required compliance with section 49, and it did not comply with those requirements.

The CPA provides a blacklist of terms. These are prohibited terms and, if these terms are included in a contract, such terms will be void (section 51). Examples of such terms are where the effect of the term is to defeat the purposes of the CPA, as well as terms that exclude the liability of the supplier for damage caused to the consumer through the gross negligence of the supplier.

The CPA also provides for a grey list of terms (regulation 44). Terms on the grey list are presumed to be unfair and therefore the supplier will have to show that including such a term in a contract is fair. Examples of such terms are those that exclude the liability of the supplier for death or personal injury caused by the supplier, terms restricting a consumer's right to rely on the defense of prescription, and terms permitting the supplier, but not the consumer, to renew or not renew a contract.

Exemption provisions

The CPA contains very specific requirements for the use of exemption provisions (section 49). Exemption provisions are terms of a contract that aim to exclude the liability of the supplier for, amongst other, damage or loss caused to the consumer through the fault of the supplier. Such exemption provision will have the effect of placing the risk on the consumer. It is important to remember that exemption provisions (or disclaimers) can be contained in a written contract, but they often appear in notices, such as a notice at the entrance to a facility or premises. Exemption provisions are not prohibited, but when they are used, the supplier must comply with certain requirements and noncompliance will lead to the term being excluded from the contract. In other words, if the requirements are not met, the exemption provision will not exclude the liability of the supplier.

The requirements are that:

- the fact, nature, and effect of the exemption provision must be drawn to the attention of the consumer in a conspicuous manner
- it must be drawn to the attention of the consumer before the consumer enters the facility or is required to pay (that is, before or at the conclusion of the contract)
- the consumer must be given an adequate opportunity to receive and understand the term
- the term must be in plain language.

In short, the supplier must have taken reasonable steps to bring the term to the attention of the consumer. If the supplier took reasonable steps to bring the term to the attention of the consumer and the consumer did not see or read the term, the consumer may still be legally bound by the term, provided there has been compliance with the requirements of the CPA.

If the exemption provision is applicable to a situation that envisages injury or death, involves risk of an unusual nature, or risk that the consumer cannot reasonably have known of, the consumer, in addition to the requirements stated above, must sign next to the relevant provision or act in a manner that shows that they acknowledge and accept the risk.

A supplier is prohibited from excluding liability for gross negligence on the part of the supplier. Furthermore, it is presumed unfair for a supplier to exclude liability for the death or personal injury of a consumer as a result of the service provided by a supplier. The effect of the CPA is to severely limit the use and application of exemption provisions.

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Added value Unfair terms

Regulation 44(3)(a) provides that a term in a contract that excludes the liability of the supplier for the death of, or injury to, a consumer because of an act or omission of the supplier is presumed to be unfair. This means that the supplier will have to show that it is fair to include that term in the contract, in the event where the consumer was injured, and is seeking to recover damages from the supplier. The supplier will have to show that there are good reasons for including such a term. What these reasons are will depend on the facts of the case. It may be argued that where the risk of injury or death is high, such as with the participation in extreme events like bungee-jumping, it may be fair to include such a term. Without the protection of a term excluding the liability of the supplier, the supplier will not be able to offer the service, as the financial risk for the supplier will be too great without it. It is however important that the supplier complies with the requirements of the CPA as set out above.

***Van Wyk t/a Skydive Mossel Bay v UPS SCS South African (Pty) Ltd* [2020] 1 All SA 857 (WCC)**

Principle

The CPA places a clear legal duty on a supplier of goods or services to bring terms that exclude the supplier's liability, clearly and unambiguously to the attention of a consumer when it concludes a consumer transaction.

Facts

Van Wyk operates a skydiving business near Mossel Bay. He sent an aircraft engine to the USA for repairs. Van Wyk contracted with the supplier (UPS) to transport the engine back to Van Wyk. The parties had entered a contract. One of the terms of the contract excluded the liability of the supplier for damage to the goods while transported. The engine was destroyed during the transportation process and Van Wyk sued UPS. UPS relied on the term of the contract that excluded its liability. Van Wyk argued that the term did not comply with the requirements of section 49 of the CPA.

The court's finding

The court held that the supplier could not rely on the term excluding liability and ordered the supplier to reimburse Van Wyk's loss.

The court explained that one of the purposes of section 49 is to prevent a situation where a consumer is caught unawares of the existence of terms excluding liability by an indifferent or unscrupulous supplier, and that may as a result lead to undue hardship and prejudice if not properly explained or brought to the attention of the consumer. The fundamental purpose of section 49 is one of ensuring improved access to quality information, which, in turn, will allow consumers to make informed choices, based on individual circumstances. The court found that the CPA now places a clear legal duty on a supplier of goods or services to bring terms that exclude the supplier's liability clearly and unambiguously to the attention of a consumer when it concludes a transaction with such a consumer to which the CPA applies.

17.5.8 The right to fair value, good quality, and safety

Part H of Chapter 2 of the CPA provides a number of very important rights entitling consumers to quality service and safe and good quality goods. These are:

- consumer's right to quality service
- consumer's right to safe, good quality goods
- consumer's right to return goods

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- consumer's warranty on repaired goods
- liability of supply chain for damage caused by defective goods.

Consumer's right to quality service

Consumers are entitled to demand quality service from suppliers (section 54). Good quality service includes:

- the timely performance and completion of the transaction as well as timely notice of any unavoidable delays
- the performance of the services must be in a manner and of a quality that people are generally entitled to expect
- the use and installation of goods or parts that are free of defects and of a quality that people are generally entitled to expect, when such parts are required for the performance of the service
- the return of property in at least the same condition as when it was handed to the supplier of the service when necessary to affect the service.

If the supplier fails to supply the service at the required standard, the consumer can demand that the supplier remedy any defect in the service performed or goods supplied or refund the consumer a reasonable portion of the price paid for the service when considering the extent of the failure.

Consumer's right to safe, good quality goods

As far as goods are concerned, every consumer has a right to expect goods that are reasonably suited for the purpose bought. The goods must be of good quality, in working order, free of defects, and useable and durable for a reasonable period (section 55). In a transaction for the supply of goods, there is an implied warranty that the goods comply with the standards mentioned (section 56). A warranty is an undertaking that a certain state of affairs exists. A person who gives a warranty, in other words, who warrants that the statement they have made is true and correct, intends to be legally bound by the statement. Thus, if the statement turns out to be incorrect, the person who gave the warranty, will be legally liable. The fact that the CPA provides for an implied warranty means that the warranty forms part of the contract between the parties, even if they have not specifically agreed on such a term. The warranty forms part of the contract because the law – the CPA – provides that it must form part of the contract. The parties cannot exclude this term by agreement. It does not matter whether the defect is latent or patent. This warranty does not apply if the consumer was expressly informed about a particular defect, and the consumer agreed to accept the goods in that condition.

Added value *Voetstoots*

In terms of the common law, the seller is liable to the buyer for latent defects in the thing sold to the buyer. This liability is often excluded by the seller by including a *voetstoots* or 'as is' clause in the agreement. The CPA now provides that goods sold must be free of defects. This right cannot be excluded by agreement. The CPA therefore limits the use of *voetstoots* clauses considerably. This does not mean that *voetstoots* clauses have become irrelevant.

The CPA does not apply to all transactions. The parties to a contract, to which the CPA does not apply, can still include a *voetstoots* clause in the contract to protect the seller from liability for latent defects. For example, the CPA does not apply to contracts between a supplier and a consumer where the consumer is a juristic person with an asset value or annual turnover greater than R2 million. Where this is the situation, the seller will be able to include a *voetstoots* clause in the contract with the consumer. The CPA also does not apply to so-called private sales. If private persons sell their house to another person, the CPA will not apply as the sellers are not 'suppliers' as defined by the Act. The private sellers can include a *voetstoots* clause in the contract.

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Consumer's right to return goods

A consumer has the right to return goods to the supplier within six months after delivery without penalty and at the supplier's risk and expense if the goods do not comply with the required standard, for example, the goods are defective (section 56). The consumer may require the supplier to either repair or replace the defective goods or refund the purchase price. The choice is that of the consumer's. If the goods are repaired, and they become defective again within three months, the consumer can demand that the goods be replaced, or the purchase price be refunded.

Added value *Vousvoukis v Queen Ace CC t/a Ace Motors* 2016 (3) SA 188 (ECG)

The right of a consumer under the CPA to cancel a contract and return a defective product to the supplier must be exercised within six months, failing which, the right will be lost to the consumer (that is, the right cannot be extended). After the six-month period, the consumer can still rely on the common law *aedilitian* remedies for latent defects, including the ***actio redhibitoria***.

The ***actio redhibitoria*** is a common law action in terms of which a buyer has to cancel a contract of sale and claim the repayment of the purchase price where the product bought is materially defective. You can return to Chapter 14 for more detail on the *actio redhibitoria*.

***Motus Corporation (Pty) Ltd v Wentzel* [2021] ZASCA 40 (13 April 2021)**

Principle

Generally, a deficiency in a component that is an accessory to a purchased good, such as a motor vehicle, does not result in the good (motor vehicle) being less acceptable than people would be reasonably entitled to expect from the good, or render it less useful, practicable or safe for the purpose for which it was purchased.

Facts

Ms. Wentzel had bought a brand-new Renault Kwid from Motus Corporation. She complained of a number of defects in the car and had to take it in for repairs on three separate occasions over a period of three months. These defects were repaired by the supplier at their cost. At this stage, Ms. Wentzel was not happy with whole affair and, relying on section 56(2) of the CPA, demanded the return of the purchase price.

The court's finding

In order to rely on the remedy provided for in section 56(2), the consumer must be able to show that the defects complained about fall within the definition as provided in section 53. The court stated that '[n]ot every small fault is a defect as defined. It must either render the goods less acceptable than people generally would be reasonably entitled to expect from goods of that type, or it must render the goods less useful, practicable or safe for the purpose for which they were purchased … Is every rattle or unfamiliar noise a defect in terms of the statute? A defective module may be readily replaced, as occurred with the immobiliser. Does that render the vehicle defective so as to entitle the purchaser to return it and demand repayment of the purchase price? Clearly not' (para 41). The court held that Ms. Wentzel was not entitled to rely on section 56(2) and was, therefore, not entitled to a return of the purchase price.

Consumer's warranty on repaired goods

Any new or reconditioned part installed during any repair or maintenance work is guaranteed for a three-month period in terms of the CPA, or a longer period as the supplier may specify in writing.

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Liability of supply chain for damage caused by defective goods

In an important provision, the CPA introduces strict liability in respect of the whole supply chain for any harm caused to a consumer resulting from the use of an unsafe or defective product, or because of a lack of adequate instructions or warnings concerning the use of the goods (section 61). The supply chain is jointly and severally liable for the damage. The term supply chain refers to all the suppliers who directly or indirectly contribute to the ultimate supply of the goods to a consumer, and includes the producer, importer, distributor, and retailer of the goods.

Added value — Joint and several liability in the supply chain

Any person or business in the chain of supply (for example, a manufacturer, importer, wholesaler, or retailer) can be held liable for damages caused by an unsafe product to the user of the product without it being necessary for the user to show that the person in the supply chain was negligent.

A consumer who is harmed by a defective product can hold any one party in the supply chain liable, or the consumer can hold all the parties in the supply chain together liable for the loss. This means the consumer can sue the retailer (the shop where the product was purchased) for the full amount of the loss, or the consumer can sue all the parties together (for instance, the manufacturer and the retailer) for the loss suffered. We say that the manufacturer and retailer are jointly liable for the loss, but also separately liable for the loss. Simply put, they must both contribute to pay the total loss suffered (joint liability), or one of them can be held liable to pay the total (several liability). We refer to this situation as joint and several liability.

A person in the supply chain can escape liability if it is unreasonable to expect the person to have discovered the defect considering the role of the person in the marketing and supply process, if the defect is the result of complying with a public regulation, or the claim has prescribed.

We need to distinguish joint and several liability from joint liability. In a case where parties are jointly liable for a debt, it means that each of the parties is only liable for their share of the debt and not for the total debt.

Added value — Prescription

If a person has a claim against another person, the claim can become extinguished if the claimant does not pursue the claim within a stipulated period. Where a person has suffered harm or damage as a result of the conduct of another, such as, where the consumer suffers damage resulting from the use of a defective good, the consumer must institute a claim within three years of the damage occurring. If the consumer does not institute the claim within three years, the claim has prescribed. A court may apportion liability among persons who are found to be jointly and severally liable for the damage. The prescription period for ordinary contractual and delictual claims is three years. Prescription is discussed in more detail in Chapter 13.

***Eskom Holding Ltd v Halstead-Cleak* 2017 (1) SA 333 (SCA)**

Principle

For a consumer to be able hold a supplier strictly liable in terms of section 61, there has to exist a supplier and consumer relationship.

Facts

Mr. Halstead-Cleak was cycling with some friends when he came into contact with a low hanging live power line for which Eskom was responsible. Halstead-Cleak sustained severe injuries and sued Eskom for the damages he had suffered. The question that came before the court was whether Eskom was liable in terms of section 61 of the CPA.

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***Eskom Holding Ltd v Halstead-Cleak* 2017 (1) SA 333 (SCA) (continued)**

The court's finding

The court reasoned that the harm envisaged in section 61 must be caused to a natural person mentioned in section 61(5)(a), 'in that person's capacity as a consumer'. The section therefore does not apply in respect to harm caused to 'any person' but to a person in respect of which there exited a supplier and consumer relationship for the supplier to be strictly liable in terms of section 61. The CPA's purpose is to protect consumers and, in this instance, Halstead-Cleak is not a consumer as: (a) Halstead-Cleak did not enter into any transaction with Eskom as a supplier or producer of electricity in the ordinary course of Eskom's business; and (b) Halstead-Cleak was not utilising the electricity, nor was he a recipient or beneficiary thereof. Therefore, Halstead-Cleak and Eskom were not in a consumer-supplier relationship in respect of the electricity that caused the harm to Halstead-Cleak. The court concluded that Halstead-Cleak cannot rely on section 61 of the CPA to claim damages.

17.5.9 The supplier's accountability to consumers

A supplier often will have possession of the property of a consumer. This could be for a number of reasons, including where the supplier is to perform certain work on the consumer's property. This can place the consumer in a vulnerable position. Sections 62–67 of the CPA provide consumers with some protection in these situations. The rights provided for in these sections deal with:

- lay-by agreements
- prepaid certificates and vouchers
- prepaid services and access to facilities
- possession of money or property of a consumer
- deposits on containers
- return of replaced parts.

Lay-by agreements

A lay-by agreement is an agreement in terms of which the supplier agrees to sell goods to a consumer, who will pay the price in instalments to the supplier while the supplier retains possession of the goods until payment in full has been made. The goods remain at the risk of the supplier until the goods have been delivered to the consumer, while the money (instalments) paid to the supplier remain the property of the consumer until delivery (section 62).

If a supplier cannot deliver the specific goods contracted for when the full price has been paid, the supplier must provide the consumer with similar goods or repay the money of the consumer plus interest, provided that the inability to provide the goods is not the fault of the supplier. The choice is that of the consumer. If the supplier is at fault, the consumer can choose to accept similar goods as replacement or an amount double that which the consumer has paid to the supplier.

If the consumer cancels the agreement before fully paying for the goods, the supplier must refund the consumer the money already paid by the consumer. The supplier may deduct a maximum of 1% of the full purchase price of the goods as a cancellation penalty. A cancellation penalty may not be charged, unless the supplier informed the consumer before concluding the lay-by agreement that such a cancellation penalty may be imposed if the contract is cancelled. No cancellation penalty may be charged if the cancellation is due to the death or hospitalisation of the consumer.

Prepaid certificates and vouchers

Prepaid certificates and vouchers do not expire until the earlier date of their full value being redeemed for goods or services, or a period of three years from the date of issue (section 63). This provision deals with the situation where a person has paid money in exchange for receiving the voucher. For example, a R200 gift voucher that you buy from a shop or beauty salon to give to a friend for their birthday.

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Case study Mia's gift

Mia wants to buy a gift for a Kate, a friend of Mia's who is having a birthday. Mia cannot decide what would be the most appropriate item. Mia therefore decides that the safest option would be a gift voucher from a well-known bookshop because Kate loves reading. Mia buys a gift voucher to the value of R350 in March and gives it to Kate. When Mia speaks to Kate sometime later in the year, Mia is shocked when informed by Kate that the gift voucher was only valid for three months from the date of purchase and therefore Kate could not redeem the voucher in August. Can the CPA assist Kate? Section 63 of the CPA makes it clear that a prepaid voucher does not expire for at least three years from the date of issue unless the voucher has already been fully redeemed. It is therefore clear that the term printed on Kate's voucher is contrary to the provisions of the CPA and Kate can insist that the voucher be honoured.

Prepaid services and access to facilities

Where a consumer has prepaid a sum of money in order to receive a specified service or to gain access to a facility such as a gym, the amount that has been paid remains the property of the consumer, and the supplier may make a *pro rata* charge in advance against the amount to pay for the next month's membership or service (section 64). If the supplier intends closing the facility in respect of which the supplier has committed to provide a service or access, the supplier must provide an alternative facility which is reasonably accessible. If this is not possible, the supplier must inform the consumer in writing of the intended closure at least 40 business days before the closure and refund the consumer the pro rata amount of money still belonging to the consumer not later than five business days after the closure.

Possession of money or property of a consumer

Where a supplier has possession of money or property of a consumer, the supplier may not treat that money or property as the supplier's property (section 65). In fact, the supplier must care for the property in a manner that could reasonably be expected of someone managing the property of another. The supplier will be liable to the consumer for any loss or damage caused to such property where the supplier is in breach of this duty of care.

Activity 17.14

Kim visits a shopping mall and decides to park their car in the underground parking garage area. To make use of this facility one enters the parking garage via a boom where a ticket machine is placed that issues a ticket to the driver and then the boom opens for the driver to enter. To exit the parking garage a driver needs to pay an amount at a ticket machine and then insert the ticket into another machine at the exit. The boom then opens, allowing the driver to exit. A car cannot exit the garage without paying. When Kim has completed their shopping, they return to their car to find that the car's boot had been forced open and that their laptop has been stolen. Do you think the CPA may offer any assistance to Kim in an effort to recover their losses from the owners of the shopping mall?

Deposits on containers

Where the Minister of Trade and Industry has determined that deposits must be paid in respect of containers or other items, the supplier must require a consumer to pay the prescribed deposit (section 66). The supplier must return the prescribed deposit to the consumer upon return of the specific item. Examples include certain types of glass bottles used for the sale of beer or soft drinks and liquefied petroleum gas cylinders.

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Return of replaced parts

When a supplier has been authorised to perform any service to the property of a consumer, the supplier must return any parts to the consumer that were required to be removed and replaced when carrying out the service. The parts must be returned to the consumer in a reasonably clean container. This means that if a mechanical workshop performs a service on your vehicle and makes some repairs, the parts that were replaced must be returned to you.

17.5.10 Business names

The CPA contains important provisions concerning business names in Part A of Chapter 4 of the Act (sections 79–81) but note that this part of the CPA has not yet come into effect. A supplier may not conduct business under a name, unless it is their own name as it shows in their identity document, or the name registered in terms of legislation if the person is a juristic person. The CPA also requires that a person conducting business under a business name, which is different from the person's name, must register that name. For example, if John Smith is conducting a business as Premium Auto Sales, then the name 'Premium Auto Sales' must be registered in terms of the Act. Often, companies will also trade under a different name from that of the registered name of the company. The CPA requires that the trading name be registered. For example, ABC (Pty) Ltd trading as Crown Hardware Suppliers must also register the name that it is trading under. This enables the consumer to know who to litigate against, if necessary.

The following information must be included in any catalogue, business letter, sales record, or statement of account:

- the name, title, or description under which the business is carried on
- a statement of the primary place from which business is carried on
- if a business name is being used, the name of the person to whom the business is registered.

If someone carries on business under a name that is not the person's full name or a business name registered to that person, the National Consumer Commission (NCC), which we will discuss later in the chapter, can issue a notice forcing the supplier to comply with this requirement.

If a supplier is doing business under someone else's name or business name, that person can apply to court for an order preventing the supplier from doing so.

A supplier may apply to register or change the name of their business. The business name may also be registered or translated into any of the official languages. A business name may be transferred to another person on application.

A business name may consist of words in any language, together with any letter, number, or punctuation mark. It can also include symbols such as +, &, #, @, % and =. A business name may not be the same as, or confusingly similar to, the name of a registered company, a registered trademark belonging to another person, or a mark protected as a national symbol, such as the South African flag.

A supplier may also not falsely imply that the business is:

- associated with another person or business
- an organ of state or a court
- supported by an organ of state or a court
- owned or managed by someone with a particular educational qualification
- owned or associated with a foreign state.

A supplier may also not use any words or expressions which amount to **hate speech**.

Non-compliance with any of these requirements could result in the NCC ordering that the business name no longer be used.

The Constitution describes **hate speech** as the advocacy of hatred that is based on race, ethnicity, gender, or religion, and that constitutes incitement to harm (section 16(2)(c)).

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17.6 Enforcement of consumer rights

The CPA aims to establish a legal framework for the achievement of a consumer market that is fair, to promote fair business practices, to provide an efficient system of consensual resolution of disputes and to provide an accessible and effective system of redress for consumers.

Section 4 lists the persons who may approach a competent body to have their consumer rights enforced, such as:

- a person acting on their own behalf
- an authorised person acting on behalf of another person who cannot act in their own name
- a person acting as member of, or in the interests of, a group or class of affected persons
- a person acting in the public interest
- an association acting in the interests of its members.

The CPA provides a number of mechanisms to help facilitate its aims of establishing a legal framework. These are:

- the NCC
- the National Consumer Tribunal (refer back to Chapter 16 for a discussion on the NCT)
- ombuds with jurisdiction and industry ombuds
- alternative dispute resolution agents (ADR)
- consumer courts.

The NCC is the main body responsible for the achievement of the purposes of the CPA (section 85). The CPA empowers the NCC to perform a number of functions, including:

- facilitating the establishment of industry codes
- developing codes of practice (such as for the use of plain language)
- promoting legislative reform
- advising the Minister on consumer protection matters.

The NCC is also responsible for the enforcement of the CPA. The NCC can receive and investigate consumer complaints. Where the NCC has found that a supplier is involved in prohibited conduct, the NCC may issue a compliance notice that is an instruction to the supplier to correct their actions. The NCC can refer a matter to the National Consumer Tribunal (NCT) where the supplier fails to comply with a compliance notice. The NCT may impose an administrative fine of R1 million or 10% of the supplier's annual turnover, whichever is greater.

The NCC does not have an adjudicative function and refers matters for hearing. The NCC, or the parties, may refer a complaint to the NCT for adjudication. The judgments or orders of the NCT has the same binding power as that of an order of the High Court. Its decisions are binding on the NCC, provincial consumer regulatory authorities, consumer courts, ADR agents, and Magistrates' Courts.

The CPA encourages suppliers in industries to regulate their own affairs. If industries take responsibility to address consumer issues effectively, it is unnecessary for outside bodies, such as the courts, to enforce the law within that industry. Such a situation is to the benefit of everyone. Therefore, the CPA provides for the accreditation of industry codes (section 82). An industry code is a code that regulates the interaction between persons conducting business in a specific industry, including business conducted between the suppliers and consumers of that industry. The code will then prescribe a procedure for resolving disputes between consumers and suppliers. An industry code will usually provide for an **ombud** for that industry to address consumer complaints. Some industry codes have been accredited in terms of the CPA, such as the Consumer Goods and Services Ombud (CGSO) and the Motor Industries Ombud of South Africa (MIOSA).

An **ombud** investigates complaints and mediates fair settlements between the parties to a dispute.

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Parties to a consumer-related dispute must make use of bodies that provide conciliation, mediation, and arbitration (ADR), services (sections 69 and 70), especially in industries where there is no accredited ombud or an ombud with jurisdiction.

Provincial consumer courts will adjudicate consumer matters that occur within their provinces. Where the NCC refers matters to consumer courts, their orders will have the same force and effect as that of the NCT and may be served, executed, and enforced as if it were an order of the High Court.

The ordinary courts may be approached but only if all other remedies available in terms of national legislation have been exhausted.

Chapter summary

In this chapter, you learned the following about the CPA:

- The CPA aims to promote and advance the social and economic welfare of consumers in South Africa by establishing a legal framework for achieving a consumer market that is fair, accessible, efficient, sustainable, and responsible.
- The Act seeks to achieve this purpose by providing consumers with extensive consumer rights and an effective system for enforcing these rights. The CPA is not a complete codification of consumer protection in South Africa, but it does provide consumers with a comprehensive set of consumer rights, and it forms part of a larger legislative framework providing consumer protection.
- The CPA must be interpreted in a purposive manner. This means that the ultimate aim of the Act must be considered when interpreting and applying the Act.
- It is important to determine whether the CPA actually applies in a particular situation, as the Act does not apply to all transactions.
- The CPA provides consumers with nine general consumer rights, each of which may in turn contain more than one specific right.
  - The first is the right to equality in the consumer market. Suppliers may not unfairly discriminate against consumers on any of the prohibited grounds of discrimination when promoting or supplying goods or services to such consumers. These grounds include race, gender, sex, pregnancy, marital status, ethnic or social origin, colour, sexual orientation, age, disability, religion, conscience, belief, culture, language, and birth. Excluding consumers from accessing goods or services offered by the supplier on any of the mentioned grounds will constitute unfair discrimination.
  - The second consumer right protects the privacy of consumers by limiting the use of direct marketing by suppliers.
  - The third provides the consumer with the right to choose. This right regulates the bundling of goods. It allows consumers to cancel fixed-term contracts, as well as any advance reservations, bookings, or orders. This right also contains important provisions regarding delivery of goods, and it regulates the position regarding unsolicited goods.
  - The fourth consumer right provides for the right to receive relevant information. This includes the right of the consumer to receive all documents and notices to which the consumer is entitled, in plain and understandable language. The right also regulates the display of prices, and entitles consumers to be informed when goods are reconditioned or grey-market goods.
  - The fifth right provides the consumer with a right to fair and responsible marketing. This entails a general right to marketing that is not misleading or deceptive. Specific marketing practices are regulated as well, including a complete prohibition of negative option marketing. Promotional competitions, loyalty programmes and bait marketing are other specific marketing practices regulated by the CPA.

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- The sixth consumer right provides a right to fair and honest dealing. This right protects the consumer against any form of unconscionable conduct on the part of the supplier at any time during the marketing or supply process.
- The seventh consumer right provides the consumer with a right to fair, just, and reasonable terms and conditions. The CPA provides that a supplier may not include unfair, unreasonable, or unjust terms in a consumer contract. This includes supplying goods or services at a price that is unfair, unreasonable, or unjust. A term will be unfair if it is excessively in favour of the supplier or so adverse to the consumer so as to be inequitable.
- The eighth right provides the consumer with a right to fair value, good quality and safety. This right makes any person in the supply chain strictly liable for harm caused by the use of a defective product. The right also entitles a consumer to return a defective product and claim a refund, repair, or replacement within six months of buying the product.
- The ninth consumer right provides the consumer with a right that the supplier is accountable to consumers for goods of the consumer in the care or possession of the supplier. In terms of a lay-by agreement, the supplier carries the risk in the goods forming the subject of the lay-by agreement until the delivery to the consumer.

- The CPA provides that consumer rights can be enforced by different bodies. Emphasis is placed on self-regulation within industries through the encouragement of the use of accredited industry codes. The main body responsible for the implementation and enforcement of the CPA is the NCC. The NCC may issue compliance orders to suppliers in order to bring about compliance with the CPA. Failure to comply with such a notice may lead to a substantial fine imposed by the NCT. Consumers may approach ombuds, ADR agents, and consumer courts to enforce their rights under the CPA.

Review your understanding

1. Does the CPA apply to the financial sector, such as the banks and insurance houses?
2. Busi buys a pair of jeans on credit (on account) from Edwins. When Busi washes the jeans for the first time, it shrinks to half its size. Busi is very upset and wants to return the jeans and get a refund. Does the CPA apply to this situation considering that the transaction is a credit transaction?
3. Fitness for Females is a gym that only allows female members. Does this business model comply with the CPA?
4. Max takes their car to AutoDent for repairs and asks for a quotation to have the car repaired. What information does the CPA require to be set out in the quotation?
5. Xoli bought a gift voucher for Tina as a present on 1 March. Xoli paid R300 for the voucher for a manicure at a beauty salon. When Tina wants to use the voucher on 17 August, they are advised that the gift voucher has expired and is no longer valid. Does the CPA regulate this situation?
6. What factors must be considered when determining a reasonable cancellation fee where a consumer has cancelled an advanced booking?
7. A supplier includes the following term in its contract with consumers of its services: "The supplier shall not be liable for any damage caused to the property of consumers caused by any act or omission on the part of the supplier." Indicate whether this term is presumed to unfair in terms of the CPA?
8. Rajesh is a fellow student at your university. During June, Rajesh has to write their Commercial Law examination at the Central Examination Hall. It is a huge venue accommodating about 800 students at one time. Upon entering the venue, Rajesh is instructed by the chief examinations officer to place their briefcase at the front of the venue with all the other bags of the other students.

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Rajesh's briefcase contains their books, laptop, and cell phone. Once Rajesh has completed the examination, they wish to collect their briefcase only to discover that an unidentified person had taken it. Do you think the university is liable for Rajesh's loss? Explain whether you think the CPA may be of assistance to Rajesh.

9. What are grey-market goods and what does the CPA require of suppliers of grey-market goods?
10. What body is primarily responsible for the enforcement of the CPA?
11. What obligations must a consumer comply with in order to exercise the consumer's right to cooling-off in terms of the CPA?
12. ShopMart gives persons 60 years and older a 20 percent discount on all purchases on Tuesdays. Does the CPA permit this marketing practice?
13. The Burger Joint gives all students a 15 percent discount on all purchases. Is this unfair discrimination in terms of the CPA?
14. Select the CORRECT answer. A direct marketing business has contacted Sal and has demonstrated to Sal a new air-fryer. They leave the air-fryer with Sal, without arranging for payment. These good are:
    a) bundled goods
    b) grey-market goods
    c) defective goods
    d) unsolicited goods
    e) grey-listed goods.
15. A supplier doing direct marketing may NOT contact a consumer at the following time:
    a) Mondays at 13:00
    b) Wednesdays at 21:00
    c) Saturdays at 9:00
    d) Fridays at 8:30
    e) Thursdays at 19:00.
16. Who may approach an appropriate body to enforce a right of a consumer in terms of the CPA?
    a) a person acting on that person's own behalf
    b) a person acting in the public interest
    c) an association acting on behalf of its members
    d) only (a) & (c)
    e) all of the above.
17. Select the CORRECT answer. The CPA applies to the following transaction:
    a) a transaction for the insurance of a consumer's car
    b) a credit transaction between a consumer and a bank
    c) a transaction for the delivery of services by a supplier to the provincial Department of Education
    d) a contract between a supplier and a consumer with an asset value of R25 million.
18. Sadie buys a second-hand car from Cheap Cars (Pty) Ltd, to drive to work. After a few weeks the car breaks. It is discovered that the car suffers from serious defects. How many months, in terms of the CPA, does Sadie have from the date of delivery to return the defective car and get the purchase price back?
    a) 24 b) 12 c) 6
    d) 3 e) 1

Further reading

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Chapter
18 The law of agency

The main ideas
- What is agency?
- The requirements of agency
- Sources of authorisation
- Duties of the principal
- Duties of the agent
- Acting without authority
- Disclosing authority
- Ending authority

The main skills
- Define agency.
- Distinguish between agency and mandate.
- Explain the requirements for agency.
- Discuss sources of authorisation.
- Explain the requirements for ostensible authority.
- Discuss the duties of the principal.
- Discuss the duties of the agent.
- Explain the doctrine of the undisclosed principal.
- Discuss termination of authority.
- Apply the legal principles of agency to practical situations.
- Problem solving.

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This chapter is about agency. If you want to conclude a contract, you do not have to do so personally. You may authorise somebody else, an agent, to do it for you. We will look at how agency comes about, the duties of the parties involved and consider the position if certain requirements for agency are absent. Finally, we will examine how agency ends.

Before you start
Suppose that your parents are incapacitated because of illness. This does not mean that your parents cannot perform juristic acts. The law allows legal persons to authorise another to act on their behalf where it is impossible or inconvenient to act by themselves. For example, your ill parents can authorise you to conclude a juristic act on their behalf, like selling their car. You will conclude the contract of sale on behalf of your parents as their agent. The contract will then constitute a contract between your parents and the buyer.

Principal generally refers to the most important person in an organisation, such as the principal of a school. A 'principle' is a rule or belief that governs behaviour. It is a principle of natural justice that both parties to a dispute must be heard.

18.1 What is agency?
Agency occurs when one person, the agent, performs a juristic act for another person, the **principal**. A juristic act occurs between the principal and a third party. The agent, who concludes the contract with the third party, does so on the principal's behalf. In our example about the selling of your parents' car, you are the agent of your parents, and your

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parents are the principals. You act on behalf of your parents, but the contract for the sale of their car will be between the principals (your parents) and the buyer of the car (the third party).

In our example about the selling of your parents' car, you are the agent of your parents, and your parents are the principals. You act on behalf of your parents but the contract for the sale of their car will be between the principals (your parents) and the buyer of the car (the third party).

When you deal with an agency, there are always at least three parties involved, namely:

- the principal
- the agent
- a third party.

> *Maye Serobe (Pty) Ltd v LEWUSA O.B.O. Members* [2015] ZALCJHB 116
>
> '[18] An Agency can be defined as a consensual relationship created by contract or by law where one party, the principal, grants authority to another party, the agent, to act on their behalf with either curtailed or open mandate and under the control of the principal to deal with a third party. An agency relationship is fiduciary in nature resulting in the actions performed by the agent binding the principal. The agent may be authorised to act on behalf of another person, company, or government, known as the principal. The basic principle is that the principal becomes liable for the acts of the agent, and the agent's acts are like those of the principal.'

The relationship between the principal and the agent is regulated by means of a contract. In terms of this contractual relationship, the agent is authorised to perform a juristic act on behalf of the principal. The agent may be authorised, for example, to conclude a contract of lease with a third party on behalf of the principal. All the rights and duties acquired by the agent, in terms of this contract of lease with the third party, are for the principal. The contract of lease exists between the principal and the third party, and not the agent.

While an agent is often appointed for purposes of convenience or practical necessity, such as if the principal is out of town, this kind of representation is sometimes essential. For example, a minor under the age of seven years cannot act alone in law. For such a minor to become party to a contract, the minor's guardian has to conclude the contract on behalf of the minor. Similarly, a legal entity, such as a company or a close corporation cannot conclude a contract without a natural person acting as an agent. For example, a company can conclude a contract to buy property, but it needs a natural person to represent it in the conclusion of the contract. The contract to buy the property comes into existence between the company and the third party (the seller of the property, and not the agent). The agent who concludes the contract merely does so on behalf of the company (the principal), which cannot act by itself.

Even though the agent performs the juristic act, the legal relationship that is created, changed or ended is between the principal and the third party. Any legal rights and duties that result from this juristic act operate between the principal and the third party.

Activity 18.1

Reflect on this relationship between the agent, the principal, and the third party. With a study partner, see how many practical scenarios you can come up with to illustrate when agency is necessary to contract.

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18.2 Difference between agency and mandate

We need to distinguish between agency and mandate. A contract of mandate is an agreement where one party, the mandatory, agrees to perform a task for another party, the mandator. A mandatory differs from an agent. While an agent has to perform a juristic act, such as concluding a contract, on behalf of the principal, a mandatory has to carry out a particular task, which does not have to be a juristic act.

If you instruct an estate agent to find a buyer for your house, the estate agent is a mandatory and not an agent. The term 'estate agent' can be misleading as this is often misunderstood to be an agent, instead of a mandatory. The task of the mandatory, in this case is to simply find a buyer and bring the buyer to you. The estate agent does not have the task, or authority, to actually sell the house on behalf of the seller (mandator). The estate agent's task is limited to finding a buyer who is prepared to enter into a contract of purchase and sale with the seller (the mandator). If you thereafter authorise the estate agent to conclude a contract of sale – perform a juristic act – on your behalf with the buyer, then the estate agent acts as an agent in concluding the contract. Then, in this instance, you will be the principal.

The contractual relationship can be structured in such a way that it includes both a contract of mandate and a contract of agency, such as if the task given to the estate agent was to find a buyer and, thereafter, conclude a contract of sale with that buyer. So, there can be an overlap between the two concepts.

The contractual relationship can be structured in such a way that it includes both a contract of mandate and a contract of agency, such as if the task given to the estate agent was to find a buyer and, thereafter, conclude a contract of sale with that buyer. So, there can be an overlap between the two concepts.

Activity 18.2

Draw a table with two columns, with agency in the one column and mandate in the other column. Next, compare the two types of contracts. Now compare your answers with a study partner to see how many distinguishing features you each listed.

18.3 Who can be an agent?

A person who does not have the necessary capacity to perform juristic acts, cannot act as an agent for another person. Thus, a minor below the age of seven years cannot act as agent for another person. Persons who, due to mental illness are incapable of appreciating the nature and effect of their actions, cannot act as agents for other persons. However, persons with limited capacity to conclude juristic acts can act as agents of other persons, as agents bind the principal, and not themselves. A minor person over the age of seven years, or an insolvent person may therefore act as the agent of another person.

18.4 Who can be a principal?

Any legal person who has the necessary contractual capacity to perform a particular juristic act, can authorise another person (an agent) to perform such an act on their behalf (the principal). In many instances, the law authorises a person to act as an agent on behalf of another person where the latter has little or no contractual capacity. An example is where the guardian of a minor is authorised by law to act on behalf of the minor.

18.5 Requirements for agency

There are three requirements for valid agency:

1. The principal must exist.
2. The agent must have authority to act on behalf of the principal.
3. The third party must be aware that the agent is acting as an agent, and not in a personal capacity.

Let us now consider each requirement in more detail.

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18.5.1 The principal must exist

It is a general rule that a person cannot act as an agent on behalf of a principal who does not exist. One must remember that the agent is acting on behalf of a principal. If there is no principal, there is no one that can authorise the agent to act. Furthermore, if there is no principal there is no person that can contract with the third party. However, in the world of business, there are some important exceptions to this rule. One such exception is contained in section 21 of the Companies Act 71 of 2008 (Companies Act). In terms of this section, a person may act as an agent for an entity that is to be incorporated in terms of the Companies Act, but does not yet exist at the time. The board of directors (BoD) of the company can ratify the actions of the agent, such as concluded contracts. If the actions are not ratified by the BoD within three months after incorporation, the actions will be considered to have been ratified. Contracts concluded on behalf of a company that is not yet incorporated are referred to as pre-incorporation contracts.

Section 53 of the Close Corporations Act 84 of 1988 (Close Corporations Act) contains a similar provision in respect of close corporations. The section provides that any written contract entered into by someone professing to act as an agent on behalf of a corporation not yet formed can be ratified after incorporation by the corporation. The contract will be valid between the corporation and the third party as if the corporation was duly incorporated at the time the contract was included.

18.5.2 The agent must have authority to act on behalf of the principal

For the agent to be able to conclude juristic acts on behalf of a principal, the agent must have been authorised by the principal to act on behalf of the principal. The authority may be given expressly or tacitly. Where the agent does not have authority to act on behalf of the principal, agency may still arise through the **ratification** of the act by the principal, or where it is found that the agent had ostensible authority (ostensible authority is explained in section 18.9.1.). We discuss ratification and ostensible authority below.

If you are not sure of the meaning of **ratification**, return to Chapter 4 and remind yourself of the meaning.

18.5.3 The agent must make the third party aware that the latter is acting on behalf of the principal, and not in a personal capacity

For the principal to be bound by the actions of the agent, the agent has to disclose that she is acting on behalf of a principal. However, an agent does not have to reveal the identity of the principal. The principal is then known as an unidentified principal. In this case, the third party knows that the agent is acting on behalf of a principal, but the principal remains anonymous. The agent informs the third party that the agent is acting on behalf of a principal, but that the principal wants to remain anonymous. The third party is therefore aware that there is an anonymous principal, and the third party can decide whether to contract on that basis or not. It is clear that, in this case, the agent cannot incur personal liability as that was not the intention of either of the parties.

People may contract for themselves or their nominees. Contracting for a nominee means that a person reserves the right to transfer all the rights and delegate all the obligations acquired in terms of the contract to another person to be named at a future time. For example, Jenna may word an offer to buy property in the following terms:

People may contract for themselves or their nominees. Contracting for a nominee means that a person reserves the right to transfer all the rights and delegate all the obligations acquired in terms of the contract to another person to be named at a future time. For example, Jenna may word an offer to buy property in the following terms:

> I, Jenna, or my nominee, offer to purchase Jim Bean's bicycle for R2 500.

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Activity 18.3

Can you think of a reason why a person may wish to contract for themselves or a nominee?

The situation of the unidentified principal must be distinguished from the doctrine of the undisclosed principal. An agent and a principal can agree that the agent can perform a juristic act on behalf of a principal without disclosing the fact that the agent is representing a principal. The agreement between the agent and the principal will provide that the principal can elect to take the place of the agent and be bound to the contract with the third party. If the principal decides to take the place of the agent, the third party has a choice to whom such a party wants to be bound – the principal or the agent. If the third party elects to be bound to the agent, then there is actually no agency involved. The contract then exists between the 'agent' and the third party. The 'agent' can enforce the contract, not the principal.

For the doctrine of the undisclosed principal to apply, three conditions must be met:

1. The agent must have authority.
2. The agent must intend to conclude the contract on behalf of the principal.
3. The agent must not disclose to the third party that he is acting only as an agent.

The doctrine of the undisclosed principal has certain exceptions. The doctrine will not apply:

- if there is more than one undisclosed principal
- if the contract excludes the doctrine
- if the circumstances will not allow the doctrine to apply, such as if the agent has specific skills, which the principal does not have.

Activity 18.4

In a small group, think of a reason why a principal would want to remain unidentified, or anonymous? Also, discuss reasons why a principal would want to be an undisclosed principal.

There is no specific prescribed manner by which the agent must inform the third party that the agent is acting as an agent and not in a personal capacity. It is common for an agent to use words or abbreviations, such as 'for', 'on behalf of ', 'pp' or 'qq', to indicate to the third party that the agent is acting on behalf of a principal.

Added value — Signing 'pp' or 'qq'

The letters 'pp' are an abbreviation for the Latin words *per procurationem*, which mean 'through the agency of'. The letters 'qq' are an abbreviation for the Latin words *qualitate qua*, which mean 'in the capacity of'.

18.5.4 The agent must have the necessary capacity to conclude juristic acts

A person who acts as an agent for a principal must have sufficient understanding to appreciate their actions. A person who has no capacity to conclude juristic acts cannot act as an agent for a principal. Therefore, an insane person, a drunk person or an infant cannot conclude a valid juristic act on behalf of another person. However, as the agent is not bound in a personal capacity, the agent can act on behalf of a principal, even though the agent has limited contractual capacity. For example, a natural person who is insolvent may act as an agent for a principal, as it is not the agent's estate that is affected by concluding the juristic act, but that of the principal. Similarly, a minor with limited contractual capacity can act as agent for a principal.

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Case study Zam rents accomodation

Zam has completed a Bachelor of Commerce degree in Johannesburg, and has found employment in Durban. Zam needs to find accommodation in Durban and phones their 17-year-old cousin, Zuki. Zam asks Zuki to look for a flat where Zam can stay in Durban but the monthly rental must not be more than R7 500 per month. Zam authorises Zuki to conclude a rental contract on Zam's behalf for the best available option at the price indicated. Zuki concludes a contract of rental for a flat on behalf of Zam with DurbsProp (Pty) Ltd. The monthly rental is R6 750 per month. Identify the principal, agent, and third party. Can Zuki act as an agent for Zam? If Zam had asked Zuki to merely have a look at a number of flats, take photos and report the findings to Zam, would it be correct to refer to Zuki as the agent of Zam?

18.6 Different ways the agent can be authorised to act

For an agent to perform a juristic act on behalf of the principal, the agent must have the authority to do so. In this context, authority is the power to perform a juristic act on behalf of another. An agent can obtain this power by:

- being authorised to act as an agent
- other legal sources of authority, such as the:
  - Children's Act
  - Close Corporations Act
  - Companies Act
- another authorised agent delegating authority to the agent.

Let us now consider these sources of authority in more detail.

18.6.1 Appointing an agent through authorisation

Authorisation is an act by which one person gives another person the power to act on their behalf. A reminder that an agency agreement comes into existence when the principal asks another person to perform a certain juristic act, or acts, for the principal. If the other person accepts the offer, a contractual relationship comes into existence between the parties. There is consensus between the parties, and the authority of the agent to act for the principal flows from this contractual relationship. The parties, both principal and agent, must have the necessary contractual capacity to enter into this contractual relationship.

The principal can authorise the agent expressly. This can happen verbally or in writing. An agent can be authorised verbally, but it is advisable for the authorisation to be in writing, as it is much easier to prove what was agreed between the parties in the event of a dispute.

Where the power or authority to represent another is given in writing, it is called a power of attorney. A power of attorney can be a general power of attorney or it can be a **special power of attorney**. A general power of attorney authorises the agent to act for the principal in respect of any matter concerning the principal. For example, a parent who is disabled may appoint their adult daughter as an agent with a general power of attorney to handle the affairs of the parent. A special power of attorney provides the agent with limited authority to represent the principal in a specific matter.

An example of a **special power of attorney** is where the principal grants to the agent authority to sell the principal's house.

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Added value Power of attorney

In certain instances, the law prescribes that the agent must be expressly authorised by way of a power of attorney. These instances are:

- when buying or selling immovable property (section 2(1) of the Alienation of Land Act 68 of 1981)
- when a conveyancer transfers ownership of land from one party to another
- when a conveyancer registers a bond over immovable property
- when a legal practitioner lodges or opposes an appeal in the High Court on behalf of her client (the principal).

Authorisation can also be given tacitly, or silently. In such a case, the principal does not expressly authorise the agent, but the circumstances of the situation are such that the only reasonable conclusion is that the principal authorised the agent to act for the principal. The conduct of the principal will be a very important factor in determining whether the agent received tacit authority.

18.6.2 Other sources of authority

Authority may come about automatically by operation of the law. A good example is the common law rule that every business partner in a partnership has the power to bind the partnership (including the partner acting as an agent) to contracts falling within the normal course of business of the partnership.

In a number of instances, the law grants certain people the power to act as an agent on behalf of another or regulates the relationship between the principal, agent and third parties. Let us consider three relevant statutes.

Children's Act

Section 18 of the Children's Act 38 of 2005 provides that a guardian has the authority in law to act on behalf of a minor. The section provides that the guardian must administer and safeguard the minor's property interests, and assist or represent the minor in administrative, contractual and other legal matters. So, if you are still a minor, your parents do not need your permission to act on your behalf. As your guardians, they may do so automatically and their authority does not come from you, but from the law, namely, the Children's Act.

The Close Corporations Act

A close corporation is a juristic person that has to act through a natural person. The natural person is then the agent of the close corporation. Section 54 of the Close Corporations Act gives authority to any member of a corporation to act as an agent of the corporation (principal) for purposes of the corporation's business, when dealing with a person who is not a member. It is this provision that empowers a member of a corporation to act as an agent for the corporation, and not the corporation or principal that authorises the member to act as an agent.

The Companies Act

Like a close corporation, a company is a juristic person and can only act through a natural person. A company's BoD has the duty to manage a company. In practice, the BoD will delegate authority to directors or officers of the company to act as agents for the company. Whether a company is bound to the actions performed by such directors or officers depends on the law of agency. For a company to be bound, two requirements must be present:

1. The company must have the necessary **legal capacity** to perform the action.
2. The director or officer representing the company must have the necessary authority to perform the action.

Legal capacity is the ability in law to exercise legal rights and take legal action or to have action taken against you.

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Generally, a company has the same capacity as a natural person, except for those things that a company, by its nature, cannot do, such as conclude a contract of marriage. The **Memorandum of Incorporation** (MOI) may also restrict the capacity of the company.

For example, if the MOI prohibits the company from buying products that are not biodegradable, then the company does not have the capacity to buy these products. If a director is mandated by the BoD to buy non-biodegradable products from a *bona fide* (good faith) third party, the company cannot later rely on the fact that it does not have the capacity to buy such products in order to escape liability in terms of the contract. Shareholders of the company may have a claim for damages against anyone who fraudulently, or through gross negligence, caused the company to perform an act outside its capacity. Such acts can be ratified by **special resolution**.

The **Memorandum of Incorporation** of a company is the document by which the company is incorporated in terms of the Companies Act. It sets out the rights, duties and responsibilities of shareholders, directors and others within the company and in relation to the company.

A **special resolution** refers to a resolution adopted with the support of at least 75% of the voting rights exercised on the resolution. Voting rights refers to the number of shares in the company held by shareholders.

A company may have the capacity to do something, but the company's MOI limits a director's authority to perform that specific action. In terms of the normal rules of agency, the principal (company) will not be bound by the actions of the director, unless the third party can show that the director had authority, such as express or ostensible authority. But the Companies Act provides that the company will still be liable in terms of the juristic act (such as a contract) even though the director acted outside the limits subject to compliance of his authority. If the company's MOI provides that a director can perform certain acts if there is compliance with certain internal procedures, the company will be bound to such acts, even where there is no compliance with the internal procedures. The reason is that section 20(7) of the Companies Act provides that a *bona fide* third party can assume that there is compliance with internal procedures. However, if the third party is aware of the non-compliance with the rules, or reasonably should have known about it, the company may be able to escape liability.

The Companies Act makes it clear that the doctrine of constructive notice does not apply to companies. According to the doctrine of constructive notice, anyone dealing with a company is considered to be aware of the contents of its public documents, such as the MOI. The effect of the doctrine was that the law expected anyone who concluded a contract with a company to know who had authority to act on behalf of the company. As stated, this doctrine no longer applies, primarily because of the unfairness innocent third parties suffered when contracting with companies.

Section 20(7) of the Companies Act referred to above is similar to the so-called Turquand-rule that has been applied in our law for some time based on considerations of fairness.

Added value — The Turquand-rule

The name of the rule comes from the English case of *Royal British Bank v Turquand* (1856) 6 E&B 327, in which the rule was originally developed.

The Turquand-rule provides that, if there is a duly authorised agent for a company, a third party dealing with the company can accept that certain internal processes have been complied with. Thus, if the chief financial officer (CFO) of the company is authorised to borrow money from a bank, provided that the BoD has approved such a loan, then the third party (bank), who deals with the CFO, can assume that the BoD gave the necessary approval. This rule will not apply if the third party knew that the required internal processes were not followed, or the circumstances of the transaction are such that the third party should have been warned in order to establish whether the agent had the required authority.

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Case study Ben buys bricks

Ben is one of three directors of Coastal Construction Ltd. The Memorandum of Incorporation (MOI) of the company provides that any one of the directors of the company is authorised to represent the company in all transactions related to the business of the company, which is building and construction. The MOI, however, provides that any transaction exceeding R1 million must be approved by all the directors. Ben concludes a contract for the purchase of bricks to the value of R2.5 million from Coega Brickworks (Pty) Ltd. Coastal Construction Ltd refuses to honour the contract because Ben had exceeded the stipulated authority. Do you think Coega Brickworks (Pty) Ltd will be able to enforce the contract?

18.6.3 Delegating authority

As a general rule, an agent may not delegate the authority to represent the principal to another person. However, the contract between the principal and the agent may expressly or tacitly allow for delegation. If the agent is allowed to delegate, the agent has the authority to authorise another person to perform a juristic act for the principal. In the absence of express authority, the authority to delegate is a question of fact. If the act in question requires the special skill and expertise of the agent, it is unlikely that the agent will have the authority to delegate. If I authorise my stockbroker to buy and sell shares for me, the stockbroker will not be able to delegate that authority to a secretary. I gave the stockbroker the authority because of the special skill and expertise the stockbroker has in the stock market, and so the stockbroker must act personally.

18.7 Duties of the principal

The principal has several common law duties, namely:

- to remunerate, or pay, the agent for performing the juristic act
- to reimburse, or pay back, any money that the agent spent while performing the juristic act
- to indemnify the agent against loss or liability incurred by the agent in carrying out the mandate.

These common law duties apply automatically by operation of the law, even if the parties have not expressly included the duties in the agency agreement. We discuss these duties in more detail below.

18.7.1 Paying the agent

The duty of the principal to remunerate exists once the agent has performed the juristic act. This duty only exists if the parties have agreed that the principal will remunerate the agent. If the agent claims remuneration, the agent bears the **onus of proving** that there was an undertaking by the principal to pay and that the agent has completed the juristic act.

If you bear the **onus of proving** something, it means that if you want to succeed in your claim, it is your responsibility to prove it.

Agency contracts in a commercial or business context would normally imply that the principal must remunerate the agent. So, if the agent belongs to a class of persons that would normally charge for their services, the principal will be obliged to pay the agent for the services, even in the absence of an express agreement. For example, a conveyancer acts as agent for a party in attending to the registration of a bond over immovable property for the principal. Even though the parties may not have agreed expressly on the payment of remuneration, it is normal practice for conveyancers to be remunerated for their services. So, we can say that there was a tacit agreement to pay remuneration to the agent.

When it comes to the scope of remuneration payable, the parties may agree that the remuneration will be a specified amount or a percentage of the purchase price. In the absence of a specified amount – a percentage or a formula to determine the remuneration payable – it is presumed that the principal will pay a reasonable remuneration. The agent bears the onus to establish what a reasonable remuneration is in the particular context.

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18.7.2 Repaying the agent's expenses

The principal has the duty to reimburse the agent for all reasonable and necessary expenses and liabilities that the agent incurred in performing the juristic act. Reasonable and necessary expenses can be claimed even if the matter has not been successfully concluded. The agent's expenses can be claimed as soon as they are incurred, but the agent must give an account of such expenses. The principal does not need to reimburse the agent for unnecessary expenses, or expenses that were as a result of the agent's own negligence. If the agent was negligent, it means that the agent did not take reasonable care when performing the juristic act.

It is not always clear as to when a principal is liable for the expenses of an agent and in the absence of an express agreement, the circumstances may dictate what expenses the agent may be entitled to recover from the principal.

18.7.3 Indemnifying the agent against loss or damage

The principal must indemnify the agent for all loss or damage brought about within the scope of performing the juristic act. This means that, if the agent suffers any loss or damage during the performance of the juristic act, the principal will be legally responsible for the loss. If the agent acts outside the scope of their authority, the agent will not be indemnified by the principal.

Do you think the agent would be entitled to recover loss or damage suffered during the performance of the juristic act on behalf of the principal? Such loss or damage is the result of two causes:

- the performance of the juristic act
- an intervention beyond the control of the agent.

An example of such a situation is when the agent, in the performance of the juristic act on behalf of the principal, has to use their own car for travel. While travelling, the agent's car is stolen. Is the agent entitled to be indemnified for the loss by the principal?

To answer this question, we must consider the following:

- Do the terms of the contract between the principal and agent provide for the situation?
- If not, then could the agent have avoided the loss?
- If not, then one has to ask whether performing the juristic act has brought the agent significantly closer to the danger than if the agent had not undertaken performing the juristic act on behalf of the principal.
- If so, then the agent is entitled to be indemnified, unless the loss or damage would have occurred even if there was no agreement for the agent to act on behalf of the principal.

Case study — Sal's laptop

Sal has agreed to act as an agent for Busi. In terms of the agreement, Sal has to drive from Gqeberha to Tswane to conclude certain business transactions on behalf of Busi. While taking a comfort break during the journey, Sal's car is broken into and Sal's laptop, which was lying on the backseat of the car, is stolen. Sal wants Busi to pay for a replacement laptop. Do you think Busi is legally obligated to replace Sal's laptop?

18.8 Duties of the agent

An agent is in a fiduciary relationship with the principal. This means that this is a relationship of trust and confidence, and the agent is obliged to act always in the best interests of the principal. Other examples of fiduciary relationships are those between:

- a director of a company and the company
- the members of a close corporation and the close corporation
- the trustees and the trust beneficiaries
- an attorney and his client.

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The obligation to act in the best interests of the principal entails several common law duties for the agent, namely:

- to follow instructions
- to exercise care and diligence
- to act in good faith
- to account properly.

As with the common law duties of the principal, these duties also apply automatically by operation of the law. Let us discuss these duties in more detail.

18.8.1 Following lawful instructions

The agent must act within the scope of the principal's instructions. If the agent acts outside the boundaries of the instructions of the principal, the principal has a **right of recourse**. For example, if Joe authorises Zamindlela to purchase a three-bedroomed house on Joe's behalf, Zamindlela has the duty to buy exactly such a house. If Zamindlela buys a two-bedroomed flat, Zamindlela has acted outside the boundaries of the principal's instructions. Joe can then sue Zamindlela for any losses incurred in trying to cancel the sale and in the purchase of the correct house.

A **right of recourse** means that the principal can take legal action against the agent.

The principal's instructions must be lawful. This means that the appointment of the agent must not be for a purpose that is not permitted by law. This includes an act that is:

- criminal
- prohibited by legislation
- against public policy.

The appointment of an agent for an unlawful purpose is null and void. So, no obligation can arise between the principal and the third party if the agent's appointment is null and void because of its unlawful purpose. For example, if Ziko authorises Zamindlela to sell a car to Fikile that Ziko had stolen, the authorisation would be void. If Fikile paid the purchase price to Zamindlela, then Ziko will not be able to claim that money from Zamindlela. Neither will the agent be able to claim from the principal reimbursement of expenses incurred.

18.8.2 Acting with care and diligence

The agent must perform the juristic act with the same care and diligence as a reasonable person in that position would do. A reasonable person in the position of the agent is someone who exercises the general level of skill and care of a member of the branch of the profession of the agent. The degree of care, skill and diligence required may differ from case to case. If the act to be performed by the agent is a complex one requiring a high degree of care and skill, the principal is entitled to expect a high level of care and skill from the agent. If the agent acts negligently and the principal suffers damage or loss because of such negligence, the agent breaches this duty and then the agent must compensate the principal.

18.8.3 Acting in good faith

The duty of good faith means that the agent must act in the interest of the principal (and not for personal benefit) in respect of the juristic act. The duty of the agent to act in good faith includes:

- the duty to account for all profits to the principal: The agent may not make secret profits from transactions concluded on behalf of the principal.
- the duty to avoid a conflict of interest: The agent must make the principal aware of any possibility of a conflict of interest. Where there is a conflict of interest, the agent must put the interests of the principal above their own interests.
- the duty to keep private and confidential all information about the principal and the performance of the juristic act, even after the termination of the agency.

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Added value Accepting a bribe

Section 6 of the Prevention and Combating of Corrupt Activities Act 12 of 2004 provides that, if an agent accepts a bribe to abuse a position of authority, to commit a breach of trust, or violate a legal duty, or the agent gives a bribe to persuade someone else to do so, then the agent is guilty of the offence of corrupt activities.

Section 26 of this Act provides that a sentence of imprisonment for life can be imposed as a penalty if convicted of this offence.

***Plaaslike Boeredienste (Edms) Bpk v Chemfos Bpk* 1986 (1) SA 819 (AD)**

Principle

The law does not allow a third party to enforce a contract against the principal's will, if the contract was obtained by the third party through immoral and unlawful conduct.

Facts

Plaaslike Boeredienste (Edms) Bpk bribed the agent of Chemfos Bpk in order to get contracts for the spreading of fertiliser. When Chemfos Bpk discovered the bribery, it repudiated (cancelled) the contracts with Plaaslike Boeredienste (Edms) Bpk.

The court's finding

Chemfos Bpk was entitled to repudiate the contracts. The basis for the right to repudiate a contract in a case like this is the fact that the law views bribery as an immoral and wrongful act. The method that the third party used to obtain the contracts – bribing the agent – was immoral and unlawful.

18.8.4 Accounting to the principal

The agent must account properly on all matters concerning the agency agreement. This means that the principal's property must be kept separate from that of the agent. It is wrong for an agent to pay money that is due to the principal into the private bank account of the agent. All documentation relating to the agency must be kept up to date and the agent must allow the principal, or her accountant, to inspect the financial records. When requested to do so, the agent must disclose information to the principal. When the agency ends, the agent must give back everything belonging to the principal. If the agent fails to do so, and the principal is prejudiced, the principal can recover the latter's damages from the agent.

18.9 Acting without authority

If a person concludes a contract on behalf of somebody else, but does not have the authority to do so, there are various possible consequences, depending on the circumstances surrounding the juristic act. Let us look at these consequences below.

A juristic act is an act to which the law attach consequences. A **unilateral** juristic act is a juristic act performed by one person, like the drafting of a will. A bilateral juristic act is a juristic act that requires two persons. A contract is an example of a bilateral juristic act.

18.9.1 Being party to an unauthorised contract

The general rule is that, if an agent acts without the authority of the principal, the principal is not legally bound to the juristic act. There are certain exceptions, which include:

- ratification of the contract by the principal
- ostensible authority.

Ratification of the contract by the principal

Ratification occurs when a person makes an unauthorised act valid by accepting or approving it after the fact. Like authorisation, ratification is a **unilateral** juristic act, and it makes the act valid from the time that the contract was concluded by the agent and the third party. In effect, the juristic act then comes into force **retroactively**. After ratification,

Retroactively means that an act has effect from the date in the past before it was approved.

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the parties are in the same legal position that they would have been in if the agent had the necessary authority at the time that the contract was concluded. If an agent concludes a contract without the authority of the principal, and the principal ratifies the contract, the principal will be bound to the contract.

Ratification can be express or tacit:

- Express ratification means that the principal plainly confirms, either verbally or in writing, that he will be bound by the contract.
- Tacit ratification occurs if the principal's actions indicate to the third party that the principal wants to be bound by the contract. For example, if the principal complies with the legal obligations of the contract, or uses the object that was bought in terms of the contract, those will be indicators that the principal has tacitly ratified the contract.

Certain requirements have to be met for ratification to be valid:

- The agent must have made it clear that the agent acted on behalf of a principal. The agent does not have to indicate who the principal is – simply that the agent is acting on behalf of one.
- The principal must have existed when the agent concluded the juristic act. For example, you cannot conclude a contract for someone who is not yet born and then have the contract ratified after the birth. An exception to this requirement is the pre-incorporation contract, which is concluded by an agent on behalf of a close corporation or company that is not yet in existence. This ratification is valid if the close corporation or company is incorporated.
- The principal must have the capacity to ratify the act. For example, an insolvent person cannot ratify a contract that will negatively affect the insolvent's estate and creditors.
- The juristic act must be lawful. An illegal act cannot be ratified.

Dreyer v Sonop Bpk 1951 (2) SA 392 (O)

Principle

An intention to tacitly ratify a contract can be established from the silence and inaction of the principal.

Facts

Dreyer's minor son was at boarding school. Without his father's authorisation, the son bought a school blazer on Dreyer's account from Sonop Bpk. Dreyer was aware that his son required a blazer for school as the son wore the blazer on numerous occasions when visiting his parents. Sonop Bpk sent Dreyer regular accounts, but Dreyer did not pay. When Sonop Bpk threatened legal action, Dreyer denied liability. At the subsequent court proceedings, Dreyer elected not to testify.

The court's finding

Dreyer was aware of the contract through the regular statements of account that were sent to him and through seeing his son wearing the blazer. The court concluded that the inaction and silence on the part of Dreyer, after becoming aware of the contract, warranted a finding that Dreyer had tacitly ratified the contract for the purchase of the blazer, and was therefore liable to make payment.

Ostensible authority

If a person culpably creates a false impression that somebody else has the authority to perform an act on the former's behalf and if, because of this false impression, a third party acts to that third party's disadvantage, the person cannot then claim that there was no authorisation. Although the agent did not have real or actual authority, the principal is said to be estoppel (prevented) from denying there was

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authorisation because of the impression created by the principal that the agent did have actual authority. Therefore, it is stated that the agent had ostensible authority, and the principal will be held to the contract because of the impression the principal created through the latter's conduct.

The third party has to prove a number of requirements to hold a principal liable on the basis of ostensible authority. These are the requirements:

- A representation can be made expressly (conduct, words, or writing) or tacitly (non-verbal conduct, including silence or inaction).
- The principal must have represented that the agent had authority to act on the principal's behalf.
- The principal should have reasonably foreseen that the third party (or outsiders, generally) would have been misled into believing that the agent had authority to act.
- The third party must have acted on the strength of the representation to that party's detriment – for instance, entered into a prejudicial contract.
- The third party's reliance on the representation that the agent had authority, must have been reasonable. This means that a reasonable person, in the position of the third party, would have believed that the agent had authority from the principal. If there was good reason to be suspicious of any of the circumstances, then the agent falls short of this standard.

Makate v Vodacom (Pty) Ltd [2016] ZACC 13

Principle

If a principal denies the authority of the agent, but the principal acted in a manner that misled the third party into believing that the agent has authority, the principal is precluded from denying that the agent had authority.

Facts

Makate was employed by Vodacom (Pty) Ltd. Makate developed the idea for the 'Please Call Me' application for cell phone users. It was agreed between Makate and a director of Vodacom that Vodacom will pilot the product. It was further agreed that, if the product is commercially viable, Vodacom will negotiate with Makate a percentage of the revenue generated by the product as remuneration for Makate. Despite the commercial success of the product, Vodacom failed to negotiate with Makate, and the latter sued Vodacom. Vodacom raised as a defence that the director who entered into the agreement with Makte did not have actual or ostensible authority to enter into an agreement on behalf of Vodacom.

The court's finding

The court found that an agreement was concluded. The court stated as follows:

> '[45] Actual authority and ostensible or apparent authority are the opposite sides of the same coin. If an agent wishes to perform a juristic act on behalf of a principal, the agent requires authority to do so, for the act to bind the principal. If the principal had conferred the necessary authority either expressly or impliedly, the agent is taken to have actual authority. But if the principal were to deny that she had conferred the authority, the third party who concluded the juristic act with the agent may plead estoppel in replication. In this context, estoppel is not a form of authority but a rule to the effect that if the principal had conducted herself in a manner that misled the third party into believing that the agent has authority, the principal is precluded from denying that the agent had authority.'

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NBS Bank Ltd v Cape Produce Co. (Pty) Ltd and Others 2002 (1) SA 396 (SCA)

Principle

In order for a third party to hold a principal liable on the ostensible authority of the principal's agent, all the requirements identified (and set out above) must be established.

Facts

Assante was a branch manager for NBS Bank. Assante used this position to attract investors. Assante used the money the investors placed with the bank in a fraudulent manner to operate a pyramid scheme. When the scheme collapsed, investors lost millions of rands. The investors sued NBS Bank. The claim against NBS Bank relied thereon that Assante had ostensible authority to bind the bank. NBS Bank, in denying liability for the lost investments, argued that the investors did not act reasonably when relying on Assante's representations.

The court's finding

The court distinguished between actual and ostensible authority. The court explained actual authority as follows:

> '[A]ctual authority may be expressed or implied. It is *express* when it is given by express words, such as when a board of directors passes a resolution which authorises two of their number to sign cheques. It is *implied* when it is inferred from the conduct of the parties and the circumstances of the case, such as when the board of directors appoints one of their number to be managing director. They thereby impliedly authorise him to do all such things as fall within the usual scope of that office. Actual authority, express or implied, is binding as between company and the agent, and also as between company and others, whether they are within the company or outside it.'

The court held that ostensible authority flows from the appearances of authority created by the principal. For a principal to be held liable based on the ostensible authority of the agent, the law requires that the representation must have been created by the principal. The fact that a person professes to be an agent of the principal cannot, of itself, impose liability on the principal. To prove ostensible authority, the court determined that a party must establish the following requirement, namely:

- representation: The court found that the principal, NBS Bank, had made a representation that Assante was authorised to agree terms of deposits, even non-routine transactions.
- by the principal: The representation as to Assante's authority, was made by NBS Bank, as principal.
- reasonable foreseeability that outsiders will act upon the strength of the representation: The court found that, even though NBS Bank could not foresee exactly what Assante did, it could reasonably foresee that Assante would take deposits and may misappropriate them.
- actual reliance by the third party on the representation: The court found that it is clear on the facts that the investors had relied on the representation by NBS Bank as to the authority Assante had.
- reasonableness of the reliance: The court considered that Assante was a bank manager of a large branch of a reputable bank. Cape Produce Co (Pty) Ltd, being one of the investors, had taken several steps to ensure that its investment was safe, including consulting with its attorney, and had acted reasonably in relying on the representation by NBS Bank.
- consequent prejudice for the third party: The court stated that prejudice is clearly present.

In the end, the court found that NBS Bank was liable to Cape Produce Co (Pty) Ltd. on the contracts of deposit, concluded through the ostensible agency of Assante.

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When a party wishes to rely on the ostensible authority of an agent to bind a juristic person specifically, the following principles apply:

- The person who made the representation that the agent did have authority must have been a person who had actual authority to manage the business of the principal. Thus, a third party cannot rely on the actions (representations) of a person who has no actual authority to act on behalf of the juristic person to claim that that person's representations established ostensible authority of the agent. So, a third party will be able to rely on the representation made by the chief executive officer of the company, but not on the representation made by person working as the receptionist of the company.
- A juristic person, whose powers are imposed by statute, cannot be liable for acts of an agent with apparent ostensible authority, if that means that the juristic person will be forced to do something prohibited by the empowering statute. However, if the statute permits the performance of the act by the principal (the juristic person), but only if certain internal formalities or processes have been complied with, then the principal can be held liable on the basis of ostensible authority of an agent.
- If a company has drawn specific attention, in its **Notice of Incorporation**, to limits placed on its representatives in the MOI of the company, then it is assumed that everyone knows about these limitations.

A **Notice of Incorporation** is a prescribed notice that the incorporators of the company must file with the Companies and Intellectual Property Commission (CIPC), informing the Commission of the company's incorporation for the purpose of having it registered.

Activity 18.5

Generally, a principal is not bound by a juristic act performed by an agent without authority. Are there exceptions to this rule? Once you have outlined the exceptions, think of practical scenarios to illustrate each exception. Compare your answers with your study partner to see whether you agree with each other's list of exceptions and scenarios. Were there any that you disagreed on? If so, go back to this section in the chapter to revise, and try again.

18.9.2 Concluding a contract without authorisation

An agent can incur personal liability and be personally bound to the contract in certain circumstances. If an agent does not disclose to be acting as an agent on behalf of a principal, the agent can be held personally liable for the obligations incurred. The third party can choose to hold either the agent or the principal liable.

Where a person professes to contract as an agent, but is doing so without any authority, no contract is formed. The third party cannot hold the agent to the contract as principal, as neither party intended that consequence. However, the agent can incur personal liability on one of two grounds:

- The agent may be held liable for contractual damages because the agent has breached the warranty, if the agent gives a warranty to the third party that the agent is acting with authority when, in fact, there is no authority,
- An agent can be liable on the basis of misrepresentation. Misrepresentation occurs when an agent makes a fraudulent or negligent representation that the agent has the authority to perform the act when there is no authority. A misrepresentation may give rise to a claim for delictual damages. A representation will be fraudulent if the agent made the representation intentionally, knowing that there is no authority. A representation will be negligent if the agent did not take reasonable steps to establish whether the necessary authority was granted.

Where an agent acts without authority in concluding a contract on behalf of a principal, the agent will not incur liability if the third party entered into the contract because of factors other than the words or conduct of the agent.

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18.9.3 Misrepresentation

You might remember from Chapter 6 that a contract concluded as a result of a misrepresentation by one of the parties can be set aside (we say the contract is voidable) by the innocent party. For an innocent party to be entitled to the available remedies, the party must prove that the representation:

- was untrue
- was about a fact
- was material
- was made by the other contracting party
- was made with the intention to induce the innocent party to contract
- induced the innocent party to contract.

What is the position if the misrepresentation was made by an agent representing one of the parties to the contract? The legal position is the same as if the principal had made the misrepresentation, and not the agent. If the third party bought a property from the principal, and the third party was induced into the contract by the misrepresentation, the third party may be able to have the contract set aside (declared void), or claim a reduction in the purchase price, depending on the facts of the case. However, besides proving the above requirements, the third party must prove one of the following two aspects, namely:

- The principal was party to the misrepresentation, as it was the principal who conveyed the incorrect information to the third party through the agent (in other words, the agent merely conveyed the untrue information to the third party).
- The agent was acting within the course and scope of the agency agreement with the principal. Thus, if the agent makes a misrepresentation to a third party, whilst acting in the course and scope of performing the juristic act, as agent on behalf of the principal, the third party may be entitled to have the contract set aside or claim a reduction in the price.

18.10 Ending authority

Authority can come to an end in different ways. These include:

- death, insanity or insolvency of the principal
- death or insanity of the agent
- performance of the juristic act for which authority was given
- the expiry of the period of authority
- revocation by the principal.

If the principal dies, becomes insane or insolvent, or loses the capacity to act, the agent's authority ends. Similarly, if the agent dies or becomes insane, the agent's authority is also terminated. However, if the agent becomes insolvent, the authority of the agent does not end. This is because a juristic act does not bind the agent's estate, but the estate of the principal. Insolvent persons cannot perform juristic acts that bind their estates, as they no longer have control over their own estates. For example, they cannot buy themselves cars. However, an insolvent person can act as an agent for somebody else. If the person buys a car as the agent of somebody else, the principal's estate is bound. This means that the principal has to pay for the car and the car belongs to the principal's estate. The agent's estate is unaffected by the transaction.

If an agent is granted authority for a specific juristic act, the authority will terminate upon proper performance of the act, and if an agent is granted authority for a specific period of time, the authority will terminate once the period expires. For example, if I have the authority to buy a car on behalf of somebody else, my authority ends once I have concluded the contract to buy the car.

If an agent is granted authority for a specific juristic act, the authority will terminate upon proper performance of the act, and if an agent is granted authority for a specific period of time, the authority will terminate once the period expires. For example, if I have the authority to buy a car on

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behalf of somebody else, my authority ends once I have concluded the contract to buy the car. If a special relationship between the agent and the principal existed, the authority would terminate if the relationship came to an end. So, the authority of a parent to conclude juristic acts on behalf of a minor child ends when the child becomes a major person. Likewise, the authority of a director to act on behalf of a company ends when the person is no longer a director of the company.

Where a principal has authorised an agent to represent the principle's interests, the principal can also revoke this authority. To revoke authority means to withdraw or cancel it. If the revocation constitutes a breach of contract, the agent will have the normal contractual remedies available.

Chapter summary

In this chapter, you learned the following about the law of agency:

- Agency occurs when one person, the agent, performs a juristic act for another person, the principal.
  The three requirements for valid agency are:
  - that the principal must exist
  - that the agent must have authority to act on behalf of the principal
  - that the agent must make the third party aware that the agent is acting on behalf of the principal and not in a personal capacity.
- For an agent to perform a juristic act on behalf of the principal, the agent must have the authority to do so. Authority can be provided expressly or tacitly by the principal. Authority can also be given to an agent by operation of law. As a general rule, an agent may not delegate the authority.
- The duties of the principal include the following:
  - to remunerate the agent
  - to reimburse the agent for expenses incurred
  - to indemnify the agent for any loss or liability incurred in the performance of the principal's business.
- The duties of the agent include the following:
  - Follow the lawful instructions of the principal.
  - Exercise reasonable care, skill and diligence in the performance of the duties.
  - Act in good faith in the performance of the juristic act.
  - Account properly to the principal.
- If the agent acts without authority, the principal will, generally, not be bound. However, the principal may incur liability by ratifying the agent's actions or by behaving in a manner, so as to create the impression that the agent does have authority, referred to as ostensible authority.
- If the agent does not disclose to the third party that they are acting for a principal, the agent may incur personal liability when acting for the principal. If the agent concludes a contract without authority, no contract comes into existence between the principal and the third party. In such a case, the agent may incur personal liability if the agent had warranted their authority to the third party, or on the grounds that they had committed a delict in the form of a misrepresentation.
- For the principal to be bound, the agent must reveal that the agent is acting for a principal. The principal need not be identified. The unidentified principal is to be distinguished from the doctrine of the undisclosed principal. This doctrine allows an agent to act for the principal, but in the name of the agent and not disclosing that there is a principal. The principal can then elect to step into the shoes of the agent. The third party, however, has a choice to be legally bound to either the agent or the principal.
- Agency is terminated in a number of ways, including:
  - agreement
  - proper performance
  - an efflux of time
  - the death of the agent or principal
  - the insolvency of the principal.

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Review your understanding

1. Explain in your own words what you understand by the term 'agency'.
2. Zani instructs Jackie to market Zani's flat. Jackie is authorised to conclude a contract with a suitable buyer, provided the selling price is at least R750 000. Is the contract between Zani and Jackie one of mandate or one of agency? Motivate your answer.
3. Briefly explain the different ways in which an agent can acquire the necessary authority to act on behalf of a principal.
4. When an agent acts without authority, the principal is generally not bound by the juristic act performed by the agent. There are exceptions to this general rule. What are these exceptions?
5. Abe and Sam are directors of Gekko Builders (Pty) Ltd, which builds houses. The Memorandum of Incorporation provides that both directors must approve all purchases of more than R250 000 in writing. Abe, without the written approval of Sam, concludes a contract on behalf of the company with Clay Bricks CC, to buy 100 000 bricks required for one of the building projects. The cost of the bricks is R500 000.
   a) Explain whether you think Gekko Builders (Pty) Ltd is bound by the contract with Clay Bricks.
   b) What possible consequences may this transaction have for Abe?
6. In what instances can an agent incur personal liability when contracting on behalf of a principal?
7. What are the requirements that must exist before the doctrine of the undisclosed principal can apply?
8. Jill authorises Nandi to take Kim, Jill's daughter, shopping for clothes for Kim's wedding, and to make the necessary purchases. Nandi uses their own car and buys lunch for Kim and themselves. The shops are very busy, and Nandi cannot find a parking. Nandi decides to park illegally in a disabled zone. Nandi's car is towed away by the traffic authorities and they receive a fine of R2 500. Can Nandi claim the expenses back from Jill, including the fine?
9. Anni authorises Keshav to sell Anni's car for no less than R100 000. Keshav manages to sell the car to Lungi for R115 000. Keshav hands Anni an amount of R100 000. Is Keshav in breach of any of the duties of an agent?
10. Simmi is a receptionist at The Boutique Hotel (Pty) Ltd. Simmi has no express authority to enter into transactions on behalf of the hotel. Despite the absence of express authority to contract on behalf of the hotel, Simmi regularly buys food, linen, and furniture for the hotel from B&B Suppliers. The hotel has always paid for these purchases. Due to the Covid-19 pandemic, the hotel has had to reduce its overheads and, as a result, Simmi was dismissed for operational requirements (retrenched). When B&B Suppliers presents the invoices to the hotel for the last few purchases made by Simmi before retrenchment, the hotel refuses to pay, claiming that Simmi had no authority to act as an agent on behalf of the hotel. Explain whether you think the hotel is under a legal obligation to pay and motivate your answer.

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Further reading

Schulze, H. et al. 2019. *General Principles of Commercial Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

Sharrock, R. 2017. *Business Transactions Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

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Chapter
19 Online contracts and e-commerce

The main ideas:

- Nature of e-commerce
- The legal framework governing e-commerce
- The validity of electronic contracts
- Compliance with formalities
- The conclusion of the contract
- Imposed terms
- Jurisdiction
- Automated transactions
- Consumer protection in terms of the ECTA
- Spam

The main skills

- Apply your knowledge of contracts in the physical world to electronic contracts.
- Map out the relevant legal framework that governs electronic contracts.
- Apply your knowledge of the law to resolve the unique challenges of e-commerce.

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So far, you have encountered the requirements that must be met for a legally binding contract. You also looked at the general principles of contract law and the rules applicable to specific contracts. Up until now, you focused mainly on contracts concluded in the physical world. However, due to rapid technological advances, electronic commerce has become increasingly relevant. In this chapter, we will examine how the general principles of contract law have been adapted to cater for the specific challenges presented by electronic commerce.

Before you start

Forever Fancy is a popular online fashion design website. Thabang could never afford their jewellery until Thabang started their new job at Invest the Rest. Thabang immediately went onto Forever Fancy's website where they found a beautiful pair of earrings. In their excitement, Thabang did not realise that they had accidentally ordered 100 pairs of earrings. Before Thabang realised their mistake, they clicked on the 'Accept' button. Thabang is extremely worried as they cannot afford to pay for all 100 pairs of earrings. Do you think Forever Fancy can demand payment for all 100 pairs of earrings? Is Thabang protected in any way under South African law?

As we continue with the chapter, keep this scenario in mind.

19.1 Nature of e-commerce

Electronic commerce is where business is conducted using the **internet** and the **World Wide Web**. The internet and the World Wide Web together form what we call cyberspace. Transactions concluded in cyberspace have resulted in what we term electronic commerce, more commonly known as e-commerce.

Cyberspace allows us to enter into e-contracts in many different ways, which have contributed to the boom in e-commerce. Examples of e-commerce is where you buy goods online, conclude contracts via email or via an app on your mobile phone. E-commerce also lends itself to contracts for the supply of digitised products and services.

Internet is a system or network that allows for computers worldwide to connect to each other.

World Wide Web is the framework that allows for information to be searched, shared, and located on computers connected via the internet.

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Added value Digitised products and services

'Digitised' refers to goods and services that are not provided physically, but rather in digitised form via the internet. The term is broad enough to cover gaming software, internet auctions, digitised content (such as e-books and music), live streaming services (think about Netflix), subscriptions to websites, journals, and a social network service, such as Facebook, Twitter, and Instagram.

19.2 The legal framework governing e-commerce

Electronic contracts, or e-contracts, are subject to the same general requirements and rules of the law of contract that you find under the common law and, where applicable, the Consumer Protection Act 68 of 2008 (CPA). While most of these requirement and rules remain the same, some of them have been adapted for e-commerce by way of specific legislation. The most important of these are the Electronic Communications and Transactions Act 25 of 2002 (ECTA) and the Protection of Personal Information Act 4 of 2013 (POPIA).

The ECTA was enacted to 'provide a national framework for the facilitation and regulation of electronic communications and transactions', and contains various sections to deal with some of the unique challenges that arise within e-contracts.

The POPIA contains various provisions to protect the privacy of personal information. However, for purposes of this chapter, we will focus on the provisions relating to electronic spam.

In this chapter, we will focus on how the above legal framework caters for the unique challenges relating to electronic contracts. These are:

- the validity of an electronic contract
- how one complies with prescribed formalities in electronic transactions
- when and where a valid contract comes into existence – in other words, the time and place where the contract was formed
- under which circumstances can the imposed terms form part of an electronic contract
- jurisdiction
- automated transactions
- consumer protection in e-commerce
- spam.

Activity 19.1

Go back to the earlier chapters in the book to reflect and refresh your memory on how the common law deals with these various challenges that have been raised. Based on your reflections, would you be able to answer the following questions? Discuss with a partner:

- Is an electronic contract valid and enforceable? Explain.
- What does the law say about the formalities of a contract? How do you think one would comply with formalities like writing and signature in an electronic contract?
- Under which circumstances is a party bound to imposed terms in tickets and notices? List the relevant principles. How do you think these principles would work in electronic contracts?

Now that you have refreshed your memory and thought about these issues, let us begin by looking at each of these challenges separately.

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19.3 The validity of electronic contracts

While e-commerce brought many advantages, such as the ability to trade internationally without leaving your country of origin to conduct business, there were also uncertainties around the validity of these electronic contracts. The biggest question was whether the electronic representation of a contract could be considered a valid contract, as it did not take the form of a contract in the physical world.

The ECTA has now brought clarity in this regard. Sections 11(1) and 22(1) of the ECTA explicitly states that a contract will not be without legal force and effect merely because it is wholly or partly in the form of a **data message**. These two sections ultimately confirm that if a contract is formed electronically, such a contract will be valid and binding. While the ECTA may give an electronic contract legal force, however, you must not forget that an electronic contract is still a contract and is subject to the common law rules. As such, an electronic contract must meet all the common law requirements for a valid contract.

Data in terms of the ECTA means any form of electronic representation of information. Therefore, a **data message** means 'data generated, sent, received, or stored by electronic means and includes: (a) voice, where the voice is used in an automated transaction; and (b) a stored record'.

For example, if Thabo places an advertisement on a website to sell their car for R100 000 and Suzie sends them an email to say that they 'Accept Thabo's offer', there will not be a legally binding contract. The reason is that the advertisement was not a valid offer. Instead Suzie is making an offer that Thabo can accept or reject. The parties have therefore not reached agreement on the contract. Refer back to the discussion of valid offers in Chapter 5.

19.4 Compliance with formalities

In Chapter 7, you learnt that most contracts do not have to comply with a particular form or format. However, there are specific contracts where the law requires the agreement to comply with prescribed formalities. In addition, the parties may themselves decide to adopt certain formalities for a contract.

The same rules apply to electronic contracts. According to section 13(5) of the ECTA, where formalities are not required by law or by the parties, an expression of intent is still valid even if it was not signed electronically, provided it evidences the party's intent by some means.

However, in those cases where formalities are required, the challenge is how to comply with formalities, such as writing and signature in electronic contracts. This is regulated by sections 12 and 13 of the ECTA.

19.4.1 Writing

Section 12 of the ECTA states that the requirement of writing is met when it is in the form of a data message and is 'accessible in a manner usable for future reference'. Essentially this means that the data message must be stored in such a way that it can be retrieved and read at a later stage.

***Mafika v SA Broadcasting Corporation Ltd* [2010] 5 BLLR 542 (LC)**

Principle

An employee's resignation via a Short Message Service (SMS) constitutes written notice.

Facts

In this case, Mafika was employed on a fixed-term contract as the head of the legal department at SABC Broadcasting Corporation (SABC) for a period of three years. The contract provided that any termination of the contract had to be done in writing. After the relationship between the parties soured, Mafika sent an SMS to the chief executive officer that he 'quit with immediate effect'. Six weeks later, Mafika changed his mind and wished to withdraw his resignation. Mafika claimed that an SMS does not constitute written notice.

The court's finding

The court held that an SMS is a data message as defined by section 12 of ECTA and the employee therefore met the requirement for notice to be given in writing.

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The implication is that the requirement of writing will be met even if the writing is purely electronic, such as WhatsApp messages, SMSes, emails, and contractual terms set out on a webpage, provided that they can be retrieved and read at a later stage.

19.4.2 Signature

The ECTA distinguishes between two situations where signature may be required as a formality:

1. where legislation requires signature (statutory formality)
2. where the parties choose signature as a formality.

Where legislation requires signature (statutory formality)

In such cases, an electronic signature will only be valid if it is an 'advanced electronic signature'. This is a technologically advanced electronic signature that has been accredited with an accrediting authority according to a prescribed process. An advanced electronic signature has strong security mechanisms built into it, so it cannot be easily replicated, and contains distinct identifying features when attached to a contract. For example, for some accrediting authorities you need fingerprints and/or face recognition before the authority will attach your signature to an electronic contract.

Where the parties choose signature as a formality

If the parties have not agreed on a specific form of electronic signature, a simple electronic signature that does not have additional security built into it, will be sufficient. A simple electronic signature is 'data attached to, incorporated in or logically associated with other data and intended by the user to serve as a signature'. In other words, any type of data can serve as a signature if so intended. In terms of section 13(3) of the ECTA, the signature must identify the relevant party, and indicate their approval of the associated data message. The method used for signature must also be suitably reliable for its purpose.

This requirement is illustrated in the case law below.

***Spring Forest Trading 599 CC v Wilberry (Pty) Ltd t/a Ecowash and Another* 2015 (2) SA 118 (SCA)**

Principle

Where a party adds their name at the bottom of an exchange of emails, the name can be a valid signature by the party in terms of the ECTA.

Facts

Ecowash System entered an agreement with Spring Forest Trading to be their operating agent. The agreement contained a non-variation clause stating that any agreement to vary or cancel the contract would only be effective once it has been reduced to writing and signed by both parties. After a dispute arose between the parties, they exchanged a series of emails in which they agreed to cancel the contract. The relevant emails ended with the name of the parties, but no other method of signature was used. The main issue was whether the emails had been validly 'signed' as required by the non-variation clause.

The court's finding

Since signature was not a statutory formality in this case, but rather a formality that was required by the parties, a simple electronic signature in terms of section 13(3) would be sufficient. The court held that that the typed-out names of the parties at the bottom of emails met the requirements for signature in terms of section 13(3), as it identified the user and the user's approval of the email's information, and the method used was sufficiently reliable in the circumstances. The emails therefore complied with the formalities required by the parties and the cancellation was valid.

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Activity 19.2

You and your friend, Lethabo are discussing, via email, whether you should sell your laptop. Lethabo asks if you are going to sell it to them for R3 000. You reply 'Sure!' via email. Your name appears at the bottom of the email. Does your name within the email indicate that you have the intention to enter a contract with Lethabo? Considering the decision in the two cases above, do you agree with these decisions? Can you think of any problems with the approach of the courts in these cases? Discuss your answers with a study partner.

19.4.3 Excluded transactions

In terms of the ECTA, sections 12 and 13 of the Act do not apply to certain transactions that are subject to statutory formalities. These are:

- agreements for the sale of immovable property
- long-term lease agreements, such as a lease that is more than 20 years
- **wills**
- **bill of exchange**.

Wills are formal documents in which a person states who will inherit their assets after their death. See Chapter 22 on the law of succession.

Bills of exchange are formal written instructions to one party to pay a sum of money to another party, such as a cheque. See Chapter 20 on methods of payment.

Presumably, this means that these transactions cannot be concluded electronically, and will only be valid if they are concluded in physical form (a paper document with a hand-written signature).

Similarly, the ECTA will not apply to agreements where the parties have specially stated that an agreement cannot take an electronic form.

19.5 The conclusion of the contract

When you hear 'conclusion of the contract', offer and acceptance should immediately spring to mind. Given the cross-border nature of e-commerce, the question is when and where the contract is concluded.

In Chapter 5, you dealt with which theory applies to electronic communications. After refreshing your memory, you will know that the applicable theory in electronic communications is the reception theory. The reception theory is confirmed in section 22(2) of the ECTA, which provides that a valid contract is formed when and where the offeror receives valid acceptance.

In terms of section 23(b) of the ECTA, the acceptance is deemed to be received by the offeror once the completed data message enters into the offeror's information system and is readable. For example, the acceptance will not be readable if an email is infected with a virus and the security system of the email server makes it impossible to open it. However, if the email is readable, the contract will be concluded as soon as it enters the offeror's information system.

Note that it does not matter whether the offeror has actually read the acceptance – the contract is formed as soon as it has been received in terms of the ECTA.

***Jafta v Ezemvelo KZN Wildlife* (2009) 30 *ILJ* 131 (LC)**

Principle

A valid electronic contract is concluded when the electronic acceptance is received by the offeror.

Facts

Jafta applied for a position at Ezemvelo KZN Wildlife. Jafta was successful, and Ezemvelo emailed Jafta the offer of employment. Jafta responded to the email, stating that he accepted the offer. Due to a malfunction, Ezemvelo never received Jafta's email of acceptance. Later, Jafta received an SMS from Ezemvelo stating that the position would be offered to another candidate if he did not accept the offer. Jafta replied via SMS that he had accepted the offer of employment. Ezemvelo did receive his SMS, but did not regard this as a valid acceptance.

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***Jafta v Ezemvelo KZN Wildlife* (2009) 30 *ILJ* 131 (LC) (continued)**

In the meantime, Ezemvelo employed another candidate. Ezemvelo argued that Jafta had not validly accepted the offer and that therefore there was no valid contract between the parties. Jafta argued that a valid contract came into existence and instituted a claim for damages against Ezemvelo for breach of contract.

The court's finding

The court held that an SMS is just as effective as an emailed or written communication. Therefore, a valid contract was concluded in terms of section 22(2) of the ECTA at the time and place that Ezemvelo received Jafta's acceptance by SMS. Since the other candidate was appointed after Ezemvelo received the SMS, there was already a valid contract with Jafta. Ezemvelo was therefore in breach of their contract with Jafta and had to pay him damages.

19.6 Imposed terms

As you will remember from Chapter 8, parties frequently impose their standard terms and conditions by way of tickets and notices. This also occurs in electronic contracts, although different methods are used. The same general principles are used to determine whether the imposed terms form part of the contract. In summary, these are:

1. where a party was aware of the terms before conclusion of the contract, they will generally be bound. If they were not aware, they will only be bound if the supplier took reasonable steps to bring the terms to their attention.
2. that the terms must be brought to the party's attention before the contract is concluded. They cannot unilaterally be added after conclusion of the contract.
3. whether reasonable steps were taken, depends on whether a party would reasonably expect to find contractual terms in the kind of document containing the terms, and how conspicuous and legible the terms are.

We will now consider methods that are frequently used in electronic contracts to impose standard terms and conditions on the other party, for example:

- shrink-wrap agreements
- click-wrap/web-wrap agreements
- browse-wrap agreements
- incorporation by reference
- email disclaimers.

19.6.1 Shrink-wrap agreements

The term shrink-wrap agreements originates from contracts in the physical world, where a product is covered in plastic film, which appear to be melted over the box. Once the buyer opens the packaging, they would find terms and conditions inside. For example, you buy a cell phone from a store. Once you open the packaging, you find a warranty card inside that states that the seller will only be liable for defects in the cell phone if you report them within seven days after purchasing the cell phone. This is a new term that was not part of the original contract to buy the phone.

The term shrink-wrap is now used more generally to refer to contracts where the standard terms and conditions are only disclosed to a buyer after they have completed the purchase. In the context of electronic contracts, this could occur where a party buys a physical product online that is covered in shrink-wrap, or even when they buy a digitised product, such as a software package or app, where the terms and conditions are only disclosed once the buyer tries to install the software or app. For example, you buy a video game online. When you try to install the game on your laptop, you are taken to a screen

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where you find a link to the terms and conditions of the sale. These terms were not disclosed to you at the time you bought the game.

The major problem with shrink-wrap agreements is that the standard terms and conditions were only added after the contract had been concluded. In terms of South African law, the buyer will therefore not be bound to these terms, unless they do something after the purchase that shows their consent to the new terms. For example, if you fill in and return the warranty card to the seller (in the first example above), or if you proceed with installing the game after seeing the terms and conditions (in the second example above), that could be regarded as consent to the new contractual terms and you will be bound to them.

19.6.2 Click-wrap agreements

In click-wrap agreements, a party is required to click on an icon to signal acceptance of the terms and conditions before they can complete the transaction. For example, you buy goods on a website. The supplier's standard terms and conditions are set out on the website. Before you can complete the purchase, you have to tick a box that states that you have read and understood the terms, and agree to them.

In these cases, you will generally be bound to the terms, even if you did not read them. This is because you showed your awareness of the terms and your willingness to be bound to them by clicking the icon.

19.6.3 Browse-wrap agreements

Browse-wrap agreements are similar to click-wrap agreements in the sense that the terms and conditions are displayed on the supplier's website. However, unlike click-wrap agreements, these agreements do not require the customer to click on icons to signal acceptance of the terms. Rather, the continued scrolling of the website, may be regarded as a signal that the customer consents to the terms and conditions. This depends on whether this was the kind of website where a reasonable person would expect to find contractual terms, and how conspicuous and legible the terms were.

For example, you buy goods online from a website. This is the kind of website where a reasonable person would expect to find contractual terms and conditions. If the terms are set out in bold or large print on the website, in a place where a reasonable person would expect to find the terms and conditions, you will be bound to them in terms of the rules applicable to imposed terms. However, if there are terms hidden away in a part of the website where you would not normally expect to find terms, or if the terms are in very small print, you will not be bound, since the supplier did not take reasonable steps to bring the terms to your attention.

19.6.4 Incorporation by reference

Click-wrap and browse-wrap agreements are often combined with incorporation by reference. Incorporation by reference occurs when a party refers to terms contained in a separate document, without repeating them in the contract itself. The principles applicable to tickets and notices also apply to incorporation by reference.

For example, Thabo buys a laptop from Computer Revolution. Before buying the laptop, they receive a quotation from Computer Revolution, setting out the price and specifications of the laptop, with the following sentence printed in large capital letters at the bottom of the invoice: 'ALL SALES ARE SUBJECT TO OUR STANDARD TERMS AND CONDITIONS'. These words are an example of incorporation by reference. Even though Computer Revolution did not print out their standard terms and conditions on the invoice, these terms can be part of the contract because of the reference to them. Thabo will be bound to these terms even if they did not read them, provided Thabo was aware of the reference, or the supplier took reasonable steps to bring the reference to their attention.

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In the context of electronic contracts, incorporation by reference frequently takes place by way of **hyperlinks**. Section 11 of the ECTA confirms that the terms referred to will form part of the electronic contract, provided the reference was made in a way that a reasonable person would have noticed and that the terms referred to were 'accessible in a form in which it may be read, stored and retrieved'. The last requirement will be met if the standard terms can be accessed electronically on the website or by way of printing out the terms and conditions in hard copy. Whether the reference to the terms and conditions was made in a way that a reasonable person would notice, depends on how conspicuous and legible the reference was.

A **hyperlink** is an electronic link that takes the user to a different webpage (or place in an electronic document) by clicking on it.

For example, a website makes use of a click-wrap agreement, referring the user to the terms and conditions contained on a separate webpage by way of a hyperlink. The hyperlink is underlined and in a different colour than the rest of the text. In this example, the customer would almost certainly be bound to the terms referred to in the hyperlink, since the reference was made conspicuous by the different font, and the customer can only proceed with the transaction once they have clicked on the icon to accept the terms. The customer will therefore find it difficult to argue that they were not aware of the reference.

Contrast this with an example of a website making use of a browse-wrap agreement, where the hyperlink referring to the terms and conditions is placed at the bottom of the webpage, together with other information, such as the contact information of the supplier and in the same font as the rest of the information. In this example, the court will likely find that the customer is not bound by the terms and conditions referred to, since the reference was not made sufficiently conspicuous for a reasonable person to notice it.

19.6.5 Email disclaimers

An email disclaimer contains terms and conditions, usually at the bottom of the email, which aims to exclude or minimise the legal liability of the company sending the email. Refer back to Chapters 8 and 9, where we discuss the nature of disclaimers.

Below is an example of an email disclaimer:

Legal disclaimer

This email is intended solely for the use of the individual or entity to who it is addressed. If you have received this email in error, please delete the email from your system. If you are not the intended recipient, you are notified that disclosing, copying, distributing or taking any action in reliance on the contents of this information is strictly prohibited.

The problem with an email disclaimer is that the person opening the email has no knowledge that there may be a disclaimer before opening the email. In other words, there cannot be a contract binding them to the disclaimer before they open it. They will only be bound to the disclaimer if there is some conduct after they become aware of the disclaimer, which demonstrates their willingness to consent to it. If the disclaimer is placed at the bottom of the email, merely reading the email will not amount to consent, since most people will read an email from top to bottom and will therefore only become aware of the disclaimer after they have already read the email. If a party wishes to bind the recipient to the disclaimer, they will therefore, at the very least, have to place it at the top of the email in a conspicuous font, and specify that reading the rest of the email will be regarded as consent to the disclaimer.

19.7 Jurisdiction

Globalisation has allowed for commercial transactions to take place without considering the parties' nationality, the time of day and the physical constraints. The borderless nature of global trade has proved to be complex when determining which country's courts will have **jurisdiction** to hear the case should a dispute arise between the parties.

Jurisdiction is the legal term used to describe the power or competency of a court to hear a dispute and decide a dispute.

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Due to the complexities involved in determining jurisdiction, consult a lawyer specialising in these issues to assist in deciding which country can settle this dispute.

19.8 Automated transactions

Another challenge that arises in e-commerce is the validity of **automated transactions**.

An **automated transaction** is a transaction in which one or both contracting parties use a software programme that does not need human intervention to conclude contracts on their behalf.

Let us look at an example to explain an automated transaction. Busi sees that their favourite online store, LootsSoBeautiful.com, has a Keeping up with K beginner make-up artist set on sale for R550. Busi fills in an online order form to buy the make-up set. Once Busi has clicked the 'I accept' button, LootsSoBeautiful.com's software system automatically generates a 'Confirmation of order' message, which is emailed to Busi. In this case, LootsSoBeautiful.com is using an automated system to conclude the transaction on their behalf. A natural person did not review the transaction on their part before the 'Confirmation of order' message was sent. By contrast, Busi did not make use of an automated system to contract on her behalf – Busi merely interacted with LootsSoBeautiful.com's automated system.

Section 20 of the ECTA provides for the validity of automated transactions. The automated system that a party uses to contract on their behalf, is regarded as the 'electronic agent' of that party, and they will therefore be bound to these contracts, just as if they had used a natural person as their agent.

The problem arises when one of the parties to an automated transactions makes a material mistake, so that the transaction does not reflect their actual intention. In terms of the common law of contract, the mistaken party will be bound if the other party reasonably believed there was agreement (reasonable reliance theory). Refer back to Chapter 6 to refresh your memory on the reliance theory.

The ECTA changes the common law rules somewhat in relation to automated transactions. In this regard, sections 20 and 25 (d) of the ECTA distinguishes between two situations, namely:

1. The mistake is made by a natural person who interacted with an automated system used by the other party.
2. The mistake is made by a party who made use of an automated system to conclude e-contracts on their behalf.

We will now consider each of these situations in turn.

19.8.1 Mistake is made by human being who interacted with automated system used by other party

Assume that, in the previous example with Busi, that Busi is so excited to purchase this make-up set that they click on the 'I accept' icon without checking their order. After clicking to accept, Busi realised that they had mistakenly ordered ten make-up sets instead of one. In this case, Busi has made a material error.

Section 20 of the ECTA allows for instances when people who made a material error will not be bound by the agreement. However, this will only be the case if certain requirements have been met:

- The electronic agent did not provide the mistaken party with an opportunity to prevent or correct the error.
- The mistaken party notifies the other party of the error as soon as reasonably practicable after they have learned of the mistake.
- The mistaken party takes reasonable steps to conform to the other party's instructions to return or destroy any performance received.
- The person has not used or received any material benefit or value from the performance received from the other person.

Therefore, in the example above, if Busi was not given the opportunity to review and correct the order before placing it, Busi should contact LootsSoBeautful.com as soon as Busi is aware of the mistake to inform LootsSoBeautiful.com that Busi mistakenly ordered ten instead of one of the make-up artists sets. If

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LootsSoBeautful.com then informs Busi that, as soon as Busi receives delivery of the make-up artist sets, they must return the nine sets mistakenly ordered to LootsSoBeautiful.com via the website's return processes, Busi is obligated to adhere to the instruction for return by LootsSoBeautful.com. Busi cannot use the nine make-up sets that they mistakenly ordered and only then return them to LootsSoBeautful.com. If Busi complies with these rules, there will be no obligation on Busi to pay for the extra nine sets they mistakenly ordered.

19.8.2 Mistake is made by party using an automated system as their electronic agent

If a party makes use of an automated system, they will be bound to the contract, even if they had no opportunity to review it, unless they can prove that the programming of the website was not functioning properly.

In the previous example, assume that Busi correctly ordered only one make-up set. However, LootsSoBeautiful.com's automated system incorrectly invoices Busi for R55 only, instead of R550. Whether LootsSoBeautiful.com is bound to supply the make-up at R55, depends on the reason for the mistake. If the incorrect invoice was due to a malfunctioning of LootsSoBeautiful.com's automated system, for example, as a result of a computer virus, LootsSoBeautiful.com will not be bound to provide Busi with the make-up at the price of R55. However, if there was some kind of other mistake, such as LootSoBeautiful.com's employee made a typing error when inputting the price of the goods on the website, they will be bound to the price of R55.

At this stage, you should be able to answer the questions to the scenario on Forever Fancy at the beginning of the chapter. In terms of section 20 of the ECTA, this is an instance where the contracting party who interacts with an automated system, makes a material error and will not be bound by the agreement. Thabang was not granted an opportunity to review their order, preventing them from correcting it. If Thabang notifies Forever Fancy and complies with their instructions for the return of the incorrectly ordered 99 pairs of earrings, they will not be obligated to pay.

19.9 Consumer protection in the ECTA

The ECTA contains various consumer protection mechanisms specific to electronic contracts. In short, they are:

- a duty to disclose information
- an opportunity to review, correct, and withdraw
- secure payment systems
- executing the order
- right of withdrawal (cooling off)
- retention of rights.

19.9.1 Duty to disclose information

The ECTA places extensive duties on suppliers to disclose information to consumers. These include the full name and legal status of the supplier (for example, whether it is a company or partnership), their contact information, a proper description of the goods or services, their full price, the available methods of payment, the terms of the agreement (including return, exchange, and refund policies), and the period within which the consumer can expect delivery.

19.9.2 Opportunity to review, correct, and withdraw

The consumer must be given the opportunity to review, correct, and even withdraw from the transaction before it is finalised.

19.9.3 Secure payment systems

The supplier must ensure that the payment systems used by consumers are sufficiently secure and in line with accepted technological standards at the time of the transaction.

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19.9.4 Executing the order

The supplier must carry out the order within 30 days after it was placed. If the supplier fails to do so, the consumer may cancel the agreement by giving seven days' notice. If the goods or services are unavailable, the supplier must inform the consumer and refund any payment made by the consumer within 30 days.

19.9.5 Right of withdrawal (cooling off)

A consumer may withdraw from (cancel) any electronic transaction within seven days, without giving any reasons. The supplier must inform the consumer of this right before the transaction is concluded. There are some exceptions where this right is not available, such as if the consumer bought software, videos, or audio recordings and unsealed them before returning them.

19.9.6 Retention of rights

The consumer rights in the ECTA will apply if a case is heard in a South African court, irrespective of where the contract was concluded. Moreover, any clause that attempts to exclude any of the consumer's rights in terms of the ECTA will be null and void.

Note that electronic contracts for the supply of goods and services to consumers in the ordinary course of business of the supplier, will also fall under the CPA. Refer to Chapter 17 for a discussion of the CPA. Where both Acts apply, they must be read together for a full picture of the consumer protection measures available to a consumer.

19.10 Spam

Due to the ease with which technology can generate mass electronic communications, **spam** has become a major headache for consumers. On a daily basis, consumers receive uninvited emails, SMSes, and automated voice calls, which eat into their time and can feel like an invasion of their privacy.

Spam can be loosely defined as unsolicited electronic communications.

The POPIA contains some measures to reduce spam. It applies to the use of a consumer's **personal information** for purposes of direct marketing by way of electronic communications, and distinguishes between two situations, namely:

1. direct marketing to existing customers
2. direct marketing to consumers who are not existing customers.

Personal information is widely defined in the Act, and includes email addresses, phone numbers, personal preferences, race, gender, medical, and employment history.

Direct marketing to existing customers

If a consumer gave their contact details to the supplier for purposes of direct electronic marketing in the context of a previous sale of goods or services, the supplier may use these details for direct marketing. However, the consumer can end this at any time by informing the supplier (opt-out system).

For example, you bought goods from Makealot.com. When buying the goods, you provided your email address and consented to them sending you marketing emails. Makealot.com can send you emails regarding special offers and promotions. However, if you inform Makealot.com at any time that you no longer wish to receive these emails, Makealot.com must stop sending them to you.

Direct marketing to consumers who are not existing customers

If the consumer is not an existing customer, the supplier may not use their personal information for purposes of electronic direct marketing to the consumer, unless the consumer has consented to this in advance (opt-in system). The consent must be 'voluntary, specific, and informed'.

For example, you receive a direct marketing email from a supplier you have never done business with before. This is not allowed in terms of the POPIA, since you did not consent to them using your email address for direct marketing.

While the provisions of the POPIA affords some protection to consumers, it has been questioned how effective it is in practice. For example, consumers may not know the processes to report or stop

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direct marketing that they have not consented to, and it is often difficult to find out who supplied their personal information in the first place.

Note that the CPA also has some provisions limiting direct marketing. However, these apply to all forms of direct marketing, and not only electronic direct marketing. The two Acts must therefore be read together for a full picture of the protection afforded to consumers against electronic marketing.

What do you think?

Think back to the example we had at the beginning of the chapter where Thabang mistakenly ordered 100 pairs of earrings from Forever Fancy. Will Thabang be able to remedy the mistake of ordering 100 pairs of earrings? Before you can even begin to answer this question, you need to reflect back on this chapter and identify what type of transaction Thabang entered.

Chapter summary

In this chapter, you learned the following about electronic contracts:

- Electronic commerce is where business is conducted using the internet and the World Wide Web.
- The common law of contract (and where applicable, the CPA) regulates electronic contracts, except where changed by specific legislation.
- The ECTA and the POPIA address some of the unique challenges raised by electronic contracts.
- Electronic contracts are subject to the same requirements for validity as a contract in the physical world.
- Where formalities are required for the conclusion of a contract, the ECTA provides for specific methods to comply with these formalities electronically.
- The case of the *Jafta v Ezemvelo KZN Wildlife* (2009) 30 *ILJ* 131 (LC) confirms that a valid electronic contract is concluded when and where the offeror receives acceptance.
- The law applicable to tickets and notices applies to click-wrap, shrink-wrap, and browse-wrap agreements, as well as email disclaimers.
- One of the major challenges with e-commerce is determining which court has jurisdiction over legal disputes arising from electronic transactions.
- The ECTA makes special provision for a mistake made where one or both parties made use of an automated system, to enter into a contract without the intervention of a human being.
- The ECTA includes provisions of consumer protection to ensure that consumer contracting electronically are protected.
- Lastly, the POPIA protects consumers from spam in the form of electronic direct marketing.

Review your understanding

1. Sibusiso is a steel supplier for many of South Africa's largest construction companies. Sibusiso wants to install a digital accounting system for the business. Sibusiso goes onto Digital World's website, where they buy e-filing software called 'File-the-E-WAY'. Sibusiso buys and successfully installs the e-filing software. After using the software for a few days, a very impressed Sibusiso shares the software with their daughter Katy. When Katy tries to install the software, it no longer

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works. An angry Sibusiso sends Digital World an email complaining about this. Digital world responds by stating that Sibusiso has violated the terms and conditions of File-the-E-WAY software programme by sharing it, and Sibusiso has to pay the software developers an amount of R20 000.

Sibusiso, immediately goes back onto Digital World's website to check their terms and conditions. At the very bottom of the website, Sibusiso finds a small and faint hyperlink for the terms and conditions. When Sibusiso clicks on the link, they find that there is indeed a term stating that buyers of File-the-E-WAY software may not share the software with anyone and that, if they do so, they will have to pay the software developers R20 000. Sibusiso did not notice the hyperlink before purchasing the software and was unaware of this term.

Sibusiso, who knows the law of contract well, says that the hyperlink did not bind them to any contract and refuses to pay the money.

a) What method(s) did Digital World use to impose their terms and conditions upon Sibusiso?
b) What does the law in South Africa state around whether a party will be bound to such terms?
c) Would Sibusiso be bound by these terms and conditions?

2. Assume for purposes of this question that Sibusiso accepted that they were bound to Digital World's terms and conditions. Sibusiso and File-the-E-WAY entered into email negotiations. It was finally agreed via email that Sibusiso would pay a minimal fine for violating the terms and conditions contained in File-the-E-WAY software, and that Sibusiso would delete the software from their daughter's computer.

A week later, Sibusiso's friend, Lebo, who is a lawyer, tells them that the law requires that the type of contract that they concluded with Digital World when they bought the File-the-E-WAY software, must be signed, and that such a signature must be an advanced e-signature. According to Lebo, the agreement made between Sibusiso and File-the-E-WAY is not a valid contract in the first place. Sibusiso is very confused, as they have never heard of an advanced e-signature before.

a) Where a signature is required as a formality by law or by the parties, is it possible to comply with this electronically? Is there any case law to confirm this?
b) What is the difference between simple and advanced electronic signatures?
c) In this case, do you believe that an advanced signature was needed? Explain your answer.

Further reading

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Chapter
20 Methods of payment

The main ideas

- Different forms and methods of payment
- What are negotiable instruments?
- Who are the parties to negotiable instruments?
- Requirements for bills of exchange
- Transferring the right to payment
- What are documentary letters of credit used for?
- What are promissory notes?
- Forms of electronic payments
- Regulation of EFTs
- When is an EFT payment complete?
- Can you reverse an EFT payment?
- Understanding new forms of payment, such as smart cards, e-money, payment intermediaries, e-wallets, DLTs, cryptocurrencies, and NFTs

The main skills

- Explain how a payment is made.
- Determine if a bill is valid.
- Identify the parties to a bill.
- Discuss the rights and duties of different holders.
- Identify who must pay on a bill.
- Explain how an acknowledgement of debt will be a benefit if it is drawn up as a promissory note.
- Identify the different forms of electronic payment.
- Explain the relationship that exists between a bank and its customers.
- Identify when a payment is complete, and the debt extinguished.
- Explain what happens if you pay an EFT into the wrong account.
- Discuss and apply the statutory framework regulating EFTs.
- Explain what you understand about new forms of payment, such as stored value, smart cards, e-money, payment intermediaries, e-wallets, DLT's, cryptocurrencies, and NFTs.

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In our modern highly digitalised lives, physical money is giving way to a diversity of electronic transfer of value systems and innovative payment solutions. The ever-increasing volume of paperwork associated with banking operations and the risks of carrying large amounts of cash have pushed economies into adopting these electronic systems.

Before you start

How do you pay your accounts? If you owned your own business, how would you manage the payment of salaries or creditors? Carrying cash around is inconvenient and it can be dangerous. It is also inconvenient to pay large amounts with cash. Therefore, various different methods of payment have developed over the years to avoid carrying cash and to try to find safer quicker and cheaper ways to make payment. Some of these are considered below.

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20.1 Payment

Exchange, or bartering, was an early form of commerce, as a person would exchange what they had for the goods or services of another person. Payment then progressed to using gold, silver, and other valuables. However, the risk of travelling with items of great value or bags of cash led to the exchange of paper guarantees, in the form of negotiable instruments. Commerce required an incorporation of rights into documents to allow for their circulation in a secure manner and therefore the rules developed around negotiable instruments.

In our modern payment system, we can make a payment either through the exchange of money or through the transfer of value in an electronic system of debits and credits. This means that we can either use cash (rand and cents – **legal tender**) or issue a payment instruction to a financial entity when we wish to make a payment. These payment instructions can be in a hard copy paper-based format, such as bills, promissory notes, documentary letters of credit, debit orders, or stop orders or they can be in an electronic format, such as an electronic funds transfer (EFT).

In South Africa, cash is regarded as the only form of **legal tender**. A creditor is not forced to accept any other form of payment. Legal tender refers to a form of payment that discharges a debt.

When there is a transfer of value, payment usually has basic steps that can be initiated by the debtor or the creditor. The party initiating the process will give a payment instruction to the entity that holds the funds (step 1). The financial entity will then transfer the funds to the recipient's account at the same or another financial institution (step 2). If it is a debtor who starts the transfer of value process to make a payment to the recipient creditor, it is referred to as a 'credit transfer' and the value is *pushed* through the payment system from the debtor to the creditor. Examples of this would include stop orders and internet banking payments. However, where the creditor (recipient) starts the process, an instruction is given to a financial entity to collect payment from the debtor. This is referred to as a 'debit transfer' where the value is *pulled* through the system into the creditors account. Examples include the collection of debit orders or payment in terms of a documentary letter of credit.

With the paper-based payment instructions, the instruction to pay is completed on paper, in words and figures and is authenticated by a signature. However, the instruction must be physically transferred between parties and/or their respective financial institutions to receive payment. With electronic payment instructions, the instruction to transfer or release funds is given through digital inputs and authentication takes place through passwords, biometrics, and account numbers.

The payment instructions received by financial institutions (either paper-based or electronic) are then carried out, through a system of electronic debits and credits that result in a multilateral set-off of claims. In the formal banking system this takes place in one of two ways, either there is a bilateral set-off between the banks themselves (regulated by inter-bank agreements) or a large batch of transactions are routed through a clearing house system for a multilateral set-off between the banks. These systems are regulated by the National Payment System Act 78 of 1998 and controlled by the South African Reserve Bank (SARB) through the Payments Association of South Africa (PASA). Only the systems used by the general public or consumers are discussed here.

We will start our discussion with the study of the unique rules that regulate the use of hard copy paper-based instructions, such as negotiable instruments, bills of exchange, promissory notes, and documentary letters of credit.

20.2 What are negotiable instruments?

A negotiable instrument is a legal document that entitles the person who is in possession of the document, and who satisfies certain requirements to receive the specified amount of money. In South Africa, negotiable instruments are regulated by the Bills of Exchange Act 34 of 1964 (BEA).

Negotiable instruments come in different forms, such as bills of exchange, cheques (no longer in use), promissory notes, and documentary letters of credit.

The SARB, Financial Sector Conduct Authority (FSCA), PASA, and the Banking Association South Africa (BASA) jointly announced that the issuing, acceptance and/or collection of cheques would cease

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from 31 December 2020. This decision was taken due to the numerous challenges associated with the use of cheques, such as the lengthy processing period, fraud, declining usage, limited education, limited protection for the consumer, ageing interbank cheque processing infrastructure, and the impact of the Covid-19 pandemic. Moreover, cheques were an expensive method of payment.

20.2.1 What are bills of exchange?

A bill of exchange is an unconditional order in writing, addressed by one person to another, signed by the person giving it, requiring the person to whom it is addressed to pay on demand or at a fixed and determinable future time, a sum certain in money to a specified party or their order or to bearer. This definition contains the formal requirements for a bill that need to be met in order to have a valid instrument.

20.2.2 What are promissory notes?

A promissory note is not an order, but a promise to pay. In terms of the BEA, a promissory note is an unconditional promise in writing, made by one party to another party, signed by the maker, engaging to pay on demand or at a fixed or determinable future time, a sum certain in money, to, or to the order of, a specified party, or to the bearer.

Added value Acknowledgement of debt and promissory notes

Many attorneys regularly draft and use 'acknowledgments of debt' in the debt collection process. A claim coming from an acknowledgment of debt will prescribe in three years as it is an ordinary debt in terms of the Prescription Act 68 of 1969. However, it may be possible to draft an acknowledgment of debt in such a way that it becomes a negotiable instrument (a promissory note), thus extending the period of prescription to six years. This may be the difference between a client being able to collect on a debt or not.

Activity 20.1

On 3 October 2022, Lindiwe approached you, an attorney, for advice regarding a document, which has the heading: 'Acknowledgement of debt'. In terms of this document, Lindiwe (the debtor)) agreed to repay an amount of R100 000 (which was borrowed from Ivan Naidoo, the creditor) 'on or before 3 October 2018'. Lindiwe signed the document on 3 October 2018. During your consultation with Lindiwe, you were informed that Ivan has issued summons, which was served on Lindiwe on 1 October 2022 (that is, almost four years after the debt became due). With reference to the discussion above, advise Lindiwe regarding the question as to whether or not Ivan will be successful in an action for provisional sentence.

20.2.3 What are documentary letters of credit?

Documentary letters of credit are also known as commercial letters of credit, commercial credit, or documentary credit. A documentary credit (DC) is a payment method used in international trade that provides an element of protection for both the buyer (importer) and the seller (exporter). A documentary credit guarantees payment for the beneficiary if the terms and conditions are met. It is the most frequent form of payment used in international trade.

The DC is issued by a bank (the issuing bank) at the request of the buyer/importer of goods (the applicant) in favour of the seller/exporter of those goods (the beneficiary). Once the seller has fulfilled its obligations under the purchase agreement (typically by shipping the goods to the buyer), the seller may present the documents listed in the letter of credit to the issuing bank and receive payment directly from a bank.

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With DC collections, the seller remains in control of the documents until they are paid, or they have obtained the buyers acceptance of the bill of exchange in favour of the seller. The seller hands the commercial documents required by the buyer (invoice, transport documents, insurance documents, various certificates, and a bill of exchange drawn by the seller on the buyer in favour of the seller) to its bank with collection instructions. The seller's bank (remitting bank) forwards the documents to its branch in the buyer's country (collecting bank). The collecting bank presents the documents to the buyer, but will only release them when payment is made, or the bill is accepted (known as a document against acceptance contract). This bill of exchange is referred to as a 'term draft' or 'trade bill'. The seller who has given the documents becomes a holder (that is, payee in possession of an accepted bill of exchange, which is easily enforceable in South Africa under a **provisional sentence** procedure).

Provisional sentence is a special procedure designed to give a claimant with a liquid document and *prima facie* proof of their claim for a speedy judgment without the expense and delay that ordinary trial action involves.

Due to the fact that international trade law is a complex area of law and that these negotiable instruments are also regulated by international trade laws, we will not be studying them in this section in any further detail.

20.3 Parties to negotiable instruments

There are three parties to a bill that are essential for the bill to be valid.

1. The *drawer* is the person who gives the order to pay.
2. The *drawee* is the person who is given the order to make payment. For a cheque, the drawee was always a bank, but for other negotiable instruments, the drawee may be a natural or juristic person, or it can be a bank.
3. The *payee* is the person to whom payment is made.

There are also other parties that play an important role in negotiable instruments as described below:

- The drawee (person who gets an instruction to pay) is not liable for the amount on the bill because they did not sign the bill. When the drawee accepts the bill, or agrees to the drawer's instruction to pay, by signing the bill, they become a party to the bill and they are liable on it. Therefore, the *acceptor* is the drawee who has become a party to the bill by acceptance of the obligation to pay in terms of the bill.
- The payee of a bill is not a party to the bill and is therefore not liable on it, but they do have certain rights, such as to negotiate the bill or receive payment. If the payee negotiates the bill with an **indorsement** (signature), they will now be known as the *indorser*. An indorser is a person who signs their name on the back of a cheque or bill, with the intention of transferring their right to payment to somebody else. In signing the bill, the indorser also accepts responsibility for paying the bill themselves if the drawer or acceptor do not make payment.
- If the indorser names the person to whom the rights are being transferred in the indorsement, the person who is named and to whom the bill is delivered is the known as the *indorsee*. The indorsee can, in turn, sign and deliver the bill to somebody else. In doing so, the indorsee will become an indorser.
- The *holder* is the payee, indorsee, or bearer of a bill who is in possession of the bill. The golden rule is that the holder is generally the person entitled to payment.
- The *bearer* is the person in possession of a bill payable to the bearer.

The BEA describes an **indorsement** as an 'indorsement completed by delivery'. In practice, an indorsement is the signature of the person who is entitled to indorse the bill, made with the intention of transferring ownership of the bill to someone else.

Activity 20.2

Sebo pays Jacob for plumbing repairs completed at Sebo's house with a bill drawn on Bank Africa. Jacob takes the bill, signs 'Jacob Tladi', and writes 'Nolwazi Tladi', on the back of the bill. Jacob gives the bill to Nolwazi, so that Nolwazi can use the money to pay Nolwazi's university fees. Draw the front and back of the bill using the parties in this set of facts. Identify each of the parties named on the bill.

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20.4 Requirements for bills of exchange

In order for a bill of exchange to be valid, certain essential requirements need to be present. If one of the essential elements is not present, the bill is not valid, and it would simply be a piece of paper with no value. The definition of a bill of exchange contains eight requirements for the validity of a bill, namely:

1. order/promise to pay
2. unconditional
3. in writing
4. addressed by one person to another (drawer to drawee)
5. signed by the person giving it (drawer)
6. payable on demand or at a fixed or determinable future date
7. a sum certain in money
8. made out to a specific person or order or bearer (payee).

We will now look at the essential requirements for a bill in greater detail.

20.4.1 Must contain an order/promise to pay

This requirement causes little difficulty in practice because these documents are mostly pre-printed with the word 'Pay', which is the order.

Added value — Different meanings of order

The word 'order' can have different meanings when used with negotiable instruments.

- Order refers to the command given by the drawer to the drawee to pay an amount of money.
- Order can refer to a kind of bill. An order bill is a bill that has to be paid to a specified person. The amount cannot be paid to just any person who is in possession of the bill. The last two meanings are dealt with below in more detail.

20.4.2 Must be unconditional

The order contained in a bill may not be subject to any conditions. A condition creates uncertainty around payment to the holder, and it undermines the ability of the instrument to circulate and function as a valuable commercial paper. For example, 'payment on this bill will not be made unless a receipt is signed when this bill is collected'. This means that, if a receipt was unsigned when the bill is collected, the drawee would not have to make payment, as the signing of a receipt is a condition of payment.

20.4.3 Must be in writing

The order in its entirety must be in writing. This includes any mode of representing or reproducing words visibly, such as computer-generated printing or typewriting.

20.4.4 Must be addressed by one person to another

The order to pay in the bill must be directed to another party, and this party must be indicated with reasonable certainty.

20.4.5 Must be signed by the person giving it

The bill must be signed by the person issuing the order to pay. A signature on a bill has three different functions:

- a constitutive function: The signature is necessary for the valid creation of the instrument.
- a transfer function: The signature is necessary for the valid negotiation of an order instrument.
- a guarantee function: The signature is necessary in order to establish the liability of parties on the bill.

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A signature can be any mark or sign made on the document by a person with the intention that it will be a signature. The BEA also states that it is not necessary for a person to sign the document with their own hand, but that it is sufficient if the signature is written or printed on the bill by people who have been given authority. This is especially important for companies where an ink stamp is considered the equivalent to the signing or indorsement of the bill.

Forged signature

Where a bill has a forged signature (the person who signed the bill did not have any permission to do so), section 22 of the BEA applies. The rule is that a forged signature is wholly **inoperative**. This means that you have no right to keep possession of the bill and you cannot enforce payment of a bill against another person.

Inoperative means useless or worthless.

Unauthorised signature

Section 22 states that an unauthorised signature is wholly inoperative. However, an unauthorised signature may be ratified. This means that signature can be approved at a later stage, but ratification is not possible in the case of a forged signature. Another difference to note is that, with a forgery, the forger imitates the signature of somebody else with the intention to defraud, but with an unauthorised signature, the signatory signs on behalf of another, without the necessary consent (authority). It is, however, a mistake and there is no intention to commit fraud.

Section 22 also has a ***proviso*** in the BEA, as it does not allow certain parties to raise the defence of a forged or unauthorised signature to a claim for payment and will hold the person who signed the bill liable. An example of when a forged signature cannot be used to deny liability for payment is set out in section 53(2)(b) of the BEA. This is known as a statutory **estoppel**, which provides that an indorser, by indorsing an instrument, is prevented from denying to a holder in due course the genuineness and regularity in all respects of the drawer's signature and that of all previous indorsers.

A ***proviso*** is a qualification of a rule. It limits the applicability of a rule.

Estoppel is where a person (Anele) has caused another (Nandi) to act on a false impression. Anele is prevented from going back on the words or conduct that led Nandi to act. The essence of an estoppel is that a party is forced to accept a legal factual position based on an impression that they have created.

Case study — Statutory estoppel under section 53(2)(b)

A draws a bill on B, payable to C or order. A thief, X, steals the bill from C, forges C's signature on the back and delivers it to D. D changes the forged 'indorsement' to an indorsement in D's name, signs the bill and delivers it to E.

A → B → C → C's signature forged by X, a thief → D → E

The forged indorsement is wholly inoperative, and no title is transferred to D. D transfers the bill to E. E is not a holder, and cannot consequently claim payment from A or B or C, as C did not sign the bill. However, in certain circumstances, E will be able to claim payment from D. This is because D created the impression that they had the right to indorse and deliver the bill and there was an intention to transfer rights to payment to E. The law holds D bound by the impression that was created, that is, that D could transfer a right to payment in the bill.

Signatures by juristic persons

As you now know, a company is a juristic person who can act only through its representatives, such as its directors, officers, or employees.

Imagine the following scenario. You are the managing director of a big company. The company has just opened new offices and you are tasked with buying classy furniture for the office that will make a statement and impress your clients. After doing some research, you find the ideal modern, custom-made furniture store in Fourways, Johannesburg. You visit the store, select the furniture, and pay with a

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company bill. Now imagine that the bill you made out to the furniture store is dishonoured (not paid). Can you personally be held liable for the R245 000?

For signatures by juristic persons, the following rules apply:

- Where a person has no authority to sign on behalf of a company, they will be personally liable on the bill.
- A person will be held personally liable if the company's name is incorrectly printed on the bill.
- A person who has authority and signs as a drawer together with the name of the principal (company) will not be held personally liable on the bill.
- A person who has authority but who signs *as indorser or acceptor* must still qualify their signature and indicate that they are signing in a representative capacity in order to escape personal liability.

20.4.6 Must be payable on demand or at fixed or determinable future date

Payment on a bill can be either on demand, which is when a person may present the bill for payment immediately, or at a fixed or determinable future date, whichever is set out on the bill. A fixed date is a specific date, for example, 28 July 2023. A determinable date is a date that is not fixed, but which can be determined, such as '14 days after Jabu's 21st birthday'.

20.4.7 Must be made out for a sum certain in money

The order must be an order to pay an amount of money. An order requiring any other form of performance, for example, the delivery of goods, will not be a bill.

20.4.8 Must be made out to a specific person/bearer/order

A bill must be payable to a specified person or their order if it is not payable to the bearer. Thus, the payee must be named or otherwise indicated with reasonable certainty and, if not, then the bill must be made payable to a bearer.

A bill can be classified either as an order bill or a bearer bill. It is important to know whether a bill is an order bill or a bearer bill, because they are negotiated differently, and different people can claim payment on the different types of bill.

Added value 'Negotiation'

In the context of negotiable instruments, the word 'negotiation' means something different to its usual meaning. With negotiable instruments, the word 'negotiate' means to transfer the bill to another in such a way that the person to whom the bill is transferred becomes the holder of the bill, which means that they can claim payment on the bill. If I ask Samuel to deposit a bill at the bank for me and I hand it over to Samuel, I transfer the possession of the bill to Samuel, but I do not negotiate it to Samuel. Samuel does not become the holder of the bill – Samuel is merely in possession of it so that they can deposit it for me. However, if I transfer possession of the bill to Samuel in a way that Samuel becomes a holder, Samuel can claim payment on the bill, and I have negotiated the bill to Samuel. Negotiation requires the transfer of rights in and to the instrument.

Bearer bills

A document is a bearer instrument if:

- it is made payable to bearer
- the only or latest indorsement on it is in blank
- it is expressed to be payable to the order of *cash* or to *cash or order*
- the payee is a fictitious or non-existing person or has no capacity to contract.

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There is no definition of a fictitious or non-existing payee in the Act. The courts have interpreted these two phrases as follows:

- A fictitious payee is a payee that exists only in a person's mind. In other words, when the drawer is writing out the bill, they honestly believe that the person exists. It is a subjective test to discover what the drawer was thinking when they wrote the name on the bill, such as Father Christmas.
- A non-existing payee is one that does not exist at all. It is an objective test to see whether the payee exists in reality or not.

Examples of bearer bills:

- Pay Karabo or bearer
- Pay Father Christmas
- Pay cash or bearer
- Pay to the order of cash
- Pay Karabo or bearer or order
- Pay cash
- Pay cash or order
- Pay Buhle (three-year-old minor).

In order to negotiate the bill, the payee, or whoever is in possession of the bill, just has to deliver it to another person (physically hand it over as you would for a R100 note). It is not necessary to sign the back of the bill before delivering it.

Order bills

A bill is an order instrument if it is:

- expressed to be payable to order
- payable to a specified person, and does not contain words which prohibit transfer
- payable to the order of a specified person.

A bill is payable to order if it does not contain words that prohibit transfer and it is made payable to 'Karabo or order', 'to the order of Karabo', or simply 'to Karabo'. The words 'Pay Karabo or order' indicate that payment should be made to Karabo, or to the person designated by Karabo through an indorsement.

20.5 Non-essential requirements

Non-essential elements are also usually present on a bill, namely:

- date
- place of drawing: In some instances, a drawer may indicate the place where a bill is drawn. By indicating the place of drawing, the holder knows where the drawer is. This is especially important when a bill has been drawn in another country to where it is payable.
- place of payment: This lets the holder know where to get payment.

If one of these non-essential elements is missing, it will not affect the validity of the instrument.

20.6 Transferring ownership of a bill

The main characteristic of a negotiable instrument is that it is easily negotiated, from one person to another. This means that ownership of the negotiable instrument, along with the rights contained in it, can be transferred to somebody else without too much trouble.

The method of negotiation depends on whether one is dealing with a bearer or an order instrument. Section 29(2) of the BEA provides that a document payable to the bearer is negotiated by delivery while, according to section 29(3), an instrument payable to order is negotiated by the indorsement of the holder and subsequent **delivery** of the bill.

Delivery is defined in the BEA as the actual or constructive transfer of possession from one person to another.

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20.6.1 Transferring bearer bills

A bearer bill is negotiated/transferred by delivery alone. This is completed by simply giving it to another person. The right to claim payment is transferred along with the bill to a new bearer.

20.6.2 Transferring order bills

An order instrument is negotiated by indorsement (signing) it on the back and then giving it to another person. There are certain requirements for a valid indorsement – it must be written on the bill and signed by the indorser.

There are different ways that a bill may be indorsed:

- An indorsement in blank is an indorsement that does not specify an indorsee. In other words, the indorser's signature appears on the back of the bill without the name of the person to whom the bill is being negotiated. The effect of an indorsement in blank is that the bill is now payable to the bearer.
- A special indorsement is an indorsement that specifies the name of the indorsee. The effect of a special indorsement is that the bill remains an order bill.
- A restrictive indorsement is an indorsement that prohibits further negotiation of the instrument. Once a bill has been negotiated with a restrictive indorsement, it is valid only between the indorser and the indorsee. If the signature of the indorser on the back of the bill is accompanied by the name of the person to whom the bill is being negotiated, followed by the word 'only', the indorsement is restrictive.

20.7 Who gets paid?

A bill is a method of making payment. So, the obvious question is who must be paid? The holder is the person entitled to get payment on a bill. It is important to make sure that the holder is paid because the liability on a bill can only be discharged by payment to a holder.

The holder of an instrument can only be the payee, indorsee, or bearer who is in possession of the bill. Possession is therefore the most important aspect of being the holder of the instrument. However, possession by itself is not enough. If a person possesses a bill in any capacity other than that of the payee, indorsee, or bearer, they will not qualify as the holder of that instrument.

The law recognises three kinds of holders:

1. The ordinary holder can be the holder of an order bill or a bearer bill.
2. The holder for value is the holder of a bill who has given some form of value or counter-performance for the bill.
3. The holder in due course is the holder of a bill who meets certain additional requirements.

Each type of holder has certain rights and duties, and we will now look at these in more detail.

20.7.1 The ordinary holder

The Act defines a **holder** as the payee (the person named on the bill by the drawer) or indorsee (the person who is named on the bill by the indorser and to whom the bill is delivered) of a bill, who is in possession of it, or the bearer of it. There are two requirements to be a holder:

1. For an order bill, your name must be on the instrument (as payee or indorsee) and you must have physical possession of it.
2. For a bearer bill, it must be made out to 'bearer' and the person must be in physical possession of it.

To qualify as the **holder** of a bill, possession of the bill does not have to be lawful. In the case of a bearer bill, a thief who is in possession qualifies as a holder, and the thief is allowed to claim payment on the bill.

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The rights of a holder

The most significant right of the ordinary holder is to sue in their own name on the instrument and to enforce payment against any party liable on it. According to the BEA, the holder of a bill that has been dishonoured (payment refused) may claim from any party liable on it. They can claim for the amount on the bill and interest.

The other rights of the holder include to negotiate the instrument and add to the bill any particulars that might be missing, such as the date of issue.

The duties of a holder

The holder has three duties, namely, to present the bill for acceptance, present the bill for payment, and to give **notice of dishonour**. Dishonour occurs when the drawee refuses to accept the bill or make payment on the bill. When a bill is dishonoured, the holder gets a right to claim payment against the drawer and indorsers. Nevertheless, the holder can enforce this right only if these parties have been given notice of dishonour.

Notice of dishonour is notice given to the drawer or the indorser that the bill has been dishonoured. Notice of dishonour can be given orally or in writing.

20.7.2 The holder for value

The holder for value is the holder of a bill who meets an extra requirement, which is that they must have given value for the bill. In other words, some form of counter-performance must have been given in order to receive the bill.

Case study — Holder for value

If Nazeem's father gives Nazeem a bill for R200 as a gift for a birthday, Nazeem does not give value for the bill (it is a gift). Nazeem will be a holder of the bill, but not a holder for value. However, if Nazeem washed their father's car for two months and was given the bill as payment for this service, Nazeem gave value (a car washing service) and will qualify as a holder for value.

20.7.3 The holder in due course

To qualify as a holder in due course (HIDC), a person must meet the following requirements (section 27(1)):

a) A HIDC must, be a holder (payee, indorsee, or bearer in possession of the bill).
b) The HIDC must receive a bill that is complete and regular on the face of it.
c) The HIDC must have become a holder of the bill before it was overdue.
d) If the bill was previously dishonoured, the HIDC must not have had notice of the dishonour.
e) The HIDC must take the bill in good faith.
g) The HIDC must take the bill for value.
g) The bill must have been negotiated to the HIDC.
h) At the time of negotiation, the HIDC must have had no notice of a defect in the title of the person who negotiated the bill to them.

Added value — 'Negotiation'

In law, when we speak of 'title', we do not mean Prof. or Dr. A person's title in law has to do with their relationship to an object. If you buy a jacket, you become the owner of it. You have acquired the 'title' of ownership over the jacket. However, if you hire a car at the airport, you do not become the owner of that car after signing papers and getting the keys. You merely get a limited right to use the car for the stipulated timeframe of the lease. As you are not the owner, you cannot sell the car because you do not have title to it. Whether or not a person can become the owner of any object depends on the transferor's title to the object. If you are the owner of the jacket, you can sell or give it to a friend, and they will become the owner. If you only

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borrowed the jacket, a friend cannot become the owner, but will be a possessor of the object. The general legal rule, that people may not transfer greater rights to someone else than they possess themselves, is known as the *nemo plus iuris* rule.

Let us now look in more detail at each of the requirements to be a holder in due course.

a) A bill is complete if it contains all the essential elements of a bill.
b) A bill is regular on the face of it, if it appears, by looking at the bill, that nothing improper, such as forgery, took place.
c) A bill is overdue if it has been in circulation for an unreasonably long period of time.
d) If a bill is dishonoured, it means that the person or bank to whom the order to pay was given, refused to do so. For example, a bank will dishonour a bill if the drawer does not have enough funds in their account to pay the necessary sum of money. If a bill was dishonoured at some stage before it is negotiated, the holder must not know about the dishonour to qualify as a HIDC.
e) The requirement of good faith means that the holder must have acted honestly when they took the bill. If they were dishonest, they acted in bad faith and will not qualify as a HIDC. For example, if Karabo takes a bill as payment for an old television, but Karabo suspects that the signature on the bill is forged but does not make further enquiries. This means that Karabo has not taken the bill in good faith.
f) A bill has been taken for value if some form of counter-performance has been given for it. Counter-performance can take on various forms, such as money, goods, or services.
g) You will recall that 'negotiation' is the transfer of rights in a bill and that the method of negotiation depends on the type of bill you are dealing with, such as a bearer or order bill. The courts have held that because the payee of an order bill becomes a holder through the **issue** of the bill and not by *negotiation*, the payee of an order bill cannot be a HIDC. However, because *issue* and *negotiate* are the same process for a bearer bill the payee of a bearer bill can be a HIDC.

Issue is defined as the first delivery of a bill, complete in form, to a person who takes it as holder (section 1).

h) Negotiable instruments contain an exception to the *nemo plus iuris* rule. In other words, if a thief (who has no title to the bill) negotiates the bill to a HIDC, the person taking the bill (the HIDC) must have no knowledge or suspect that the bill was stolen. The HIDC will be able to claim full title (ownership) of the bill and be able to claim from anyone liable on the bill even though the previous person (thief) had no title.

Case study The *nemo plus iuris* rule

Maredi is the owner of a Louis Vuitton handbag. Maredi decides to sell it to their friend, Moipone. Moipone pays R50 000 to Maredi and becomes the owner of the handbag. However, if Maredi only borrowed the handbag from their sister Letlotlo and then 'sold' it to Moipone, Moipone cannot become the owner, and is only a possessor. Even if Moipone thought that Maredi was the owner and could sell the handbag, the law will not allow Moipone to become the owner of the handbag due to the *nemo plus iuris* rule. Moipone cannot receive more rights than Maredi, (the predecessor) had.

With a negotiable instrument, the situation is different. If Moipone paid Maredi with a bearer bill that was stolen (Moipone is not the owner of the stolen bill), Maredi could become the owner of the bill. Maredi would have to satisfy all the other requirements of a HIDC and must have had no knowledge that Moipone's bill was stolen. If this is the case, then Maredi becomes owner of the bill (took the bill in good faith and gave value) and can claim payment on it, even though Moipone had no title to it. The *nemo plus iuris* rule does not apply.

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The HIDC has to satisfy more requirements than the ordinary holder and the holder for value, and therefore has more rights than these holders. The most important rights will now be considered.

Rights of holder in due course

The HIDC has the same rights as the ordinary holder and the holder for value, but the BEA gives the HIDC privileges that are not available to other holders:

a) There is a presumption of holding in due course.
b) For a HIDC, the valid delivery of a bill is presumed.
c) The HIDC gets a good and complete title to the bill even if transferor's title was defective (section 36(c)).
d) There are a few statutory estoppels operating in favour of a HIDC (sections 52(b), 53(1)(b) and 53(2)(b)).

The most important privilege is contained in section 36(b), which provides that a HIDC holds the bill free from any defect in the title of prior parties, as well as from mere personal defences available to prior parties among themselves and may enforce payment against all parties liable on the bill. These title defects and personal defences are referred to as relative defences, which cannot be used against the HIDC, in contrast to the so-called absolute defences.

Case study Relative defences (title defects or personal defences)

Katlego buys a fridge from Patrick and pays with a bill. Patrick negotiates the bill to Thabo who satisfies all the requirements for a HIDC. It subsequently appears that the fridge does not function properly and Katlego stops the payment of the bill. The defence that payment of the bill was stopped because the fridge does not function properly is a relative defence, which under section 36(c) cannot be raised against Thabo who is a HIDC. Katlego will therefore have to pay Thabo. Katlego will have to claim from Patrick in terms of the normal breach of contract remedies.

Absolute defences

Absolute defences are based on the bill itself and are valid against a HIDC's claim. These are:

a) lack of contractual capacity: A person can raise the defence that they did not have contractual capacity when they signed the bill, and they are therefore not liable on the instrument.
b) absolute force: The defendant may raise the defence that the signing of the instrument was not a juristic act because the signatory was forced to sign.
c) forged or unauthorised signature: According to section 21, a person will not be liable as drawer, acceptor or indorser of a bill, unless they have signed. We read this together with section 22, where a forged or unauthorised signature is considered wholly inoperative. So, if a person's signature on a bill is forged or unauthorised, they cannot be held liable for the amount on the bill.
d) material alteration: If a material alteration is made to the bill, the defendant will not be made to pay since they did not consent to the alteration, and neither were they a party to it. A material alteration includes any change to the amount payable, or the time and place of payment.
e) non-delivery of an **inchoate** bill: The defendant may also raise the defence that the document that was signed was an inchoate document and that it was not delivered for the purpose of converting it into a bill or note.
f) ***non est factum***: If a person signs a document not knowing that it is a negotiable instrument or that it will be used as such, the defence of *non est factum* is used.

An **inchoate** bill is a bill signed by a drawer without completing the material information on the bill, such as date, amount, or name of the payee. It is also known as an incomplete bill.

The defence of ***non est factum*** means that a signing party can escape liability for payment because it is fundamentally different from what they intended to sign. A claim of *non est factum* means that the signature on the bill was signed by mistake, without knowing they were signing a bill of exchange.

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The essence of this defence is that the defendant did not sign and deliver the document with the intention of undertaking payment liability. However, if the person signing the document is negligent in creating the impression that it is a bill, they are bound on the bill, and they cannot use this defence.

Section 27(3) provides that any holder, who gets title to a bill through a HIDC and who is not a part of any fraud or illegality affecting the bill, has all the rights of a HIDC.

Activity 20.3

Fast Forward Transport (Pty) Ltd is a moving company, which offers a full range of furniture removals, packing, and storage services for home and office relocation. Fast Forward Transport pays all their accounts with a bill and they are a client of Bank Africa in Hatfield. At a BoD meeting, it is decided that the two directors of the company, Y and Z must both co-sign all bills on behalf of the company. The signature on all the bills below appears as follows:

Fast Forward Transport (Pty) Ltd
(signed) ***Y*** *(signed)* ***Z***

Answer the questions below:

a) On 2 January 2022, Fast Forward Transport purchased a truck from ABC Trucks. Fast Forward Transport agreed to pay the required deposit with a bill. The bill was drawn on Bank Africa, Hatfield, in favour of 'ABC Trucks or bearer' and delivered to ABC Trucks. ABC Trucks negotiated the bill to Dieselco for diesel that had been delivered to ABC Trucks earlier in the day. Two days later, Fast Forward Transport realised that there were latent defects in the truck they had bought and therefore instructed Bank Africa to stop the payment of the bill.
   - Are ABC Trucks holders in due course?
   - Can Fast Forward Transport use the defence that the truck had defects to get out of paying Dieselco if Dieselco are a HIDC?

b) On 2 July 2022, Z handed a bill of Fast Forward Transport, made out in favour of Patrick Payee, to Patrick Payee. However, the bill was dishonoured when presented for payment because Fast Forward Transport was liquidated. Explain to Patrick Payee if, in these circumstances, they can hold Y and Z personally liable for payment? (Hint: Look at rules on signatures of juristic persons.)

20.8 Who pays?

Parties are only liable on a bill if they sign the bill. The parties who can be required to make payment are as follows:

- the acceptor: If the drawee (the person who receives the order to pay a certain amount to the payee) signs the bill with the intention to pay the amount, they become the acceptor.
- the drawer: The person who gives the order to pay a certain amount to the payee has to sign the bill, as this is a formal requirement for a valid bill. By signing a bill, the drawer guarantees that the amount stated on the bill will be paid. If a bill is dishonoured, the drawer is liable to pay the holder of the bill if notice of dishonour has been given to the parties
- the indorser: The person who signs a cheque with the intention of transferring ownership of the cheque to somebody else can be required to make payment, even though they do not receive payment. By signing a bill, the indorser guarantees that the amount indicated on the bill will be paid. If a bill is dishonoured, the indorser is liable to pay the holder of the bill.

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20.9 Electronic payment methods

Electronic payment methods come in many different forms, such as:

- automatic teller machine (ATM) transfers
- electronic funds transfers (EFT)
- card payments and **EFTPOS**
- internet banking
- crypto currencies
- payment wallets
- tokens
- e-money.

EFTPOS stands for 'electronic funds transfer at point of sale'.

Are there any other electronic or digital methods of payment that you can think of?

We described the processes involved in the transferring of value from one account to another earlier in the chapter. We saw that either the creditor or the debtor must give an instruction to the entity holding the funds to make the payment to a beneficiary (transfer the value). This instruction can be sent electronically. Many different methodologies and devices are used to access electronic payment systems. However, we are only going to study some of the most common credit transfer methodologies, such as where the debtor initiates the process to transfer funds (make payment) to the beneficiary creditor and the funds are 'pushed' through the payment system from the debtor to the creditor.

The nature of the banker–customer relationship in credit transfers is based on a contract of mandate. However, each device or service, provided by a financial institution or service provider to its customer, to use electronic payment systems will also have specific terms and conditions of use attached to it, such as the terms and conditions for using debit cards or internet banking.

In a contract of **mandate,** the common law requires a holder of the funds (banks or other financial service providers) to exercise reasonable care and skill when performing their mandate, which must also be complete within a reasonable time, in good faith, and without negligence. To test the level of compliance, they will be measured against the compliance that is expected of the reasonable bank/financial entity in similar circumstances. A failure to comply with these duties may result in them being held strictly liable for a breach of their duties. These duties include installing and maintaining security systems and could possibly include a duty on banks to match account numbers with the names of beneficiaries.

Mandate refers the authority to perform and act on behalf of somebody else.

Customers also have duties in this relationship, such as issuing their payment instructions with reasonable care. This is a duty confirmed in the South African Code of Banking Practice (CBP), where customers are required to take safety precautions when accessing the payment systems and using their cards, cell phones, internet banking, and ATMs.

All South African banks subscribe to the CBP where they accept the jurisdiction of the banking ombud and agree to abide by the mediation rulings should there be unresolved complaints between a bank and its customer. This CBP contains valuable safeguards for a customer and the principles of the CPB can be found in the terms and conditions of the contracts for the various services offered by banks to customers. (See **www.banking.org.za/code-of-banking-practice/**)

20.9.1 Electronic Funds Transfers

What are EFTs?

The CPB defines an EFT as a direct payment to a third party from a client's account by any electronic means, including ATMs, cell phones, telephones, and the internet or others.

South Africa does not have dedicated legislation dealing specifically with EFTs and therefore the legal relationships between the parties involved are regulated by:

a) the general principles of contract law
b) the terms of the respective individual agreements relating to the service provided
c) the South African CPB
d) legislation of more general application, such as the National Credit Act 34 of 2005 (NCA), the Consumer Protection Act 68 of 2008 (CPA), the Electronic Communications and Transactions Act 25 of 2002 (ECT), and the Protection of Personal Information Act 4 of 2013 (POPIA).

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When is an EFT payment complete?

The EFT payment is complete when the funds are unconditionally credited to a beneficiary's account resulting in the discharge of the underlying obligation for which the payment order was given. It has been held that, when a bank account has been credited with a payment amount, that it is *prima facie* evidence of the completed transaction, but this is often very difficult to determine.

The courts have also held that, once a bank account has been credited with an amount, it does not mean that the courts cannot look into these entries to discover the true state of affairs. In another decision, it was decided that a person who received an amount in their account did not automatically get the unrestricted power to dispose of the funds immediately, like cash in their hands. Therefore, for effective payment to occur, the recipient must acquire the unfettered or unrestricted right to the immediate use of the funds otherwise the payment is inchoate.

What about a mistake with an EFT?

According to the standard-form agreements, once authorisation for an EFT has been given by a client and a payment completed, the EFT cannot be countermanded or reversed without first obtaining the consent of the recipient. The banks may try to assist in the case of a mistaken payment, but litigation in this area produces inconsistent results and there are a number of unresolved issues as to the exact legal nature of the EFT payment and the rules for reversing a payment.

For example, when an incorrect payment goes to the wrong beneficiary, the only legal remedy available for the person who made the mistake is to claim the amount directly from the beneficiary recipient on the grounds of unjustified enrichment. Therefore, if there was a mistake, the person who paid has to notify the recipient of the incorrect payment and if the recipient refuses to refund the amount, you have to apply for a court order for a refund of the money. The reasoning behind this is that, if there is a mistake, it cannot cancel a completed bilateral legal act of payment. Once the debit and credit process is completed, a legally enforceable act (juristic act) exists, one that is independent of any underlying problems.

Activity 20.4

A student at the Graduate University received a credit in their bank account from an EFT payment in the amount of R14 million from a student study loan institute (Student Loans (Pty) Ltd) instead of the usual monthly allowance of R1 400. The student went on a spending spree and spent R818 000. The student knew that they were not entitled to the money. Student Loans (Pty) Ltd has obtained an interdict freezing the student's account at Best Bank and demanded that Best Bank reverse the EFT for the remaining R13 182 000. Best Bank has refused, saying that they have not received the beneficiary student's consent. With references to relevant authority, advise Student Loans (Pty) Ltd if they will succeed with a court action compelling the bank to reverse the EFT.

20.9.2 EFTPOS

The EFTPOS payment system is technology that allows suppliers of goods or services to accept physical or virtual cards, QR codes, and other devices to facilitate payments with funds directly debited from the customer's account and credited to the beneficiary's account once the transaction is processed.

The steps in an EFTPOS transaction can be described as follows:

- A card or other device is scanned, swiped, or waved through or over an EFTPOS terminal.
- The customer chooses the account from which payment must be made.
- The customer enters a PIN or completes the authentication process as required.
- The EFTPOS terminal encrypts the PIN (so it is secure) and allocates a transaction number.

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- The EFTPOS terminal connects to a network and sends the transaction details (including merchant number, terminal number, transaction number, and encrypted PIN) to the appropriate financial institution where the information is verified.
- The financial institution then either accepts or declines the transaction, based on relevant criteria (such as there being sufficient funds available, or that the correct PIN was entered), and communicates this information back to the EFTPOS terminal.
- Payment is complete as the money is debited from the customer's account and credited to the suppliers account.

There are built-in automatic security measures for the EFTPOS system, such as preventing a card or device from scanning or swiping twice in succession and the automatic reversal of amounts that are debited twice from an account.

20.9.3 Credit cards

A credit card can be issued directly by a supplier, where there are only two parties involved – the card issuer (supplier/retailer) and the cardholder/customer. These cards may only be used within the designated supplier's chain of associated stores. The card issuer grants credit directly to the cardholder for the purchases made and these transactions are regulated by the NCA.

The second form of credit card involves a minimum of three parties: the cardholder, the card issuer (bank/other financial institution) and the supplier (merchant). With these cards, the issuer pays the merchant for the cardholder's purchases and the cardholder repays the issuer these amounts, either in instalments or in full at a later date. These card issuers in turn belong to international issuer organisations, like Visa or MasterCard. Visa and MasterCard do not issue cards themselves, but they operate the worldwide payment systems that process these transactions.

On the legal nature of credit card transactions, most operate under a direct payment-obligation arrangement, which is established through standard-form contracts. In the three-party credit card transactions, there are two separate contractual relationships present – one between the card issuer and the supplier, and another between the card issuer and the cardholder. The contract between the supplier and the card issuer requires the supplier to agree to accept valid credit cards as payments for goods or services supplied to a cardholder, and the issuer agrees to pay the supplier for these purchases made by the cardholder. This is subject to various terms and conditions, and includes the supplier paying the issuer a fee to use the payment network.

The issuer also enters into a standard-form contract with each cardholder that contains the conditions of use for the card. The cardholder may make purchases up to a pre-determined credit limit at suppliers that will accept the issuer's credit cards, or the cardholder may withdraw cash from banks or ATMs. The issuer then debits the cardholder with the purchase or withdrawal amounts and the latter agrees to repay these amounts directly to the issuer on the terms agreed. The cardholder's liability to the issuer is based on both mandate and credit.

Credit card transactions take place via the EFTPOS payment system. Once authorised, a print-out record of the transaction is signed by the cardholder. Alternately, credit cards are used to purchase goods or services via the internet. In these instances, the card is not physically presented to the supplier, but the transaction is facilitated through a variety of electronic inputs, such as card numbers, security codes, and PINs. In a process resembling the 'swiped-card' transaction, these inputs are also submitted (electronically) to the issuer who will either allow or refuse the transaction and electronically communicate that decision to the supplier.

In these transactions, the debit balance of the cardholder's account amounts to a credit agreement (or more specifically a credit facility), as defined in section 8 of the NCA and is, therefore, subject to the NCA's stringent regulation, including an investigation into the cardholder's ability to afford the credit extended, maximum fees, charges, and interest.

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The standard-form contracts between the issuer and the cardholder usually set out each party's legal position in the event of unauthorised use of the card. As these may differ from issuer to issuer, each individual contract should be consulted as to its specific provisions. However, the following appears to be the generally accepted arrangement:

- The cardholder carries the risk and is responsible for transactions completed with the lost, stolen, or compromised card up to and until such time as the issuer is informed of the loss, theft, or compromise.
- The issuer carries the risk of unauthorised expenditure on the card until the suppliers have been informed. The details of cards that have been lost, stolen, or compromised are electronically recorded in databases. When credit cards are swiped at terminals, the card details are verified against this database of unusable cards and, if listed therein, the transaction will not be authorised. This message will be conveyed immediately to the supplier at the point of sale where the card was swiped. With internet or similar transactions, the electronic inputs that facilitate the transaction are similarly verified against these databases before the transaction is confirmed.
- If the supplier intentionally or negligently allows a transaction to be processed with a lost or stolen card, they will be liable for the loss. This is supplemented by a system referred to as 'chargebacks', where if a cardholder disputes a transaction and/or when proper card acceptance and authorisation procedures were not followed. The issuer notifies the supplier (merchant) and debits the amount from the merchant's account.

This trade usage is repeated in section 94 of the NCA for credit facilities.

20.9.4 ATM

The ATM was originally introduced with the single function of making it possible for bank customers to make cash withdrawals. Technology, however, has expanded its functions and role, and essentially an ATM can accept cash deposits, provide account statements, reply to balance enquiries, be used to pay accounts, or to purchase airtime and electricity. It has become a full service-banking terminal and, with each service, there are terms and conditions attached.

20.9.5 Internet and app banking (electronic banking)

Technology has enabled banks to give customers access to their bank accounts from the comfort and privacy of their own home in the form of internet banking, or through software applications (**apps**), on their cell phones and tablets. A customer must apply to gain access to this facility and, in doing so, enters into another contract with their bank for the use of this facility. This is because of the high risk involved in the use of this facility. This contract specifically caters for these risks and apportions responsibility between customers and their banks for any unlawful access to the account. The benefits for the customer include unlimited access to their accounts to make payments, check balances, manage payments, recharge data or airtime, and little or no charge for the use of this service.

App is short for application software that can be installed and run on a computer, tablet, smartphone, or other electronic devices.

20.10 The regulation of EFTs and electronic payments

Remember that there is no specific electronic payments legislation in South Africa, and we have to look at different pieces of legislation that have relevance.

20.10.1 Electronic Communications and Transactions Act

Overview

The ECTA took effect in South Africa in August 2002, and it applies to any electronic transaction or data message.

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Activity 20.5

Refer to Chapter 19 and the validity of an electronic contract to see if you can give a short explanation of the following important terms:

1. an electronic transaction
2. a data message
3. data.

Automated transactions

Section 11 of the ECTA provides legal recognition to data messages, and stipulates that a data message is not without legal force and effect merely on the grounds that it is wholly or partly in the form of a data message. Working with this, section 22(1) of the ECTA confirms that legal consequence is given to a contract concluded by means of data messages. Thus, all electronic transactions and data messages are given full legal recognition in the ECTA, which would include all electronic financial transactions, debit and credit transfers, or EFTs.

Under the Act, EFTs and other electronically concluded payment transactions would be automated transactions. Therefore, the provisions on automated transactions in section 20 of the ECTA are of particular performance.

Activity 20.6

Refer to Chapter 19, paragraph 19.8 on automated transactions, to see if you can give a short explanation of the following important terms:

1. What is an automated transaction?
2. What is an electronic agent?

Section 20 of the ECTA sets out the rules on automated transactions, which would also be rules for EFTs, most digital and electronic transactions, and EFTPOS transactions. Since this was already dealt with in Chapter 19, please refer back to refresh your memory. The important section to note is section 20(e), as it clearly provides that an electronic transaction will be void due to a material mistake where the requirements of the section are met. The customer must prove all the requirements in the section.

Therefore, with EFTs, the transaction could be void if the terms and conditions of the transaction could not be reviewed prior to completion of the transaction, or if there was a material mistake and the customer is able to prove the elements of section 20(e)(i)–(iv). Refer to Chapter 19.

Consumer protection in the ECTA

Section 42(1) in Chapter 7 of the ECTA states that the consumer protection provisions only apply to electronic transactions. However, on reading the ECTA carefully, it becomes clear that the chapter only applies to electronic transactions where there is a consumer.

The Act places four main duties on a supplier of goods or services for sale, hire, or exchange by way of an electronic transaction. However, for EFTs, it is important to note that one of these duties is that a supplier must use a sufficiently secure payment system. When a payment system is sufficiently secure is a factual question that courts will have to answer.

If the payment system is not secure, the supplier could be held liable for any damage suffered by a consumer. However, in order to succeed with the claim against the supplier, the consumer would have to prove the elements of a delict and that there was negligence because of a failure or refusal, by the supplier, to use or maintain a sufficiently secure payment system. Alternately, they would have to prove the supplier, or its employees acted negligently with the consumer's payment information.

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20.10.2 The Consumer Protection Act

The CPA mainly regulates the marketing of goods and services to consumers with provisions on the relationships, transactions, and agreements between the suppliers, retailers, service providers and other intermediaries and the consumer. From your knowledge of the CPA in Chapter 17, it is clear that the CPA will affect many of the payment services provided by a bank or financial institution.

Chapter 2 of the CPA sets out fundamental consumer rights. Many of these provisions are important for payments. For example, the consumer has a right to contracts that are written in plain and understandable language. Also, a supplier of goods or services may not include unfair, unreasonable or unjust contract terms.

Section 42 is important, as it relates to fraudulent schemes and offers. This section prohibits a person from starting, promoting, or knowingly participating in the distribution of any communication that falsely states, implies, or pretends that the communication is authorised by another person. This section is one of the many sections scattered in legislation to address problems around payment fraud and **phishing**.

Phishing fraud is where fraudulent emails are sent to bank customers, emails that often seem genuine, whilst they are not. The email encourages the victim to reply or click on hyperlinks that lead to a fraudulent website. Once the victim logs in to their bank account on the fraudulent website, the fraudsters can see the victim's bank account numbers, user names, PINs, and passwords, and use this to steal money from the victim's bank account.

20.10.3 Protection of Personal Information Act

The POPIA protects personal data that is processed by public and private individuals. It sets out that the processing of personal information must take place according to the internationally accepted data protection principles and it ensures that there is adequate enforcement to ensure compliance. Responsible party's (private and public bodies) had to ensure their companies were compliant with POPIA by 1 July 2021.

The processing of personal information by a responsible party must comply with the eight data protection conditions set out in sections 8–25. If a party is processing so-called special information, there are additional rules that need to be adhered to (see sections 26–35). For the discussion here, the most important provisions of the Act are the provisions relating to security measures on the integrity and confidentiality of personal information in sections 19–22, and the provisions on 'unlawful acts in connection with an account number' in sections 105 and 106.

Condition 7 relates to the security safeguards that need to be in place when personal information is processed. It further requires the processing party to treat information as confidential and to ensure it is not disclosed to anyone else. This means responsible parties have to evaluate their internal organisational systems, as well as their technical systems, to ensure that personal information is kept secure; and not accidentally exposed, altered, damaged, accessed or lost. This would include developing and implementing policies on the storage, access, and transfer of information.

Section 19 requires responsible parties to secure the integrity of personal information in its possession or under its control.

If the security measures are compromised, or if there are reasonable grounds to believe that the personal information may have been accessed or acquired by any unauthorised person, section 22 requires the responsible party to send notification to the Information Regulator and to the data subjects affected. The notification must be sent as soon as reasonably possible after the breach, considering the needs of any law enforcement agencies or any measures reasonably necessary to determine the scope of the compromise and to restore the integrity of the responsible party's information system. This notice must:

- be in writing
- communicated to the data subject in at least one of the following ways:
  - mailed to the data subject's last known physical or postal address
  - sent by email to the data subject's last known email address
  - placed in a prominent position on the website of the responsible party
  - published in the news media
  - in any other way as may be directed by the Regulator

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- provide sufficient information to allow a data subject to take proactive measures against the potential consequences of the data breach, including (if possible) the identity of the unauthorised person who accessed or acquired the information. The Regulator may also direct the responsible party to publicise the breach in any manner if there are grounds to believe that the publicity would protect the data subjects affected.

Section 99 of the Act makes provision for the data subject's remedies, where either the data subject or the Information Regulator may institute a civil action for damages for a breach of any provision of the Act. The section provides for strict liability so that the data subject does not have to prove either intent or negligence.

There is also the possibility of being found guilty of criminal offences with fines and jail sentences of up to 10 years. The administrative fines can be as high as R10 million.

Due to the sensitivity of bank account access information, POPIA creates two criminal offences in chapter 11. These sections relate to 'unlawful acts in connection with an **account number**'. These provisions have a direct impact on EFTs and payment.

Account number is any unique identifier in POPIA that has been assigned by a financial or other institution, which allows the data subject to access their funds.

Section 105 states that the responsible party, who contravenes the provisions of POPIA when processing an account number of a data subject, is guilty of a criminal offence. Section 106 states that a person who knowingly or recklessly, without the consent of the responsible party, obtains or discloses an account number of a data subject, or procures the disclosure of an account number of a data subject for another person, is guilty of an offence. A person who sells, or offers to sell, an account number that they have obtained is also guilty of an offence.

It would seem as if these offences were aimed at protecting data subjects from payment fraud and incidents of phishing or other unauthorised incidents where account numbers are obtained unlawfully. The offence, however, is wider than these incidents, as a person who recklessly has access to the information is captured in the net as well.

20.10.4 The Cybercrimes Act

The Cybercrimes Act 19 of 2020 came into operation on 1 December 2021.

Criminal offences

This Act sets out the cybercrimes according to various categories:

a) The first category relates to offences against the integrity, confidentiality and availability of data, computer programmes, data storage mediums, and computer systems. This category of crimes relates to cyber-dependant crimes that target data, computer programmes, data storage mediums, and computer systems.

Added value — Data interference crimes

- Section 2: Unlawful and intentional accessing without authority
- Section 3(1): Unlawful and intentional interception of data
- Section 3(2): The possession of data, with the knowledge that such data was intercepted unlawfully
- Section 4: Use or possession of software or hardware tools which are used in the commission of cybercrimes
- Section 5: Unlawful interference with data or a computer programme
- Section 6: Unlawful interference with a computer data storage medium or a computer system. Passwords, access codes and similar data or devices have a specific function in cyberspace, namely, to protect unauthorised access to or the unauthorised use of or interference with data, a computer programme, a data storage medium, or a computer system for criminal purposes.
- Section 7: Unlawfully and intentionally acquires, possesses, provides to another person, or uses a password, an access code or similar data or device.

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b) The second category of crimes focus on offences committed or facilitated by means of data, computer programmes, computer data storage, and computer systems (computer-assisted crimes). This category criminalises traditional (established) crimes facilitated through ICT.

Added value Crimes facilitated through ICT

Section 8: Cyber fraud is where any person who unlawfully and with the intention to defraud makes a misrepresentation through data, a computer programme, or through any interference with data or a computer programme, or interference with a computer data storage medium or a computer system, that causes actual or potential prejudice.

Other crimes facilitated through ICT, but not explained here because they are not relevant to payments, include section 9 on cyber forgery and uttering, section 10 on cyber extortion, and section 12, where the common law offence of theft must be interpreted so as to include the theft of an incorporeal.

c) The third category of crimes relates to aggravated offences. The objective is to protect essential computer systems and life, limb, property, essential services, the economy, or the interests of the country, against criminal conduct in cyberspace pertaining to a critical restricted computer system.

These sections criminalise many of the acts associated with fraud and criminal activities that are related to EFTs and electronic payment systems.

20.11 Stored value

Products that store monetary value vary significantly in their forms, varieties, and access methodology, which has led to lots of different terms, such as stored value cards, store of value products, stored value accounts, electronic money (e-money), mobile money (m-money), cyber-cash, electronic wallets (e-wallets), and electronic purses (e-purses). However, it comes down to the fact that value is stored in/on/via a device or card.

Stored value services are systems where prepaid monetary value is electronically stored and, similar to cash, if it is lost or stolen, it cannot be replaced. Stored value services can be for single use where the device cannot be reloaded with value, or it may be for continuous use where reloading is possible. Although a prepaid card and a debit card share the same requirement for a positive balance for a transaction, a prepaid card is usually, but not always, associated with a non-bank entity, while a debit card is usually associated with a bank account.

These stored value products include mobile phone airtime or data recharge vouchers, gift cards issued by retailers, wages or payroll cards, government benefit cards (social security or pension payments), transport cards, such as for the Gautrain, telecommunication, parking, as well as loyalty or incentive cards. They are designed to be comparable to bank accounts and can in some instances fulfil many basic banking functions. A popular physical device used to store value is the so-called smart card. Tokens holding value are found in the digital world as well, and these are discussed below in the section on DLT, crypto, and NFTs.

The CPA has strict provisions with regard to stored value products. Refer back to the discussion on the stored value rules relating to trade coupons and similar promotions, consumer loyalty programmes, prepaid certificates, card, credit, voucher or similar device, prepaid services, and access to service facilities and a supplier to hold and account for the consumer's property in terms of section 64.

20.12 Smart cards

A smart card is a card or device embedded with a chip that stores and transacts using data that is processed within the card's chip – either a memory chip or a microprocessor. The card data is utilised via

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a reader that is part of the network. Smart cards are generally considered to provide greater security and to provide tamper-proof storage of data. Smart cards are used in a number of daily activities, such as:

- SIM cards and telecommunications,
- loyalty and stored value cards,
- securing digital content and physical assets by restricting access (security systems), e-commerce, and banking.

Around the world, banks have issued millions of smart cards under the EMV (Europay, MasterCard, VISA) standard. Often referred to as chip and PIN cards, these are the common type of cards for bank issuance in most countries.

Smart cards are defined according to how the card data is read and written or the type of chip implanted within the card and its capabilities. The most commonly issued smart card is the so-called contact card where electrical contacts located on the outside of the card connect to a card reader when the card is inserted. This connector is bonded to the encapsulated chip in the card. However, with the Covid-19 pandemic contactless cards have become the norm and these employ a **radio frequency identification (RFID)** process between card and terminal without physically inserting the card into a terminal. Instead, the card is passed (scanned/waved) over the exterior of the terminal.

Radio-frequency identification (RFID) uses electromagnetic fields to automatically identify, and track tags attached to objects. An RFID system consists of a tiny radio transponder, a radio receiver, and transmitter.

20.13 E-money

Electronic money (**e-money**) is a digital equivalent of cash, stored on an electronic device or remotely at a server. The SARB published its final position paper on e-money in 2009 to facilitate the use of this technology.

The legal nature of money requires that the Banks Act 94 of 1990 protect the public and consumers and therefore regulate the circumstances where a person can accept money or a deposit from another person. The position paper tells us that only South African registered banks may issue e-money. However, the Banks Act does allow other service providers to offer payment-related services as long as it is through a registered bank.

The bank (as the issuer of e-money) must ensure that all relevant banking regulatory legislation is complied with. The bank must also make sure that the public is aware of the terms and conditions of use for e-money accounts, the liability of the bank, and what recourse the holders of the e-money would have for any losses suffered.

E-money is monetary value represented by a claim on the issuer. This money is stored electronically and is generally accepted as a means of payment. It is redeemable for physical cash or a deposit into a bank account from the issuer.

20.14 Payment intermediaries and e-wallets

Electronic payment intermediaries may issue so-called 'private electronic currencies' or they may act as electronic payment processors. The private currencies are those issued by commercial entities for redemption within their own commercial eco-system or which may be exchanged with national currencies. The most common example would be loyalty or reward currencies, such as 'frequent flyer miles' from airlines or points on your Dischem or Pick n Pay Smart Shopper cards.

For the electronic payment processor type of intermediary, the most prominent examples would be PayPal that act as a digital wallet through which payments are routed. Apple Pay and Google Pay are mobile payment services used for in-app purchases, online, and in-person contactless purchases on mobile devices, enabling users to make payments with phones, tablets, or watches instead of a card.

To promote confidence in the use of these services they do offer relatively easy refund request procedures.

20.15 Distributed ledger technologies (DLT), cryptocurrencies, and non-fungible tokens (NFTs)

Innovation and technology have enormous potential to change how financial services are accessed as cheaper, faster, and more inclusive services, but there are some significant risks and legal uncertainties. Building flexible and predictable legal frameworks that accommodate technology can help ensure

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services are trusted and reliable. Legal certainty and reliable solutions are essential for promoting growth and financial stability. **Fintech** has introduced incredible services, mostly originating in distributed ledger technology (DLT), including smart contracts and tokens. These applications are disrupting commerce in functions like registries, contracts, securities, company law, secured transactions, and insolvency.

Fintech is generally understood as the application of digital technologies to financial activities.

Added value Terminology

Registries provide legal certainty around the status of companies and certain types of assets. In South Africa, we can find examples of registries at the Companies and Intellectual Property Commission (CIPC) who are responsible for the registration of companies and intellectual property rights (trademarks, patents, designs, and copyright). Also, the Deeds Office is responsible for the registration, management, and maintenance of the property registry of South Africa.

20.15.1 Distributed ledger technology

Distributed ledger technology (DLT) is essentially a type of database. Distributed ledgers use independent computers (referred to as nodes) to record, share, and synchronise transactions in their respective electronic ledgers (instead of keeping data centralised as in a traditional ledger). Blockchain organises data into blocks, which are chained together. Participation on the platforms is through accounts without the need for a centralised authority and without the identity of the account holder. These DLT databases, if properly authenticated, can serve as a registry.

Blockchain is one type of DLT, but DLT is wider than just blockchain. Blockchain is essentially a shared, absolute ledger that facilitates the process of chronologically recording transactions and tracking assets on a network. All tokens and cryptocurrencies are built on a blockchain platform.

20.15.2 Tokens and NFTs

Tokens

Tokens give the holders the right to a certain asset or service and are lines of code embedded in a DLT network that can be used for digital exchanges, digital investment, or as a financial instrument where the token acts as an independent representation of services, goods, or commodities. Tokens are used for payment, as crypto assets, virtual currencies, currency tokens, and virtual financial assets. In investments, tokens are used as asset tokens, investment tokens, and equity or security tokens and are structured to resemble traditional investment products.

Traditionally, the transfer of ownership of assets was often facilitated by third parties, such as banks or notaries to protect the integrity of the transfer process. Tokenisation removes the need for these third parties as it has made it possible to digitally represent and manage assets.

A token is therefore a digital representation of value that can be traded. It serves as an identifier for a specific asset or asset type and digitally represents complete or shared ownership of anything valuable. Part of what makes tokens so worthwhile is their ability to represent physical assets of any nature on a blockchain. As tokens are a digital representation of value, all cryptocurrencies are tokens, but not all tokens are cryptocurrencies, because tokens can represent anything.

Fungible and non-fungible tokens (NFTs)

The word fungible means that a good or asset can be readily exchanged for another of the same kind. For example, money is fungible because if one were to lend a R100 to another person, it does not matter if that person repays them with a different R100 note. The value is still the same.

A non-fungible cannot be readily exchanged or replaced with another. For example, if a person were to lend their car to another, it would not be enough if the other person returned a different car, even if it is the same model and had the exact same specifications. They would have to return the same vehicle that

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was given to them, as cars are non-fungible. The same applies to assets, such as land, as no two parcels of land will ever be the same, even if they have similar dimensions.

Therefore, a non-fungible token is a digital representation of an item that is unique in its nature and value. They represent items that are unique and individual and cannot be replaced, such as artworks. Thus, when you have a unique asset, it is recorded on the blockchain in an irreversible form, thereby guaranteeing the asset's authenticity. When the asset is sold, it is also recorded on the blockchain, verifying the transaction's authenticity, and giving the new owner legitimate proof of ownership.

20.15.3 Crypto assets and currencies

The crypto regulatory landscape in South Africa is still in a state of uncertainty. While the Financial Services Conduct Authority (FSCA) is yet to implement any regulations, the regulator's sentiment towards crypto regulations has evolved to the point that we can now expect some regulatory framework in the not-so-distant future. However, the FSCA has issued warnings that crypto-related investments are not regulated by the FSCA or any other body in South Africa. As a result, if something goes wrong, you are unlikely to get your money back and will have no recourse against anyone.

A crypto asset is a digital representation of value that is not issued by a central bank, but is traded, transferred, and stored electronically by natural and legal persons for the purpose of payment, investment, and other forms of utility, and applies cryptography techniques in the underlying technology.

20.15.4 From cryptocurrencies to crypto assets in South African financial regulations

According to the South African Revenue Services (SARS) Explanatory Memorandum on the Taxation Laws Amendment Bill, as issued on 20 January 2021, the word 'cryptocurrency' was replaced with 'crypto asset' to ensure the implementation of a uniform definition of crypto assets within the South African regulatory framework.

At present, normal income tax rules apply to crypto assets and affected taxpayers need to declare crypto assets' gains or losses as part of their taxable income – either as gross income or as capital gains. SARS also notes that investors can exchange local currency for a crypto asset (or vice versa) by using crypto assets exchanges, which are essentially markets for crypto assets, or through private transactions. Goods or services can be exchanged for crypto assets. This transaction is regarded as a barter transaction. Therefore, the normal SARS barter transaction rules apply.

20.15.5 Regulation

The process to understand crypto assets in South Africa started in 2014. The initial public statement alerting the public to the risks of crypto assets was issued by National Treasury (NT) in a joint initiative with the SARB, FSCA, SARS, and the Financial Intelligence Centre (FIC).

The SARB Position Paper on Virtual Currencies defined a virtual currency (VC) as a digital representation of value that can be digitally traded and functions as a medium of exchange, a unit of account and/or a store of value, but does not have legal tender status.

They also categorised VCs as either centralised or decentralised and convertible or non-convertible:

- Convertible VCs have an equivalent value in physical currency and could be exchanged back and forth for physical currency such as Bitcoin.
- Non-convertible VCs were centralised to a particular virtual community and could not be exchanged for physical currency, such as World of Warcraft Gold (WoW Gold).
- Centralised VCs have a single administrating authority (administrator) who issues the currency, establishes the rules for use, maintains a central payment ledger, and has authority to redeem the currency (withdraw it from circulation). The exchange rate for a convertible virtual currency may be either floating (determined by market supply and demand) or pegged at a set value, measured in fiat currency or other real-world store of value, such as gold or a basket of currencies.

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- Decentralised VCs (also known as cryptocurrencies or DCVCs) are distributed, open-source, mathematically based peer-to-peer (P2P) virtual currencies that are protected by cryptography. They have no central administrating authority and no central monitoring or oversight. Cryptocurrency relies on public and private cryptography keys to transfer value, with each transfer being cryptographically signed.

In 2012, Bitcoin was the only decentralised convertible VC available. However, by September 2022, there were over 10 000 and still rising. Alternatives to Bitcoin are commonly referred to as 'altcoins' (alternative coins). These DCVCs can be acquired through payment for goods or services, purchasing at an exchange, exchanging DCVCs with another person and earning them through 'mining'. Mining is a process where new DCVCs are generated by a competitive and decentralised process involving individuals who are rewarded by the network for their services. Miners process transactions, secure the network using specialised hardware and software, and receive payment in new DCVCs.

The focus of the SARB was on DCVCs because they were designed to create a currency that is entirely controlled by its users, removes costly intermediaries (commercial banks) from the transacting process, and has the entire system open and available to the general public (in blockchains). DCVCs remove central banks and other monetary authorities, commercial banks, and licensed money remitters from the payment process. The roles played by these entities are performed and controlled by users of the DCVCs as a collective. This includes money creation (a central bank function), safekeeping of deposits, transacting ability, and cross-border funds movements irrespective of possible exchange controls. DCVCs tend to be traded between users with a high degree of anonymity. DCVCs are not legal tender in South Africa.

The SARB warned that the risks that DCVCs pose include:

- providing platforms for money laundering and financing terrorism
- being susceptible to credit and liquidity risks, which could destabilise payment systems
- circumvention of exchange control regulations
- sustaining substantial financial losses (for consumers, one of the greatest risks) due to the unpredictability in value, loss or theft, fraud or unauthorised use, and a transaction processing error (a payment is misdirected, an incorrect amount is transferred, or a transaction is not completed)
- for the consumer, no recourse against the wallet, exchange, or processor because of the non-reversible nature of a transaction, and the fact that errors cannot be corrected
- no insurance for losses
- wallets and exchange operators have no obligation to provide disclosures to consumers related to service fees or charges.

The position taken by the SARB is that it does not oversee, supervise, or regulate VCs, VC systems or intermediaries for effectiveness, soundness, integrity or robustness. Consequently, any activities related to the acquisition, trading or use of VCs are at the end-user's exclusive risk and they have no recourse to the SARB.

Intergovernmental Fintech Working Group

In 2016, the Intergovernmental Fintech Working Group (IFWG) was established, comprising members from NT, SARB, FSCA, and FIC. The objective of the IFWG is to foster Fintech innovation by supporting an enabling regulatory environment and reviewing both the risks and the benefits of emerging innovations. In 2019, the National Credit Regulator (NCR) and SARS joined the IFWG.

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IFWG Position Paper on crypto assets (2021)

IFWG published a position paper on crypto assets on 11 June 2021, confirming that crypto assets will be brought into the SA regulatory framework. The paper provides 25 recommendations of which the following recommendations are likely to be implemented in the short term:

- Schedule 1 of the Financial Intelligence Centre Act 38 of 2001 will be amended by adding crypto asset service providers to the list of regulated entities. This means crypto asset service providers will need to register with the Financial Intelligence Centre.
- Crypto assets will be a 'financial product' under the Financial Advisory and Intermediary Services Act 37 of 2002 (FAIS) and will therefore have to comply with the FAIS rules.
- Certain crypto asset services will be included in the relevant licensing activities under the definition of 'financial service' in the Financial Sector Regulation Act 9 of 2017.
- The pooling of crypto for distribution will be treated as an alternative investment fund that should be incorporated within the relevant licensing activities in terms of the Conduct of Financial Institutions Bill. Collective investment schemes and pension funds will not be allowed to have exposure to crypto assets. In addition, the issuing and listing of derivative instruments or other securities that reference crypto assets as the underlying assets will not be permitted.

20.15.6 Some thoughts on crypto

What is a crypto asset?

A crypto asset cannot be narrowly or easily defined as they may perform different functions depending on their design and use. Although Bitcoin was specifically designed to function both as a payment instrument and a payment system, subsequent crypto assets vary greatly in terms of their design and use. Some intend to serve as a payment instrument, a payment system, an international remittance instrument, an investment, a means to pool investments (similar to a collective investment scheme), a security, a means of capital raising, such as through an initial coin offering, or ICO, or a combination of these functions. When combining tax, exchange control, money laundering, terrorist financing, intermediary service, financial advice, and consumer protection issues with the above-mentioned functions that may potentially be performed by crypto assets, it quickly becomes evident that crypto assets are very hard to define.

Are crypto assets money?

No, under the SARB Act, money is defined as legal tender. Therefore, in our context, legal tender (money) is limited to banknotes and coins issued by the SARB. From a legal perspective, crypto assets are therefore not recognised or viewed as money.

Why does crypto have value?

Crypto assets fundamentally get their value from market forces, that is, the price of crypto assets is determined by supply and demand. In other words, crypto assets' market value is determined by the price a potential buyer is willing to pay for a crypto asset (or 'piece' thereof), relative to the price the seller is willing to accept for the crypto asset (or piece thereof). The value of crypto assets is not based on any tangible reference asset, such as gold or currency, like the US dollar and is rather based on a 'sentiment'.

Are crypto assets viewed as e-money in South Africa?

The National Payment Systems Act states that only registered South African banks are allowed to issue e-money, so crypto assets are not e-money.

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If crypto assets are not money, e-money or legal tender, can they still be used to pay for goods and services?

Yes, if a person chooses to pay with something that is not legal tender, such as crypto assets, it does not mean that others are expressly prohibited from accepting it when offered as a means of payment. Therefore, sellers or service providers can choose to accept 'payment' with crypto assets, with the understanding and acceptance of the risk that they will not have regulatory remedies if something goes wrong. In this instance, crypto assets function as a type of barter instrument, with the price being determined in accordance with the 'willing-buyer-willing-seller' principle. Although crypto assets are not money, they can nevertheless perform certain money-like functions.

Do consumers have any remedy for losses suffered as a result of investing in crypto assets?

No. Crypto assets remain highly volatile and investing in, buying, and trading in crypto assets remains quite risky. All the risk associated with it lies with the consumer and there are no legal remedies available if something goes wrong.

What do you think?

Looking back at the discussions on all the methods of electronic payment, do you think that EFTs or cryptocurrencies can ever fully replace cash?

Latest developments

Just after this chapter was sent in for publishing, the Financial Sector Conduct Authority issued a government notice on 19 October 2022, declaring a crypto asset as a financial product that is regulated under the FAIS Act. The most important aspect of this notice is the definition of a crypto asset – a digital representation of value that is not issued by a central bank but is capable of being traded, transferred, or stored electronically by natural and legal persons for payment, investment, and other forms of utility, applies cryptographic techniques, and uses distributed ledger technology.

This means that crypto service providers in South Africa must apply for a licence between 1 June 2023 and 20 November 2023 to legally operate within South Africa or risk criminal conviction and a R10 million fine. This means that any person offering crypto services or selling crypto assets must be licensed as a financial service provider in terms of the FAIS Act.

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Chapter summary

In this chapter, you learned the following about methods of payment:

- A negotiable instrument is a document that can easily be transferred and that can be used to make payment instead of cash.
- For a negotiable instrument to be valid, it must include an unconditional, written order by the drawer to the drawee to pay an amount, certain in money, on demand, or at a fixed or determinable future date. The order must be addressed by the drawer to the drawee. The drawer must sign the order and payment must be made to a specified person, or their order or bearer.
- In the transferring of ownership, a bearer bill is negotiated by delivery, while an order bill is negotiated by indorsement and delivery.
- To claim payment on a negotiable instrument you have to be a holder (either an ordinary holder, a holder for value, or a HIDC).
- HIDC has to meet section 27(1) requirements.
- The payee of an order bill cannot be a HIDC, but a payee of a bearer bill can be the HIDC.

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- The HIDC gets a good and complete title to the bill even if transferor's title was defective (section 36(c)), which means that the HIDC is not affected by relative or personal defences. Only absolute defences work against a HIDC.
- For EFTs, payment is only complete once the beneficiary has access to the funds in their bank account (can withdraw the cash).

Review your understanding

1. Thabo draws a bill on Big Bank in favour of Vusi or order. Answer the following questions:
   a) Identify the drawer, drawee, and payee.
   b) Is this bill an order or a bearer bill?
   c) Can Vusi negotiate the cheque?
   d) If your answer to (c) was yes, how can they do so?
2. Jacob Tladi pays for their shopping at Checkers with their credit card. Jacob has a lot of parcels and does not notice when their wallet, with their credit card, falls out of their pocket. Thief X, who is behind them in the queue, picks up the card, and uses it to pay for a game console one week later at Makro. X is able to use it because they saw Jacob's PIN when Jacob entered it at the till in Checkers. When Jacob got home from Checkers, they discovered that they had lost their wallet, and they immediately phoned the bank to inform them of the loss. The bank tells Jacob that the card has been stopped, but a purchase for R10 000 has been made and that Jacob is to pay the bank this amount. Explain whether Jacob will be liable for this amount.
3. Erica owes Truworths a R500 instalment on their Truworths card. This must be paid by 25 July. Erica only gets paid on the 25th of each month, so Erica waits until pay day on 25 July, and immediately does an EFT via internet banking to pay the Truworths instalment. When Erica tries to use their Truworths card on 26 July, the cashier tells Erica that the card has been frozen because they have not received Erica's instalment. Is Erica's payment outstanding?
4. Dumisani has a small business in Johannesburg and a customer purchases a few goods from them. The customer wants to pay Dumisani with Bitcoin. Dumisani does not know much about Bitcoin, but heard that these cryptocurrencies are very high risk. Is Dumisani legally required to accept Bitcoin as payment? If Dumisani decided to accept the Bitcoin, are there any safeguards that protect them if something goes wrong with the transaction?

Further reading

IFWG www.ifwg.co.za

Sharrock, R. (ed). 2016. *The Law of Banking and Payment in South Africa*. Cape Town: Juta and Co. (Pty) Ltd

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The law of insolvency

Chapter 21

The main ideas

- The meaning of insolvency
- The meaning of winding-up/liquidation
- Identifying the parties in the processes
- The sequestration of a debtor's estate
- The effects of sequestration
- The rehabilitation of an insolvent
- Winding-up of a company
- Business rescue
- Compromise with creditors

The main skills

- Tabulate the requirements for the two sequestration processes.
- Identify the parties in the processes.
- Distinguish between provisional and final sequestration orders.
- Explain the rationale for the acts of insolvency.
- List the acts of insolvency.
- Discuss the legal position of the spouse.
- Explain the effects of sequestration.
- Outline when an insolvent is rehabilitated.
- Discuss winding-up of a company by court order.
- Distinguish between members' and creditors' voluntary winding-up of a company.
- Explain the rationale for business rescue.
- Discuss the ways in which a company can be placed under business rescue.
- Outline the effects of business rescue on a company.
- Explain the rationale and purpose for compromise with creditors.
- Distinguish between compromise and business rescue.

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This chapter provides you with an overview of the legal consequences attached to, and flowing from, the fact that a natural or juristic person cannot pay their debts. Insolvency describes what happens when a natural or juristic person owes more money than they have. The chapter focuses on the key legal principles that apply when a natural and juristic cannot pay their debts. First, we will define important legal terms and identify the parties who are involved in the relevant processes. Next, we will outline the legal proceedings that are applicable, consider the effects of sequestration, and explore how an insolvent may recover from insolvency. Finally, we will look at the winding-up of a company and business rescue.

Before you start

Suppose that Olivia and Zhang Wei are married in community of property for six months. During the tough economic times after the Covid-19 pandemic, Olivia's Simply Chinese restaurant is increasingly in financial distress. Olivia has not been able to pay any creditors for the past six months, and the creditors

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are now irate and want their money. The business is still in operation, but it is not as busy as it used to be before the pandemic as customers simply cannot afford to eat out as often as they used to. Olivia does not know what to do. As the sole owner of the business, can Olivia's estate be sequestrated? If so, will this mean that Olivia will never be able to open another business again? Will Zhang Wei also be sequestrated even though they have only been married for six months? If Zhang Wei has their own job as a secondary school principal, will this be affected at all by the sequestration?

As you read the chapter, bear these facts in mind with a view to advising Olivia and Zhang Wei on their concerns.

21.1 What is insolvency?

In early Roman law, creditors were allowed to seize a debtor who was unable to pay their debts and sell them into slavery. They also had the option of cutting the debtor into pieces according to the size of their respective debts. Thankfully, that is no longer the case! Now we have an intricate system of laws that govern what happens to a debtor who is unable to pay their debts. Below, we introduce this system of legal principles.

A person's estate comprises of assets and liabilities. For the purposes of insolvency law, a debtor who only has liabilities may be regarded as having an estate. However, a debtor who is unable to pay their debts is not treated as an insolvent until their estate is **sequestrated** by an order of court. Sequestration is the process whereby the court formally declares that a debtor's estate is insolvent.

To **sequestrate** means to take legal possession of a debtor's estate until their debts are paid.

Sequestration applies to a person's estate and not to the person's self. This means that we say that a debtor is insolvent, and their estate is sequestrated, and not that the debtor is sequestrated.

Note that only a natural person's estate can be sequestrated. A juristic person, such as a company, that is unable to pay its debts will not be sequestrated – it will be liquidated or wound-up.

Once a debtor's estate is sequestrated, they are no longer called a debtor – their legal status changes to insolvent.

The Insolvency Act 24 of 1936 (Insolvency Act) regulates and governs the sequestration of a debtor's estate. Let us look at some of the main principles that apply to the sequestration of a debtor's estate. Towards the end of the chapter, we will look at the liquidation or winding-up of a company.

Added value Marriage regimes and insolvency

Parties who are married in community of property have a joint estate, which is sequestrated even if the other spouse had no dealings with the insolvent business venture or the reasons that led to insolvency. Accordingly, both spouses will be declared insolvent in terms of the Insolvency Act. Therefore, insolvency has very serious and harsh consequences for spouses who are married in community of property.

Parties who are married out of community of property, with or without accrual, have separate estates. When one spouse's estate is sequestrated, the solvent spouse's estate is not sequestrated. However, the solvent's estate is not unaffected by the insolvent spouse's sequestration. Later, we will discuss how the Insolvency Act impacts the solvent spouse's estate.

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21.2 The parties to insolvency proceedings

Now let us look at each of the parties who are involved in the insolvency proceedings.

21.2.1 The debtor

A debtor is a person who owes money, or some other performance, to someone else – a creditor. In our example, Olivia is the debtor. Under South African law, the following persons qualify as debtors:

- a natural person
- a deceased person
- a person incapable of handling their own affairs
- a trust
- a partnership
- certain companies.

21.2.2 The insolvent

Once the court has granted a sequestration order against a debtor, their status in law changes to that of insolvent. If the debtor was married in community of property at the time of sequestration, then both spouses' statuses will change to that of insolvent. The insolvent will remain as such until they are **rehabilitated** under the Insolvency Act.

Rehabilitation allows a person who has been sequestrated to make a fresh start and relieves the insolvent from all debts which had arisen before the sequestration of the insolvent's estate.

Duties of the insolvent

The Insolvency Act imposes the following important duties on the insolvent:

- The insolvent must deliver all financial records to the **sheriff**.
- Within seven days of being served with the final sequestration order, they must lodge, in duplicate, a statement of affairs at the office of the **Master of the High Court** (Master), which must be verified by an affidavit.
- Once the trustee has been appointed, the insolvent has fourteen days to deliver any property in the insolvent estate to the trustee.
- When called upon by the trustee, the insolvent is required to assist in the collection of property that belongs to the insolvent estate.
- The insolvent must provide a full and frank disclosure to the trustee or the Master on all relevant matters relating to the insolvent estate, such as details of the location of any property that is not in the insolvent's possession.
- The insolvent must inform the trustee of their residential and postal addresses, including any changes to their addresses.
- The insolvent must keep a detailed statement of all transactions, such as assets that they receive from their debtors and payments that they make to employees.
- The insolvent must attend the meetings of creditors, and give evidence, when called upon to do so, on matters relating to the insolvent estate during the interrogation process and/or in any legal proceedings relating to the insolvent estate.

The **sheriff** of the court is an officer who enforces and delivers court orders.

The role of the **Master of the High Court** is explained below.

In many instances, a failure by the insolvent to carry out their duties will lead to them committing a criminal offence under the Insolvency Act.

21.2.3 The creditors

A creditor is a person to whom you owe money or other performance. Again, not every person will qualify as a creditor in South African law. Only those people who meet certain requirements will be able to call themselves creditors and claim money from the insolvent. All the people Olivia owes money to will qualify as creditors.

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Different kinds of creditors are ranked according to the order in which the insolvent estate pays them:

- Secured creditors are creditors who hold security over their claims, such as a mortgage bond. Here, the security – the house that is mortgaged – can be liquidated upon insolvency. A secured creditor is paid out of the profits of the property after certain expenses are paid. If the profits of the property are insufficient to cover the claim, the secured creditor has a concurrent claim for the outstanding balance. A secured creditor has the option of relying entirely on their security, which comes with its own advantages and disadvantages.
- Preferent creditors are entitled to payment after secure creditors have been paid, but before all the other creditors. They are said to have a preferential claim. Preferent creditors are, therefore, unsecured creditors, which means that they will get paid only if there is enough free residue in the estate after secured creditors have been paid. Examples of these claims are funeral expenses, costs of sequestration, income tax, and the salaries of the insolvent's employees. The Insolvency Act ranks preferent creditors according to a predetermined order of preference. Some preferent claims have a maximum limit under the Insolvency Act, in which case the creditor has a concurrent claim for the balance.
- Concurrent creditors are paid out of the **free residue** after preferent creditors have been paid.

Free residue refers to that part of the estate that is not subject to any right of preference – that is, the unencumbered portion of the insolvent estate.

The meetings of creditors

The Insolvency Act sets up a system of four meetings. These meetings are an important mechanism for creditors to prove their claims, elect a trustee, issue instructions to the trustee, and interrogate any relevant person, such as the insolvent. The four types of meeting are as follows:

1. first meeting
2. second meeting
3. special meeting
4. general meeting.

21.2.4 The Master of the High Court

The Master is responsible for insolvent estates. The Administration of Estates Act 66 of 1965 deals with the appointment of the Master. Every high court has a Master. We call the Master 'a creature of statute', which means that they can act only if the national legislature empowers them to do so. They are not allowed to deviate from the rules and regulations, as they are described in the legislation. If a party is dissatisfied with a decision or order that is made by the Master, they may bring an application to court to have it reviewed (section 151).

21.2.5 The trustee

The trustee, like the Master, has an important role to play in insolvent estates. The trustee takes control of the insolvent's assets in order to divide the assets among the creditors. The trustee is elected, through a system of voting, at the first meeting of the creditors (section 54), and the appointment must be confirmed by the Master (section 56(1)). It is the responsibility of the trustee to act for the benefit of all the creditors while, at the same time, not negatively affecting the estate of the insolvent. A trustee is entitled to a reasonable payment for the job (section 63), and the Master may increase or decrease the amount of this payment. More than one trustee may be elected (section 57(5)).

The powers and duties of a trustee

The trustee must collect and preserve assets in the insolvent estate with the aim of realising those assets for the benefit of the creditors. In order to do this, the trustee uses the following powers and duties:

- to take possession and control of all movable property, books, and documents (including electronic records) that belong to the insolvent estate
- to get the property appraised and furnish the Master with a valuation of the property

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- to call upon debtors to the insolvent estate to pay their debts within a specified date at a specified place
- to temporarily carry on the insolvent's business, but only if authorised by the Master to do so
- to investigate the insolvent's financial affairs in order to report to the creditors
- to open a receipt book to record all money, goods and documents that they receive, and make it available for inspection by the Master and any interested party
- to open a cheque account in the insolvent estate's name, and deposit all moneys received
- to submit a full written report on the insolvent's financial affairs to the creditors
- to enlist the services of a legal practitioner, if necessary
- to refer a dispute regarding the insolvent estate to arbitration with the authorisation of the creditors, or the Master if no creditor has proven a claim as yet.

Impeachable dispositions for trustees

As part of the trustee's duty to collect assets that belong to the insolvent estate, the trustee is empowered to set aside certain **dispositions** that were made by the insolvent before sequestration. Each disposition can only be set aside if certain requirements are satisfied.

These dispositions are as follows:

- dispositions that were made for no value (section 26(1))
- dispositions that have the effect of preferring one creditor above another creditor – voidable preference (section 29(1))
- dispositions that were intended to prefer one creditor – undue influence (section 30)
- collusive dispositions, which prejudice creditors or prefer one creditor (section 31(1))
- dispositions that were made in fraud of creditors – ***actio pauliana***.

The Insolvency Act defines a **disposition** as any transfer or abandonment of rights to property, such as a sale, lease, or mortgage bond (section 1).

Actio pauliana refers to fraudulent conveyance – an attempt to avoid debt by transferring money to another person or company.

The trustee occupies a position of trust towards the insolvent estate. They must always be independent and impartial in decision-making, and always act in the best interests of the general body of creditors.

Who cannot be a trustee?

The following persons are disqualified from occupying the position of a trustee:

- an insolvent person
- a person who is within certain degrees of relationship to the insolvent, such as a close family member
- a minor or other person with legal disability, such as a mentally ill person
- a person who resides outside the country
- a person who has a conflicting interest to that of the general interest of the creditors
- a former trustee who was disqualified under section 72, which is for the unlawful retention of money or use of property in the insolvent estate
- a person who is disqualified to be elected as trustee under section 59, which is for a reason related to misconduct in an office of trust
- a corporate body
- a person who has been convicted, whether in this country or elsewhere, of theft, fraud, forgery or perjury, and has been sentenced to imprisonment, without the option of a fine, or to a fine
- a person, who was at any time a party to an agreement with the insolvent or a creditor whereby they undertook to grant or obtain a benefit for an insolvent or creditor that was not provided for by law
- a person who has by means of misrepresentation, reward, or the offer of a reward, whether direct or indirect, induced or attempted to induce a person to vote for them as trustee, or to have them elected as trustee
- a person who acted as the bookkeeper, accountant, or auditor of the insolvent estate during a twelve-month period before sequestration

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- any agent authorised specially or under a general power of attorney to vote for, or on behalf of, a creditor at a meeting of creditors of the estate concerned and acting, or purporting to act, under such authority (section 55).

Case study Longwe and Kelly

Longwe's estate has been sequestrated. Kelly, Longwe's former girlfriend, would like to be appointed as a trustee. Kelly believes that, since Longwe owes them a large sum of money, they are best placed to be trustee.

They assert that, as a creditor of Longwe's estate, they will ensure that the estate is protected and that all creditors will be paid. Can Kelly be the trustee? If you were the Master, would you have any objection to Kelly being appointed as a trustee to the insolvent estate?

Being Longwe's former girlfriend, Kelly may be disqualified from acting as trustee. Another possible ground for disqualifying Kelly is that they have a conflicting interest to that of the general interest of the creditors since they are also a creditor in the estate.

Removal of the trustee from office

A trustee must vacate office for the following reasons:

- if their own estate is being sequestrated
- if they have been declared incapable of managing their own affairs by a court, or an order is issued under the law on mental health for their detention at a mental health institution
- if they are convicted of any offence and sentenced to serve any terms of imprisonment without the option of a fine, or if they are convicted, whether in this country or elsewhere, of fraud, theft, forgery or uttering a forged document, or perjury (section 58).

Removal of the trustee from office by the Master of the High Court

The Insolvency Act also provides that the Master may remove a trustee from office in the following instances:

- The trustee did not qualify for election or appointment as trustee, or their election or appointment was illegal, or they became disqualified.
- The trustee failed to perform any of their duties satisfactorily or to comply with a lawful demand by the Master.
- The trustee is mentally or physically incapable of performing their duties satisfactorily.
- The majority of creditors who are entitled to vote have requested them in writing to do so.
- In the Master's opinion, the trustee is no longer suitable to be trustee of the insolvent estate (section 60).

Activity 21.1

What do you think is the rationale for disqualifying and removing the trustee on these grounds? Who do you think the law is trying to protect and what do you think the law is trying to guard against?

Now that we know the parties involved in a sequestration process, let us look at the purpose and process of sequestration.

21.3 The purpose of sequestration

The main aim of sequestration is to ensure that the insolvent's creditors receive a fair and equitable portion of the debtor's estate. Sequestration is, therefore, a means to protect the interests of creditors. There are two ways in which this is done:

1. voluntary surrender, where the debtor voluntarily applies to the court for a sequestration order
2. compulsory sequestration, where one or more creditors apply to the court for a sequestration order against the debtor.

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21.4 The sequestration process

Each process of sequestration has its own set of requirements and procedures that must be followed. Let us look at them in more detail.

21.4.1 Voluntary surrender

There are two main reasons why a debtor would apply for voluntary surrender.

1. The insolvent will no longer be liable for the debts they incurred before the estate was sequestrated. This means that they will be free of all pre-sequestration debts, and will have a new estate with new assets and liabilities.
2. The insolvent debtor gets a chance to be rehabilitated through the sequestration process. This means that, after rehabilitation, they will be able to manage their own estate again, and be able to incur debts again.

Qualifying for voluntary surrender

The applicant will have to prove certain requirements in terms of section 6(1) of the Act, namely that:

- the estate is, in fact, insolvent
- the debtor owns realisable property of sufficient value to cover the costs of sequestration, which is payable out of the free residue of the estate
- sequestration will be to the advantage of the creditors.

Applying for voluntary surrender

The following persons may apply for voluntary surrender:

- the debtor, or duly authorised agent, in respect of the estate of a natural person (section 3(1))
- a *curator bonis* (court-appointed representative) in respect of an estate of a debtor who is incapable of managing their own affairs (section 3(1))
- the executor in respect of a deceased estate (section 3(1))
- all the members of a partnership in respect of a partnership estate (section 3(2))
- both spouses in respect of a joint estate – that is, where the spouses are married in community of property (section 174(4) of the Matrimonial Property Act 88 of 1984).

In addition to proving the above requirements, the debtor must also comply with certain formalities (section 4). These formalities protect the creditors as they aim to notify them within a reasonable time that one of their debtors intends to apply for voluntary surrender. This will give the creditors an opportunity to investigate the debtor's financial records. These formalities include the following steps:

- The debtor must publish a notice of surrender in the *Government Gazette* and in a newspaper in the area where they reside or, if they are a trader, in the district of their place of business not more than 30 days and not less than fourteen days before the date stated in the notice for the hearing of the application.
- The debtor must send copies of the notice to creditors, trade unions, employees, and the South African Revenue Services (SARS) within seven days after publication of the notice of surrender. The debtor must do this by way of affidavit.
- The debtor must prepare and lodge a statement of affairs, which comprehensively sets out the full financial affairs of the estate, and this must be lodged at the Master's Office.

Once a notice of surrender has been published and these procedural steps have been complied with, certain consequences follow:

- The debtor may not sell any property in the estate, which has been attached under a court order or other similar process.

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- The Master may appoint a *curator bonis* to the debtor's estate as a safety measure to stop the debtor from selling or squandering their assets in the interim.
- If the debtor fails to lodge their statement of affairs, or lodges one that is incomplete or incorrect, or fails to apply to court on the date set out, and the notice of surrender is not properly drawn, the debtor commits an **act of insolvency**, which enables a creditor to apply for the compulsory sequestration of the debtor's estate.
- If the debtor wishes to withdraw the notice of surrender, they need to obtain written permission from the Master.
- The notice of surrender and the debtor's application for voluntary surrender lapse if the court does not accept the surrender, or if the notice was not properly drawn, or if the debtor fails to bring the application within fourteen days after the date specified. If a *curator bonis* was appointed, the estate must be restored to the debtor once the Master is satisfied that the costs will be paid.

An **act of insolvency** is an act committed by the debtor whereby they benefit one creditor or another.

Voluntary surrender at the court's discretion

Even if the debtor satisfies all the above requirements, the court can accept or reject the application for voluntary surrender (section 6(1)) at its discretion. The court will consider various factors, such as:

- The debtor failed to give a full financial disclosure.
- The debtor had an underhanded reason for applying for surrender, such as to disadvantage a certain creditor).
- The debtor's conduct showed that they were being grossly extravagant and reckless in the kinds of debts that they were incurring.

The debtor may not appeal an order rejecting the surrender of an estate. However, an interested party may appeal an order accepting the surrender of an estate.

21.4.2 Compulsory sequestration

A creditor may apply for the compulsory sequestration of the debtor's estate for the following reasons:

- The debtor will lose control over their estate. This means that they will no longer be able to squander any more money or assets.
- It will no longer be possible for one of the creditors to sue the debtor on a particular debt and obtain judgment and full payment of money owing if they negatively affect the chances of other creditors getting paid.
- The sequestration process ensures that all the debtor's creditors are treated equally and fairly, and that one creditor does not get preferential treatment over another. So, the Insolvency Act protects the interests of the creditors as a group, rather than the interests of one creditor.

A **liquidated claim** is one where the amount is ascertained.

Qualifying for compulsory sequestration

The court may grant an application for compulsory sequestration if the applicant satisfies certain requirements in terms of section 12(1) of the Act:

- The applicant has established a claim under section 9(1), which entitles them to apply for sequestration. In terms of section 9(1), a creditor with a **liquidated claim** against the debtor of not less than **R100**, or two or more creditors with a combined liquidated claim against the debtor of not less than **R200** may bring the application for compulsory sequestration.
- The debtor has committed an act of insolvency, or is insolvent.
- There is reason to believe that sequestration will be to the advantage of the debtor's creditors.

The amounts of **R100** and **R200** are now nominal amounts. They were a lot of money at the time of the enactment of the Insolvency Act. Nonetheless, the amounts still apply, which means you could possibly be sequestrated for owing as little as these amounts.

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Activity 21.2

Under voluntary surrender, the third requirement is that the debtor must prove that sequestration will be to the advantage of creditors whereas, under compulsory sequestration, the creditor/s must prove that there is reason to believe that sequestration will be to the advantage of creditors. This means that this third requirement under voluntary surrender is more strictly worded than the third requirement under compulsory sequestration. What do you think is the reason for the different standards of proof?

Suppose that Niel's estate is in financial distress. If Niel does not have any assets or income, is Niel likely to satisfy that third requirement in an application for voluntary surrender? If, however, Niel's creditor brings an application for compulsory sequestration, will they be able to satisfy that third requirement?

Write down your answers and then discuss them with a study partner.

Added value Acts of insolvency

One of the requirements for compulsory sequestration is that creditors must prove that the debtor committed an act of insolvency, or is insolvent. The creditors are unlikely to have access to the debtor's financial records to prove that their liabilities exceed their assets, so it may not be possible to prove that they are insolvent. To assist the creditors, the legislature designed a list of acts of insolvency. If the creditors can prove that the debtor committed an act of insolvency, this will allow them to apply for the compulsory sequestration of the estate without having to establish that the debtor is insolvent. In terms of section 8 of the Insolvency Act, these acts of insolvency come into effect if the debtor:

- left the country with the intention of evading or delaying payment of debts
- was ordered by a court to pay a creditor, but was unable to do so, or did not show the sheriff of the court enough property that could be sold to satisfy that court order
- made or attempted to make a disposition of their property, which has, or would have, the effect of prejudicing creditors or of preferring one creditor over another
- removed or attempted to remove any property with the intent to prejudice creditors, or to prefer one creditor above another creditor
- made or offered to make any arrangement with any creditor to release them entirely or in part from their debts
- published a notice of surrender and then failed to prepare and lodge a statement of affairs, in duplicate, at the Master's Office as prescribed by the Act, or lodged a statement of affairs that is incorrect or incomplete in a material aspect, or failed to apply for acceptance of the surrender on the specified date
- gave notice in writing to any one creditor that they are unable to pay any of their debts
- is a trader and gave notice in the *Government Gazette*.

Applying for compulsory sequestration

The sequestrating creditors must bring the application by way of a **notice of motion** supported by an affidavit. The affidavit must set out the following information:

- the full details of the sequestrating creditors
- personal details of the debtor: If the debtor is married in community of property, then the same details of the spouse must also be included.
- the nature, cause, and amount of the claims, and a statement on whether the claims are secured: If the claims are secured, details of the nature and value of the security must be included.

A **notice of motion** is a formal notice to participants in litigation of an intent to seek specific relief in legal action.

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- the act/s of insolvency committed by the debtor and/or proof that the debtor is insolvent
- a statement that the sequestration will be to the advantage of the creditors
- a statement that **security** will be provided to the Master
- a statement that the copy of the documents will be lodged with the Master so that their report can be obtained
- a statement that confirms that copies of the application will be provided to interested parties, and that an affidavit will be filed before or during the hearing, setting out the manner in which the relevant section of the Act was complied with any other relevant factor that may sway the court.

The sequestrating creditors must provide **security** to the Master as a way to guarantee that the costs of sequestration will be paid. The Master will issue a certificate to confirm that security has been furnished.

Friendly sequestration

The application for compulsory sequestration may be brought by a creditor that the debtor knows, such as a friend or a family member. This is known as a friendly sequestration and its goal is to help the debtor. These are the advantages for the debtor:

- The application may be brought on an urgent basis without having to comply with any of the preliminary formalities, such as the advance notice to creditors, under voluntary surrender.
- The requirements that must be satisfied under a friendly sequestration are far less onerous than under voluntary surrender.

Added value — Characteristics of a friendly sequestration

In *Craggs v Dedekind*; *Baartman v Baartman and Another*; *Van Jaarsveld v Roebuck*; *Van Aardt v Borrett* 1996 (1) SA 935 (C) at 937, the court described friendly sequestrations as follows:

> 'Friendly sequestrations seem to share certain characteristics. Although, like pornography, they may be hard to define, they are easy to recognise. The debt which the sequestrating creditor relies upon is almost always a loan. It is usually quite a small loan, very often made in circumstances where it would have been apparent to the whole world that the respondent was in serious financial difficulty. Despite this, the loan is customarily made without security of any sort. It is seldom evidenced by a written agreement, or even subsequently recorded in writing. The only writing that is produced to the Court is the letter stating, with appropriate expressions of dismay, that the debt cannot be paid, and, sometimes, for good measure, setting out details of the respondent's assets and liabilities. Very often debtor and creditor are related: fathers commonly sequestrate sons, wives sequestrate husbands and sweethearts sequestrate each other, without, I am sure, any damaging effect on their relationship'.

The mere fact that the debtor and the sequestrating creditor know each other will not mean that the courts will automatically exclude the application for compulsory sequestration. However, the court will scrutinise the facts and the relationship to guard against collusion.

A provisional sequestration order

If the court is satisfied that ***prima facie*** requirements for provisional sequestration are satisfied, it will grant a provisional order of sequestration. A provisional order of sequestration allows any interested party an opportunity to object to the issuing of a final order of sequestration. It also gives the creditors a legal remedy for preserving the debtor's estate. After examining all the relevant documents, the court also has the option of dismissing the application for compulsory sequestration, postponing the hearing, or any other order that it deems fit.

In this context, ***prima facie*** means that, based on first impression or appearance, the court will accept the evidence as correct until proven otherwise.

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A final sequestration order

When the sequestrating creditors approach the court for the second time to ask the court to make final the provisional order of sequestration, they must prove on a balance of probabilities that the requirements for final sequestration are satisfied. The court cannot grant a final order of sequestration without a provisional one having been made first.

Compulsory sequestration at the court's discretion

As with an application for voluntary surrender, the court has a discretion to grant or reject an application for compulsory sequestration. This applies even if the sequestrating creditors have satisfied all the requirements and preliminary steps under the Insolvency Act.

Setting aside a sequestration order

A person, who is dissatisfied with the court's decision to grant a final order of sequestration, or by the court's decision to set aside an order of provisional sequestration, may lodge an appeal.

Added value Guarding against a malicious creditor

It is possible for a creditor to bring an application for compulsory sequestration with malicious intention – perhaps to bully or intimidate the debtor. If the court has good reason to believe that the application amounts to an abuse of the court's procedure or is malicious or vexatious, it may allow the debtor to prove the extent of the damages that they suffered as a result (section 15). The debtor will also have a common law remedy for damages on the basis that the sequestrating creditor brought the application without reasonable and probable cause.

21.5 Effects of sequestration

We will now look at how the insolvent person will be affected by sequestration.

21.5.1 The legal position of the insolvent

Insolvency has an impact on the insolvent's contractual capacity in that there are certain restrictions placed on the insolvent's capacity to contract. If the insolvent concludes a contract without the necessary consent of the trustee, or if they conclude a contract that the law does not allow, the contract can be cancelled at the option of the trustee. This means that the contract is voidable at the instance of the trustee.

The insolvent is prohibited from holding a number of positions, including the following:

- a trustee in an insolvent estate
- a director of a company unless the court grants an exemption
- management of a close corporation unless the courts grants permission
- a business rescue practitioner
- a trader who is a general dealer or manufacturer
- a distributor of liquor
- a member of the National Assembly, National Council of Provinces, or provincial legislature
- a practising attorney unless they can prove that they are still a **fit and proper person**
- a registered credit provider
- a member of the governing board of the National Credit Regulator.

In law, a **fit and proper person** refers to a person of integrity, respect for legal order and a sense of equality and fairness. This test is important as lawyers must handle matters with diligence, honesty, and virtue.

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Activity 21.3

What do you think is the rationale behind the insolvent being excluded from occupying these specific positions and from engaging in these specific business activities?

In 2014, the North Gauteng High Court in Pretoria provisionally sequestrated Julius Malema, the current leader of the political party, Economic Freedom Fighters. The application was brought before court by SARS against Julius Malema for tax debts. However, in 2015, SARS confirmed that it withdrew its application to have the provisional sequestration order against Mr. Julius Malema finalised. Thereafter, Julius Malema thanked friends and supporters for fundraising to pay their tax bill, and thereby helping them to avoid final sequestration. Let us assume that the court confirmed the provisional order and sequestrated Julius Malema. What do you think would have been the impact on their political career?

21.5.2 Consequences for the insolvent's estate

When sequestration takes place, the insolvent's estate first vests in the Master and then in the trustee. This enables the trustee to carry out their duties of collecting assets that belong to the estate, realising those assets and paying creditors. Note that, where a joint estate is sequestrated, both spouses' estates vest in the Master and then in the trustee.

Generally, the following property does not vest in the trustee:

- clothes, bedding, and other means of subsistence, such as furniture
- payment for work done (except for the portion that is not needed for subsistence, and which is payable to the trustee upon the Master's determination)
- pension
- compensation arising from a claim for defamation, personal injury or occupational injuries or diseases
- unemployment insurance benefits
- certain insurance policies, such as life policies
- trust money and property
- the insolvent's share in accrual, where they are married out of community of property with accrual
- property that is acquired with money from any of the above properties.

21.5.3 Consequences for the solvent spouse's estate

Where the parties are married out of community of property, with or without accrual, an important effect of sequestration is the temporary vesting of the solvent spouse's estate in the Master and then the trustee, once the trustee is appointed (section 21(1)). As mentioned above, if the debtor is married in community of property, the law views both spouses as debtors and their joint estate will be sequestrated.

The purpose of this section in the Insolvency Act is to:

- prevent collusion between the insolvent and the solvent spouse to the disadvantage of the insolvent estate, bearing in mind the intimate nature of their relationship
- allow the spouse certain protections to counter the harsh effects of section 21(1). For example, the spouse is allowed to apply for a postponement of the vesting if their business interests will be prejudiced. The vesting of the solvent spouse's estate is not meant to be a permanent measure.

A **civil union** is concluded under the Civil Unions Act 17 of 2006, and it is a voluntary union of two majors that is solemnised and registered as such under the Act. A civil union has the same consequences as that of a marriage.

Added value — Who is the 'spouse'?

In insolvency law, 'spouse' includes any spouse who is married under any law, customary practice or tradition, and this includes **civil unions**. The term also includes same-sex partners, even if the parties are not married. However, strangely, if the insolvent is separated from their legal spouse and is living with another person who they are not married to, only the legal spouse's estate will vest in the Master and then the trustee. The reason is that the law is focused on the legal spouse.

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Case study — Maxwell, Mary, and Marius

Maxwell and Mary are married in community of property for fifteen years. However, they have been separated for ten of those years. Neither one of them bothered to institute divorce proceedings because they claim that they cannot afford it. Maxwell has since moved on and is in a committed relationship with Marius for the past five years. Maxwell and Marius live together. Maxwell is in the process of being sequestrated after years of recklessly spending on a lavish lifestyle of fancy parties, travelling, and shopping.

In terms of the Insolvency Act, Mary will be sequestrated as the legal spouse as they are still married in community of property. This does not seem fair to Mary, however, Mary is still the legal spouse and the marriage is in community of property. The law does not make provision for any of Marius' assets to vest in the trustee in terms of section 21(1). The practical effect of this is that Maxwell may well hide assets through Marius' estate and, in so doing, evade the objectives of the Insolvency Act. This is an area in which the law can develop to recognise the true nature of the relationship between the parties.

21.5.4 Consequences on unexecuted contracts

Usually, the trustee has an election – a choice – as to whether or not to abide by the contracts that the insolvent was party to at the time of sequestration. This decision must be made in the best interests of the creditors. Once the trustee exercises that election, the decision is final. If the trustee fails to decide within a reasonable time, it is assumed that they do not intend to perform in terms of the contract.

The Insolvency Act regulates the trustee's election in respect of the following contracts that the insolvent is a party to at the time of sequestration:

- If the insolvent is a party to a contract to acquire immovable property, the trustee must exercise their election within six weeks of receiving written notice to do so by the other party (section 35).
- If the insolvent is a party to a lease agreement as a lessee, the trustee must exercise their election in writing within three months (section 37(2)).
- If the insolvent is a party to a lease agreement as a lessor, the ***huur gaat voor koop*** (hire goes before purchase) principle applies, which means that the trustee cannot repudiate the contract and must realise the property subject to this principle.
- Employment contracts, where the insolvent is the employer, automatically terminate in 45 days from the date of the trustee's appointment if the trustee has failed to put appropriate measures in place to save the business (section 38).

Refer to Chapter 15 on the law of lease to remind yourself of the application of the ***huur gaat voor koop*** principle.

Added value — Composition and compromise

If an insolvent has been provisionally sequestrated, the insolvent may enter a written agreement with the creditors and the trustee (if a provisional trustee has been appointed) to pay a certain amount on the debt on condition that the provisional order of sequestration is discharged. This is a common law compromise, and it requires consent from all the creditors.

Section 119 of the Insolvency Act allows for an insolvent, whose estate has been finally sequestrated, to avoid some of the effects of sequestration and shorten the period of insolvency by entering into a statutory composition with the creditors. Here, if the majority of the creditors accept the insolvent's offer of payment, the minority of the creditors are also bound by this acceptance. If the offer of composition is not less than 50 cents in the rand for every concurrent claim, the insolvent has the advantage of applying to court for early rehabilitation.

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21.6 Recovering from sequestration

An insolvent's period of insolvency comes to an end once they have been rehabilitated. Rehabilitation marks a new start for the insolvent, without the worries of the effects of sequestration and any pre-sequestration debts. Once rehabilitated, they have a new estate and are now regarded as a solvent again.

There are two ways in which an insolvent can be rehabilitated:

- automatic rehabilitation after ten years
- rehabilitation by court within ten years.

21.6.1 Automatic rehabilitation after ten years

After a period of ten years from the date of provisional sequestration, an insolvent is automatically rehabilitated by the passing of time (section 127A(1)). The exception to this is when an interested party successfully applies to court before the ten-year period to prevent the insolvent from being rehabilitated.

21.6.2 Rehabilitation by court within ten years

Section 124 of the Insolvency Act sets out the circumstances in which the insolvent may apply to court to be rehabilitated before the period of ten years from the date of sequestration has passed:

- The insolvent has obtained a certificate from the Master that the creditors have accepted an offer of composition of not less than 50 cents in the rand for every concurrent claim.
- Lapse of the prescribed period after confirmation by the Master of the first account in the estate. The Act sets out various prescribed time periods depending on the circumstances and conduct of the insolvent. For example, if the insolvent has been convicted of a fraudulent act in relation to their insolvency, they may only apply for rehabilitation after five years have passed from the date of their conviction.
- No claims have been proved against the insolvent estate after six months, the insolvent has not been convicted of any fraudulent acts in relation to their insolvency or any offence under the Act, or the estate has not been sequestrated before.
- The Master has confirmed a plan of distribution that provides for the full payment of all proved claims with interest and all the costs of sequestration.

The Insolvency Act comprehensively sets out the procedures and preliminary steps to be followed for an application for rehabilitation.

21.6.3 Rehabilitation at the court's discretion

The court exercises its discretion in deciding whether to rehabilitate the insolvent. The court will consider whether the insolvent should be allowed to trade with the public again based on:

- whether the insolvent is an honest person
- how the insolvent conducted their financial affairs before insolvency
- whether they are likely to transact recklessly if rehabilitated.

The court must provide sound reasons for arriving at its decision to either postpone rehabilitation, grant rehabilitation subject to a condition, or to refuse rehabilitation.

Let us now come back to Olivia and Zhang Wei's scenario from the beginning of the chapter. Since Olivia's Simply Chinese restaurant still has an income from the business, they can apply for voluntary surrender, provided they can prove all the requirements. Alternatively, any one or more of Simply Chinese's creditors can apply for compulsory sequestration, provided they can meet the requirements. If Olivia's estate is sequestrated, Zhang Wei will also be sequestrated at the same time, as they are married in community of property and have one joint estate. Zhang Wei's job will not be affected, as it is not one of the positions excluded by the Insolvency Act. Zhang Wei can continue their job. However, Olivia will have to wait until rehabilitation to start a new estate before starting another business. Olivia

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can, however, secure a job doing something else, provided that the new job is not prohibited by the Insolvency Act.

21.7 Winding-up of companies

While a natural person's estate can be sequestrated, a company cannot. Instead, we refer to winding-up when companies are involved. Winding-up is the process by which a company's assets are sold, its debts paid, and the balance is paid to the shareholders. Note that a company need not be insolvent in order for it to be wound up, which means that a solvent company can be wound up.

There is more than one statute that applies to the winding-up of a company. It is, therefore, important to know which statute applies and when. Unlike with the sequestration of a debtor's estate, where the Insolvency Act is the primary piece of legislation that governs and regulates the process, the winding-up of a company is subject to more than one statute:

- The Insolvency Act applies in so far as it is applicable to companies.
- The Companies Act 71 of 2008 (2008 Act) (sections 79–81, applies to the winding-up of solvent companies).
- The Companies Act 61 of 1973 (1973 Act) (sections 337–426, subject to certain exceptions, applies largely to the winding-up of insolvent companies).

A company can be wound-up in one of two ways:

1. by a court (compulsory winding-up)
2. by voluntary winding-up.

Compulsory winding-up

The process of compulsory winding-up is initiated by an application to court, which can be brought by either of the following parties:

- by a creditor in the case of an insolvent company
- by a shareholder in the case of a solvent company.

This process may take place when the company (solvent or insolvent) is unable to pay its debts. In the event of a solvent company, it may resort to this type of winding-up where it is unable or unwilling to furnish security for the full payment thereof within twelve months.

Voluntary winding-up

If a company chooses to close itself down by using the process of voluntary winding-up, there are two options available to the company:

- a creditors' voluntary winding-up
- a members' voluntary winding-up.

A creditors' voluntary winding-up may be used when the company is unable to pay its debts. A member's voluntary winding-up will be allowed by the court only if the company is able to pay its debts in full. Otherwise, the members must provide the Master with security for payment of the debts of the company. The security that could be provided here would include, for instance, life insurance policies or immovable property (such as a house, flat, or piece of land).

Let us look at these processes in more detail.

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21.7.1 The winding-up processes

The 1973 Companies Act makes provision for the winding-up or liquidation of a company. Winding-up or liquidation refers to the procedure that must be followed to:

- sell the company's assets
- pay the company's debts
- divide any money left over between the members of the company.

Winding-up by a court

The following people or entities may apply to the court for the winding-up of a company:

- the company
- one or more of the company's creditors
- one or more of the company's members
- any of all of the above-listed parties
- the Master
- a provisional or final judicial manager.

The following people may apply for the winding-up of a solvent company:

- the company, in the case of a special resolution
- the company, or one or more directors, shareholders, or creditors in the instance of it being just and equitable to wind-up the company
- the company where there is a conversion of a voluntary winding-up into a winding-up by a court
- the business rescue practitioner, in a case where there is no reasonable prospect of rescuing the company
- the company, or one or more directors or shareholders where there is a deadlock in the management voting
- any shareholder in a case where there is fraud, illegality, or misuse of the company's assets
- the Companies and Intellectual Property Commission, or Takeover Regulation Panel, where there is a failure to adhere to a compliance notice in the instance of the directors, officers, or other persons controlling the business being engaged in fraudulent or illegal activity.

The court may wind-up an insolvent and solvent company if the following have been complied with:

- The company has passed a special resolution to be wound up by the court.
- The company started doing business before it received its certificate entitling it to start doing business.
- The company does not start doing business within a year of being incorporated.
- The number of a public company's members has fallen below seven.
- The company has lost 75% of the shares in its business.
- The company is no longer able to pay its debts.
- Winding-up the company appears to be the reasonable thing to do.
- If an **external company** has been dissolved in the country in which it was incorporated, or has ceased to carry on business, or is carrying on business only for the purpose of winding-up its affairs (insolvent company), the company can be wound up.
- It is just and equitable to wind-up the company (solvent or insolvent companies) in the following instances:
  - The objective for forming the company is no longer possible.
  - The company's objectives are illegal.
  - There is a justifiable lack of confidence in the management of the company.
  - The voting power in the company is divided.
  - The minority shareholders are being oppressed by the controlling shareholders.

An **external company** is a foreign company – a company that has been incorporated outside the country, regardless of whether it is a profit or non-profit company or carrying on business in South Africa.

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- The company is in business rescue and there is no reasonable prospect of the company being rescued (insolvent company).
- The directors, officers, or other persons in control of the company are acting in a manner that is fraudulent or illegal.
- The company's assets are being misused or wasted.
- The company has failed to adhere to a compliance notice that was issued by the Companies and Intellectual Property Commission (CIPC) or Takeover Regulation Panel in the case where the directors, officers or other persons controlling the company have acted fraudulently or illegally.

21.7.2 The effects of winding-up

These are the effects of winding-up an insolvent company:

- The directors are divested of their powers.
- The Master takes control of the company's property until a liquidator is appointed.
- The business of the company may only continue in so far as it is necessary for the winding-up.
- If the company is unable to pay its debts, its dispositions of property must be authorised by the court. Otherwise, those dispositions will be void.
- Any transfer of the company's shares must be authorised by the liquidator. Otherwise, that transfer will be void.
- All civil proceedings by, or against, the company are stayed until a liquidator is appointed.
- Once the Master receives the winding-up order, the Master must give notice of it in the Government Gazette.
- The registrar must serve a copy to all relevant persons, such as certain sheriffs, the Registrar of Deeds, registered trade unions, employees, and SARS.
- If the court made a winding-up order, the directors and officers of the company must prepare and lodge a statement of affairs of the company with the Master within fourteen days of the date of the winding-up order.
- The Companies and Intellectual Property Commission makes a record that the company is no longer in existence (dissolved and deregistered) and it publishes a notice of this information.

21.7.3 The liquidator

The Master may first appoint a provisional liquidator to carry out any preliminary tasks in the winding-up process. The Master appoints a liquidator:

- In the instance of a members' voluntary winding-up, the person who is nominated and has a special resolution for the winding-up of the company is appointed.
- In the instance of a creditors' voluntary winding-up and a winding-up by a court, the person who is nominated in the first meeting of creditors and the initial meeting of members is appointed.

Note that at least two meetings of creditors must be held in the instance of a winding-up by the court and in a creditors' voluntary winding-up. The purpose is to:

- nominate a liquidator
- prove claims
- examine the company's statement of affairs
- interrogate any relevant person.

It is possible for more than one liquidator to be appointed.

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Duties of the liquidator

The function of the liquidator is similar to the function of the trustee. The main duties of a liquidator are:

- to take custody of all property that belongs to the company
- to realise that property
- to use the proceeds to pay the costs of the process and the creditors
- to share the balance among the shareholders (see section 391 of the 1973 Act).

In carrying out these functions, the liquidator must bear in mind that they have a general **fiduciary duty** towards the company, its members, and the creditors. The liquidator must consider the interests of the members as a whole and not the individual interests of the members. The same applies in respect of the creditor's interests.

A **fiduciary duty** means that the liquidator is in a position of trust or responsibility, and has a duty to always act independently and impartially in matters concerning the affairs of the organisation or the persons they act for.

The specific statutory duties of the liquidator are as follows:

- to provide relevant information to the Master
- to keep proper records of all property, money, books, and other relevant documents that they receive on behalf of the company
- to allow the creditors and the Master to inspect such records
- to open a current bank account in the company's name and deposit all money received on behalf of the company
- to examine the company's transactions to determine whether any directors and officers (former or present) have contravened the 1973 Act or committed an offence in this regard with a view to determining whether they need to be disqualified
- to submit a full report in this regard to the Master, which is then forwarded to the Director of Public Prosecutions
- to report fully on the company's affairs to the creditors within the prescribed time
- to prepare a liquidation and distribution account and lodge it with the Master within the prescribed time, which will then be made available for inspection
- to distribute the estate, collect contributions, and share any remaining amounts among the members, once the Master has confirmed the liquidation and distribution account.

Powers of the liquidator

The liquidator has extensive powers, which enable them to carry out the duties listed above. The liquidator may exercise their powers without consultation or the consent of other parties. These powers enable them:

- to execute in the name and on behalf of the company all deeds, receipts, and other documents, and to use the company's seal for that purpose
- to prove a claim in the estate of any debtor or contributory of the company, and receive payment of any dividend
- to draw, accept, make, and endorse any bill of exchange or promissory note in the name, and on behalf of, the company, subject to certain provisions
- to summon a general meeting of the company or the creditors or contributories of the company for the purpose of obtaining its or their authority or sanction with respect to any matter
- to take measures for the protection and better administration of the affairs and property of the company, subject to certain provisions (section 386(1) of the 1973 Act).

The liquidator may exercise the following powers, but only with the consent of the Master. They are:

- to terminate a lease agreement under which the company is the lessee at any time before the general meeting (see section 386(2) of the 1973 Act)
- to sell any property at any time before the general meeting (section 386(2A)–(2B) of the 1973 Act)
- to take urgent legal proceedings for the recovery of outstanding accounts (section 386(4)(a) of the 1973 Act).

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The liquidator may exercise the following powers with the consent of the members and/or creditors:

- to bring or defend in the name and on behalf of the company any action or other legal proceedings for the recovery of outstanding accounts
- to agree to any reasonable offer of composition made to the company by a debtor, and to accept payment of any part of a debt due to the company in settlement of a debt
- to compromise or admit any claim or demand against the company, including an unliquidated claim
- to arrange with creditors, including creditors in respect of unliquidated claims, except where the company being wound up is unable to pay its debts
- to submit disputes to arbitration
- to carry on or discontinue any part of the company's business, if it would be necessary for winding-up
- to enforce or repudiate contracts for the acquisition of property that have not been completed by the company
- to sell any movable and immovable property of the company by public auction, public tender or private contract and to deliver the property
- to perform any act or exercise any power for which they are not expressly required by the 1973 Act to obtain the permission of the court (section 386(4) of the 1973 Act).

Who cannot be a liquidator?

The following persons are disqualified from being appointed as liquidator:

- an insolvent
- a minor or any other person under legal disability
- a person declared to be incapable of being appointed as liquidator in terms of section 373 of the 1973 Act
- a person removed from an office of trust by the court on account of misconduct, or a person who is disqualified from being a director
- a corporate body
- any person who has at any time been convicted (whether in the Republic or elsewhere) of theft, fraud, forgery or uttering a forged document or perjury; and has been sentenced to imprisonment without the option of a fine, or to a fine exceeding R2 000
- a person who was at any time a party to an agreement with a debtor or a creditor whereby they undertook that they would, in their position of trustee, grant or obtain a benefit for a debtor or creditor that was not provided for by law
- any person who has, by misrepresentation or reward, whether directly or indirectly, induced or attempted to induce any person to vote for or nominate them as liquidator
- a person who does not reside in the country
- any person who, at any time during a period of twelve months immediately preceding the winding-up of a company, acted as a director, officer or auditor of that company
- any agent authorised to vote for or on behalf of a creditor at a meeting of creditors of the company concerned and acting or purporting to act under such authority (section 372 of the 1973 Act).

Removal of the liquidator from office

The Master may remove a liquidator from office in the following instances:

- if the liquidator was not qualified, or their nomination or appointment was illegal, or that they have become disqualified from being a liquidator
- if the liquidator failed to perform a statutory duty satisfactorily or to comply with a lawful demand of the Master or a commissioner appointed by the court
- if the liquidator's estate has become insolvent, or they have become mentally or physically incapable of performing their duties satisfactorily

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- if the majority in number and in value of creditors who are entitled to vote at a meeting of creditors or, in the case of a members' voluntary winding-up, a majority of the members, has requested the Master in writing to do so
- if, in the opinion of the Master, the liquidator is no longer suitable to be the liquidator of the company concerned (section 379(1) of the 1973 Act).

A court may remove a liquidator from office upon application by the Master or any other interested party if the Master failed to do so and if it would benefit all relevant parties (section 379(2) of the 1973 Act).

Activity 21.4

What do you think is the rationale for disqualifying and removing a liquidator from office? Compare the grounds for disqualifying and removing a liquidator from office, and the grounds for disqualifying and removing a trustee from office. Share your answers with a study partner.

21.7.4 Impeachable dispositions for liquidators

The dispositions of a company can be set aside if the company is unable to pay all its debts. This is set out in section 340(1) of the 1973 Act. Here, the law of insolvency will apply ***mutatis mutandi*** to the dispositions of a company.

In this context, the term ***mutatis mutandi*** means that the principles on impeachable dispositions under the Insolvency Act will apply to companies making the necessary changes in wording – for instance, we will simply read 'company' instead of 'debtor'.

21.7.5 Staying or setting aside of winding-up proceedings

A creditor, member or even the liquidator may bring an application to court to stay or set aside the proceedings (section 354(1) of the 1973 Act).

21.7.6 Alternatives to winding-up

There are two alternatives to winding-up a business:

- business rescue
- compromise.

Business rescue

Business rescue is a new feature of the 2008 Act. It replaces the concept of judicial management, which could be found in the 1973 Act. Business rescue refers to proceedings that are designed to facilitate the rehabilitation of a company that is financially distressed. These proceedings involve temporary supervision and management of the company's affairs, and the development and implementation of a plan referred to as a business rescue plan, which restructures the affairs, debt, and equity of a company in a way that enhances the chances of the company becoming viable. In this context, viability refers to the company being able to meet its contractual and financial obligations or becoming solvent again. As a worst-case scenario, business rescue may result in better financial returns for creditors and or shareholders compared to liquidation. It is, therefore, thought that successful business rescue proceedings should, at the very least, provide better financial prospects for stakeholders than liquidation.

The aim of business rescue is for the business rescue practitioner to help the company out of its financial distress by facilitating its rehabilitation through the following:

- the drafting and implantation of a business rescue plan
- the temporary suspension of the rights of claimants against the company
- the temporary supervision of the company and its affairs.

By rehabilitating the company and its operational model, business rescue aims at giving companies a second chance under the guidance of a qualified practitioner, who takes over the top-level decision-making of the company in distress.

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While a court will favour business rescue over winding-up in the right circumstances, it will also be alive to the possible abuse of business rescue proceedings where they are used to simply keep the creditors at bay, instead of rescuing the business. This is because, like liquidation, business rescue provides the embattled company with certain protections and benefits that have been described as a 'shield against creditors'.

Van Staden and Others NO v Pro-Wiz Group (Pty) Ltd 2019 (4) SA 532 (SCA)

Principle

Business rescue should only be used to achieve the purposes envisaged by the legislature. Attempts to frustrate creditors using the business rescue proceedings will not be tolerated and will also attract punitive sanctions from the courts.

Facts

Oljaco CC was placed under final liquidation in 2015. Van Staden was one of the liquidators appointed to oversee the process. A year later, Pro-Wiz instituted an application for Oljaco to be placed under business rescue. The liquidators opposed the application arguing that the application was an abuse of process and that it was an attempt to enable the sole member of Oljaco, Mr. Smith, to strip Oljaco of assets and conceal them from its creditors and to avoid interrogation in an enquiry under section 418 of the 1973 Act.

The court's finding

In trying to avoid accountability through the interrogation enquiry mechanism in the 1973 Act or trying to frustrate creditors, the court found that these were examples of abuse of business rescue processes. On this basis, it awarded punitive costs against Pro-Wiz to demonstrate how courts will not tolerate such abuses. It seems clear that the courts will draw inferences from the actions of litigants and, where the motives for launching business rescue proceedings are questionable, the courts will not entertain such applications.

Commencing business rescue proceedings

The process may commence in either of the following ways:

1. the board of directors adopt a resolution to this effect (voluntary business rescue)
2. an order of court (compulsory business rescue).

We will briefly consider each of the commencement routes below.

Voluntary business rescue

This type of rescue commencement derives its title from the voluntary nature in which the company is placed under business rescue. Essentially, the company's board of directors proactively determines that there is need for the company to be placed under business rescue and does so without any external requirement for it to do so. The process for voluntary business rescue is set out in section 129 of the 2008 Act.

A company's board of directors may commence the process by taking a resolution that the company voluntarily begins business rescue proceedings if the board believes that there are reasonable grounds that:

- the company is **financially distressed**, and
- there appears to be a reasonable prospect of rescuing the company.

The 2008 Act defines a company as being **financially distressed** if it appears to be reasonably unlikely that the company will be able to pay all of its debts when they become due and payable within the immediately ensuing six months, or if its liabilities will exceed its assets within the ensuing six months.

It is important to note that both requirements must be present for voluntary rescue to begin.

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Compulsory business rescue

Unlike voluntary business rescue, which is driven primarily by the board, compulsory business rescue is so named because it is driven by the court. It is, however, initiated by any **affected person** who makes a formal application to court for an order placing the company under supervision and commencing business rescue proceedings. This process is set out in section 131 of the 2008 Act.

An **affected person** of business rescue proceedings extends to the following persons:

- a shareholder or creditor of the company
- any registered trade union representing employees of the company
- if any of the employees of the company are not represented by a trade union, each of those employees or their respective representatives.

In determining whether a company should be placed under business rescue, the court must be satisfied with the following:

- The company has not already been placed under voluntary business rescue.
- The company is financially distressed.
- The company has failed to pay over any amount in terms of an obligation under, or in terms of, a public regulation, or contract, with respect to employment-related matters.
- It is otherwise just and equitable to do so for financial reasons.
- There is a reasonable prospect for rescuing the company.

The court may place a company under business rescue if it is satisfied that all the above requirements are met. If it is not satisfied that the company should be placed under business rescue, it may make any other order it deems appropriate including placing the company under liquidation.

The effects of business rescue

These are the effects of business rescue:

- There is a stay on any legal proceedings against the company.
- Property may only be disposed of in very limited instances, for example, if it is the ordinary course of business to do so.
- Employment contracts with employees generally continue as they were before proceedings began.
- The business rescue practitioner may suspend any contract that the company was a party to before proceedings began.
- The business rescue practitioner has the power to exercise full control over the company.
- Each director must continue their functions as such, subject to the instructions of the business rescue practitioner.

You will note that some of these effects are similar to what you discussed earlier. This is why there tends to be some similarity between business rescue and liquidation proceedings. With business rescue, however, the aim is to prevent the company from closing down by rehabilitating its affairs. By restructuring the company's affairs, it is hoped that this will change the company's fortune.

Added value The effect of business rescue on employment contracts

Generally, employment contracts remain as they were prior to the commencement of business rescue proceedings. All jobs in the company continue to exist as they were before the business rescue process. It sometimes happens, however, that these contracts need to be terminated as part of the business rescue plan. In those instances, the employees have to be retrenched (where an employer terminates the services of an employee because it can no longer afford to retain their services). In *South African Airways (SOC) Ltd (in Business Rescue) and Others v National Union of Metalworkers of South Africa obo Members And Others* [2020] 8 BLLR 756 (LAC), the Labour Appeal Court found that employees may only be retrenched after the business rescue plan has been finalised, and not before. This is because section 136 of the 2008 Act does not allow a business rescue practitioner to retrench employees in the absence of a business plan. To retrench employees before the plan is finalised is premature.

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The business rescue practitioner

Section 138(1) of the 2008 Act sets out who may, and may not, be appointed as a business rescue practitioner. A business rescue practitioner must be in good standing in the legal, accounting or business management profession that is accredited by the CIPC, and they must also be licensed by the Commission. A person who has a relationship with the company such that their judgment, impartiality, integrity, or objectivity is in question; or a person who is related to someone who has such a relationship with the company; or a person is disqualified from being a director of a company may not be appointed as a business rescue practitioner.

The practitioner is appointed by the company (through a business rescue resolution) or by the court (upon a business rescue application).

Duties of the business rescue practitioner

The duties of the business rescue practitioner are:

- to take full control of the company and its affairs
- to investigate the affairs of the company
- to delegate powers to a director or other persons in management
- to replace persons in management as they deem fit
- to inform the relevant authorities that the company is under business rescue
- to draft and implement a business rescue plan
- if the proceedings continue for longer than three months, or within the time allowed by the court, the practitioner must draft a report on the progress of the proceedings, and send copies to all relevant parties, including the court (sections 140(1)–(2), section 142(4) and section 132(3) of the 2008 Act).

The business rescue practitioner can be held liable for gross negligence in the scope of their duties (section 140(3) of the 2008 Act).

Removal of the business rescue practitioner from office

The court may remove the practitioner in the following instances if:

- the practitioner failed to perform their duties properly
- the practitioner failed to exercise the requisite degree of care
- the practitioner was involved in illegal acts
- the practitioner's impartiality was impaired
- the practitioner does not meet the requirements for appointment
- the practitioner does not have the requisite capacity to perform the functions of their office, and is unlikely to regain capacity within a reasonable time (section 139(1)–(2) of the 2008 Act).

Compromise between creditors and the company

Compromise between creditors and the company is the second alternative to winding-up a company. It can also be referred to as a 'section 155 compromise' because it is governed by section 155 of the 2008 Act. It is a mechanism or process in terms of which a company can rearrange its financial affairs with respect to its creditors without the need for an appointed practitioner. If a majority of the company's creditors agree to the compromise, the minority creditors can be bound.

Unlike business rescue, compromise takes place regardless of whether a company is financially distressed. This is because financial distress is not a requirement for compromise in terms of the 2008 Act. Practically, it may be easier for a company to arrange a compromise with the majority of its creditors instead of engaging each creditor individually. A company may not, however, arrange a compromise if it is already under business rescue or is engaged in business rescue proceedings. While a section 155 compromise cannot be undertaken when a company is under business rescue proceedings, it may take

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place even if the company is under liquidation. When a company is under liquidation, the liquidator may propose a section 155 compromise. If the company is not under liquidation, only its board of directors can take the resolution to have a compromise between creditors and the company.

To take effect, the compromise must be approved by a majority of creditors. In this context, majority would refer to representing 75% or more in value of the creditors or a relevant class of creditors.

The compromise must be sanctioned by the court except where a contractual arrangement was unanimously adopted by all creditors, and the company is satisfied that there is no risk that any single minority creditor may have been excluded from the voting process. If the company chooses to seek a court sanctioned compromise, it must satisfy the court that the compromise is just and equitable. Once the compromise is sanctioned by the court, it is binding on all creditors.

What do you think?

The choice between business rescue and liquidation may sometimes be a difficult one to make. In your view, when is it appropriate for a company to choose business rescue over liquidation? What considerations should play a role in making such a choice?

Chapter summary

In this chapter, you learned the following about the law of insolvency:

- An insolvent person is someone who cannot pay their debts, which means that their liabilities exceed their assets.
- Sequestration is the process whereby the court formally declares that a debtor's estate is insolvent. The main aim of sequestration is to ensure that the insolvent's creditors receive a fair and equitable portion of the insolvent's estate as payment of their debts.
- The Insolvency Act regulates and governs the sequestration of a debtor's estate.
- There are two forms of sequestration:
  - Voluntary surrender is the process whereby the debtor voluntarily applies to the court to have his estate sequestrated.
  - Compulsory sequestration is the process whereby the debtor's creditors apply to court for a sequestration order against the debtor.
- Each process has its own sets of requirements that must be satisfied. In each instance, the court exercises its discretion in deciding whether to grant the sequestration order.
- The trustee is tasked with collecting and preserving assets in the insolvent estate with the aim of realising those assets for the benefit of the creditors.
- The insolvent incurs extensive duties in terms of the Insolvency Act. A failure by the insolvent to carry out their duties will lead to them committing a criminal offence under the Insolvency Act.
- The effects of sequestration are as follows:
  - The insolvent's contractual capacity is limited.
  - The insolvent estate vests in the trustee.
  - The insolvent is disqualified from holding certain positions.
- The trustee has a choice (referred to as an election) on whether to abide by the contracts that the insolvent was a party to at the time of sequestration, subject to certain statutory exceptions. This decision must be made in the best interests of the creditors.
- An insolvent's period of insolvency comes to an end once they have been rehabilitated, either automatically or by application to court. The court exercises its discretion in the latter instance.
- Winding-up is the process by which a company's assets are sold, its debts paid, and the balance is paid to the shareholders. In the instance of companies, a company need not be insolvent for it to be wound-up.
- There is more than one piece of legislation applicable to the winding-up of a company:
  - The Insolvency Act applies in so far as it is applicable to companies.

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- The 2008 Act (sections 79–81, applies to the winding-up of solvent companies).
- The 1973 Act (sections 337–426, subject to certain exceptions).

- A company can be wound-up in one of two ways:
  1. by a court (compulsory winding-up), which is initiated by an application to court by either a creditor of an insolvent company or a shareholder of a solvent company
  2. voluntary winding-up, which is initiated by a special resolution of the shareholders who must indicate whether the process will be conducted by the creditors (a creditors' voluntary winding-up) or by the shareholders, (a members' voluntary winding-up where the company is insolvent).
- The effects of winding-up a company are as follows:
  - The directors are divested of their powers.
  - The Master takes control of the company's property until a liquidator is appointed.
  - The business of the company may only continue in so far as it is necessary for the winding-up.
  - If the company is unable to pay its debts, its dispositions of property must be authorised by the court.
  - Any transfer of the company's shares must be authorised by the liquidator.
  - All civil proceedings by or against the company are stayed until a liquidator is appointed.
  - Once the Master receives the winding-up order, they must give notice of it in the *Government Gazette*.
  - The Registrar must serve a copy to all relevant persons, such as certain sheriffs, the Registrar of Deeds, registered trade unions, employees, and SARS.
  - If the court made a winding-up order, the directors and officers of the company must prepare and lodge a statement of affairs of the company with the Master within fourteen days of the date of the winding-up order.
  - The functions of a liquidator are to take custody of all property that belongs to the company, to realise that property, to use the proceeds to pay the costs of the process and the creditors, and to share the balance among the shareholders.
- When a company is in financial distress, business rescue and compromise serve as two alternatives to winding-up.
- Business rescue refers to proceedings that are designed to facilitate the rehabilitation of a company that is financially distressed.
- The aim of business rescue is for the business rescue practitioner to help the company out of its financial distress by facilitating its rehabilitation through the following:
  - the drafting and implantation of a business rescue plan
  - the temporary suspension of the rights of claimants against the company
  - the temporary supervision of the company and its affairs.
- While a court will favour business rescue over winding-up in the right circumstances, the court will guard against abuse of the process.
- Business rescue proceedings may commence in the following ways:
  - The board of directors adopt a resolution to this effect (voluntary business rescue).
  - There is an order of court (compulsory business rescue).
- The business rescue plan constitutes the blueprint for business rescue proceedings.
- The effects of business rescue are as follows:
  - There is a stay on any legal proceedings against the company.
  - Property may be disposed of in very limited instances, such as if it is the ordinary course of business to do so.
  - Employment contracts with employees generally continue as they were before proceedings began.
  - The business rescue practitioner may suspend any contract that the company was party to before proceedings began.
  - The business rescue practitioner has the power to exercise full control over the company.
  - Each director must continue their functions subject to the instructions of the business rescue practitioner.
- Compromise between creditors and the company is the second alternative to winding-up a company.

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- Compromise is a mechanism, or process, in terms of which a company can rearrange its financial affairs with respect to its creditors without the need for an appointed practitioner. To take effect, the compromise must be approved by a majority of creditors (75% or more in value of the creditors or a relevant class of creditors).

Review your understanding

1. Discuss the meaning of 'debtor'.
2. Explain what friendly sequestration is, and whether it is allowed under the Insolvency Act.
3. Explain the trustee's powers and duties.
4. Outline how an insolvent can be rehabilitated.
5. What positions can an insolvent not hold after sequestration?
6. Distinguish between voluntary business rescue and compulsory business rescue.
7. Discuss when a court will not sanction business rescue, or when a court will halt business rescue proceedings.
8. Discuss the effects of business rescue generally and on employment contracts specifically.
9. Discuss the ways in which a company can be placed under business rescue.
10. Distinguish between business rescue and compromise.

Further reading

Bertelsmann, E. et al. 2019. *Mars: The Law of Insolvency in South Africa*,10th ed., Cape Town: Juta and Co. (Pty) Ltd

Davis, D. et al. 2019. *Companies and Other Business Structures in South Africa*, 4th ed., Cape Town: Oxford University Press Southern Africa (Pty) Ltd

Sharrock, R. et al. 2012. *Hockly's Insolvency Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

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The law of succession

Chapter 22

The main ideas

- Freedom of testation
- The legal capacity to draft a valid will
- The legal capacity to witness a valid will
- The basic contents of a will
- Testate succession
- Intestate succession
- The legal capacity to inherit
- Administration of a deceased estate

The main skills

- Appreciate the concept of freedom of testation.
- Describe the requirements of a valid will.
- Draft a simple will.
- Distinguish between testate and intestate succession.
- Map the order of intestate succession.
- Calculate the portion due to an intestate heir.
- Explain who may not inherit from an estate.
- Outline the executor's duties when administering a deceased estate.
- Explain the difference between an executor and the Master's representative.

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The law of succession regulates what should happen to the estate of a deceased person. In this chapter, we will introduce you to the basic principles of the Law of Succession. We will look at the drafting of a simple will. We will discuss legacies and inheritances and distinguish who will be the heirs of the deceased estate, both in terms of a will and where a testator dies without a will. The formal process of **administering** a deceased **estate** will be described.

The process by which the deceased's assets are collected, the debts paid, and the balance paid to the heirs is known as the **administration** of the estate.

Before you start

Thinking about one's death is daunting. Life is unpredictable, but it is a fact of life that we will die at some point. Ideally, we should be prepared for the unknown. Let's start by making a mental list of all your possessions. Have you thought about who you would want to leave your possessions to? Is there anything of particular sentimental value (not necessarily expensive) that you would like to go to someone special after you die? Is there anyone you trust to be responsible for the handling of your estate after you die?

Every person in law has an **estate**, which consists of their assets and liabilities.

These questions may be overwhelming now, but by the end of this chapter, you will hopefully have the answers.

In this chapter, we will deal with the following aspects of the law of succession:

- Who can draft a valid will?
- What are the basic contents of a will?
- What happens if someone does not leave a will?
- Who can inherit?
- What are the requirements for the administration of a deceased estate?

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22.1 Freedom of testation

Person, in this context, can mean a natural person or a juristic person, such as a charity or educational institution.

The general rule in our law is that a testator has freedom of testation. This means that you are free to choose any **person** you wish to leave your estate to. Such person is called a beneficiary or an heir. Although there is no obligation on a testator to leave anything to parents, spouse(s), children, siblings or grandparents, the law does place some limitations on the testator. Therefore, the freedom of testation is not absolute.

A **dependent child** is someone who relies on their parent/s to provide maintenance and education for them.

Some of these limitations are rooted in the common law. When a person dies and has named heirs in their will, the law allows minor children, whether named in the will or not, to claim maintenance from the deceased's estate. This means that a maintenance claim by a **dependent child** will reduce the amount that is available for the heir(s) named in the will. The effect is that a testator cannot in their will exclude their minor children from receiving maintenance from the deceased estate, even if they exclude the minor children as heirs.

Other limitations on whom you can leave your possessions to, is regulated by legislation. The Constitution of the Republic of South Africa, 1996, prohibits unfair discrimination against a person. In terms of section 9(3), no one may unfairly discriminate against anyone on the basis of race, gender, sex, pregnancy, marital status, ethnic or social origin, colour, sexual orientation, age, disability, religion, conscience, belief, culture, language, or birth. Any contents of a will that unfairly discriminate against anyone on these grounds will be unconstitutional.

Let us look at the Constitutional Court case below, which dealt with an unfairly discriminatory clause in a will.

King and Others v De Jager and Others 2021 (4) SA 1 (CC)

Principle

A clause in a will that unfairly discriminates against persons based on gender is unconstitutional, invalid and therefore unenforceable.

Facts

During 1902, Mr. Karel Johannes Cornelius De Jager and his wife Mrs. Catherine Dorothea De Jager executed a will in terms of which they bequeathed certain farms to their children. The inheritance was *inter alia* (amongst other), subject to the condition that the farms would pass from their children to male descendants only, until the third generation. The question was whether such a clause in a will was still enforceable in view of the Constitution, as the clause constituted unfair discrimination against female descendants. The applicants wanted the court to declare the discriminatory clause invalid and to vary the will to include female heirs as heirs to the farms.

The court's finding

The clause in question unfairly discriminates on one of the grounds listed in section 9(3) of the Constitution. The clause was declared invalid and unenforceable. The court therefore declared that the will must be interpreted and executed without the offending clauses. As such, the farms will form part of the estate from which female heirs may inherit.

In terms of the Pension Funds Act 24 of 1956 (Pension Funds Act), benefits payable by a pension fund are excluded from the deceased estate. This means that even if the testator states in a will that their pension should go to a particular person, no effect will be given to that stipulation in the will, because the Act provides for the trustees of the pension fund to determine (use their discretion) who should receive a benefit, based on dependency. For example, if a testator leaves their pension funds to a named beneficiary in their will, the bequest will be ignored, and the provisions of the Pension Funds Act will be applied. In the normal course of events, the trustees of the pension fund will award the proceeds to the surviving spouse and any dependent children of the deceased.

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Similarly, the Maintenance of Surviving Spouses Act 27 of 1990 provides for a maintenance claim by a surviving **spouse** of the deceased. Therefore, if a husband supported their spouse financially while they stayed at home to look after their children, they would not be in a position to support themselves after the death of their husband, and they would have a claim for their reasonable maintenance needs from the estate of their late husband. This too will reduce the amount that is available for the heir(s) named in the will.

A **spouse** can refer to either a male or female partner in a marriage or civil union.

Added value Freedom of testation and customary laws and practices

The first point to be made is that religion and customary law and practices are interrelated. The second point to be made, whenever we talk about religion and customary law, is that they are often patriarchal in nature. In the context of succession, this means that it is often the male descendants and relatives who are favoured over females in the family. By the end of the chapter, you will hopefully have formulated your own views about the legitimacy of these, considering that we live in a constitutional democracy based on fundamental human rights for all.

Freedom of testation can be used by a testator in order to ensure that their estate devolves in terms of customary law. For instance, a Muslim testator can state in their will that their estate must devolve in terms of Islamic law (an Islamic will), based on freedom of testation. The will should further direct the executor of the estate to obtain a certificate from an expert in the belief system, which would direct how the estate should devolve in terms of their specific belief system. Another example is that a testator who follows the traditional African customary law can also state in their will that their estate must devolve in terms of the customary law of succession, based on freedom of testation. The same applies to Hinduism and succession.

Couples are advised to register their religious unions as civil marriages or civil unions to ensure that civil law applies to their marriages, as this will likely offer more protection to all potential heirs and beneficiaries in terms of the laws regulating succession (and divorce).

Note that Judaism, as a belief system, does not have customary law practices on freedom of testation and succession.

22.1.1 Drafting a valid will

If you made a valid will before you died, we say that you died testate. Testate succession refers to the transfer of the deceased's assets to their heirs in terms of a will. Testators are people who draw up a will themselves, or who instruct a lawyer to do so on their behalf.

The Wills Act 7 of 1953 (Wills Act) prescribes the requirements for making a valid will. A will must be in writing and signed by the testator in the presence of two witnesses, who must also sign the will. A witness is defined in the Act as a person of fourteen years or older, who is **not incompetent** to give evidence in a court of law.

Not incompetent means that the person has the necessary ability to give evidence in a court of law.

The Wills Act states that a testator may 'sign' a will either with a signature, by making their initials, or by making a mark, such as a thumbprint or a cross, or even by having someone else sign the will on their behalf. This method makes it possible for more people to make a will, such as someone who cannot sign the will because they are illiterate or paralysed. Where the will is not personally signed by the testator with a signature, a Commissioner of Oaths must attach a certificate to the will confirming the identity of the testator, and that the will is that of the testator. Witnesses must, however, sign with a signature, and they may not sign with a mark, as the purpose of their signatures is to verify the identity of the testator who signed the will.

Any person over the age of 16 years may draft a will unless, at the time of making the will, the person is **mentally incapable** of appreciating the nature and effect of their act. A person between the ages of 16 and 18 years is still a minor, and this capacity to make a

Mental incapacity can arise in a number of ways, such as mental illness or the influence of alcohol or drugs.

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will without the assistance of the parent or guardian is an important exception to a minor's restricted legal capacity, which was discussed in Chapter 4.

Added value Electronic signatures and your will

The Wills Act prescribes that a will must be in writing and signed by the testator and two witnesses, who must all be present at the same time. The Electronic Communications and Transactions Act 25 of 2002 provides for certain documents to be signed with a digital signature. However, wills may not be signed electronically.

Activity 22.1

You may have watched some American television programmes where the testator recorded their will digitally. You see the heirs watching the testator (now deceased) speaking to them on screen and spelling out their wishes, sometimes explaining their decisions regarding the inheritances. Discuss this format of creating a will with your study partner. Do you think that this method is a viable option for creating a will in the South African landscape? Why, or why not?

22.1.2 Basic contents of a will

A testator can achieve a wide variety of things in a will. We will look at the basics, however, be aware that there are many more that are beyond the scope of this chapter. Anyone can draft a simple will on their own. It is not necessary to consult an attorney to do this.

Banks also offer this service to their customers, provided that the bank is appointed to administer the estate, and most stationery shops sell standard templates of a will. The testator can simply fill in their personal details, details of the heirs and executor, and the date before signing it in the presence of two witnesses. The testator is advised to keep a copy in a safe place and give a copy to a trusted person.

Shares, in this context, mean equal portions. They do not refer to an investment.

Below is an example of a simple will.

LAST WILL AND TESTAMENT

1. This is the last will of Sibu Mngomezulu, Identity number 701230 5160 081.
2. I revoke all previous wills made by me.
3. I appoint Thabo Zuma, Identity number 801130 5155 082 to be the executor of my estate, and I direct that they will not be required to furnish security to the Master of the High Court.
4. I leave my house, situated at 35 Celery Road in Cape Town, to my son, Selo Mngomezulu, Identity number 010509 5168 081, subject to the lifelong usufruct over the property in favour of my wife, Winnie Mngomezulu, Identity number 801002 4110 082.
5. I leave my laptop to my sister, Muriel Mngomezulu, Identity number 850530 0229 086, on condition that they matriculate in 2022. If they do not matriculate in 2022, then this bequest falls away.
6. I leave the residue of my estate in equal **shares** to my adopted son, Nelson Mngomezulu, Identity number 980309 5330 083, and my daughter, Siphokazi Mngomezulu, Identity number 950510 0456 088.

Signed at Cape Town on 16 August 2023.

..... As witnesses (1) .....

Sibu Mngomezulus (Testator)

(2) .....

Figure 22.1 An example of a simple will

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We will now discuss the contents of the will in Figure 22.1.

Clause 1 of the will is the identification clause of the testator. It clearly states whose will it is.

Clause 2 of the will is the revocation clause. This has the effect of revoking all previous wills that have been made by the testator. In the absence of a revocation clause, the contents of earlier wills would be recognised and could lead to complications if the wills differ. In the latter case, the wills would have to be read together and reconciled as far as possible. If the wills contain conflicting provisions, the provisions in the later will would revoke the provisions of the earlier will.

Clause 3 is the where testator appoints the executor. The role of the executor is to administer the estate and execute the provisions of the will.

Clause 4 is an example of a legacy in favour of the testator's son, Selo, who becomes the owner of the property, but subject to a lifelong usufruct in favour of the mother, Winnie. A legacy is a specific asset or a specific amount of money that is bequeathed to a named legatee by the testator in the will.

A usufruct is a legal right given by the testator to someone who is not the owner (the usufructuary), to use the owner's property for a certain period, usually for the remainder of the usufructuary's life. In this case, the legacy is the testator's house that the testator left to their son, Selo, the legatee, who will be the owner of the house. The lifelong usufruct over the house in favour of the testator's wife, Winnie, the usufructuary, means that Winnie may live in the house and enjoy the benefits, such as rental income from the house. Winnie may, however, not sell the house as it belongs to Selo. When Winnie dies, the usufruct falls away.

Clause 5 is an example of a conditional bequest in a will. The sister, Muriel, would be entitled to the bequest if they meet the condition. If they do not meet the condition, then the bequest falls away and forms part of the residue of the estate.

Clause 6 is an example of an inheritance clause. It does not specify what the heirs would inherit but leaves the residue of the estate to the two children, Nelson and Siphokazi, in equal shares. The residue of an estate is the remainder of the estate after all the liabilities of the deceased (such as their unpaid accounts at the time of their death), costs associated with the administration of the estate and all legacies are deducted. If there is no residue, these inheritances will fall away.

It is important to date a will in order to know which will is the most recent one.

Added value — Identity numbers

It is advisable to include the identity numbers of the testator and the heirs in the will. The identity number ensures legal certainty as to who the testator and heirs are, as more than one person may have the same name and surname.

Added value — Minor heirs

Inheritances are not paid out to minors. The executor will pay the money they inherit to the Guardian's Fund, which is administered by the Master's Offices in different provinces. The heirs may claim their inheritances, with accrued interest, from the Guardian's Fund when they attain majority. To prevent the money being paid to the Guardian's Fund, the testator may, in their will, create a testamentary trust for the minors' inheritances. The minors' inheritances will be administered by a trustee until they attain majority, or a later age, according to the instructions of the testator in the will.

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Added value Religious liabilities and Islamic heirs

A Muslim testator must ensure that all their religious liabilities are settled from the assets in their estate and may therefore include a clause in a will to that effect. The testator may instruct the executor to obtain a certificate from a recognised Islamic institution, indicating the religious liabilities due in terms of Islamic law. The testator could state in their will that the residue of the estate must be distributed in terms of the Islamic law of succession, instructing the executor to obtain a certificate from a recognised Islamic institution, which would state who the heirs are in terms of Islamic law.

22.2 Dying without a will

When a person dies intestate, it means that they have died without leaving a valid will. The Intestate Succession Act 81 of 1987 (Intestate Succession Act) would then apply. This Act would also apply if the deceased left a valid will, but did not provide for the disposal of all the assets in the estate. For example, if the will (in Figure 22.1 above) did not contain clause 6, the Act would determine who inherits the residue of the estate, but clause 3 (the appointment of the executor) and clauses 4 and 5 (the legacy and conditional bequest) would still be applicable. The estate will also be administered in terms of the law of intestate succession if the will is declared invalid by the Master of the High Court. For example, this would apply in the event where a will is declared invalid by a court due to it being forged.

The Intestate Succession Act lists the potential heirs who may inherit the estate in order of succession. This is determined by the deceased's marital status and/or blood relations. As most people leave behind one or more spouses, **descendants**, or parents, only these categories of heirs are considered in the discussion hereunder. Note that the law treats adopted children, extra-marital children and children born of incest in exactly the same way as natural children or children born of a marriage. The reason for this relates to section 9 of the Constitution and the right to equality, as well as the right not to be unfairly discriminated against on the basis of birth. Bear in mind that if the deceased has not left a spouse, descendant or parent, the Act provides for other **more remote blood relatives** to inherit.

A **descendant** is someone who is descended from you, such as your child, grandchild or great-grandchild.

More remote blood relatives refer to brothers, sisters, aunts, uncles, and cousins.

Added value Meaning of spouse in intestate succession

The concept 'spouse' for purposes of the Intestate Succession Act was originally interpreted very narrowly to only refer to the survivor of a civil marriage that was concluded in terms of the Marriage Act 25 of 1961. This Act requires that the parties to the marriage should be of the opposite sex. The following legal developments have been instrumental in reforming the meaning of 'spouse' for purposes of the Intestate Succession Act:

- In *Daniels v Campbell and Others* 2004 (5) SA 331 (CC), the CC held that the concept 'spouse' also includes a party to a monogamous Muslim marriage (only two spouses in the marriage).
- In *Bhe and Others v Khayelitsha Magistrate and Others* 2005 (1) SA 580 (CC), the CC held that the concept 'spouse' is also applicable to multiple spouses in African customary law (polygyny).
- The *Bhe and Others v Khayelitsha Magistrate and Others* 2005 (1) SA 580 (CC) judgment led to the enactment of the Reform of Customary Law of Succession and Regulation of Related Matters Act 11 of 2009 (RCLSRRM), which came into effect on 21 April 2009. The RCLSRRM states that the 'estate or part of the estate of any person who is subject to customary law who dies after the commencement of this Act and whose estate does not devolve in terms of that person's will, must devolve in accordance with the law of intestate

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Added value (continued) Meaning of spouse in intestate succession

succession, as regulated by the Intestate Succession Act …' with some changes being made. These changes include provision being made for more spouses and more **descendants** to inherit.

- The term 'spouse' was also extended in 2006 with the enactment of the Civil Union Act 17 of 2006 (Civil Union Act), which allows for same-sex unions by **civil union partners**.
- In *Gory v Kolver NO* 2007 (4) SA 97 (CC), the CC held that the concept 'spouse' must be read to include a partner in a same-sex life partnership in which the parties have undertaken reciprocal duties of support.
- In *Govender v Ragavayah NO* 2009 (3) SA 178 (D), the Durban High Court held that the term 'spouse' must also include a party to a monogamous Hindu marriage (only two spouses in the marriage).
- In the same year as the case above, in *Hassam v Jacobs NO* 2009 (5) SA 572 (CC), the CC held that the term 'spouse' must be read to include multiple spouses in a **polygynous** Muslim marriage.
- In *Bwanya v Master of the High Court, Cape Town* 2022 (3) SA 250 (CC), the CC held that the term 'spouse' should include a partner in a permanent opposite-sex life partnership in which the partners have undertaken reciprocal duties of support.

An example of a **descendant** for purposes of the RCLSRRM Act includes 'a person who is not a descendant in terms of the Intestate Succession Act, but who, during the lifetime of the deceased person, was accepted by the deceased person in accordance with customary law as his or her own child'.

A **civil union partner** is a spouse in a marriage, concluded in terms of the Civil Union Act.

A **polygynous** marriage occurs when a man is married to two or more women at the same time. It should be noted that a polyandrous marriage occurs when a woman is married to two or more men at the same time. In South Africa, polyandrous marriages are not legally recognised.

Added value African customary law of succession within the South African context

Customary law refers to the customs and practices observed by the indigenous African people of South Africa, which form part of their culture. Prior to the *Bhe and Others v Khayelitsha Magistrate and Others* 2005 (1) SA 580 (CC), the estates of persons subject to customary law were dealt with in terms of the Black Administration Act 38 of 1927, which gave effect to the customary law of succession, which includes the principle of male primogeniture. In terms of this principle, the eldest of the male issue succeeds to the deceased family head. This principle was challenged on the grounds that it unfairly discriminates against potential female heirs and other children of the deceased. The CC held that the rule of male primogeniture in customary law of succession is inconsistent with the Constitution in that it violates the rights to equality, dignity, and property of women and other potential heirs. It declared the rule as invalid where it excludes or hinders women and extra-marital children from inheriting property.

22.2.1 Order of succession under the Intestate Succession Act

Who inherits when the testator does not leave a will? In terms of the Intestate Succession Act, the order of succession is as follows:

1. Where the deceased is survived by a spouse, but not by a descendant, the spouse inherits the whole estate (section 1(1)(a)).
2. Where the deceased is survived by descendants, but not by a spouse, the descendants inherit the estate ***per stirpes***. This term is best understood by looking at a family tree and remembering that each branch, but not each sub-branch of the tree, will be treated equally. A branch refers to a child of the deceased, or if the child is pre-deceased, the branch refers to the descendants of that child. All descendants of that child belong to the branch from which they grow, so although each branch as a whole is treated equally when it comes to

Per stirpes means 'by branch' in Latin.

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inheriting, descendants will not be treated equally when compared to one another if some branches have more descendants than others.

3. Where the deceased leaves behind a spouse and descendants, the spouse inherits R250 000 or a child's share, whichever is the greater. A child's share is calculated by taking the number of *stirpes* that the deceased left behind, plus one. So, if the deceased had three children, we would calculate a child's share by dividing the estate by four. The descendants per *stirpes* inherit the residue, if any (section 1(1)(c) read with section 1(1)(4)(f)). For example, if the deceased leaves a spouse and three children and an estate worth R400 000, the spouse inherits R250 000 or a child's share, whichever is the greater. A child's share would be R100 000, so the spouse would inherit R250 000, and the three children would inherit R50 000 each. However, if the estate was worth R250 000 or less, the spouse would inherit the entire estate, and the children would inherit nothing.

Let us consider the following family tree shown in Figure 22.2 to understand the concept of intestate succession better. In this example the deceased dies intestate, leaving behind an estate of R910 000, a spouse and three children.

John (Deceased)		Sarah (Spouse) 250 000
Adam (Adopted child) R220 000	Jacob (Child conceived in wedlock) R220 000	Abraham (Child born out of wedlock) R220 000

Figure 22.2 Family tree

The above family tree shows a situation where John dies intestate, leaving behind an estate of R910 000. They also leave behind a spouse (Sarah) and three sons Adam, Jacob, and Abraham. Sarah would inherit R250 000 or a child's share, whichever is greater. A child's share would be calculated by taking the number of *stirpes* left behind by John (which is 3), plus one. A child's share would thus be R910 000 divided by 4, which equals R227 500. R250 000 is greater than the R227 500, therefore Sarah will inherit R250 000. The remaining R660 000 must be inherited by the three children in equal shares. Each child would inherit R220 000.

Note that, if John and Sarah were married in community of property, Sarah would first get half the estate by virtue of the marriage in community of property (see Chapter 4). Only John's half share of the communal estate will devolve upon the heirs as explained above. Remember, the value of John's estate will only be R455 000. The child's share must be calculated on John's share of the estate.

4. Where the deceased is not survived by a spouse or descendants, but is survived by both parents, the parents inherit the estate in equal shares (section 1(1)(d)(i)).
5. Where the deceased is survived by one parent and the other parent has descendants, the surviving parent inherits half of the estate and the descendants of the deceased parent inherit the other half *per stirpes* (section 1(1)(d)(ii)).
6. Where the deceased is survived by one parent and the other parent does not have any descendants, the surviving parent inherits the whole estate (section 1(1)(e)).

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Activity 22.2

As you work through the following questions, draw a family tree for each question to decide who will inherit what, where the deceased died without a valid will.

1. X dies intestate and leaves an estate of R800 000. X's wife pre-deceased them. X had four children, A, B, C, and D. D pre-deceased X, and left two children, F and G. Who will inherit the estate and what would the amount of each heir's inheritance be?
2. X dies intestate and leaves an estate of R2 million. X was married to Y in community of property and Y survived X. X is also survived by their three children, A, B, and C. Who will inherit the estate, and what would the amount of each heir's inheritance be?
3. X dies intestate and leaves an estate of R300 000. X was married to Y out of community of property and Y survived X. X was also survived by their two children, A and B. Who will inherit the estate and what amount would each heir inherit?

22.3 Capacity to inherit

The general rule in our law is that any person, natural or juristic, and regardless of their general legal capacity, can legally inherit from a deceased estate. There are, however, certain situations that disqualify someone from inheriting. In these circumstances, we say the heir is unworthy to inherit. The principle that underlies this disqualification is that, to allow a beneficiary to inherit in certain circumstances would be contrary to public policy, as no one should be allowed to benefit from their own wrongful act. The courts have recognised a wide variety of situations where an heir is unworthy. We will consider two of these situations by looking at two case examples:

- where the heir is responsible for the death of the deceased
- where an heir forges the will of the deceased.

Under our common law, a murderer is unworthy to receive a benefit from their victim's estate. This principle is expressed in the law by the maxim *de bloedige hand neemt geen erfenis*, which means 'the bloody hand takes no inheritance'. Murder involves intention on the part of the perpetrator. But, what about a situation where a person is responsible for the negligent death of another?

Let us look at the case law below, which discusses this issue.

Casey v The Master and Others 1992 (4) SA 505 (N)

Principle

Where someone is responsible for the negligent death of another, they cannot inherit from their victim.

Facts

The husband of the deceased had gone to bed with his pistol, as was his habit, and at some point, during the night he accidentally shot and killed his wife.

The court's finding

The court held that the husband of the deceased (his wife) was unworthy and could not inherit from their victim.

Since it is a criminal offence to destroy, conceal, falsify, or damage a will in terms of section 102(1)(a) of the Administration of Estates Act 66 of 1965 (Administration of Estates Act), you will see from the case example below that an heir who forges a deceased's will, will be unworthy to inherit.

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***Pillay v Nagan* 2001 (1) SA 410 (D)**

Principle

Someone who interferes with the will of a deceased person may not be capable of inheriting from the deceased estate.

Facts

The son of the deceased, Nagan, forged his mother's will, and named himself in the will as the sole heir of his mother's estate.

The court's finding

The court held that Nagan intended to deprive his brothers and sisters of their share of their mother's intestate estate, and he was found to be unworthy. The court ordered that the estate be divided between Nagan's brothers and sisters in terms of intestate succession, and that Nagan should not receive a share.

22.4 Administration of a deceased estate

Specific rules apply to the administration of an estate. These rules are contained in the Administration of Estates Act. The procedure for the administration of an estate can be divided into two stages:

1. reporting the estate
2. administering the estate.

22.4.1 Reporting the estate

Every death must be reported to the Master of the High Court by lodging a death notice in the prescribed form. The Master is the government official who oversees the administration of deceased estates. According to the Administration of Estates Act, the surviving spouse or nearest relative of the deceased must report the estate to the Master. The spouse or relative must complete various official forms, which include a death notice and a list of the deceased's assets. If there is a will, this too must be submitted. If the deceased died with a will, or the value of the estate exceeds R125 000, the estate must be supervised by a Master. If the deceased died without a will and the value of the estate is less than R125 000, a magistrate will supervise the intestate estate, as long as there are no heirs under **legal disability**.

An heir under **legal disability** is someone who does not have full legal capacity, such as a minor or a mentally ill person.

In most instances the will sets out who is to be appointed as executor. Where there is no will, the Master will require a next-of-kin affidavit to establish who the intestate heirs are. The heirs will need to nominate an executor to administer the estate. If the assets exceed R250 000, the Master appoints an executor to administer the estate. If the value of the estate is less than R250 000, the Master's representative is appointed either by the Master or a magistrate. A magistrate generally has jurisdiction to only deal with estates worth less than R125 000.

The Master's representative

The Master's representative has far fewer tasks than the executor. All that is required of this official is that they should collect the estate's assets, pay the debts and transfer the balance to the heirs. It is not necessary for the Master's representative to account to the magistrate or Master for the administration of the estate, unless called upon to do so.

Later, we will discuss the requirements to advertise and lodge a liquidation and distribution account. However, in the case of an estate worth less than R250 000, these requirements do not apply.

The executor

The executor is usually nominated in a will if the deceased died testate. If the deceased died without a will, then the intestate heirs nominate an executor. The Administration of Estates Act requires that an

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executor provides security for the proper performance of their duties. Security would be in the form of a guarantee from an insurance company. The insurance company provides the surety bond on the basis of the executor's own assets. The executor must pay an insurance premium for as long as the surety bond lasts. If the executor **misappropriates** estate property, the Master can claim the necessary amount from the bond to pay back the estate. An executor does not have to provide security in the following instances:

- if the executor has been **exempted** from providing security in the will
- if the executor is the parent, spouse, or child of the deceased.

Misappropriate means to steal assets, give them away or sell them for less than their value.

Exempted means free from and an example of this exemption can be found in clause 3 of the will in section 22.1.2.

Once the Master has appointed an executor, the executor starts the process of administering the estate.

22.4.2 Administering the estate

As soon as **letters of executorship** have been issued by the Master, the Administration of Estates Act requires the executor to perform the duties listed below:

- The executor must place an advertisement in the *Government Gazette* and in a newspaper that circulates in the area where the deceased lived. This advertisement calls for creditors of the estate to submit to the executor any claims they may have against the estate.
- As soon as the executor has R1 000 on hand, they must open an estate banking account. All money that is received by the executor on behalf of the estate must be deposited into this account.
- The executor must collect the assets of the estate and sell them if necessary. The executor must establish who the creditors are and what amounts are due to them. Creditors can include a claim for maintenance by a dependent child or the surviving spouse, as well as anyone to whom the deceased owed money.
- The executor must submit a liquidation and distribution account. This account sets out the deceased's assets and liabilities, how they will be dealt with, and who will inherit the assets.

A **letter of executorship** is an official document in which the executor is formally appointed by the Master.

Regulation 5(1) of the Administration of Estates Act sets out in detail the format of the liquidation and distribution account. Other charges on the estate include administration costs, such as the Master's fees and the executor's remuneration. The executor's remuneration is the amount that the executor receives from the estate for performing the functions of executor. The amount is calculated at 3,5% of the total (gross) value of the assets, and 6% on income accrued and collected after the death of the deceased.

An important purpose of the liquidation and distribution account is to establish whether the estate is liable for estate duty. Estate duty is a form of tax payable by a deceased estate. If the value of the deceased estate is less than a specified amount, there is no estate duty payable. Where the value of the estate exceeds such specified amount, the estate duty is calculated by deducting such specified amount, from the **net value** of the estate and the balance is taxed at a prescribed percentage.

Net value means assets less liabilities and any other allowable deductions.

Once the Master approves the liquidation and distribution account, the executor is required to advertise in the *Government Gazette* and in a newspaper that circulates in the area where the deceased lived, that the account is open for inspection. This gives interested parties (creditors and heirs) an opportunity to inspect the account and to lodge an objection if they think it is incorrect. For example, a creditor's claim may not have been included in the account. If there are any objections, these problems must be corrected by the executor. Once the account has lain for inspection free from objection, the executor pays the creditors and distributes the rest of the estate to the legatees and heirs, as is due to them. The executor is required to close the estate banking account and the Master will release the executor from office once the administration of the estate has been completed.

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What do you think?

Freedom of testation enables natural persons of different religions and cultures to draft wills according to their beliefs. If a testator drafts a will stating that they bequeath to their son double the share that they bequeath to their daughter, as is required in terms of their belief system, should this type of will be subject to constitutional scrutiny on the basis of unfair discrimination? Should the daughter be able to challenge the constitutionality of the bequests in a court of law, or should the court uphold the freedom of testation?

Chapter summary

In this chapter, you learned the following about the law of succession:

- The Wills Act governs the making of wills in our law.
- Generally, all persons have freedom of testation, but the law does place common law and legislative limits on this freedom. For instance, section 9(3) of the Constitution prohibits unfair discrimination against a person. Any contents of a will that unfairly discriminate against any person will be unconstitutional, invalid and therefore unenforceable.
- Anyone who is over the age of 16 years can make a will, unless they are mentally incapable of understanding what they are doing.
- A will must be in writing, and it needs a signature or mark of the testator, or it must be signed by someone on behalf of the testator.
- If the testator makes a mark or has someone else sign the will on her behalf, a Commissioner of Oaths must attach a certificate confirming the testator's identity and that it is, in fact, the will of the testator.
- All wills must be signed in the presence of two witnesses.
- A testator has a wide choice of what is permissible in a will. Two things are essential:
  - a revocation clause
  - a clause that states how the residue of the estate should be divided up.
- The Intestate Succession Act governs the distribution of the estate where a person dies without a will. The following rules apply:
  - Spouses always inherit.
  - Descendants always inherit if there is no spouse.
  - Descendants inherit if there is a spouse and the estate is valued at more than R250 000.
  - Descendants inherit *per stirpes*.
  - Parents inherit if there is no spouse or descendants.
- The meaning of 'spouse' has been expanded in South African law to be inclusive of spouses from various customary and civil unions.
- The general rule in our law is that anyone can inherit from a deceased estate, except where they are found to be 'unworthy'. Unworthiness is based on the principle that you cannot benefit from your own wrongful acts.
- The Administration of Estates Act sets out the procedure for the administration of a deceased estate. This takes place in two stages:
  1. reporting the estate
  2. administering the estate.
- Reporting the estate requires the death to be reported to the relevant Master or magistrate, depending on the value of the estate and whether the deceased left a will.
- The Master or magistrate appoints an executor or a Master's representative, depending on the value of the estate and whether the deceased left a will.
- If an executor is appointed, they are required to submit a liquidation and distribution account.
- If a Master's representative is appointed the procedure is straightforward:
  - The assets are collected.
  - The debts are paid.
  - The balance is paid to the heirs.

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Review your understanding

1. What type of relationships are included in the term 'spouse' for purposes of the Intestate Succession Act?
2. What is the difference between an adopted child, an extra-marital child, and a child born of incest, for purposes of the Intestate Succession Act?
3. When is an executor of a deceased estate exempt from furnishing security for the proper performance of their duties?
4. Does a testator have complete freedom of testation in terms of South African law? Discuss fully.
5. X and Y are married. X intentionally killed Y subsequent to a heated argument they had concerning where the kids should go to school. Y left a will in which they bequeathed their whole estate to X. Will X be able to inherit from Y?
6. What are the possible ways in which a testator may sign a will?
7. X dies leaving behind a net estate of R900 000 and a will that was not signed. The will states that X's net estate must be inherited by their biological daughter (B), X leaves behind a biological son (A), a biological daughter (B), an adopted daughter (C), as well as a mother (D), as their only relatives.

   Who will inherit the net estate, and what amount will each heir inherit?
8. X dies intestate leaving behind an estate of R600 000. X is survived by a same-sex life partner (A). X and A, as life partners, have undertaken reciprocal duties of support. X also leaves behind an adopted son (B), and an adopted daughter (C), as the only relatives. Who will inherit the estate, and what amount will each heir inherit?

Further reading

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Chapter
23 The law of security

The main ideas
- What is security?
- Real security
- Personal security
- Mortgages
- Pledges
- Common clauses in express mortgages
- Lien

The main skills
- Outline the purpose of security.
- Distinguish between real and personal security.
- Identify the types of real security.
- Discuss the creation of different forms of real security.

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The most common way to secure goods and services is to pay cash for it, however, what happens when you do not have the money available immediately but you will have the money to pay for it in the future? This is why businesses and individuals turn to loans. In tough economic times, this is more common. Very simply, a loan is a deferred repayment of borrowed money that usually attracts **interest**. You may be wondering how it can be guaranteed that the loan will be paid back. Security is one way of making sure that this deferred repayment, or loan, is honoured. This chapter discusses the concept of security.

Interest is money paid regularly at a particular rate for the use of money lent, or for delaying the repayment of a debt.

Before you start
You have dreams of starting a company, but you need R140 000 to purchase the basics for your company. To bankroll your dream company, you decide to take a loan from a financial institution that extends loans to entrepreneurs. If you get the loan, you will have to pay back the capital amount, which is the amount you borrowed, as well as the interest and other charges, which are additional amounts that it will cost you to borrow the money. The financial institution will only extend money to you if it is sure that it will get the money back. The financial institution will therefore require security for the loan before they can give you the money.

Added value Lending and borrowing

People often use the words 'lend' and 'borrow' incorrectly. To lend is to allow someone to use something that belongs to you. To borrow is to take and use something belonging to someone else. I can lend something to you, and you can borrow something from me. It is not correct to ask someone to borrow you something, but you can ask them to lend you something.

23.1 Security – the basics
If someone asked you for a loan, would you not be hesitant to do so without some guarantee that you would get the money back? If you think about it, the concept of security is quite basic and so common

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that even children use it. When you were younger, if someone asked you for a toy or a game, you would probably have asked for something to hold onto in return until they give back the toy or game. Financial institutions, like banks and lending companies, do the same. This is because every loan is a risk that the institution takes on and the risk becomes greater if the client has multiple debts. Security is a way to mitigate and minimise the risk.

When security is given for a debt, there is some reassurance to the creditor that the intended performance will take place as agreed.

23.2 Different types of security

Security may take the form of real security or personal security. Real security is provided in the form of property owned by the debtor. A typical example of real security is a mortgage on a house. This is commonly known as a mortgage **bond**. A mortgage is a right of security over property, which is discussed in more detail below. Personal security, also called suretyship, is given when someone agrees to meet the obligations of the debtor if they are unable to pay the creditor.

The word '**bond**' is used as the property is bonded, or covered, by the mortgage. A bond is an agreement creating a relationship between parties, namely, the bank and the property owner.

23.3 Comparing real and personal security

To understand the difference between real security and personal security, it is useful to understand the difference between a real and a personal right. A real right is a right against or in respect of a thing, such as the right of ownership. A personal right is a right against a person. In other words, while real rights attach to a thing, personal rights attach to a person. For this reason, when someone opens a clothing account with a clothing store, the store has a personal right against the account holder for the recovery of any funds for that account. The right can only be enforced against that person or their estate.

This means that when it comes to security, real security is in respect of the property owned by the debtor. The debtor provides the creditor with property, which can be sold if the debtor is unable to pay off the debt. Personal security exists where one person (known as the surety) makes themselves liable for the payment of the debt if the debtor fails to perform as agreed. Typically, parents usually stand as sureties for their children's student loans. The consequence of this is that if the children default on their agreement, the parents become liable for the outstanding amount. For this reason, standing as surety for a debt is a financial risk and should only be done after careful consideration.

Another distinction between the two types of security is the ease of securing repayment. With real security, the creditor can be paid out from the proceeds of selling the property held as security quickly, but with personal security, repayment still depends on whether the surety has the ability to pay the money owed. Both the surety and debtor may not be able to repay the debt, which creates a further stumbling block for the creditor.

Activity 23.1

- Draw up a table in which you list the primary differences between real and personal security, including the strength or value of each.
- Write a scenario in which both real and personal security could be created to secure the same debt.

23.4 Personal security

To recap, personal security exists where one person makes themselves liable for the debts of another. Personal security can, therefore, be said to take on the form of suretyship. Here, the suretyship agreement ties the surety to the creditor. A suretyship agreement involves the principal debt, the creditor (the party that gave the loan), and a surety. You might be wondering why there is no mention of the debtor here. This is because the surety agreement does not include the debtor themselves. In fact, a suretyship agreement can be included without the knowledge of the debtor. To illustrate this, let us consider a

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parent who wants to help their child get a loan without them knowing. It is easy for such a parent to enter into a surety agreement without the knowledge or indeed consent of the child (the debtor).

Does this mean creditors will simply look at the existence of a surety agreement in deciding whether to extend a loan? Not quite. The person standing as surety must have a steady form of income or own some assets, such as a house or car. The credibility of the surety therefore becomes relevant. The surety is, in a sense, an indication or guarantee that in the event that the debtor fails to pay the debt, the surety will become liable in their place.

23.4.1 Characteristics of suretyship contracts

From our earlier discussion, it should be apparent that the two parties to a surety contract are the creditor and the surety (the person holding themselves liable for another's debt). It must be noted that there are two different contracts at play when using a suretyship. The first is the contract governing the principal debt, such as the loan between yourself and the financial institution providing funding for your company. This contract is entirely separate from the contract for surety. The surety obligation is, however, connected to the agreement for the principal debt since it is accessory to that main obligation. The second contract is the suretyship agreement. You will recall that real security is accessory to the principal debt. This is also true of the surety contract. A surety contract cannot exist on its own.

The surety does not immediately become liable for the debt of the principal debtor. Instead, the obligation automatically comes into operation when the principal debtor fails to pay. This means that the creditor can sue the surety for the outstanding debt. This in no way removes the contractual obligations of the debtor to pay their debt.

A common misconception is that the suretyship exempts, or excuses, the debtor from the payment of their original debt. This is not true. The debtor still remains liable for the debt. If the surety pays for the debt, this changes who the debtor is liable to. Consider the following example. If you receive a loan from a microlending company, which your business partner stands surety for, your obligation to pay the debt remains until you have paid off the debt entirely. If your business partner pays the entire debt for you (in the event that you are unable to pay the debt), you will no longer owe the microlending company, but you will owe the money to your business partner. The reason for this is that, if you are simply excused from the debt because your business partner paid off the debt, you would be unjustifiably enriched by not repaying the money you borrowed. We therefore say that the debtor has a right to reclaim the money from the principal debtor. So, while the debt towards the creditor is paid off, the debt towards the surety remains and the principal debtor is liable for this. This includes any interest that may have been added to the principal debt. Whether the debtor is able to pay off this debt in reality is a different case altogether, as they may not have the money to do so.

As with any real security, the underlying obligation, or principal debt, has to be valid for the suretyship itself to be enforceable and valid. If the principal obligation is void, the suretyship agreement will also be void. Similarly, any defence that applies to the principal debtor, applies to the surety. An example of this is the defence of prescription, which can be claimed by a debtor where the creditor has taken too long to claim performance from the debtor.

To provide security for a loan, it is possible for more than one person to stand liable for the debt as sureties. In this case, these persons are referred to as co-sureties. Thus, if two business partners are only able to stand surety for R25 000 each, but the loan you have taken out is for R50 000, you can ask your business partners to stand as co-sureties for this loan. The situation is slightly more complex when more than one surety is involved. This is because each of the co-sureties are equally liable for the debt and any of them can be sued for the outstanding debt by the creditor. The Latin for this type of liability is *singuli in solidum tenentur*, which means that each co-surety is liable for the whole amount.

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Case study Consequence of co-suretyship

Assume that four of your business partners stand surety for your debt of R200 000 and each of them is liable for R50 000. Should the creditor release, or excuse, two of them, the remaining co-sureties are liable to the creditor for R100 000 in total. Unless there are provisions to the contrary, each remaining co-surety can be liable for the full amount of R100 000 although, if one co-surety pays the full amount, they have rights to claim half of that amount from the other co-surety.

23.4.2 Requirements for a valid suretyship contract

These are the requirements for a valid suretyship contract:

- A valid contract.
- The contract must be written.
- The creditor, the debtor, and the surety(ies) must be identified.
- The nature and amount of the principal debt must be specified.

For the agreement to be legally valid, it is important that all the essential requirements of the suretyship agreement are included in the contract. The Appellate Division, in the case of *Sapirstein and Others v Anglo African Shipping Co (SA) Ltd* 1978 (4) SA 1 (A), explains the requirements for a valid surety contract, as set out in section 6 of the General Law Amendment Act 50 of 1956 (General Law Amendment Act). We will deal with each requirement in turn.

A valid contract

The legal principles for a valid contract that you studied earlier, apply to a surety agreement. For a suretyship agreement, there are exceptions to the general legal principles on contractual capacity. One of these is that, while emancipated minors are able to conclude agreements as majors, tacitly emancipated minors are precluded from concluding suretyship agreements. This is because the surety is presumed to be an adult who is capable of understanding the consequences of their decision to be bound to a contract.

A written contract

You will remember that, for a general contract, there are no formalities. However, section 6 of the General Law Amendment Act requires that a contract of suretyship must be in writing. If it is not signed, it is not valid. A surety contract must be signed by, on or on behalf of, the surety. If the surety does not sign the agreement personally, a duly authorised agent can do so by furnishing a valid **power of attorney** that demonstrates that they have the lawful mandate to conclude such an agreement.

A **power of attorney** is a written document that provides authority for a person to act on behalf of another, with the latter being the principal.

Setting out the identities of the creditor, the debtor, and the surety

The identity of the parties must be clearly set out to provide clarity on who must be paid and who has to pay. This means that the identities of the creditor, principal debtor and the surety should be made clear. The identity of the parties must be specifically stated in a manner that allows one to ascertain the identity of the parties with ease. Failing to identify the parties correctly results in the agreement being invalid since there is no clarity on who must be paid and who has to pay.

The deed of surety must set out the identity of the creditor, the surety as well as the principal debtor.

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The nature and amount of the principal debt

The amount of the principal debt and the nature of the debt in question must be clearly defined. In the event that these aspects are not clearly specified, this information must be capable of being ascertained. This means that it must be possible to deduce this information from the suretyship deed and any additional documents that may accompany the deed.

***Northern Cape Co-operative Livestock Agency Ltd v John Roderick and Co. Ltd* 1965 (2) SA 64 (O)**

Principle

The principle is that all the essential requirements of the suretyship contract must be included in the written contract for it to be valid.

Facts

A dispute existed between the creditor company that wanted to claim a debt owed to it by a debtor, and another company that the creditor said was bound to pay it for this debt as the surety. The question was whether all the requirements in the written contract amounted to a contract of suretyship.

The court's finding

The essentials of a suretyship contract are the identities of the parties – the surety, the creditor and the principal debtor. The nature and extent of the guarantee must also be included. The nature of the guarantee means the type of debt that the surety is providing personal security for. We can illustrate the court's rationale by way of an example: A surety may be willing to stand surety for a study loan, but not for a loan to be used for a holiday. The extent of the guarantee means how much money the surety is standing security for.

23.4.3 The duties of the surety

As we have noted, the surety only comes into the picture when the principal debtor has defaulted or failed to pay the creditor. In repaying the creditor, the amount is limited to the principal debt and any applicable interest due. In other words, the surety should not incur additional costs that the principal debtor would not have had to pay.

23.4.4 Defences that the surety can raise

As a general rule, because the surety steps into the shoes of the principal debtor and assumes their responsibilities in respect of the debt, the surety is usually entitled to raise the same defences that the debtor would have been entitled to raise. For example, the surety can refuse to perform if the performance due is impossible or unlawful. Similarly, the defence of prescription can be raised by the surety if the principal debtor would have been entitled to raise the defence. Should the principal debtor be released from the debt, the surety is also released from the debt.

There are, however, some instances where the defences that could be raised by the debtor cannot be raised by the surety.

Statutory exceptions

Some provisions of the law prevent the surety from raising defences that would otherwise be available to the principal debtor. The first instance is found in the Companies Act 71 of 2008 (Companies Act), which provides for payment arrangements that can be made for less than the owed amount. This would not be available to the surety, as they are required to pay for the entire debt. Another example is the rehabilitation concept in the Insolvency Act 24 of 1936 (Insolvency Act). In terms of section 120 of the Insolvency Act, rehabilitation of an insolvent person results in the debts that arose before the insolvency

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being discharged or not being held against the rehabilitated insolvent. This is not the case with the surety, as they remain liable for the debts. In terms of insolvency law, the debts can still be held against a surety even though the principal debtor is not held liable.

Minority of the principal debtor

Although unassisted minors are not capable of being sued for debts they accrue, the surety who stands liable for the debt remains liable for it. The money paid as surety for the debt cannot be recovered from the unassisted minor. This means that a surety who is called upon to pay the debt for an unassisted minor cannot claim the money from the unassisted minor. This is a shift from the general premise that the surety can recover money paid from the principal debtor.

23.5 Real security fundamentals

While we have looked at real security generally, in this section, we will consider the different types of real security available to a debtor who wishes to provide security for a loan.

Before we explore the various types of real security in more detail, there are some basic rules we need to understand. The first is that real security takes place within the law and should be carried out lawfully. This means that, for it to be valid, all the relevant steps prescribed by law must be followed. Additionally, this means that the holder of the real security cannot dispose of the property without following due process. Secondly, the holder of real security has no right to use and enjoy the property because that is not the purpose the security serves. The holder of real security merely holds on to the property and acquires a right to sell the property if the debt remains unpaid as agreed.

Real security is only valid if it is attached to a valid and enforceable principal debt. The principal debt is the main debt for which the real security was taken up for. In the example of the loan for your company, the loan would be the principal debt. Legally, we refer to the real security as being accessory to the principal debt. This simply means that the existence of the security is dependent on the existence of the principal debt. Without the principal debt, there can be no security to speak of.

23.5.1 Mortgage bonds

A mortgage bond is another form of real security. By definition, it is an instrument that is created by agreement, which is used as real security for repayment of a principal debt and passed over immovable property. The leverage in this form of real security is the immovable property. To illustrate this, consider the example that follows. Thumbeza wishes to buy a family house in Roodeport but does not have the R2.5 million that is required to purchase the property. Thumbeza can approach Khanyisa Bank for a loan to cover the purchase price. In turn, Khanyisa Bank can agree to lend the money on the condition that real security in the form of a mortgage bond over the house is registered. Typically, this is how this form of real security works. As you can imagine, if one is mortgaging a house for a debt, a fairly large amount of money is involved.

From the example above, we can identify the parties in a mortgage bond. Thumbeza, the debtor in the example above, is referred to as the mortgagor while Khanyisa, the creditor in the example above, is referred to as the bondholder or the mortgagee. In simple words, the mortgagee is the lender, and the mortgagor is the borrower.

The function of the mortgage bond is two-fold:

- to serve as written acknowledgement of the underlying principal debt
- to inform the world that a particular property has a limited real right belonging to the mortgagee.

Requirements for a valid mortgage bond

A valid mortgage bond exists where there is a valid agreement and that the mortgage bond is registered against the property in the Deeds Office. Sometimes, the registration requirement here is referred to as the public act because it demonstrates to the public that there is a mortgage bond in place. We can conclude that there is a valid agreement if, according to the rules of the law of contract, the general

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requirements for a valid contract are present. For example, this means that there must be consensus between the parties, the parties must have contractual capacity, the agreement must be lawful, and any formalities that are applicable are adhered to.

The registration of a mortgage bond is done by a **conveyancer**. The Registrar of Deeds enters the information concerning the mortgage in the deeds register. There are about ten Deeds Registry Offices in the country at present. The Deeds Office is responsible for housing title deeds and other documents related to property in the country. The mortgage bond agreement is kept by the Registrar and should include the relevant terms and conditions of the mortgage bond. The title deeds of the property mortgaged include information on the owner of the property and any real security held over that property. The act of registration allows the rest of the world to know that property is mortgaged – this is important to consider when purchasing property. For this reason, registration is referred to as a public act.

A **conveyancer** is an attorney who specialises in the preparation of documents, which must be registered in a Deeds Registry. They are involved in the legal processes of transferring property from the buyer to the seller.

Types of mortgage bonds

Mortgage bonds can be grouped into seven main types, which we will cover in this section:

1. the standard mortgage bond
2. *kustingbrief*
3. covering bond
4. standard building bond
5. participation bond
6. indemnity bond
7. notarial bonds.

Standard mortgage bonds

This is a mortgage bond where the creditor has security for an existing debt. For example, if Mdu is indebted to Lyricax (Pty) Ltd, a mortgage bond can be registered in favour of Lyricax (Pty) Ltd to provide security for that debt.

Kustingbrief

A *kustingbrief* is a mortgage bond that is created to secure the purchase price of land while also transferring the property into the name of the buyer. This mortgage bond can be created in favour of the seller of the property or to another party (a third party), such as a financial service provider, to enable them to secure a loan to the buyer so that the buyer can purchase the property. The mortgage bond is registered at the same time as a change of ownership. As the *kustingbrief* is registered at time of transfer, it will always create a preference in favour of the mortgagee. This means that the mortgagee will have a preferential claim if the mortgagor becomes insolvent.

Let us consider the following example. Magoo purchased a double-storey house in Pretoria in 2018. Moneytec Bank provided a loan for the purchase, which is subject to a mortgage bond. In 2022, Magoo borrows money from General Bank to install a jacuzzi and a tree house on the property. A further mortgage is created in favour of General Bank. From this example, the mortgage in favour of Moneytec Bank is a *kustingbrief*, and it takes preference over the mortgage that is held by General Bank.

Covering bond

This is a mortgage bond that secures a debt, or debts, which may arise in the future. Unlike a standard mortgage bond which secures existing debts, the covering bond is intended to secure future debts.

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Case study Covering bond

Typically, a covering bond covers a **fluctuating overdraft**. This type of covering bond provides security for the creditor that the debtor will repay the amount of money they owe on the overdraft. The covering bond must indicate what future debts it is covering, and the limit of the amount covered. For example, Lerato wants to start up a nail bar. If the initial costs, or the start-up **capital**, for the nail bar, add up to R380 000, which they have in their savings account, they do not need a loan at that stage. It is, however, clear to Lerato that the nail business is volatile with unexpected costs, depending on the types of clients and sudden trend shifts in the industry. These expenses would require an overdraft of up to R200 000, as Lerato has exhausted all their savings and will not be able to finance the business any further.

Lerato approaches the Youth Development Bank for a possible future loan. The bank agrees to provide the overdraft facility, provided that Lerato registers a covering bond over one of the cottages as security for the overdraft.

A **fluctuating overdraft** means that the amount of money that a client owes the bank at any given time goes up and down.

Capital is cash or other assets, such as equipment, supplied by the owner to the business.

Standard building bond

This type of mortgage bond specifically secures the repayment of money borrowed for improvements to immovable property. In this context, improvements refer to structural changes to the property, such as building. This is the reason we refer to this bond as a building bond.

Participation bond

A participation bond is an investment scheme where more than one person provides the capital required by the debtor, which is then secured by means of a bond over the property. It is defined in the Participation Bonds Act 55 of 1981 (Participation Bonds Act) as a mortgage bond over immovable property. The mortgage bond here is described as a participation bond, and is registered as such in the name of a nominee company and is included in a scheme. This nominee company is made up of investors who then contribute towards the capital borrowed by the mortgagor from the investment company to which the investors belong. To illustrate this, consider the following scenario where Thuli, Fikile and Sphe, who are investors in nominee company Y, collectively provide a loan of R300 000 to Mazwi. The mortgage created is a participation bond because there is more than one lender. Each investor in the nominee company will benefit from the interest on the loan, making the bond a form of investment for them. Each investor's investment is secured by means of the bond over the mortgagor's property.

Indemnity bond

This type of mortgage bond is created in favour of a mortgagee who could potentially suffer loss as a result of the actions of a mortgagor. This typically works in situations where one person acts as a surety for a debt of another and wants to secure a guarantee or claim that will ensure repayment if the surety has to pay in place of the principal debtor. Therefore, if Mustapha stands surety for Sani's debt, a mortgage bond could be created in favour of Mustapha to ensure that Sani repays money that is due to the creditor. This is a fairly popular way of making sure that a surety agreement is honoured by the principal debtor.

Notarial bond over movable property

A notarial bond is a pledge over movable assets of a debtor to secure the position of a creditor for the payment of a debt. It is important to note that a notarial bond must be registered with the Deeds Office in the area in which the debtor resides or conducts business within two months of its creation. There are two types of notarial bonds:

1. a general notarial bond
2. a special notarial bond.

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A general notarial bond covers or hypothecates all property in the possession of the debtor at the time of the passing of the bond. Should the debtor acquire future assets while the bond is in existence, those assets will also be included under this bond.

Special notarial bonds are confined to covering only specific assets. These must be capable of being described, such as a specific car. Unlike the general bond, here the holder of the bond is a secured **preferential creditor**.

A **preferential creditor** is a creditor who is preferred over others in claiming from a company that is under liquidation.

Formalities associated with mortgage bonds

As we have already discovered, a mortgage bond is not valid unless it is registered by the Registrar of Deeds in a document prepared by a conveyancer. This act of registration not only makes the bond public but perfects the bond. In this context, perfecting the bond simply means completing or finalising it. The mortgage bond is, therefore, only final when it has been duly registered.

Cession of mortgage bonds

We already discussed cession in the earlier chapters. In this section, we focus specifically on how cession takes place over mortgage bonds. The Registrar of Deeds is empowered to register cessions of registered mortgage bonds in terms of section 3(1)(f) of the Deeds Registries Act 47 of 1937 (Deeds Act). There are two forms of such a cession – cession as security and a cession 'out and out'. A cession as security is where the existing mortgagee retains some interest in the bond. When the underlying debt has been paid, the basis for the cession is extinguished and accordingly, the cession may then be cancelled. On the contrary, a cession 'out and out' is only cancelled by an order of court and the mortgagee does not retain any form of interest in the bond.

Common clauses in mortgages

Now that we have considered the various types of mortgages and their accompanying rights and duties, we now turn to common clauses that are found in mortgage agreements. We will discuss each in turn:

- interest clauses
- foreclosure clauses
- calling-up clauses
- summary sale clauses
- *pactum commissorium*.

Interest clauses

These clauses allow for interest to be added to the principal debt. Lenders, such as banks and other financial credit providers, make their money from charging profit. If there was no profit element, then there would be no viable element. Therefore, to make profit, interest is charged. The amount payable as interest is, however, capped by law to prevent creditors from taking advantage of debtors. Interest clauses usually prescribe the rate of interest over a yearly period (per annum), such as 15% per annum or per year.

Foreclosure clauses

These clauses allow the mortgagee to demand that a debtor repays the amount of the loan plus any interest if the debtor misses a payment as agreed. The significance of this is that the whole outstanding amount becomes payable when the debtor is in default and replaces the original payment terms/ installments. The rationale behind this is to punish the debtor for defaulting on their agreement.

Calling-up clauses

These clauses allow either party to end the mortgage by giving the agreed notice period to the other party. This could be, 30 days, for example. Any outstanding amount at the time would have to be paid by the mortgagor to the mortgagee.

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Summary sale clauses

These clauses allow the mortgagee to sell the mortgaged property immediately when the mortgagor defaults with their payments. The reference to summary here indicates that the sale happens immediately and, in this case, immediately after a debtor does not pay the outstanding amount. Clearly, this type of action is severe and needs to be regulated to prevent abuse and exploitation of the debtors who are often in a vulnerable position. Giving the mortgagee the right to a summary sale is contrary to the general principle that one should not take the law into their own hands. For these reasons, these clauses are generally not valid unless the mortgagor will receive a fair price after the summary sale.

There is a specific concern with the use of *parate executie* clauses where immovable property is concerned. This is because selling such property immediately can result in the mortgagor being homeless, a situation that section 26 of the Constitution of the Republic of South Africa, 1996, (Constitution) tries to prevent. The eviction of a person from their residential property is subject to the supervision of the courts, where an order must be granted after the courts satisfy themselves that the evicted person will not be rendered homeless or has alternative accommodation. This is in line with provisions of The Prevention of Illegal Eviction from and Unlawful Occupation of Land Act 19 of 1998 (PIE Act).

Parate executie clauses for movable property are not as problematic as those for immovable property. The sale of movable property here is valid for as long as the property is in the possession of the mortgagee. However, there is some protection for the mortgagor. For example, if the property is in the possession of the mortgagee and will be sold on unfair terms, the mortgagor may approach the court to prevent the sale from going through. This is the case where the property is sold for less than its market value.

Added value — Dealing with Latin tags

When you are faced with a Latin expression or some other foreign word or phrase, do not be alarmed. A few hints may help you.

- Because English is a language that has borrowed words from many different languages, the English word may help you guess the meaning of the foreign word. This is especially the case with English and Latin because the languages are closely related. For example, the second word in *parate executie* is very similar to the English word 'execute'. You will recall that to execute a right or judgment in law means for something to be done against a party who has not performed as it should have. So, the link should be clear between the Latin term and the English term 'summary sale', which allows execution against the debtor's property through an immediate sale.
- Mixing up foreign terms, or not understanding them properly, creates a bad impression. It is far better just to use the English term than to use the wrong foreign one. Ideally, you should know the foreign term as well as its English translation and meaning.

Pactum commissorium

This is a clause where a creditor keeps the pledged object to themselves with no price paid in the event that there is a default or missed payment by the debtor. In the case of *Graf v Buechel* 2003 (4) SA 378 (SCA), the Supreme Court of Appeal reiterated that this clause is generally not valid and enforceable. This is largely because it has been found to be oppressive to debtors. An agreement of this kind is usually signed out of desperation, which is why the courts are reluctant to enforce these. However, it would be permissible in some cases if the agreement allowed for the property to be fairly valued before transferring ownership to the creditor.

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Termination of mortgage agreements

Mortgage agreements can come to an end in a number of ways, and this is usually given effect to in the contractual clauses drawn up. We will now discuss five of the most common clauses that are used to terminate a mortgage agreement.

When the main obligation ends

You will recall that mortgage, like other forms of real security, is an accessory to the main obligation. It stands to reason that the mortgage comes to an end once the main obligation is extinguished because the mortgage cannot exist on its own. The main obligation can end due to the mortgagor paying off their debt to the mortgagee, or due to prescription. Prescription is where the creditor has taken too long to claim the outstanding amount from a debtor. For example, since ordinary debts prescribe after three years, if a creditor does not claim money within the three-year period, the debt will prescribe.

When the mortgaged property is destroyed

The destruction of the mortgaged property destroys the real security and thus brings the mortgage to an end. This is, however, only applicable to movable property since land cannot be destroyed, although the house built on that land can be destroyed. The destruction of the property does not end the debt. For this reason, if Stephan has a car that forms real security for a debt to Willem and the car is subsequently destroyed, the mortgage comes to an end, but Stephan remains indebted to Willem. If the real security in the last example was in fact a house, the destruction of a mortgaged house would not terminate Stephan's liability in terms of the mortgage agreement. The creditor would still have a mortgage over the land and all that is on it.

Expropriation of property

Expropriation of land takes place when the State takes land from private individuals for specific public use. It is possible for the State to take land from private individuals for the benefit of the public. The State is allowed to do so while paying compensation to the affected individual(s). Should the expropriated land be subject to a mortgage, the mortgage comes to an end.

Case study — Expropriation of property

Sefako borrows R1 000 000 from We Are Money Loans to build a holiday home, which they intend to rent out in Mpumalanga. The bank has a mortgage over the holiday home. After fifteen years, Sefako still owes just over R500 000.

Due to the need for an additional hospital in the area, the government decides to expropriate the land on which Sefako's holiday home is built. Sefako is paid R800 000 as compensation. While the mortgage over the property comes to an end, Sefako is still liable for the outstanding balance on the loan and must pay it back.

Note that expropriation is an exception to the general principles governing the sale of private property. If the land is sold voluntarily by a private party, the mortgage remains registered until the debt is paid, or there is an agreement to end the mortgage.

Rescission

It is also possible for the termination of a mortgage in terms of a court order. This is referred to as a rescission. The main reason a court may order a rescission is a lack of agreement to create the mortgage agreement. For example, if the mortgagor misrepresents, or misleads, the mortgagee, it may be necessary to cancel the mortgage agreement. This is particularly the case where the misrepresentation concerns the financial position of the mortgagor. So, if the financial position has been misrepresented and the mortgagor is in fact not able to pay the debt, the creditor may want to cancel the mortgage. This does

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not mean that any money advanced in terms of the mortgage agreement is not payable. If rescission is ordered and money has already been paid, the parties must be restored to the position they would have been before the existence of the mortgage. Therefore, money paid must be returned to the other party. Section 6 of the Deeds Registries Act gives the Registrar power to cancel a mortgage bond pursuant to a court order.

23.5.2 Pledges

This is an additional type of real security, which is created by 'pledging' the property of the debtor to the creditor. In its ordinary meaning, a pledge is a promise, a commitment, or an undertaking to do something. In the context of real security, a pledge still has the same meaning except we can say that it is a commitment to pay the creditor, coupled with the delivery of a property that will be held in the possession of the creditor until the 'promise' is fulfilled. From this, it can be seen that there are two requirements for a valid pledge:

- agreement to pledge
- delivery of pledged property into the possession of the creditor (also referred to as the pledgee).

The security interest of the creditor here is no different from that held by a mortgagee in a mortgage of immovable properties. The major difference between the two forms of real security is that, with a pledge, our focus is on movable property and, in some cases, it is on incorporeal property.

The two main parties here are the pledgee and the pledgor. The pledgor is the debtor and the person who pledges their property and the pledgee, the creditor and the person who takes possession of the property. The idea is that, to guarantee payment of a debt, a debtor (pledgor) givesthe creditor (pledgee) property that they hold on to until repayment of the debt.

Case study — Creation of a pledge

Here is an example to illustrate this. Should Pamela wish to borrow R5 000 from their choirmaster, Lelethu, an agreement can be created in terms of which Lelethu holds on to Pamela's camera and selfie stick valued at R 10 000. A valid pledge is created here when the camera and selfie-stick are handed over to Lelethu, who will keep them as security for the loan. Lelethu may not, however, use the camera and selfie-stick while in possession of these. If the debt remains unpaid, Lelethu, as the pledgee, would be entitled to sell the property.

From the example of Lelethu and Pamela above, what would happen to the delivery requirement if Lelethu already held possession of the camera and selfie-stick because Pamela had loaned these to Lelethu? The answer is that the requirement of delivery is still met although the property was already in Lelethu's possession. Lelethu need not give back the camera and selfie-stick first before receiving it again for purposes of pledge.

Added value — Pledgors and pledgees

Using the correct terminology may determine whether you pass or fail an exam. If you confuse the pledgor with the pledgee, or the mortgagor and the mortgagee, this will obviously affect the correctness of your answer. Remember, the pledgee is the creditor who is receiving possession of the property, and the pledgor is the one making the pledge.

As we have already noted, the pledgee must take possession of the pledged property for a valid pledge to be created. The pledgee must not lose possession of the property. There are exceptions to this principle. For instance, if possession is lost involuntarily through theft, the pledge remains valid and does not

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come to an end. The pledgee may approach a court to reclaim possession of the pledged property from whoever has it. If the loss of possession is voluntary, such as when the pledgee gives away the property, the pledge comes to an end.

Both moveable and incorporeal property can be pledged. Incorporeal property is property that cannot be seen or touched. In other words, it has no physical substance. Examples of incorporeal property include shares in a company or intellectual property rights. Pledging incorporeal property follows the same process as with moveable property but, instead of delivering physical property, one delivers a document providing evidence of the incorporeal right. The agreement is to pledge to cede the right to the incorporeal property.

The pledgee owes a duty of care over the property while it is in their possession. This means that the pledgee must take proper care of the property pledged. Remember that the pledgee is not entitled to use the property, but this does not mean they can be reckless or negligent with the property. If the property is damaged in the possession of the pledgee, there is a presumption that the pledgee was negligent, but this presumption can be challenged or rebutted.

The fruits of the property belong to the pledgor. By fruit, we mean any add-ons or additional benefits that accrue to the property while in the possession of the pledgee. For example, if the pledged property is a goat and the goat has five kids, when the pledge comes to an end, the goat and its five kids have to be returned to the pledgor.

Activity 23.2

Assume that you are an investor who has been approached by Tshego, a small enterprise owner who requires a loan of R45 000 to help with the enterprise, Skhokho (Pty) Ltd. Tshego pledges the company's shares to you as security for the loan. Should Tshego default on the agreement by failing to pay the debt, you will receive the sum you loaned, plus interest at the maximum permissible rate in South Africa.

Step by step, set out how such a pledge would have to be created. Compare your answers with a study partner.

23.5.3 Lien

A lien is the right of a creditor, also called a lien holder or lienor, to hold onto property of another as security for a debt. The lien holder is entitled to have physical control of the property until they are paid in full.

There are two types of liens:

1. an enrichment lien
2. a debtor and creditor lien.

Enrichment lien

This type of lien arises where the lienor or lien holder incurs costs for either improvements made to property, or necessary cost that accrued in looking after another's property. The first lien refers to an improvement lien while the latter refers to a salvage lien. The two are demonstrated in the scenario below.

If Ntuthuko is left with Nomafu's car while Nomafu is overseas and has to spend R1 000 every month on maintenance for that car until Nomafu's return, it can then be said that Ntuthuko incurred expenses for the preservation of the car or its salvaging. If Ntuthuko retains possession of the car until they are reimbursed for the money spent, then this would be a salvage lien, subject to the requirements we will discuss later. If Ntuthuko incurs costs for replacing the engine and the battery of the car with more recent versions, which enhance the performance of the car, these can be seen as improvements to the car. Again, subject to the requirements of a lien, they can be seen as improvement liens if Ntuthuko retains possession of the car until there is reimbursement for the improvements made to the car.

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The underlying basis of payment here is that there is no justifiable reason why the lienee (owner of the property) should profit from the improvements or preservation costs spent by the lien holder. There is no contract in place that would justify the money spent, hence the need to ensure that the lienee pays for these costs. If the lienee does not pay, this would be unjustified enrichment because the lienee is unjustifiably **enriched** at the expense of the lien holder.

To be **enriched** means that you have gained a financial advantage from something.

Two requirements are necessary to satisfy here – the knowledge of the possessor and the type of service done.

Types of service done

Here, we consider whether the service was useful, necessary, or luxurious.

- necessary expenses: These expenses arise from the need to prevent the destruction of property or to ensure its continued usefulness. Put differently, if these expenses are not met, the property would not be useful, or would be destroyed. If not for the actions of the lien holder, the property would be damaged. For example, towing a car that has broken down in the middle of the highway would be a necessary expense. This category of expenses gives rise to a salvage lien. It is not relevant whether there is good faith (*bona fide*) or bad faith (*mala fide*) – necessary expenses will always create an enrichment lien.
- useful expenses: These expenses increase the value of the owner's property, but are not as important or needed as necessary expenses. Because they enhance the value of the property, they give rise to an improvement lien. The lienee will not be able to recover the full amount spent on improvements with this type of lien. The only amount that can be recovered is the amount by which the property has been enhanced or improved. Where the work is done in good faith, there seems to be no doubt that these expenses can be the basis of a lien, but it is less certain whether this is the case when the work is done in bad faith. These matters will be determined on a case-by-case basis until the courts settle the debate.
- luxurious expenses: These expenses are not necessary, nor do they improve or enhance the value of the property. They do not serve any practical function. An example of this might be adding a fountain to a garden or adding a jacuzzi. While these are desirable additions, they are not necessary and do not necessarily enhance the value of the property. For this reason, these expenses generally do not form the basis of a lien.

Activity 23.3

Re-read the example of Ntuthuko and Nomafu discussed earlier. Critically discuss why the lien is not a debtor and creditor lien, if the costs incurred are maintenance costs to keep the car running. Would your answer change if Ntuthuko enhanced the car by adding gold rims to the car's tyres?

Debtor and creditor liens

These types of lien are premised on incurred expenditure arising from contractual work. The service provider (the creditor) is owed money by the lienee for work rendered and may keep possession of the asset until full payment has been made for the services. The following scenario demonstrates how this lien works. Nickieta takes her dresses and evening gowns to their tailor, Papa G, who charges R9 000 for all the alterations. Papa G finishes the work on time and Nickieta is extremely happy about the work done. The agreement was for the amount to be paid upon completion of the job, but when presented with the invoice, Nickieta promises to do so after 60 working days. The amount is not paid as per the agreed terms. In this case, Papa G can hold onto the clothes as security until the services rendered are paid for in full.

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From the above example, it can be seen what the requirements for the creation of a debtor and creditor lien are. The following requirements must be met:

1. There must be agreement between the debtor and creditor regarding the service rendered.
2. The work agreed upon must have been completed properly.
3. The creditor must keep possession of the item or property where work was done. In the example above, this would refer to the clothes.

Let us now consider each of these requirements separately.

The agreement between the debtor and creditor regarding the service rendered

In our example above, it can be seen that there was an agreement between Papa G and Nickieta about the work that needed to be done. This is the agreement referred to in terms of this requirement. There must be an agreement about the service to be rendered. It is not necessary for an agreement about the lien. In other words, there is no requirement for Papa G and Nickieta to have an agreement that Papa G will keep the clothes should Nickieta fail to pay.

The work must have been done properly

In our example of Papa G and Nickieta, you will remember that Nickieta was happy with the work done by Papa G, which demonstrates that the work was done properly. This satisfies the second requirement that the work agreed on is properly done.

The creditor must retain possession

This is an essential requirement for a lien to operate. Possession must be retained by the creditor at all times for a lien to be valid. Possession encompasses two aspects – physical control and intention. The intention of the creditor must be that the property is being held as security for the debt. Physical control entails that the creditor exercises physical and actual possession of the property in question. Once the creditor gives the property away, the lien comes to an end. In our example, if Papa G gives the clothes back to Nickieta before receiving payment, the lien comes to an end because Papa G no longer has physical control of the clothes.

Added value — The legal effect of a lien

Whether it is a debtor and creditor lien or an enrichment lien, the legal effect is that it is a valid legal defence to an action for the return of an owner's property. Remember, if someone has someone else's property without their permission, the lawful owner of the property may normally go to court to have their property returned. The *rei vindicatio* is the legal action that the owner uses to get their property back, such as from a thief.

Where a lienholder (the service provider) is sued for the return of property held in terms of a lien, they will be able to explain to the court that the owner's normal right to have the property returned should not be granted because of the lien over the property. So, an owner (who is also the debtor) will be able to have their property returned only when they pay what is owing to the service provider.

However, the lienholder cannot have the property sold or use the property. Rather, the lienholder may only hold onto the owner's property until they are paid or until adequate security is given for payment, such as a mortgage or a pledge.

However, where the owner becomes insolvent, the lienholder will have a preference against all other creditors in relation to money received from the sale of the property. As mentioned earlier in this chapter, the creation of preferences is the main advantage of having real security. In our earlier example with Mac's debtor and creditor lien over Georgina's car, if Georgina becomes insolvent and the car is sold to pay off Georgina's creditors, Mac will be paid for their work on the car before any other creditors will receive money.

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What do you think?

A number of years ago, debtors could be put into prison for owing money to a creditor. Now that there is no longer a so-called debtors' prison, there is a greater need for creditors to ensure that they will be paid by getting security for the debtor's obligation. What do you think are the positive and negative aspects of putting debtors into prison?

Chapter summary

In this chapter, you learned the following about the law of security.

- Real security can be defined and viewed as property that is given as security for a debt owed by a debtor to a creditor.
- Personal security, however, is concerned with a person being liable in their personal capacity for the debt of another.
- The most obvious advantage of security is that one is more likely to get credit if security is provided for the debt because it creates a greater sense of confidence that the debt will be paid.
- Suretyship is personal security provided by a surety to the creditor for the debt. For example, one can stand as surety for the debt of a friend if they are in a more financially secure position. In this example, the friend who is indebted is the principal debtor and the party that extended the loan is the creditor. The surety's duty is to pay the principal debtor's debt if that debtor cannot pay back the debt. We therefore say that the surety's obligation is accessory to the main debt. The contract has two parties: the creditor and the surety, or co-sureties.
- These are the requirements for a valid suretyship contract are:
  - The contract must be valid.
  - The contract must be written.
  - The creditor, the debtor and the surety(ies) must be identified.
  - The nature and amount of the principal debt must be specified.
- There are different ways in which debtors can provide real security for a loan. Different types of real security include mortgages, pledges, and liens.
- A mortgage is an instrument created by agreement, which is used as real security for repayment of a principal debt relating to immovable property.
- The function of the mortgage bond is to serve as written acknowledgement of the underlying principal debt and to inform the world that a particular property has a limited real right over it, belonging to the mortgagee.
- A valid mortgage bond exists where there is a valid agreement and where registration takes place.
- Mortgage bonds can be grouped into seven main types which are:
  1. the general or standard mortgage bond
  2. *kustingbrief*
  3. covering bond
  4. standard building bond
  5. participation bond
  6. indemnity bond
  7. notarial bonds.
- A pledge is a type of real security, which is created by 'pledging' the property of the debtor to the creditor. There are two requirements for a valid pledge:
  - an agreement to pledge
  - delivery of pledged property into the possession of the creditor (also referred to as the pledgee).
- The pledgee keeps in their possession an item owned by the pledgor until the pledgor repays the debt. This, however, does not give the pledgee the right to use the pledged item.
- A lien is the right of a creditor (also called a lien holder or lienor) to hold onto property of another as security for a debt. The lien holder is entitled to have physical control of the property until they are fully paid.
- There are two types of liens: an enrichment lien, and a debtor and creditor lien.
- An enrichment lien arises where the lienor or lien holder incurs costs for either improvements made to property or costs necessary in looking

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after another's property. The first lien refers to an improvement lien while the latter refers to a salvage lien. The reason why payment is due here is that there is no justifiable reason why the lienee (owner of the property) should profit from the improvements or preservation costs spent by the lien holder. This type of lien is established where there is knowledge of the possessor and after considering the type of work done.

- When discussing the type of service done, we consider whether the service was useful, necessary or luxurious:
  - Necessary expenses arise from the need to prevent the destruction of property or to ensure its continued usefulness. These expenses give rise to a salvage lien.
  - Useful expenses increase the value of the owner's and give rise to an improvement lien. The lienee will not be able to recover the full amount spent on improvements with this type of lien. Where the work is done is *bona fide*, these expenses form the basis of a lien, but it is unclear if the same is true when there is bad faith.
  - Luxurious expenses are not necessary, nor do they improve or enhance the value of the property. As such, they do not form the basis of a lien.
- A debtor and creditor lien, however, is based on incurred expenditure arising from contractual work. The service provider is owed money by the lienee for work rendered and may keep possession of the asset until full payment has been made for the services.
- These are the requirements for a valid debtor and creditor lien:
  - An agreement is reached between the debtor and creditor regarding the service rendered.
  - The work agreed upon must have been fully and properly done.
  - The creditor must keep possession of the item or property where work was done.

Review your understanding

1. Which of the following statements is/are TRUE of the debtor and creditor lien?
   a) The creditor and debtor must agree on keeping possession of the property for work done.
   b) The work rendered must be work that only the creditor could do.
   c) Necessary expenses in this lien refer to expenses that are necessary and need to be incurred in order to keep the property maintained.
   d) There must be agreement on the work that is to be rendered by the creditor.
2. Choose the statement that is INCORRECT.
   a) The registration requirement for a mortgage bond is referred to as a public act because it demonstrates to the public that there is a mortgage bond in place.
   b) The registration of a mortgage bond is done by a conveyancer.
   c) A *kustingbrief* is a mortgage bond where the creditor has security for an existing debt.
   d) A covering bond is a mortgage bond that secures a debt which may arise in the future. Unlike a standard mortgage bond, which secures existing debts, the covering bond is intended to secure future debts.
3. In which category of liens would one place salvage and improvement liens?
4. Discuss the difference between the debtor and creditor liens, and an enrichment lien.
5. Set out the requirements for a valid pledge.
6. You are a transactions advisor, and you are approached by a client who wants a brief discussion of the types of mortgages and an example of one of the clauses. Advise your client fully and draft one example of a mortgage clause.
7. With reference to a practical example, illustrate the circumstances under which an enrichment lien may be created.

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Further reading

Sharrock, R. 2017. *Business Transactions Law*, 9th ed., Cape Town: Juta and Co. (Pty) Ltd

Van der Walt, A.J. and Pienaar, G.J. 2009. *Introduction to the Law of Property*. 6th ed., Cape Town: Juta and Co. (Pty) Ltd

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Chapter
24 Labour law

The main ideas

- The impact of the Constitution on labour relations
- The meaning of 'employee'
- Unfair dismissals and unfair labour practices
- Freedom of association
- Organisational rights
- Strikes and lockouts
- Unfair discrimination
- Affirmative action
- Basic conditions of employment

The main skills

- List the sources of labour law.
- Distinguish between an employee and an independent contractor.
- Describe the meaning of dismissal.
- Identify the different types of dismissal.
- Understand the concept of freedom of association.
- Appreciate the nature of organisational rights.
- Distinguish between protected and unprotected strikes, and lockouts.
- Explain the meaning of unfair discrimination.
- Appreciate the need for affirmative action.
- Identify the designated groups for affirmative action.
- Outline key basic conditions of employment.

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During your studies, or after completing your studies, you are likely to enter the job market as an employee or independent contractor. You may even decide to start your own business, or work in a family business. Irrespective of whether you are employed or need to hire staff for your own business, **labour law** affects you. This chapter introduces you to the legal principles governing the employment relationship in South Africa.

Labour law is also known as employment law.

We will look briefly at the impact of the Constitution of the Republic of South Africa, 1996, (the Constitution) on labour relations. We will then distinguish between independent contractors and employees. Since unfair dismissal cases make up the majority of labour disputes, we devote a fair amount of the chapter to the law of unfair dismissals. This chapter also looks at the importance of collective bargaining and discusses strikes and lockouts. Lastly, we provide an overview of the law of unfair discrimination and basic conditions of employment.

Before you start

Consider the following scenario. **Mx.** Simpson has been working as a forklift truck driver for Synergy Construction (Pty) Ltd for ten years. One weekend, while off duty, Mx. Simpson was in a car accident involving a taxi. Mx. Simpson lost the use of both legs. Despite attempts to reasonably accommodate Mx. Simpson in other positions in the company, they

Mx. is used as a title for non-binary persons or when you do not know the preferred title for a person. Do not assume that everyone is either Ms., Mrs. or Mr.

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were not able to perform the work. Eventually, the company dismissed Mx. Simpson. On what grounds do you think the company dismissed Mx. Simpson? Does this sound like a fair dismissal?

Keep this scenario in mind as you read the chapter. We will come back to it before the end of the chapter.

24.1 Overview of the sources of labour law

24.1.1 The impact of the Constitution on labour relations

As the Constitution is the supreme law of the land, the Constitution is one of the sources of labour law. The Constitution impacts every aspect of our lives, and labour relations are no exception. Any law or conduct inconsistent with the Constitution is invalid (section 2). Section 23 of the Constitution gives everyone the right to fair labour practices and gives every worker the right to:

- form and join a **trade union**
- participate in the activities and programmes of a trade union
- **strike** to try to force their employer to take note of their demands regarding working conditions and/or low pay.

A **trade union** is an association of employees formed to regulate the relationship between employees and employers, and to improve the income and working conditions of the employees through collective bargaining.

When workers **strike**, they stop working in an effort to compel their employer to take note of their demands regarding working conditions, such as low pay.

Section 23 also gives every employer the right to:

- form and join an employers' organisation
- participate in the activities and programmes of an employers' organisation.

The Constitution protects all workers. As **sex workers** and illegal immigrants working without a work permit are regarded as vulnerable workers, they are also protected under the Constitution (and labour law) as workers. The Constitution also protects workers who are not protected by legislation.

Sex work is work. It is important not to let one's moralistic view of work affect one's judgment in labour matters.

Activity 24.1

In addition to section 23, there are other constitutional rights that impact labour law. With a study partner, examine the Bill of Rights to pinpoint the constitutional rights that directly impact the employment relationship.

24.1.2 Other sources of labour law

To deal with the serious labour challenges, such as poor working conditions, unfair discrimination, unfair dismissal, and unemployment, labour law is extensively regulated by legislation:

- Labour Relations Act 66 of 1995 (LRA)
- Basic Conditions of Employment Act 75 of 1997 (BCEA)
- Employment Equity Act 55 of 1998 (EEA)
- Compensation for Occupational Injuries and Diseases Act 130 of 1993
- Unemployment Insurance Act 63 of 2001
- Occupational Health and Safety Act 85 of 1993 (OHSA)
- Skills Development Act 97 of 1998
- Employment Services Act 4 of 2014.

Legislation, such as the Broad-Based Black Economic Empowerment Act 53 of 2003 also impacts labour law.

Attached to certain legislation are various Codes of Good Practice, which serve as labour guidelines to **decision-makers** on how the law should be interpreted and applied.

In labour law, these **decision-makers** could be chairpersons in disciplinary hearings, investigators in misconduct investigations, commissioners in the Commission for Conciliation, Mediation and Arbitration (**CCMA**), bargaining councils, and judges in the Labour Court and Labour Appeal Court.

The **CCMA** is a specialised dispute resolution forum for labour disputes.

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Other sources of labour law include the common law, international law, judicial precedent (case law), ministerial and sectoral determinations, **collective agreements**, and the actual contract of employment.

Collective agreements are made in agreement with the trade unions.

Added value Common law duties of the employee and employer

There are a number of the common law duties of employees and employers, which apply automatically by operation of the law even if the parties do not expressly include them in their employment agreements (imposed terms).

The common law duties of an employee are:

- the duty to tender services at the agreed time and place
- the duty to work competently and diligently
- the duty to obey lawful and reasonable instructions
- the duty to serve the interests of the employer
- the dutyto act in good faith towards the employer.

The common law duties of the employer are:

- the duty to pay the employee
- the duty to provide safe working conditions
- the duty to treat the employee fairly, with dignity and respect.

Evidently, labour law is vast. For the purpose of this chapter, we provide an overview of key aspects of labour law. Should you be interested in learning more about labour law, refer to the list of readings at the end of the chapter.

Activity 24.2

With a study partner, look up the aims and application of the LRA, the BCEA and the EEA. Draw a table to collate your answers, so that you fully understand the scope of these important labour statutes.

24.2 Employees and independent contractors

The definition of an employee includes any person who works for another person, or for the State, in exchange for remuneration and who, in any manner, assists in the carrying on of the business of an employer (section 1 of the BCEA and EEA, and section 213 of the LRA). In some cases, an ex-employee or job applicant falls within the definition (section 9 of the EEA).

The term 'employee' specifically excludes an independent contractor, who is a person who works under a contract for work, usually, for a specific project or task. By contrast, employees are, typically, employed indefinitely by an employer to do a range of tasks specified by the employer. For example, domestic workers can be considered to be employees. They would be obliged by law to obey the lawful instructions of their employers. A painter, however, who you have hired for a period of a week to paint your house, would be an independent contractor. It would be largely up to the painter to decide how to paint the house. The painter would not have to take note of any tips you might wish to give them regarding a better painting method.

The legal significance of this distinction is that only employees are protected under labour law and its specific remedies. If an independent contractor has a dispute, they need to rely on other branches of law (for example, the law of contract), depending on the nature of the contract and the dispute. An independent contractor's disputes are heard in the ordinary civil courts (see Chapter 1), while an employee's disputes are heard in the specialised labour forum and courts (CCMA, Labour Court, and Labour Appeal Court). If a worker is an employee, the employer is required to comply with the extensive body of labour laws that serves to protect employees. For example, if an employee falls pregnant and the

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employer terminates the contract, the employer may be liable for an automatically unfair dismissal under the LRA. Whereas, if an independent contractor falls pregnant and is no longer able to deliver on the specified project, the other contracting party is entitled to invoke the termination clause in the contract to cancel their relationship and find a replacement to finish the project.

We can summarise the differences between the contract of employment (employee) and the contract of work (independent contractor) as follows:

Table 24.1 Contract of employment versus contract of work

Contract of employment	Contract of work/independent contract
The object of the contract is the provision of personal services.	The object of the contract is the performance of certain specified work or the production of a certain specified result.
The employee must personally answer to all the employer's demands. The employee must work at the times the employer wants them to work.	Independent contractors do not have to do the work themselves. They can sub-contract the work to others.
The employer can decide whether or not they want the employee to do the work.	Independent contractors have to do the specified work or produce the specified results within the fixed time period stated in the contract.
Employees have to obey the lawful and reasonable instructions given by their employers. Employers are allowed to control and supervise their workers by telling them the way in which they are to work.	Independent contractors only have to produce the results as specified in the contract. They do not have to obey any specific additional orders of the employer. The way that independent contractors do their work is up to them.
An employment contract ends on the death of an employee.	An independent contractual relationship does not necessarily come to an end on the death of either of the parties.
According to common law, an employment contract comes to an end once the agreed period of service expires, or upon termination of the contract by either party.	An independent contract comes to an end once the task has been completed or once the required result has been achieved.

24.2.1 When is a person presumed to be an employee?

Determining if a worker is an employee is always the first step in any labour dispute, as this determines if the worker is protected under labour law. If a worker earns below the **annual earning threshold**, then we apply section 200A of the LRA (see also section 83A of the BCEA), which creates a rebuttable presumption. Regardless of the form of the contract, if a worker can satisfy any one or more factors below, that worker is presumed to be an employee unless otherwise proven by the employer:

- The way in which the person works is subject to the control or direction of another person.
- The person's hours of work are subject to the control or direction of another person.
- If the person works for an organisation, that person forms part of that organisation.
- The person has worked for the other person for an average of 40 hours per month for the last three months.
- The person is economically dependent on the person for whom they work.
- The person receives the necessary tools of the trade or work equipment from the other person.
- The person works for, or provides services to, only one other person.

The **annual earning threshold** is currently R224 080,48 (before deductions) and is determined by the Minister of Employment and Labour. Employees earning below the threshold are regarded as more vulnerable and enjoy certain statutory protections.

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Activity 24.3

The Code of Good Practice: Who is an employee? is an important source of guidelines in this enquiry into whether a worker is an employee. Where the statutory presumption does not apply, the dominant impression test is used to decide whether workers are employees or independent contractors. This common law, or judicial, test requires a holistic evaluation of the factors therein to determine the dominant impression of whether the worker is an employee. No one factor determines if a worker is an employee.

Look up the factors that make up the dominant impression test and compare them with those in the statutory presumption. Share your observations with a study partner.

It is common for employers to label a worker as an independent contractor even though the working relationship is one of employment. The reason is that employers try to evade their labour law obligations towards the workers. Hence, the wording in an employment contract between the parties will not necessarily affect whether the rebuttable presumption applies. An enquiry into whether a worker is an independent contractor or employee is a question of fact (considering the substance of the relationship), and not form (the label on the contract).

Let us now look at the LRA, BCEA and EEA in more detail.

Activity 24.4

Jack Russell has been providing services for the Canine Services (Pty) Ltd for the past five years on an annual contract. Jack was required to meet various clients to sell meat products to them and was paid a commission of 10% on each meat package sold. Jack had an office on Canine's Services' premises, but was not subject to any working hours.

Clause 3 of their written contract stated that `Jack Russell is an independent contractor, and would under no circumstances be regarded as an employee'. Clause 15 stated that Jack was not permitted to sell any products for any other customer for the duration of the contract, and that Jack was required to further Canine Services' business interests at all times. Jack Russell is required to make a monthly report on sales made.

In the event of a dispute between the parties, will Jack be able to approach the CCMA as an employee, or will Jack have to rely on the ordinary contractual remedies as an independent contractor? Consider the respective legal positions that would apply if Jack earned below the threshold and above the threshold.

24.3 The Labour Relations Act

The LRA aims to give effect to the constitutional right to labour relations. In this way, the LRA seeks to:

- promote economic development, social justice, labour peace and the democratisation of the workplace
- regulate the law of unfair dismissal and unfair labour practices
- encourage employees to join trade unions and employers to join employers' organisations (freedom of association)
- provide a framework in which the parties can bargain together to decide matters of mutual interest, for instance, wages
- provide structures to resolve disputes between parties in the employment relationship.

Individual labour law deals with the individual relationship between an employer and an employee.

Collective labour law deals with collective relationships – for instance, between employers and employees, and trade unions and employees.

We will now look at selected aspects of **individual labour law** – the law of unfair dismissal and unfair labour practices. Thereafter, we will discuss selected aspects of **collective labour law** – freedom of association, organisational rights and collective bargaining.

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24.3.1 Unfair dismissals

Unfair dismissal cases are by far the most common type of case that the CCMA deals with. The LRA is the primary statute that regulates this area of law. Now that we have explained how to identify an employment relationship, we will consider how that relationship can come to an end.

An employee has the right not to be unfairly dismissed (section 185), but does not have the right to not be dismissed. This means that dismissal can be fair and lawful. When a worker alleges that they have been unfairly dismissed, the CCMA or court will first consider if they are an employee and then determine whether the employee has been dismissed (section 186(1)). Thereafter, the CCMA or court will consider whether that dismissal is unfair.

The onus is on the employee to prove that they have been dismissed on a balance of probabilities. Let us now consider the meaning of dismissal and then look at the element of unfairness.

The meaning of dismissal

The definition of dismissal is much wider than you may think. The LRA's definition of dismissal provides for six forms of dismissal:

1. **termination** with or without notice
2. non-renewal of fixed-term contracts
3. not allowing an employee to resume work after maternity leave
4. selective re-employment
5. constructive dismissal
6. resignation by employees after transfer of business.

Termination, in the context of labour law, refers to the ending of a contract of employment.

Let us look at each form of dismissal in more detail.

Termination with or without notice

The most common type of dismissal occurs where an employer brings a contract of employment to an end by giving an employee notice (usually, in the form of a letter), or without giving notice in serious cases of misconduct (summary termination).

Non-renewal of fixed-term contracts

A fixed-term contract is an agreement that lasts for a certain and specified period of time. A fixed-term contract can also come to an end when the specific project or event for which the work was being done is completed. There is nothing to stop an employer from employing someone on the basis of a fixed-term contract that comes to an end after a limited period of time. If the employer does not renew the contract at the end of such a period of time, this may amount to a dismissal, if the employee had a reasonable expectation that their contract would be renewed. When determining what constitutes a reasonable expectation of renewal, we must consider the merits of the case and the surrounding circumstances, such as if an employer made promises of renewal to the employee, or if the employer has renewed the employment contract a number of times arbitrarily, or if the employee is included in projects that are scheduled for after the end date of a contract. To prevent this expectation from arising in the mind of the employee, employers frequently include a clause in the contract, which reads as follows:

> 'The employee understands that they have no expectation that this contract will be renewed, and no renewal of this contract will take place unless the employer gives notice to the employee in writing of the intention to renew'.

Note that an employee earning below the prescribed threshold may claim to be a deemed permanent employee if they have been appointed on a fixed-term contract basis in excess of three months and one of the exceptions listed in the Act does not apply (see section 198B). Exceptions to this provision include seasonal workers, contract workers who have already retired and are thereafter appointed on contract, and employees working on a special project or a project involving external funding.

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Maternity leave

In terms of the BCEA, a female employee is entitled to four consecutive months' maternity leave. In addition to this, the employee may be entitled to take maternity leave in terms of a collective agreement or in terms of their contract of employment. If the employee has taken all their maternity leave and the employer refuses to allow the employee to come back to work, this is considered to be another form of dismissal.

Selective re-employment

Consider this scenario. An employer dismisses six employees because they arrived at work intoxicated after a lunch-time birthday celebration for one of the employees. If the employer later chooses to rehire four of the six employees, the two employees who were not re-employed may claim that a dismissal has taken place. This situation can be classified as a dismissal because the employer gives no explanation as to why some workers have been re-employed, while others remain unemployed. It is important for an employer to act consistently and fairly.

Constructive dismissal

In this case, it is the employee who terminates the contract of employment, and not the employer. If the employee can prove that they resigned because the employer made continued employment intolerable, this is a constructive dismissal. A situation that is merely inconvenient, difficult or unhappy for the employee will not be sufficient to prove constructive dismissal. The employee's feelings must have been reasonable. For the employee to succeed with such a claim, the employee has to prove the following:

- The employee brought the contract to an end.
- The reason for resigning was that the employer made continued employment intolerable.
- They would have carried on working for an indefinite period had the intolerable situation not been created by the employer.
- There was no other reasonable option available to the employee besides resignation.

Activity 24.5

Sue-Anne books exclusive season tickets for the once-in-a-lifetime Country-Cup Soccer Games, hosted by South Africa. Sue-Anne purchased these tickets in the hope that their employer would grant their application for special leave during the soccer season. However, their application for leave was declined because of the operational requirements of the business. The company is under-staffed during the financial year-end, and simply cannot allow Sue-Anne to go on leave for the entire soccer season. Sue-Anne feels that the company is making their working conditions intolerable by declining the leave application, because the manager knows that they already purchased the expensive tickets and that they are a soccer fanatic. Advise Sue-Anne on whether they have been constructively dismissed.

Resignation by employee after transfer of business

In the case of a business being taken over by a new employer, an employee may resign and claim that they have been dismissed if their new conditions of employment are less favourable in comparison to before the business was sold. The employee must prove that the conditions of employment offered by the new employer differ significantly from the previous working conditions. This means that the new employer must place employees on terms and conditions of service that are substantially similar to those provided by the previous employer.

Activity 24.6

There are also other ways in which an employment contract can come to an end. Now that you have studied the general principles of contract in earlier chapters in the textbook, consider the ways in which the contract of employment can come to an end outside of the provisions of the LRA. Discuss your answers with a study partner.

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Fairness of a dismissal

Once an employee proves that there was a dismissal, the next step is to consider whether that dismissal was unfair. Here, we consider the following:

- **automatically unfair dismissals**
- other unfair dismissals:
  - misconduct
  - incapacity
  - operational requirements.

Automatically unfair dismissals often result in a more severe penalty being paid by the employer in comparison to other forms of unfair dismissals.

The employee bears the onus to prove that the dismissal is automatically unfair. If they do not succeed, the employer has to prove that a dismissal is unfair for one of the three permissible reasons for a dismissal and that the dismissal was carried out following a fair procedure.

Let us now discuss each type of dismissal in more detail.

Automatically unfair dismissals

Our law considers certain types of dismissal to be so serious that they are regarded as automatically unfair (section 187(1)). If an employer dismisses an employee in any of the following instances, the dismissal is automatically unfair:

1. The employee took part in, or indicated that they were going to take part in, a protected strike or protest action.
2. The employee refused to do the work normally done by a worker taking part in a protected strike (unless that work was necessary to prevent danger to health, personal safety, or life).
3. The employer forced an employee to accept a demand relating to a matter that should have been negotiated between the employer and the employee because it was of interest to both parties.
4. The employee acted against the employer by exercising a right given by the LRA or by participating in proceedings set up in terms of the LRA.
5. The employee was pregnant or intended to fall pregnant (any reason for dismissal that is related to an employee's pregnancy will also be automatically unfair).
6. The employer unfairly **discriminated** against the employee, directly or indirectly, on arbitrary grounds – for example, the employer dismissed an employee after finding out that they are gay.
7. The business in which the employee worked was transferred as a going concern.
8. The employee revealed information that is protected in terms of the Protected Disclosures Act 26 of 2000 (Protected Disclosures Act).

A dismissal may be fair if the employee has reached the company's ordinary retirement age, or if the reason for the **discrimination** is based on an inherent requirement of the job, for example, it is fair to require pilots to have good eyesight.

An example of an automatically unfair dismissal is where the employer dismissed an employee for participating in a trade union activity. Another example is where the employer refused to allow an employee to resume work after they returned from maternity leave.

Three fair reasons for dismissal

The LRA maintains that there are three fair reasons for dismissal:

1. Dismissals related to the *misconduct*, or unacceptable behaviour, of the employee may be fair. A common example of misconduct at work is theft.
2. Dismissals related to the mental or physical *incapacity* of the employee may also be fair. An employee can be fairly dismissed if they are incapacitated by illness (poor health), or by inability and cannot do the work required (poor work performance).
3. Dismissals linked to the *operational requirements*, or financial affairs, of the employer may be fair. For example, a gold mine affected by the downturn in the gold price can fairly dismiss employees.

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Note that, in each of these cases, the employer must prove that, in addition to the fair reason for the dismissal, they also followed fair procedure when dismissing the employee. So, a dismissal will be fair only if there is a fair reason for the dismissal *and* the proper procedure was followed.

Let us consider the case study below.

Case study Do not eat the Jello Tots!

Akira has been employed by Jello Tots (Pty) Ltd for the past eight years as a supervisor and thereafter as a manager. The company's policy is that, to prevent low stock, employees may not eat Jello Tots from the stockroom. Timmy, who has been eyeing Akira's job, reports to the human resources manager, Hana, that Akira has been eating the Jello Tots from the stockroom. Hana is irate, marches into the stockroom and yells at Akira in front of everyone: 'Get out of here! I am sick and tired of dealing with thieves in this company!' Is this a fair dismissal?

From the facts, we can accept that Akira is an employee. First, Akira will need to then prove that there was a dismissal in terms of section 186(1) of the LRA. Hana is an agent of the company and has the authority to dismiss Akira. In this scenario, Hana has dismissed Akira without notice. Next, the company will need to prove, on a balance of probabilities, that the dismissal was for a fair reason and that they followed a fair procedure in the dismissal. On the bare facts, it is unlikely that the company will succeed in proving this, as we do not have clear evidence that Akira ate any Jello Tots. This means that we do not have sufficient evidence of a fair reason in the form of misconduct. It is also unlikely that the company will succeed in proving that they followed a fair procedure because Akira was not even afforded an opportunity to be heard.

This means that Akira was unfairly dismissed and can bring a claim on this basis against the company.

Dismissal for misconduct

The LRA includes the Code of Good Practice: Dismissal that outlines the thought-process that employers, arbitrators, and courts should follow before deciding upon the fairness of a dismissal. Below is a summary of the most important questions that should be asked to determine substantive fairness in misconduct cases:

- Is there a rule that applied to the employee's conduct in the workplace, or that was in some other way relevant to the workplace?
- Is the rule reasonable and valid?
- Did the employee break the rule?
- Was the employee aware of the rule? If not, should they have been aware of it?
- Has the employer consistently applied the rule in the workplace?
- Was dismissal the appropriate sanction for the employee breaking the rule?

Now we will discuss each of these questions in more detail.

Is there a rule?

We must consider the terms that apply to the employment relationship. The contract itself cannot, of course, set out every single rule that the employee must obey. The CCMA or court will not hesitate to imply terms into the employment relationship – the common law duties of the parties, for example. Also, companies ought to have a set of legal rules contained in its disciplinary code, which explains the types of offences against which the employer will take certain types of disciplinary action. For example, an employee can be dismissed for serious types of misconduct, such as harassment, unauthorised possession or use of the employer's property, fraud, intoxication on duty, assault, vandalism of company property, and racism.

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Is the rule reasonable and valid?

The employer must show that the rule is not unreasonable or unlawful. An employee cannot be forced to obey rules that are against public policy or that are not relevant to the employee's work. For example, a rule that employees working with hazardous chemicals inside a laboratory must wear protective equipment is reasonable.

Did the employee break the rule?

The employee's conduct is compared to the rule. For example, if an employee working in the laboratory was on their way out for a smoke break and removed their protective equipment while still in the laboratory, the employee would be guilty of breaking the rule.

Was the employee aware of the rule?

An employee cannot be guilty of breaking a rule that they were not aware of or could not reasonably be expected to know. For example, if a new employee at Jello Tots (Pty) Ltd, from the case study above, ate a Jello Tot on the first day of work, they may be able to argue that they were not aware of the rule. However, if there are signs all over the workplace stating, 'Do not eat the Jello Tots!', the new employee ought reasonably to have been aware of the rule against eating Jello Tots.

Has the rule been consistently applied?

The employer must also show that the company has been consistent in disciplining employees who have acted in a similar way. For example, assume that Jello Tots (Pty) Ltd has not taken disciplinary action against other employees who have been seen eating Jello Tots at work. Then, if Akira eats a Jello Tot, the employer will not be entitled to take disciplinary action against them for eating the Jello Tot.

Is dismissal the appropriate sanction?

Dismissal is the ultimate sanction reserved for cases of serious misconduct. The CCMA or court may reverse an employer's decision to dismiss an employee where this sanction is considered too harsh for the level of misconduct. The following factors are relevant here:

- Was the sanction in line with the employer's disciplinary code?
- Could a lesser penalty have served the same purpose?
- Could the employer have been reasonably expected to continue with the employment relationship?
- How serious was the offence?
- What is the employee's length of service with the employer?
- Are there any mitigating or aggravating factors?

Added value — Disciplinary warnings in the workplace

Disciplinary codes should make provision for verbal warnings, written warnings, and final written warnings as sanctions that fall short of dismissal. The warnings indicate to an employee the seriousness of an offence. If an employee receives warnings for the same offence within a fairly close period, they can then be dismissed.

Note that, depending on the circumstances, even one incident of serious misconduct, together with the employer following a fair procedure, may result in a fair termination of the employee's services. For example, if Kumeran sexually harasses Kim by forcibly kissing them, Kumeran can be dismissed without any warnings.

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Fair procedure in misconduct cases

This can be summarised as follows:

- The employer should investigate to decide whether there are grounds for a fair dismissal. The investigation does not always need to be a formal enquiry.
- The employer should charge the employee with the alleged misconduct, using a form written in language that the employee can understand.
- The employee must be given a reasonable time to prepare a response to the charge/s.
- The employer must conduct a disciplinary hearing with an **impartial** chairperson.
- The employee is entitled to the assistance of a representative at the hearing, who may be a trade union representative or a fellow employee.
- After the enquiry, the employer should give the employee written notice of the decision that has been taken, such as whether the employee has been found guilty and, if there is a penalty, what the penalty is.
- The employee should be given the opportunity to appeal against the decision taken.

An **impartial** person is someone who does not have a personal interest in the matter, and who can make decisions objectively and fairly.

Dismissal for incapacity

An employer is allowed to dismiss an employee who is unable to do their work due to:

- poor health (illness or injury)
- poor work performance.

Poor health

Any person determining whether a dismissal for poor health is unfair must consider whether or not the employee is capable of performing the required work using the guidelines in the Code of Good Practice: Dismissal:

- In the case of temporary incapacity, the employer must investigate the extent of the incapacity.
- If the employee is likely to be absent for a time that is unreasonably long in the circumstances, the employer should investigate possible alternatives short of dismissal.
- The following factors must be considered when deciding on suitable alternatives:
  - nature of the job
  - period of absence
  - seriousness of the illness or injury
  - the possibility of securing a temporary replacement.
- In cases of permanent incapacity, the employer should consider the possibility of giving the employee alternative work or adapting the duties or work circumstances of the employee. This is called reasonable accommodation.
- During the investigation into whether the employee should be dismissed for incapacity, the employee must be given a chance to state their case. A trade union representative or fellow employee must be allowed to assist the employee.
- The degree of incapacity and cause of the incapacity are relevant factors when determining the fairness of the dismissal, such as when dealing with cases of alcoholism or drug abuse, counselling and rehabilitation may be the appropriate steps for an employer to consider.
- Where an employee has been injured at work or is incapacitated by work-related illness, the courts have indicated that there is a more onerous duty on the employer to accommodate and support the employee.

Poor work performance

Any person determining whether a dismissal for poor work performance is unfair should consider whether the employee failed to meet a performance standard in the workplace using the guidelines in the Code of Good Practice: Dismissal. If the employee did not meet a required performance standard, we must consider whether:

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- the employee was aware of the standard, or could reasonably have been aware of the standard
- the employee was given a fair opportunity to meet the required standard
- dismissal was the appropriate sanction for not meeting the standard.

If the answer to the above factors is yes, this will likely result in a finding that there was a fair reason to dismiss the employee for poor work performance.

Fair procedure in poor work performance cases

In order to dismiss a person fairly for poor work performance, the employer must follow these procedures:

- The employer must issue a clear warning, so that the employee is aware that they are not meeting the performance standard.
- The employer must advise the employee that dismissal for incapacity is a possible sanction should they not meet the performance standard.
- The employer must give the employee a reasonable opportunity to improve.
- The employer must provide the employee with ongoing comprehensive feedback.
- The employer must provide the employee with counselling and support.
- The employer must give the employee a chance to state their case before a final decision on dismissal is taken. This usually happens in a hearing.
- The employer must consider alternatives to dismissal.

Poor work performance during probation

The purpose of probation is for both the employer and the employee to evaluate whether:

- they are a good fit for an ongoing working relationship
- the employee is able to perform the work competently and diligently
- the employee fits into the workplace culture
- the employee is compatible with others working in the organisation.

Once the probationary period is over, the employer has the option of:

- extending the period of probation
- confirming employment
- fairly dismissing the employee after probation.

If the employer decides to dismiss the employee or to extend the probationary period, the employer must:

- advise the employee of the areas where they are failing to meet the performance standard
- allow the employee an opportunity to be heard with the assistance of a trade union representative or fellow employee
- advise the employee of their right to challenge the employer's decision
- investigate, if necessary
- consider alternatives to dismissal.

At this stage, you should be able to reflect on Mx. Simpson's scenario at the beginning of the chapter. As Mx. Simpson is no longer able to perform the work due to injury, the company would be able to dismiss them on the basis of incapacity. As Mx. Simpson was not able to work despite efforts by the company to reasonably accommodate them in other positions in the business, the dismissal is likely to be a fair one.

Operational requirements

The LRA defines operational requirements as the economic, technological, and structural, or similar, needs of an employer. Employers often dismiss people because they hope to make a bigger profit by restructuring their organisation and reducing the number of employees (retrenchment). According to the BCEA, an employee is entitled to severance pay, which is calculated according to the length of the service.

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As with cases of misconduct and incapacity, the dismissal will be fair only if the employer has followed a fair procedure.

Section 189 retrenchments

In order to be considered fair, all retrenchments must comply with section 189 of the LRA, which states that the employer must consult widely with parties specified in any collective agreement. If there is no collective agreement that requires consultation, the employer must consult with workplace forums, trade unions and employees. The purpose of consultation is to engage in meaningful joint consensus-seeking on:

- appropriate measures to:
  - avoid dismissals
  - minimise the number of dismissals
  - change the timing of the dismissals
  - mitigate the adverse effects of the dismissals
- how to select employees for retrenchment
- severance pay.

The employer must disclose relevant information to the consulting parties who represent the affected employees, such as:

- the reasons for the proposed dismissals
- any alternatives the employer considered before proposing dismissal
- the number of employees likely to be affected and their job categories
- the number of employees that the employer has dismissed on the basis of operational requirements in the previous twelve months
- the severance pay proposed
- the time period for the proposed dismissals
- assistance that the employer will offer to employees
- the possibility of future re-employment
- the number of employees employed in the organisation
- the proposed method for selecting employees.

A balance between providing employees' representatives with sufficient information to enable them to challenge the reason behind the retrenchment, while protecting the employer from having to reveal confidential business information, is important.

Section 189A retrenchments

Section 189A of the LRA applies where the employer has more than 50 employees. The section will apply if the employer, because of operational requirements, contemplates dismissing at least:

- 10 employees, if the employer employs up to 200 employees
- 20 employees, if the employer employs more than 200, but not more than 300 employees
- 30 employees, if the employer employs more than 300, but not more than 400 employees
- 40 employees, if the employer employs more than 400, but not more than 500 employees
- 50 employees, if the employer employs more than 500 employees.

There are significant differences between section 189A large-scale retrenchments and section 189 retrenchments. For example, section 189A says an employee may strike over the fairness of a dismissal for operational requirements whereas striking is not allowed in the case of ordinary retrenchments. Also, in section 189A retrenchments, a facilitator may be appointed to assist the parties engaged in consultations.

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After appointment of a facilitator, the employer can retrench employees after 60 days of giving notice of the retrenchment. The employees, or the trade union, then have the choice of either beginning a protected strike or referring a dispute to the Labour Court.

If a facilitator is not appointed, either party may refer a dispute to the CCMA for conciliation after 30 days of giving notice of the retrenchment. Once either a further 30 days has passed, or a commissioner of the CCMA has certified that the dispute remains unresolved, the employer can give notice of the termination. The trade union or employees can either give notice of a strike or refer a dispute to the Labour Court, challenging the reason for the dismissal. They cannot do both. Their decision either way is important because it cannot be changed.

Failure by the employer to follow a fair procedure

In terms of section 189A, disputes over the procedural unfairness of a dismissal are dealt with separately from disputes where the employees challenge the reason for a dismissal.

If an employer does not comply with a fair procedure, a consulting party may approach the Labour Court for an order:

- compelling the employer to follow a fair procedure
- stopping the employer from dismissing an employee without complying with a fair procedure
- directing the employer to give an employee their job back until there is compliance with a fair procedure.

If none of these orders is appropriate, the court may make an award of compensation to the unfairly dismissed employees.

24.3.2 Unfair labour practices

Section 186(2) of the LRA deals with unfair labour practices. Unfair labour practice refers to an unfair act or omission that arises between an employer and an employee involving:

- unfair conduct by the employer relating to the promotion, demotion, probation, or training of an employee, or relating to the provision of **benefits** to an employee
- the unfair **suspension** of an employee or any other unfair disciplinary action short of dismissal in respect of an employee
- a failure or refusal by an employer to reinstate or re-employ a former employee in terms of an agreement
- the employer making employment difficult for an employee because the employee made a disclosure protected by the Protected Disclosures Act.

Benefits refer to perks in addition to earning a salary, such as free transport to and from work.

To **suspend** somebody from work means to temporarily remove that person from their job.

In an unfair labour practice, the employer's action or omission does not involve dismissal.

24.3.3 Dispute resolution in unfair dismissal cases and unfair labour practice cases

If the employee wishes to challenge the fairness of a dismissal, or if they dispute the employer's conduct regarding an unfair labour practice, they may refer the dispute in writing to:

- a council, if the parties to the dispute fall within the registered scope of a council, such as the Motor Industry Bargaining Council
- the CCMA, if no council has jurisdiction.

Generally, the employee needs to refer a dispute to the CCMA or bargaining council within 30 days of a dismissal, or within 90 days after the alleged unfair labour practice. Late referrals are allowed if the employee can show a good reason for the lateness.

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Conciliation

The bargaining council, or the CCMA, must try to resolve the dispute through conciliation. Conciliation is an informal process in which the commissioner uses their knowledge of labour law to explain the legal position to parties in order to encourage them to reach a compromise, and thereby settle the case. The commissioner will speak to the parties individually, and highlight the strengths and weaknesses of each side's position in an effort to reach a compromise. Thereafter, the commissioner will draft a settlement agreement that will be signed by both parties, bringing the matter to an end.

Arbitration

Arbitration is a process in which an arbitrator, appointed by the CCMA or bargaining council, listens to the evidence of both parties in a dispute. The arbitrator allows the representatives of the parties to question or cross-examine the witnesses of the other side. The arbitrator will then make a final decision as to which party should succeed in the case. The council or the CCMA must arbitrate the dispute if:

- the dispute remains unresolved after conciliation
- 30 days have passed since the case was referred to the council or the CCMA
- the employee requests arbitration
- the employee has alleged that the reason for the dismissal is related to the employee's misconduct or incapacity
- the employee has alleged that the reason for dismissal is that the employer made continued employment intolerable (constructive dismissal)
- the employee has alleged that, after a transfer, the employer provided the employee with less favourable conditions or circumstances at work
- the employee does not know the reason for dismissal
- the dispute relates to an allegation of an unfair labour practice.

In certain cases, the arbitration proceeds immediately after the conciliation has failed (called con-arb).

Adjudication

When a judge of a Labour Court decides a case, we say that the matter has been adjudicated. The Labour Court must adjudicate a labour dispute after it remains unresolved at conciliation, if the employee has alleged that the reason for dismissal is:

- automatically unfair
- based on the employer's operational requirements
- the employee's participation in a strike, which is not protected by the LRA
- that the employee refused to join, was refused membership of, or was expelled from, a trade union that is a party to a closed shop agreement.

If only one employee is retrenched, that employee may choose to refer the dispute to arbitration.

A party who loses a case in the Labour Court may lodge an appeal in the Labour Appeal Court.

Remedies for unfair dismissals and unfair labour practices

If the Labour Court or an arbitrator finds that a dismissal is unfair, they may:

- order the employer to reinstate the employee. This means that the employee will be returned to the position they held prior to the dismissal on the same terms and conditions and will be compensated for the months between dismissal and reinstatement. The length of service will be regarded as uninterrupted.
- order the employer to re-employ the employee, either in the work in which the employee was employed before the dismissal or in other reasonably suitable work. Here, the employee is employed under new terms and conditions of employment.
- order the employer to pay compensation to the employee.

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The Labour Court or the arbitrator must require the employer to reinstate or re-employ the employee unless:

- the employee does not wish to be reinstated or re-employed
- the circumstances surrounding the dismissal are such that it would be intolerable for the employment relationship to continue
- it is not reasonably practical for the employer to reinstate or re-employ the employee
- the dismissal is for a fair reason, but an unfair procedure was followed.

Compensation for unfair dismissal

Compensation should always be just and equitable in the circumstances. The LRA states that the compensation awarded to the employee may not be more than twelve months' remuneration. This is due to one, or both the following reasons:

- The employer did not prove that the reason for dismissal was fair.
- The employer did not follow a fair procedure.

The amount of compensation is calculated at the employee's rate of remuneration on the date of dismissal.

Compensation for an automatically unfair dismissal

Compensation awarded to an employee in a case of automatically unfair dismissal must be just and equitable in all circumstances. The amount of compensation may not be more than the equivalent of 24 months' remuneration calculated at the employee's rate of remuneration on the date of dismissal.

Compensation for unfair labour practices

The compensation awarded to an employee in respect of an unfair labour practice must be just and equitable in all circumstances. The compensation may not be more than the equivalent of twelve months' remuneration.

Activity 24.7

Consider the scenarios below and then identify the grounds for, or type of, dismissal.

1. Jones was dismissed when their job as a messenger was combined with that of the tea-maker.
2. Sifiso was dismissed for repeatedly arriving late for work.
3. Jillian was dismissed for being drunk at work.
4. Miriam was dismissed because they were White, and the Chief Executive Officer wanted a Black personal assistant.
5. Carika has been suffering from depression for three years since their son died. The company dismissed Carika after repeated efforts to offer support and assistance, which Carika refused.

24.3.4 Freedom of association

Every employee has the right to participate in forming a trade union, or a federation of trade unions, and to join a trade union. A trade union serves to regulate the relationship between employees and employers, including any employers' organisations. The National Union of Metal Workers of South Africa (NUMSA) is an example of a South African trade union. No person may discriminate against an employee for exercising their right to join or form a trade union, nor may any person discriminate against an employee for exercising any other right given to employees by the LRA.

An **employers' organisation** means any number of employers who come together for the purpose of regulating the relations between employers and employees or trade unions.

The Chamber of Mines of South Africa, founded in 1889, is an example of an **employers' organisation**.

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Organisational rights

A **representative trade union** means a registered trade union that is sufficiently representative of the employees employed. In other words, there are enough employees who are members of the union, although not a majority of workers, to allow the union to be entitled to some rights. The parties sometimes argue about whether or not a trade union is sufficiently representative. In the absence of an agreement, a sufficiently representative trade union is usually a trade union that has, as its members, around 30% of employees at a workplace. A majority representative trade union is a trade union that has more than 50% of the employees as members.

A **representative trade union** may consist of two or more registered trade unions acting jointly.

Representative trade unions enjoy special rights, which sometimes burden the employer with corresponding duties. These are known as organisational rights and must be granted by the employer. A representative trade union has the following rights:

- access to the workplace in order to recruit members and conduct meetings
- a deduction of trade union subscription fees if an employee member authorises the employer in writing to deduct these fees or levies
- a reasonable period of leave during working hours for an employee, who is an office-bearer, to perform their trade union activities.

A sufficiently representative trade union enjoys fewer rights than a majority representative trade union because the union has a lower percentage of employees as members. Where the trade union's members are made up of the majority of employees in a workplace, certain organisational rights will also be enjoyed. For example, members may elect trade union representatives, so that these representatives may assist and represent employees in disciplinary and grievance proceedings.

Conciliation is a process where an independent person, a conciliator, tries to get the parties to agree on how to resolve a dispute.

An **arbitrator** listens to both parties' arguments, and makes a legally binding decision that settles the dispute.

Disputes about organisational rights must first be **conciliated** and, if not resolved, the matter will be **arbitrated**. The arbitrator's decision will be based on the LRA.

Added value Representative trade unions versus trade union representatives

Do not get confused between a representative trade union and a trade union representative. A representative trade union is a registered trade union whose members represent a sizeable percentage of the employees employed in a particular industry. A trade union representative, however, is a member of a trade union that is elected to promote the interests of the employees in a workplace.

Collective agreements

A collective agreement is a written agreement that deals with the terms and conditions of employment or any other matter of mutual interest to employers and employees. A collective agreement is concluded by one, or more, registered trade unions and any of the following:

- one or more employers
- one or more registered employers' organisations
- one or more employers and one or more registered employers' organisations.

A collective agreement binds the parties who enter into the collective agreement, and also generally applies to employees who are not members of a trade union participating in the agreement. These points apply if:

- the employees are identified in the agreement
- the agreement expressly binds the employees
- the trade union has a majority of employees as its members.

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Bargaining councils

Registered trade unions and employers' organisations may establish a bargaining council for a sector and area. Bargaining councils must have constitutions and must be registered with the Registrar of Labour Relations. The functions of a bargaining council include:

- concluding collective agreements
- enforcing those collective agreements
- performing dispute resolution functions
- establishing and administering a fund to be used for resolving disputes
- promoting and establishing training schemes
- establishing and administering pensions, provident funds, medical aid, sick pay, and holidays.

Once an agreement is reached at a bargaining council, it sets a standard for that particular industry. However, no trade union or employers' organisation is forced to be a party to a bargaining council.

Statutory councils

A trade union or employers' organisation, whose members make up at least 30% of the employees in a sector and area, can apply for the registration of a statutory council. This is only possible where no bargaining council exists for that sector and area. Parties to a statutory council can draw up agreements on wages and working conditions but these agreements cannot be extended to parties outside the statutory council.

Strikes

Every employee has the right to strike. A strike is the deliberate refusal to work, or the slowing down or obstruction of work, either partially or completely, for the purpose of remedying a grievance or resolving a dispute in respect of any matter of mutual interest between the employer and employees, such as wages. The LRA allows employees to participate in strikes if they meet certain requirements. A strike that meets the requirements of this Act is called a protected strike. A strike that fails to meet the requirements will be unprotected and may easily result in employees being fairly dismissed.

Added value Rights disputes versus mutual interest disputes

Note the difference between rights disputes and mutual interest disputes. Typically, employees do not strike over rights disputes – the right not to be unfairly dismissed or the right not to be subjected to unfair labour practices. Usually, rights disputes are resolved through conciliation, arbitration, and adjudication. Mutual interest disputes, such as disputes about wage increases, may be resolved through the power-play of a strike and lockout.

Lockouts

Lockout means that the employer excludes employees from the workplace for the purpose of forcing employees to accept management's demands on any matter of mutual interest between employer and employee. Every employer has recourse to lock out employees in certain situation even if a contract of employment states that the employee is always allowed onto the employer's premises to work.

Protected strikes and lockouts

In order for a strike or lockout to be protected by the LRA, a matter of mutual interest must have been referred to a bargaining council or to the CCMA. A commissioner must have issued a certificate confirming that the dispute remained unresolved, or 30 days must have passed since the council, or the CCMA received the referral. After that, in the case of a proposed strike, the employer, council or employers' organisation (whichever applies) must be given at least 48 hours' written notice of the start of

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the strike. **Employers** must give similar notice to either trade unions, employees, or a council in the case of proposed lockouts.

The requirements for a protected strike, or lockout, do not need to be followed in these circumstances:

- The parties to the dispute are members of a bargaining council, and the dispute has been dealt with according to the constitution of the council.
- The strike, or lockout, follows the prescribed procedures of a collective agreement.
- The strike is in response to an illegal lockout.
- The lockout is in response to an illegal strike.
- An employer refuses to agree to a request from employees, or a trade union, not to carry out a one-sided change to the employees' conditions of employment.

Where the State is the **employer**, the State must give at least seven days' notice of the start of a lockout. Similarly, the State's employees must give at least seven days' notice of the start of a strike.

The following legal consequences apply to protected strikes and lockouts:

- An employee does not commit a delict, a breach of contract, or expose themselves to any civil claim.
- An employer is not obliged to pay an employee for services that the employee does not render during a protected strike or lockout.
- An employee may not be dismissed for participating in a protected strike.
- An employer can dismiss an employee for misconduct during the protected strike, such as vandalism or violence, or for reasons based on the employer's operational requirements or business needs.

Unprotected strikes and lockouts

Here are some of the legal consequences that apply to unprotected strikes and lockouts:

- The Labour Court can grant an **interdict** to stop the unprotected activity.
- The Labour Court can order the payment of compensation for any losses that result from the unprotected activity.
- Generally, the Labour Court may not grant any interdict unless 48 hours' prior notice of the interdict application has been given to the respondent.
- If employees participate in or promote an illegal strike, the employer is entitled to dismiss the employees, provided the dismissal follows a fair procedure.

An **interdict** is a court order that orders someone to do or not to do something.

Activity 24.8

Tabulate the differences between protected and unprotected strikes to ensure that you fully understand the distinction.

24.4 The Employment Equity Act

The EEA was the first statute enacted to give effect to the constitutional right to equality. It is common knowledge that apartheid and its unjust laws resulted in gross inequality in the national labour market. Parliament realised that, and in order to give proper effect to the right to equality, it was not enough to abolish the apartheid laws. It was necessary to take positive measures to correct the effects of **unfair discrimination** and to encourage transformation. It was in this context that the EEA was enacted. After completing, Activity 24.2, you now know the aims and application of the EEA. A unique feature of the scope of the EEA is that job applicants are protected.

In simple terms, **unfair discrimination** is the differential treatment of a person without lawful justification – for example, not hiring a transgender person because you think being transgender is immoral.

The scope of the EEA is expansive, and it deals with many complex issues. For the purposes of this chapter, we provide an overview of the prohibition against unfair discrimination and key legal principles on affirmative action.

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24.4.1 Prohibition against unfair discrimination

Section 5 places a positive burden on employers to take proactive steps to promote equal opportunity in the workplace by eliminating unfair discrimination in any policy or practice.

Section 6(1) states that 'no person may unfairly discriminate, directly or indirectly, against an employee in any employment policy or practice on one or more grounds – race, gender, pregnancy, marital status, family responsibility, ethnic or social origin, colour, sexual orientation, age, disability, religion, HIV status, conscience, belief, political opinion, culture, language, birth, or any other arbitrary ground'. Where discrimination is based on an unlisted ground, the employee would have to show unfairness by proving that there has been an impact on their human dignity.

Section 6(3) states that **harassment** is prohibited as a form of unfair discrimination on one or more listed grounds.

When an employee alleges unfair discrimination, the employer will have to prove that the discrimination was fair, in order to escape liability:

- If the employer can prove that the discrimination was part of its affirmative action measures, it will not be unfair (section 6(2)(a)). This is explained in more detail below.
- If the employer can prove that the discrimination was based on the inherent requirements of the job, it will not be unfair (section 6(2)(b)). For example, if an employer does not hire a visually impaired person as a pilot, that is not unfair because good eyesight is an **inherent requirement of the job**.

Section 6 sets out the liability of an employer for **harassment** in the workplace. The Code of Good Practice on the Prevention and Elimination of Harassment in the Workplace sets out important guidelines on how to deal with harassment.

Determining what is an **inherent requirement of the job** is an objective evaluation of the job itself, and is not based on the employer's subjective preferences, or any stereotypes or prejudices.

As a general rule, employers cannot force employees or job applicants to undergo medical or psychological testing. The exception is where this is allowed by law or can be justified as an inherent requirement of the job considering the relevant provision of the EEA.

24.4.2 Affirmative action

Affirmative action is one of the most talked-about areas in labour law. Some people think that a Black candidate must always enjoy preference over a candidate of a different race, even if the other candidate is better qualified. This view is not a true reflection of employment equity law.

The provisions dealing with affirmative action apply only to designated employers and designated groups. A designated employer is one that employs 50 or more employees, or that has a total annual income greater than certain amounts set out in the EEA. A designated group refers to:

- Black people (includes Africans, Coloured people, Indians and, more recently, Chinese people)
- women of all race groups
- people with disabilities.

A designated employer has to put in place affirmative action measures that will benefit people from designated groups. This means that an employer must establish policies that are designed to ensure that suitably qualified persons from designated groups have equal employment opportunities and are fairly represented at all levels of the workforce. Such measures must include the following:

- identifying and eliminating barriers, such as unfairly discriminatory employment policies
- measures that promote diversity
- reasonable accommodation for designated groups
- measures aimed at retaining, developing, and training members of designated groups
- preferential treatment to ensure a fair representation of different groups of people at work. For example, where two job applicants have the same experience and qualifications, the employer should choose a candidate from a designated group over a candidate who is not from a designated group.

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Simply being a member of a designated group does not guarantee anyone a job. A person must also be suitably qualified. The EEA states that you may be suitably qualified for a job by having the relevant university degree or prior learning, or relevant experience. You may also be suitably qualified as a result of your capacity to gain, within a reasonable time, the ability to do the job.

Note that, just because an employer has to take affirmative action measures, it does not mean the employer must develop a policy aimed at preventing the recruitment or promotion of people who are not from designated groups, namely, white males or foreign nationals.

Employment equity plan

A designated employer must implement a plan aimed at achieving employment equity. This must be done in line with the EEA and with the consultation their trade union or employee representatives. The plan must:

- set out the goals for each year
- outline the affirmative action measures to be implemented
- have **numerical goals** for achieving equitable representation
- set out internal procedures to monitor and evaluate the plan, including internal dispute resolution mechanisms
- identify the persons who are tasked with monitoring and implementing the plan.

Numerical goals for achieving equitable representation refer to plans for designated groups to be fairly represented in a particular occupational category or level in the workplace.

An employer has to submit an annual progress report containing certain prescribed information about its employment equity plan. If the employer has fewer than 150 employees, the employer needs only to submit this report every second year.

The EEA has systems in place to ensure compliance. For instance, if a labour inspector finds the employer to be in violation of the EEA, they may ask for a written undertaking in which the employer agrees to comply within a specified period. If the employer refuses to give an undertaking, or fails to comply with the undertaking, the inspector may issue an order of compliance, forcing the employer to comply. The Labour Court can, upon request by the inspector, make that an order of court. The employer can also object or appeal to the Labour Court against such an order.

Activity 24.9

Some people allege that affirmative action is 'reverse apartheid' on the basis that it violates the rights to equality of people who do not fall in the designated groups. This view is one that is steeped in ignorance of the true meaning of equality in our constitutional democracy (and in the EEA). In order to understand the basis for affirmative action, we need to distinguish between formal equality and substantive equality.

Formal equality means to treat everyone the same irrespective of their differences. Substantive equality means to treat everyone the same while taking into account their differences. Our law is premised on substantive equality. Formal equality often leads to unfairness and injustice, as we ignore the significant differences between people. Generally, substantive equality leads to fairness, equity, and justice, as we consider the inherent differences between people, such as the historical disadvantage evidenced by the lack of access to education systems, healthcare systems, water, transport, and opportunities. Socio-economically, we are not all the same. In 1994, there was no magic wand that could be waved to ensure that we all suddenly had the same access to basic necessities. Even now, we are still grappling with the effects of apartheid, which are exacerbated by an ineffective government.

Consider the following: If everyone, irrespective of how much they earn, is required to pay R10 000 per month as tax to the State, will that be fair? Is this an illustration of formal equality or substantive equality? Discuss your answer with a study partner.

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24.5 Basic Conditions of Employment Act

The BCEA aims to set basic terms and conditions of employment for the treatment of vulnerable employees. The Act serves to protect employees who are at risk of being exploited, owing to their weaker bargaining position, while also balancing the interests of the employer's business. Below, we provide an overview of common terms and conditions of employment. According to the BCEA, a valid employment contract can be concluded from the age of fifteen years provided the work is not hazardous.

24.5.1 Working time

An employer may not force an employee to work more than 45 hours per week, and nine hours per day if the employee works for five days or less in a week, or eight hours per day if the employee works for more than five days in a week. These hours may be extended to a maximum of 60 minutes per week for those employees who serve the public as they may need to carry out tasks to complete their work. For example, a cashier at a grocery store may need time to count the money in their till after their shift.

If an employee does work for longer hours, the law considers the extra work as overtime.

24.5.2 Overtime

An employer may not force an employee to work overtime unless they have an agreement to this effect. An employee may not be forced to work for more than ten hours of overtime per week. An employee may not be required to work for more than twelve hours per day. An employee who works overtime must be paid at least one and a half times their normal wage, or be given time off, as specified by the BCEA.

24.5.3 Meal breaks

After five hours of work, every employee is entitled to a meal break of at least one continuous hour. This break period may be changed to a shorter period by written agreement. If the employee works less than six hours a day, then the employer is not required to allow a meal break. An employer does not have to pay the employee for the meal break but, if the employee is required to work during the break period, then they must be paid for that time.

24.5.4 Rest periods

A rest period of at least twelve consecutive hours must pass between the ending and recommencement of work. In each weekly cycle, an employee is entitled to a rest period of at least 36 consecutive hours, which must include Sundays, except where the parties otherwise agree. By written agreement, the weekly rest period may be reduced by up to eight hours in a particular week as long as the next week's rest period is extended by the same amount of time.

24.5.5 Annual leave

Employees are entitled to at least 21 days of fully paid annual leave after every twelve-month cycle worked.

If any public holidays fall within the annual leave period, then the period is increased by one day for each such holiday. The parties may also agree to another method of calculation set out in the BCEA. An employee's application for annual leave may lawfully be rejected based on the operational requirements of the employer's business. Annual leave may not be taken later than six months from the end of the annual cycle.

24.5.6 Maternity leave

In South Africa, maternity leave is unpaid leave, unless the employer agrees to pay the employee. An employee is entitled to at least four consecutive months' maternity leave and can be taken from four weeks before the due date of the baby's arrival. Alternatively, maternity leave could begin on a date certified by a doctor or a midwife as being necessary for the health of either the expectant mother or the unborn child. The employee is not permitted to work for six weeks after birth unless a medical practitioner or midwife certifies that they are fit to work. If, in the third trimester, an employee

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miscarries or has a stillborn child, they are entitled to maternity leave for six weeks following the miscarriage or stillbirth.

24.5.7 Parental leave, adoption leave, and commissioning parental leave

Anyone who is a parent of a child is entitled to at least ten consecutive days of parental leave. An employer can increase this period. The leave period can commence on the day of the birth of the child, or the date that the adoption of a child is granted, or the date that the adoptive child is placed in the care of the prospective adoptive parent.

An employee, who is the adoptive parent of a child below the age of two years, is entitled to adoption leave of at least ten consecutive weeks or the parental leave stated above.

The BCEA strives to be progressive in that it also states that a commissioning parent in a surrogate motherhood agreement is entitled to at least ten consecutive weeks of commissioning parental leave or parental leave stated above.

24.5.8 Family responsibility leave

If an employee has worked for an employer for longer than four months and works for at least four days a week for that employer, they are entitled to three days of paid family responsibility leave in an annual leave cycle in the event of:

- the employee's child being sick
- the death of a spouse or life partner, parent, grandparent, child, grandchild, or sibling.

If an employee does not take any family responsibility leave during the year, the leave falls away at the end of the annual leave cycle. A collective agreement may change the number of days and reasons for which this leave can be given.

24.5.9 Variation of basic conditions of employment

In terms of the BCEA, a collective agreement concluded by a bargaining council can vary terms and conditions provided it does not:

- reduce protection of workers in terms of health and safety, and family responsibilities
- reduce annual leave to less than fourteen days
- reduce maternity leave
- reduce sick leave in any way
- allow for any child labour or forced labour.

What do you think?

Reflect on the legal framework on unfair dismissals. Do you think that employees are adequately protected against unfair dismissals under South African law? Does the law on unfair dismissals sufficiently balance the rights and interests of both the employee and employer respectively?

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Chapter summary

In this chapter, you learned the following about labour law:

- Section 23 protects the right to fair labour practices, and gives every worker the right to form and join a trade union, and to participate in its activities and to strike.
- The definition of an employee excludes independent contractors from the scope of protection provided by labour laws.
- Labour legislation creates a rebuttable presumption to ascertain if a worker is an employee. If the presumption applies, the onus shifts to the

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employer to prove that the person is not an employee. Where the presumption does not apply, the dominant impression test is used to decide whether workers are employees or independent contractors.
- Employers and employees have a right to freedom of association. Employers join employers' organisations and employees become members of trade unions.
- Representative trade unions enjoy special rights, known as organisational rights.
- Every employee has the right to strike subject to certain requirements.
- Every employer has recourse to a lockout in certain situations.
- Section 186(1) sets out the meaning of dismissal.
- Section 187(1) sets out a special form of dismissal called automatically unfair dismissal.
- The LRA recognises only three fair reasons for dismissal:
  - misconduct
  - incapacity
  - operational requirements.
- An employer must prove that the dismissal was both substantively and procedurally fair (fair reason and fair procedure).
- The CCMA plays a key role in resolving labour disputes. Before resorting to the labour courts, parties can approach the CCMA for arbitration and mediation of certain types of labour disputes.
- The EEA seeks to give effect to the constitutional right to equality by prohibiting unfair discrimination in the workplace. Discrimination in line with affirmative action measures or the inherent requirements of the job will not be unfair.
- The BCEA sets minimum flexible standards of employment that seek to balance the rights and interests of the employer and employee. The BCEA also aims to protect employees who are at risk of being exploited due to their weaker bargaining position.

Review your understanding

1. What is the legal significance of the distinction between employees and independent contractors?
2. When is a worker presumed to be an employee?
3. Outline the three permissible reasons for dismissal.
4. What factors are used to determine substantive fairness in misconduct cases?
5. What elements must be included in an affirmative action plan?
6. Outline the categories of leave that parents, or potential parents, have under the BCEA.

Further reading

Grogan, J. 2020. *Workplace Law*, 13th ed., Cape Town: Juta and Co. (Pty) Ltd

Van Niekerk, A. and Smit, N. (eds). 2019. *Law@work*, 5th ed., Durban: LexisNexis South Africa

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Chapter 25

Arbitration

The main ideas

- What is mediation?
- What is arbitration?
- Parties to arbitration
- Arbitration process

The main skills

- Outline the process of mediation and arbitration.
- Describe how umpires may be replaced.
- Explain the process that should be followed before an arbitrator's or umpire's appointment is set aside.
- Discuss when an arbitration award may be reversed.
- List what constitutes an offence under the Arbitration Act.

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Disagreements can happen in any relationship. What are the options if the parties are unable to resolve their dispute? The legal system allows parties an opportunity to turn to a person, who is not involved in the argument, to help find a fair solution. Most obviously, this can mean taking a matter to court, but there are other choices (as discussed in Chapter 24 on labour law). Arbitration can either be public or private. In the case of public arbitration, in which the arbitrator performs an administrative function, the arbitrator derives their powers from a specific statute, such as the Labour Relations Act 66 of 1995 (LRA). In the case of a private arbitration, the arbitrator derives their powers from the terms of reference as agreed upon by the parties. Private arbitration is regulated by the Arbitration Act 42 of 1965 (Arbitration Act).

In this chapter, we will focus on private arbitration.

Before you start

Nancy Peters owns an apartment on the second floor of the condominium, Dainty Bungalows. The condominium consists of four buildings with two apartments per building. Each unit is 100 square metres. Each apartment on the ground floor unit has access to a private garden, which does not form part of their respective sectional title deed. The cost of maintaining the garden is split equally between the eight apartment units and apportioned to the apartment owners' monthly levy. The body corporate of Dainty Bungalows believes that the cost of maintaining the gardens should be split equally between each apartment, as it forms part of the common property. Nancy believes that splitting the maintenance cost of gardens is unfair as Nancy does not have access to the gardens and it should, therefore, not form part of the common property. Nancy applied to the High Court for a **declaratory order** on the dispute with Dainty Bungalows. Do you think that this will be the most efficient way to deal with this dispute?

A **declaratory order** is an order handed down by the courts, which defines the rights and/or obligations between two parties, or of a particular party.

As you read the chapter, keep this scenario in mind. We will come back to this at the end of the chapter.

25.1 What is mediation?

Mediation is a process by which a mediator assists parties in a legal dispute by facilitating discussions, helping them to identify issues, explore areas of compromise and generate options in an attempt to

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resolve the dispute. It is a viable alternative to having every dispute resolved in court. Mediation adopts a flexible approach and tries to ensure that disputes are resolved in a reconciliatory manner. The mediator will typically be chosen by the parties, and would have undergone mediation training. Importantly, the mediator will not make a binding decision herself, but will assist the parties to come to the position where they are hopefully able to resolve the dispute.

The advantages of mediation include:

- the flexibility of the process
- the speedy resolution of disputes
- the cost-effectiveness of the process
- the possibility of achieving a 'win-win' situation.

The voluntary court-annexed mediation rules came into operation at various pilot project sites in Gauteng and the North-West Province from December 2014. By 2019, the Court Annexed Mediation project was extended to Regional Magistrates' Courts in all nine provinces. In 2020, Rule 41A was introduced into the Uniform Rules of Court. Rule 41A mandates that parties to a dispute consider mediation as a dispute resolution mechanism. The objective of these rules is to assist case-flow management in the reduction of disputes appearing before court and to promote access to justice. These rules make provision for the referral of disputes for mediation at any stage during civil proceedings, provided that judgment has not been delivered by the presiding officer.

Added value Rule 41A

Rule 41A states that in every new action or application proceeding, 'the plaintiff or applicant shall, together with the summons or combined summons or notice of motion, serve on each defendant or respondent a notice indicating whether such plaintiff or applicant agrees to or opposes referral of the dispute to mediation'.

25.2 What is arbitration?

As you have seen, the process of taking a case to court can be a very long and expensive one. Cases can take years to get to court, especially in matters where there is a lot of paperwork to go through. Some matters can be very technical in nature. For example, when the dispute is about a company's audited financial statements, a judge without technical knowledge may not be the best person to decide such a case. In some instances, both parties want the outcome of their dispute to remain private. For reasons such as this, rather than going to court, it is sometimes easier and better to use private arbitration to resolve the dispute. Private arbitration allows disputants to determine the date, time and place of the arbitration, as well as agree on the identity and powers of the arbitrator. Arbitration is a process in which arguing parties refer their disagreement to a person who is not involved in the dispute. This neutral third party is the arbitrator. After listening to representations from the arguing parties, the arbitrator will make a binding decision, known as an award. The arguing parties have to comply with this award.

25.2.1 Legislation

Private arbitration is regulated by the Arbitration Act. This Act provides for an alternative and cheaper method of dispute resolution, which may be used in certain situations.

In terms of the Arbitration Act, certain matters may not go to arbitration. These include marriage issues and any matter relating to status, such as whether a person is a minor or a major. This is because these cases are considered to be very important to members of the public. Such cases are better resolved by the formal court process where there is no risk of a bad arbitrator being chosen. In general, the parties are free to arbitrate on any matter they wish.

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As a general rule, a single arbitrator adjudicates arbitration matters. However, it is possible for the parties to agree that they want a team of people to arbitrate a specific type of dispute. If this is their intention, this should be followed.

Lufuno Mphaphuli and Associates (Pty) Ltd v Andrews and Another [2009] ZACC 6

Principle

The Constitutional Court considered the manner in which the Constitution of the Republic of South Africa, 1996, (Constitution) (particularly the right to a fair and impartial hearing, as contained in section 34) has an impact on private arbitrations conducted in terms of the Arbitration Act. In particular, the court considered whether private arbitration, conducted in terms of the Arbitration Act, impacted on the right to a fair and impartial hearing, as contained in section 34 of the Constitution.

Facts

Mphaphuli and Associates (Pty) Ltd were electrical infrastructure contractors who were awarded a contract by Eskom to electrify certain rural villages in the Limpopo Province. Mphaphuli and Associates (Pty) Ltd subcontracted a part of the contract to Bopanang Constuction CC. A dispute arose between the two companies and the parties agreed that the dispute would be resolved by an arbitrator. The questions to be decided by the Constitutional Court were whether section 34 of the Constitution applied to private arbitrations, and whether the private arbitration in this case was conducted fairly.

The court's finding

The court held that, while section 34 of the Constitution does not directly apply to an arbitration agreement, the Constitution will still regulate the arbitration agreement indirectly. Private arbitrations have always been required to be conducted fairly. What is fair, according to the court, will depend on the facts. The Constitution is relevant to arbitrations in that a clause in an arbitration agreement which is contrary to public policy, in the light of the values of the Constitution, will render the agreement null and void to that extent. A majority of the Constitutional Court in this case decided that, while the arbitrator may not have been perfect, the arbitration had been conducted fairly.

Added value — Section 34

Section 34 of the Constitution states: 'Everyone has the right to have any dispute that can be resolved by the application of law decided in a fair public hearing before a court or, where appropriate, another independent and impartial tribunal or forum'.

In 2017, the International Arbitration Act 15 of 2017 (International Arbitration Act) came into force with the purpose of consolidating and updating South African law on international commercial arbitration. This Act provides for the recognition and enforcement of foreign arbitration awards. The Act is applicable to any international commercial dispute that the parties have contractually agreed to submit to arbitration unless:

- the dispute is not capable of determination by arbitration under any law of the Republic
- the arbitration agreement is contrary to the public policy of the Republic.

This Act incorporates the United Nations Commission on International Trade Law (UNCITRAL) Model Law into South African law. The Model Law is the current international benchmark for arbitration laws developed by the UNCITRAL. The Model Law is designed to assist states in reforming

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and modernising their laws on arbitral procedure so as to consider the particular features and needs of international commercial arbitration. The primary goal of the Model Law is to reduce discrepancies between procedural laws affecting international commercial arbitration. In terms of the new International Arbitration Act, the Arbitration Act is not applicable to arbitration matters that are subject to the Model Law. This exclusion provides certainty for foreign users of the Model Law in South Africa in that they do not have to search outside the enacting legislation for possible discrepancies.

25.2.2 The arbitration agreement

Imagine that Ace Investments appoints Prime Construction to build a housing development. They sign a contract and agree that the quantities budgets and costing of the items will be determined by Power Quantity Surveyors. They also agree that, if either company is unhappy with the costing provided by Power Quantity Surveyors, an arbitrator from Construction Arbitration Specialists will be appointed to arbitrate the matter.

This is an **arbitration agreement**. Ace Investments and Prime Construction could also have agreed that any dispute about a costing should be arbitrated jointly by a lawyer and a quantity surveyor, because of the financial nature of the dispute.

An **arbitration agreement** can be a separate agreement, or a clause, in a contract.

An arbitration agreement usually forces arguing parties to use arbitration as a mechanism to resolve certain types of disputes. The clause in the construction contract between Ace Investments and Prime Construction is a good example. The clause states that any dispute about the costing Power Quantity Surveyors decides on should be arbitrated. The agreement does not name the arbitrator. If an agreement, which is binding on the parties, provides for arbitration, the parties are not allowed to go to court before they use arbitration. In the Ace Investments – Prime Construction example, the clause about the costing might have expressly stated that any dispute regarding the costing decided by Power Quantity Surveyors must be arbitrated.

One party involved in the dispute cannot simply decide to disregard the arbitration agreement without the agreement of the other party. If a party wants to get out of an arbitration agreement and cannot get the other party to agree to this, it may apply to court. There will need to be good reasons for a court to order that the parties are not bound by the arbitration agreement.

Activity 25.1

With a study partner, look on the internet for three commercial contracts, or ask friends or family if they have any contracts that you can look at, to see if the contracts have a clause that makes provision for mediation and arbitration as dispute resolution methods. Based on the discussion, compare the clauses to see which one you think is most effectively drafted.

25.3 Parties to arbitration

Power Quantity Surveyors, after carefully analysing everything, decides that the amount of steel required for the project is worth R20 million – more than double the figure Ace Investments expected to pay. Ace Investments is very unhappy about this. Under the conditions of the contract, they must now call in an arbitrator.

The arbitrator, although they are an **adjudicator**, is not a judge or magistrate and has no official connection to the courts. Sometimes, more than one arbitrator is involved in an arbitration hearing. This group of adjudicators is the arbitration tribunal. Another important party in the arbitration process is the umpire. If the arbitrators cannot reach agreement on a particular case, the umpire is called in to break the deadlock.

The word **adjudicate** comes from the Latin word *judicare*, which means 'to judge'.

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25.3.1 The arbitrator

The arguing parties may appoint any person over the age of 18 years to act as an arbitrator. In practice, attorneys, advocates, and retired legal practitioners and judges are often appointed as arbitrators. Some cases involve experts from other fields, such as accountants and architects. Nothing stops a person who has an interest in the matter being appointed, although any display of bias would result in that person's removal.

If the parties cannot agree on an arbitrator, either party may serve the other party with a written notice requiring that person to agree to the appointment of an arbitrator. If, seven days after the notice, the appointment has still not been made, the party who sent the notice may ask the court to appoint an arbitrator for them. The court may also be asked to do this if an arbitrator has been removed, or the appointment has been set aside. In other words, a party to the dispute can apply to court and the court may appoint a replacement. For example, if Construction Arbitration Specialists refused to accept the mandate as arbitrator, or was unable to find an appropriate arbitrator within their organisation in the case of Ace Investments and Prime Construction, the court may be asked to step in.

25.3.2 The umpire

It is one thing when people cannot agree on an arbitrator, but what if there is more than one arbitrator and they cannot reach agreement among themselves? The Arbitration Act deals with this by providing for the appointment of an umpire by either the parties or the arbitrators. When an arbitration agreement insists on an even number of arbitrators, but does not mention an umpire, the arbitrators can appoint an umpire at any time.

The parties who appointed the umpire can replace the umpire in the following instances:

- where an appointed umpire refuses to act as umpire
- where an appointed umpire is unable to act, for example, if the umpire dies
- where an appointed umpire is removed from office. For example, if the umpire was appointed because they were the chairperson of the Law Society at the time of the contract but, by time the dispute occurs, the umpire is no longer involved, or no longer up-to-date with legal matters, the umpire will be removed from office.

If the arbitration agreement allows for the replacement of an umpire who is unable to act, then the umpire must be replaced. Suppose that Ace Investments and Prime Construction agreed to use an arbitrator from Construction Arbitration Specialists, an arbitration agency that specialises in construction arbitration, and Max, an attorney, as joint arbitrators. The parties gave the arbitrators the power to appoint and replace an umpire, if necessary. The arbitrator from Construction Arbitration Specialists and Max disagree on how the matter should be resolved. They appoint an umpire who subsequently leaves the country. The parties would have to allow the arbitrator from Construction Arbitration Specialists and Max to replace the umpire in an attempt to resolve the dispute before trying anything else to resolve their disagreement.

Ending an arbitrator's or umpire's appointment

In the example of Ace Investments and Prime Construction, what do you think would happen, if after six months of being asked to decide whether Power Quantity Surveyors costing is fair, the arbitrator from Construction Arbitration Specialists failed to do so? Could Ace Investments and Prime Construction do anything to finalise the costing so that the construction of the housing development could proceed?

Generally, the appointment of an arbitrator is permanent and all the parties to a dispute would have to agree to end (set aside) an arbitrator or umpire's appointment. However, the contents of an arbitration agreement can change this requirement.

If a party to the dispute can show a good reason for the removal of the arbitrator or umpire, that party can apply to court for an order to remove them from office. Good cause may include a situation

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where the arbitrator takes an unreasonably long time to make a decision. Good cause would also include situations where there are two or more arbitrators and they are unreasonably late in notifying an umpire of a stalemate or deadlock.

If the court does set aside the appointment or removes an arbitrator or umpire from office, the court may also give a costs order against the arbitrator or umpire. This would force the removed arbitrator or umpire to pay the legal costs, which the parties wasted, because of that person's conduct. The court may even order that the arbitrator or umpire not be paid for their services.

Activity 25.2

Write a paragraph or two in which you describe the situations in which umpires may be replaced, and explain the process that should be followed before an arbitrator's or umpire's appointment is set aside?

25.4 The arbitration process

One of the main reasons that arbitration is a more popular remedy than going to court is because the normal court process has very complex and specific rules relating to the manner in which the case is presented to the presiding officer. For example, the rules that state how witnesses give evidence differ according to whether the evidence is documentary or oral. A paper contract, which is offered as proof of an agreement, is documentary evidence. The evidence given by a witness under examination is oral evidence. In court, the rules that apply to oral evidence depend on whether a normal or an expert witness gives the evidence.

The rules of arbitration are far less complex.

25.4.1 Rules of arbitration

In the case of Ace Investments and Prime Construction, had they not agreed to take their dispute to arbitration, one of the parties would have had to sue the other. They would have to follow the detailed and formal pre-trial procedure of **pleadings** that were discussed in Chapter 2. In our example, because the parties have agreed to go to arbitration, the arbitrator from Construction Arbitration Specialists can, for example, decide whether or not pleadings are necessary.

Pleadings are the documents that contain the written summaries of the main facts that can prove each party's case.

At an arbitration hearing, all evidence that would be **admissible** at a trial, such as what witnesses to the case saw and heard, must be allowed. The parties to the dispute must be given a chance to examine and cross-examine witnesses. The arbitrator may examine the witnesses themselves, unless the arbitration agreement prevents the arbitrator from doing so.

Something is **admissible** if there is no rule of law stopping a person from introducing it as evidence in a particular case.

If any of the parties to the dispute request it, the arbitrator is allowed to:

- ask a party to the dispute, or a **summoned witness**, to produce documents or to give evidence under oath at the hearing
- ask any of the parties to give particulars of the claim or counter claim
- require the party, who is in possession of disputed property or goods, to allow for inspection of the property or goods by the arbitrator.

A **summoned witness** is not a party to the dispute, but someone who has been called to give evidence by a court document known as a summons.

The Arbitration Act also states that the arbitrator must give the parties written notice of the time and place of the arbitration. The parties have a right to be present either personally or to be represented. If a party is absent without good cause, and has been given prior notice of the hearing, the arbitration may proceed in their absence.

The evidence at the arbitration hearing must be recorded, either by the arbitrator or the parties to the dispute themselves.

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25.4.2 Arbitration decisions

At the end of a court case, once each of the parties has presented their case, the presiding officer makes their decision, which is known as a judgment. Similarly, the arbitrator, in an arbitration hearing, has to make a decision or finding, which is called an award. If there is more than one arbitrator, as in the case of a tribunal, the majority must agree on the award. If the tribunal consists of two arbitrators who cannot reach agreement, then the umpire's decision is the award.

An arbitrator has to issue the award within four months after the date on which the arbitrator started adjudicating the matter. Where an umpire has to be involved, the umpire must issue the award within three months from the date on which the umpire became involved. The parties to the arbitration may request the award earlier if they give notice in writing to the arbitrator or umpire. The award must be in writing. Where there was more than one arbitrator, the award must be signed by all the members of the tribunal. If the award is a majority decision and the minority refuses to sign, the award is still valid. Just as a judge delivers their judgment, the arbitrator or tribunal must **deliver the award** to the parties or their representatives. The date on which the arbitrator delivers the award is known as the date of publication of the award.

To **deliver the award** is to make it known.

An arbitration award is final, and it is not subject to appeal in a court of law. Each party to the arbitration is bound by the award and must comply with its conditions. In an appeal, the losing party may apply to a higher decision-making body for a decision in the same case. (In ordinary matters, unconnected to arbitration, the right to appeal means that the losing party may appeal to a higher decision-making body for a decision in the same case.)

Any party may apply to court to have the award made an order of court. This means that the award would be enforced in the same way, and it would have the same effect as an order of court. For example, to ignore the award would be to act in contempt of court. You should remember from Chapter 11 that a court may order the parties to a contract to do what they promised, which is also called specific performance. If the case being heard by an arbitrator is the same type of case in which a court would be able to order specific performance, then the arbitrator may also issue the same order.

Where the award orders the payment of a sum of money without taking into account an amount of interest, then interest will be added to that sum as from the date of the award until it is paid. The interest is calculated at the same rate as that of court judgment debts. From 8 January 2016, the prescribed rate of interest is no longer a fixed rate (for many years the rate was 15,5%). It is the repurchase rate, which is determined from time to time by the South African Reserve Bank, plus 3,5%.

25.4.3 Reversing decisions

As we have seen, an arbitration award is final and the losing party may not appeal the decision. However, a party may apply to court and request an order setting aside the award. This application must be made within six weeks of the date of publication of the award. If the request to set aside the award is based on an act of corruption, then the application must be made within six weeks of discovery of the corrupt act. An application based on an act of corruption cannot be made if the act is discovered later than three years after the award's date of publication.

The court may set aside an arbitration award only on one of the following grounds:

- An arbitrator or an umpire committed misconduct with regard to their duties as an arbitrator or umpire. An example of such misconduct is where the arbitrator showed clear bias throughout the proceedings and was not impartial.
- The arbitrator has committed gross irregularities in the running of the arbitration proceedings or where they have exceeded their powers. For example, where the arbitrator only allowed one party to give evidence.
- The award was obtained in an improper manner. For example, the arbitrator accepted bribes.

In some instances, the court is empowered to order that a matter be resubmitted to the arbitrator who made the award. The arbitrator must then reconsider the matter and make a further award, or a new

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award, as directed by the court. This can only happen where a party makes an application to court within six weeks of publication. The party will have to show good cause why a court should make such an order.

The parties may also, within six weeks of publication, resubmit the matter for reconsideration because they are both unhappy with the outcome. However, this can only happen if all the parties sign the document authorising such resubmission. If only one or some of the parties want this remedy, then resubmission to the arbitrator can only occur by application to court as mentioned above.

Arbitrations have their advantages, but can also cause problems. The case below is an example of how having a case resolved by arbitration can cause a problem later on.

Case study The risk of arbitration

Gus Princip owns a delicatessen called Sandwich Station. Sandwich Station makes the best sandwiches in Johannesburg. Gus entered into a ten-year lease agreement with Sandbank Mall. Five years into the lease agreement, Gus is no longer able to afford the rental at Sandbank Mall, as Sandwich Station has not made a profit for many months. Gus has not paid the rent for two months. The lease agreement has a dispute resolution clause that states that in the event of a breach of the lease agreement, the dispute must be referred for to arbitration at the Senior Advocates Arbitration Centre (SAAC) in Cape Town for adjudication. The lease agreement stated that cost of the private arbitration is to be covered by the party who committed the breach. The most inexpensive advocate at SAAC is Frank Ferdinand. Frank's fee is R35 000 per day. Sandbank Mall has issued a letter to Gus, which set out the nature of Sandwich Station's breach and that they have referred the matter to SAAC for private arbitration in terms of the lease agreement. Gus and Sandbank Mall would have to use SAAC for arbitration and the cost of the arbitration would have to be covered by Gus, even though Gus is unable to afford it. What is the appropriate way forward?

One party involved in the dispute cannot simply decide to disregard the arbitration agreement without the agreement of the other party. If a party wants to get out of an arbitration agreement and cannot get the other party to agree to this, it may apply to court. There will need to be good reasons for a court to order that the parties are not bound by the arbitration agreement.

Activity 25.3

Find an updated copy of the Arbitration Act online. Browse through the Act and list the general powers of the court under the Act.

25.4.4 Breaking the law

In the case of Ace Investments and Prime Construction, the arbitrator from Construction Arbitration Specialists asks Power Quantity Surveyors to testify at the arbitration as to how it decided upon the figure of R20 million as a fair value for the steel required for the project. What happens if Power Quantity Surveyors does not appear at the arbitration hearing?

If a person is found guilty of any of the offences that are listed in the Arbitration Act, that person faces a fine of not more than R100 (for a first offender) or three months in prison.

A person is guilty of an offence if that person:

- fails to appear as summoned to give evidence before an arbitrator or tribunal, without good cause
- appears as summoned, but leaves before being asked to do so by the arbitrator or tribunal
- refuses to take an oath or affirmation as a witness when they are required to do so by an arbitrator or tribunal

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- refuses to answer lawful questions fully and to the best of their knowledge during arbitration proceedings
- without good cause, fails to produce any document or object that is specifically requested in a summons
- intentionally insults an arbitrator or umpire during arbitration proceedings, or deliberately interrupts such proceedings, or misbehaves in the place where the arbitration is being held.

Activity 25.4

Find an updated copy of the Arbitration Act online. Read through this document and list what constitutes an offence under the Act.

Let us now come back to the scenario with Nancy Peters. Can you work out the answer? Private arbitration would be the most efficient way to deal with this dispute, as it will provide a speedier solution than the courts and it may also be less expensive.

What do you think?

The Constitution guarantees the right to a fair public hearing before a court. Yet, in certain contracts, arbitration is chosen as the dispute resolution mechanism. In addition, it is ordinarily not possible to appeal the decision of an arbitrator. Do you think that this is constitutionally valid?

Chapter summary

In this chapter, you learned the following about the law of arbitration:

- Arbitration is a process in which disputing parties refer the disagreement to a neutral third party, an arbitrator.
- An arbitration agreement may oblige arguing parties to use arbitration to resolve certain disputes, such as a dispute relating to the fair value of a business that has been sold.
- The arbitrator, or group of arbitrators in the case of a tribunal, investigates the circumstances of the dispute and then makes a binding decision.
- The parties must follow the conditions of the arbitration award. Losing parties may not usually appeal against a decision made in favour of the other party.
- Where a matter is referred to a tribunal and a deadlock arises, an umpire is called to resolve the stalemate.
- As a general rule, once an arbitrator or umpire has been appointed, the appointment cannot be terminated or set aside unless all the parties to the dispute agree or a court order is obtained.
- Under certain circumstances, a matter may be resubmitted for reconsideration by the tribunal which made the award.
- A court can sometimes set aside an award, provided the party who asks for the award to be set aside can show good cause.
- Failure to comply with some provisions of the Act is an offence punishable by fine and/or imprisonment.

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Review your understanding

1. Which of the following statements regarding the procedure at arbitration is TRUE?
   a) There is never testimony from the parties.
   b) There are no rules relating to the procedure.
   c) Cross-examination never occurs.
   d) Evidence, which would be admissible at a trial, must be admitted.
2. Complete the following sentence. Arbitration:
   a) is the only method of dispute resolution.
   b) processes can only be chaired by an attorney, advocate, or retired judge.
   c) awards or outcomes are public records.
   d) is a process whereby disputing parties refer the dispute to a neutral third party, where the neutral third party, after investigation, makes a binding decision.
   e) is the same as civil litigation.
3. Select TRUE or FALSE and explain your answer. A domestic private arbitration award can be reviewed.
   a) true
   b) false
4. Write a paragraph on the procedure to be followed at arbitration hearings.
5. Explain the difference between statutory and private arbitration.

Further reading

www.arbitration.co.za

(The Arbitration Foundation of Southern Africa website is a useful site for expanding upon why arbitration should be selected as an alternative dispute resolution mechanism and when it is inappropriate. Also, the FAQs on this site sare interesting.)

Chicktay, M.A. and Patelia, E. 2015. *Appropriate Dispute Resolution*. 2nd ed., Durban: LexisNexis South Africa

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Chapter
26 Business entities

The main ideas

- Choosing the best way to run a business in South Africa
- An overview of incorporated and unincorporated business entities
- The separate legal personality of incorporated entities
- The incorporation, registration and types of companies in terms of the Companies Act
- Corporate governance
- Shares and securities

The main skills

- Distinguish between different forms of business entities and choose an appropriate entity through which to conduct business.
- Understand and apply the law in relation to unincorporated entities.
- Understand certain foundational principles of company law.
- Collect, analyse and critically evaluate information relating to the management and governance of different business entities.
- Apply problem-solving skills to legal problems.

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Entrepreneurs and commercial business activities are essential to the growth of the economy in South Africa. Successful businesses create jobs, foster innovation, enhance efficiency and increase productivity with the aim of improving the well-being of the society. In our professional and personal lives, everyone is affected by businesses and will benefit from understanding the legal structures within which different types of businesses operate. In this chapter, we will learn about the different legal entities through which business can be conducted. We will start by looking at unincorporated forms of business and then we will focus on companies and the principles of good corporate governance.

Before you start

You may be studying because you are an entrepreneur and you want to start, or expand, your own business, or you may be employed in an established business with aspirations of climbing the corporate ladder and advancing your career prospects. Whatever your motivation, in order to succeed in the business world, it is vital that you understand the fundamental legal mechanisms through which businesses operate. This chapter introduces this. It addresses the practical aspects and provides the basic knowledge that will enable you to start your own business and make the correct choice as to which business entity best suits your needs. It is intended to help you with strategic business decisions and enable you to better understand the macro-business environment that you are working in.

At a time when news of corruption and fraud are prevalent, it is important to apply the knowledge from this chapter in a way that ensures that you act with integrity and honesty in whatever role or business model you work in.

26.1 Forms of business entities

The law of business entities is primarily concerned with understanding the common law principles and the regulatory regime that govern the most common forms of business entities in South Africa. These

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can be divided into two broad categories of unincorporated and incorporated business undertakings. Unincorporated business entities include sole proprietorships and partnerships that are not subject to specific statutory regulation. Business trusts are also not incorporated, but they are regulated by the Trust Property Control Act 57 of 1988 (Trust Property Control Act). Incorporated business entities (such as close corporations and companies) are regulated by specific statutes. Close corporations are subject to the Close Corporations Act 69 of 1984 (Close Corporations Act) and companies are regulated by the Companies Act 71 of 2008 (Companies Act).

Added value — Close corporations

In terms of the Companies Act, since May 2011, no new close corporations can be registered in South Africa. Existing close corporations can continue to exist. Close corporations are discussed in section 26.1.5 below.

One of the most important decisions that an entrepreneur must make before starting a business is to choose the vehicle or business entity that will be best suited for the business.

Different factors must be considered. Every business will have different needs. For some businesses, the potential for growth will be more important than confidentiality, and so, a company will be a better form of business to choose than a sole proprietorship. There are a number of factors to consider before deciding which entity to choose. These include:

- the strategic objectives or goals of the business
- the size of the business
- the resources available
- the need for expansion and growth
- whether there is a need for confidentiality
- the tax regime.

The following four main forms of business entities will now be discussed:

- sole proprietorship
- partnership
- business trust
- incorporated entity such as a company.

26.1.1 A sole proprietorship

The simplest and the cheapest way to start trading is through a sole proprietorship. A sole proprietorship is a form of business enterprise that has the following characteristics:

- The proprietor is the owner of the business.
- The owner operates the business alone.
- The owner may have employees, but they will neither own nor manage the business.
- There are, generally, no formalities or regulation requirements, so it is a simple and cost-effective way to begin a business.
- The single investor is the owner of the business, who owns all the assets and profit of the business.
- There are no public disclosure requirements, which ensures privacy in the conduct of the business.

These are some disadvantages of a sole proprietorship:

- The owner or sole trader is personally liable for all the debts and liabilities of the business.
- The potential to grow the business is limited.
- All the capital of the enterprise is provided by the sole proprietor, so there is little opportunity to share ideas and responsibilities.
- The business does not exist outside the sole proprietor's personal involvement, so it will lack continuity.

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26.1.2 A business trust

A trust does not have a separate legal personality in South African law. But, the legal status of a trust is complex. Section 1(1) of the Income Tax Act 58 of 1962 includes a trust under its definition of 'person'. This means that although the common law does not recognise a trust as a separate legal entity, it is taxed as if it were a separate entity. Also, section 1 of the Companies Act includes a trust in the definition of a 'juristic person', so it will be treated as a separate entity in situations where provisions of the Companies Act may be relevant. So, let us look at what a trust is in more detail.

A trust is a legal relationship between three people:

1. the founder: the person who forms the trust
2. the trustee: the person who administers the trust
3. the beneficiary: the person who benefits from the trust.

The relationship between the founder, the trustee and the beneficiary is governed by both a written trust deed, which is the basis for the contractual relationship between the parties, and by the Trust Property Control Act. Together, these sources regulate the functioning and administration of the trust, which include:

- the powers and responsibilities of the trustees
- the purposes for which the trust assets can be used
- the appointment of trustees
- the registration of the trust.

Trusts must be registered with the **Master of the High Court** in the relevant jurisdiction where the trust's assets are situated. Trustees may act only once the Master has issued letters of authority allowing them to act.

The **Master of the High Court** is the functionary who supervises trusts in terms of the Trust Property Control Act of 1988 and has oversight over the appointment of the trustee.

A trust may be created in the Last Will and Testament of the founder of the trust, and it will be formed and registered when that founder dies. This is known as a testamentary trust. In this chapter, we are more concerned with a business trust, which is formed during the lifetime of the founder. A business trust is referred to as an ***inter vivos*** trust.

Inter vivos is a Latin term meaning 'between the living'.

Formation of a trust

A written contract known as a trust deed becomes the foundation of the business trust. The founder of the trust must create the trust in which he hands over control of their assets to a trustee or trustees that the founder appoints. There must be at least one trustee for the trust to be valid. The assets that are placed in the trust must be clearly defined. The main purpose of trusts is to protect the assets for a beneficiary by separating the control of the assets from the enjoyment of those assets.

The trustees must accept their appointment and are then obliged to look after the assets of the trust on behalf of the beneficiaries. The trustees control the trust's assets, and these assets must be held separately from the trustee's own assets. They cannot be used to satisfy the personal creditors of the trustee.

A trustee's responsibilities include:

- the duty of good faith in the management of the trust's assets
- the duty to act with reasonable care in the management of the trust's assets
- the obligation to open a bank account separate from the trustee's own account for the trust's assets
- the obligation to account to the beneficiaries on a regular basis
- the obligation to act within the powers given to the trustee by the trust deed.

Termination of the trust

The trust will terminate according to the provisions of the trust deed. For example, when the beneficiary reaches a certain age or gets married, or a project conducted through the trust is completed. It will also come to an end if the assets of the trust are depleted and no longer exist.

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Added value — Should I create a trust to run my business?

The main advantage of choosing to run a business through a trust is that it limits the personal risk of the founder. The disadvantage of this model is that it is expensive to set up and run, as there are many regulatory compliance requirements.

26.1.3 A partnership

A partnership is a contractual agreement entered into by two or more people, each of whom must make a contribution to the partnership, which has as its object to make a profit for the joint benefit of all the partners. So, not every agreement between business associates is a partnership – the relationship may be a debtor/creditor relationship, or an employer/employee relationship, or simply an agreement to do business together or to co-own certain assets. If two or more individuals want to pool their knowledge, skills and resources to conduct a business, they may form a partnership.

These are some advantages of a partnership:

- As with a sole proprietorship discussed above, a partnership is a simple, cost-effective and flexible vehicle through which to conduct business.
- There are no registration costs and formalities.
- Unlike a sole proprietor, a partner has the benefit of partners with whom to share the running of the business and to contribute to the business to enable it to grow.

These are some disadvantages of a partnership:

- The main disadvantage of a partnership is that it does not have a separate legal personality. This means that there is no limited liability for the partners. Each partner is jointly and severally liable for the debts of the partnership. This means that there is a high risk associated with forming a partnership, as there is no protection for the partners' assets including those separate from the partnership business. Since the partnership is not a separate legal entity, it does not enjoy **perpetual succession**.
- The partnership must terminate if there is any change in the partners. This can be disruptive to the smooth running of the partnership.
- There are tax implications of a partnership as each partner is liable for the partnership's tax obligation, and the partners will not enjoy the benefit of a corporate tax rate. For the purpose of paying value-added tax (VAT), section 1 of the Value-Added Tax Act 89 of 1991 includes a partnership in its definition of a person, and this is an exception to the principle that a partnership is not a juristic person. So, there is no tax advantage for conducting business by means of a partnership.
- Although a partnership may have access to a significant amount of assets from the pooling of the assets by the partners, its ability to raise capital is limited.

Perpetual succession means that the entity continues in existence beyond the involvement of its incorporators or founders. A company enjoys this privilege.

Added value — Registration of partnership name

Although a partnership does not require any formal administrative processes to carry on a business, section 79(1) of the Consumer Protection Act 68 of 2008 requires that the name of the partnership must be registered.

Now, let us look at the elements of a partnership.

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Elements of a partnership

From the definition of partnership given above, you will see that there are four essential elements that must be present for a legal relationship to constitute a partnership. These elements are:

- an agreement between the parties
- a contribution from each party
- the object of the partnership must be to make a profit
- the business must be carried on for the joint benefit of the parties.

A fifth essential element, which is a requirement of all valid contracts, is that the contract must be lawful.

Agreement

The partnership contract can be entered into in writing, orally or by conduct. No formalities are required. The contract must meet all the essential requirements of all contracts. The intention of the parties is particularly important when determining a partnership relationship. It is good business practice for the partners to enter into a written partnership agreement to regulate their legal relationship, but a written agreement is not a legal requirement.

Contribution

Each party to the contract must make a contribution to the partnership assets.
The contribution by each partner need not be of the same type, quantity or value. It must have commercial value, although it need not be capable of exact **pecuniary** assessment. Examples of possible contributions include capital, property, labour, knowledge and skill.

Pecuniary means 'consisting of money or relating to money'.

Object to make a profit

A partnership is a business entity that is aimed at the making and sharing of profits, and it cannot be formed for a charitable or social purpose, such as a social club.

Joint benefit

As a general rule, all the partners participate in the management of the business, and they share in the net profits and losses of the partnership. But, there are some limited exceptions, which will be considered below. Every partner must share in the profits of the partnership. These do not have to be shared equally. The partnership agreement may regulate the proportion in which the profits are shared. If the agreement is silent, the court may allocate the share of profit in accordance with the partner's contribution, or it may distribute the profits equally. Any loss that the partnership incurs may be shared.

Read the following case study with the above four elements in mind.

Case study — An employee or a partner in the business?

Dockrat, Mashabela and Levine Attorneys (DMLA) is a firm of attorneys who practices in a partnership in Johannesburg.

As the firm expanded, the partners needed assistance and DMLA employed Phumzile Mabaso as a junior lawyer to assist in the firm, at an agreed salary and conditions of work. Mabaso's duties and responsibilities were increased over time, and they were often asked for an opinion on the strategic management of the firm.

At the end of a particularly profitable year, DMLA sent an email to Mabaso to thank them for the hard work and achievements over the year and advising Mabaso that they will be earning a large bonus.

Mabaso wrote back, thanking DMLA for the bonus and advising DMLA that the financial statements of DMLA that would indicate Mabaso's share of the partnership profits for the year were eagerly awaited.

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Case study (continued) An employee or a partner in the business?

Dockrat, Mashabela and Levine were most surprised by this, as Mabaso was not a partner of the firm and therefore was not entitled to a share of the profits.

Do you think Phumzile Mabaso was a partner in DMLA?

The issue in this case study is whether Mabaso can show that they are a partner in the partnership and not just an employee. To be a partner, all the essential elements of a partnership must be present.

A partnership is an agreement between two or more persons, in terms of which each partner agrees to make some contribution to the partnership business, which is carried on for the joint benefit of the parties with the object of making a profit. The agreement can be in writing, orally or by conduct *(Pezzuto v Dreyer and Others* 1992 (3) SA 379 (AD)). It may be difficult to distinguish a partnership from other relationships, such as an employer-employee relationship or from a debtor-creditor relationship. For a partnership to exist, all the elements of a partnership must be present:

1. The parties must have the intention of forming a partnership.
2. Each partner must have contributed.
3. The object of the partnership must be to make a profit.
4. The business of the partnership must be carried on for the joint benefit of all partners.
5. The partnership must also be lawful.

In this case, Mabaso contributed time, service and skill to the partnership, including participating in strategic decisions and taking on additional duties beyond those expected of an employee. The partnership was lawful.

As the elements of a partnership are present, Mabaso is entitled to claim the share of profits that are due to a partner and not just a salary.

Consequences of a partnership

Certain legal consequences flow once a partnership agreement is concluded. These can be divided into the internal consequences that affect the partners ***inter se*** and the external consequences that affect the partnership's relations and liabilities towards outside parties.

Inter se means 'between each other' in Latin.

Internal consequences

The partners are united in a joint business enterprise and, unless there is a contractual provision to the contrary, all the partners are entitled to participate in the management of the partnership. They share in the profit and loss, and the partnership property is jointly owned by the partners. The partners have certain obligations and duties towards each other:

- Each partner must carry out their duties as agreed between the partners and must do so with reasonable care.
- The partners owe each other and the partnership a duty of good faith. This means that a partner must put the interest of the partnership before their own. They must pass on to the partnership any benefits and advantages they may obtain, which fall within the scope of the partnership business, and they must not compete with the partnership.
- A partner must disclose to the partners any information affecting the partnership.
- A partner is obliged to keep proper records and account for all transactions.

External consequences

Partners have the authority to bind the partnership and co-partners to contract a third party. This authority may be expressly given or implied by the general authority given to a partner to manage the business. When authority is given to a partner to contract with a third party, it is clear that the third

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party will be able to proceed against the partnership for performance. A more complex situation arises if a partner, who has not been authorised by the partnership to act on its behalf, enters into a transaction with a third party. Here, the most important question is whether the transaction is within the broad scope of the partnership business. If it is, the partnership and each partner will be bound as a *bona fide* third party – a party who enters into the contract in good faith – and entitled to assume that the partner did have the requisite authority to enter into the transaction. This flows from the important concept of partnership law, known as the mutual mandate, which provides that each partner has the power to bind co-partners to any contract that is entered into on behalf of the partnership.

Let us look at this principle of mutual mandate in the following case:

***Goodrickes v Hall and Another* 1978 (4) SA 208 (N)**

Principle

In accordance with the principles of the mutual mandate, a partner's implied authority to bind the partnership will be applicable, even if the partner lacks express authority, provided the third party is unaware of the limitation in the partner's authority and the transaction is within the partnership's scope of business.

Facts

Hall and Burn were partners who intended running a restaurant. Burn, without the express authority of Hall, instructed the plaintiff, a firm of attorneys, to apply for a liquor licence for the restaurant. After the partnership dissolved, the plaintiff claimed payment for services rendered from Burn and Hall jointly and severally. Hall denied he was liable on the basis that Burn lacked the authority for the transaction.

The court's finding

The court held that Burn had authority to give the instructions to Goodrickes, and that a partner cannot hide behind a private arrangement. Accordingly, as Burn purported to act on behalf of the partnership, he had implied authority to do so, and both partners were jointly and severally liable for the legal fees.

Liability to third parties

If one partner pays the entire amount of the debt, they (the partner who settled the amount) can then recover a proportionage share of the debt from the co-partners. But, this will not be the position if a partner is an extraordinary partner. The extraordinary partner is not jointly and severally liable with their co-partners for the debts of the partnership to third-party creditors. Therefore, the creditor cannot sue the extraordinary partner for the satisfaction of the debt, whether alone or jointly with the co-partners.

A creditor who obtains judgment against the partnership must first proceed against the partnership. It is only if the partnership assets are not sufficient to secure the judgment debt in full that the creditor is entitled to proceed against the individual partners. If the partnership is dissolved, an individual partner may be sued for the full amount of a partnership debt. The dissolution of the partnership will not protect any person, who was a partner at the date the debt was incurred, from liability to the third party.

Case study The scope of the mutual mandate

Ahmed, Boitumelo and Carol are in the same business law class. They are good students and share a passion to teach and to mentor the younger students. They recognise that this passion could be a good business opportunity, so they decide to form a partnership to tutor and support first-year university students. They each contribute a sum of money to the business – they rent a small office and create a social media profile.

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Case study (continued) The scope of the mutual mandate

Carol is very excited by this opportunity and, in anticipation of future profits, Carol orders very expensive diamond earrings. Carol gives the business address as the address for delivery and advises that the earrings will be paid for on delivery.

When the earrings are delivered, Ahmed and Boitumelo are in the office, and they refuse to pay for the earrings.

Discuss the jewellery shop's legal options to obtain payment from the partnership.

The issue here is whether the mutual mandate that exists in a partnership is applicable. This refers to the ability of each partner to bind the partnership and the other partners to a contractual liability.

A partnership is not a separate legal entity. Therefore, every partner is an agent of the partnership and of all the other partners and has the authority to bind the other partners and the partnership. This is referred to as the 'mutual mandate'. This is discussed in the case of *Goodrickes v Hall and Another* 1978 (4) SA 208 (N), which was referred to earlier. The mutual mandate is only enforceable if the contract is within the scope of the partnership business.

The third party to whom the debt is owed must first proceed against the partnership and only if the partnership cannot pay, the third party can then proceed against the partners jointly and severally.

In this case, Carol purchased earrings, which are not within the scope of the partnership business.

Therefore, neither the partners nor the partnership are liable, and the jeweller will have to proceed for payment against Carol only.

Types of partnership

The principles discussed in this chapter are applicable to ordinary partnerships that are formed to conduct business transactions. Different types of partnerships may be formed in South Africa for different purposes. Different legal principles are applicable to these exceptional forms of partnership that are discussed below, namely:

- extraordinary partnerships
- universal partnerships.

Extraordinary partnerships

The main characteristic of this type of partnership is that it is an exception to the principle that partners are liable jointly and severally to the creditors of the partnership. In extraordinary partnerships, one partner (or more than one – although there must always be at least one ordinary partner as well) will enjoy special protection and will not be liable to the third party. The condition for this exceptional situation is that the extraordinary partner must not participate in any aspect of the partnership business and must not be held out to third parties as being a partner. This extraordinary partner will therefore not accrue any liability to a third party.

An anonymous or 'silent partner' is an extraordinary partner, who will be liable to contribute to the other partners if the partnership makes a loss. An extraordinary partner may also be termed an *en commandite* partner, which means the extraordinary partner will not be liable to the third party, nor to the co-partners if the partnership suffers a loss.

Universal partnerships

The partners in a universal partnership share more than just the profits from the specific partnership business that they are engaged in. In a universal partnership of all profit, they share all the profits that each has made from their business activities. The partners also combine all their property that may be acquired from any source during the partnership, not only from business undertakings. This type of partnership has successfully been relied on to determine an allocation of assets between partners who are in a relationship

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that is not (exclusively) a business relationship, such as in a long-term romantic relationship. South African law does not prescribe a minimum time period for the parties to be living together to find that a universal partnership exists. It must just be shown that the elements of a partnership are present.

Ponelat v Schrepfer 2012 (1) SA 206 (SCA)

Principle

A universal partnership can exist between parties who are married, engaged or living together, provided that the parties had the intention to form a partnership, that each contributed to the partnership, that the partnership was carried on for their joint benefit and that the object of the partnership was to make a profit. The universal partnership can be created by way of a tacit agreement between the parties.

Facts

The plaintiff and defendant were in a romantic relationship. They moved in together and both contributed to the joint running of the household. The plaintiff contributed her salary, when she worked, and she also contributed her labour and administrative skills. The defendant had a business, the profits of which he contributed to the household, as well as properties that he owned and administered together with the plaintiff. After about 16 years of living together, the relationship ended.

The plaintiff claimed that she and the defendant had been in a universal partnership and that she was, accordingly, entitled to a share of the assets of the partnership.

The court's finding

The court found that the essential elements of a universal partnership were present. The partnership tacitly commenced when the parties moved in and dissolved when the plaintiff moved out of the joint home. Therefore, the plaintiff was entitled to a share of the partnership's profits. The plaintiff was found to have had a 35% share, and the defendant a 65% share, in the partnership.

Added value — Living together

South African law does not prescribe a minimum time period for the parties to be living together to hold that a universal partnership exists. All it requires is that the elements of a partnership are present.

Dissolution of a partnership

It is important to note that the dissolution of the partnership does not terminate the obligations of the partners who will still be jointly and severally liable to the creditors of the dissolved partnership. A partnership may be terminated in one or more of the following ways.

Lapse of time

A partnership agreement may stipulate that a partnership will be dissolved after a stated number of years or at a stipulated time in the future.

Completion of the partnership business or if the business becomes impossible to perform

If a partnership was formed to undertake a specific business the partnership will dissolve once the purpose has been achieved. It will also terminate if it becomes impossible to carry on with the business, such as if the business becomes illegal.

Agreement

The partners can agree to dissolve the partnership at any time.

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Change of membership

Since a partnership is not a legal person, it lacks the advantage of perpetual succession. The partnership will be dissolved every time there is a change in its membership. The business can carry on trading.

Order of court

A partner can apply to court for the partnership to be dissolved. The applicant will have to show 'good cause'. An example of good cause is the prolonged absence of a partner or the incapacity of a partner.

Death or insolvency in a partnership

As a partnership is not a separate legal entity, it will terminate automatically if a partner dies or becomes insolvent. The insolvency of a partner's personal finances will result in the partnership also being declared insolvent.

Activity 26.1 Advantages and disadvantages of trusts and partnerships

The two main unincorporated entities through which a business can be run, are business trusts and partnerships. These have now been covered in this chapter. Before we look at the incorporated entities, it is useful to pause a little and to think about whether you would consider using either of these entities to run your business.

Draw up a table setting out the advantages and the disadvantages of using a business trust or a partnership as a vehicle to run your business.

26.1.4 A company

The incorporation of a company to conduct business is the fourth type of business entity considered in this chapter. A company is the most common choice as a business vehicle. A number of different types of company can be registered, each with different requirements and roles. Irrespective of whether the entity is a large multinational corporation or a small business, understanding the fundamental principles of company law is essential.

Companies are regulated by the Companies Act. Although the legislator aimed to make the Act simplified and flexible, compliance with it can be complex. Here, we will examine and understand these complexities. We will look at the common law and the Companies Act to understand key areas of companies, including the legal nature of a company, the role of the directors, the nature of shares and securities and how they enable the financing of companies. An understanding of these principles will guide an entrepreneur who is considering whether a company is the most advantageous vehicle for the business.

Added value — Corporate governance

Recent global corporate scandals and corruption involving corporations have highlighted the importance of good corporate governance. Companies that are governed well, in an efficient and ethical way, are more likely to be financially successful and to contribute to the development of a healthy South African economy.

The principles of good corporate governance are set out in a number of reports and Codes issued by the King Committee on Corporate Governance. These are commonly known as the King Codes. The first King Code was issued in 1994 (King I) and the most recent in 2016 (King IV).

Although compliance with the King Codes is not mandatory, they are highly persuasive, and the courts have referred to the recommendations contained in these King Codes. Companies are required to apply the principles set out in the Codes and to explain how their practices conform with the principles of good governance. The listing rules for the Johannesburg Securities Exchange require compliance with the principles set out in the King Codes.

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Added value (continue) Corporate governance

In the definition section of King IV, corporate governance is defined as 'the exercise of ethical and effective leadership by the governing body towards the achievement of the following governance outcomes:

- ethical culture
- good performance
- effective control'.

26.1.5 Close corporations

Close corporations are regulated by the Close Corporations Act. The Companies Act has provided that no new close corporations could be registered after May 2011. However, close corporations that are already in existence will continue indefinitely. As a number of close corporations continue to operate, the important characteristics and principles of close corporations are briefly set out below:

- A close corporation is a separate legal person and has a simple governance structure.
- Its members enjoy limited liability and the corporation enjoys perpetual succession.
- It owns its assets and must sue and be sued in its own name.
- It does not have shareholders, but it has members.
- A close corporation can have between one and ten members and all the members must be natural persons.
- Each member has an interest in the corporation that is expressed as a percentage of 100%. So, for example, two members may each hold 50% of the member's interest.
- All the members must be natural persons.
- There is no distinction between its members and managers – the members manage the corporation.
- Every member must make a contribution of money or assets or service to the close corporation. Details of the contribution must be reflected in the founding statement.
- Members have similar duties to the close corporation as directors have to a company. These include:
  - the duties of good faith
  - the duty to exercise care, skill and diligence in the management of the close corporation.
- A member may be personally liable for the debts of the close corporation if the member has breached certain provisions of the Close Corporations Act or if the separate legal identity of the close corporation has been abused.
- A member will cease being a member if member's interest is disposed of by a court order.

These processes were much simpler than those under the Companies Act.

26.2 Incorporation and registration of a company

Unlike a sole proprietorship or a partnership, a company must be registered before it can conduct any trade or business. Registration is effected through the Companies and Intellectual Properties Commission (CIPC). This is the body charged with, amongst other functions, the oversight and monitoring of companies and close corporations.

The first step in the registration process is to incorporate a company. This is effected by the **incorporators** or founders of the company signing a Memorandum of Incorporation (MoI) for the company and registering the MoI and a notice of incorporation at the CIPC.

The **incorporators** of a company are the people who have the first idea to start a business and to run the business through a company. They are responsible for the incorporation and registration process. When the company is registered, they are its first directors.

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The Memorandum of Incorporation

The MoI is the document that forms the basis of the company – its constitution. It sets out foundational information about the company. In terms of the definition of the MoI in section 1 of the Companies Act, it is the document that:

- sets out the nature of the company, the rights, duties and responsibilities of the shareholders and directors in relation to the company
- provides information about the number and type of shares the company will have
- includes information about directors
- sets out the procedural requirements for the running of the company
- may contain special conditions and restrictions imposed on the company
- may prohibit the amendment of any provision.

The intention in the Companies Act is to make the MoI as flexible as possible. It therefore makes provision for 'alterable clauses', which are provisions of the Act that can be changed in the MoI to suit the needs of a specific company. If a clause is 'unalterable', its provisions cannot be affected by the MoI (except if it is made more difficult to comply with).

The company rules

The constitutive documents of a company may include rules that are made by the board of directors. These govern the internal functioning of the company, and they must be consistent with the MoI and the Companies Act. The rules must also be filed at the CIPC.

Registering the name of the company

The first step to registering a company is to reserve a name for the company (although it should be noted that this is not mandatory and if no name is registered, the registration number of the company, given to it by the CIPC will be its name, until amended). This is done by an application to the CIPC.

The policy of the Companies Act is to allow the incorporators to choose any name they wish in line with the principle of freedom of expression. But, limits on the right to a particular name do exist in order to prevent fraud and misrepresentation, and to avoid the use of hate speech, and similar offensive names. Further, the name must not be the same as or confusingly similar to, the name of another company. An example of this is that the CIPC would be unlikely to allow the name 'Pick and Pay' to be registered as it is too similar to the existing name of 'Pick n Pay'. The name may include numbers or symbols, as well as words. All companies' names must end with a suffix that indicates what type of company is registered. So, for example, a private company must end with the abbreviation, (Pty) Ltd.

26.3 The company as a separate legal entity

A company is a legal person that has a separate legal existence from its incorporators, shareholders and directors. This principle is legislated in sections 19(1) of the Companies Act, which provides that a company is a juristic person from the date that it is incorporated, and it has the powers of a natural person except for those things that only a natural person can do. For example, a company cannot get married.

Separate entity is at the core of company law and it has certain important consequences:

- As a separate entity, the company, and not the shareholders or directors, are liable for its own debts.
- The shareholders and directors have limited liability. This means that they are liable only for the amount that they chose to invest in the company, and they are not liable to the creditors of the company. This principle was confirmed in England in the 19th century.
- The company owns its own property. The company, and not the shareholders, own the profits of the company.
- The company must sue and be sued in its own name.
- The company enjoys perpetual succession.

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The fact that the company is a separate legal entity, distinct from its shareholders and directors, is the reason why it is less risky to conduct a business through a company than through the unincorporated entities discussed in this chapter.

Salomon v A Salomon and Co Ltd 1897 AC22 (HL)

Principle

As soon as a company is incorporated, it becomes a separate legal entity from its incorporators, shareholders or directors.

Facts

Salomon, a sole trader, carried on business as a leather and boot trader. He decided to convert his business into a company. He was, essentially, the only shareholder (his wife and children owned a few shares). He and his two sons were the directors. Salomon sold his business to a new company. He financed the sale by lending money to the company. In the loan contract (known as a 'debenture'), he was a preferent creditor. When the company was declared insolvent, Salomon demanded that the assets of the company be utilised to pay him before other creditors. The liquidator argued that Salomon and his company were in fact the same person.

The court's finding

The court held that Salomon and his company were separate even though it was a one-man company, and that Salomon was entitled to be paid before the other creditors.

Although this case was heard in 1897, its principles are still applicable and have been confirmed in South African case law.

Dadoo Ltd v The Krugersdorp Municipal Council 1920 (AD) 530

Principle

The company is a separate legal entity, separate from its shareholders in form and in substance. Accordingly, assets owned by the company are not the property of its shareholders.

Facts

Due to discriminatory legislation, South Africans of Indian descent were prohibited from owning land in the old Transvaal province (now known as Gauteng). Dadoo and another shareholder formed a company that bought property in the Transvaal, and the company then rented the property to Dadoo.

The court's finding

That ownership of the property by the company was not ownership by Dadoo as the company was a separate entity, and therefore no contravention of the legislation had occurred.

Exceptions to the separate legal entity principle: **Piercing the veil**

The principle that a company is a separate legal entity can be abused. So, in exceptional circumstances, it will be disregarded by the court. Two enquiries will have to be satisfied for the court to hold the shareholders or directors personally liable to a creditor of the company:

1. The creditor must show that the company and the shareholders/directors were not substantially separate – that the company did not, in fact, have a separate identity from the shareholders/directors and was their alter ego.
2. The creditor must show this resulted in misconduct and abuse by the company.

Piercing the veil is a metaphor that is commonly used when the court disregards the separate legal identity of a company and reveals the natural person behind the operation of the company. This is an appropriate metaphor as a veil is gauzy and, although, it does create a barrier, it has holes through which whatever lies behind the veil can be seen.

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Section 20(9) of the Companies Act has incorporated these common law tests, and provides that if any conduct by a company is an 'unconscionable abuse of the juristic personality of the company as a separate entity', the court may declare that the company be deemed 'not to be a juristic person' in respect of any rights, obligations or liabilities of the company.

***Department of Agriculture, Forestry and Fisheries and Another v B Xulu and Partners Incorporated and Others* 2022 (1) All SA 434 (WCC)**

Principle

The court will lift the corporate veil only if there has been an 'unconscionable abuse' by the director or shareholder of the principle of the separate legal personality of the company. It is not sufficient to just show that the director was the controlling mind of the company.

Facts

This case arose out of a previous judgment where the respondent law firm (the first respondent) had been ordered to re-pay legal fees that had been unlawfully charged to the applicants. The firm's sole director (the fifth respondent) had been held jointly and severally liable for the repayment of these fees. Instead of utilising the funds held in the firm's bank accounts to pay the applicants as per the judgment, the fifth respondent utilised the funds for their own use. The applicants claimed payment of the judgment from him. The fifth respondent has objected to the corporate veil being pierced by the previous court that held him jointly and severally liable for the debt with the first respondent.

The court's finding

The court found that the fifth respondent had acted unlawfully by misusing the first respondent's funds, had caused the applicants a loss by their actions and had disregarded the separate legal identity of the first respondent. Therefore, the court pierced the veil and held the fifth respondent personally liable for the full amount of the unlawfully obtained funds.

Activity 26.2

The concept of the company as a separate legal entity reduces the director's risk of personal liability for the debts of the company.

Ask a study partner why this is important to the South African economy.

Next, discuss, with your study partner, why it is necessary to have an exception to this principle in the form of veil piercing.

26.4 Types of companies registered under the Companies Act

The Companies Act aims to be flexible and user-friendly to accommodate a wide range of different types of business. So, the entrepreneur must choose the most appropriate type of company depending on the type of business that is being conducted, namely:

- profit companies
- non-profit companies.

26.4.1 Profit companies

There are four types of profit company, whose main object is financial gain.

State-owned companies

- These are public entities that are directly or indirectly controlled by the State.

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Private companies

- These can be incorporated with one shareholder and one director.
- A private company cannot sell its securities to the public and its MoI must have a restriction on the transferability of its securities.
- The name of a private company must end with the suffix (Pty) Limited or the abbreviation (Pty) Ltd.

A personal liability company

- This is a private company where the MoI must provide that the company's directors and its past directors are liable, together with the company, for any debts incurred by the company during the time they were directors.
- It must end with the suffix 'incorporated' or 'Inc'.

A public company

- This can be incorporated by one person, but must have at least three directors.
- There is no restriction on its ability to offer its securities to the public.
- As public companies raise capital from the public, there are greater responsibilities on public companies, so a public company must appoint a company secretary, as well as an audit committee and external auditor.
- The name of a public company must end with the word 'Limited' or the abbreviation 'Ltd'.

26.4.2 Non-profit companies

Non-profit companies have a specific public benefit, such as a cultural, social, educational or religious purpose.

- The income of this type of company cannot be distributed to its shareholders or any other office bearer of the company, nor can the assets of the company be so distributed if the company is de-registered, but it must be handed over to a similar non-profit organisation.
- A non-profit company may have, but it does not have to have, members.
- It must have at least three directors.
- The name of a non-profit company must have the suffix 'NPC'.

In addition to the types of company outlined above which are registered and conduct business in South Africa, companies incorporated outside South Africa are also recognised in company law. An external company is a company that carries on business activities within South Africa, irrespective of whether it is for profit or for non-profit. It must register with the CIPC even if it is registered in a foreign jurisdiction.

26.5 Organs of the company: Shareholder meetings and the board of directors

A company is a legal person and therefore, it must act through two organs in the company, namely:

- the general meeting of shareholders
- the board of directors.

The shareholders are often referred to as the 'heart' of the company and the board of directors as the 'brains' of the company. In this section, each of these vital aspects of a company will be considered.

26.5.1 Shareholder meetings

Certain decisions of the company can be made only by the shareholders. They are required to make decisions regarding the fundamental nature of the company. These decisions are made at shareholder meetings where issues, such as a proposed merger or acquisition or the sale of a company's major asset,

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will be discussed and debated, and a resolution will be passed. Meetings must be properly called and properly conducted in order to be valid. There are two types of meeting:

- annual general meetings (AGMs)
- ordinary shareholder meetings.

The formalities of these meetings are set out below.

Annual general meetings (AGM)

The annual general meeting (AGM) is one of the mechanisms to promote transparency in the governance of companies and is required to be held once a year by public companies. The prescribed business of the company must be discussed and voted upon.

The AGM must attend to the following business of the company:

- Present the directors' report, the audit committee report and the audited financial statements for the immediately preceding financial year.
- Elect directors.
- Appoint an auditor and an audit committee for the ensuing financial year.
- Deal with any matters raised by shareholders.

Ordinary shareholder meetings

Ordinary shareholder meetings can be convened as necessary, in accordance with the prescribed formalities set out below. These meetings can be called by the board of directors or by shareholders, who hold at least 10% of voting rights.

Certain decisions by the company must be made at the shareholder's meeting, such as:

- amending the MoI
- removing or appointing a director
- approving certain fundamental transactions.

Notice of meetings

Proper notice in the prescribed form must be given to all shareholders who, at the **record date**, are entitled to attend the meeting. The prescribed form is as follows:

The **record date** is the date when the company first determined the identity of its shareholders.

- The notice must be in writing.
- It must state the date, time, venue and the purpose of the meeting.
- For a public company or non-profit company with voting members, 15 days' notice must be given.
- For all other companies, ten days' notice must be given. The notice periods may be altered in the MoI.
- The notice of the meeting may be given electronically.
- A copy of any proposed resolution must accompany the notice and should show the percentage voting rights for adopting the resolution.
- If relevant, a summary of the financial statement that will be tabled at the meeting should be attached.
- Shareholders can appoint a **proxy** to vote on their behalf and this right should be prominently displayed on the notice of the meeting.

A **proxy**, who does not have to be a shareholder, is appointed by a shareholder to represent that shareholder at a meeting. The appointment must be in writing.

If no notice or defective notice of the meeting is given, the meeting may still proceed as long as all the people entitled to vote on the agenda items:

- are present
- acknowledge receipt of the notice
- agree to waive the notice or ratify the defective notice.

A quorum

A minimum number of people must be present before the meeting can validly commence. This is called the quorum. A meeting may not begin until there is a quorum, which is that at least 25% of all

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the voting rights of the issue to be decided are present. This can be altered in the MoI. In addition, if a company has more than two shareholders, there must be at least three shareholders present for the meeting to commence.

Added value The need for flexibility during the Covid-19 pandemic: Electronic meetings

During the lock-down caused by the Covid-19 pandemic, it was impossible to have in-person meetings. Fortunately, section 63(2) of the Companies Act makes provision for both shareholder meetings and directors' meetings to be held electronically, provided that this is not prohibited by the MoI and that the electronic device enables all the participants to participate effectively in the meeting without the need for an intermediary.

Resolutions

Decisions are taken by shareholders by means of resolutions, which are passed at the meeting by the shareholders voting in favour or not in favour of a particular submission. Two types of resolution can be passed, depending upon the issue being dealt with. These are:

- ordinary resolutions
- special resolutions.

Ordinary resolutions must be adopted with more than 50% of voting rights being exercised. Special resolutions can only be adopted with the support of at least 75% of voting rights exercised in favour of the resolution. Voting can be done by polling the shareholders present at the meeting or by a show of hands. Special resolutions are required in the following instances:

- to amend the MoI
- to apply for voluntary winding-up of the company
- to approve the sale of a majority of assets
- for mergers and amalgamation
- for schemes of arrangement
- for the approval of directors' remuneration
- any other time when required by a company's MoI.

The MoI may specify a different threshold level for each type of resolution, provided that there is at least 10% difference between them.

Case study Making sure that a company's meetings are held validly

You are the legal advisor to a private company that is based in Johannesburg, and which has shareholders in London and in Lagos. You are required to do the following for the company:

1. Draft the notice of the company's AGM.
2. Advise the new director of the different types of resolutions that can be passed at a shareholder meeting and the requirement to pass each.
3. Advise the overseas shareholders what options they have to attend the meeting.

There are three related questions that you must answer as the legal advisor. For the first part, you must advise your client that when drafting a notice of a meeting, it is important to ensure that all the requirements are present, or the meeting and any resolutions taken at the meeting will not be valid. The notice must comply with the following:

- It must include the date, time and place.
- It must explain the general purpose of the meeting.
- For a for-profit company, 15 days' notice must be given.

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Case study (continued) Making sure that a company's meetings are held validly

- A copy of any proposed resolution must be attached to the notice
- If the meeting is an AGM, the financial statements must be attached.
- There must be a statement that the shareholder is entitled to appoint a proxy.

The second query requires advice about company resolutions. The two main types of resolution in South African company law are:

- a general resolution: The resolution must be approved by a simple majority, which is 50% +1 votes.
- a special resolution: The resolution must be approved by a 75% majority vote.

Note that the MoI of the company can change these percentages, provided there is at least a difference of 10% between them.

Lastly, advise the client that the overseas directors can attend the meeting remotely via an electronic device. The Companies Act makes provision for this and the meeting will be valid provided all the members can participate in the meeting and can do so personally, without the intervention of a third party.

Added value The doctrine of unanimous assent

There are times when shareholders can take decisions without the formalities of a meeting. The doctrine of unanimous assent provides that if all the shareholders are aware of what is proposed and have agreed to it, a meeting is not necessary. This will include the case where the resolution has been submitted to the shareholders, who respond in writing, or if there is only one shareholder, or where all the shareholders are also directors.

Securities

If an entrepreneur has decided to conduct business through a company, the company will need to be funded in order to function. There are two main ways that a company can obtain finance for its business operations. It can borrow money, or it can issue securities in the company that are sold to investors in the company. The most common form of securities issued are shares. Section 1 of the Companies Act defines securities as 'any share or **debenture** or other instrument' that is issued by a profit company. This chapter will focus on shares as the mechanism for a company to raise money.

A **debenture** refers to the instrument by which the company incurs debt as a way of raising capital.

Shares

Shares are a bundle of **incorporeal** rights that give the owner the right to participate in the company's profits (income), the right to share in residual assets (capital) and to vote (control). Section 1 of the Companies Act defines a share as: 'One of the units into which the propriety interests in a profit company is divided.'

Incorporeal refers to something – such as a right that does not have a physical, material body. *Corpus* means body in Latin and incorporeal means 'without a body'.

There is a process by which a company issues shares. There are two basic steps:

1. Shares must be authorised in the MoI.
2. They are then issued by the board of directors of the company.

Authorised and issued shares

The MoI of the company creates and provides for the potential number and classes of shares that the company is authorised to issue. A company may not sell more shares of a class than the number of shares that are authorised in the MoI. If additional shares are required to be authorised, this can be effected by an amendment of the MoI by a special resolution of the shareholders or by the board of directors. This is a new and important power allocated to the board of directors. The authorised shares may then be issued or allocated to specific shareholders. The issued shares can never exceed the authorised number of shares.

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Classes of shares

A class of shares is a type or category of shares in terms of which all shares categorised in that class have the same basic characteristics. All shares are presumed to have equal rights, but the company can vary this to suit its needs or the needs of the shareholder. The distinction between the classes of shares may be in relation to:

- voting rights
- rights to share in profits
- participating in new issues of capital
- distribution of residual assets after winding-up.

There are a number of different classes of shares that can be determined in the MoI, such as ordinary shares and preference shares.

Ordinary shares enjoy voting rights, are entitled to receive **dividends**, subject to the discretion of the directors and have a right to the residue of assets if the company is wound up.

A **dividend** is the share of profits that the company has made during a specific year that is available to be distributed to the shareholders. It is within the discretion of the directors whether a dividend will be available ('declared') and in what amount.

The holder of preference shares has a preferential right to participate first in the distribution of dividends. They may be entitled to a fixed dividend, which is more advantageous financially than the entitlement of the ordinary shareholder. Preference shares usually do not carry the right to vote. But, shareholders will have the right to vote on any aspect that affects their preference rights specifically, such as any proposal to amend the preferences or the rights, limitations and other terms associated with that share.

If there are several classes of shares issued, the holders of at least one class of share must have the right to vote at a general meeting and the holders of at least one class of shares must be entitled to receive the net assets of the company upon dissolution.

Pre-emptive rights

A pre-emptive right is an important principle that provides that if a private company intends to issue new shares, every existing shareholder of the company has a right to be offered a percentage in proportion to the percentage shares already held, of new shares that the company intends to issue, before those shares are offered to outsiders. The aim is to protect the existing shareholders, who may be concerned that new shareholders will affect their voting rights. A pre-emptive right does two things:

- It places a restriction on the transferability of shares that is a requirement of a private company (see the types of company discussed above).
- It guards against the dilution of the existing owner's voting power.

For example, if there are ten shareholders and each holds ten shares, each shareholder has ten voting rights. Each shareholder has a 10% say in the company. If there is an additional issue of 100 shares of the same class and ten new shareholders take up those shares, there are 20 shareholders who each hold ten voting rights. All the shareholders hold the same amount of voting rights, but each shareholder now only has a 5% say in the company.

If shareholders have pre-emptive rights, they have a first option to acquire the shareholding of members who wish to sell their shares, proportional to their shareholding in the company. Using the right of redemption, if five shareholders wanted to sell their shares, 50 shares will be on offer and five shareholders will have an equal opportunity to accept a proportional part of those shares – in this case, it will be ten shares each. If each takes up the offer, they will still all have an equal say in the company, namely 20%.

Added value — Groups of companies

It is possible for one company to hold shares in another company. When one company holds sufficient shares to control the second company or when one company can control the board of directors of the second company, the second company is referred to as a subsidiary of the first. The holding company and its subsidiaries are known as a group.

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26.5.2 The board of directors

As the other vital organ of the company, the board of directors has the legal duty of managing the business of the company. This responsibility is legislated in section 66(1) of the Companies Act which states:

> 'The business and affairs of a company must be managed by or under the direction of its board, which has the authority to exercise all of the powers and perform any of the functions of the company, except to the extent that this Act or the company's Memorandum of Incorporation provides otherwise.'

This provision highlights the important role of the directors in steering a company. The integrity, diligence and high standard of governance of the directors are crucial to ensure that a company is properly and efficiently run.

Recent corporate scandals as reflected in the article below highlight how important the integrity of the board of directors is and how important it is to have proper regulatory oversight of the board.

Added value The consequence of directors breaching their duties

Former Tongaat Hulett bosses set to appear in court over accounting scandal

10 FEBRUARY 2022 – 10:19

At least seven former senior officials of Tongaat Hulett are set to appear in the Durban specialised commercial crimes court on Thursday in a huge fraud and corruption case.

Sources close to the investigation confirmed the officials were arrested on Wednesday.

In January, the JSE-listed sugar producer said it was claiming R450m against former directors and executives implicated in the group's accounting scandal, including former CEO Peter Staude.

This followed a damning 2019 PwC forensic investigation that found some senior executives at Tongaat had allegedly been part of inflating the group's profits.

This is a developing story.

TimesLIVE

Source: Orrin Singh, *Business Day*, 10 February 2022

https://www.businesslive.co.za/bd/national/2022-02-10-former-tongaat-hulett-bosses-set-to-appear-in-court-over-accounting-scandal/

Directors and prescribed officers

A director is any person who has been appointed as a member of the board of a company, or a person who acts as a director if the director is unable to act for any reason (an alternate director), or any person who is conducting the functions of a director even if that person is not formally appointed as a director. This is important as directors have huge responsibilities and these cannot be evaded easily.

A prescribed officer is a person who is not a director of the company, but performs the functions of a director. An example may be the chief operating officer or the head of the human resources division of the company. Prescribed officers are subject to the same duties and liabilities as the directors.

The appointment and removal of directors

The first directors are appointed in the MoI. Thereafter, they are appointed in accordance with the provisions of the MoI, but the shareholders must elect at least 50% of the directors. The other directors

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may be appointed by the board of directors or an outside party. The director must consent to the appointment in writing.

Certain persons may be not be appointed as directors. These include:

- any person with a lack of legal capacity, such as a minor
- a juristic person
- any person who has been disqualified or declared delinquent (see below) by a court
- any person who is prohibited by public regulation
- any person who has been removed from office for dishonesty
- any person who has been convicted of offences concerned with fraud and perjury.

Directors can be removed by a shareholders' ordinary resolution. This right of the shareholders cannot be removed in the MoI and bestows significant power on the shareholders. But, a director usually has a contract of employment with the company, and then their removal may amount to breach of contract, which may entitle him to claim damages from the company.

The duties and liability of directors

Directors have much power in the management of the company. Both the common law and the Companies Act recognise that comprehensive duties and obligations, together with properly enforced liability for breach of these duties, are necessary to prevent an abuse of this power.

Directors' duties are found in both the common law and they have been legislated in the Companies Act. There is considerable overlap, and therefore the common law and the Companies Act are discussed together in the sections below. Both the common law and the statutory duties should be integrated in your understanding of these duties.

The first step is to consider to whom the directors owe these duties. Section 76(3)(b) of the Companies Act states that:

> 'a director, when acting in that capacity, must exercise the powers and perform the functions of a director in the best interests of the company'.

In modern company law, this concept includes considerations of the long-term sustainability of the company. This will require a director to consider other stakeholders, such as the community in which the company is situated, the environment, employees and others. This reflects what has been termed an enlightened shareholder value approach.

The directors' duties are divided into two separate duties. These are:

- the fiduciary duties (duty to act in good faith)
- the duty of care and skill.

The fiduciary duties

Section 76 of the Companies Act is headed: Standards of Director's conduct. This section sets out the statutory overarching duty of good faith, which requires a director to act with the utmost honesty and loyalty. It encompasses the following four categories:

1. the duty to exercise powers for a proper purpose: Directors may use their powers only for the purpose for which they were given.
2. the duty to exercise an unfettered judgment: When making a decision, a director must act in the best interests of the company only; directors must act independently and not be beholden to any other cause.
3. the duty to act only within the scope of their powers: A director may not exceed the authority given by the company.

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4. the duty to avoid a conflict of interest: This duty has two components:
   - the no-profit rule, where directors may only earn remuneration for their service to the company. They may not retain any profits made over and above this remuneration that was made in their capacity as directors. Any profit earned must be returned to the company.
   - the corporate opportunity rule, which prohibits the director from taking any contract or opportunity that belongs to the company and was available to the director by virtue of being a director. This rule applies even after the director has resigned.

Let us look at a case example that deals with fiduciary duty.

***CyberScene Ltd and Others v i-Kiosk Internet and Information (Pty) Ltd* 2000 (3) SA 806 (C)**

Principles
Directors have fiduciary duties to the company that the company can enforce. These duties include the duty to avoid a conflict of interest and to not use confidential information.

Facts
Some of the plaintiff's directors had access to confidential information belonging to the plaintiff. They had worked on a product whilst employed by the plaintiff, but decided to use the information for their own account. They marketed the product to clients intending to obtain the contract for themselves.

The court's finding
The court found that by placing themselves in a position where there was a conflict of interest with the plaintiff, the directors had breached their fiduciary duties.

Duty to act with care skill and diligence

Directors are liable for damages caused by the company as a result of their negligence. In terms of the common law, the test for whether the director was negligent was a subjective test – they were expected to exercise the care reasonably expected of a person with their knowledge and experience. They were not required to have special skills. This was a relatively low bar to set for directors, but this has been lifted by the Companies Act.

Section 76(3)(c) of the Companies Act contains an objective test, requiring that the director acts with the care and skill reasonably expected from a person having the knowledge, skill and experience of that director.

A new principle that was not expressly part of the common law has been incorporated in sections 76(4)–(5). This principle is known as the business judgment rule, and it provides a defence or a safe harbour for directors who may be found to have breached their duty of care, skill and diligence. These sections deem that the director has acted with reasonable care provided that:

- the director has taken reasonable steps to become informed about the matter
- the director has no material personal financial interest in the matter
- the director has made a proper disclosure of any financial interest to the board of directors in the prescribed manner
- the director had a reasonable basis to believe, and did believe, that the decision was in the best interests of the company.

The section also provides that the director can rely on the advice and opinion of employees, experts or professionals, if reasonable.

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Case study Fiduciary duties

Mosiu is a director of a national bank in South Africa. The head office in Johannesburg is looking shabby and a decision is made to re-decorate it.

The company publishes a tender document calling for tenders for this project.

Mosiu has little knowledge about interior design, but Mosiu nevertheless incorporates a company in order to tender to refurbish the building. Mosiu is the major shareholder of this new company and Mosiu's wife, son and the procurement manager from the bank are the directors and minority shareholders of the new company, BrightSpark (Pty) Ltd.

BrightSpark submits the tender document and within a few weeks is awarded the tender to redecorate the bank's head office.

After the tender has been awarded and payment made to BrightSpark, the bank discovers Mosiu's involvement in BrightSpark.

Advise the bank whether they would be able to take any legal action against Mosiu.

The issue in this question is the directors' duty of good faith and, specifically, the duty to avoid a conflict of interest.

Directors have very onerous duties in terms of the common law and the Companies Act. These duties are the fiduciary duties (duties of good faith and honesty) and the duties of care and skill. One of the important fiduciary duties is that a director must avoid a conflict of interest and must ensure that the director's personal interests do not clash with the interests of the company. It is also a duty of a director not to misuse the company's confidential information.

In this case, Mosiu is the director of the bank that has published a tender for its refurbishment. Mosiu has unlawfully used this information for their own benefit. Mosiu formed a company, BrightSpark that will tender for the contract, thereby putting Mosiu's own interests before those of the company (*CyberScene Ltd and Others v i-Kiosk Internet and Information (Pty) Ltd* 2000 (3) SA 806 (C)).

Mosiu has breached the fiduciary duties owed to the company and will be liable to the company for any profits made.

Director's liability for breach of their duties

The approach to directors' liability has moved away from criminal liability and the focus is rather on imposing personal liability. There are a number of provisions in the Companies Act that impose liability.

Directors will be liable to the company for loss, damage or costs if they breach their duty to disclose their financial interests or any breach of their fiduciary duties. They will further incur delictual liability for breach of the duty to act with care, skill and diligence. Section 162 of the Companies Act provides for a new sanction that may be used against directors who grossly abuse their position. The section gives the court the power to declare a director delinquent. This will mean that they may not be appointed as a director for a minimum period of seven years if the application is successful.

Deregistration of the company

A company comes to the end of its life only once it has been deregistered by the CIPC who will then remove it from its register. This will be effected if the company is wound up because it is insolvent and cannot pay its debts or because the shareholders have voluntarily decided to wind up the company.

The CIPC can also deregister a company if, after warnings and demands, it has not complied with certain requirements, such as the filing of financial returns or if it appears to the CIPC that it has ceased to carry on business. The deregistration of the company will not affect the liability of any former shareholder or director of the company.

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What do you think?

The main type of entities through which to run a business have been discussed in this chapter. If you were considering starting a small business selling second-hand textbooks which entity would you use for your business?

Chapter summary

In this chapter, you learned the following about the law of business entities:

- Choosing the appropriate business vehicle is one of the most important decisions for a person starting a business.
- A business can be run through an unincorporated entity such as a sole proprietorship or partnership; alternatively through a company. Both have advantages and disadvantages.
- A sole proprietorship is conducted by the owner who manages the business.
- The advantages of sole proprietorships are that they are cost-effective and simple to start and manage. The disadvantages are that the proprietor is personally liable for the debts of the business and the business has limited potential to grow.
- A partnership is an agreement between two or more people each of whom contributes to the partnership which is carried on for the joint benefit of the partners. The object of the partnership is to make a profit.
- A partnership is not a separate legal entity, and therefore the partners are jointly and severally liable for the debts of the business. This may be a disadvantage of a partnership.
- The mutual mandate provides that each partner is an agent for the partnership and the other partners.
- Partners have certain duties towards the partnership and if these are breached, the partner will be liable to their co-partners.
- There are different types of partnership recognised in South Africa. These include an extraordinary partnership and a universal partnership.
- An extraordinary partnership is distinguished from an ordinary partnership because the liability of an extraordinary partner is limited.
- In a universal partnership the partners share all their property, not only that acquired by conducting a business.
- Companies are regulated by the Companies Act 71 of 2008.
- A company is a separate legal entity which means that:
  - the shareholders and directors are not liable for the company's debts. They enjoy limited liability
  - the company owns its own property
  - it must sue and be sued in its own name
  - it has perpetual succession.
- The court may disregard the separate legal existence of a company if this principle is abused by the shareholders or directors.
- A company is incorporated by the registration of its constitutive document, the Memorandum of Incorporation (MoI).
- There are different types of company that can be formed. These include the following:
  - profit companies, which include state-owned companies, public companies, private companies and personal liability companies
  - non-profit companies, which are incorporated for a public benefit purpose.
  - The company functions through two organs:
  - the shareholders meeting
  - the board of directors.
- The shareholders' meetings and meetings of the board of directors must be properly convened and properly held. There are a number of notice and procedural requirements that must be complied with.
- A company will issue shares to raise capital. These must first be authorised in the company's MoI.
- There are different classes of shares that may be authorised. These include ordinary shares and

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preference shares. Different rights will attach to the different types of shares.
- In private companies shareholders will enjoy pre-emptive rights which enable existing shareholders to be offered a proportion of the new shares before an outside party is offered them.
- Every company is managed by a board of directors.
- The directors have the responsibility to ensure that the company is run with integrity and good governance.
- The directors have common law and statutory duties, which if breached will result in onerous liability.
- The directors have a fiduciary duty and a duty to exercise proper care and skill in the management of the company.
- The fiduciary duties include:
  - the duty of honesty and integrity
  - the duty to avoid a conflict of interest
  - the duty to act for a proper purpose and to not exceed the authority conferred on the director.
- The company's life comes to an end when it is deregistered at the CIPC.
- Close corporations are separate legal entities that are regulated by the Close Corporations Act.
- No new close corporations can be registered.
- Close corporations were intended for smaller businesses who wanted the advantages of incorporation.
- The members of a close corporation own an interest in the corporation and also manage the corporation. These members have fiduciary duties.

Review your understanding

1. Discuss the essential elements of a partnership.
2. Tebogo, an accountant, met Paul, a student, at a party in 2017. They had an immediate attraction and decided to move in together a year later. At the time, Tebogo had a lucrative job at an accounting firm and they supported Paul who continued studying. After Paul completed their studies, they wanted to move to Cape Town where they started a small business. Unfortunately, Tebogo could not find a job they liked so they helped Paul in the business, attending to all its accounting needs. Tebogo was not paid for this work. Unfortunately, the relationship ended a few years later.

   Tebogo approaches you for advice regarding their rights to the house, car and the business, all of which are registered in Paul's name.
3. What are two types of trusts that can be formed?
4. Discuss the advantages of a company as a separate legal entity.
5. Karabo enters into a gym contract with SuperFit (Pty) Ltd on the basis that they will get a discount for signing up and paying up front for the whole year. Six months later, the gym runs out of money and closes down. Karabo negotiated the contract with X, the sole director and main shareholder of the gym. Karabo is aware that, when they paid, X put the money in their own account and not into the gym's account. When Karabo asks X for their money back, X says the contract was with the company and not X and that X is protected by the corporate veil. Discuss Karabo's options to recover their money from X.
6. How can a company, that has recently been incorporated by a young entrepreneur, raise funds for the operation of the business?
7. What are the two different categories of directors' duties?
8. When will a court declare a director delinquent?
9. Ayesha is a builder and a director in a big construction company. Ayesha becomes aware from a colleague in the office that a lucrative contract to build a new development is available. Ayesha thinks that they will have a better chance of being awarded the contract if they tender for it on their own, as Ayesha will be able to offer a more reasonable price than a big company. Ayesha resigns from the company, tenders for the contract, and is awarded it. Advise the company if they have any remedy against Ayesha.

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Further reading

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Chapter
27 The law of insurance

The main ideas
- What is insurance?
- Concluding contracts of insurance
- Rights and duties of the insurer
- Rights and duties of the insured

The main skills
- Define insurance.
- Understand risk.
- Understand the meaning and effect of insurable interest.
- Distinguish indemnity from non-indemnity insurance.
- Distinguish between contracts of insurance and wager.
- Explain the requirements for a valid contract of insurance.
- Identify and discuss the *essentialia* of a contract of insurance.
- Explain the rights and duties of the insurer and the insured.
- Discuss over-insurance, under-insurance and double insurance.
- Explain double insurance in indemnity and non-indemnity insurance.
- Apply your knowledge of insurance law to analyse and solve hypothetical case studies and problem questions.

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This chapter will focus on the contract of insurance. We will determine what insurance is and explore different types of insurance. We will also consider how a contract of insurance is concluded and examine the essential requirements and elements of an insurance contract. The different parties to insurance contracts will be identified and their rights and duties discussed.

Before you start
You have just completed your BCom-degree and you start your own business with a partner who is an electrical engineer. The two of you have a small factory in which you produce devices that save electricity in homes. The product is very popular because of load-shedding and the business is expanding quickly. You employ 20 workers in the factory and, because the business is still new and growing, you have many overheads, including having to pay suppliers, rental, and salaries. The government declares a national state of disaster due to the global Covid-19 pandemic and places the country in a strict lockdown. Your business is not allowed to operate, so you cannot produce or sell your products and financial disaster looms. Is there a way in which you could have protected your business against risks in such a situation?

27.1 What is insurance?
A contract of insurance is concluded to transfer the risk of possible loss to an insurance company. Insurance therefore is an attempt to protect ourselves and our possessions, such as our houses and our cars, against possible future loss or damage. In exchange for regular payments, insurance companies will pay us out a certain amount of money, if the event against which we are insured should happen.

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In addition to the usual home, household contents and car insurance, people also insure against potential liabilities, such as professional negligence insurance, their lives, their bodies and the lives of close family members.

Insurance is defined as a contract of good faith between two parties, the insurer and the insured. The insurer is the party that provides the insurance and agrees to give a sum of money or its equivalent to the insured if a specified uncertain event occurs. The insured is the person who pays money, a premium, to insure that person's interests against unforeseen events.

The insurer will be a professional insurer. The company concludes contracts of insurance with many people. The insurer collects premiums from these people and then pays claims for losses from the pool of funds, which it also manages.

For example, Ntombi, with the assistance of their insurance broker, insures their car with Cut Costs Insurance Company against the risk of loss or damage caused by a motor vehicle collision. The contract is for one year and Ntombi agrees to pay a monthly premium of R600 to the insurer. Cut Costs Insurance Company is the insurer and Ntombi is the insured. In many cases, an intermediary, such as an insurance broker or agent, may help to conclude the contract, as occurred in Ntombi's case. Should Ntombi's car be damaged in a collision, the insurer will compensate them for their loss. The chance that this may occur is the **risk**. The collision, on the other hand, would be the **peril** – the event that causes the loss. The car is the **object of the risk**.

Risk in insurance law is defined as the possibility that an uncertain event or peril might occur in the future, causing the insured to suffer a loss.

A **peril** in insurance law is the event that causes the loss.

The **object of the risk** is the item or person insured.

The insurance industry is regulated both by the common law and different pieces of legislation, namely:

- the Long-Term Insurance Act 52 of 1998 (Long-Term Insurance Act), which applies to the long-term insurance industry
- the Short-Term Insurance Act 53 of 1998 (Short-Term Insurance Act), which applies to the short-term insurance industry
- the Financial Advisory and Intermediary Services Act 37 of 2002 (FAIS), which introduced minimum standards aimed at protecting consumers of financial products (which include insurance policies) and policy protection rules to promote sound insurance practices.
- the Financial Sector Regulation Act 9 of 2017 (FSRA)
- the Insurance Act 18 of 2017 (IA).

Added value The regulation of the financial sector

South African insurance law was heavily influenced by English insurance law principles. This influence is diminishing as the South African legal insurance framework is being developed to fit the unique South African context. An important step in this regard was the introduction of the Insurance Act 8 of 2017 (IA). The IA provides a legal framework for the regulation and supervision of the insurance industry. One of its main objectives is to ensure that insurance regulation is 'consistent with the Constitution of the Republic of South Africa, 1996', and to promote the 'maintenance of a fair, safe and stable insurance market'. It amended both the Long-Term Insurance Act and the Short-Term Insurance Act by repealing all the prudential requirements contained in those Acts. One of the challenges of the insurance industry in South Africa is that many people do not have access to the benefits of insurance. The IA therefore introduced a legal framework for microinsurance that promotes better access to insurance for all South Africans. Microinsurance enables lower income households in South Africa to access the benefits of insurance at a relatively lower cost. For example, microinsurance can be accessed for funeral policies, for better health protection, and to protect emerging farmers against crop failure.

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Added value (continued) The regulation of the financial sector

It is also helpful to have a general understanding of the legal framework within which the insurance industry operates in South Africa. In 2011, the government approved the Twin Peaks model of financial regulation for South Africa. This was a major step in creating the general legal framework through the FSR Act. The FSR Act introduced two authorities. The first is the Prudential Authority (PA), which falls under the South African Reserve Bank, and which is responsible for regulating the various parts of the financial sectors, including the banking and insurance industries. The second authority is the Financial Sector Conduct Authority (FSCA). This authority replaced the Financial Services Board and focusses on the conduct of financial institutions. The FSCA has emphasised the need to transform the South African insurance industry. This is necessary at the level of the specific policies developed by insurance companies, which should be innovative and serve all the diverse communities in South Africa. This is important to transform ownership and control of the traditional insurance companies. The newly introduced regulatory framework is a good initiative to tackle this.

A further step in establishing a legal framework for the regulation of the financial sector is the passing into law of the Conduct of Financial Institutions Act (COFI) but which, at the time of writing, has not yet been signed into law and is therefore still a Bill. The aim of COFI is to make the Treating Consumers Fairly (TCF) principles legally binding and enforceable. COFI will then focus on the treatment and protection of financial consumers, as well as the conduct of financial institutions in the market. COFI, when it becomes law, will also repeal the FAIS Act.

Activity 27.1

You have just bought your first car, which is a 2020 model Renault Kwid for R130 000. You arrange for comprehensive car insurance with INSure Insurance Company covering for loss or damage resulting from accidents, theft, and fire. Can you identify the insurer, the insured, the risk, the peril, and the object of the risk?

27.1.1 The difference between insuring and gambling

A **wager** is a gambling contract and an example of a contract of chance.

At this stage, it is important to be able to tell the difference between an insurance contract and a contract of **wager**. A contract of wager is a gambling contract. Betting on horses, for example, is a contract of wager. In both an insurance contract and a wager, there is an element of uncertainty or chance – the parties do not know whether something is going to happen. Both types of contract involve risk.

An insurance contract differs from a wager in a number of ways.

If an event is **arbitrary**, it depends on chance.

In a wager, the uncertain event is **arbitrary**. This means that the unexpected event does not relate to or result in a loss of something that the insured already possesses. The risk of loss is artificially created. For example, assume your friend bets you R5 000 that you will not be able to complete the Comrades Marathon. You accept the bet. It is uncertain whether you will finish the race or not. If you do, you will receive R5 000. This money does not replace something that you have lost. If you do not finish the marathon, you will have to pay your friend R5 000.

You and your friend have chosen an arbitrary event and your interest in the outcome has been created artificially. The risk was the bet.

In the case of insurance, the uncertain event is not arbitrary, but specific. This means that, if an event specified in the contract occurs, it will result in a loss to the insured. Therefore, in a contract of insurance, the insured acts sensibly by taking out insurance to protect against a potential loss. There is no gamble on the occurrence of the risk.

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The two contracts also have different purposes. The purpose of an insurance contract is to protect the estate of the insured; the insured has a real interest in the non-occurence of the insured event. The purpose of a wager, however, is to increase the estate of the insured.

A wagering contract, unlike a contract of insurance, is unenforceable in court. This means that, if you win a wagering contract and the other party does not pay you, you cannot go to court to get an order forcing the other party to pay you. So, if you do finish the Comrades Marathon and your friend does not pay you the R5 000, you would not be able to sue him in court for this money.

In an insurance contract, the insured takes out insurance to protect the insured's interests against everyday risks, which could cause a loss. In wagers, parties create their own risk. So, a contract of wager does not comply with the principle of legality and it is unenforceable.

27.1.2 Insurable interest

For an insured person to be compensated for a loss, the insured must prove an insurable interest in that loss. This means that the insured person must show that he is commercially worse off as result of the event that took place. For example, in *Littlejohn v Norwich Union Fire Insurance Society* 1905 TH 374, a husband (married out of community of property) insured the contents of his wife's shop. The husband was the manager of the shop and earned a salary from it, but did not own the shop or the stock. The stock was destroyed in a fire and the insurer refused to pay the claim, alleging that there was no insurable interest as the husband did not own the stock. The court disagreed and held that there was an insurable interest as the husband was in a worse off position commercially after the wife's property had been destroyed. It did not matter that the husband was not the owner of the stock. So, in order to claim from the insurer, all the insured need prove is a real financial benefit if the insured object continues to exist, or that something of value to the insured will be lost if the object is destroyed or damaged.

These principles were confirmed in *Lorcom Thirteen (Pty) Ltd v Zurich Insurance Company South Africa Ltd* 2013 (5) SA 42 (WCC), which is discussed below.

Lorcom Thirteen (Pty) Ltd v Zurich Insurance Company South Africa Ltd 2013 (5) SA 42 (WCC)

Principle

An insurable interest is required to enable an insured person to claim for a loss in terms of an indemnity contract of insurance. It is used to determine whether the insured has suffered a loss and also distinguishes a contract of insurance from a wager. Insurable interest, however, is not a self-standing requirement for the contract of insurance.

Facts

A fishing vessel, the *MFV Buccaneer*, was lost at sea in 2008. The insurer rejected the claim on the basis that an insurable interest was lacking. The insured, Lorcom, did not directly own the vessel. At the time of the loss, the vessel was owned by Gansbaai Fishing Wholesalers (GFW), but Lorcom held all its shares. GFW had made the boat available to Lorcom for fishing purposes. Lorcom had a permit authorising fishing with the vessel. There were also certain contractual arrangements in place which created a factual expectation that Lorcom would become the owner of the vessel in the future.

The court's finding

The court found that Lorcom's 100% shareholding in GWF, together with its right to use of the vessel for shipping and its expectancy of becoming owner, was sufficient to provide an insurable interest. The court was satisfied that this was a sufficient interest to allow the insured to claim payment of the loss of the market value of the vessel from the insurer.

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27.1.3 Types of insurance

A **patrimonial loss** is a calculable financial loss.

We classify insurance contracts as either indemnity insurance contracts or non-indemnity insurance contracts. In the case of indemnity insurance, the amount for which the insured is covered is related to the actual **patrimonial loss** that the insured suffers. In the case of non-indemnity insurance, the amount for which the insured is covered is not related to the actual loss suffered and is usually agreed upon in advance.

Indemnity insurance refers to protecting the insured against future financial loss or damage. If loss or damage occurs, the amount of compensation is intended to return the insured to the same financial position the insured was in before the insured event occured. Non-indemnity insurance does not aim to return the insured to the insured's previous financial position, but to pay out a specific amount of money when the risk occurs.

Indemnity insurance

Indemnity insurance is so called because we say that the insurer indemnifies the insured against the loss caused by the occurrence of the risk. This means that the insurer carries the risk of loss for the insured.

Indemnity insurance is based on the principle of indemnity, which does not allow the insured to recover more than the actual loss or damage that was suffered. The aim of indemnity insurance is to put the insured in the same position that existed before the loss took place. Should the insured event happen, the insurer will pay the actual amount of loss suffered by the insured.

Assume Ntombi's car was insured for R300 000 (its value). Ntombi reverses the car into a pole. The cost of repairing the damage is R30 000. The loss Ntombi has suffered is R30 000 and this is how much the insurer will pay Ntombi. It will indemnify Ntombi for the loss only. So, Ntombi will not receive payment of the full R300 000 she insured the car for.

Examples of indemnity insurance are:

- motor vehicle insurance
- fire insurance
- public liability insurance.

Added value — Public liability insurance

Public liability insurance is insurance that businesses and private persons can take out to protect themselves if they cause financial loss to a member of the public. If you are in a supermarket and you slip on a wet floor, you could claim your medical expenses from the shopping centre. These medical expenses will be covered by the shopping centre's public liability insurance.

As you have learned, in indemnity insurance, the liability of the insurer is limited to the amount of the loss the insured can claim when the risk against which she is insured occurs. In the case of indemnity insurance, the insurable interest must exist at the time of the loss.

If Ntombi's car is involved in an accident the insurable interest must exist when the damage occurs. Assume Ntombi had sold the car to a friend and was borrowing the car at the time of the accident. Ntombi would not have an insurable interest at the time of the loss, and would not be able to claim for the damage to the car from the insurance company (even if Ntombi was still paying the insurance premiums).

Non-indemnity insurance

In the case of non-indemnity insurance, the insurer undertakes to pay a specified sum of money to the insured, if the risk against which the person is insured occurs. The amount the insurer pays to the insured is pre-determined by the parties. The amount paid out is not related to the loss suffered. This type of insurance is usually related to the person of the insured or a third person.

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An example of non-indemnity insurance is life insurance. If the insured has life insurance for R500 000 and the person dies, the insurer will pay out R500 000 to the beneficiary of the policy. This R500 000 is not related to the value of the insured's life, but was agreed upon by the parties in the insurance contract.

The purpose of non-indemnity insurance is not to indemnify the insured against the risk of loss, but to pay out an agreed amount when the risk occurs. The actual loss suffered by the insured is not relevant. With non-indemnity insurance, the insurer is liable for the agreed-upon sum of money. The insured can claim this sum on the occurrence of the risk.

With indemnity insurance, the insurable interest must exist at the time of the loss. In the case of non-indemnity insurance, the interest must exist when the contract is concluded. A person has an interest in the life of their spouse. For this reason, a wife can insure a husband's life. This interest must exist at the time at which the contract of insurance is concluded. In other words, she must be married to him at the time at which she concludes the contract. The insurance company will still be obliged to pay the wife R500 000 when the husband dies, even if they were divorced at the time of death – because there was an insurable interest when the contract was concluded.

Activity 27.2

Name the two basic types of insurance and indicate the difference between them.

27.2 Concluding contracts of insurance

Let us now examine the parties to a contract of insurance, the legal requirements, and essential elements of a contract of insurance. To illustrate these concepts, we will use the example of Ntombi, who took out insurance on her car with Cut Costs Insurance Company.

27.2.1 Parties to the contract

In a contract of insurance, two parties need to be present. These parties are the insurer and the insured. The insurer is usually an insurance company that offers insurance to make a profit.

In our example, Cut Costs Insurance Company is the insurer. The insured is the person protected by the insurance contract. Ntombi is the insured.

The insured can either be a natural person (a human being) or a juristic person, such as a company. Third parties may be involved in concluding the insurance contract between the two main role-players. These parties are called **intermediaries**.

In insurance law an **intermediary** is a person who negotiates insurance contracts for another person and/or provides advice to this person about the person's insurance needs.

Intermediaries can be either insurance brokers or insurance agents. An insurance broker is an independent intermediary. The broker acts as an agent of the insured and is not employed by or tied to any specific insurer. The broker has the duty to choose the best insurer for the insured, depending on the insured's needs.

If I want to insure my car, a broker compares the policies of different insurance companies and advises me on which policy would best suit my needs. Even though the broker acts for the insured, the broker's commission is paid by the insurance company.

An insurance agent, on the other hand, is an intermediary who acts as an agent of the insurer.

In contracts of life insurance, a **beneficiary** is often appointed. This is the person to whom the insurance company will pay the sum insured when the insured dies.

In a life insurance contract, a **beneficiary** is the person whom the insured nominates to receive payment of the proceeds of the policy.

27.2.2 Requirements for insurance contracts

As with any contract, certain requirements have to be met for the conclusion of a valid contract of insurance. These requirements are:

- consensus or agreement between the parties to the contract
- the legal ability or contractual capacity to enter into the contract

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- the legality of the contract
- the physical possibility of carrying out the contract
- formalities or compliance with the contract's formal requirements.

Agreeing to the contract

The parties must reach agreement or consensus on the necessary elements to an insurance contract. Consensus is reached through one party making an offer and the other party accepting the offer. In the case of a contract of insurance, consensus must be reached on the following matters:

- the person or property to be insured, for example, a specific car
- the risk insured against loss, such as loss caused by theft or an accident
- the amount of the premium payable by the insured
- the sum of money payable by the insurer if the insured car is stolen or involved in an accident, for example
- the period of insurance, such as a year for car insurance or until the person insured dies in the case of life insurance.

The parties achieve consensus through offer and acceptance. In the case of a contract of insurance, the offer is made by the insured, not the insurer. The insurer merely invites the public to apply for insurance. The insured makes the offer by completing and signing an application for insurance. The application for insurance is called a proposal. The proposal is a printed form issued by the insurer. It contains a number of questions that the insured must answer.

Questions are asked by the insurer to allow it to assess the possibility of the risk in question occurring. For example, in a proposal for car insurance, questions are asked about the age and driving experience of the nominated driver, whether the car has an alarm system and where the car will be parked at night.

The insured is asked to warrant the truth of the answers, and to declare that they will be the basis of the contract of insurance. The insured must therefore answer the questions in the proposal honestly, carefully and accurately. If the insurer accepts the proposal, consensus has been reached and a contract of insurance comes into existence. The insurer then sends the insured the **policy** of insurance.

The **policy** is the written contract of insurance, which incorporates the proposal.

These days, many proposals are completed both electronically (online via the insurer's website) and telephonically. These are perfectly legitimate business practices. Nevertheless, once a contract is concluded, the contract is still usually recorded in writing in a policy.

Often, at the end of the insurance period, the insurer sends a renewal notice to the insured. The renewal notice is a new offer for insurance, this time made by the insurer. With this notice, the insurer offers to renew the insured's insurance. The renewal notice can include changes, such as an annual increase in the premium. Once the insured accepts the offer, a new insurance contract comes into existence.

Who can conclude an insurance contract?

The capacity or ability of a person to be party to a contract is that person's contractual capacity. The general rule regarding contractual capacity is that a person obtains full capacity to conclude a contract when a person becomes a major, that is, when the person turns 18. This rule also applies to insurance contracts.

Legality

The purpose of the insurance contract must be legal. The manner in which the contract is concluded must also be legal. For example, if the purpose of an insurance contract is to insure the getaway car of a gang of thieves, the contract is not legal. If the contract is concluded by fraud, the way in which it is concluded is not legal. Once again, a distinction must be made between an insurance contract, which insures interests against everyday risks, and wagers, where parties create their own risk. A contract of wager does not comply with the principle of legality and is unenforceable.

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Possibility of carrying out the contract

If the insurable interest no longer exists when the parties enter into the contract, the contract of insurance is not physically possible. If Ntombi's car is written off in a collision when the period or term of her insurance contract ends, she cannot renew the insurance for that particular vehicle.

Formal requirements for the contract

There are no legal formalities needed for the conclusion of a contract of insurance. The contract of insurance does not have to be in writing. A verbal contract of insurance is valid. In practice, however, the contract is usually recorded in a written document, known as the policy, and a written contract is always preferable to a verbal contract. The written document provides evidence that a contract was actually concluded and also sets out the terms of the contract. The policy is often a standard document prepared by the insurer. The insured is provided with schedules, which list the insured items and any special terms and conditions.

27.2.3 Essential elements of insurance contracts

The essential elements, which distinguish a specific type of contract from other contracts, are referred to as the *essentialia* of the contract. In the case of a contract of insurance, this means that:

- the insurer must compensate the insured if an insured loss occurs
- the insured must pay a premium or undertake to pay a premium
- the liability of the insurer to perform will arise only when a specified, but uncertain event occurs.

The insurer's obligation to compensate the insured for the insured's loss

Should the insured event occur and cause the insured a loss, the insurer is obliged to compensate the insured for the loss. In the case of indemnity insurance, the amount that the insurer will pay depends on the actual loss suffered by the insured. With non-indemnity insurance, the insurer pays out the agreed upon cover. Cover means the extent of the insurer's liability to accept the loss suffered by the insured.

Payment of a premium by the insured

The premium is the sum of money the insured undertakes to pay to the insurer for the insurance. The actual payment of the premium is not necessary for the insurance contract to come into existence. An undertaking by the insured to pay the premium is enough to satisfy this essential requirement for a valid insurance contract. The rule is therefore that the insurance contract comes into existence when an undertaking to pay the premium has been given by the insured. Sometimes, an insurance contract places a duty on the insured to pay the premium. In practice, however, the contract is usually subject to a **suspensive condition** of payment.

A **suspensive condition** is a condition that suspends the operation of the contract until the condition (an uncertain future event) is met. In other words, the contract of insurance will usually become enforceable only when the insured pays the premium.

The occurrence of an uncertain future event

It is not possible to insure against events that are certain to occur. The risk must be an uncertain event. The insurer will be obliged to compensate only if an uncertain event causes a loss. The uncertain event that causes the loss is the peril. The possibility of the loss occurring is called the risk. An insurance contract is concluded to protect against possible losses that may happen.

Uncertainty can occur in two different ways:

1. The event itself could be uncertain, for example, it is uncertain whether a person's house will be broken into or burn down in a fire.
2. An event can be uncertain in the sense that it is uncertain when it will occur – for example, in life insurance, death is certain to occur, but it is not known when the insured will die.

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The risk is therefore an important element to a contract of insurance, and it must be accurately described in the contract. The description of the risk must include the following:

- the property or person to be insured, for instance, household contents or a person's life
- the peril against which the object is insured, for example, theft or death
- any circumstances that could affect the risk, for example, not locking the doors, or participating in an extreme sport, such as skydiving.

The contract of insurance may even specifically rule out certain risks. An exclusion clause is a contractual term that provides that the insurer is not liable if the risk occurs under certain circumstances. An exclusion clause can therefore exclude the insurer from liability. In the case of motor vehicle insurance, for example, a typical exclusion clause may state that the insurer will not have to pay the insured, if the damage occurs while someone without a valid driver's licence is driving the vehicle.

Is insurable interest an *essentialia*?

Some academics argue that insurable interest is an *essentialia* of a contract of insurance, but this is not correct and the true position is that insurable interest is only needed for an insured to claim for a loss.

Case study — Yusuf's car

Yusuf is a university student. Yusuf's father buys a car for Yusuf to drive to and from university. The car is registered in Yusuf's father's name. The father clearly indicated to Yusuf that Yusuf is not the owner of the car, but merely has the right to use it. Yusuf insures the car. The car is stolen. The insurer does not want to pay Yusuf the value of the car; the insurer states Yusuf did not have an insurable interest in the car, as Yusuf was not the owner of the car. Did Yusuf have an insurable interest in the car?
Hint: You should consider whether Yusuf will be financially worse off without the car.

27.3 Rights and duties of the insurer

Both the insurer and the insured have certain **rights** and **duties** in terms of the contract of insurance. Consider again the case of Ntombi, whose car is insured with Cut Costs Insurance Company. Assume Ntombi has an accident that was not Ntombi's fault. Cut Costs Insurance company pays for the damage caused to the car. The most important duty of Cut Costs Insurance Company is to compensate Ntombi for the loss, because of the occurrence of the risk. The most important right of the insurance company is the right to claim this amount back from the person who caused the accident.

A **right** is a legal entitlement to something.

A legal **duty** is something that somebody is required to do by law.

27.3.1 Rights of the insurer

The insurer has a right of **subrogation**, a right to receive payment of the premium and a right to receive full disclosure of important information affecting the risk (see the discussion in section 27.4.2. below).

Subrogation means 'to put one person in the place of another in respect of a right or claim'.

Subrogation is best illustrated by a practical example. Ntombi's car is insured with Cut Costs Insurance Company. Peter negligently drives into their car at an intersection. Ntombi has a claim against Peter for the cost of the damage. Ntombi has two options: to can claim the damages from the insurance company, or to claim the amount from Peter. Peter works as a cashier at a supermarket, and does not have insurance. It is quicker and easier for Ntombi to claim from the insurance company as opposed to claiming from Peter, which will involve taking the matter to court. So, Ntombi wisely chooses to claim the money from the insurance company. If the insurance company pays out the full amount to which Ntombi is entitled, Ntombi can no longer claim the amount from Peter, but the insurance company can choose to recover the amount paid from Peter.

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The principle of subrogation prevents Ntombi from being paid out for the damage by both the insurer and the wrongdoer. According to the indemnity, once an insurer has paid the insured for the insured's loss, the insurer can step into Ntombi's shoes, and has the right to sue the actual wrongdoer to recover the amount that was paid to the insured. Ntombi's insurance company can therefore sue Peter, if it chooses to do so. The insurer takes the place of the insured, and sues the wrongdoer.

As discussed above, one of the essential elements of an insurance contact is an undertaking – not the actual payment – by the insured to pay a premium to the insurer. The actual payment of premiums is invariably seen as a prerequisite for the performance by the insurer in making good the loss of the insured. Simply put, the insurer is not obliged to pay the benefits under the policy if the event insured against happens and the premium has not been paid. Again, this does not mean that the insured can be forced to pay the premium and, whether payment of the premium is legally enforceable, will depend on the intention of parties as expressed in the contract. The intention, especially in the case of life insurance, is often that the insured cannot be compelled to pay premiums if the insured no longer wants cover.

Discovery Life Limited v Hogan and Another 2021 (5) SA 466 (SCA)

Principle

When an insured repudiates an insurance contract, the insurer is entitled to accept the repudiation and the contract will terminate with immediate effect. Grace periods provided for in the contract will then also terminate and the insured cannot rely on those to revive the contract.

Facts

SC had a life insurance policy with Discovery Life Limited (D) since 2015. In 2018, SC decided to take out life insurance with another company and to cancel her policy with D. She contacted D telephonically on 6 August 2018 to inform D of her decision to cancel the policy. She followed this up with a letter to D on 15 August 2018, advising that she is terminating the policy with immediate effect. D informed SC that it would cancel the policy, but that there is a 30-day notice period applicable. The last premium would be deducted by debit order from SC's bank account on 3 September 2018 and the policy would remain valid until 30 September 2018. SC, however, instructed her bank to stop the debit order and not to pay the premium to D on 3 September. D then informed SC that the policy would be cancelled with effect from 1 September 2018. SC died on 22 September 2018. On the advice of SC's broker, the beneficiaries of SC's policy with D paid the premium for September on 27 September 2018 and then submitted a claim in terms of the policy to D. D rejected the claim on the basis that the policy had been cancelled. The beneficiaries argued that D had elected to uphold the policy by insisting that SC pay the premium on 3 September. They also argued that, in terms of the policy, D had to give SC notice of the non-payment of the premium. This would then allow SC a 30-day grace period within which to pay the outstanding premium (which was actually paid on 27 September).

The court's finding

The central issue to be decided by the court was whether the instruction given by SC to her bank not to pay the premium on 3 September 2018 constituted a repudiation of the policy. A further issue was whether the terms of the policy about non-payment of a premium (namely, that notice about the non-payment must be given by D and that the insured then had a 30-day grace period to pay the outstanding premium) still applied.

The court found that it was objectively clear from SC's communication with D and her stopping payment of the premium that she had repudiated the policy. Therefore, D was entitled to accept the repudiation and cancel the policy with immediate effect. The court also found that the grace period applies only where the non-payment of the premium does not constitute a repudiation of the policy. As it was clear that SC had intended not to pay the premium and had,

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***Discovery Life Limited v Hogan and Another* 2021 (5) SA 466 (SCA) (continued)**

in fact, intended to repudiate the policy, the grace period did not apply. The court found that SC's policy was not cancelled through non-payment of the premium, but rather because SC had repudiated the contract with D and this repudiation was accepted by D. The grace period cannot apply where the policy was repudiated or even where the parties have mutually agreed to cancel the policy.

27.3.2 Duties of the insurer

The main duty of the insurer is to compensate, or repay, the insured the amount that the insured has lost. If Ntombi is involved in an accident and the cost to repair the car is R70 000, Cut Costs Insurance Company will have to pay an amount of R70 000.

The duty of the insurer to compensate the insured arises when the risk occurs and the insured suffers loss. When Ntombi is involved in the accident, the motor vehicle is damaged, and Ntombi suffers a financial loss. It is then Cut Costs Insurance Company's duty to compensate Ntombi for the damage that has arisen. The amount payable by the insurer depends on whether the type of insurance is indemnity or non-indemnity insurance.

As far as indemnity insurance goes, the amount that the insurer pays out will not always be equal to the loss suffered by the insured. The amount may be less if the insured has insurance for an amount less than the value of the item that is insured – this is called under-insurance.

If you have ever had to claim from your car insurance company, you will know that you often have to pay the first few thousand rands' worth of damage yourself. This is because motor vehicle insurance usually contains an **excess** clause. This means that the insured is liable for a fixed amount of each loss. For example, the insured claims for R50 000 after the insured's car is damaged in a collision. If the excess is agreed to be R5 000, the insurer will only pay out R45 000. If the loss was less than R5 000, there would be no claim. An excess clause has the effect of reducing the premiums, because it means that the insurer does not have to pay out for small bumps to the car which cost less than R5 000 (or the agreed excess figure) to fix.

An **excess** is the fixed amount of the loss payable by the insured.

If the insured, when claiming for loss, makes any untrue statements or hides or does not reveal any facts that are relevant to the claim, the insurer may not have to pay any benefits in terms of the policy. For example, Pumeza's house is burgled and the television and surround-sound system are stolen. When submitting a claim to the insurance company, Pumeza decides to include a claim for a laptop that Pumeza did not own. If the insurer finds out and the policy contains a forfeiture of benefits clause for fraud, Pumeza will forfeit all benefits, which means that the insured will not get paid a cent from the insurer. However, if the policy does not contain a forfeiture clause, the insurer will be obliged to pay for the valid portion of the claim (in this case, for the television and the sound system).

The General Code of Conduct in terms of the FAIS Act places a duty on financial service providers, such as insurance companies and insurance brokers and agents, to ensure that their insurance contracts are:

- clear
- provided in plain language
- appropriate for the consumer in question
- not misleading.

Financial service providers must disclose the following to the consumer:

- the policy's benefits
- monetary obligations
- risks
- restrictions.

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Special terms and conditions must be clearly pointed out and explained to the consumer, such as:

- exclusion clauses
- excesses
- restrictions.

27.4 Rights and duties of the insured

In our earlier example, Ntombi's main right is to be compensated by Cut Costs Insurance Company if Ntombi suffers a loss. Ntombi's most important duty is to disclose all information that is relevant to the contract of insurance to Cut Costs Insurance Company.

27.4.1 Rights of the insured

When the insured suffers loss because the risk insured against materialises, the insured has the right to be compensated for the loss by the insurer.

27.4.2 Duties of the insured

When an insured person submits an application for insurance, the insurer must make two decisions. First, it has to decide whether it will accept the risk and conclude a contract of insurance. Then, it has to decide what premium it will charge or which terms it will include in the contract. The insurer makes these decisions by calculating the extent of the risk it will have to carry. The risk calculation is based on the information supplied by the insured in the proposal form. For example, if you wish to insure your life, but you have a pre-existing medical condition, the insurer may agree to offer you life insurance, but in all probability will include a term that states that there will be no cover if you die from the pre-existing medical condition.

So the insured has certain duties when filling out the proposal form:

- The insured must answer all questions in the application form truthfully, and must supply additional relevant information.
- The insured must also, if required to do so by the proposal, **promise** that the information in the proposal is correct.

In order to assess the risk, the insurer relies on the information provided by the prospective insured when answering the questions in the proposal form (which could be printed or an online form). This is why the parties must conclude the contract of insurance **in good faith**.

During the existence of the contract, the insured must also act in good faith, and must not submit fraudulent claims to the insurer. Unfortunately, insurance claims are not always honest. Insurance companies routinely lose money by paying out false claims. This usually leads to an increase in premium charges for honest and dishonest clients alike. To protect the insurer from fraudulent or inflated claims, insurance policies often contain a clause to protect the insurer from having to compensate the insured in the case of a **fraudulent** or **inflated claim**. These forfeiture clauses usually provide that if a claim is fraudulent or inflated, the insurer will be allowed to cancel the insurance, and that all benefits under the contract will be lost

What is the position if the policy does not contain a 'fraudulent claim' clause? If the claim is entirely fraudulent, the insurer may reject the claim as there is no loss. However, if the claim is inflated, the insurer is liable for the valid portion of the claim. The insured does not forfeit the entire claim.

Let us consider the duties of the insured in more detail.

Promise, in this context, is a warranty.

When parties act **in good faith** during negotiation, it means that they have regard for the public interest, public policy, the community's sense of justice, fairness, and constitutional values.

A **fraudulent claim** is a claim for damage that did not occur, because the risk did not happen. For example, if you pretended your home was broken into in order to claim from insurance, your claim would be fraudulent.

An **inflated claim** is a claim for more than the damage actually suffered as a result of the occurrence of the risk, such as claiming for additional items that were not stolen, when your house was burgled.

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Duty to provide all relevant information

The insured must answer all questions in the proposal truthfully and accurately. Even if the proposal form does not ask an insured for additional information, the insured must supply any additional information that could materially affect the insurer's decision to insure or the amount of the premium it is going to charge. For example, in the case of motor vehicle insurance, the insured has a duty to disclose a drunk-driving conviction. In the case of life insurance, the insured must state whether the person is a smoker. This is the insured's duty to disclose.

If the insured fails to answer truthfully or accurately in the proposal form, there is a misrepresentation. If the insured fails to give all relevant information, there is a non-disclosure. In both cases, where the information in question is material to the assessment of the risk, the contract will be voidable. In other words, the insurer can decide whether to continue with the contract or to cancel the contract. The insurer can also decide whether it wishes to pay a claim.

If the insurer cancels the contract, the insurer will have to return any premiums paid by the insured. It is important to note though that the insurer can only cancel the contract for misrepresentation or non-disclosure if the insured misrepresented or did not disclose a **material fact**. In other words, the fact that was misrepresented or undisclosed must have been one that a reasonable person would believe could influence an insurer's decision to grant insurance to the insured or the amount of the premium payable. This principle was confirmed in *Mutual and Federal Insurance Company Ltd v Oudtshoorn Municipality* 1985 (1) SA 419 (A). It is also part of the statutory test for misrepresentations and non-disclosures in section 59(1) of the Long-Term Insurance Act and section 53(1) of the Short-Term Insurance Act. These provisions are discussed in more detail shortly.

A **fact** is **material** if a reasonable person would consider the fact to be relevant to the assessment of the risk by an insurer. The test to determine materiality is objective.

Let us assume that a person, aged 45, wishes to insure their life. In the proposal form, the person mistakenly states that the person is 44-years old. The person does not disclose that they work as a police officer assigned to address gang violence. The person has misrepresented their age by a year, but the small mistake of one year is not usually a material fact in life insurance. The person has failed to disclose their occupation. This is a material fact in life insurance because the nature of the person's occupation is such that it places the life of the person in danger. A reasonable person would regard this fact to be material to an insurance company. The fact would influence the decision of the insurer when deciding whether to insure the person's life. If the insurance company does decide to insure the person's life, this fact would influence the premium it charges.

Added value — Reasonable person

The reasonable person standard is one often used in the law and is an objective enquiry. The reasonable person is a hypothetical, or imaginary, person whose view of things is taken into account when legal decisions are made. The question asked is: How would the reasonable person have acted under the circumstances? The insurer would ask: Would the reasonable person have thought it was necessary to disclose the fact to an insurer? The reasonable person discloses facts that influence the insurer's decision to insure and the terms upon which the insurance is concluded.

***Motshwane v iWyze Valuables Insurance* [2021] ZAGPPHC 111, 26 January 2021**

Principle

Insurers that wish to determine facts from the proposed insured, which could be used to avoid liability under an insurance contract, must use clear and unambiguous questions. Otherwise, an incorrect answer may not necessarily amount to an actual non-disclosure, but may simply be a truthful answer to a vague question.

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***Motshwane v iWyze Valuables Insurance* [2021] ZAGPPHC 111, 26 January 2021 (continued)**

Facts

During 2015, M insured a motor vehicle with Mutual & Federal (M&F). The vehicle was damaged beyond repair in an accident later that year. M&F paid the claim and the insurance contract between M and M&F was terminated as there was no longer a need for insurance cover. When M purchased a new car, he had to obtain comprehensive insurance for the new vehicle. This was arranged via a broker, who also contacted M&F for a quote. M&F, however, refused to provide a quote. When contacting iWyze for a quote, the following question was posed, firstly telephonically, and then in writing as part of the quote:

> 'Have you or anyone you intend covering ever been informed by any insurance broker, administrator or insurance company that:
>
> - your insurance was cancelled?
> - you should seek alternative insurance?
> - you have been refused renewal of insurance?
>
> Have you or anyone you intend covering ever had your insurance policies cancelled due to fraud or dishonesty?'

M's answer to these questions was 'No'. M informed iWyze of his accident in 2015. iWyze provided a quote which was accepted by M and the contract of insurance was concluded on 14 December 2015. The quote contained a warning that the insured (M) must make sure all material information is correctly provided and that the information will be validated in the event of a claim. Subsequently, M was involved in a minor accident and the claim was settled by iWyze. However, on 28 February 2016, M was involved in an accident caused by a third party that resulted in M's vehicle being damaged beyond repair. M filed a claim with iWyze. The claim was rejected on the basis of a material non-disclosure. It was alleged that M had failed to disclose that he was previously refused insurance by another insurer. During the trial, M testified that he did not consider the refusal by M&F to provide a quote as a refusal to insure him. If the question posed had been whether an insurer had refused to provide him with a quote, then he would have responded to that, but that question was not put to him.

The court's finding

The court stated that, where the insurer endeavours to establish certain facts, the questions it poses to establish these facts, should be clear and unambiguous. Otherwise, an incorrect answer may not necessarily amount to an actual non-disclosure, but may simply be a truthful answer to a vague question. The court concluded that the questions asked were so ambiguous that M could not be faulted for not informing iWyze that M&F had refused to provide him (M) with a quote.

Contracts of indemnity insurance are normally renewed every year. Upon renewal, the insured has a new duty to disclose. If the insured's position has changed since completing the proposal, the insured must inform the insurer of the new position. If the insured has, since originally taking out insurance on the insured's car, been convicted of drunk driving, the insured must disclose this fact to Cut Costs Insurance Company.

Duty to promise information is correct

Insurers often include warranties in their contracts of insurance. A warranty is a contractual undertaking or promise by the insured that a certain state of affairs exists. In other words, the insured warrants that

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the information in the proposal is correct and that all information material to the assessment of the risk has been disclosed.

Two types of warranty exist, namely, an affirmative warranty and a promissory warranty. An affirmative warranty confirms the correctness of a factual situation at present or in the past. A promissory warranty warrants that a factual situation will exist after conclusion of the contract or that the insured will act in a certain manner in the future.

For example, if you are asked about your smoking habits when taking out life insurance and you promise that you have not smoked in the past five years, this is an affirmative warranty. Stating that you will remain a non-smoker for the duration of the insurance contract is a promissory warranty.

Another example of a promissory warranty is an undertaking to switch on your house alarm whenever your house is unoccupied. So, a promissory warranty is sometimes called a continuing warranty because it usually relates to a future duty.

A breach of warranty occurs when information warranted to be true by the insured is not, in fact, true, or where the insured fails to behave as promised during the duration of the contract. A breach of warranty is a breach of the term of the contract, and this entitles the insurer to cancel the contract of insurance, at the same time refusing to pay a claim.

Before the Long-Term Insurance Act and the Short-Term Insurance Act came into effect, the insurer could cancel the contract on the basis of breach of warranty, even if the incorrect information in the proposal was not material to the insurer's assessment of the risk.

Cancelling the contract for breach of warranty was often very unfair to the insured, especially where false information was warranted to be true, but where the information in question was not material to the assessment of the risk.

To return to the example of taking out life insurance, assume the person correctly stated the occupation, but misrepresented the person's age by a year. The person warranted that all information supplied in the proposal form was true and correct. This is an affirmative warranty. Assume now, that the person dies in a car accident. Before the enactment of the legislation in question, the insurer could cancel the contract and refuse to pay the person's beneficiary because of breach of warranty. The insurer did not have to pay out, despite the fact that the incorrect information was not material to the risk and could not have influenced the insurer's assessment of the risk.

To ensure fairness for both parties, the situation is now regulated by legislation. Section 59(1) of the Long-Term Insurance Act and section 53(1) of the Short-Term Insurance Act provide that a policy of insurance can only be cancelled by a breach of warranty in strict circumstances. The insurer may only cancel the policy where the insured misrepresents or non-discloses a fact, warranted to be true, if the fact in question materially affected the assessment of the risk by the insurer. This means that the insurer cannot cancel the contract if information warranted to be true is not material to the assessment of the risk.

The fact that the insured has a drunk-driving conviction is likely to affect the assessment of risk by an insurer. If the insured does not disclose this fact and warrants that all material information has been disclosed, the insurer can cancel the contract of insurance for breach of warranty. If, however, the insured makes a mistake when filling out the proposal, and states that the car is blue in colour when it is actually black in colour, this will not materially affect the assessment of the risk by the insurer. The insurer will not be entitled to cancel the contract.

This rule, however, only applies to affirmative warranties. The insured must comply strictly with the promise in a promissory warranty. Assume you insure your household contents and warrant that you will always activate the burglar alarm when the house is unoccupied. Strict compliance is required. It does not matter if the house is unoccupied for a short period of time. So, assume you go to the shop to buy milk and leave home for five minutes only, but forget to switch on the alarm. If your house is burgled during this period, you will not be able to claim for your loss. The insurer will be entitled to rely on breach of the promissory warranty to reject the claim for the loss.

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Activity 27.3

Write down your own examples of facts that you think an insured would have a duty to disclose in these contracts of insurance:

a) motor vehicle insurance
b) house insurance
c) life insurance.

Case study Faye scuba dives

Faye is an attorney. Faye concludes a contract of life insurance with SureLife Insurance Company. In the proposal, Faye fills in the occupation as an attorney. Faye does not, however, indicate in the proposal that they are a keen scuba diver, as Faye does not consider that to relate to their occupation. Faye is killed during a scuba diving excursion when attacked by a shark. SureLife refuses to pay the claim instituted in terms of the life insurance policy. The reason for rejecting the claim is the non-disclosure of Faye's participation in a dangerous activity, such as scuba diving.

The question is whether the information is material for purposes of placing the insurer in a position to determine whether it is prepared to accept the risk to insure the life of the applicant, and, if so, then what premium to charge for providing the insurance. Objectively speaking, the fact that Faye participates in a dangerous activity will impact on the risk and should therefore be disclosed. The rejection of the claim is probably justified. It must be stated, however, that the questions, which the insurer asks to obtain the necessary information, must be clear and unambiguous, otherwise it may not be able to rely on the non-disclosure to avoid liability.

27.4.3 Over-insurance, under-insurance and double insurance

Over-insurance, under-insurance and double insurance apply only to indemnity insurance. The underlying principle of indemnity insurance is that the insured should insure for the true value of the items at issue and be indemnified for their loss. However, this does not always happen.

Sometimes the insured puts too high a value on the items to be insured. This will be a situation of over-insurance. At other times, people may under-insure, or take out insurance that does not cover the value of an item. Then, there are people who take out insurance on the same item with more than one insurer – these people double insure.

Over-valuing an insured item

Over-insurance occurs when the amount for which the item is insured is more than the real value of the item. For example, Sam's car is worth R300 000, but is insured for R400 000. In the case of over-insurance, the amount payable by the insurer is limited to the actual loss by the insured. If Sam's car is stolen, the insurer will be obliged to pay only R300 000, and not R400 000. The premium to insure the car for R400 000 will be more expensive than insuring the car for R300 000 and therefore the difference between the higher and the lower premium will be wasted.

Under-valuing an insured item

Under-insurance occurs when the insured insure their property for less than the actual value of the property. If Sam's car is worth R300 000, but it is insured for R150 000, the car is under-insured.

Often insurance contracts contain an average clause. This clause provides that where there is under-insurance and a loss occurs, the insured will only receive a *pro rata* share of the loss.

This means that the amount received will be in proportion to the amount that the insured was under-insured. The insured is regarded as self-insuring for the balance of the loss. In other words, the insured will have to bear the rest of the loss.

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If there is an average clause in the contract, the amount the insured can claim is calculated as follows:

$$\text{Amount claimed} = \frac{\text{sum insured} \times \text{loss}}{\text{actual value}}$$

Let us return to the example of Sam's car, which is valued at R300 000, but insured for R150 000. Assume Sam has an accident and the damage to the car is R40 000. The contract contains an average clause and the following can be claimed:

$$\text{Amount claimed} = \frac{\text{sum insured} \times \text{loss}}{\text{actual value}}$$

$$= \frac{150\,000 \times 40\,000}{300\,000}$$

$$= 20\,000$$

Average clauses exist to discourage under-insurance. It would be unfair for Sam to be paid out the full R40 000 of the claim if the car was under-insured. The premiums have been lower than those of somebody who was insured for the full value of the car.

Insuring the same item with more than one insurer

The aim of indemnity insurance is to indemnify the insured: to place the insured in the same position she was in before the loss occurred. The insured may not be placed in a better position. Double insurance occurs when an insured insures the same item with more than one insurer.

If Sam insures the car with both insurer A and insurer B, Sam, the person, is double insured. If the car is stolen, Sam cannot claim the full amount of the loss from both insurer A and insurer B. In such a case, Sam can choose to claim from either one of the insurers. If Sam decides to claim the full amount from insurer A, the company will then have a claim against insurer B for its share of the loss. This is called the principle of contribution.

According to the principle of contribution, where an insured is double insured and one insurer pays out the full amount of the loss, this insurer can call upon the other insurers to contribute their share (or relatable proportion) of the loss.

Added value — Indemnity insurance and non-indemnity insurance

These principles apply only to indemnity insurance. In the case of non-indemnity insurance, the insured can insure the interest with as many insurers as the person wishes. If the risk occurs, each insurer will have to pay out the full amount. For example, John's life is insured for R500 000 with Insurer A and for R800 000 with Insurer B. When John dies, Insurer A must pay the full R500 000 and Insurer B must pay the full R800 000 in terms of the insurance contracts.

Activity 27.4

Siya insures their house for R1 000 000, but it is worth R3 000 000. Siya also insures their car for R300 000, but it is worth R200 000. The house is washed away during severe flooding in the Durban area. The car is also lost in the flood. Siya files a claim with the insurer. Indicate for what amount the insurer is liable in the case of the house and of the car.

27.5 Ending a contract of insurance

A contract of insurance can come to an end in various ways:

- The contract might expire at the end of the agreed-upon time period or term.
- The contract can also be terminated by cancellation by either party. This will be allowed when either party has not complied with the terms of the contract or has misrepresented a material fact.
- The contract can also end by contractual agreement between parties. For example, the insurer and the insured can agree that the insured can end the contract by giving notice of the intention to do so.

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Chapter summary

In this chapter, you learned the following about the law of insurance:

- Insurance is defined as a contract of good faith between the insurer and the insured. In a contract of insurance, the insured undertakes to pay a premium to the insurer.
- The insurer undertakes to bear a certain risk for the insured.
- An insurance contract and a contract of wager are two different concepts.
- The two kinds of insurance are indemnity insurance and non-indemnity insurance.
  - In the case of indemnity insurance, the amount paid by the insurer is related to the actual loss suffered by the insured. The insured is indemnified for a patrimonial loss.
  - In the case of non-indemnity insurance, the amount paid by the insurer bears no relation to the actual loss suffered by the insured.
- The insured must have an insurable interest to be able to claim for a loss in terms of the contract of insurance.
- As with any contract, there are certain requirements that have to be met before the contract of insurance is valid. These requirements are consensus, contractual capacity, legality, the physical possibility of carrying out the contract, and formalities.
- The *essentialia* of a contract of insurance are the insurer's obligation to perform by covering the insured for a loss, payment of a premium by the insured and the existence of uncertainty or a risk.
- Once an insurer settles an insured's claim in full, the insurer has the right to collect the amount paid out to the insured from the original wrongdoer. The principle of subrogation allows the insurer to step into the shoes of the insured and sue the guilty party.
- The main duty of the insurer is to compensate the insured for the actual loss suffered (in the case of indemnity insurance) or to pay out the agreed-upon insured amount (in the case of non-indemnity insurance).
- The main duty of the insured is to disclose all material facts to the insurer.
  - In addition, if the proposal requires it, the insured must warrant that the information given to the insurer is correct. This is known as an affirmative warranty. Where the insured promises to behave in a certain way during the course of the policy, this is called a promissory warranty.
- The insurer is not obliged to pay for entirely fraudulent claims. If an inflated claim is submitted, the insured will forfeit the entire claim where a forfeiture clause is included in the contract. Where there is no forfeiture clause, the insurer must pay the valid portion of the claim.
- With indemnity insurance, it is possible for the insured to over-insure, under-insure or double insure the object of the risk.
- In the case of over-insurance, the amount payable by the insurer is limited to the actual loss.
- In the case of under-insurance, an average clause will limit the amount the insured can claim.
- In the case of double insurance, the principle of contribution applies. This principle permits the insurer that pays the claim to hold the other insurers liable for their rateable portion of the insured's loss.
- A contract of insurance can be terminated if it reaches the end of its term, if either party cancels the contract, or by agreement between the parties.

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Review your understanding

1. Distinguish between indemnity and non-indemnity insurance.
2. Classify the following types of insurance as either indemnity or non-indemnity insurance:
   a) motor vehicle insurance
   b) life insurance
   c) household contents insurance
   d) public liability insurance.
3. List the requirements for a valid contract of insurance.
4. What are the *essentialia* of a contract of insurance?
5. When will a misrepresentation be material in the context of an insurance contract?
6. Give a practical example of a promissory and an affirmative warranty.
7. Name the main duty of the insurer.
8. Name the main duty of the insured.
9. Can a contract of insurance come into existence before the premium has been paid?
10. Explain over-insurance.
11. Explain double insurance.
12. Why do you think an insurer would want to include an excess clause in an insurance contract?
13. What is the benefit of an excess clause for the insured?
14. Sykes has their car insured for R300 000, but it is worth R500 000. They are involved in an accident and the car incurs damage of R100 000. How much is the insurance company liable to pay Sykes?
15. Sandile suffers from diabetes. They conclude a contract of life insurance with Living Life Insurance Company (LL) in terms of which LL will pay a certain amount to Sandile or their estate when Sandile dies. Sandile does not inform LL of their diabetes. Sandile is killed during a service protest. A claim is submitted to LL for payment of the amount that was agreed upon in the contract. LL rejects the claim because of the non-disclosure of the pre-existing medical condition (diabetes). Is LL entitled to do this?

Further reading

Davis, D.M. 1993. *Gordon and Getz: The South African Law of Insurance*, 4th ed. Cape Town: Juta and Co. (Pty) Ltd

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Millard, D. 2013. *Modern Insurance Law in South Africa*. Cape Town: Juta and Co. (Pty) Ltd

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www.osti.co.za
(This is the link for ombudsman for short-term insurance.)

www.ombud.co.za
(This is the link for ombudsman for long-term insurance.)

www.faisombud.co.za
(This website is for the FAIS ombud.)

www.saia.co.za
(This link is for the South African Insurance Association.)

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The law of intellectual property

Chapter 28

The main ideas

- Intellectual property, intellectual property rights and intellectual property law
- Copyright law
- Trade mark law
- Patent law

The main skills

- Explain the concepts of intellectual property, intellectual property rights and intellectual property law.
- Identify the works protected by copyright.
- Discuss the requirements that must be met for a work to be protected by copyright.
- Explain ownership, duration and infringement of copyright.
- Describe the nature of trade marks.
- Discuss the requirements that must be met for a trade mark to be protected.
- Explain the duration and infringement of trade marks.
- Describe the nature of a patent.
- Discuss the requirements that must be met for an invention to be patented.
- Explain the duration and infringement of a patent.

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This chapter gives you a brief overview of intellectual property and explains how intellectual property rights are protected in our law. While there are several different types of intellectual property, this chapter will focus on the three main types that are recognised in our law, namely copyrights, trade marks and patents.

Before you start

Have you played a video game lately? There are a multitude of different forms of intellectual property contained in a single video game, like Call of Duty®, FIFA 21® or Minecraft®. For example, copyright laws protect the creative and artistic expression that goes into the software, the artwork, the music and the dialogue used in the game; the law relating to trade marks protects the brand names, logos and slogans that are associated with the game itself, as well as the manufacturers of the game, such as Activision®, EIA Sports® and Microsoft®; while patent laws protect the components of the game, such as the methods and processes, as well as the hardware associated with the gaming consoles. Obviously, these products are worth something – the game was bought, after all. The inventors, designers, software engineers, musicians, and artists who are responsible for creating the game, deserve to have their creative efforts legally protected. Not only does this protection ensure that they make a living, but it incentivises them to keep creating new games for you to enjoy.

Intangible property refers to things that exist, but which cannot be seen or touched because they do not have a physical presence. Tangible property, however, refers to things that can be seen and felt or touched and can be physically relocated.

28.1 What is intellectual property?

Intellectual property is the general term for **intangible property**, which comes about as a result of intellectual effort. Therefore, intellectual property results from creations of the mind and denotes objects that are not physical or tangible things. The subject

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matter of intellectual property is very wide and the following fields of intellectual property are protected by our law:

- copyright
- performers' rights
- trade marks
- patents
- designs
- plant breeds.

This chapter will only focus on copyright, trade marks and patents. In much the same way that people own property in the usual sense, people can also be the owners of their intellectual property. These owners will have rights to their intellectual property, which is protected by a branch of law called intellectual property law. As such, this branch of law protects the legal rights of those people who have created or own something that is original and potentially profitable. These rights are known as intellectual property rights. All the forms of intellectual property law mentioned above are protected by various pieces of legislation or statutes, but can also be protected in terms of the common law, particularly unlawful competition. For the purposes of this chapter, we will only be looking at the legislative protection of intellectual property.

Added value Difference between property rights and intellectual property rights

It is important to understand the difference between property rights and intellectual property rights. Consider this textbook. You bought this book, so you are the owner of it. The property rights to this textbook belong to you. As the owner, you can do different things with it – you can read it, study from it, use it as a doorstop, or even throw it away. But, the intellectual property rights to this book are not yours – they belong to the authors. These rights limit your property rights in that there are certain things that you may not do with the book, for example, make photocopies of it to sell to others, or commit plagiarism where you use parts of the book without duly referencing the book. Plagiarism occurs when a person takes someone else's work or ideas and tries to pass them off as their own. This is a type of academic dishonesty and can range from deliberately cheating to accidentally copying information from a source into an assignment without referencing the source. To avoid plagiarism, you must always acknowledge where the information comes from.

Activity 28.1

Consider the following extract from a university student's disciplinary code below:

> A student shall be guilty of misconduct if they deliberately or through negligence commits an act of plagiarism, including the copying of another student's assignment, or copyright infringement.

Look up your university's policy that explains what plagiarism is and consider what the penalties are for committing plagiarism as a form of student misconduct.

28.2 Copyright law

The primary right of an artist, writer, musician or playwright has, regarding their creative works, is the right not to be copied by someone else. Copyright is the right that a legal subject, who is usually the copyright owner, has to the creative work that they have produced. Think, once again, of the video game that you like to play. If you copy it for a friend, you **violate** the copyright of the game developer, the musicians who created the music of the game, as well as the artists who created the game's graphics.

If you **violate** someone's rights, you fail to respect their rights, and you are breaking a legal rule.

Copyright law in South Africa is regulated by the Copyright Act 98 of 1978 (Copyright Act) together with the Copyright Regulations, 1978. The Copyright Act protects the rights of authors and

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owners of copyright with regard to the objects of copyright. These objects are referred to as works, and include literary works, musical works, artistic works, computer programmes, cinematograph films, sound recordings, broadcasts, programme-carrying signals, and published editions.

An author is usually the person who first created the work, and is also usually the first owner of the work. It is important to note that someone other than the creator of the work can become the owner of the work when it is transferred as movable property.

Other than most forms of intellectual property, copyright does not need to be registered with any authority in order to be protected. This means that, as soon as it is created and meets certain requirements, the owner will be able to enforce their rights to it. Often, the owner of a copyright will indicate their ownership of the copyright by using the phrase 'copyright by' or the symbol ©, followed by their name and the date at the end of the work. For example, we would indicate the copyright of this book as follows: ©MML, 2023. Note that it is not a legal requirement to indicate that copyright subsists in a work. Owners of copyright have the choice to show they own the copyright in a work in this way. Therefore, one cannot assume that if a work does not indicate that copyright subsists therein, that it is not protected by copyright. It is always safer to assume that copyright exists in a work until it is proven that it does not. When faced with a claim of copyright infringement, you will not be able to use the legal defence that you did not know that the work was protected by copyright laws. This means that ignorance of the law is not a defence to an allegation of copyright infringement.

28.2.1 What does copyright law protect?

As mentioned above, copyright protects various forms of works. For ease of reference, these works can be divided into the following categories:

- traditional works, which include literary works, musical works and artistic works
- communication media, which includes cinematograph films, sound recordings, broadcasts, programme-carrying signals and published editions
- computer programmes, which direct a computer to perform a particular task.

We will now look at each of these categories in more detail.

Traditional works

Literary works, musical works and artistic works are the traditional works protected by copyright. These are referred to as traditional works because they are the oldest existing forms of copyright, the origins of which can be traced back several centuries. For example, Marcus Valerius Martialis was a Roman poet who published their works in Rome between AD 86 and AD 103. Known as a witty comic, the poet regarded themselves to be the master of their words, and anyone who tried to 'steal his words' was labelled *plagiarus*, the Latin word for thief. This is believed to be the origin of the word plagiarism, which is the embodiment of what we understand by modern-day copyright infringement. We will now look at each of these in a bit more detail.

Literary works

These include novels, stories and poetical works, textbooks, encyclopaedias and dictionaries, letters and reports and lectures, speeches and sermons. Legally speaking, a literary work consists of a grouping of letters, words and/or numbers that, as a whole, makes sense to the public. This means that, while individual letters or words may not make sense, people must be able to have an understanding of the work as a whole.

Musical works

As the name suggests, a musical work is one consisting only of music. While the words or lyrics of a song are protected as a literary work, the music that goes with the lyrics is protected as a musical work. This means that the words and music of the song are protected separately.

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Artistic works

These consist of paintings, sculptures, drawings, photographs and **gravures**. Works of architecture, such as buildings, and works of craftsmanship, such as prototypes, models and furniture, are also protected by copyright.

A **gravure** is a printing method in which an image is applied to a sunken surface by using a metal plate that is mounted on a cylinder.

Communication media

Works that are protected as communication media, include cinematograph films, sound recordings, broadcasts, programme-carrying signals and published editions.

Cinematograph films

A cinematograph film is a sequence of images stored on film (or other material), and that is seen as a moving picture when used with appropriate equipment. This includes movies, video recordings and video games.

Sound recordings

A sound recording is the storage of sound (or data representing sounds), such as a recording contained on podcasts, audio clips on Spotify, as well as music on a smartphone. All these can be copied, as was the case with older technology, such as compact discs (CDs) or long-playing records (LPs). Sound recordings are protected as a form of copyright separate from the copyright owned by the songwriter(s), and is owned by the person or entity that is responsible for making the sound recording. This is usually a recording company.

Broadcasts

A broadcast consists of sounds or images that are meant for the general public and are transmitted by a telecommunication service, for example, a television programme on SABC or a radio show on 5FM. A broadcast refers to the signal that is transmitted to a satellite responsible for getting the programme or show to the general public. This is also known as the up-leg of a signal.

Programme-carrying signals

A programme-carrying signal consists of a signal containing a programme that is carried by satellite to the general public. If you watch the news on television, the programme-carrying signal, which sends the broadcast to you from the satellite, enjoys copyright protection. This is also known as the down-leg of a signal. It is important to note that a broadcast refers to the signal that is transmitted to a satellite while a programme-carrying signal includes the signal that is transmitted from a satellite to the general public. Each of these is protected as separate forms of copyright.

Published editions

A published edition is the specific arrangement and design of the words and pictures that are on a printed or digital page, for example, the layout of a book, a website or a board game. Remember that while one person may own the rights to a story contained in the book, another person can own the rights to how the story is illustrated or displayed in the book.

Computer programmes

A computer programme is a set of instructions which, when used in a computer, causes the computer to perform a particular task. Computer programmes communicate with and give instructions to computers, thereby directing them to carry out a specific task or fulfil a specific function. Developers write computer programmes in a specific form of language or computer code. This set of stored instructions enjoys copyright protection as a computer programme. It is interesting to note that although a computer programme is written, it is protected as a separate form of copyright from literary works. However, this is only once the programme is complete, and works. While the programmer is in the process of writing the programme, the work is protected as a literary work.

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Added value More than one copyright

A single creative product can be protected by more than one copyright. Let us look again at the example of a video game. As mentioned before, a video game can consist of various forms of intellectual property, such as copyright, trade marks, or patents. By looking at the copyright more closely, we can see that a video game can also include several different types of works that are protected by copyright. For example, the songs that feature in the game consist of lyrics, music, and recordings. These are protected as literary works, musical works, and sound recordings, respectively. Similarly, the images used in the video game are protected as artistic works, while the sequence of moving images, characteristic of all video games, are protected as cinematograph films.

Activity 28.2

Think of your favourite movie and see if you can identify an example of each of the following types of works that are protected by copyright:

- literary work
- musical work
- artistic work
- sound recording
- cinematograph film.

28.2.2 Requirements for copyright protection

As stated before, a creator of a work need not register their copyright in order for it to enjoy legal protection. As soon as it exists, it will be protected, provided it meets certain requirements. There are two general requirements and several specific requirements. In order for a work to enjoy copyright protection, both general requirements and any one or more of the specific requirements must be met.

General requirements

- The work must be original.
- The work must have been reduced to a material form.

Specific requirements

- The work must have been created by a qualified person.
- The work was created by someone from a Berne Convention country.
- The work was created by someone from a non-Berne Convention country to whom protection was extended.
- The work was created in South Africa.

Let us look at each of these requirements in a bit more detail.

Originality

A work's originality means that it is the result of the author's own unique intellectual effort and ability. The work may not be copied from another source. A work can, however, be inspired or influenced by another work as long as the new work is unique or original in its own right.

Material form

While the idea is in the mind of the creator, it is not protected by copyright. The idea has to exist in a material form, which means it must be written down or recorded. The idea must stand separate from the

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creator. This means that it cannot only be an idea in the creator's head. If the idea is not written down, or recorded, it will not enjoy copyright protection.

Note that the requirement that the work must be in material form only applies to those works that can exist in a material form. For example, it is not a legal requirement that broadcasts and programme-carrying signals be reduced to a material form since these only exist as signals in the air and cannot exist in material form.

A qualified person

The requirement that, in order to qualify for copyright protection, the work must have been created by a qualified person does not mean that the person must have some qualification or special skill. A qualified person is a person who is a South African citizen or who is domiciled, or resident, in South Africa. This person can be a natural person or a juristic person. In order for a juristic person to be recognised as a qualified person, the work has to be incorporated under the laws of the country. Therefore, if a work was created by a qualified person, it will qualify for protection in terms of our copyright laws if the two general requirements have also been met.

Added value — The meaning of domicile

The word 'domicile' comes from the Latin word *domus*, meaning 'house'. To be domiciled in South Africa means that the person is legally deemed to live in South Africa for the purpose of exercising their rights and duties in private law. A person does not have to be a citizen or even a resident of South Africa to be domiciled here. If you are interested in the legal requirements to be domiciled in South Africa, you can refer to the Domicile Act 3 of 1992.

Berne Convention country

The Berne Convention is an international agreement that provides for copyright protection. If a creator of a work comes from a country that is a member of this Convention, like South Africa is, they will be given protection in terms of our copyright laws, provided that the two general requirements have also been met.

Non-Berne Convention country to whom protection has been extended

If the creator of a work originates from a country which is not a member of the Berne Convention, the work can still qualify for protection if the Minister of Trade and Industry has extended protection to that country by proclamation in the ***Government Gazette***. Note that this is in addition to the requirement that both general requirements must also be met.

The ***Government Gazette*** is like a legal record of information in South Africa, which is used by the government as an official way of communicating to the general public.

Made in South Africa

If the work is created within the borders of South Africa, it will be protected by our copyright laws, provided the two general requirements have been met. This means that even the created works of foreigners who visit South Africa will be protected by our copyright laws, provided the works were created while they were in South Africa.

28.2.3 Who owns copyright?

The owner of a copyright is, normally, the creator or author of the work, however, there are some exceptions:

- Where a person commissions (that is, asks for), and pays for, the creation of certain types of works, that person – also known as the commissioning party – is the owner of the copyright in the creation. Consider an example where a celebrity hires someone to take photographs at their wedding. Once the photographs have been paid for, the copyright in those photographs belong to the celebrity, and not to the photographer, even though the photographer created the works. Should the photographer sell these photographs to a magazine without the permission of the celebrity, the

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celebrity can take legal action against the photographer for infringement of their copyright. It must be noted, however, that this exception only applies to certain types of works, namely the taking of a photograph; the painting of a portrait; or the making of a gravure, film or sound recording. This means that where someone is commissioned to create any other type of work, the copyright will belong to the creator, not the commissioning party.

- Where a work is made in the course and scope of someone's employment in terms of a contract of service, the copyright will belong to the employer and not to the employee who created the work. For example, Vuyelwa is a game developer who works for EA Sports®. Even though Vuyelwa created their latest video game, FIFA 25®, the copyright in the video game will belong to EA Sports®, and not to Vuyelwa because the video game was created while Vuyelwas was employed by EA Sports®. Since it is the copyright owner who is legally allowed to exploit the video game for financial gain, EA Sports® will make millions of rands from the sale of the game, while Vuyelwa will only earn their monthly salary.

Greeff en Andere v Protection 4U h/a Protect International en Andere 2012 (6) SA 392 (GNP)

Principle

The copyright in a film belongs to the commissioning party, and not to the party responsible for the creation of the film. This represents an exception to the general rule that copyright belongs to the creator of the work in question.

Facts

The Provincial Division of the North Gauteng High Court, Pretoria, was called upon to adjudicate the issue of a DVD that had been filmed at the infamous Kamp Staaldraad. At issue was the ownership of the copyright of the DVD, and whether it was in the public interest that the DVD be distributed. In preparation for the 2003 World Cup, Rudolph Straeuli, the then Springbok rugby coach, took the team on a compulsory training camp, called Kamp Staaldraad, where they were subjected to extremely unusual and humiliating forms of training. The company responsible for maintaining security at the camp were asked to film these ordeals for incentive purposes. Shortly afterwards, stills pictures from these videos were leaked and published in the media. Following the public outcry, the security company announced plans to release a DVD under the title Kamp Staaldraad: Die Ware Verhaal (Camp Steelwire: The True Story). Greeff and several of the other players decided to bring an urgent application to interdict the company from releasing the DVD, claiming that the DVD violated their rights to dignity and privacy, and that copyright in the DVD did not belong to the security company, but to the South African Rugby Union (SARU). The security company claimed that releasing the DVD was in the public interest, and that, since they were the creator of the DVD, they owned the copyright.

The court's finding

The court found in favour of the plaintiffs, and held that releasing the DVD would not be in the public interest and would constitute an unjustifiable infringement of the right to privacy and dignity of the players. The court also applied the Copyright Act and held that the ownership of the copyright in the DVD vested in SARU, as the commissioning party, and not in the security company, despite the fact that the latter created it.

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King v South African Weather Service 2009 (2) All SA 31 (SCA)

Principle

Where works are created by an employee in the course and scope of their employment, the copyright in those works belongs to the employer.

Facts

King brought an action in the High Court to enforce a copyright claim in computer programmes that they created at home, and in their own time, to assist them personally with their job as a meteorologist. King claimed that the copyright in the programmes belonged to them because they were not created in the course and scope of their employment since meteorologists were not required to write computer programmes. The High Court ruled against King and found that the copyright vested in the South African Weather Service (SAWS). King appealed the decision to the Supreme Court of Appeal (SCA).

Findings

The SCA held that, had it not been for the employment relationship, King would not have created the computer programmes. These programmes were, therefore, created in the course and scope of King's employment and the copyright therein belonged to the SAWS.

28.2.4 How long does copyright last?

In the case of literary, musical and artistic works, copyright lasts for as long as the original creator of the works lives, from when the work was first created, and for an additional 50 years after their death. Since copyright is like property in the ordinary sense, copyright can then be inherited by the heirs of the copyright owner. This means that the copyright belonging to someone who dies will then pass to their heirs. Once the copyright expires, it falls into the public domain and can then be freely used by anyone for commercial gain. Before this time, works protected by copyright can only be used by people who do not own the copyright if they have permission from the owner. In the case of all other works, such as cinematograph films, sound recordings, broadcasts, programme-carrying signals, published editions and computer programme, copyright lasts for 50 years from the time when the work was first created or published, calculated from the end of that year.

28.2.5 Infringing copyright

In legal language, to 'infringe' is to break a law or agreement. In the context of intellectual property, an infringement occurs when someone uses an object protected by intellectual property law belonging to another person without the latter's permission in a way that is not allowed under the Copyright Act. Someone's copyright may be infringed directly or indirectly.

Direct infringement occurs when a person who is not the owner of the copyright performs any of the restricted acts without the owner's permission. This means, for example, that if someone copies, publishes, performs in public, transmits on the internet, or adapts a literary work without the permission of the copyright owner, they are guilty of direct copyright infringement.

Indirect infringement occurs when somebody knowingly allows another person to directly infringe the owner's copyright. For example, Deepak, who works as a DJ, illegally downloads music from the internet to play in dance clubs. This is an example of direct infringement. Donovan, who owns one of the night clubs that Deepak plays in, knows that Deepak is playing music that was illegally downloaded, but continues to allow Deepak to play this music in the club. This is an example of indirect infringement.

Copyright owners have several different legal remedies that they can use if their copyright has been infringed:

- They can apply for an **interdict** to stop someone from infringing their copyright any further.

An **interdict** is a court order. An interdict orders somebody to do, or to stop doing, something.

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- Copyright owners can also claim monetary damages for the loss they have suffered.
- They can claim delivery of any infringing articles still in the infringer's possession, as well as delivery of any plates used to make the infringing copies.

There are, however, also certain legal defences that are available to a party who infringes someone's copyright. These defences are set out in the Copyright Act. If the Copyright Act states that what Deepak did does not constitute an infringement, then Deepak could rely on one of the **statutory defences**. In such a case, Deepak would not be liable to the copyright owner. An example of a statutory defence is fair dealing. This means, for example, that if you reproduce a part of a work (not a substantial portion of the work or the whole work) for research or private study, you are not guilty of copyright infringement. You can also prove that the work in question does not meet the requirements for copyright protection or that the person claiming infringement lacks *locus standi*. This means that the person is not legally entitled to claim infringement, because that person is not the owner, or someone licensed by the copyright owner, to use the work.

A **statutory defence** is a defence that is created by legislation.

If a person accused of copyright infringement is not able to prove one of these defences, they can be held liable in a court of law. Sometimes, this happens to famous people. See, for example, the case of copyright infringement that occurred in 1989 when rapper,Vanilla Ice, released a song called 'Ice Ice Baby'. The song sampled the bassline popularised by Queen and David Bowie in their 1981 hit song called 'Under Pressure'. Unfortunately for Vanilla Ice, they sampled the bassline without obtaining permission, giving credit to, or paying royalties to Queen and David Bowie. They collectively instituted legal action against Vanilla Ice for copyright infringement. Vanilla Ice was found to be liable and was forced to buy the publishing rights to 'Under Pressure' in order to continue using the bassline in the song. More recently, Robin Thicke and Pharrell Williams were ordered by an American court to pay the heirs of the late Marvin Gaye $7,4 million after the court found that they had copied their father's song 'Got to Give It Up' to create 'Blurred Lines', the biggest hit song of 2013.

Activity 28.3

Listen to the mash-up of 'Blurred Lines' and 'Got To Give It Up', and decide whether you think the court was correct in finding Thicke and Williams guilty of copyright infringement. The mashup can be found here: www.youtube.com/watch?v=ziz9HW2ZmmY. Now listen to back-to-back versions of Childish Gambino's 'This is America' and Kidd Wes' 'Made in America', which you will be able to find by searching for these songs on YouTube®. These songs are currently the subject of a claim of copyright infringement that has been brought by Gambino against Wes, which at the time of writing, had not yet been heard. If you were the judge in this case, how do you think you would rule? What are the reasons for your answer? Discuss your reasons with a friend to compare notes.

Copyright is one of the only forms of intellectual property that also carry criminal penalties for certain forms of infringement. The Copyright Act makes it a crime for a person to deal in any items that they know are infringing copies of works in which copyright exists and provides that, in the case of a first conviction, the guilty party is liable to a fine of no more than R5 000 or to imprisonment of no more than three years, or both. In the event of a second conviction, the infringer can be liable to a fine of no more than R10 000 and/or a period of five years' imprisonment. These penalties are prescribed for each article or work that is infringed. This means that someone who illegally downloads a television series can be liable, upon conviction, to a fine and/or imprisonment for each episode that they download. Note that this is also over and above the damages that the infringer can be made to pay in the event of successful civil proceedings instituted against them.

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28.3 Trade mark law

Trade marks are another form of intellectual property protected by our law. This area is regulated by the Trade Marks Act 194 of 1993, together with the Trade Marks Regulations, 1993.

28.3.1 What is a trade mark?

A trade mark is a sign, symbol or other indication that sets apart one person's goods or services from another person's goods or services. So, a trade mark is a unique mark used by a person or business to distinguish their goods and services from those of their competitors.

Trade marks are meant to help consumers tell the difference between businesses offering the same or similar kinds of goods or services. For example, if I want to register a trade mark for my carpet-cleaning service, the mark must be able to distinguish my carpet-cleaning service from other carpet-cleaning services.

A trade mark can consist of a combination of brand names, slogans and logos. For example, the McDonald's trade mark consists of the world-famous name and its Golden Arches logo. The trade mark helps to create the McDonald's brand, which is immediately recognisable in countries around the world. A brand name is a word, such as Coca-Cola® or Beacon®, or a combination of words, such as Chicken Licken®. A slogan is a short phrase or sentence, such as McDonald's 'I'm lovin' it®' or KFC's 'Finger lickin' good®'. A logo is a picture or symbol. Examples of logos are the Nike swoosh, and the McDonald's Golden Arches. Examples of South African logos that are registered trade marks are the Proudly South African logo and the Bafana Bafana logo.



Figure 28.1 This symbol indicates a registered trademark

Interestingly, it is also possible to register a shape as a trade mark. An example of where this has occurred in trade is the shape of the Virgin Cola bottle, which was launched in 1996. Known as The Pammy, the bottle was designed to resemble the shape of Pamela Anderson's Body, who was at the height of their fame in the United Kingdom at the time. The bottle, however, is not an exact replica of Pamela's body, since the original version kept tipping over once it was filled with liquid, owing to it being top-heavy. As a result, the contours of the bottle had to be changed slightly.

Trade marks are protected because of their brand value.

Activity 28.4

In 2016, it was estimated that the Apple brand was worth $178,1 billion, making it the most valuable brand in the world. The Google brand was worth $133,2 billion, and the Coca-Cola brand was worth $73,1 billion. Look up the current values of these brands and compare them to their 2016 values to see if they have increased. It may surprise you to discover that, as at the date of writing this chapter, Apple was not the most valuable brand in the world anymore. Do you have an idea what the most valuable brand in the world is today?

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28.3.2 Requirements for trade mark protection

In order to qualify for protection of a trade mark in terms of the Trade Marks Act, it must be registered, unless it qualifies as a globally well-known trade mark that is owned by someone who comes from a country that is a member of the Paris Convention, which is an international treaty that protects, amongst other things, trade marks and patents. An application to register a trade mark must be made to the Trade Marks Office. Registration in South Africa only covers South Africa. If a business wants the trade mark to be covered in another country, a separate application has to be made in that country. The registration process includes payment of a registration fee.

A business often indicates that its brand name, slogan or logo is registered as a trade mark. This is done by using the symbol ® close to where the trade mark is used. If the trade mark is not yet registered, but an application has already been made to register it, the letters TM can be used to indicate this. Note that it is a criminal offence to indicate that a trade mark is registered when it is not.

For a trade mark to be registered, the following requirements must be met:

- The mark must comply with the definitions of 'trade mark' and 'mark' as provided for by the Act.
- The mark must be registrable in terms of the Act, and it must not be a mark that is regarded as unregistrable (see below for examples of unregistrable marks).
- The trade mark must be capable of distinguishing the goods or services for which it is registered from the goods or services of other persons. The Nike logo, for example, distinguishes Nike shoes from the shoes of their competitors, such as Adidas and Reebok.
- The applicant must use or intend to use the mark. Use of the mark includes use by licensees. A licensee is someone who holds a licence. The licence represents permission to do or use something that would otherwise be prohibited. An example of a licensee using a trade mark is a franchisee. A franchisee uses the trade mark with the consent of the owner of the trade mark, in exchange for compensation to the owner. For example, people who run 7-Eleven supermarkets pay the owner of the 7-Eleven trade mark to use the green and red 7-Eleven brand name and logo. Other licensees are known as registered users.
- Goods and services are classified into 45 different classes of trade mark. The trade mark needs to be registered for each class of product or service for which the trade mark owner intends using the trade mark. For example, leather goods fall into class 18, and jewellery falls into class 24. Note that someone who does business in more than one class must register in each class they do business in.

Once a trade mark is registered, the owner of the trade mark is granted sole use of the trade mark for the goods or services for which the trade mark is registered. The owner also has the right to prevent others from using or registering the same or a confusingly similar mark for the same or similar goods or services. The trade mark owner can also license others to use his mark.

Certain trade marks cannot be registered. Here are some examples of trade marks that cannot be registered:

- marks that are the same or similar as unregistered trade marks that are globally well-known. In other words, you would not be able to register a trade mark that is the same or similar to a world-famous trade mark, even if it was not registered in South Africa.
- marks that are the same or similar to trade marks registered in the same class of goods or services as the applicant. For example, if you were making and selling washing power, you would not be able to register the trade mark FOMO since this is too similar to the registered trade mark OMO which is also used in relation to washing powder.
- marks that do not meet the definition of mark or trade mark, as provided by the Act
- marks that are not capable of distinguishing the goods or services of one person from those of another person
- marks that do not belong to the applicant
- marks that the applicant has no intention of using in the course of trade

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- marks that consist of national emblems belonging to countries that are members of the Paris Convention.

Take, for example, the Nike logo. If I were merely to turn the swoosh upside down, and try to register it as a trade mark, I would not be able to do so. My upside-down swoosh would be confusingly similar to the Nike logo.

28.3.3 How long does a trade mark registration last?

A registered trade mark is protected for a period of ten years, subject to the payment of annual renewal fees. However, the rights to a trade mark can be renewed indefinitely after payment of the prescribed fees. So, unlike other forms of intellectual property, a trade mark can be prevented from falling into the public domain indefinitely, provided the registration is renewed timeously.

28.3.4 Infringing a registered trade mark

People can infringe on, or violate, trade marks in various ways:

- Using an identical or confusingly similar mark for the same goods or services for which the trade mark is registered is a violation. For example, if someone sells washing powder using the trade mark Somo, the owners of the registered trade mark of Omo could claim trade mark infringement.
- Using an identical, or confusingly similar, mark in relation to similar goods or services is also an infringement. For example, if I try to register the Nike swoosh for the textiles category, I will not be able to do so because textiles are similar to clothing, which NIKE, Inc. trades in.
- Using an identical, or confusingly similar, mark in relation to different goods or services, if the trade mark is so well known in South Africa that the use would be to the disadvantage of the trade mark, or create unfair advantage for the person using it, will also be seen as an infringement. For example, I will not be able to register the Nike swoosh in the tobacco category, because people might think that NIKE, Inc. is selling tobacco products, which will be to the disadvantage of the brand. It could also be an unfair advantage to me, because people might think that my tobacco products are in some way connected to NIKE, Inc., and may buy them because of this misunderstanding.
- Using a well known foreign trade mark that is not registered in South Africa, such as Virgin, is also not permitted. This is because well known foreign trade marks, which originate from countries that are members of the Paris Convention, are granted protection in terms of South African law even if they are not registered in South Africa.

If a person's trade mark is infringed, they can apply for an interdict to stop the infringement. The trade mark owner can also apply for a court order forcing the infringer to remove the infringing mark, as well as damages for their loss. If the mark cannot be removed, the trade mark owner can request the court to order the infringer to deliver the goods to the trade mark owner. This means that all of the goods that bear the mark or logo that infringes on the trade mark have to be handed over. The trade mark owner will probably choose to destroy these goods in order to protect their trade mark.

Certain acts do not infringe on trade marks. The acts listed below do not infringe on trade marks:

- using your own name or place of business. For example, JOHNSONS® is a registered trade mark. But, somebody with the surname Johnson will not be infringing the JOHNSONS® trade mark by using their surname in relation to their business.
- using a description of the goods or services. For example, *Good Dog*!® is a registered trade mark for a magazine about dogs. Another company that describes its product as 'good for dogs' will not infringe on the *Good Dog*!® trade mark.
- the reasonable use of a trade mark to indicate how goods or services should be used. For example, LG® is a registered trade mark used in relation to microwave ovens (amongst others). Should the

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manufacturer of instant dinners use a LG® microwave oven on television to illustrate how to cook an instant meal, they will not be infringing upon LG®'s trade mark.
- importing, distributing or selling goods with the consent of the owner. If there is permission, there can obviously be no infringement.

Activity 28.5

Considering that Google is one of the most recognisable trade marks in the world, do you think it would be possible for someone to start an internet search engine and call it Goodle? Explain your answer with reference to the different ways in which a trade mark can be infringed? Discuss your answers with a study partner.

28.4 Patent law

The Patents Act 57 of 1978, together with the accompanying Patent Regulations, 1978, regulates patent law in South Africa. This is an area of law that protects people's rights to their inventions.

28.4.1 What is a patent?

Unlike copyright, a patent does not automatically exist as soon as an invention has been created. Inventors need to complete an application at the South African Patent Office. If a patent is granted, the patent gives the patent owner the **exclusive right** to make, use, sell and import the invention in South Africa. In other words, a patent holder has the right to prevent others from making, using, selling or importing their invention. Once the patent expires, the invention falls into the public domain, and other people can use the invention in whichever way they want to.

Exclusive right means that only the patent owner, and nobody else, has the right.

For example, Adcock Ingram had the patent for the formula in respect of the painkiller Myprodol®, which expired in July 2004. This meant that only Adcock Ingram could make, use, sell or import Myprodol® until July 2004. If another pharmaceutical company had produced this medicine before July 2004, they would have infringed Adcock Ingram's patent. From July 2004, when the patent expired, other pharmaceutical companies could start producing this medicine. However, this would need to be under a different name because Adcock Ingram still owns the trade mark for the name of the medicine. This does not mean that Adcock Ingram can no longer produce Myprodol®. It simply means that other people are now free to copy the formula and produce the same medicine as well.

28.4.2 Requirements for patent protection

For an invention to be patented, it must meet the following requirements:
- The invention must be new or novel. An invention is novel if it does not form part of anything that has been made available to the public worldwide before the date of application for the patent.
- The invention must involve an inventive step. This means that, to an expert in the same field as the invention, it must not be an obvious improvement on what already exists in that particular field.
- The invention must be capable of use or application in trade, industry or agriculture.

Certain things are not considered inventions, and they cannot be patented. They include:
- a discovery of a natural phenomenon that already existed before it was discovered, such as, a plant that has not been genetically modified
- a scientific theory, which is an explanation of why and how something that already exists works, such as, Einstein's Theory of Relativity
- a mathematical method, such as a method for solving an equation
- a literary, dramatic, musical or artistic work, because these things are protected by copyright

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- a scheme, rule or method for performing a mental act, playing a game or doing business, such as the rules of Scrabble®, or a way to value a business's property
- a computer programme
- the presentation of information, because this can be protected by copyright.

Although a patent offers inventors protection by not allowing other people to take commercial advantage of their inventions, inventors do not need a patent to earn money from their inventions. They can try to make the best use of their invention without a patent by keeping it a secret. In order to do this, creators usually try to protect their inventions as trade secrets by means of confidentiality agreements. One of the most famously guarded trade secrets on the planet is a recipe originally created in 1886 by John Stith Pemberton, an American Civil War veteran and pharmacist with a morphine addiction. In order to overcome this addiction, Pemberton created Pemberton's French Wine Coca, which consisted of coca wine and kola nut.

But, following prohibition of alcohol in America, Pemberton was forced to remove the alcohol from the drink, resulting in what is today known as CocaCola®. The manufacturers of CocaCola® have to date not patented the drink's recipe, preferring to protect the formula as a trade secret. Should they decide to patent the recipe, after 20 years, the recipe would fall into the public domain, and it would be freely available for anyone to exploit. By protecting the recipe as a trade secret, the owners of the formula can exploit it exclusively for an indefinite period of time, something the owners of CocaCola® have been able to do for almost 136 years. The downside of this plan is that should the secret recipe be discovered, anyone will be able to recreate the drink, which would cause the CocaCola® company to potentially lose billions of rands.

28.4.3 How long does a patent last?

In South Africa, a patent lasts for 20 years from the date of the patent application, subject to the payment of annual renewal fees to the South African Patent Office. The patent owner has to start paying these fees three years after the date of the application. Once the 20-year time period has passed, the invention is no longer covered by a patent, and anyone is then free to exploit it for financial gain. Also, should a patent holder neglect to pay the annual renewal fee, the patent could lapse, resulting in the invention entering the public domain.

A patent granted in South Africa can only be enforced in South Africa. Owners of inventions indicate that a patent applies to their invention by indicating the patent number on the product. Note that it is a criminal offence to claim that an invention is patented when it is not.

28.4.4 Infringing a registered patent

A patent is infringed if somebody makes, uses, sells or imports the invention without the authority of the patent owner. Suppose that Boniswa develops a product that whitens teeth without damaging the tooth's enamel. Boniswa patents the product. Boniswa makes, markets and sells the product themselves. Two years later, Boniswa finds out that Michael has discovered the formula for their product and is producing and selling the product under a different name.

Michael is infringing Boniswa's patent. There are various remedies available to Boniswa. The first thing that they can do is get an interdict to stop Michael from making the product. Boniswa can also claim compensation from Michael for the financial loss they suffered as a result of their production and sale of the product. Finally, Boniswa can claim delivery. This means that Michael must give Boniswa the entire product that they have already made.

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Activity 28.6

Do a search for PATENTSCOPE, the free online patent search tool available on the website of the World Intellectual Property Organization (WIPO). Access the PATENTSCOPE database, enter the following patent number in the search bar and click on search: US4044405. What is the name of this invention? Click on the description and explain to a friend what the main purpose of the invention is.

What do you think?

As we have seen, if somebody creates something new, the law grants that person intellectual property rights over what they have created. That is one of the main reasons why medicine, for example, is so expensive. You are not only paying for what it actually costs to make that headache pill, but you are also helping the pharmaceutical company to pay for its research and development costs – and allowing them to make a profit. Obviously, somebody who creates something has a right to be compensated for it. But, do you think this has been taken too far? Do you think that the high cost of medicine should interfere with a poor person's right to access healthcare? Should the rights of intellectual property right holders be limited in specific instances to make the product more accessible to the general public? What do you think?

Chapter summary

In this chapter, you learned the following about the law of intellectual property:

- A copyright is the right of a legal subject in respect of a work.
- Different categories of works are protected by copyright, namely traditional works, communication media and computer programmes.
- For a work to enjoy copyright protection, the work must be original and written down, or recorded in some way, and one of the following must apply:
  - the creator should be a qualified person
  - the creator should originate from a Berne Convention country
  - the creator should originate from a non-Berne Convention country to which protection has been extended by proclamation
  - the work must have been created in South Africa.
- The copyright, with certain exceptions, normally, belongs to the creator of the work, and it lasts for a certain period of time after which it falls into the public domain.
- But, if a work is created within the course and scope of someone's employment, the copyright therein belongs to the employer, not the creator.
- If someone commissions the creation of certain works, the copyright therein will belong to the commissioning party, and not to the creator.
- Infringement of a copyright can be either direct or indirect.
- In the event of infringement, copyright owners are entitled to civil remedies, and they may also lay criminal charges against infringers.
- Trade marks are also protected in our law.
- A trade mark is a mark used by a person to distinguish their goods or services from the goods or services of another person.
- A registered trade mark grants the owner sole use of the trade mark for the goods or services for which the trade mark is registered.
- The owner can prevent others from using or registering a confusingly similar mark for the same, or even different, goods or services.
- The owner can license others to use a trade mark.
- A trade mark lasts for ten years, but the trade mark owner can renew the trade mark after ten years for an indefinite period of time.
- A trade mark can be infringed by an identical or confusingly similar mark for the same goods or

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services for which the trade mark is registered, but also for similar and dissimilar goods and services.
- A patent gives an inventor the exclusive right to make, use, sell or import their invention.
- For an invention to be patented, the invention must be novel, it must involve an inventive step, and the invention must be capable of use or application in trade, industry or agriculture.
- A patent is obtained by filing an application at the South African Patent Office.
- A patent is valid for 20 years from the date of the patent application.
- A patent is infringed if somebody produces, uses, sells or imports the invention without the authority of the patent owner.

Review your understanding

1. Explain what you understand by intellectual property, intellectual property rights, and intellectual property law.
2. Consider your favourite video game. Can you explain the difference between the property rights and the intellectual property rights in the game?
3. Name the two ways in which intellectual property is protected in our law.
4. Naledi is photocopying their Commercial Law textbook, and is selling it to their fellow students for a third of the price that the book normally costs at the bookshop. You tell Naledi that they cannot do this, as it is against the law. Naledi responds by saying that the book is their property because they bought it and, as such, they can do anything they want with it. Based on what you have learned about copyright law, do you agree with this statement?
5. Name and discuss the requirements for copyright to enjoy legal protection.
6. Nico pays Mao Lin, a world famous videographer, R7 000 to film and create a DVD of his family reunion. Who is the owner of the copyright in respect of the DVD? Explain with reference to the Copyright Act and case law.
7. Mandla works for Midas as a spare parts engineer. The main focus of Mandla's job is to design and create spare parts. In order to make this job easier, Mandla created a computer programme that would help them to design the spare parts. Mandla created the computer programme in their spare time at home, something which is not part of their job description. Mandla discovers that their boss has given the computer programme to the spare parts engineers in other Midas branches without their permission. Does Mandla have a right to be angry in this case? Explain your answer with reference to who owns the copyright in the computer programme.
8. Distinguish between direct and indirect infringement. Provide an example of each of these.
9. How long does copyright last in each of the following:
   a) a sound recording
   b) a musical work?
10. List the requirements for the registration of a trade mark.
11. Shipshape has been registered as a trade mark by ABC Ltd for exercise equipment. XYZ Ltd has also started manufacturing exercise equipment, which it is marketing under the name Topshape. Has ABC Ltd.'s trade mark been infringed in this case? Explain your answer.
12. A cell phone contains many different forms of intellectual property. See if you can identify an example of copyright, a trade mark, and a patent simply by looking at your cell phone.
13. Consider the following article about a South African invention. Based on what you have learned, would you grant this patent? In your answer, discuss the requirements that need to be met for an invention to be patentable, and then apply them to the case study.

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Water carriers on a roll with innovative wheel-less barrows

Keitumetse Segoai

According to the World Health Organization, 1.1 billion people don't have access to drinking water and 1.6 million people die annually from water-borne diseases. Ninety percent of these victims are children under the age of five. Women who don't have running water in their homes have to walk for what could be hours through difficult terrain to collect what is most likely to be unhealthy water, then walk back home and prepare meals for their families.

A hearty "here here" for South African engineers Pettie Petzer and Johan Jonker. In the 1990s they were simply trying to invent a better wheelbarrow when they realised that the wheel was the most expensive part of the contraption and decided to put the water inside the wheel, so to speak. What emerged was a barrel-shaped container with a steel-clip handle that at full capacity, could hold 90 litres of water named the Hippo Roller.

There are many benefits to this contraption. Rolled along the ground, it avoids the neck and backache that results from carrying water on the head. It enables users to fetch more water in less time and it can be used as a drip-irrigation system on farms. It also protects the person rolling it from the heat – and from the shock waves of unseen landmines. It is distributed by non-governmental organisations and willing individuals.

Source: https://www.timeslive.co.za/sunday-times/lifestyle/2009-09-01-water-carriers-on-a-roll-with-innovative-wheel-less-barrows/

14. Shakira has invented a UV lamp that can dry acrylic nails in half the time of a normal UV lamp. They do not register a patent on the lamp, but manufacture it themselves and sell it to various nail salons around town. Shakira's friend, Bonita, tells them that, without a patent, Shakira is not allowed to exploit the invention commercially. Is this true? Explain the legal position to Shakira and Bonita.

15. Assume that Shakira did register a patent in the invention. It comes to their attention that a local salon has bought Shakira's UV lamp and has started manufacturing their own versions of the lamp without Shakira's permission. Does Shakira have any remedies? Explain your answer.

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Further reading

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Dreyfuss, R.C. and Pila, J. (eds). 2018. *The Oxford Handbook of Intellectual Property Law*, Cape Town: Oxford University Press Southern Africa (Pty) Ltd

The Intellectual Property Online database publicly available on the website of South Africa's Companies and Intellectual Property Commission (CIPC) at: **iponline.cipc.co.za/Default.aspx**

The PATENTSCOPE database publicly available on the website of the World Intellectual Property Organization at: **www.wipo.int/patentscope/en/** (free download)

Van der Merwe, et al. 2016. *Law of Intellectual Property Law in South Africa*, Durban: LexisNexis, South Africa

WIPO *Enterprising Ideas: A Guide to Intellectual Property for Startups*. 2021

WIPO *Intellectual Property Handbook*. 2008 (free download), available at: **https://www.wipo.int/edocs/pubdocs/en/intproperty/489/wipo_pub_489.pdf**

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Financial institutions

Chapter 29

The main ideas

- Regulation for safe and sustainable financial institutions in South Africa
- The Twin Peaks model of financial regulation
- The Banks Act
- The prudential regulation of the insurance industry
- Insider trading provisions in the Financial Markets Act

The main skills

- Understand the framework that regulates the South African financial institutions.
- Analyse how the Banks Act protects the public.
- Discuss the regulation of the insurance industry.
- Understand the concept of insider trading.
- Explain the consequences of insider trading.
- Critically analyse relevant provisions in the Financial Markets Act.

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This chapter provides a brief overview of the financial institutions that regulate financial transactions and financial markets in South Africa. These are relevant to commercial law, as each area discussed reinforces the emphasis on financial regulation in support of a framework for consumer protection. It will focus on the Twin Peaks framework, the Banks Act 94 of 1990 (Banks Act), and the Financial Markets Act 19 of 2012 (FMA).

Before you start

Financial institutions have two main purposes. The first is to ensure that the financial environment for doing business is stable and efficient. The second is to protect consumers and ensure that they are treated fairly in all their transactions with banks, insurance companies, and financial markets. We all rely on the laws and rules that regulate these institutions in some way. We depend on banks to protect our money and to have it available when we need to use it. We may want to buy a car on credit or borrow money to start a business. At the same time, we do not want to be vulnerable to 'loan sharks' who will take advantage of us. If we are able to work and save money, we will look for a safe place to invest it, hope that the investment grows, and that it will be well managed. We take out insurance to provide peace of mind, and we expect the insurance company to treat us fairly and to pay the claim if something goes wrong.

Added value — Money laundering and terrorism – the danger of poor enforcement of financial regulations

The importance of proper regulation, as set out in this chapter, and the severe economic consequences of poor or inadequate regulation is apparent from the danger of 'greylisting' as set out below.

In an article in the Business Day, Sim Tshabalala, the Chief Executive Officer of Standard Bank Limited, warns that it is likely that South Africa will be 'greylisted' by the Financial Action Task Force (FATF), an international organisation that sets standards and assesses countries' ability to combat unlawful financial activities. Greylisting means that certain inadequacies in the financial system have been identified and the country is placed under increased monitoring by the FATF, making it difficult to attract foreign investment.

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Added value (continued) Money laundering and terrorism – the danger of poor enforcement of financial regulations

South Africa is at risk because of its deemed inability to enforce anti-money laundering and terrorism-funding regulations, and its perceived failure to investigate and successfully prosecute financial crimes. Tshabala warns that the detrimental economic effect will be 'worse than a sovereign credit downgrade'.

Source: www.businesslive.co.za/bd/economy/2022-08-22-sa-not-likely-to-get-the-green-light-sim-tshabalala-warns-on-greylisting/

29.1 Introduction to the regulation of financial institutions

South Africa's financial institutions have recently undergone significant changes. After the global financial crisis in 2008, certain regulatory deficiencies were identified, and a new model of financial regulation was introduced internationally. This was known as the Twin Peaks model. The twin peaks refer to parallel structures that together form the framework of the regulation of financial institutions. The focus of the one peak is prudential regulation. The prudential regulation focuses on the broad financial framework and sustainability of financial institutions. The second peak is concerned with market conduct regulation, which focuses on consumer rights.

29.1.1 Prudential regulation

- This is regulated by the Prudential Authority (PA).
- The PA is a separate legal entity that falls under the administration of the South African Reserve Bank (SARB).
- The focus of prudential regulation is to ensure the financial liquidity and stability of South African financial institutions. This is vital for the well-being and sustainability of the South African economy.
- Section 34 of the Financial Sector Regulation Act 9 of 2017 (FSR) sets out the functions of the PA to ensure that it meets its objectives. These include the regulation and supervision of financial institutions, the promotion of competition within financial institutions, and support for financial inclusion in financial institutions.

29.1.2 Market conduct

- This is regulated by the Financial Sector Conduct Authority (FSCA).
- The FSCA is a separate legal entity.
- The focus of the FSCA is consumer protection and consumer education. Its objective is to ensure that financial consumers (customers) are given fair treatment and to prevent the **abuse of consumers** in the financial sector.
- The FSCA has developed a framework referred to as the 'Treat Customers Fairly (TCF)' principle. This framework has six outcome-based policies, which are:
  1. to ensure that the culture of any financial institution is focused on treating customers fairly
  2. to ensure product design that is appropriate and intended to add value to the customer.
  3. to ensure that the institution will communicate to its customers clearly and transparently
  4. to offer customers suitable and helpful advice, when necessary
  5. to ensure that the performance measures and standards implemented by the institution are geared to treating customers fairly
  6. to ensure that an effective and responsive framework for complaints is implemented.

Common examples of the **abuse of consumers** include excessively high fees charged to consumers by banks or insurance companies, which are not properly disclosed, the advertising and selling of unsuitable products, misleading advertising, and reckless lending practices.

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The FSR is the overarching legislation that facilitates the implementation of the Twin Peaks model for the three important financial institutions that will be looked at in this chapter. They are:

1. banking
2. insurance
3. financial markets.

Activity 29.1

Choose three out of the six TCF principles set out above and discuss how each of the three could be used to protect you if you were considering investing a sum of money that you won in the lottery.

29.2 The regulation of banking

We are familiar with the traditional role that banks occupy in the business environment. They function as institutions where funds can be deposited and held safely for the depositor who can access these funds or invest them in the longer term. The bank uses these deposited funds to advance loans to borrowers who need money. Loans come in different forms, including the extension of credit, the financing of movable assets, such as cars or office furniture, and immovable assets, such as houses or farms or finance for a business venture. In this way, banks efficiently allocate money in society and are essential in modern economy.

There are different types of banks in South Africa. **Commercial banks** and **retail banks** are the type of banks that you are most likely to encounter in your personal and professional business affairs. We will focus on these banks in this section. They provide traditional banking services to the public. So, when you deposit your salary, borrow money to buy a car, or save money, you will most likely do so through a retail bank. Other types of banks include investments banks, mutual banks (which are regulated by the Mutual Banks Act 124 of 1993 (Mutual Banks Act)) and innovative types of banks (such as digital banks) that enable users to conduct banking business over digital platforms. TymeBank or Bank Zero are examples of digital banks.

Commercial banks focus on corporate banking services and **retail banks** focus on individual consumers, but the functions of retail banks and commercial banks overlap in South Africa.

29.2.1 The banking regulatory environment

Banks are entrusted with other people's money and it is vital that the public is protected. It is also important to protect the banking system as a whole to ensure that its **liquidity** is maintained, and that there is proper oversight of its borrowing and lending processes. This will give the bank the credibility that it needs to ensure that everyone, including you, is prepared to hand over their hard-earned money to a bank. In this section, we will explore the institutions that work together to ensure a safe banking environment.

Liquidity refers to the amount of cash that every bank must have available to pay out all the withdrawals from the bank and meet all the bank's short-term financial commitments.

The South African Reserve Bank

The SARB is governed by the South African Reserve Bank Act 90 of 1989. It is the central bank of South Africa. Its function is determined by section 224 of the Constitution of the Republic of South Africa, 1996, which states that its primary object is to 'protect the value of the currency in the interest of balanced and sustainable economic growth in the Republic', and that it must 'perform its functions independently and without fear, favour or prejudice'. The SARB has the overarching responsibility to ensure the stability of the financial institutions that we are considering in this chapter. It does this through the PA that falls within the administration of SARB and through core legislation, including the Banks Act and the FMA, both of which are discussed below.

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The Banks Act

The Banks Act was passed into law to govern and supervise the business of public companies taking deposits from members of the public. The term 'deposit' deals with the situation where an amount of money is paid by one person to another, in terms of a specific type of agreement, so that the money will be repaid.

The Banks Act requires that all banks must be **public companies** and must be registered as a bank in terms of the Banks Act. This Act sets out certain requirements that an institution must meet before it can call itself a bank and do the business of a bank. The Banks Act also sets out the requirements that any institution carrying out the business of banking must meet. The basis of these requirements is to ensure that the public is protected and that the bank's business is carried out fairly and diligently.

A **public company** is a company that has been incorporated in terms of the Companies Act 71 of 2008. It can raise capital by issuing shares to the general public. Public companies are required to provide additional protection to the public through additional disclosure and accountability requirements.

Registering a bank

In terms of the Banks Act, all banks must be registered. A company that wishes to conduct business as a bank must first apply to the PA for authorisation, under the auspice of the SARB. Once authorisation is granted, the company must apply to the PA for registration as a bank. In addition, each year, every bank must, once it has paid a fee, obtain a business licence to operate.

The Banks Act and the Mutual Banks Act set out certain functions that the PA must perform. These include the following:

- The issuing of circulars and the provision of guidelines, when necessary. The guidelines and circulars provide useful information on how the Banks Act is to be applied and interpreted.
- In terms of section 7 of the Banks Act, the PA has the power to instruct any bank to deliver any information the PA feels is needed to do the job properly.
- The PA can also call for the report of a public accountant, or any other person who is able to assist the PA in carrying out the mandated functions.

Generally, no person, except a public company that is registered as a bank in terms of the Banks Act, may carry on the business of a bank in South Africa (section 11(1)). Any person who contravenes this principle is guilty of an offence (section 11(2)). One exception to section 11(1) is that a bank from a foreign country may conduct its business in South Africa by having a branch here.

Before the PA will allow a bank to be registered, the company applying for registration must provide all the information as the PA may deem necessary. The PA has the power to decide whether an application for such should be granted, or whether any conditions should be imposed before the registration takes place.

Before the PA grants an application, the PA must be satisfied that the following requirements will be met:

- The establishment of the bank will be in public interest.
- The business to be done is that of a bank.
- The proposed business will be done in the capacity of a public company that is registered under the Companies Act.
- The applicant will be able to establish itself successfully as a bank.
- The applicant will have the financial means to meet the provisions of the Banks Act.
- The business will be conducted in a prudent manner.
- Every person who is to be a director or executive officer of the bank is, as far as can be reasonably ascertained, a fit and proper person to hold such a position.
- Every person who is to be a director or executive officer of the bank has sufficient management experience for this kind of business.
- The composition of the board of directors of the proposed bank will be appropriate for the nature and scale of the business.

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The PA has the statutory power to require any person who is not properly registered as a bank to submit any relevant document or information.

Minimum financial requirements

Since banks generally deal with large sums of money and many different people, it is important that they keep high levels of liquidity and have the funds available, in case an unusual number of people decide to withdraw their money on a particular day (called a 'bank run'). This can easily happen when rumours spread of a bank being in financial trouble and people are in a panic that they are about to lose their lifes' savings. As a result of this, the Banks Act forces banks to comply with some strict requirements regarding how much money they must have available at all times. This also has the effect of preventing too many companies from registering as banks. A bank must also keep an account with the SARB. This account must have a minimum amount of money in it. The amount is decided by the Governor of the Reserve Bank. As soon as a bank is unable to meet these minimum requirements, the bank must report the issue to the PA, giving reasons for the problem. The PA has the discretion to decide whether any action should be taken against the bank concerned, such as ordering the bank to pay a fine.

Added value — Mutual banks

A mutual bank is a specific type of bank that can be registered. Mutual banks have a different structure in comparison to commercial banks or retail banks in that mutual banks are owned by the depositors, who are the people who entrust their money to the bank for safekeeping or investing. The clients of a mutual bank are its shareholders. Mutual banks are governed by the Mutual Banks Act. The PA oversees these banks to ensure that depositors are protected. The minimum financial requirements for the regulation of mutual banks are similar to those under the Banks Act, as discussed above. Like commercial banks and retail banks, mutual banks conduct the core banking activities of accepting deposits and lending money. The range of business activities undertaken by mutual banks is, however, more limited than commercial banks and retail banks.

A registered mutual bank may be converted into a commercial bank or a retail bank. The mutual bank must apply to the PA, subject to certain procedural requirements, for permission to do so. Thereafter, the mutual bank will continue as a registered public company, subject to the provisions of the Banks Act. VBS Mutual Bank and Finbond Mutual Bank are examples of mutual banks. Mutual banks create a safe and cheaper option in comparison to commercial banks or retail banks. Unfortunately, there are only a few such banks in the country.

Let us now look at a case study to illustrate how you can take steps to ensure that you are protected when you use banking services.

Case study — Where to start?

After graduating, Mosiu wants to put their skills and knowledge to good use. Mosiu decides to start a marketing agency for small businesses. Mosiu calculates that the business will need R100 000 in order to start trading. This will cover the initial rent, office furniture and equipment. Mosiu's uncle sees the potential of the business and invests R50 000. Advise Mosiu on the following issues:

1. Where can Mosiu access the additional R50 000 needed to get the business off the ground?
2. With regards to the R50 000 that the business has already raised from Mosiu's uncle, is it possible to deposit that money such that it can be easily accessed for everyday use and also grow as an investment?
3. How can Mosiu go about guarding against fraudsters?

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Case study (continued) Where to start?

In respect of the first issue, Mosiu should consider borrowing the additional R50 000 needed for the business from a registered commercial bank. One of the core functions of a bank is to lend money for the purpose of starting a business.

Mosiu's second concern is where best to place the money that has already been raised. Again, a commercial bank would meet Mosiu's business needs, as the funds raised by the business could be deposited into a bank account and would still be available for the everyday use of the business. The money deposited would also grow because the bank will pay interest on that money.

The third issue raised by Mosiu relates to the safe-keeping of the amount deposited. Mosiu can contact the PA and obtain a list of registered banks. Mosiu could also request the bank to produce its licence for the year. If Mosiu deposits the money into a properly registered financial institution, it is likely to be protected, and less likely to be stolen.

Traditional banking, as discussed in this section, is undergoing significant changes. The rising popularity of cryptocurrencies will challenge the banking systems globally. Cryptocurrencies are digital currencies. They are created, exchanged and transacted over a computer network. Contrary to the current, complex banking framework discussed, cryptocurrencies are decentralised. In South Africa, there is very little regulation of this cryptocurrency revolution.

In the case discussion above, Mosiu is seeking a safe investment for the funds that the company has raised. Read the extract below and then consider whether investing in cryptocurrency would be a good idea for the company.

Added value Cryptocurrency

This is an extract from an article that introduces the regulation of cryptocurrency in South Africa.

Crypto assets to be treated as financial products in SA

Loni Prinsloo | 19 Oct 2022

Crypto assets are to be treated as financial products in SA, to make it easier for regulators to monitor the market and help to safeguard consumers.

The Financial Sector Conduct Authority defined crypto assets as 'a digital representation of value' in a gazette notice published in October 2022. A crypto asset isn't issued by the central bank, but can be traded, transferred or stored electronically for purposes of payment, investment or other forms of utility, according to the announcement.

The announcement is the first legal step that was required to bring the crypto asset industry within the South African legal framework, said Brent Peterson, head of legal at Easy Crypto Ltd., a crypto exchange.

The declaration, which takes effect immediately, comes as governments around the world push to regulate cryptocurrencies to protect users from turbulent digital coins and fraudsters. US regulators and lawmakers are studying ways to guide the operation of stablecoins.

…

In SA, where Global Web Index estimates about 15% of the population invested in bitcoin in 2020, the nascent industry already saw collapses, including the demise of Mirror Trading International last year with losses totalling about $1.2 billion. The South African Reserve Bank has been working with other regulators to recognise the coins as financial products to make them easier to monitor from a money-laundering and terror-financing perspective.

'This step would aid clarity, user protection and much-needed confidence in the ecosystem,' said Hannes Wessels, country head for cryptocurrency exchange Binance SA.

Source: https://www.timeslive.co.za/sunday-times/business/2022-10-19-crypto-assets-to-be-treated-as-financial-products-in-sa/

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Activity 29.2

Consider the extract of the article set out above. With a study partner, look up transactions in cryptocurrency on the internet. Then discuss whether cryptocurrency could be the currency of the future and, if so, whether South Africa has sufficient legislation to regulate it.

29.3 The regulation of insurance companies

In a previous chapter, the legal principles of insurance law were discussed. In this chapter, we are looking at the financial institutions that properly regulate the insurance industry. It is an exciting time to be looking at this industry, as it is changing rapidly in ways that emphasise consumer rights, the extension of insurance services to those who historically lacked access to this industry, and the introduction of innovative policies to fight climate change.

29.3.1 Why is it important to regulate the insurance industry?

The insurance industry is an important pillar of financial services. It spreads the risk of harm or financial loss and, therefore, encourages investment and entrepreneurship. It also reduces the impact of catastrophic events by protecting individuals against financial ruin and disaster. This includes protection against financial loss from the damage or destruction of assets (such as houses, cars or household contents); protection against medical costs and loss of income; and protection for families and businesses in the case of death or serious injury. Insurance policies may also function as **investment vehicles**, usually linked to life insurance policies.

Life insurance policies can also be **investment vehicles**. A portion of the premium is invested by the insurance company on behalf of the insured and this can be accessed separately from the insurance component. This is more appealing to people since a pure life insurance policy only pays out when the insured dies.

It does this by collecting relatively small payments (the premium) and undertaking to compensate the insured for the loss that is suffered. Insurers are entrusted with the insureds' contributions upfront. It is therefore vital that the funds be protected so that they are available to pay out the insured when necessary. Insurance regulation is therefore aimed at the following:

- to ensure that insurers maintain minimum financial requirements and solvency margins
- to establish and maintain proper communication with customers
- to be transparent and disclose all relevant information to customers who may not be financially literate
- to make sure that the fees and premiums are not excessive
- to encourage the development of insurance policies that will ensure that the benefits of insurance are widely available.

The insurance industry is often considered an industry that does not treat its customers fairly. Therefore, the introduction of this framework, and the 'treat customers fairly' policy that is a part of this legislative framework, is important when it comes to changing this perception.

29.3.2 An overview of the key instruments in the insurance regulatory framework

There are a number of different ways in which the insurance industry is regulated. The regulations aim to provide maximum protection to customers by ensuring efficient administration of the industry and the establishment of a secure, sustainable, and financially sound industry.

- The foundation of the regulatory framework is the Long-Term Insurance Act 52 of 1998 (LTIA) and the Short-Term Insurance Act 53 of 1998 (STIA). These Acts regulate the registration and some of the practices of insurers. For example, both these Acts set out when the insurer can repudiate a claim, based on a misrepresentation by the insured. The market conduct (consumer protection)

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aspects of the Twin Peaks model are found in this Act. This is expressed in the **Policyholder Protection Rules**.

The **Policyholder Protection Rules** have 'fair treatment' at their core and reflect the 'Treat Customers Fairly' principles, discussed above, specifically for the insurance industry.

- The more recent Insurance Act 18 of 2017 (Insurance Act) has repealed and changed certain aspects of the LTIA and STIA. It deals with aspects, such as the governance of insurers, the financial stability, and the insolvency of an insurance company. No person can conduct any insurance business, unless it is licenced under the Insurance Act. The Insurance Act's stated purposes is the protection of policyholders, and it provides that an insurer must, at all times, conduct its business with integrity, due skill, care and diligence.
- The FSCA and the PA also have an important oversight function. The insurance industry is one of the financial institutions that are governed by these oversight bodies which brings insurance in line with the Twin Peaks regulatory framework.

Case study The TCF principles

Straight after graduating, Palesa started their first job. A friend pointed out the benefits of starting to save early and referred Palesa to a broker of a major life insurance company. Palesa entered into a contract with the insurer and began contributing 10% of their salary to a life insurance policy. Palesa had hopes of studying further in the future and so a portion of that contribution was paid into an education policy. The premiums that were paid for the life policy and the education policy rose by 18% every year.

Recently, Palesa reached the stage in their career where it was time to go back to study. Palesa therefore conducted a review of their investments. Palesa was wiser at this stage and understood the investment environment better. Palesa was disappointed to note that the investment into the education policy had not performed well at all. Palesa contacted the insurance broker that had acted on their behalf to obtain more information and assistance in evaluating the performance of the investment, including how much had been paid as fees and commission. Palesa asked for a full breakdown. Instead, Palesa was handed a brief Excel sheet that reflected administrative fees, but did not give any explanation about the performance of their investment. A brochure with general information about the investment was also provided by the broker. When Palesa complained, the broker said that 'only an actuary can understand how the pricing and investment work'.

Palesa quickly realised that the fees and commissions were excessive and were not fully disclosed by the broker at the start of the investment. Palesa decided to cancel the policy and move the investment to another company, however, soon realised that this would cost even more as a penalty was payable.

With reference to the TCF principles, identify all the instances where the insurer has failed to comply with the requirements of that policy framework. The six principles relate to the culture in the company, the appropriate design of policies, the method of communicating and keeping the policyholders informed, the provision of suitable advice, proper performance, and a reasonable complaints system. All of these were breached. Palesa was not confident that the insurer embodied the required culture of customer. During the course of the investment, communication was insufficient and, even when asked, proper information was not forthcoming. The product design was unsuitable and it required an actuary to explain it. Moreover, the investment performed dismally and the annual premium increase was too high. Unreasonable penalties were imposed, thus making it difficult for Palesa to change products. Palesa was also not properly advised of the correct complaint channels to follow.

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Added value The role of the FSCA during Covid-19

At the start of the Covid-19 pandemic, insurers were refusing to pay out claims for income lost as a result of the lockdown. As can be seen from the article below, the FSCA encouraged insurers to pay these business interruption claims.

Why the FSCA has taken a tough stance with insurers

The Financial Sector Conduct Authority's Makgompi Raphasha talks to *Business Day* TV

14 JULY 2020 – 08:00

The Financial Sector Conduct Authority (FSCA) has come out strongly against insurers who have refused to pay claims related to the Covid-19 pandemic.

The financial services regulator has said that the national lockdown cannot be used by any insurer as grounds to reject a claim because such conduct goes against the principles of treating customers fairly and breaks down confidence and trust in the insurance sector.

Source: www.businesslive.co.za/bd/companies/financial-services/2020-07-14-watch-why-the-fsca-has-taken-a-tough-stance-with-insurers/

29.4 The regulation of financial markets: Insider trading

In this section, we will consider the financial market and, specifically, the concept of insider trading. Insider trading is considered to be a form of market abuse, and is regulated by Chapter X of the FMA. The financial market refers to any platform where **securities** are bought or sold. This is the foundation of the capitalist economy. It is therefore important to ensure that it functions efficiently and fairly.

Securities are defined in section 1 of the Companies Act as 'any shares, debentures or other instruments … issued by a profit company'.

The FMA is the main regulatory instrument to prevent the abuse of the market and to protect investors. Compliance with the FMA, such as the banking sector and the insurance industry, is overseen by the FSCA. One of the purposes of the FMA is to prevent market abuse.

Let us look at insider trading, and its regulation by the FMA, in more detail.

29.4.1 What is insider trading?

The problem of insider trading, and the negative effect it has on financial markets, is highlighted in the 1987 movie *Wall Street*. For those who have watched the movie, you might remember that it is about an unscrupulous young stockbroker who used insider trading to gain great wealth and power, and was ultimately destroyed by greed. His crooked mentor, Gordon Gekko, stated: 'The most valuable commodity I know of is information'. Later in the movie, Gekko was convicted of insider trading and sentenced to prison.

Insider trading is the trading of a public company's shares or securities by 'insiders' who have access to material information about that company that is not available to the public.

Information is made public when the information is:

- published for the purpose of informing clients and their professional advisers
- contained in records that are open to public inspection
- easily obtained by those people who deal in listed securities related to the information.

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If the information is not yet public, it gives a small group of people, such as a director, employee, or shareholder of a public company listed on the stock exchange, an unfair advantage over the majority of people who do not enjoy the same equality of information or opportunity. Furthermore, it allows that small minority to use the inside information for financial gain (or to avoid financial loss) at the expense of the majority who did not have access to that information. This makes it riskier for an investor to buy shares, as this person will have 'information asymmetry', which means that they will not have the same information as 'insiders'. It is also harmful to the company as it may provide incentives to the management of the company to manipulate the share price.

A wide range of people may be considered 'insiders'. These include management, shareholders and employees of a company, as well as any person who has access to information from certain sources, such as the company's lawyers and accountants, who are aware that the direct or indirect source of the information was an 'insider'.

We will now look more closely at the specific provisions of the FMA that deal with insider trading.

29.4.2 Relevant provisions of the Financial Markets Act

As mentioned above, Chapter X of the FMA regulates insider trading. Let us now look at the relevant sections of Chapter X.

Definitions

Section 77 of the FMA defines the three key features of the offence of insider trading.

i. **Insider**

Three different groups of people are defined as insiders. Each group has access to protected information.

The first group are people who have the information because they are directors, shareholders or employees of a company on the Johannesburg Securities Exchange (JSE).

The second group of insiders have access to protected information by virtue of their employment, office or profession. For example, the company's lawyer is an insider.

The third group are those who are outside of the company, but who have been 'tipped off' by one of the above insiders.

ii. **Insider information**

This is specific information that is likely to have a material effect on the price of any security listed on a **regulated market**. It is information obtained by an insider and it should not be shared before it is available to the public.

A **regulated market** is a market that is controlled by a governmental entity such as the FSCA.

iii. **Prohibited conduct**

Section 78 of the FMA defines four categories of specific conduct that constitute committing the offence of insider trading, which are as follows:

1. if the insider, knowing they have inside information, deals directly or indirectly, *for their own account*, in the securities listed on a regulated market to which the inside information relates
2. if the insider, knowing they have inside information, deals, directly or indirectly, *for somebody else's account* in the securities listed on a regulated market to which the inside information relates
3. if any person (a third party) deals for an insider directly or indirectly in the securities listed on a regulated market and who knows that such person is an insider
4. if any person discloses inside information to encourage or discourage a person from dealing in the securities of the company. It will be considered insider trading even if the other person does not commit any insider trading offence after the disclosure.

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***Zietsman and Another v the Directorate of Market Abuse* 2016 (1) SA 218 (GP)**

Principle

For information to constitute 'inside information', it must be specific or precise information that will have an effect on the share price, which has not yet been made public and which is obtained as an insider. The principle is that, even if the information relates to an event that is not confirmed, such information should be considered to be sufficiently 'specific' and 'precise' to constitute insider information, or protected information.

Facts

The appellants, Zietsman and his company, intended purchasing shares in a company listed on the alternative exchange of the JSE. During the due diligence investigation, they came into possession of information regarding a loan that the company was trying to secure, but was not yet finalised. It was public knowledge that the company was in the process of obtaining the loan, but the identity of the lender and the amount of the loan was not known to the public. After the shares were acquired by the appellants, the details of the loan were announced, and shares increased dramatically.

The court's findings

The court found that, even though the loan entered into by the applicant had not been finalised, the information about the identity of the parties to the loan, and the amount of the loan, was 'precise' and 'specific' enough to be insider information.

Defences to civil and criminal liability

Section 78 of the FMA sets out certain defences that can be raised by the offender in order to escape liability.

Firstly, before any person can be liable, it must be shown that the person knew that the specific information in their possession was obtained because of their position, that it had not been made public, and that it was material to the price of the securities of the company. The person who committed the offence of receiving the information from an insider must have had knowledge that the source was an insider.

Case study Taking advantage of inside information

Koketso has recently inherited some money from a family member. Koketso decides to invest the money on the JSE. Koketso's friend, Jake, is a director of Down and Out Limited, a company that is listed on the securities exchange. Jake tells Koketso that the company is about to enter into a deal with a multi-national company, and recommends that they invest some money in the company. The deal is not yet public.

As a result of this information, Koketso buys R100 000 worth of shares in Down and Out Limited. Jake is paid a R10 000 'commission' for this information. As expected, the company's share price increases as a result of this deal. Three months later, Koketso sells the shares at 100% profit.

Koketso has made a profit as a result of insider trading. All the elements are present. Koketso knew that Jake was a director and that the information was not yet public. Jake, as the director of the company that was listed on the JSE, is an insider. The information that Jake disclosed to Koketso would be classified as inside information, as it has not been made public and, if it were made public, it would make a major difference to the value of Down and Out Limited.

Both Koketso and Jake have committed an offence.

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Penalties and liability

The consequences of insider trading are severe. They include criminal and civil liability as well as hefty fines and administrative penalties.

South Africa was the first country to initiate civil remedies for insider trading, which includes compensation for those that have been prejudiced by the offence. South Africa's regulation of remedies for insider trading is therefore amongst the most progressive in the world.

Section 82(1) of the FMA sets out the liability for insider trading. It distinguishes between the offences that include actual 'dealing' (sections 78(1)–(3)) and the offences that involved disclosure of information and the 'encouragement' of a third party (sections 78(4)–(5)).

In both cases, a person who contravenes the sections is liable for the following:

- an administrative penalty not exceeding the equivalent amount of the profit that the person would have made, or the loss the person avoided, as a result of the insider trading
- an amount of R1 million plus three times the amount referred to above
- interest and legal costs
- For the contravention of sections 78(4)–(5), any commission or payment for the information must be repaid.

In addition to the above, section 109(a) of the FMA provides for a criminal sanctions for any person who engages in insider trading. A person who commits the offences of insider trading, market manipulation, or false reporting is liable, on conviction, to:

- a fine of up to R50 million
- imprisonment for a period of up to ten years
- both a fine and imprisonment.

Activity 29.3

In each of the following scenarios, consider whether the person who obtains the information would be an insider. Discuss your answers with a study partner.

1. Zukiswa is having dinner with their family when Zukiswa overhears a private telephone conversation between their father and a company director about a merger that is about to take place.
2. Fatima is at a dinner party where company directors are discussing the performance of their companies.
3. Peter overhears a private conversation between company directors at the gym.
4. Tebogo has a casual conversation on the golf course with a company director's personal secretary, who is worried about an auditors' report that crossed Tebogo's desk.

Added value The cost of insider trading

Markus Jooste was the CEO of the notorious company, Steinhoff International, which has been at the centre of a well-publicised corporate scandal that left South Africans reeling in 2017.

The FSCA, acting on the authority of the FMA, has recently imposed an administrative penalty of over R240 million on Jooste and three others. Jooste has to pay the largest amount (R161 million) for engaging in insider trading by disclosure inside information about the impending publication of the corporate governance breaches, and thereby indicating to specific shareholders of the company that they should quickly sell their shares.

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Activity 29.4

With a study partner, discuss the rationale behind insider trading being an offence. What are our laws trying to guard against by making insider trading an offence? Do you think that insider trading is morally wrong? Do you think it should be a legal offence?

Chapter summary

In this chapter, you learned the following about the law of financial institutions:

- The regulation of three essential financial institutions is important to maintain the well-being of our economy:
  - banking institutions
  - the insurance industry
  - the financial market.
- The Twin Peaks regulatory framework has two functions. The first is the regulation of financial institutions and the second is consumer protection.
- The SARB is the regulator of all banking institutions. The Banks Act regulates banks that take deposits from the public.
- In order to protect the public who deposit their money into commercial banks, the Banks Act requires banks to have a certain minimum amount of money available at all times.
- The insurance industry falls under the Twin Peaks regulatory framework.
- The policyholder protection rules were legislated in order to protect insurance consumers.
- Insider trading is a form of market abuse, and is regulated by the FMA.
- The offence consists of an insider obtaining and dealing in information that is not available to the public.

Review your understanding

1. You are the financial consultant for a leading commercial bank. The board of directors of the bank is aware that, in terms of the recent Twin Peaks regulations, it is necessary to incorporate the TCF principles into the culture of the bank.

   You are required to advise the board of what steps it can take to ensure that these principles are successfully integrated into all the bank's practices
2. Junaid has just started a new job and decided that they could finally buy a car. Junaid took out a comprehensive motor car insurance policy with a leading short-term insurer to cover the car against loss or damage.

   Unfortunately, three months after buying the car, on the way to work, Junaid had a motor car accident. The car was badly damaged. Fortunately, Junaid was covered for the loss and submitted a claim to the insurer.

   You are required to identify and discuss the provisions in the FSCA and the PA that, together, provide broad protection for Junaid in this situation.
3. Flowers Galore Limited (Flowers Galore) is a company that is listed on the JSE. It is an agricultural business that cultivates flowers and exports them around the world. The managing director receives a confidential report that states that, because of the recent drought, the soil quality is poor and therefore the flower crop for the coming season will be halved. The director sells 60% of the shares that they own in Flowers Galore.

   Consider whether the managing director has unlawfully engaged in insider trading.

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4. You are a public relations consultant who assists companies draft their press releases. You are asked by a company, listed on the JSE, to draft a press release about a potential merger with a big multi-national corporation. In terms of the definitions section in the FMA, are you an 'insider' with regards to the merger?
5. List four types of behaviour that would constitute the offence of insider trading.

Further reading

Jooste, R., and Cassim, R., 'Insider Trading and Market Manipulation' in Cassim, F.H. et al. 2021. *Contemporary Company Law*, 3rd ed., Cape Town: Juta and Co. (Pty) Ltd, Chapter 20

Davis, D. (ed), Geach, W. (ed), et al. T. 2021. *Companies and Other Business Structures in South Africa*, 5th ed., Cape Town: Oxford University Press Southern Africa (Pty) Ltd, Chapter 11

Sharrock, R. 2016. T*he Law of Banking and Payment in South Africa*. Cape Town: Juta and Co. (Pty) Ltd

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The law of competition

Chapter 30

The main ideas

- What is competition law?
- How is competition law regulated in South Africa?
- Institutions, enforcement and remedies
- Prohibited practices

The main skills

- Describe the meaning of 'competition'.
- Explain the meaning of 'competition law'.
- Differentiate between private and public competition.
- Discuss competition law as regulated by the common law.
- Discuss the salient provisions of the Competition Act.
- Differentiate between horizontal and vertical prohibited practices.
- Discuss how a company may abuse its dominant position.
- Name the institutions created by the Competition Act, and briefly discuss their respective functions.

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This chapter gives you a brief overview of competition law in South Africa. This branch of law is aimed at promoting competition within the market and, conversely, preventing anti-competitive behaviour. So, competition law aims to promote fair dealing.

Before you start

Have you ever played the popular board game, or an electronic adaptation, Monopoly? The aim of this board game is to buy, build and trade properties. Ultimately, the person who is able to bankrupt all the other players is the one who wins the game. When there is only one trader left, that trader in a specific field holds a monopoly. Monopolies do not encourage free and fair trade. Why do you think this is so? What are the dangers of monopolies? What are the disadvantages to our economy if there is no free and fair trade? What is the effect on your life if there is no competition?

30.1 What is competition law?

Competition involves two or more traders who want to secure the business of customers. For example, the cellphone industry is highly competitive in South Africa. All the players want customers to join their network.

Competition law is aimed at preventing anti-competitive behaviour and promoting open markets. It therefore allows the consumer to choose from a variety of goods or services.

The regulation of competition can be traced back to the Roman Empire. The first example of competition legislation is the *lex Julia de annona* that prohibited the raising of prices of food and prevented other unfair practices that related to the transportation and sale of food.

In some countries, such as the United States of America, public competition law is referred to as antitrust law.

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30.2 South African competition law

Competition law in South Africa has two parts:

- public competition, which is regulated by the Competition Act 89 of 1998 (Competition Act), and deals with maintaining and promoting competition between businesses
- private competition, which is regulated by common law, and deals with unlawful competition.

The Competition Act established the Competition Commission, which is tasked with, amongst others, regulating business activities between **firms**, or companies, to ensure a competitive market. This is in the public's interest. But, private competition is concerned with the legal relationship between the competitors themselves. This area of the law gives a wronged trader a remedy if the requirements of unlawful competition are met. So, if Trader A unlawfully infringes Trader B's goodwill by way of a competitive act, Trader B will have a legal remedy against Trader A.

Firm, for the purposes of this Act, has an extended meaning. Firms include juristic persons, such as companies, close corporations, sole proprietors, partnerships and trusts.

30.2.1 Unlawful competition

Unlawful competition refers to the legal position between traders, where one trader wrongfully infringes the competitor's right to **goodwill**. Liability is based on the ***lex Aquilia***, which provided compensation to the owners of property damaged by someone else's fault. This is delictual in nature, meaning that the elements of delict must be proven by the competitor who is alleging unlawful competition.

Goodwill is an intangible asset which represents non-physical items that add to a company's value but cannot be easily identified or valued.

The elements of a delict are:

- conduct
- wrongfulness
- fault
- causation
- damages.

The ***lex Aquilia*** was a Roman law which enabled Roman citizens to claim compensation from a person who caused damage to their property. Today, the *actio legis Aquiliae* is an action used to claim loss in delict.

Berman J aptly described the law regarding unlawful competition in *William Grant and Sons Ltd and Another v Cape Wine and Distillers Ltd and Others* 1990 (3) SA 897 (C) at 915C–D as follows:

> 'In the free enterprise world in which we live, competition between manufacturers, traders and merchants is regarded as healthy and they are indeed encouraged to compete with one another in the market-place. The law which governs activities there, however, is not the law of the jungle; competition must be carried out by means that are fair, rather than foul, or — more correctly — by means which are lawful rather than unlawful, and the rules of mercantile conduct distinguish between competition which is lawful and that which is unlawful'.

Accordingly, the infringement must be ***contra bonos mores***. The *boni mores* refer to the legal convictions of society and it changes from time-to-time. In *Masstores (Pty) Ltd v Pick n Pay Retailers (Pty) Ltd* 2017 (1) SA 613 (CC), the Constitutional Court confirmed that the *boni mores* test must be applied against constitutional values. The constitutional values are human dignity, the achievement of equality, the advancement of human rights and freedoms, non-racialism, non-sexism, the rule of law, and constitutional supremacy.

Contra bonos mores means contrary to the legal convictions of society.

With the entering of the era of constitutionalism, courts have been enjoined to develop the common law, such as the law of unlawful competition, to 'promote the spirit, purport and objects of the Bill of Rights' (section 39(2) of the Constitution). A case in point is that of *Phumelala Gaming and Leisure Ltd v Gründlingh and Others* 2007 (6) SA 350 (CC). Langa CJ reiterated that wrongfulness

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depended on the facts and circumstances in each case. He stated that the *boni mores* or the reasonable criterion had to be used to determine whether conduct was indeed wrongful. In his words, at para 34:

> 'The question is whether, according to the legal convictions of the community, the competition or the infringement on the goodwill is reasonable or fair when seen through the prism of the spirit, purport and objects of the Bill of Rights. Several factors include the honesty and fairness of the conduct involved, the morals of the trade sector involved, the protection that positive law already affords, the importance of competition in our economic system, the question whether the parties are competitors, conventions with other countries and the motive of the actor.'

Langa CJ furthermore held that, although the Bill of Rights did not expressly promote trade, the right to freedom of trade (section 22) was consistent with a competitive regime in trade and the protection of competition as being in the public welfare. He also noted the lower court's reference to goodwill as being an asset in commerce and within the competition sphere, falling within the ambit of the protection of property (section 25). Langa CJ held that section 25 could not be used to ignore other rights, such as the right to freedom of trade.

Added value — Only unlawful competition is prohibited

Competition is healthy, in particular – for the consumer – it allows for more choice and cheaper prices. As such, competition is encouraged and protected. However, if the competition is unlawful, the competitive conduct will not be protected by the courts.

An infringement on the basis of unlawful competition may take place either directly or indirectly.

Direct infringements occur when one person makes use of another's goodwill without using their own goodwill in that the person makes false or injurious statements regarding the business of a competitor. For example, the owner of an electronic store puts up a notice outside their store that states that another electronic store sells second-hand electronics as new. This is not true. However, this notice is published with the intention of luring the competitor's customers to his store.

Indirect infringements, on the other hand, occur when a person uses their own goodwill in an unreasonable manner. The most common example of an indirect infringement is that of passing-off, which occurs when one person uses another's **trade mark** in an unreasonable manner so as to confuse the public.

A **trade mark**, sometimes referred to as a mark, includes words or phrases, logos, jingles, specific combination of colours, numerals, signatures, etc.

Passing-off was defined as follows by Rabie JA in *Capital Estate and General Agencies (Pty) Ltd and Others v Holiday Inns Inc. and Others* 1977 (2) SA 916 (A) at 929C:

> 'The wrong known as passing-off consists in a representation by one person that his business (or merchandise, as the case may be) is that of another, or that it is associated with that of another, and, in order to determine whether a representation amounts to passing-off, one enquires whether there is a reasonable likelihood that members of the public may be confused into believing that the business of the one is, or is connected with, that of another'.

To summarise, these are the elements of passing-off:

- The party alleging passing-off must have a reputation or distinctive mark that is infringed.
- The other party's conduct must have amounted to a misrepresentation. In other words, that party's goods or services are either the same or linked to the others.
- There is a likelihood of confusion in the public's mind. In other words, the two parties' goods or services are the same or are linked to each other.

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Adidas is well known for its three parallel stripes on shoes, especially on sport shoes. It is the proprietor of four trade marks, all of which consist of three parallel stripes in a specific configuration. But, Pepkor sold trainers and soccer boots that predominantly featured two and four parallel stripes. Not only did Adidas consider Pepkor's conduct an infringement of its trade marks, but it also considered the conduct a passing-off of its goods as being those of Adidas. In this case, *Adidas AG and Another v Pepkor Retail Ltd* (187/12) [2013] ZASCA 3, it was held that the following must be proven in order to be successful in a passing-off action:

1. The mark on which the proprietor relies has become distinctive so that the public associates the mark with that of the trader.
2. The mark is used in such a manner so as to cause the public to be confused.

The degree of distinctiveness or the extent of the reputation of the party alleging passing-off is important as this will determine whether the public will be confused or deceived into thinking that the goods of the second trader are those of the first trader because of the similarity of the mark or name (para 29). So, the more distinctive the get-up or the greater the reputation, the more likely the public will be confused.

In *Premier Trading Company (Pty) Ltd and Another v Sportopia (Pty) Ltd* 2000 (3) SA 259 (SCA) at 267, the court held that reputation 'is the opinion, which the relevant section of the community holds, of the plaintiff or his product'.

The remedies for passing-off are:

- claiming delivery of the infringing goods
- an interdict
- a claim for damages.

Another example of indirect infringement is when the perpetrator uses their competitor's trade secrets without authorisation, as we will see in the following case study.

Case study Direct and indirect infringement

Pink Health Ltd (Pink) was incorporated in 2001. Blue Insurance Holdings Ltd (Blue) was incorporated in 1928. Pink and Blue are direct competitors in the health insurance sphere and are both well-known household brands. One of Blue's registered trade marks is Verve Health. This is a well-known trade mark and is synonymous with Blue. Pink is rebranding and it extends its product offerings. The tagline for one of Pink's new products is Verve Health Zest.

If Blue can prove that, in addition to Verve Health being synonymous with the company and that Verve Health Zest could cause members of the public to be confused or deceived into thinking that they are dealing with Blue (and not Pink), it will amount to passing off, which is an indirect infringement.

On the other hand, if Blue publishes disparaging statements about Pink's business practices on its social media platforms, such publication constitutes a direct infringement of Pink's goodwill. Blue's conduct would be unlawful and would contravene the principles of competition law.

30.2.2 The Competition Act

The Competition Act came into effect on 1 September 1999. Its primary purpose is 'to promote and maintain competition' (section 2). Competition, unlike monopolies, encourages the establishment of businesses, which, in turn, leads to job creation and growth in the economy.

Moreover, the more businesses there are that sell the same type of goods or provide the same services, the better it is for the consumer. Not only are prices controlled by competition, but the consumer is given a wider choice of goods and services. Also, consumer welfare is promoted, which

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includes providing equal opportunities for all South Africans to participate freely in its economy of South Africa. This leads to a more efficient economy, which allows for South Africa's participation in international markets. Competition furthers socio-economic goals of addressing past inequities too.

The purpose of the Competition Act is:

1. to promote the efficiency, adaptability and development of the economy
2. to provide consumers with competitive prices and product choices
3. to promote employment and advance the social and economic welfare of South Africans
4. to expand opportunities for South African participation in world markets and to recognise the role of foreign competition
5. to ensure that small and medium-sized enterprises have an equal opportunity to participate in the economy
6. to promote a greater spread of ownership, especially to increase the ownership stakes of previously disadvantaged persons (section 2).

Application

The Competition Act applies to all economic activities in South Africa, but excludes:

- collective bargaining, as contemplated in the Constitution of the Republic of South Africa, 1996, and the Labour Relations Act 66 of 1995 (LRA)
- collective agreements, as contemplated in the LRA
- any concerted conduct that is designed to achieve a non-commercial socio-economic objective or has a similar purpose.

30.3 Institutions, enforcement and remedies

The Competition Act has created three institutions to administer matters regulated by this Act:

1. the Competition Commission (Commission)
2. the Competition Tribunal (Tribunal)
3. the Competition Appeal Court (CAC).

The Tribunal acts as a court of first instance in all competition matters. In the hierarchy of courts, the Tribunal is a lower court. On the other hand, the CAC's status is similar to that of a high court, meaning that it is a superior court. It has jurisdiction throughout South Africa and is a court of record. The Commission acts as an investigative and procedural authority similar to the South African Police Services and National Prosecuting Authority in criminal cases.

These bodies are independent of each other, impartial and are answerable only to the Constitution. They enforce the aims and provisions of the Competition Act and, where necessary, impose remedies.

30.3.1 The Competition Commission

The Commission is an independent juristic person, and comprises a commissioner and one or more deputy commissioners. The commissioner appoints investigators and staff to assist the Commission in fulfilling its mandate under the Competition Act. The Commission has various functions:

- to implement measures to increase market transparency
- to investigate and evaluate alleged contraventions
- to authorise (with or without conditions), prohibit or refer applications for intermediate mergers (as discussed below).

30.3.2 The Competition Tribunal

The Tribunal is a juristic person and a tribunal of record. It consists of a chairperson and between three and ten members who are appointed by the president. The functions of the Tribunal are to:

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- adjudicate on prohibited practices and to impose any remedy
- adjudicate on any matter that it may consider as provided for in the Competition Act
- hear appeals from or review any decision of the Commission that may be referred to it
- make any ruling or order necessary or incidental to the performance of its functions under the Competition Act.

30.3.3 The Competition Appeal Court

The CAC is a court of record, and it has the same jurisdiction as a high court. This court consists of at least three judges, all of whom must be judges of the high court. One of these judges must be designated to be the president of the CAC, and is appointed as such by the president of the country.

The court's functions are to:

- **review** any decision of the Commission or Tribunal
- consider **appeals** arising from the Tribunal.

A matter is taken on **review** if there was a procedural irregularity, whereas a matter is taken on **appeal** if one is dissatisfied with the outcome of a case.

Enforcement

Enforcement is done by the Enforcement and Complaints Division. The two main functions of this division are to:

- investigate complaints
- evaluate applications for exemption.

Remedies

The competition authorities have a wide variety of remedies available to them, which include the Tribunal's right to:

- make any order, including the issuing of an interdict, which is appropriate
- impose administrative penalties.

A fine of up to 10% of a company's annual turnover may be imposed if a company has been found having participated in a **cartel**.

A company that has participated in cartel activities potentially faces claims for damages from customers who have suffered losses as a result of the company's participation in such activities. Such claims for damages must be instituted in the civil courts.

A **cartel** 'involves an agreement or concerted practice between two or more competitors to engage in fixing prices and/or trading conditions, dividing markets and/or collusive tendering' (Commission). Cartel behaviour is prohibited as a restrictive horizontal practice.

30.4 Prohibited practices

The Competition Act forbids certain business activities or practices that will be harmful to competition and to public interest. These include restrictive horizontal and vertical practices and the abuse of a dominant position.

30.4.1 What are restrictive practices?

There are two types of restrictive practice that are prohibited by the Competition Act. They are:

- restrictive horizontal practices, which are practices that are prohibited between competitors
- restrictive vertical practices, which are practices that are prohibited between a company (any firm as defined above) and its clients or customers and includes agreements between, for example, a wholesale seller and retailer.

We will now look at each of these practices in more detail.

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Added value — All restrictive practices forbidden

All firms, regardless of whether that refers to a sole proprietor or a multi-million rand company, are prevented from participating in any restrictive practice, whether it is horizontal or vertical. Is this a hard rule that cannot be changed? Following a complaint lodged by the national Department of Health regarding the charges levied by private pathology laboratories for Covid-19 Rapid Antigen testing, the Competition Commission and the three largest private pathology groups (Ampath, Lancet, and PathCare) entered into an agreement to reduce, and set, the price for Covid-19 Rapid Antigen testing to R150 (or less), including value-added tax (VAT). This agreement seems to indicate that price-fixing, through the Commission, in an instance of a worldwide health pandemic, and where such price-fixing was to the benefit of South Africans, is not a hard-and-fast rule that cannot be changed. What are your thoughts?

Remember: The aim of the Competition Act is to prevent anti-competitive behaviour. The price-fixing agreement between the Competition Commission and the three pathology groups referred to above would probably survive scrutiny on the following grounds:

- The Commission was involved in the agreement; it was not concluded secretly among the competitors.
- The agreement was not aimed at reducing competition or disadvantaging the consumers. It was aimed at benefiting consumers.
- The agreement was entered into because of a global public health pandemic, which was an unfamiliar situation worldwide.

Restrictive horizontal practices

Restrictive horizontal practice means agreements made between companies on the same level, which restrict or prevent competition. Well-known restrictive horizontal practices are price-fixing, collusive tendering and market division. In some instances, companies may be allowed to make agreements with other companies if they can prove that the agreements are not harmful to the economy. There can, however, be no defence against price-fixing, collusive tendering and the division of the market:

- price-fixing – when competitors work together to fix the purchase or selling price or any condition of goods or services
- collusive tendering – when competitors work together to tender in a manner that is not free and fair tendering according to geographical areas, market segments, types of customers, and the like. For example, in one tender Competitor A makes the lowest bid and, in the next tender, Competitor B makes the lowest bid. In so doing, the competition is excluded or prevented from making the lowest bid as a result of the agreement between Competitors A and B.
- division of markets – when parties (either buyers or sellers) divide a territory or specific goods or services in a specific market. For example, if two competitors fix quotas for the manufacturing and the selling of goods, it is a division of the market.

Complementary health refers to natural medicines, including vitamins and supplements, Chinese medicine, and the like.

Case study — Division of markets

The **complementary health** market is big business. It is worth R7 billion, and it comprises more than 30 000 products.

Black Tea and White Coffee are competitors in the complementary health industry in South Africa. Black Tea and White Coffee enter into an agreement in terms of which they agree to split the market; Black Tea would get the senior market and White Coffee the young adult market. This agreement between White Coffee and Black Tea is a restrictive horizontal practice.

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Case study (continued) Division of markets

Market analysis has shown that that both the senior market and the young adult market are big consumers of complementary health products. With the two competitors dividing the most lucrative market segments, they are acting in an anti-competitive manner.

Let us look at the CAC's finding on price-fixing in the following case.

***Competition Commission of South Africa v Stuttafords Van Lines Gauteng Hub (Pty) Ltd and Others* [2020] 2 CPLR 548 (CAC)**

Principle

An *agreement* between competitors to fix prices constitutes a restrictive horizontal practice, which is prohibited by the Competition Act.

Facts

In January 2014, at a meeting of the Northern Branch of the Professional Movers Association (PMA), twelve furniture removal firms' representatives discussed the impact of the costs of e-tolls on their businesses. Each representative noted the additional costs that had to be borne because of the enactment of the e-toll system in Gauteng. Draft minutes were prepared, and it was worded in such a manner that it implied that the PMA agreed to a fixed price of an e-toll levy of R350 per removal. The draft minutes were sent to the Road Freight Association (RFA) as the PMA is an affiliate of the RFA. The draft minutes were sent to the RFA without it having been approved by the president or deputy-president of the PMA. Both the RFA and the president of the PMA had requested that the draft minutes be amended to reflect the decision that each company (a member of the Northern Branch of the PMA) may (or may not) charge a levy, necessitated by the introduction of e-tolls, based on each member's calculations and needs analysis.

A complaint was filed against the PMA members. The Commission referred the matter to the Tribunal. The companies were charged with having contravened the price-fixing provisions of the Competition Act. The Tribunal declared that the members had engaged in price-fixing, and it levied an administrative penalty of 10% of the members' annual turnover. The members appealed against the Tribunal's findings.

The court's finding

The court held that an **agreement**, albeit construed in a wider sense than in common law, required an arrangement that the parties to the agreement regarded as binding upon all parties to the agreement. If there was no such an arrangement, then there was no agreement among the parties. It held that it had to have been proven that the members adopted a uniform approach to pass the e-toll costs on to the customer.

On the facts, it was found that, taking account of all the evidence as a whole, the Commission did not, on a balance of probabilities, prove that 'parties concerned had reached consensus on the subject matter of the understanding, and that that they regarded such understanding as binding upon themselves or on each other' (para 39). Consensus was therefore lacking, meaning that there was no agreement regarding a uniform approach regarding the recovery of e-toll costs. The facts also indicated that each member dealt with the costs of e-tolls differently – some passed on the costs to their customers whereas others did not.

In competition law, the concept of contract, or **agreement**, has a wider meaning than it does in common law. In this sense, agreement refers to a contract that is legally binding or a mere arrangement or understanding that is not legally binding but that the parties regard as binding upon them.

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Restrictive vertical practices

The Act also forbids restrictive vertical practices. (Vertical means a relationship between a manufacturer, wholesaler or a retailer.) This means that the Act does not allow:

- agreements between these different traders that prevent or lessen competition. For example, one of the national sporting bodies enters into an agreement with a supplier of sporting kits (for example, balls and bats) in terms of which all members of the sporting body and/or all players are obliged to acquire their kits from this specific supplier. Such an exclusivity deal could reduce competition in the marketplace since such an agreement could have the effect of driving up the prices that the supplier charges, and it could also limit accessibility.
- the setting of a minimum retail price, although a company may suggest a selling price. For example, it was found that Italtile's insistence that franchisees sell tiles at prices set centrally by the group, under threat of termination of franchise agreements for failure to adhere to these prices, amounted to a contravention of the resale maintenance provision of the Competition Act. The prohibition against the minimum resale maintenance price does not prevent a firm from suggesting a selling price, which must be accompanied by the words 'recommended price'.

But, the reseller is not bound to sell at this price. As with restrictive horizontal practices, businesses may make agreements that may not be classified as restrictive practices if they can prove that these agreements are beneficial to the economy.

30.4.2 Abuse of dominant position

A company that is dominant in a particular market may not abuse its dominance to gain an anti-competitive advantage in that particular market.

A company is dominant in the market if it has:

1. at least 45% of the market
2. at least 35%, but less than 45%, of the market unless the company can show that it does not have market power
3. less than 35% of the market, but it has market power.

Market power is defined as the company having the power to control prices, to exclude competition or to behave to an appreciable extent independently from its competitors, suppliers or customers. So, if a company can act independently and fix prices in a market, it has market power.

Prohibition of dominance

A dominant company is prohibited from:

- charging excessive prices that are detrimental to consumers
- refusing access to a competitor to an essential facility when it is economically feasible to do so
- engaging in exclusionary acts, for example:
  - requiring or inducing a supplier or customer not to deal with a competitor
  - refusing to supply scarce goods to a competitor
  - selling goods or services to a buyer and then requiring from the buyer to purchase something that does not relate to the initial reason for the contract
  - selling goods or services below their marginal or average cost
  - buying-up a scarce supply of goods or resources required by a competitor.

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Babelegi Workwear and Industrial Supplies CC v Competition Commission of South Africa 2021 (6) SA 446 (CAC)

Principle

One of the aims of competition law is to prevent companies from abusing their dominant position by charging exorbitant prices. This holds true, even more so, in respect of essential goods, such as face masks, during a global public health pandemic. This is also the first case dealing with **price gouging**.

Price gouging refers to price increases that are much higher than what is considered to be reasonable or fair. Price gouching is deemed to be uncompetitive behaviour.

Facts

The World Health Organization (WHO) declared Covid-19 a global public health pandemic on 11 March 2020. The WHO recommended the wearing of face masks as a method to suppress the spread of Covid-19. South Africa went into national lockdown on 26 March 2020. The Minister of Trade and Industry promulgated regulations, entitled Consumer and Customer National Disaster Management Regulations and Directions (the Regulations), on the Consumer Protection Act 68 of 2008 (CPA). The Regulations declared any price increase on goods or services that 'does not correspond to or is not equivalent to the increase in the costs of providing that good or service' during the national state of disaster as unconscionable unfair, unreasonable and unjust. Increases in net margins or mark-ups on goods above the average mark-up over a three month period prior to 1 March 2020 were also deemed to contravene the Regulations. The goods or services covered by the Regulations include, *inter alia*, medical and hygiene supplies.

Babelegi's price for FFP1 face masks had increased by, at times, over a 1 000%. A complaint was lodged with the Commission, alleging that Babelegi's price increases contravened section 8(1)(a) of the Competition Act read with the Regulations. (Section 8(1)(a) prohibits a dominant firm from charging excessive prices to the detriment of a consumer, or customers.) The Tribunal held that Babelegi's conduct contravened section 8(1)*(a)* and levied an administrative penalty in excess of R75 000. Babelegi appealed against the Tribunal's findings.

Based on its annual turnover, Babelegi is a small business, as contemplated in the CPA. Prior to March 2020, the selling of face masks only comprised 3% of its sales. The Commission contended that Babelegi's price increase 'was as a direct result of the change in market conditions caused by the Covid-19 pandemic' (para [17]) and that its conduct had been detrimental to consumers and, in particular, poor individuals and small businesses.

It was common cause that, for the duration of the period of complaint, Babelegi met the R5 million per annum turnover threshold to be considered a **dominant firm**. As Babelegi's national market share was only 4.7%, the Tribunal had to determine whether it had market power, as defined. The Tribunal found that Babelegi 'had the ability to effect material price and mark-up increases suddenly' (para [22]). Accordingly, it was held that Babelegi had market power during the complaint period 'since it behaved to an appreciable extent independently of its competitors, customers, or suppliers' (para 22), and, therefore, it was a dominant firm.

Only a **dominant firm** can contravene section 8(1)*(a)* of the Competition Act charging excessive prices. Generally speaking, a dominant firm's annual turnover of assets exceeds R5 million.

In essence, Babelegi alleged that the Tribunal failed to differentiate between excessive pricing and market power in its appeal. It was also argued that the Covid-19 pandemic invited a number of players into the market to supply face masks – either new or expanding its range of goods. This, Babelegi, argued, was not considered by the Tribunal.

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***Babelegi Workwear and Industrial Supplies CC v Competition Commission of South Africa* 2021 (6) SA 446 (CAC) (continued)**

The court's finding

In determining whether excessive prices were charged, the outbreak of the global Covid-19 worldwide public health pandemic had to be considered. Circumstances beyond the control of the supplier and customers could force customers to acquire goods from a particular supplier. As such, a supplier may not be a dominant firm during 'normal times' but, due to circumstances (such as the prohibition to freely move around during the initial stages of lockdown), the consumer is obliged to purchase the goods or services from the supplier. As consumers cannot shop around, even a 'normal non-dominant firm' may hold considerable market power, which, in turn, may lead to price gouging.

In the context of Covid-19, it had to be determined whether Babelegi had market power by evaluating 'the cost, prices and mark-ups prior to or during and after the complaint period' (para 50). Davis J held that Babelegi had the power to control prices and had the power to act independently from its competitors, suppliers or customers. The judge noted that durability mattered, which is 'how long a view must this court take of conduct which clearly is reflective of independence from customers and competitors?' (paras 52–53). In view of the unprecedented pandemic and that the complaint period was not merely a day or a week, it was held that Babelegi acted as a monopolist regardless of whether other firms might have done the same.

Price discrimination

A dominant company is prohibited from acting in a manner that constitutes price discrimination. As such, a dominant company (as seller of goods or services) is prohibited from:

- acting in a manner that is likely to have the effect of substantially preventing or lessening competition
- selling goods and services, in equivalent transactions, to different purchasers
- discriminating between those purchasers in terms of:
  - the price charged for the goods or services
  - discounts, allowances, rebates or credit given
  - the provision of services in respect of the goods or services
  - payment for services provided in respect of the goods or services.

For example, Company X, a company that owns 20% of the market share, but has market power, sells goods to both Company A and Company B. If Company X charges different prices for the same goods that it sells to Companies A and B respectively, then Company X is acting in a manner that is prohibited on the bases of price discrimination.

30.4.3 Mergers

Generally speaking, a merger is the amalgamation of two or more companies into one entity. For the purposes of the Competition Act, a merger 'occurs when one or more firms directly or indirectly acquire or establish direct or indirect control over the whole or part of the business of another firm' (section 12(1)*(a)*). Mergers are regulated by Chapter 3 of the Competition Act, which aims at preventing the creation of monopolies, or creating a company that is so big that it can engage in anti-competitive behaviour and, in so doing, prevent or lessen competition within a market.

The Mergers and Acquisitions Division of the Commission reviews any merger contemplated in Chapter 3 of the Competition Act. Small mergers generally, with some exceptions, need not be reported

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to the Commission. In the event of an intermediate merger, the Commission must approve the merger (with or without conditions) prior to the merger taking place. In the event of a large merger, the Tribunal must approve the merger (with or without conditions) prior to the merger taking place.

Various factors are taken into account in considering an application for a merger, which include the ability of small businesses held by historically disadvantaged persons to become competitive and the ability of national industries to compete in international markets.

Whether a merger is small, intermediate or large is determined by using a merger threshold calculator that is available on the Commission's website.

Case study Competition Tribunal approves merger

Mediterranean Shipping Company (MSC) is privately owned and has its headquarters in Geneva, Switzerland. MSC is the world's largest container liner, and provides global shipping and logistics services. Its South African operation, MSC has its headquarters in Durban.

Bolloré Africa Logistics, a subsidiary of the Bolloré Group, is the biggest transport and logistics company in Africa. Bolloré Logistics South Africa has its headquarters in Johannesburg, and has been operational in South Africa since 1997.

MSC offered to purchase Bolloré Logistics South Africa in December 2021 for €5,7 billion. Not only did Bolloré Logistics South Africa's shareholders have to accept the offer but the purchase would have had to have been approved by the Tribunal. On 15 July 2022, the Tribunal approved the merger without conditions.

What do you think?

Consider the number of ways described in this chapter that the Competition Act seeks to control behaviour in business that is harmful to competition and, at the same time, promote and maintain competition between companies. Why do you think it is so important to promote competition in a country?

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Chapter summary

In this chapter, you learned the following about the law of competition:

- Competition law is aimed at preventing uncompetitive behaviour. So, competition law promotes open markets. There are two parts of competition law:
  - public
  - private.
- Both private and public competition are regulated in South Africa. Private competition refers to unlawful competition and is regulated by the common law. Public competition, regulated by the Competition Act, deals with the maintenance and promotion of competition between businesses.
- To ensure competition in markets, the Act deems both horizontal (agreements between competitors) and vertical (agreements between any two or more companies in a vertical relationship) as prohibited practices.
- Other measures, to ensure that competition is not prevented or lessened, are to prohibit companies from abusing their dominant position in a market and regulate mergers to ensure that the proposed merger becomes a threat to competition.
- The remedies for unlawful competition are founded in the law of delict. There are various examples of unlawful competition. For example, when one trader makes disparaging remarks about the business of a competitor or when a trader passes off the goods of a competitor as his own.
- The Competition Act established the Commission that is responsible for the investigation, control

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and evaluation of anti-competitive conduct and mergers; the Tribunal that is responsible for adjudicating on matters investigated and evaluated by the Commission; and the CAC, as a specialist court that reviews decisions of the Commission and/or the Tribunal, and hears appeals against the findings of the Tribunal.

- Anti-competitive conduct includes:
  - restrictive horizontal practices, which refer to anti-competitive behaviour between competitors, such as price-fixing, collusive tendering and the division of markets
  - restrictive vertical practices, which refer to anti-competitive behaviour between a firm and its suppliers and/or customers, and includes the setting of minimum retail prices
  - abuse by a firm of its dominant position by, for example, excluding others from the marketplace, charging excessive prices, engaging in price discrimination.
- The Commission must approve intermediate mergers and the Tribunal must approve large mergers. The main consideration in determining whether or not to approve a merger is whether the merger will substantially lessen or prevent competition in the market. If not, the merger is approved. If so, the Commission or the Tribunal must consider whether the merger's technological, efficiency or other competitive gains outweigh the anti-competitive effect of the merger or that it is justifiable on substantial public interest grounds.

Review your understanding

1. What is the difference between private and public competition?
2. What is the difference between direct and indirect infringements in unlawful competition?
3. Describe the meaning of price discrimination, as contemplated in the Competition Act.
4. Aerospace Holdings Ltd (Aerospace), Oasis Mirage (Pty) Ltd (Oasis) and Lightning Speed (Pty) Ltd (Lightning) are South African companies and competitors in the aviation manufacturing market. Covid-19 has had a devastating effect on virtually all economic industries. The hospitality industry, encompassing travel, accommodation, food, and beverages, was particularly hard hit by Covid-19 with lockdowns and travel restrictions. With the travel bans, the demand in aviation manufacturing declined drastically. With the easing or doing away with lockdowns and the lifting of travel bans, demand in the aviation manufacturing sector has increased. As a result, the three companies agreed that when calls for tenders open up, Aerospace will submit the lowest tender for any work emanating from Northern America, Oasis will submit the lowest tender for any work emanating from in Latin and South America, and Lightning would submit the lowest tender for any work emanating from Asia and Africa. Identify the legal issue and then discuss the relevant legal principles as they apply to this scenario.
5. WaterWise has cornered 30% of the rainwater harvesting market in South Africa.
   a) Is WaterWise a dominant firm as contemplated in the Competition Act? Motivate your answer.
   b) Describe the conditions under which WaterWise would be a dominant firm.
   c) Assume that WaterWise is a dominant firm. Discuss how the Competition Act prohibits a dominant firm from abusing its dominant position in the marketplace.
   d) Assume that it is found that WaterWise abused its dominant position in the marketplace. Discuss what penalty can be imposed, and who would impose the penalty.
6. Which economic activities in South Africa are not governed by the Competition Act?
7. Name and briefly explain the functions of the three bodies that were established by the Competition Act.
8. A company has produced Chewy Vuitton luggage using the same colours, symbols and trade marks as Louis Vuitton, which is a well-known luxury

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luggage brand. Assume that this happened in South Africa.

a) Identify the legal issue in this scenario.
b) What legal action must Louis Vuitton institute against the other company, and why?
c) Name the elements that Louis Vuitton would have to prove in order to claim damages from the other company.

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www.compcom.co.za/
(The Competition Commission's website contains detailed information on the role, functions, and divisions of the Commission.)

www.compcom.co.za/mergers-threshold-calculator/
(Whether a merger is small, intermediate or large is determined by using a merger threshold calculator that is available on the Competition Commission's website.)

www.compcom.co.za/the-competition-act/

www.saflii.org/za/cases/ZACAC/
(This link takes you to decisions of the Competition Appeal Court.)

www.comptrib.co.za/
(The Tribunal's website contains information on the role, functions, and the like of the Tribunal. It also contains information on recent rulings by the Tribunal.)

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